

2007 SCC OnLine All 2528 : 2007 CLC 1710 : (2007) 5 All LJ (NOC 743) 259 : 2007 Lab IC (NOC 750) 201

In the High Court of Allahabad
(BEFORE SUNIL AMBWANI, J.)

In the matter of : U.P. State Cement Corporation Ltd. (In Liq.).
Misc. C.A. No. 4 of 1997
Decided on April 27, 2007



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ORDER

1. In these proceedings, the Company Court is called upon to decide Applications/Objections/Appeals under Rule 164 of Companies (Court) Rules, 1959 in the matter of the report of the Official Liquidator, Uttar Pradesh adjudicating on the 'proofs of debts' and proposing to distribute the sale proceeds of the assets of the 'U.P. State Cement Corporation Limited' (in liquidation) wound up by the Court on 8-12-1999 on the recommendation of Board of Industrial and Financial Reconstruction, by the workmen, secured and unsecured creditors, U.P. State Electricity Board, Employees Provident Fund and others. A total amount of Rs. 459 crores received by the Official Liquidator from the sale of the assets of the Corporation (in liquidation) including the reliefs and concessions given by the State Government is under consideration of the Court. The hearing of these objections/appeals started on 3-1-2007 and was concluded on 6-4-2007.

THE BACKGROUND

2. 'U.P. State Cement Corporation Limited' (in liquidation) a Government Company under Section 617 of the Companies Act, 1956 with the entire paid up share capital subscribed by the Government of U.P. (GUP) made a reference to Board of Industrial and Financial Reconstruction (the BIFR) under Section 15(1) of the Sick Industrial Companies (Special Provisions) Act, 1985 (SICA). The reference was registered on 10-7-1992. The company had accumulated losses to Rs. 180.13 crores as against its paid up capital of Rs. 68.29 crores. The losses



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increased to 319.81 crores as on 31-3-1994 and to Rs. 548.85 crores as on 31-3-1998. The BIFR declared the company as 'Sick Industry Company' on 7-10-1992 and appointed the 'Industrial Development Bank of India' (IDBI) as 'Operating Agency'. After exploring all the possibilities of rehabilitation, revival, change of management and allowing opportunity to the workmen, banks and financial institutions as also considering the proposals made by Cement Manufacturing Companies, the Board formed an opinion under Section 20(1) of the SICA, to recommend, to wind up the company and forwarded the reference dated 2-7-1997 to the High Court. The reference was received in the Company Section of the Court on 16-7-1997 and was registered as Misc. Company Application No. 4 of 1997. The notices were issued on 3-9-1997 to the Company to show cause as to why the winding up order may not be passed. Shri Shiv Nath Singh, Advocate filed his appearance for the company. An application (A-5) filed by him was put up for orders by office report dated 15-10-1997. On the same date, the Court noticed that the workmen

had preferred an appeal before Appellate Authority of Industrial and Financial Reconstructions (AAIFR) which was admitted and that the operation of the order of BIFR was stayed. The matter was adjourned for three months to enable learned counsel for respondent-company to inform the Court the status of the appeal. The matter was thereafter, adjourned from time to time. The appeal, against the order of reference dated 2-7-1997 filed on 8-8-1997, was dismissed by AAIFR on 19-2-1998.

3. The Cement Workers Union (CWU) and 13 other trade unions filed Writ Petition No. 15134 of 1998 challenging the order dated 19-2-1998 passed by AAIFR. The writ petition was opposed by Government of U.P. (G-UP) on the ground that it was not possible to run the company with about 600 employees. The writ petition was connected with M.C.A. No. 4 of 1997. The Court heard the arguments on 23-11-1998 and then on 25-2-1999. On 8-12-1999, the Court dismissed the application of Allahabad Bank to exempt the hypothecated properties under the agreement with the Corporation dated 31-3-1982 on the ground that as secured creditor the bank will have preference in realization of amount under Section 529-A of the Companies Act, 1956 (the Act). On the same day, on 8-12-1999 the Court accepted the reference made by BIFR and directed the company to be wound up. The writ petition No. 15134 of 1998, filed by Cement Workers' Union and others was allowed in part. The application by the Class-I and Class- II employees of the Corporation, was disposed off with following directions:—

“This is an application filed by 37 persons claiming to be Class I and Class II employees of U.P. State Cement Corporation Ltd. (in short the Corporation).

The applicants have made the prayer that the Corporation be directed to pay arrears of salary as per the revised pay scale and dearness allowance up to the date with 18 per cent interest per annum on the accumulated arrears from the date the amount fell due till the date of actual payment besides contribution, to the employees provided fund trust. They also prayed that the State Government be directed to provide alternative employment on equivalent post under the State and allow them to continue the enjoyment of free residential accommodation with electricity, water supply, medical aid etc. The Board for Industrial and Financial Reconstruction (in short the Board) has submitted its opinion for winding up of the Corporation. This opinion has been affirmed by the Appellate Authority in appeal. I have accepted the opinion of the Board and have directed for winding up of the Corporation. As regards the various reliefs claimed in the application, they 'cannot be granted in this company application. If the applicants have any right, they can claim such relief in the appropriate proceedings before the appropriate authority. The application is accordingly disposed of.”



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4. The relevant part of judgment for these proceedings, allowing the writ petition No. 15134 of 1998 filed by *Cement Workers Union* reported in 2000 (100) CC 76, is:—

“The financial institutions had given loan and the interest payable to them are heavy. The Board examined all the aspects. The Court in this petition cannot substitute its own opinion. After examining the entire material in relation to the functioning of the sick company the BIFR has submitted its opinion that it is just and equitable to wind up the company. I do not find that the opinion submitted by the Board is perverse or there is any justifiable ground not to accept the same.

In the last, learned counsel for the petitioner submitted that the workmen had been working in the sick unit. They are entitled to wages till the winding up order is passed. This submission was also raised before the Board and it noted the submission in its meetings held on September 26, 1996, and observed as follows:

"In case the State Government decide to wind up the Corporation they should do so and pay all the dues of the labour. The present Government has different policy regarding sick P.S. Us. As compared to the previous Government and the workers are hopeful that a favourable view will be taken in this case."

There is no reason why the workers be not paid their salary. In view of the above discussion the writ petition is dismissed against the recommendation of the Board dated February 6, 1997, and the order of the Appellate Authority dated February 19, 1998. The writ petition, in so far as the direction in the nature of mandamus commanding respondent No. 4 to make payment of all dues to the workmen for the period till today, is allowed. In case respondent No. 4 is not able to pay the amount, on winding up of the Corporation, the payment shall be made to the workers prior to making any payment to any person in accordance with Section 529-A of the Companies Act, 1956. The writ petition, as against the other reliefs claimed in the writ petition is hereby dismissed.

The parties shall bear their own costs."

5. A special Appeal No. 38 of 2000 filed by Cement Workers' Union was dismissed on 31-7-2000. The Official Liquidator, U.P. was appointed by the Court as Liquidator of the company. He sent notices to the company to file the 'Statement of Affairs' and to hand over the possession of the assets. The minutes of the meeting held on 24-3-2000 in the chambers of the Managing Director, U.P. State Cement Corporation, Lucknow both with regard to filing of 'Statement of Affairs'; handing over possession and the business of the company are quoted below:—

"MINUTES OF THE MEETING HELD ON 24-3-2000 IN THE CHAMBER OF MANAGING DIRECTOR
U.P. STATE CEMENT CORPORATION LTD., LUCKNOW

PRESENT:—

- | | |
|------------------------|-----------------------------|
| 1. Sri Harbhajan Singh | Managing Director |
| 2. Sri G.S. Rai | I/c General Manager, Churk |
| 3. Sri J.L. Srivastava | I/c General Manager, Dolla |
| 4. Sri R.D. Singh | I/c General Manager, Chunar |
| 5. Sri Yashpal Sharma | Company Secretary/JSM(F) |
| 6. Sri J.K. Singh | Sr. Personnel Officer-HQ |

At the outset, Managing Director explained that the meeting was called to discuss/review important issues and problems at the Units/HQ after the *winding*, up orders of the Corporation passed by Hon'ble High Court, Allahabad on 8-12-1998. In this background, following issues/points came up for discussion.



1. M.D. informed that despite his written request and awareness of the urgency and importance of submission of statement of affairs' of the Corporation-with the Official Liquidator in form of the orders of the Hon'ble High Court, Allahabad within the specified time period of 3 months, General Managers of the units did not bother to provide requisite information required for the purpose. What was really made surprising and disheartening in that event the General Managers did not consider it necessary to acknowledge the letter sent by the Managing Director on this account. Therefore, under the circumstances and absence of requisite information from the units, the management had no option but to compile the statement of affairs on estimated basis with whatever little information was available at Lucknow and with the help and advice of the outside consultants at Kanpur. The statement of affairs prepared and compiled on the aforesaid basis has been submitted to the Official Liquidator on 6-3-2000.

Further, in this context it was informed that essential/emergent expenditures incurred by

the Units/HQ/CMO after 8-12-1999 up to 7-3-2000 is required to be submitted to the official liquidator for his approval and hence as already requested requisite information sought on this account be submitted without any further loss of time so that a consolidated statement for the Corporation as a whole may be submitted to the Official Liquidator for record and approval. Further, it was also made clear that henceforth the expenditure whatever should be incurred by the Units/HQ and Bank account of the Corporation may not also be operated. However, a statement showing minimum estimated expenditure for the coming period may be finalized by the Units/HQ so that it may be submitted to official liquidator for looking his approval.

2. It was informed that the Board while reviewing the progress of the winding up and problems of the Corporation in its meeting held on 22-3-2000 desired that immediate steps may be taken to ensure the following:

- (a) The unit management should take all possible measures at its level to protect and safeguard the various movable and immovable, properties/assets of the Corporation. Assistance/co-operation of the district Administration may be taken promptly wherever required.
- (b) The annual accounts of the Corporation may be finalized on top priority by constituting a team at the Unit/HQ level.
- (c) All important cultural functions be attended to by the management till unit is finally taken over by the Official Liquidator.

3. Regarding the insurance of assets of the Chunar unit, it was decided that a letter may be sent to the Official Liquidator immediately for seeking his orders for release of funds to insurance company by the State Bank of India, Robertsganj.

4. Managing Director emphasized that it is in the interest of the concerned particularly employees/officers of the Corporation to attend to all the important functions till such time the Corporation is taken over by the Official Liquidator and in this respect all legal cases wherever pending may be contested in the best possible manner.

Various issues raised by the General Managers in regard to day-to-day management at the Units were discussed and clarified by the Managing Director.

(Harbhajan Singh) 1-4-2000
Managing Director

No. MD/LKW/105
Copy for information and necessary action
(1) General Manager, Churk/Dalla/Chunar

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- (2) Company Secretary
- (3) Manager (F & A)-HQ
- (4) Manager (Marketing)
- (5) Sr. Personnel Officer-HQ
- (6) Accounts Officer-CMO

(Harbhajan Singh) 1-4-2000
Managing Director"

6. A 'Statement of Affairs' verified by Shri Yashpal Sharma, Company Secretary of the Comopany (in liquidation) was filed on 6-3-2000. The possession of the assets, however, could not be taken by the Official Liquidator (OL). On 25-7-2001, the Court directed the O.L. to take over possession of the assets of the Company (in liquidation), spread over 80 kms including

mines, factories, colonies etc. in the districts of Mirzapur and Sonbhadra. The District Magistrates, Allahabad, Sonbhadra and Mirzapur were directed to provide security to the OL on his proposed visit on 27-7-2001. The District Magistrate, Mirzapur and Sonbhadra informed the OL that the inventories of the assets have been prepared and that the OL can take charge. Dr. Hari Krishna, Secretary, Industrial Development Department, Government of U.P. also informed the OL on 19-7-2001 that the District Magistrate are ready to hand over charge to the OL. The OL formally took over charge of the assets of the Company (in liquidation) on 31-7-2001. Under the orders of the Court, the District Magistrate, Mirzapur and District Magistrate Sonbhadra were given supurdgi of the assets.

7. An application No. 47788 of 2001 (A-31) was filed by the State Government on 15-7-2001 to direct the OL to take appropriate steps in the light of the order passed by the Court on 8-12-1999 and to give due consideration to the offer made by M/s. Grasim Industries Ltd. so that liability of the company may be discharged and the interest of workmen and other staff be protected. The Allahabad Bank a secured creditor opposed the application supported by the affidavit of Shri Hari Krishna, the Secretary, Heavy Industries, Government of U.P. Lucknow. It was stated that the advertisements were published by the State Government in newspapers inviting tenders for taking over cement plants of the company (in liquidation). These advertisements were published in 'Economic Times' and 'Business Standard' dated 10-2-2001 and 12-2-2001 offering the assets and a number of reliefs and concessions to be granted by the State Government. The then Advocate General appearing for State Government submitted that the GUP adopted a transparent process of sale in which three Cement Companies initially showed interest. However, finally M/s. Grasim Industries Limited made an offer for the assets totalling Rs. 241 crores. The Sale Committee comprising of Commissioner of Industrial Development as Chairman; the Secretary, Small Industries Development; the Secretary, Finance Department; the Secretary, heavy Industries and Managing Director, UPSIDC processed the sale. The reliefs and concessions and the assets on offer were clearly stated in the advertisement and the 'Memorandum of Information' (MOI) including guidelines for submitting the tenders. The reliefs and concessions included the renewal of limestone leases in favour of the company. The State Government offered limestone leases of Ninjha and Kajrahat, with more than hundred million tones of limestone deposits adjacent to the mill factory side.

8. During the course of hearing, the Court summoned cabinet proceedings for appreciating concerns of the banks; financial institutions and the offer of M/s. Grasim Industries Limited. After going through the entire proceedings, it was noticed by the Court in its order dated 14-2-2002, that after the winding up



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of the company, the assets can only be sold by the OL. The State Government, which is the promoter and holds the entire share capital, was not competent to advertise the assets for sale. The submission, that the recommendations to exclude 254 acres of land, building and factory at Churk and 564 acres of land at Ghurma from the sale of assets as limestone was not available at these places, valued at Rs. 30 crores, was not proper as the entire assets of the company (in liquidation) were to be sold. The submissions of Shri R.P. Goel, the then Advocate General, that the sale was fair and transparent, was not accepted and as such the sale could only be made by the OL under Section 457(1)(b) of the Act.

9. On an enquiry made by the Court, as to whether GUP will have no objection, if the Court explores the possibility for higher bid, the Advocate General submitted that in such case GUP will have no objection. The Court was not satisfied with the statement and required GUP to place on record the 'no objection' in form of an affidavit. Shri S.N. Shukla, Industrial Development Commissioner, UP filed his affidavit dated 1-1-2002 in compliance with the order dated 2-1-2002.

The contents of this affidavit as reproduced in the order dated 14-2-2002 are:—

- “(1) That the deponent is presently posted as Industrial Development Commissioner and Principal Secretary, Government of U.P. Lucknow and as such he is fully acquainted with the facts deposed to below.
- (2) That the present affidavit is being filed in compliance with the order dated 20-12-2001 passed in the aforesaid matter, by the Hon'ble Court.
- (3) That the State Government's primary concern has been revival of unit at the earliest though privatization in the interest of the workers. The idea is not merely disposal of assets by their transfer to a purchaser who has the necessary resources, competence and experience to run the unit.
- (4) That the offer of M/s. Grasim Industries has been received after open public tender and they are one of the largest cement producers in the country.
- (5) That the request made by the State Government to the Hon'ble Court was by way of helping and assisting the Liquidator in the disposal of the Company's property under Section 457(1)(c) to save time instead of initiating the process afresh at his level.
- (6) That the State Government has no objection to this Hon'ble Court exploring the possibility of a higher bid and the State Government would in that event extend the same reliefs and concessions as those offered to M/s. Grasim Industries. However, it is submitted that the following concerns of the State Government may kindly be also kept in view while taking a decision in this regard:—
 - (i) The process of restarting the Unit may not get unduly delayed.
 - (ii) There is no guarantee for a higher bid and meanwhile we may loose the offer already received.
 - (iii) Besides, the bid amount, the resources, competence, experience and the commitment of the bidder to run the unit also has to be kept in view.
- (7) That, however, in case it is decided to re-tender then the present offer of M/s. Grasim Industries should remain valid and the amount offered by them should be kept as the minimum reserved price, Moreover in case any higher bid is received in all fairness M/s. Grasim Industries may be given the first option to purchase the property at that price.
- (8) That besides the State Government the consent of the Financial Institutions and Banks to extend similar accommodation the new purchaser is also necessary.”



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10. The Court did not accept the submissions that the sale of the assets of the company (in liquidation) under Section 446 of the Companies-Act 1956 will take 20 years of time. It was noticed that the State Government was fully aware of the fact that the company was wound up and that all its assets were in possession of the Court under Section 456 (3) of the Act. The application was consequently rejected with directions to constitute a 'Asset Sale Committee' (ASC) consisting of the OL as Chairman; a nominee of IDBI not below the rank of Deputy General Manager; a nominee of State Bank of India not below the rank of Chief Manager; Industrial Development Commissioner and Principal Secretary, Government of U.P. or his nominee not below the rank of Secretary in the Government of U.P. The sale was to be carried out by making wide advertisement in global markets after approval of draft advertisement from the Court. The tender document prepared by the State Government was to be considered as a basic document for such purpose with modifications and changes to be considered by ASC with approval of the Court. Apart from global tender, invitation was to be sent to all leading cement manufacturers in the country. All the prospective bidders were to be allowed inspections and bids

to be received in sealed covers with reserve price of Rs. 271 crores (Rs. 241 crores offered by M/s. Grasim Industries Limited and the assets of Rs. 30 crores which were excluded by the State Government).

THE SALE OF ASSETS

11. The assets were valued by M/s. A.F. Ferguson and Company in 1995. Shri N.K. Agarwal valued the assets in the year 2001. The Special Appeals were filed by the State Government; Allahabad Bank and M/s. Grasim Industries Ltd. against the order dated 14-2-2002 rejecting the proposal of the GUP for accepting the sale in favour of M/s. Grasim Industries Limited. In pursuance of the orders passed in Special Appeal, the assets were re-valued for the second time by G.S. Birdie in 2003. In the course of hearing of the Special Appeals, some offers and counter offers were made in the Court. The Bench, hearing the Special Appeal No. 271 of 2002 by Grasim Industries and Special Appeal No. 316 of 2003 by State of U.P., however, did not accept these offers and that on 20-12-2004 the Special Appeals were dismissed and all the matters were remitted to the Company Judge for carrying out advertisement and sale. On 28-4-2004, the matter was nominated to this Court by Hon'ble Mr. Justice T. Chatterji, the then Chief Justice of the Court.

12. The suggestion of IDBI to engage professional agency for sale of assets was rejected. The global advertisements were carried out in newspapers covering the entire globe. Tie advertisements were also placed on interest. On the recommendations of the ASC, the bid was invited in two parts. The bidders were required to submit 'Expression of Interest' with their qualifications, which were settled in the guidelines and which included expertise of the purchasers in manufacturing cement company and the financial capacity to pay the earnest money. The four bidders expressed their interest. The ASC in its meeting dated 4- 12-2005 found that all the four bidders which had taken intensive inspections were qualified having a turn over of more than Rs. 1000 crores and expertise in manufacturing and sale. All the four bidders deposited Rs. 10 crores each as earnest money. Before the date of financial bidding dated 16-11-2005, the bidders made certain queries with regard to reliefs and concessions and delivery of physical possession of the assets and the benefits to be given to the ex-workmen. The Court found that tender document running to more than thousands pages with report of geological surveys and three valuation reports, disclosed all the details; the stage of further query was over and that the parties may bid on the



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material available on record. The ASC under the orders of the Court dated 5-10- 2005 held its meeting to satisfy the queries. In the pre-bid meetings in the chambers dated 5-12-2005 and 16 -1-2005, the Court satisfied some of the queries of the bidders. The matter was taken in Special Appeal. By a long and detailed judgment in Special Appeal No. 1465 of 2005 and all other connected appeals were dismissed by Divisional Bench on 16-1-2006.

13. With the consent of all the parties, the matter was taken up in chambers for financial bidding. All the four bidders desired to submit bids in seal tenders and decided not to do competitive bidding. They were required and filed their Board resolutions that they will participate in the bidding only by seated tender with no further competitive bidding. On 31-1-2006, the bids were opened in chambers. M/s. Jaiprakash Associates Ltd. (JAL) with the bid of Rs. 459 crores was found to be the highest bidder. M/s. Dalmia Cement (Bharat) Limited was the next highest bidder with an offer of Rs. 376 crores. M/s. Lafarge (India) Private Limited with its bid at reserve price of Rs. 271 crores was found the third highest bidder. M/s. Grasim Industries Limited did not offer any bid. The highest bid of JAL with a difference of Rs. 83 crores of the next bid was accepted by the Court. JAL deposited 25% of the offer on 15-2-2006 and made an offer to deposit the balance in three instalments, the last of which was to be paid on 19-9-2006. The offer was

accepted with the condition that the JAL will furnish bank guarantee for the remaining amount. The required bank guarantee was furnished. The JAL deposited the first two instalments in time. The time for the third instalment due on 19-9-2006 was extended to 20-9-2006. The JAL deposited the last instalment on 11-10-2006 within the extended time and the sale was confirmed in presence and with the consent of all the secured creditors and the workmen appearing through their Union leaders and representatives.

14. In the meantime, the Court was engaged almost every week in the process and finalisation of provident funds account; taking over of the schools and hospitals, giving directions for summoning and preservation of records for mapping and identifying the assets including mines spread over about 80 Kms area in Churk, Dalla, Ghurma and Chunar in the districts of Sonbhadra and Mirzapur.

15. After the deposit of the second instalment the Court found that since it would take a long time for inviting and settling the claims of about 6000 workmen, secured and unsecured creditors and Government dues, directions were issued to the OL to advertise inviting claims under Rule 148 of the Companies (Court) Rules, 1959 (Rules of 1959). The last date of receiving the claims 'proof of debts' was extended upto 31-7-2006.

16. The Court appointed a Settlement Claims Committee (SCC) chaired by Shri K.P. Misra (HJS), retired District Judge, Shri Amit Ray and Company, Chartered Accountants' and Shri Shahid Kazmi, Advocate and provided them office space in the office of the OL. computers and requisite staff to assist OL to adjudicate the claim. The SCC collected all the claims, classified and categorised them and after seeking clarifications from the OL and the Court, prepared a report in 122 days and submitted the same to the Court on 2-12-2006. There were certain clerical mistakes, which were corrected in the corrected report dated 4-12-2006.

17. The sale was confirmed on 11-10-2006. The Court accepted the reports submitted by the SCC, which were duly considered approved and forwarded by the OL with his report No. 348 of 2006, to be advertised inviting objections. The order dated 4-12-2006 inviting objections is quoted as follows:

"Present Shri Ashok Mehta, learned counsel appearing for the Official Liquidator, Shri S.K. Saxena, the Official Liquidator (OL) and Shri B.K.L. Srivastava, Deputy Official Liquidator, and the members of the Liquidation Claims



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Committee, Shri K.P. Misra (Retired District Judge), the Chairman of the Committee, Shri Amitava Ray, the-Chartered Accountant and Shri Shahid Kazmi, Advocate, members.

The U.P. State Cement Corporation (In Liq.) was wound up by this Court on 8-12-1999. The application of the State Government for sale through the advertisement carried out by the State Government was rejected on 14-2-2002, with direction to constitute an Asset Sale Committee and then invite expression of interest for tenders by global advertisement. The order was stayed in special appeal for about two years. The special appeals were dismissed in January, 2006. The Court, thereafter, constituted an Asset Sale Committee (ASC) including the representative of the State Government and creditors, and invited, expression of interest, by making advertisements covering entire globe. The modalities of sale recommended by ASC were worked out and finalised. The OL then invited expression of interest by making global advertisement with reserve price of Rs. 271 crores and earnest money deposited of Rs. 10 crores.

The ASC received expression of interest from five major players out of which four were shortlisted as they were found to possess qualifications for bidding. The bidding preceded application for further clarification. The matter again went up in special appeal. The special appeals were dismissed on 16th January, 2006. The bids were opened on 30-1-2006. M/s.

Jaiprakash Associates Ltd. was declared to be highest bidder with an offer of Rs. 459/- crores for the entire assets on, as is where and whatever there is basis with the second higher officer of Rs. 376/- crores. The highest bidder requested for time to pay the entire amount in four installment, the last of which was to fall on 15th Sept., 2006.

The last installment was received and the sale was confirmed on 11-10-2006. The Court expected thousands of workmen, creditors and unsecured creditors to make their claim, and thus advertisements were made inviting claims by 15th June, 2006 before confirmation of sale, which was extended up to 31-7-2006.

A Liquidation Claims Committee (LCC) was constituted for assisting the Official Liquidator with special staff and office automation to complete the task.

The OL's report No. 348 of 2006 presented today, in pursuance of the order passed on 29-11-2006, has accepted the recommendation of the final report of the LCC for settlement of the claims, to be accepted by the Court.

The Claims Committee has submitted a report in two envelopes, which is placed today in chambers under sealed cover.

The main features of the report in paragraphs 7 to 15 are as follows:—

7. That the position of claims received, rejected, admitted, amount claims and amount admitted as per Ss. 529-A, 530 have been given in detail with the amount in the report.

8. That the main feature of the report has been found that the Committee has also considered three months salary as retrenchment compensation as per S. 25-FFF of the Industrial Disputes Act, 1947 and gratuity. Further in order to maintain uniformity the Committee has decided to grant Rs. 2299/- as bonus to all workmen due to which the amount admitted for payment have become more in some of the cases than the amount claimed by the workmen.

9. That the retired employees have' been considered by the Committee for statutory retirement benefits on the basis of the order passed by Hon'ble Supreme Court, Hon'ble High Courts, other Courts, Industrial Tribunals and Arbitrators.



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10. That there were only six secured creditors i. e. (1) IDBI (2) LIC (3) IFCI (4) State Bank of India (5) Allahabad Bank and (6) Kotak Mahindra Bank Ltd. (for ICICI).

11. That the secured creditors have been allowed interest @ 11% up to the date of winding up order and thereafter @ 4% up to 31-7-2006.

12. That the claim of U.P. Power Corporation has also been considered by the Claims Committee. Since no proper documents regarding total power units consumed was available, the Committee has considered the claim of U.P. Power Corporation @ 50% of the arrears so claimed up to 31-3-1999 and from April, 1999 to May, 2006 it has considered to pay 60% of the amount for Dalla residential colony. For other units of the company at Churk and Gurma colony the committee has considered 100% of the claim against the units of electricity consumed.

13. That as regards to Mirzapur Division which is having Chunar residential colony and water pump the committee has recommended 100% of the claimed amount for power consumption.

14. That in regard to gratuity to employees the Committee has recommended payment of Rs. 3,50,000/-.

15. That as regards to unsecured creditors the Committee appears to have considered only principal amount and the interest has not been accepted for payment."

The Official Liquidator with the help of the Liquidation Claims Committee considered 6210 claims including the claims of 5918 workmen; 3 claims of EPF Commissioner; 6 of secured creditors; 3 of employees; 111 of Government; 1 of UPPCL and 168 of unsecured creditors. It has rejected the claim of 393 workmen, 14 of Government and 31 of unsecured creditors. Out of total amount claimed of Rs. 14,74,47,44,498/- (Rupees one thousand four hundred and seventy four crores forty seven lacs, forty four thousand four hundred and ninety eight), recommendations have been made to pay the dividend of total amount of Rs. 03,21,04,55,294/- (Rupees three hundred and twenty one crore four lacs fifty five thousand two hundred and ninety four). This leaves balance of Rs. 01,13,95,44,706/- (Rupees one hundred and thirteen crores ninety five lacs forty four thousand seven hundred and six) with the Official Liquidator.

Out of total sale proceeds of Rs. 459 crores, the Official Liquidator has considered Rs. 435 crores for distribution. The remaining amount is required for taxes, Government fee, commissions, security expenses, advertisements, staff salary and other expenses.

Rule 163 of the Companies (Court) Rules, 1959 provides for communication of acceptance of objection of the proof:—

“Rule 163 : Acceptance or rejection of proof to be communicated. — After such investigation as he may think necessary, the liquidator shall in writing admit or reject the proof in whole or in part. Every decision of the Liquidator accepting or rejecting a proof, either wholly or in part, shall be communicated to the creditor concerned by post under certificate of posting where the proof is admitted and by registered post for acknowledgment where the proof is rejected wholly or in part, provided that it shall not be necessary to give notice of the admission of a claim to a creditor who has appeared before the liquidator and the acceptance of whose claim has been communicated to him or his agent in writing at the time of acceptance. Where the liquidator rejects a proof, wholly or in part, he shall state the grounds of the rejection to the creditor in Form No. 69. Notice of admission of proof shall be in Form No. 70.”



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Though workmen are also creditors it is neither practical nor feasible to communicate the admission or rejection of the claims to each of the 5525 workmen, whose claims have been admitted and 393 workmen, whose claims have been rejected. The Court, therefore, in exercise of power under R. 6 read with R. 9 of the Companies (Court) Rules, 1959, directs that all the workmen, whose claims have been admitted or rejected may be communicated of the order, by publication in leading newspapers in the area, with a right to inspect the reasons for rejection or admission of their claim in whole or in part. In case an individual workman requires such admission or rejection in writing, he shall be given the same by the Official Liquidator within 48 hours.

With regard to all other categories of claims including EPF Commissioner, secured creditors, employees, Government, UPPCL and unsecured creditors, the order of admitting their claim to proof either in whole or in part or the rejections, either whole or in part shall be individually communicated. The admission of their claim to proof shall be communicated by certificate of posting and the rejection by registered post along with Form No. 69 or Form No. 70 as the case may be. The Official Liquidator has requested for one week time for this purpose. Let the advertisement be made and the UPC covers and registered covers be sent on or before 11th December, 2006 inviting objections by 26th December, 2006. The communication shall also be made on the notice board of the factories in Dalla, Churk, Chunar and Gurma.

All the objections shall be compiled, categorised and placed before the Court on 3-1-2007.

In case any workmen or creditor wants to accept the amount admitted to proof, without any objections and gives a certificate that he is accepting the amount in full and final payment, and shall not make any objection to the same, shall be paid the money by account payee cheque. In case of workmen occupying the quarters, these cheques shall be given as and when they vacate the accommodation and give proof of the vacation and the accommodation taken over jointly by the representative of the Official Liquidator and J.P. Associates Ltd.

The Court expresses its deep appreciation to the Official Liquidator, his staff; the Liquidation Claims Committee and its staff for completing the task of accepting, categorising, adjudicating and deciding the claims submitted by 6210 claimants within the period of 124 days. They have done a commendable job, for expediting the payments to the workmen and creditors, who have been looking for the settlement of their dues for last seven years.

List in chambers on 3-1-2007 at 2.00 p. m."

18. The hearing on the objections/appeals under R. 164 of the Companies (Court) Rules, 1959 commenced on 3-1-2007 and has proceeded on day-to-day basis. The Court has heard Shri P.N. Saxena, Senior Advocate assisted by Shri Amit Saxena; Shri B.D. Mandhyan, Senior. Advocate assisted by Shri Satish Mandhyan; Shri Umesh Narain Sharma, Senior Advocate, assisted by Shri Chandan Sharma, Advocate; Shri V.K. Upadhyay, Shri Ravi Kant, Senior Advocate assisted by Shri Ajai Krishan for the workmen.

THE 'RELEVANT DATE' ON WHICH THE DISTRIBUTION OF DUES HAVE TO BE CONSIDERED

19. The winding up of a company by the Court shall be deemed to commence under S. 441(2) of the Act at the time of presentation of the petition for winding- up. In case of a reference under S. 20(1) of SICA by the BIFR, the winding up commences on the date when the Company Judge applies his mind to initiate proceedings relying on the order of BIFR. In *NGEF Ltd. v. Chandra Developers (P) Ltd.*



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(2005) 8 SCC 219 : (2005 CLC 1602) the Supreme Court held in para 50 as follows:—

"50. We may, however, observe the opinion of the Division Bench in PBL Ltd. to the effect that the winding up proceeding in relation to a matter arising out of the recommendations of BIFR shall commence only on passing of an order of winding up of the company may not be correct. It may be true that no formal application is required to be filed for initiating a proceeding under S. 433 of the Companies Act as the recommendations therefore are made by BIFR or AAIFR, as the case may be, and, thus, the date on which such recommendations are made, the Company Judge applies its mind to initiate a proceeding relying on or on the basis thereof, the proceeding for winding up would be deemed to have been started; but there cannot be any doubt whatsoever that having regard to the phraseology used in S. 20 of SICA that BIFR is the authority proprio vigore which continues to remain as custodian of the assets of the company till a winding up order is passed by the High Court."

20. In the present case, the reference dated 2-7-1997 under S. 20(1) of SICA to wind up the company (in liquidation) was received by the Court on 16-7-1997 and was registered as Misc. Company Application No. 4 of 1997. The Court, by its order dated 3-9-1997, applied its mind to the report and directed notices to be sent to the U.P. State Cement Corporation Ltd. (in liquidation) by registered/AD fixing 15-10-1997. The proceedings, however, were adjourned on 15-10-1997 on information that the order of BIFR has been challenged in AAIFR and that its operation was stayed. The appeal was thereafter dismissed by AAIFR on 19-2-1998. The winding up in this case as such shall be deemed to commence on 3-9-1997 when the Company Judge applied his mind and issued notices to the company (in liquidation) to show cause as to why it should not be wound up.

21. On making of a winding up order, the petitioner in the winding up proceedings and the

company is required under S. 445(1) to file a certified copy of the order within 30 days with the Registrar of Companies. Sub-section (3) of S. 445 provides that such orders shall be deemed to be notice of discharge to the officers and employees of the company except when the business of the company is continued. Section 445 of the Act is quoted as below:—

“445. Copy of winding up order to be filed with Registrar. — (1) On the making of a winding up order, it shall be the duty of the petitioner in the winding up proceedings and of the company to file with the Registrar a certified copy of the order, within (thirty days) from the date of the making of the order.

If default is made in complying with the foregoing provision, the petitioner, or as the case may require, the company, and every officer of the company who is in default, shall be punishable with fine which may extend to one hundred rupees for each day during which the default continues.

(1-A) In computing the period of (thirty days) from the date of the making of a winding up order under sub-section (1), the time requisite for obtaining a certified copy of the order shall be excluded.

(2) On the filing of a certified copy of the winding up order, the Registrar shall make a minute thereof in his books relating to the company, and shall notify in the Official Gazette that such an order has been made.

(3) Such order shall be deemed to be notice of discharge to the officers and employees of the company, except when the business of the company is continued.”

22. In the present case, the company (in liquidation) had closed its mining operation and production of cement in all its factories before the commencement



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of the winding up proceedings. On the date of winding up order i. e. 8-12-1999 the business operations of the company were closed. The proceedings of the meetings of the Managing Director of the company with the General Managers of Churk; Dalla and Chunar units dated 22-3-2000 and 1-4-2000 do not show that the company (in liquidation) was carrying out any business. In the meeting dated 1- 4-2000, it was noticed that the ‘statement of affairs’ was filed on 6-3-2000 and that union managements were directed not to make any expenditure whatsoever from the bank account of the Corporation. They were required to submit minimum estimated expenditure for approval of the OL. The unit managements ‘were required to take all possible measures at their level to protect and safeguard the various movable and immovable properties/assets of the Corporation and to finalise the annual account. The company was not carrying out any business on the date when the winding up order was made and as such the date of winding up shall be deemed to be the notice of discharge to the officers and employees of the company. The winding up order was not challenged in appeal and thus the winding up will take effect on the date it was made by the Court i. e. 8-12-1999.

23. The winding up order, under S. 446 of the Act of 1956, operates to stay all suits and proceedings by or against the company except leave of the Court. It has an effect under S. 447 to operate in favour of all the creditors, and all the contributories of the company as if it had been made on the joint petition of a creditor or of a contributory. The ‘statement of affairs’ is to be filed with the OL under S. 454 of the Act of 1956. The liquidator in a winding up by the Court shall have powers with the sanctions of the Court under S. 457 of the Companies Act, 1956 to institute or defend, suit, prosecution, or other proceedings to carry on the business of the company so far as may be necessary for the beneficial winding up of the company to sell the movable and immovable properties or accountable claims of the company by public auction or by private contract with power to transfer the whole thereof to any person or body corporate or to sell the same or partial to raise on the security of the assets of the company, any money requested; or to

do all such thing as may be necessary for winding up the affairs of the company and distributing its assets. The other powers to execute documents, inspect records, etc. are provided under sub-section (2) of the S. 457. These powers are guided under S. 460 subject to directions that may be given by resolution of the creditors and contributories and under overall supervision of the Court. The OL is keeper of the records and subjects them to audit under Ss. 461 and 462 of the Act. The committee of inspections may be appointed under S. 464 under the orders of the Court. The general powers of the Court are given under S. 466 of the Companies Act which include the powers to stay the winding up proceedings and under S. 467 for settlement of the contributories and applications of the assets.

24. The Court may order the delivery of the property to the liquidator and to summon persons suspected of having properties of the company and for public examination of promoters and directors under Ss. 468, 477 and 478 of the Companies Act, 1956.

25. The distribution of property of the company (in liquidation) under S. 511 of the Act is subject to the provisions of the Act to preferential payments, the assets of the company, shall on its winding up be applied in satisfaction of its liabilities *pari passu* and unless the articles otherwise provide be distributed among the members according to their rights and interest in the company. The proof and ranking of claims; application of insolvency rules; overriding preferential payments and preferential payments are provided in Ss. 528, 529, 529-A and 530 of the Act of 1956. Chapter V provides for its applicability to every mode of winding



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up. The OL may call proofs of debts of creditor, notwithstanding that the accounts book contain the entries which *prima facie* satisfies him with the indebtedness of the company to the creditors. The provisions of the Act and the Companies (Court) Rules, 1959 for payment to the creditors and the workmen which are also ranked as secured creditors with preferential rights, unsecured creditors and Government dues are to be considered while deciding the objections to the report of the OL.

26. The claims of the secured creditors, workmen, unsecured creditors, Government dues, and employees provident fund have to be considered out of the realization of the assets of the company. The expenses for liquidation including security, valuation, advertisement, expenditure of Asset Sale Committee and on Liquidation Claims Committee, litigation expenses, audit fees, income-tax, maintenance and all other expenses which were necessary to be incurred for maintenance of the assets including watch and ward, supply of water and electricity to the colonies, salary and other expenses of teachers and the medical facilities offered to the 6000 employees living in factories colonies, is the first charge on the assets of the company (in liquidation) under R. 338 of the Companies (Court) Rules, 1959 made by Hon'ble Supreme Court of India after consulting the High Courts under sub-sections (1) and (2) of S. 643 of Companies Act, 1956. The Rules are supplementary to the Act of 1956 and provide for the statutory procedure for sale of assets and distribution of the proceeds of the sale. Rules 147 to 179 lay down elaborate procedure for estimating and finally assessing the company's liabilities as on the relevant date. The liquidator is required to give notice under R. 148 of not less than 14 days fixed by the advertisement to be published in daily newspapers, to prove their debts required under R. 149. The proof is to be submitted on affidavit verifying the debts giving statement of account showing particulars of the debts and the vouchers by which the same may be substantiated. These affidavits are to be in Form 66. The workmen may, under R. 152, submit one proof in Form 67 for all the claims annexing therewith a schedule setting forth their names and amounts severally due to them. Rule 154 provides that the value of debts and claims against the company shall, as far as it is possible, be estimated according to the value thereof on the date of the order of winding up of the company or where before the presentation of the petition for winding up. A

resolution has been passed for voluntary winding up on the date of passing of such resolution. Rule 156 provides for interest to the creditors which shall not exceed 4% per annum to that date from the time when the debts or sum was payable. If the debt or sum is payable by virtue of written instrument at a certain time and if payable otherwise then from the time when a demand in writing has been made. Rule 156 providing for interest payable to the creditors including workmen and Rule 179 which provides for payment of subsequent interest from the date of winding up as follows:

“156. Interest. — On any debt or certain sum payable at a certain time or otherwise, whereon interest is not reserved or agreed for and which is overdue at the date of the winding up order, or the resolution as the case may be, the creditor may prove for interest at a rate not exceeding four per cent, per annum up to that date from the time when the debt or sum was payable, if the debt or sum is payable by virtue of a written instrument at a certain time, and if payable otherwise, then from the time when a demand in writing has been made, giving notice that interest will be claimed from the date of demand until the time of payment.

179. Payment of subsequent interest. — In the event of there being a surplus after payment in full of all the claims admitted to proof, creditors whose proofs have been admitted shall be paid interest from the date of the winding up order or



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of the resolution as the case may be, up to the date of the declaration of the final dividend, at a rate not exceeding 4 per cent, per annum, on the admitted amount of the claim after adjusting against the said amount the dividends declared as on the date on the declaration of each dividend.”

27. The OL is required to examine every proof of debt under R. 159 and may summon any person for investigation under R. 160. He may administer oath and take affidavits under R. 161 and may accept or reject the proof which shall be communicated under S. 163 to those whose claims have been accepted under certificate of posting or by registered post where proof is rejected wholly or in part. A creditor may appeal under R. 164, if he is dissatisfied with the decision of the liquidator in respect of his proof, not later than 21 days from the service of the notice upon him of the decision of the liquidator before the Judge. The OL is required to file proof and list of the creditors in Court under R. 167 which shall be verified except in accordance with the order of the Court. The list can be inspected under R. 169 and some times can be requested for verification of such proof. After hearing the evidence, which may be tendered the Court shall under R. 174 adjudicate upon the claims and settle the list of creditors. Any mistake may be corrected on application of the liquidator under R. 176. The power of condoning the delay is provided under R. 177 of the Rules of 1959.

28. All the company appeals, under R. 164 raising grounds by way of the objections to the reports submitted by the Official Liquidator with the help of the SCC regarding proof of debts, were heard for days altogether, Shri Ravi Kant, Senior Advocate assisted by Shri M.K. Pandey represented Udai Narain Singh and 75 other workmen of Churk and Dalla in Company Appeal No. 0-35/2007. Shri B.D. Mandhyan, Senior Advocate assisted by Shri Satish Mandhyan, appeared for 17 workmen including 12 of the hospital staffs. Shri P.N. Saxena, Senior Advocate assisted by Shri Amit Saxena appeared for nine workmen of Chunar and Dalla. Shri Ashok Kumar Srivastava appeared for Shri Raghunath Singh and 20 others of Dalla representing those who were engaged in supply of electricity and water to the residential colonies of the company (in liquidation). Shri V.K. Upadhyay appeared for Umesh Vikram Singh. Shri Chandra Bhan Gupta for Dina Nath Chaube and Subhash claiming an amount payable to them under award for Adjudication Case No. 9 of 1984 by Industrial Tribunal dated 22-1- 1985 including 122 workmen. Shri Ajai Krishna and Dipti Srivastava appeared in Company Appeal No. 0-28 by Paras Nath Cement Pvt. Ltd. unsecured

creditors, Shri W.H. Mian appeared for UP Power Corporation and Shri Dhananjai Awasthi for Employees' Provident Fund Commissioner. Shri Ashok Mehta, representing Official Liquidator, in these proceedings has given valuable assistance to the Court. He was present throughout the hearing of the matters and he produced the relevant record, whenever required by the Court and was present during marathon, hearing of the appeals.

29. As observed above, the claims of hospital staff and the employees concerning to watch and ward or deputed to supply water and electricity to the residential colonies shall be considered out of the liquidation amount which is first charge on the assets and has been separated from the distribution. Their claims, however, as workmen up to the date of winding up shall be considered by the Court.

THE WORKMEN OF THE CORPORATION (IN LIQ.)

30. The submissions by the learned counsel for workmen raised following issues:—



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- 1) Whether the OL had committed errors in admitting of the claims of the workmen to proof?
- 2) Whether the Official Liquidator could have relied upon details of the pay scale submitted by Shri Harendra Pandey in Writ Petition No. 15134 of 1998 for admitting the claims of workmen?
- 3) Whether the workmen are entitled to any compensation for voluntary retirement claimed by them as VRS?
- 4) Whether the workmen are entitled to claim wages up to 31-7-2001 when the possession of the units was taken over by the OL?
- 5) Whether the workmen are entitled to any arrears of salary prior to 12-7- 1998 when they received last salary from the grants given by the State Government?
- 6) Whether workmen are entitled to retrenchment compensation calculated at 15 days salary for every completed year of service or a fixed retrenchment compensation of three months' salary and under S. 28-F of the Industrial Disputes Act, 1947?
- 7) Whether the workmen are entitled to one month's notice pay treating them to be retrenched under S. 25-F of the Industrial Disputes Act, 1947?
- 8) Whether the workmen are entitled to interest @12% or interest not exceeding the rate of 4% on the wages from the winding up till the last date of submission of proofs or any other date subsequent to thereof?
- 9) Whether the workmen are entitled to bonus in addition to the bonus of Rs. 2499/- awarded at flat rate for the year 1993-94?
- 10) Whether workmen dues are barred by limitation?

Issue No. 1 Whether the OL had committed errors in admitting of the claims of the workmen to proof.

31. The SCC reports that many claims (proof of debt) made by the workmen were incomplete. The records of each unit after their identification were brought under the orders of the Court, under special security. The claims along with proof were verified with the help of records. Still many mistakes have crept in by way of bona fide errors. It appears either there were some mistakes in the claims forms or in the records and that it is also possible that while verifying the claims and punching them on computers some more mistakes crept in preparation of the report. The OL states that some of the mistakes were corrected before the final corrected report was submitted on 2-12-2006. He, however, candidly admits that there are some more mistakes, which are being worked out. He has submitted the detailed chart in which these mistakes have been corrected.

32. The mistakes made by the SCC can be classified in the following categories:—

- a) Pay scale admitted of the workmen.
- b) The calculation in gross wages.
- c) The number of years the workmen had worked for the purposes of calculating retrenchment compensation and gratuity.
- d) Duplicate claims by the wife/wives or heirs and legal representatives of the workmen who have since died.
- e) The date of appointment and the date of retirement of the workmen.

33. The OL is directed to correct all the mistakes, which may have crept in verifying the claims. Let all these mistakes be removed in the final report which is to be prepared in pursuance of the directions, which are likely to be issued in



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operative portion of this order.

Issue No. 2 : Whether the Official Liquidator could have relied upon details of the pay scale submitted by Shri Harendra Pandey in Writ Petition No. 15134 of 1998 for admitting the claims of workmen?

34. All the learned counsels appearing for the objectors/appellants submits that the manpower summary prepared and annexed along with affidavit of Shri Harendra Pandey in Writ Petition No. 15134 of 1998 with regard to the categories of employees and the pay scales are admitted. They have not placed on record any other manpower summary of the workmen and employees of the company (in liquidation). This manpower summary also gives the gross salary given by the various categories of employees. The SCC has taken manpower summary annexed to the affidavit of Shri Harendra Pandey as the basis after verification from the records for verifying the claims of the workmen. The Court does not find that the method adopted by the SCC was incorrect.

Issue No. 3 : Whether the workmen are entitled to any compensation for voluntary retirement claimed by them as VRS?

35. The offer made by M/s. Grasim Industries Limited to the State Government in pursuance of the advertisement made by the State Government included a package offered to the workmen and employees of the Corporation towards voluntary retirement. The argument that workers are entitled to VRS proceeds on the basis of offer made by the Grasim Industries Limited. This offer was not accepted by the Court. The assets were thereafter put to sale and that the proceeds of the sale are available for distribution. In such case, the provisions of Ss. 528, 529, 529-A, 530 of Companies Act are applicable. The workmen have to be paid their dues. The word 'workmen' is defined under S. 529-A(3)(a) in relation to a company, the employees of the company being workmen within the meaning of Industrial Disputes Act, 1947. Sub-section (b) defines the 'workmen's dues' which include all wages and salaries, all agreed holiday remuneration and all sum dues to any workmen from provident fund, a pension fund, a gratuity fund or any other funds for the welfare of workmen maintained by the company. Sec. 529-A inserted by the Act No. 35 of 1985 provides for overriding preferential payments and treats the workmen's dues and debts due to the secured creditors to the extent such debts rank under Cl. (c) of the proviso to sub-section (1) of S. 529 pari passu with such dues in priority to other debts. These debts are to be paid under sub-section (2) in full unless the assets are insufficient to meet them in which case they shall abate in equal proportion. Section 530 provides for preferential payments. The employee in this section do not include workmen. The scheme of distribution of realised assets does not provide for any payment towards voluntary retirement. The compulsory winding up of the petition does not result into voluntary retirement of the workmen or employees. It amounts to closure of the industrial company by an order passed by the Court. In certain circumstances referred to under S. 433 of Companies Act, 1956 or under S. 20 of SICA, there is no question of

retirement in such case. The voluntary retirement scheme is worked out by way of an agreement with workmen in negotiated settlement. It is by way of offer and acceptance worked out with the help of industrial adjudication. In case of distribution of assets subject to proof of claims to the workmen treated as a secured creditors in overriding preferential payments, the question of voluntary retirement does not arise.

Issue No. 4 : Whether the workmen are entitled to claim wages up to 31-7- 2001 when the possession of the units was taken over by the OL?

36. The workmen are not entitled to wages or compensation after the date of winding up. In paragraphs 22 to 30 that the relevant date for distribution of the



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dues is the date when the company was wound up i. e. 8-12-1999. The workmen as such are not entitled to claim any amount after the date of winding up except those workmen who are engaged in protecting and preserving of the assets of the company (in liquidation) under the directions of the OL and the Court.

Issue No. 5 : Whether the workmen are entitled to any arrears of salary prior to 12-7-1998 when they received last salary from the grants given by the State Government.

37. Workmen and employees of the company (in liquidation) were paid their last salaries up to 12-7-1998. The company was thereafter wound up on 8-12-1999. The statement of affairs was filed on 6-3-2000 and the Official Liquidator took possession of the assets on 31-7-2001 in pursuance of the order passed by this Court.

38. The demand of the workmen or arrears can be sub-divided into three categories:—

- a) Wage board arrears.
- b) Awards of the Industrial Tribunal/Labour Courts/other Industrial Adjudicatory bodies which could not be implemented either because the company (in liquidation) did not have sufficient funds or were stayed by the High Court.
- c) Any other arrears.

(a) Wage Board Arrears.

39. Shri P.N. Saxena, learned Senior Advocate appearing for nine workmen (six of Chunar and three of Dalla) submits that the Cement Union Manufacturer Association entered into Negotiations with the Workers Federation. The Negotiating Committee consisting of Shri N. Srinivasan and Shri A.L. Kapoor held prolonged discussions with Joint Negotiations Committee of Cement Workers, on 18 and 19th June, 1996 at Mumbai. The agreement was incorporated into the 'Memorandum of Settlement' signed jointly by the representatives of the Cement Industry and Cement Workers' Federation before the Chief Labour Commissioner. Consequently the strike which was to commence from 24th June, 1996 was called off. The memorandum of settlement provided for increasing basic wages; house rent allowance; conveyance allowance; education allowance; leave travel allowance; washing allowance and dust allowance to be made effective from 1-4-1996. The dearness allowance was fixed at AICPI (1960=100) number 1500 at Rs. 2204. 30 to be verified @ 2. 05 per point for fall or rise would be paid above AICPI number 1500 (1950=100). Rate of Rs. 2. 05 will be raised to Rs. 2. 10 per point rise or fall from 1 -4-1996. The existing method of calculation of dearness allowance on quarterly basis was to continue. The rate of increments in respect of various categories of employees to be given on the next due date of increment was provided in MOU which one annual graded increment for five years of service as on 1-4-1996 or two annual graded increments above 15 years of service 1-4-1996. The settlement benefits with previous settlement of Rs. 115/- was to be added in the basic wage as special pay namely 1-4-1996 Rs. 15/-, on 1-4-1996 Rs. 40/-, on 1-4-1998 Rs. 30/- and 1-4-1999 Rs. 30/-. The settlement was to remain valid for two years. The workmen of the company (in liquidation)

entered into negotiation with the management and that by office Memorandum dated 12-3-1997, the then management of the company (in liquidation) agreed to implement Wage Board Award w.e.f. 1-2-1997. The demand for arrears of 10 months beginning from 1-4-1996 to 31-1-1997 was deferred subject to rehabilitation of the unit and improvement of the financial condition. It is relevant to state here that the matter was receiving consideration for rehabilitation in BIFR. The management and the workmen approached BIFR for implementation of the wage board award. The BIFR in its



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proceedings observed that BIFR has no role to play in the matter of settlement of upward revision of wages.

40. On 12-3-1997, the Management and the Workmen were competent to sit together and decide the question of implementation of the Wage Board Award. The workmen were represented by their authorized unions and thus the settlement was binding on all the workmen. The relevant part of the settlement, in the office Memorandum dated 12-3-1997 is quoted as below:—

“IV. Wage settlement — Implementation of Memorandum of understanding dated 12-7-1996.

The trade union representatives stressed and urged for immediate implementation of Memorandum of Settlement dated 12-7-1996. They also mentioned that the B.I.F.R. Has also now clarified that management can take a decision on their own regarding the wage settlement. The union representatives were apprised that implementation of MOS will entail additional financial burden of Rs. 45 lakhs per month and about Rs. 5 crores towards payments of arrears. In the context of critical financial position of the Company and the difficulties being experienced in raising financial resources for the rehabilitation package, the management called upon the workers to do maximum sacrifices at this juncture to save the Corporation. In the process the workers may consider to forego some of the allowances increased in the MOS or to take them later on or forego the arrears accrued against MOS.

Appreciating the critical financial condition of the Corporation, the union representatives suggested that arrears equivalent to one month salary may be paid every month with current wages. It was explained to the union representative that in case the proposal for payment of arrears in instalments is agreed to, a provision for payment of the same along with the source for meeting this committed liability has to be shown in the rehabilitation package. In the context of every critical and tight financial position and resources crunch it may not be possible to include this in the rehabilitation package.

After detailed discussions, the following agreement was reached upon between the management and the nominated union representations:

- (a) Payment of increased wages as per Memorandum of Settlement dated 12-7-1996 be implemented from the salary for the month of February, 1997.
- (b) The arrears for the period 1-4-1996 to 31-1-1997 against the MOS dated 12-7-1996 and all the arrears would be paid after implementation of the rehabilitation package. This will be decided after taking into account the financial position of the Company at that time and in consultation with the workers representatives. The union representatives also agreed that no dispute will be raised for the payment of arrears.

The union representatives further agreed that during the three years of implementation of rehabilitation package workers will not insist for any increase in wages, salaries etc. at local level/with the management.

Union representatives were impressed by the Management to dispel from their minds fear of any victimization pursuant to workers agitation for implementation of the MOS.

Since the rehabilitation package is still in the process of preparation and during this process

various alternatives, views and difficulties may crop up and therefore, it was also agreed that till all the aspects of rehabilitation package are not finalised the process of mutual consultation will be continued. The union representatives assured the management of their full and positive co-operation in the process of finalization and implementation of rehabilitation package.

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Now, therefore, in consonance with the agreement reached on 26/27-2-1997 with the nominated six representatives authorized by all the Trade Unions of the three units and pursuant to decision taken by the Board of Directors of the Corporation at the meeting held on 24-2-1996, observations dated 6-2-1997 of Hon'ble Bench III of B.I.F.R. (para No. 8) and the opinion dated 19-2-1997 of the Law Department, Government of UP, it has been decided to implement the Memorandum of Settlement under Secs. 12(3) and 18(3) of the Industrial Disputes Act, 1947 signed on 12-7-1996 by the CMA and Cement Workers before the Joint Chief Labour Commissioner (Central) New Delhi as under:

- (A) The increase in Wage/benefits as per MOS at 12-7-1996, aforesaid, as per details given in para (6) below, will be given to all eligible employees of the Corporation from the salary for the month of February, 1997 and onwards.
- (B) The arrears of Wage/benefits as per MOS at 12-7-1996 for the period 1-4-1996 to 31-1-1997 will be paid separately after completion of implementation of Rehabilitation plan of the Corporation, in instalments to be decided in consultation with the Trade Union representatives.
- (C) The following benefits under the above settlement will be given to all categories of workers of the Corporation who have been covered by the Second Arbitration Award for Cement Industry.

(1) The total emoluments of all the eligible employees shall be increased by Rs. 890/- per month with effect from 1-4-1996, as follows:

(a) Increase in Basic Wage	Rs. 285/- P.M.
(b) Increase in House Rent Allowance	Rs. 75/- P.M.
(c) Increase in Conveyance Allowance	Rs. 300/- P.M.
(d) Increase in Education Allowance	Rs. 30/- P.M.
(e) Increase in Leave Travel Allowance	Rs. 150/- P.M.
(f) Increase in Washing Allowance	Rs. 25/- P.M.
(g) Increase in Dust Allowance	<u>Rs. 25/- P.M.</u>
Total	<u>Rs. 890/- PM.</u>

(2) (a) The fixed Dearness Allowance payable from 1-4-1996 at All India Consumer Price Index Number 1500 (1960 = 100) would be Rs. 2204.30, which includes earlier fixed D.A. of Rs. 824.30 and variable D.A. For 690 points (1500-810 points) at Rs. 2.00 per point i. e. Rs. 1380.00

(b) From 1-4-1996 for every point rise or fall in All India Consumer Price Index Number, above 1500 (1960 = 100) the existing rate of variable Dearness Allowance of Rs. 2.00 per point shall be revised to Rs. 2.05 per point. The rate of variable Dearness Allowance of Rs. 2.05 per point will be further revised to Rs. 2.10 per point rise or fall 1-4-1998.

(c) The existing method of calculation of Dearness Allowance on quarterly basis would continue.

(3) (a) The Annual Increments in the respective scales of pay will be revised as follows with effect from 1-4-1996:

Grades	Present quantum of increment	Revised	quantum	of
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		increments
E	Rs. 8.00	Rs. 24.00
D	Rs. 11.00	Rs. 33.00
C	Rs. 15.00	Rs. 45.00
B	Rs. 20.00	Rs. 60.00
A	Rs. 26.00	Rs. 78.00

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TC	Rs. 13.00	Rs. 39.00
I	Rs. 16.00	Rs. 48.00
II	Rs. 20.00	Rs. 60.00
III	Rs. 22.00	Rs. 66.00
IV	Rs. 28.00	Rs. 84.00
V	Rs. 32.00	Rs. 96.00
VI	Rs. 36.00	Rs. 108.00
VII	Rs. 40.00	Rs. 120.00

(b) The revised annual increment would be given on the next due date of increment of each workmen.

(4) Such of workmen who were on the rolls of Cement Companies as on 1-4-1996 and who had completed continuous service of five years and above shall be given one additional graded increment bn 1-4-1996 in their revised pay scale as service weightage. Such of the workmen who had completed fifteen years and above continuous service as on 1-4-1996 shall be given two additional graded increment in their revised pay scales as service weightage.

(5) The earlier settlement benefit of Rs. 115.00 will be treated as basic wage and termed as special pay in stages as detailed below:—

	Special Pay	Settlement benefit
On 1-4-1996	Rs. 15.00	Rs. 100.00
On 1-4-1997	Rs. 55.00	Rs. 60.00
On 1-4-1998	Rs. 85.00	Rs. 30.00
On 1-4-1999	Rs. 115.00	Nil

As and when a portion of settlement benefit is treated as special pay, the existing settlement benefit will be reduced by such amount.

(6) The settlement is valid for a period of 4 years from 1-4-1996.

(7) All categories of workers who have been covered by the Second Arbitration Award shall continue.

(8) All the existing service conditions, benefits and privileges shall continue to be operative till revised.

(9) If any workman reaches the ceiling of his grade during the pendency of this Settlement, he will continue to draw his annual increment at the rate last drawn.

(10) The salary for the month of February, 1997 shall be computed and paid to the workers on the above basis. Arrears for the period 1-4-1996 to 31-1-1997 shall be paid separately as spelled out in para (B) above and as already discussed with the representative of workmen.

(P.L. Loi)

Managing Director
Dated March 2, 1997."

41. The Court finds that the objection of the workmen, for implementation of the wage board award, accepted vide office Memorandum dated 12-3-1997 after settlement with the workmen due to workmen, is valid. The settlement was in fact implemented and that the workmen had started receiving their salaries in terms of the settlement w.e.f. 1-2-1997 paid to them up to July 1998. The OL has considered the increase of wages with the implementation of the wage board award. The OL however, has not accepted the increments and the increased dearness



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allowance to be calculated and paid on quarterly basis. The OL committed an error in refusing to accept the settlement notified by Office Memorandum dated 12-3-1997. The OL will admit the Increments, Special Pay, Settlement Benefits, and the quarterly increased in Dearness Allowances payable to the workmen from July 1998 to the date of winding up i. e. 8-12-1999.

(b) Arrears due to workmen on account of Awards of Labour Court/Industrial Tribunal and other Industrial Adjudication Boards.

42. The OL has taken into consideration all the awards of the Labour Court and Industrial Tribunals, which were placed before him along with claims of the workmen. He has taken into consideration the awards, the implementation which was stayed by the High Court. Shri Ashok Mehta, learned counsel for Official Liquidator submits that following Awards of the Labour Court and Industrial Tribunal were not considered by the OL as the details of these Awards and the calculations of the amount was not produced and annexed with the claims. These details are as follows:—

1. Award by Industrial Tribunal, Allahabad delivered by Shri H.N. Misra in Adjudication Case No. 19 of 1984, dated 27-3-1985. This award covers 24 workmen terminated on 23-6-1980. Their termination was set aside with 75% back wages. In writ petition No. 12767 of 1985 by interim order dated 17-9-1985, this Court stayed the back wages and directed that the workmen be reinstated. The writ petition was dismissed by this Hon'ble Court on 25-5-2001. Shri Mehta submits that a computation of the award under Section 6H(i) of the U.P. Industrial Disputes Act, 1947 was made on 9-8-1985 for five workmen for Rs. 2,11,470/-. The other 19 workmen did not get apportioned. One of the workman covered under this Award is C-920 (Dalla) Shri Din Dayal.
2. Award by Labour Court, Allahabad by Shri H.N. Srivastava in Adjudication Case No. 8 of 1981, dated 9-7-1983 published on 4-8-1983. This award covers Shri Indra Deo Singh, Assistant Store Keeper, a workmen terminated on 23-6-1980. The Labour Court directed reinstatement with full back wages. In writ petition No. 13861 of 1983 by interim order dated 10-10-1985 the back wages were stayed. The writ petition was dismissed by this Hon'ble Court on 30-8-1981. In this case the workman is entitled to back wages i. e. full wages from 23-6-1980 to 4-8-1983 and half wages from 4-8-1983 till the date of reinstatement. In the interim order only half wages were stayed from 4-8-1983 to the date of reinstatement.
3. Award by Labour Court, Allahabad by Shri Hari Mohan Misra in Adjudication Case No. 9 of 1984 dated 22-1-1985. In this award 122 workmen had claimed that they be made permanent w.e.f. 22-1-1985. Writ Petition No. 9708 of 1985 filed against the award was dismissed, on 11-1-1989. By Special Leave Petition No. 8128 of 1989 against the judgment of High Court was dismissed on 7-3-1991. There is a calculation under Section 6H(1) of the U.P. Industrial Disputes Act, 1947 in respect of this award dated 30-3-1991 for Rs. 31,04,149.78 to which these 122 workmen are entitled.
4. Award in Adjudication Case No. 26 of 1988 by Industrial Tribunal Allahabad presided over by Hon'ble Mr. Justice B.P. Mathur dated 31-11-1990. This award covers 19 workmen for payment of higher grade of Rs. 110-270 w.e.f. 16-3-1978. The claim was allowed and writ

petition No. 594 of 1992 against this award was dismissed on merit on 9-4-1998. Out of 19 workmen covered under the award only 16 have applied. The OL has allowed claims of some of these workmen beginning from C-26891. It has observed that the claim of Hirawati wife of Lambodhar Prasad (C-1668) cannot be entertained as he died on 16-8-1989. She has not filed the appeal against the order and is otherwise not entitled to any amount. The rest

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of the 15 workmen, who have applied for enforcement of the award, are entitled to the amount, according to the calculation made by them.

5. Award in Adjudication Case No. 119 of 1986 by Industrial Tribunal presided over by Justice B.P. Mathur dated 5-1-1991 awarding claim of 404 workmen to be treated as permanent when they completed three years of service. A writ petition No. 30260 of 1991 was filed against the award in which the stay order was granted on 6-8-1996. The writ petition was dismissed on 24-9-2004. Recall application dated 29-7-2005 filed by the OL is still pending.

6. Out of these 404 workmen, 23 have left and 05 did not make any claim leaving 376 workmen. They are entitled to the award subject to calculation to be made as to when they are entitled to be made permanent on completing three, years of service.

43. One Shri Munna prasad, casual labour, Dalla Cement Factory, Dalla has filed an objection to the part rejection of his claim as workmen on the ground that there was an agreement between the management of the company (in liquidation) and 587 workmen, who were employed between 1971-1973 as casual labours (unit) and in 1981 as casual labours KCCP (Kajrahat Chunar Cement Project). A seniority list was issued in 1988 (Annexure No. 1 to the objection/appeal) and that all of them were working. In 1991 there was a Labour Court's award with regard to casual workmen and accordingly an agreement was entered into between the management and the workmen on 16/20-7-1992 (Annexure No. 2 to the objection/appeal) in which workmen were divided into two groups, in the first group, 122 workmen were kept, out of 02 had died and 02 had retired and remaining were kept in the second category. The management agreed that the second category will also be regularised in accordance with the orders of the then Managing Director dated 7-11-1978. According to this policy, if 30% of the 118 workmen were to be regularised, 70% of 275 workmen in category two were to be regularised simultaneously. Shri Harendra Pandey appearing for Munna Prasad submits that this agreement was withheld and that all 122 casual labour of first category were treated regular. The OL should have considered the fact that under the agreement 70% casual labours of the second group were also entitled to be regularised for which an objection was filed with the OL on 25-11-2006.

44. The workers covered under the award will be benefited in terms of this award by the Industrial Tribunal and Labour Court. The agreements can be accepted only if they are registered under Section 6-B of the U.P. Industrial Disputes Act, 1947. The agreement dated 16/20-7-1992 was not a registered agreement. The settlement was not arrived in conciliation proceedings and has not received the approval of the Deputy Labour Commissioner. The Court, as such, cannot recognise this settlement and thus no further relief except the award of the claim with further benefit given in the Court in which order can be given to Shri Munna Prasad and similarly situate casual workmen.

45. The Court has gone through all the Awards of Industrial Adjudicatory Bodies and find that they were required to be implemented and the wages of the workmen covered by the Award were requires to be included in admitting their claims. The OL is directed to implement these Awards and to include the amount of the claims of the workmen who were beneficiaries of these industrial adjudication.

46. The OL has admitted almost all the arrears/demands of which were submitted by the workmen. There are no other arrears to be admitted. It was submitted by Shri P.N. Saxena that

the workmen were also entitled to amenities allowances like dhoolbhatta over the uniforms, shoes and raincoat and helmet implemented w.e.f. 5-5-1997. The Court finds that the production in all the plants



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had come to an end before 5-5-1997. There was no mining activity or production carried out after that date. The amenities allowances were admitted to the workmen in case they were actually found working. Since the workmen were networking, these benefits cannot be treated to be workmen's dues for the services rendered to the company (in liquidation).

Issues No. 6 and 7 Whether workmen are entitled to retrenchment compensation under Section 25-FFF of the Industrial Disputes Act, 1947 calculated @15 days salary for every completed year of service and one month's notice pay treating them to be retrenched under Section 25-F of the Industrial Disputes Act, 1947 and whether the workmen are entitled to one month's notice pay treating them to be retrenched under Section 25-F of the Industrial Disputes Act, 1947?

47. A total of 5919 workmen submitted their claims to the OL. Out of these, the OL, on the recommendation of the SCC, admitted 5229 claims and rejected 393 claims for want of proofs. The total amount claimed by the workmen towards the dues is Rs. 342,01,73,620/-. Out of this, the OL has admitted only Rs. 117,18,99,001/-. There are 16 categories of workmen including muster roll employees; casual employees; visiting teachers and 143 officers. The OL has considered and calculated salaries by approximating the gross salary of each category of workmen with the highest claim in the category as the indicator. The workmen were treated as overriding preferential creditors under Section 529-A of Companies Act, 1956. The observation of the SCC accepted by the OL with regard to workmen is quoted as below:—

“WORKMEN; (Annexure la, lb, lc, ld, le, lf, lg)

While adjudicating the claims of Workmen in the above named company under liquidation, the claims committee has gone through the records as were made available by the Official Liquidator. However, most of the records made available do not pertain to the period under consideration.

Payrolls of the workers do not appear to be accurate and authentic as the same are not signed or counter signed by any of the competent authority. The Committee also requested the employees provided Fund Commissioner, Varanasi to submit the audit report and Form VI (in which details of Workmen Salary and deductions are given), but the same has not been made available to the committee as yet.

We have examined the affidavit and supporting documentary evidence filed by the claimants and also taken into consideration available records, pay rolls and particularly the manpower report (indicating the grade-wise and designation-wise gross salary), filed in Writ Petition No. 15134 of 1998, by Shri Harendra Pandey, the representative of one of the Workers Union before the Hon'ble Court (Annexure : la). It is admitted in the affidavit of majority of employees that they have been paid salary up to 12th July, 1998.

Keeping in view the Supreme Court judgments in *S.K. Maini v. Corona Sahu Co. Ltd.*, ((1994) 3 SCC 510 : AIR 1994 SC 1824) and also in *Burma Shell Oil Storage & Dist Co. of India Management Staff Association*, ((1970) 3 SCC 378 : AIR 1971 SC 922), we have classified employees and workmen accordingly.

After careful scrutiny of the records and proofs, we have admitted workmen unpaid salaries till the date of winding up order. The workmen have also been allowed leave encashment, three months salary as retrenchment compensation as per Sec. 25-FFF of the Industrial Disputes Act, 1947 and Gratuity. Many of the workers have claimed bonus for the year 1993-1994. In order to maintain uniformity, the committee has decided to grant Rs. 2, 499. 00 as bonus to all the workmen. Simple Interest @ % (sic) per annum has been awarded on the net

wages of



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the workmen from the date of winding up order till the last date of submission of claim i. e., 31st July, 2006. (Annexure Nos. Ib, Ic-, Id)

Note : Last salary drawn and service period has been mentioned on the affidavits of every workmen. Remarks like retired or died have also been mentioned on the affidavits. Complete calculation has been done on computer and the print out of each calculation sheets containing 25 claims of workmen have been affixed on each bundle of claims file.

Some of workmen have committed calculation mistakes. While some other workmen have claimed interest without mentioning the amount thereof, and therefore, interest amount has not been included in the claimed amount. Some workmen have not specifically claimed retrenchment compensation, but as a policy decision we have allowed interest and retrenchment compensation to all the workmen. In such cases, admitted dividend may appear higher than the amount claimed. The benefit of retrenchment compensation has not been given to those who died or retired before the date of winding up order.

The statutory retirement benefits to the retired employees have also been allowed. We have also adjudicated the claims of workmen who have filed their claims on the basis of the orders passed by the Hon'ble Supreme Court, Hon'ble High Court, other Courts, Industrial Tribunal and Arbitrators. The claims found improper or doubtful have been rejected. (Annexures No. Ie, If, Ig)."

48. The workmen have been allowed unpaid salaries with classification of pay scales till the date of winding up i. e. 8-12-1999. The workmen have also been allowed leave encashment; three months salary as retrenchment compensation under, the proviso to Section 25-FFF of the Industrial Disputes Act, 1947 and gratuity. In order to maintain uniformity, the OL has granted Rs. 2,499/- as bonus to all the workmen and then allowed simple interest @4% per annum under Rule 156 of the Companies (Court) Rules, 1959 on the net wages from the date of winding up to till the last date of submission of claims i. e. 31-7-2006. The retired workmen were not treated as workmen on the date of winding up as they were not in employment. The statutory retirement benefits, however, have been allowed to the retired workmen.

49. Shri B.D. Mandhyan, Senior Advocate; Shri P.N. Saxena, Senior Advocate and Shri Ravi Kant, Senior Advocate submit that the workmen are entitled to retrenchment compensation. According to Section 25-F read with Section 25-FFF of Industrial Disputes Act, 1947 which enables them to get one month's salary for the notice period and 15 days salary for each completed period of service. They have relied upon *S. Anthony Raj v. A. Sanguman*, (1994) 80 Comp Cas 531 in support of their submissions that compulsory winding up of a company on the ground that very substratum of the company was gone, will be covered under Section 25F read with Section 25-FFF of the Industrial Disputes Act, 1947. Such a case could not be covered by the proviso to Section 25-FFF. The compulsory winding up on the recommendation of Board of Industrial and Financial Reconstruction under Section 20 of the Sick Industrial Companies (Special Provision) Act, 1985 is not closure on account of unavoidable circumstances beyond the control of the employer.

50. In *A. Sanguman Pilot Pen (India) Ltd.* the winding up order was passed by [Madras High Court on 27-10-1978 under Section 433 of the Companies Act, 1956 after recording finding that the company was unable to pay its dues' The Madras High Court noticed 'the judgments of Kerala High Court and Bombay High Court and the interpretation of the definition of retrenchment by Supreme Court. In *Madhav Chandra v. Nalini Manna*, (1963-64) 68 CWN 1037 the Kerala High Court Held:— "if the closure is held as a consequence of the winding up and

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the employees are removed for that reason, they are not entitled to the benefit under Clause (i) of Section 25-FFF which are governed by the proviso thereof." The Kerala High Court in *Palal Central Bank Employees Union v. Official Liquidator*

51. The Bombay High Court took a contrary view in *Shri Madhav Mills in re*, AIR 1967 Bom 219 and held that the explanation to the proviso must be read in the context that the employer has to prove that the circumstances mentioned in the explanation to the proviso only refers to particular contingency in which the legislature decide that a finding would have to be made that the closure was not due to unavoidable circumstances beyond the control of the employer. The financial difficulties resulting out of usual trading activities are not unavoidable circumstances beyond the control of the employer.

52. In *Hari Prasad v. A.O. Devakar*, AIR 1957 SC 121 and *Hathi Singh Mafg. Company Ltd. v. Union of India*, AIR 1960 SC 923, the Supreme Court held that the word 'retrenchment' in Section 25-F of the Act means discharge of surplus labour or staff by the employer for any reason whatsoever, otherwise than a punishment inflicted by way of a discharge action and does not include termination of services of all workmen on a bona fide closure of the undertakings or change of ownership of the management. In *A. Anthony Raj* (supra) the Division Bench of Madras High Court held that in most cases the compulsory winding up by the Court is based upon the power of employers/owners of the company to discharge their debts in due course of their business and that such an event cannot be treated as unavoidable circumstances beyond the control of the company. The Madras High Court allowed retrenchment compensation under Section 25-F of the Act.

53. A conspectus of the above decisions and a reading of Section 25-FFF would show that only those cases where the management of the company had no control over the events which led to closure and which will also include winding up that proviso to Section 25-FFF would apply. These cases may include situations where the business suffered closure on account of change of policy by the Government, act of God like earthquake, floods, unforeseen and unpreventable riots, terrorist activities or change of fiscal policies by the Government. In these cases the management would have no control over the events leading to closure. In the present case the UP State Cement Corporation Ltd. (in liquidation) suffered losses due to bad governance, questionable management practices, excessive labour, out dated machinery and failure to adopt the modern techniques of manufacturing cement. All these circumstances indicated by the Board of Industrial and Financial Reconstruction were the causes for recurring losses, coupled with the fact that the State Government in spite of several opportunities did not infuse funds, led to situation in which the company was unable to survive and was consequently directed to be wound up. These events either singly or taken together are the circumstance which were not beyond the control of the management. The closure of industry on the winding up order passed in such an event will not fall in the proviso to Section 25-FFF of the Industrial Disputes Act, 1947. The workmen as such are entitled to full retrenchment compensation and pay for one month's notice in addition to the gratuity admitted by the Official Liquidator.

Issue No. 8 : Whether the workmen are entitled to interest @ 12% or interest not exceeding the rate of 4% on the wages from the winding up till the last date of submission of proofs and any other dues subsequent to thereof?

54. It is submitted that the worker's dues should bear the same interest

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rate as is paid on delay pension. Learned counsels, appearing for 1. he workmen, have relied

upon some judgments of Supreme Court in the matter of delayed pension. In these cases, it was observed that a pension is payable by operation of statutory service rules on the date of retirement. Any delay in payment of pension, which is no longer bounty or award, results into severe deprivation and hardships. The payment of pension is not dependent upon the mercy of employer.

55. In the present case, the sale of the assets was confirmed on 11-10-2006. The claims were invited before the confirmation of the sale. The workers and employees do not have a right to receive any interest on their dues payable under Sections 529 and 529-A and 530 of the Act until the sale was confirmed and thereafter the statutory period during which the claims are to be invited, rejections notified under Rule 163 of the Rules. Rule 156 of the Rules of 1959 provide for claim for interest after winding up. There is no interest either reserved or agreed to be paid on worker's dues, on the date of winding up order. Rule 146 provides an outer limit to which the creditors may prove for interest up to the date from the date sum was payable. The Rules provide that such interest shall not be exceeding to 4% per annum. Learned counsels for workmen submit that since workmen's dues have priority over all other debts, they should be paid interest as there is sufficient amount left to be distributed. The Court cannot override the provisions of law, in adjusting equities. It is true that the workmen have not paid wages since July, 1998 and that most of the workmen or their families were starving. The equity may however, not cloud the discretion of the Court to be guided by the statutory provisions, in *Anthony Raj(s) v. A. Sanmugam*, (1994) 80 CC 531, a Division Bench of Madras High Court did not agree with the view taken by learned single Judge in awarding 12% interest to the workmen from the date of winding up.

56. The objections with regard to payment of interest @ 12% as such cannot be sustained. The OL has rightly admitted interest to the workmen @ 4% per annum on the dues to which they are entitled on the date of winding up of the company (in liquidation).

Issue No. 9. Whether the workmen are entitled to bonus in addition to the bonus of Rs. 2,499/- awarded at flat rate for the year 1993-94?

57. The OL had admitted bonus at a flat rate of Rs. 2,499/- in the year 1993-1994. It is reported that all the workmen did not claim bonus and that the bonus at flat rate for the year 1993-1994 was worked, out and included in their claims on the basis of claim of some of the workmen. No one has claimed more than this amount and for any subsequent year. Learned counsel appearing for the workmen did not advance any argument on bonus. The workmen appeared to be satisfied that this one presumably on the ground that there was no mining activities and production in the unit after 1994 and that they were getting salaries up to July 1998 on the grants given by the State Government. It may also be possible that workmen have received the bonus along with such grants at a statutory minimum rate. In any case since no argument was addressed, the Court finds the award of bonus at a flat rate of Rs. 2,499/- for the year 1993-1994 justified with no further claim of bonus to be paid to the workmen as part of their wages.

Issue No. 10. Whether workmen dues are barred by limitation?

58. The workmen's dues are to be paid in preference to all other creditors except secured creditors for the purposes of payment of their dues. The workmen are ranked as secured creditors under Sections 529 and 529-A of the Act. In the present case, the workmen were paid up to 12-7-1998 from the grants given by

the State Government. They have not received their wages since thereafter. The right to receive the wages accrued as soon as the assets were put to sale and sale proceeds were received by the OL. The workmen as such became entitled for payment of their dues on 13-11-2006. Their dues

are as such not barred by limitation.

59. All the objections/appeals of the workmen are consequently allowed to the extent that after correction of the mistakes those in their claims and those which have crept in on account of preparing the date, the Official Liquidator will admit to the workmen all the wage board arrears in term of paragraphs 39 to 46 of this judgment. The Official Liquidator will admit retrenchment compensation under Section 25-FFF of the Industrial Disputes Act, 1947 calculated at 15 days salary for every completed years of service and one month's notice pay, leave encashment to the extent which was admissible under the Rules/Notifications/Orders of the Corporation (in liquidation) and 4% interest after the date of winding up till the declaration of final dividend by the Official Liquidator.

THE EMPLOYEES/OFFICERS OF THE CORPORATION (IN LIQ)

60. These appeals by way of objections have been filed by eight officers of the company (in liquidation) represented by Shri Alok Yadav, Advocate. During the course of argument, Shri Alok Yadav made a statement that he does not want to press these objections except the objections of Shri Vinod Shanker Mehta (017) and Raman Bihari Saxena (0-14). He has filed supplementary affidavit stating that in June 1997, their last pay was Rs. 11,525/- and Rs. 10,550/- respectively, whereas the OL has considered their salary at Rs. 10,000/- and Rs. 8,700/- per month. However, during the further argument, Shri Alok Yadav did not press these appeals/objections.

SECURED CREDITORS

61. The company (in liquidation) was heavily indebted on the date it was wound up by the Court on 8-12-1999. It had taken loans by way of term loans from financial institutions namely IDBI Ltd., IFCI Ltd., LIC, working capital loans from State Bank of India, and term loans from Allahabad Bank. The company (in liquidation) had also taken term loans from ICICI Ltd.

62. Shri V.B. Singh, Senior Advocate assisted by Shri Om Prakash Misra appears for IDBI and IFCI, Shri J. Nagar for LIC; Shri S.N. Verma, Senior Advocate assisted by Shri Joyant Banerji, for State Bank of India, and Shri V.K.S. Chaudhari, Senior Advocate assisted by Shri P.N. Tripathi for Allahabad Bank. The loan of ICICI has been assigned to Kotak Mahindra Ltd. represented by Shri Om Prakash Misra.

63. The company (in liquidation) filed 'Statement of Affairs' on 6-3-2000 verified by Shri Yashpal Sharma, Company Secretary on Form. No. 57 on the basis of audited balance sheets as on 31-3-1996. List 'B' annexed to the statement of affairs gives the assets specifically pledged and creditors wholly or partly secured. The estimated value of security of fixed assets mortgaged to FIs and Banks as on 6-3-2000 was disclosed at Rs. 31,836.60 lacs and raw material, stores and spare parts hypothecated to bank for working capital loans were shown at Rs. 1205.50 lakhs (Total Rs. 33,042.10 lacs). The principal amount borrowed from the banks and financial institutions, according to the loan agreements and the outstanding as on 6-3-2000, when the statement of affairs was filed, was disclosed at Rs. 25,875.78 lacs.

64. In List 'B' of the 'Statement of Affairs' the company has declared securities and the amounts of debentures as follows:—

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Particulars of assets specifically pledged	Date when security given	Estimated value of security	No.	Name of Creditor	Address and occupation	Amount of debt	Debt when contracted	Surplus from security
i) Fixed assets		31836.00		i) IDBI ii) IFCI		2974.00 344.20	Term Loans from	

mortgage to financial institutions and Banks			iii) LIC iv) SBI v) Intt. Accrued loan and due on the loan vi) Outstanding working capital loan of SBI/All India Bank	630.00 500.00 20461.88 465.00	Financial Institutions and Commercial Banks are secured by a charge over immovable properties present and future by way of Joint Equitable Mortgage by deposit of Title deed and Hypothecation of all movable and other assets present and (future except book debts); The mortgage and charge created rank pari passu and are subject to prior charge created/to be created in favour of company bankers in respect of stores and spares and stock in trade and book debts for borrowings for working
ii) Raw material stores and spares parts hypothecated to bank for working capital loan (Details as per annexure-2)	1205.50				

							capital	
		33042.10				25875.78		7166.32

Dated 6-3-2000"



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65. All the secured creditors, including IDBI; IFCI, LIC; Kotak Mahindra Bank Limited (for ICICI Debentures); SBI and Allahabad Bank, have submitted claims which were verified by the OL. The observations of SCC dated 2-12-2006 accepted by the OL for verifying and admitting the claims of the secured creditors to prove are given as below:—

"3. SECURED CREDITORS (Annexure No. 3)

The committee has verified the claims of following secured creditors as per the documents and affidavits made available.

- i. IDBI
- ii. LIC
- iii. IFCI
- iv. State Bank of India (Incl. Working capital Loan)
- v. Allahabad Bank (Incl. Working capital loan)
- vi. Kotak Mahindra Bank Ltd. (ICICI : I & II Loan)

After perusal of affidavits and documents it was found that only State Bank of India has filed their Statement of Accounts from April, 198Q to December, 1987 and the company has serviced the interest part on the term loan up to 31st December, 1987.

Allahabad Bank has filled the statement from 1992 onwards. The State Bank of India is the lead Bank of the consortium. On perusal of the documents and statement of accounts it has been assumed that the term debts of all the above mentioned Financial Institutions and Banks were serviced by the Company up to 31-12-1987. Principal Debts of the Company has been taken as per List 'B' annexed with the statement of affairs submitted by the Company with the Official Liquidator. We have calculated the interest part on following pattern.

1. From 1-1-1988 to 8-12-1999 (Date of winding up order), simple Interest @ 11% per annum has been granted. This is in consonance with the rate of interest as per the agreement on term loan advanced by IDBI. It is relevant to mention that the present prime lending rate of the State Bank of India is 11% per annum.
2. From 9-12-1999 to 31 July, 2006 i. e., last date of filling Claim (31st July, 2006), simple interest @ 4% per annum has been granted as per the Company Court Rule No. 156."

66. Shri Ashok Mehta, learned counsel for OL, has made a preliminary objections to the maintainability of the claims of the secured creditors on the ground that all the claims of the secured creditors are barred by limitation. The company (in liquidation) defaulted in payment of interest due and instalment of principal loans since 1986-1987. The secured creditors did not file any confirmation of balances. They submitted copy of the letters calling back loans but did not file suit against the company (in liquidation) for decree within due time. Shri Ashok Mehta further submits that the secured creditors cannot claim to be over-, riding preferential creditors under Section 529-A of the Companies Act, 1956 as assets specifically mortgaged are not registered as charges under Section 125 of Companies Act, 1956 and in any case the overriding preferential claims of the secured creditors will only be to the extent of value of the assets specifically pledged.

67. Shri Ashok Mehta submits that date of filing of suit by IDBI in DRT (Original Application No. 265/1999) was not given. The IFCI also did not give the date of filing of suit in DRT (Transfer Application No. 45 of 2002). The LIC, State Bank of India and Kotak Mahindra Ltd. (ICICI did not

mention about any suit filed against the company. The Allahabad Bank also did not give the date of filing of suit in DRT (Transfer Application No. 149 of 1999). So far objections filed by

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State Bank of India and Allahabad Bank for working capital loans, the OL recommended that if there is any surplus amount after meeting the claims of first charge holder and workers overriding preferential claimants under Section 529-A, their claims may be considered.

68. Regarding payment of interest, Shri Mehta called in aid Rule 156 of the Company (Court) Rules, 1959. Since no demand in writing was made available by the secured creditors from the company, the secured creditors, according to the OL, are liable to be paid only 4% interest from the date of winding up.

69. Shri V.B. Singh, Senior Advocate appearing for IDBI and IFCI submits that Section 22(5) of Sick Industrial Companies (Special Provisions) Act, 1985 excludes the period of limitation for the period the stay under Section 22(1) is operative. In the present case, the accumulated losses of the company were more than its assets and that the company lost its net worth in the audited balance sheet for the year ending 31-3-1991. A reference was made by the company under Section 15(1) of the Act of 1985 on 28-3-1992, which declared the company as 'sick industrial undertaking' under Section 3-0 of the Act, on 7-10-1992. By an order dated 2-7-1997, the BIFR formed an opinion under Section 20 of the Act of 1985 to wind up the company and referred the matter to the Court which ultimately wound up the company on 8-12-1999 after the appeal was dismissed by AAIFR and the writ petition filed by workmen against the order of AAIFR was dismissed. Shri V.B. Singh submits that the period of limitation was arrested on 28-3-1992 and will re-start from 2-7-1997.

70. Shri V.B. Singh, Senior Advocate and Shri Om Prakash Misra submit that the company (in liquidation) has admitted the dues in the audited balance sheet as on 31-3-1996 and that the same admission is reflected in the 'Statement of Affairs' filed by the Company Secretary of the Company (in liquidation) filed on 6-3-2000. In the meantime the IDBI, IFCI and ICICI filed claim petitions in Debt Recovery Tribunal, which was the only remedy available to the secured creditors to realize their dues. The date chart with regard to dues of IDBI, IFCI and ICICI (now represented by Kotak Mahindra Bank Limited) with regard to their dues for the purpose of working out whether the debts are barred by limitation is given as below:—

(I) Industrial Development Bank of India Limited (IDBI Ltd.)

1. 27-2-1978, 1st Loan Agreement executed between IDBI Ltd. and the company. In pursuance thereof Rs. 2,300 Lacs (Rupee Term Loan) was fully disbursed to be paid @ 11% per annum payable half yearly on 20th June and 20th December each year. In the event of default a further interest @ 0.5% per annum by way of liquidated damages over and above the rate of interest was payable upon the footing of compound interest. The first charge on the movable and immovable assets of the company (in liquidation) was created ranking pari passu with other secured creditors.
2. 22-12-1980, 2nd Loan Agreement was executed. In pursuance thereof Rs. 700 Lacs (Rupee Term Loan) was fully disbursed. The company (in liquidation) was to pay interest at the rate of 11.85% per annum payable half yearly on 20th June and 20th December each year. In the event of default a further interest @ 2% per annum was payable by way of liquidated damages over and above the footing of compound interest. First charge on the movable and immovable assets of the company (in liquidation) was created ranking pari passu with other secured creditors.
3. 10-1-1983, the third Term Loan Agreement of Rs. 100 Lacs was executed and this third loan was fully disbursed to be paid @ 14% per annum payable half



yearly on 20th June and 20th December each year. In the event of default a further interest of @ 2% per annum was payable by way of liquidated damages over and above the footing of compound interest. First charge on the movable and immovable of the company (in liquidation) was created ranking pari passu with other secured creditors.

- 4.8-12-1999 the company was wound up by the High Court.
- 5.16-4-2002 the Debt Recovery Tribunal (DRT) Mumbai by order dated 16-4-2002 decreed the claim of IDBI in Original Application No. 265/1999 for an amount of Rs. 1,29,58,09,262/- together with pendente lite and future interest and other damages till its realisation.
6. IDBI submitted details of claims by affidavit of proofs of debts amounting Rs. 1,63,38,10,436/- as on 8-12-1999 (the date of winding up order) and further interest up to 30-4-2006 amount Rs. 3,41,82,87,199/-.
7. The OL has admitted an amount of Rs. 7667.29 lacs only.

II. IFCI

- 1.21-12-1980,1st Term Loan Agreement executed and Rs. 300 Lacs (First Rupees Term Loan) was fully disbursed payable with interest @ 11.85% payable half yearly on 20th March and 20th September each year. In the event of default a further interest of @ 2% per annum was payable by way of liquidated damages over and above the footing of compound interest. First charge on the movable and immovable of the company (in liquidation) was created ranking pari passu with other secured creditors.
- 2.22-12-1980 2nd Term Loan Agreement executed for Rs. 100 lacs was fully disbursed payable with interest @11.85% per annum payable on 20th March and 20th September each year. In the event of default a further interest of @ 2% per annum was payable by way of liquidated damages over and above the footing of compound interest. First charge on the movable and immovable of the company (in liquidation) was created ranking pari passu with other secured creditors.
- 3.10-1-1983 the 3rd Term Loan Agreement executed and Rs. 24 Lacs (3rd Rupee Term Loan) was fully disbursed. The interest to be paid @ 14% payable half yearly on 20th March and 20th September each year. In the event of default a further interest of @ 2% per annum was payable by way of liquidated damages over and above the footing of compound interest. First charge on the movable and immovable of the company (in liquidation) was created ranking pari passu with other secured creditors.
- 4.5-6-2003, the Debt Recovery Tribunal, Lucknow vide order dated 5-6-2003 decreed the claim of the IFCI in Transfer Application No. 45 of 2002 for an amount of Rs. 25,48,21,578/- together with pendente lite and future interest till its realisation.
5. IFCI submitted details of claims with affidavit of proofs of debts amount of Rs. 26,45,21,731/- as on 8-12-1999 (the date of winding up order) with further interest up to 30-4-2006 amounting Rs. 7,14,49,794/-.
- 6.15-12-2006 the OL admitted an amount of Rs. 887.18 Lacs.

III) Kotak Mahindra Bank Ltd. (assignee of the loans of ICICI Ltd.)

- 1.18-11-1980 1st Facility Agreement executed between ICICI Bank Ltd. and the Company (in liquidation). In pursuance thereof Rs. 400 Lacs was fully disbursed. The interest @ 12% per annum was payable half yearly on 1st January and 1st July each year. In the event of default, a further interest of @1% per annum by way of liquidated damages over and above the rate of interest was



payable upon the footing of compound interest. The first charge was created ranking pari passu with IDBI Ltd., LIC, IFCI Ltd. and SBI (Term Loan of Rs. 500 Lacs) and SBI as a trustee for the Debentures of Rs. 400 Lacs held by ICICI Bank Ltd. The GUP furnished irrevocable and unconditional guarantees for payment of loan.

2.7-10-1981, 2nd Facility Agreement was executed for grant of financial assistance of Rs. 100 Lacs disbursed by way of subscribing debentures carrying an interest @ 12% redeemable during May 15, 1982 to November 15, 1987. Against this disbursement the outstanding amount was Rs. 75.10 lacs. A first charge on the movable and immovable assets of the Company (in liquidation) was created ranking pari passu with IDBI Ltd., LIC, IFCI Ltd., SBI (Term Loan of Rs. 500 lacs) and Allahabad Bank (Term Loan of Rs. 500 lacs) and SBI as a trustee for the debentures of Rs. 400 lacs held by ICICI Bank Limited. The GUP furnished irrevocable and unconditional guarantees for payment of the loan.

3.6-12-2006 the Debt Recovery Tribunal, Allahabad vide order dated 6-12-2006 in Original Application No. 291 of 2001 between *ICICI Bank Ltd. v. U.P. State Cement Corporation Ltd.* decreed the claim and held that Kotak Mahindra Bank Ltd. is entitled for recovery of an amount of Rs. 56,41,37,770/- together with pendente lite and future interest @ 12% per annum with half yearly interest.

4.15-6-2006 Kotak Mahindra Bank Ltd. submitted demand of claims on affidavit of proofs amounting to Rs. 46,59,51,812.32 as on the date of winding up.

5.15-12-2006 the OL admitted an amount of Rs. 1224.54 lacs only.

71. Shri V.B. Singh submits that with regard to term loan, the contractual rate of interest will prevail over the interest provided under Rule 156 and that even after the winding up order the agreed rate of interest will continue. The OL has no right to fix any rate of interest and that Section 529-A is fully attracted. The IDBI filed a claim before DRT Mumbai, which has issued a recovery certificate of Rs. 1,29,58,09,262.00 with pendente lite and future interest till the date of its realization on 18-4-2006. According to Shri V.B. Singh, the company (in liquidation) is indebted to IDBI for Rs. 3,41,82,87,199.00 with agreed interest up to 30-4-2006 and submitted the claim with complete details against three term loans with relevant supporting documents in proof of debts in Form-66 to the OL. He submits that the notice of the OL accepting the claims only for Rs. 7,667.29 lacs and rejecting the claim of Rs. 29,615.58 lacs is illegal and against the provisions of the Companies Act.

72. There is no dispute with regard to the principal amount borrowed from the financial institutions and banks by way of term loans, working capital loans and debentures. In the objections filed by FIs and Banks, the Court is concerned with only two objections; firstly, the loan is barred by limitation as claimed by the workmen and secondly, if the loans are not barred by limitation, the rate of interest to which the financial institutions and banks are entitled up to date of winding up order and thereafter till the date of declaration of dividend. In case the answer to both the questions raised as above is in favour of the FIs and Banks, the third question regarding overriding preferential claims of the secured creditors to the extent of the securities specifically pledged, mortgaged and hypothecated for the purposes of Sections 529 and 529-A will arise.

73. It is admitted that in proceedings before the DRT Mumbai and DRT Allahabad, the OL was represented, by his counsel Shri Arnab Banerji. A written statement was filed by the OL. The decree as such granted by DRT is binding on OL. He has not challenged the decree in the appeal. The IDBI, IFCI and Kotak Mahindra Bank Ltd. have already put the decree in execution which are pending

before the Recovery Officer, DRT. As a result of these proceedings, the OL cannot challenge that the claims of the IDBI, IFCI and Kotak Mahindra-Bank Ltd. are barred by limitation. In fact the OL has not treated these claims to be barred by limitation and has adjudicated them. He has admitted the principal amount to proof. The OL, however, has reduced the interest at a simple rate of 11% per annum on the basis that it was the prime lending rate of the financial institutions and banks prevalent in the period fixed by RBI, and has admitted only 4% interest after the date of winding up. Till the date the claims were invited i. e. 31-7- 2006.

74. The laws of insolvency are applicable for payment of secured debts. It is agreed and it is admitted to the counsel for the secured creditors including IDBI, IFCI, Kotak Mahindra Bank Ltd., LIC, SBI and Allahabad Bank that under the consortium agreement, the term loans granted by FIs and Banks are secured as first charge on the movable and immovable assets of the company (in liquidation) ranking pari passu with other secured creditors. This leaves only the working capital loans which were secured by hypothecation of raw materials, stores and spare parts. The estimated value of the security of the fixed assets, mortgaged to financial institutions and banks given as per Annexure No. 1 of the statement of affairs dated 6-3-2000 is Rs. 31,836.60 lacs and the estimated value of raw materials, stores and spare parts hypothecated to the banks in working capital loans detailed as per Annexure No. 2 of the 'Statement of Affairs' dated 6-3-2000 is Rs. 1205.50 lacs.

75. The entire assets of the company have been sold 'as is where is and whatever there is basis' including actionable claims. These assets include fixed assets, stocks, and raw material, lease hold rights and reliefs and concessions which have been detailed in the order. The valuation of the security of the secured creditors with regard to term loan has been given in the 'Statement of Affairs' as on 6-3-2000 which has not been disputed by any of the party or their counsel appearing in the matter. The amount of debts due to the banks and financial institutions both by way of term loans and working capital loans of Rs. 25,875.78 lacs on 6-3-2000 was as such fully secured and represented by the estimated value of the security of Rs. 33,042.10 lacs, leaving a sum of Rs. 7,166.3 lacs as surplus from security. This estimated debt will further bear the interest at the agreed rate with half yearly rest as agreed under the agreement and with a further penal interest in terms of the agreements. These have to be calculated up to the date of winding up i. e. 8-12-1998 and thereafter these amounts will bear a simple interest under Rules 156 and 179 only at 4% per annum as nothing would be left as surplus after payment in full of all the claims of creditors admitted to proof is to be paid interest only at a rate not exceeding 4% per annum from the date of winding up order to the date of declaration of final dividend.

State Bank of India

76. Shri S.N. Verma, Senior Advocate assisted by Shri Jayont Banerji, Advocate have appeared in support of their Appeal No. 0-22 under Rule 164 of Rules of 1959 supported by the affidavit of Shri Maheep Kumar, Assistant General Manager, SBI Stressed Assets Management Branch, Lucknow as supplemented by affidavit of Shri M.C. Panday, Manager, SBI, Stressed Assets Management Branch, Lucknow that Form-69, dated 15-12-2006 received by the SBI enclosing reasons of the OL in partly rejecting the claim is erroneous as it does not include the other admitted amount of Rs. 301.27 lacs in respect of the cash credit limit and that the OL has illegally and arbitrarily, partly rejected the claim of the State Bank of India (SBI).

77. The SBI claimed Rs. 5,544.94 lacs, out of which only an amount of Rs. 1,288.75 lacs was admitted by OL towards term loan.

78. There is an obvious error in Form-69 dated 15-12-2006 inasmuch as the OL has admitted Rs. 1590.02 lacs which includes Rs. 1288.75 lacs towards term loan with interest and Rs. 301.27 lakhs towards working capital loan with interest.

79. Shri S.N. Verma, Senior Advocate states that SBI has no objection to the acceptance of the claim of Rs. 301.27 lacs towards working capital loan with interest and is pressing his objection only with regard to interest of component of the term loan. It is submitted that the calculation of simple interest @11% from 1-1-1988 to 8-12-1999 (the date of winding up) ignores the contr actual rate of interest.

80. In paragraphs 9 and 10 of the appeal it is stated that Term Loan Account No. 1 was served only up to 31-3-1985 and Term Loan Account No. 2 was served up to 30-9-1987. Thereafter the company was liable to pay the contracted rate of interest. Para 6(ii) of the consortium loan agreement deals with the rate of interest and liquidated damages on SBI loans. The clause reads as under:—

“The Company shall pay to SBI interest at SBI advance rate subject to a minimum rate of 12.5% per annum on the principal amount of the SBI loan advanced and outstanding from time to time. Interest will be payable on the 31st March, 29th June, 2th September and the 30th December each year. In the event of default of regular payment of interest on the due date, compound interest at 15.5% per annum from the relative due date to the date of payment shall become payable on the monies due.”

81. Further para 9(i) of the consortium loan agreement prescribes the manner in which the payments received have to be appropriated. The paragraph reads as under:—

“Any payment made by the Company to the lenders under these presents shall be appropriated in the following order of priority:—

- (a) First towards the commitment charges due and payable;
- (b) Secondly towards the other cheques, costs, expenses and other monies due and payable if any under these presents;
- (c) Thirdly towards penal interest or additional interest due by way of liquidated damages;
- (d) Fourthly towards interest and compound interest due and payable respectively; and
- (e) Lastly towards instalment(s) of principal.”

82. Shri S.N. Verma has relied upon *Central Bank of India v. Ravindra*, (2002) 1 SCC 367 : AIR 2001 SC 3095 in which the principal amount issue was considered by the Supreme Court and it was observed (Para 58):—

“Subject to a binding stipulation contained in a voluntary contract between the parties and/or an established practice or usage interest on loans and advances may be charged on periodical rests and also capitalised on remaining unpaid. The principal sum actually advanced coupled with the interest on periodical rests so capitalized is capable of being adjudged as principal sum on the date of suit.”

83. According to Shri S.N. Verma, Term Loan Nos. 1 and 2 with agreed amount of interest was fully secured as first charge under the consortium agreement and that sufficient amount was available in the security available with the company disclosed in the 'statement of affairs'. The amount claimed by the State Bank of India was decreed on 6-12-2006 by Debt Recovery Tribunal, Allahabad in TA No. 1496 of 2000 in which the OL was also a party. The State Bank of



India's shares in the consortium finance of Rs. 77 crores in the nature of term loan was Rs. 5 crores, between 17-8-1979 to 1-10-1980. The DRT decreed the claim of SBI and issued recovery certificate for Rs. 62,68,60,394.53 together with pendente lite and future interest @ 17.75/- per annum (the award is annexed to the supplementary affidavit).

84. In para 19 of the memorandum of appeal the total amount due up to date of winding up towards both the term loans at contributed rate of interest @ 17.5% per annum is quantified at Rs. 5,290.90 lacs. The bank has claimed simple interest @ 4% after the date of winding up if the amount is available after satisfying the secured creditors and workmen.

85. After reading clause 6(ii) of the consortium loan agreement quoted in para 12 of the memorandum of appeal, Shri S.N. Verma very fairly stated that in the event of default of regular payment of interest, on due date the SBI could get the maximum interest @ 13.5 per annum compounded quarterly up to date of winding up and accordingly Shri Jayant Banerji in the presence of Shri M.C. Panday, Manager, SBI, Stressed Assets Management Branch, Lucknow submitted a fresh calculation of interest @ 13.50%. The total outstanding term loan as on 31-3-1993 was Rs. 16,37,39,478/-. Adding compound interest the amount up to date of liquidation i. e. 8-12-1999 due on term loan 1 + 2 account comes to Rs. 39,80,875,79.00 (Rupees Thirty Nine Crores Eighty Lacs Eighty Seven Thousand Five Hundred Seventy Nine only). The SBI pressed its claim for this amount and if anything is left in liquidation, a further simple interest @ 4% to be added till the declaration of final dividend.

86. The other submission of Shri S.N. Verma regarding liquidation expenses has been dealt with while considering the claims of the UP Power Corporation. In substance he submitted that any amount other than the amount spent for preservation of assets, referred to in Sections 556,557 and proviso to Section 529(2) of the Act read with Rule 338 of the Rules of 1959 cannot affect the security of the bank. The amount legally claimed by the UP Power Corporation for supply of the electricity under the orders of the Court was for the benefit of workmen and that workmen and the occupants of the properties enjoying electricity as goods must pay the amount either from their shares or from their pockets. Shri S.N. Verma has also relied upon proviso to Section 529(2) to apportion the liquidation expenses between the secured creditors and the workmen.

Allahabad Bank

87. Shri V.K.S. Chaudhari, Senior Advocate assisted by Shri P.N. Tripathi appearing for the Allahabad Bank have seriously disputed part rejection of their claim in the OL communication on Form 69 dated 15-12-2006 in which the OL has communicated that out of amount claim of Rs. 39,747.05 lacs, the amount of only Rs. 1,288.75 lacs is admitted.

88. Shri V.K.S. Chaudhari states that Allahabad Bank has no grievance and is not making any objection with regard to claim admitted towards working capital loan with interest of Rs. 368 lacs. The bank, however, has serious objection to the rejection of the claim and agreed interest under the consortium agreement on term loans as the Allahabad Bank has been worst sufferer.

89. Shri V.K.S. Chaudhari, learned Senior Advocate states that Allahabad Bank has all along maintained its stand that it wants to keep out of winding up. The bank has not participated in the liquidation proceedings except by submitting proof of debts in response to the notice of the O.L. Shri Chaudhari has relied upon *ICICI Bank v. Sidco Leathers*, (2006) 5 CLJ 470 : (2006 CLC 709) (para 53 and 54) in support of the submission that by submitting the affidavit of proofs the

bank shall not been taken to have joined the winding up. He submits that bank has neither relinquished the security nor has given up the guarantee and offer to the extent the bank's claim is rejected. The outstanding will be secured by the guarantees given by the Government of Uttar Pradesh. He has referred to the observations made in the order dated 14-2-2002 rejecting the application of the State Government to accept the offer of M/s. Grasim Industries Ltd. as well as ground Nos. 9 and 10 of the appeal and the observations made by the Division Bench in Special Appeal No. 346 of 2002. In para 6 (iii) of the consortium agreement quoted in para 19 it was agreed by the company (in liquidation) with the Allahabad Banks as follows:—

“(iii) The Company shall pay to AB interest at the AB advance rate subject to a minimum of 12.5% per annum on the principal amount of AB loan advanced and outstanding from time to time. Interest will be payable on the 31st March, the 29th June, the 30 September and the 30th December each year. In the event of default of regular payment of interest on the due dates compound interest at 1% per annum over the interest rate applicable for the time being from the relative due date to the date of payment shall become payable on the moneys due.

In the event of default in payment of an instalment of principal, the Company shall be liable to pay to AB by way of liquidated damages additional interest calculated at the rate of 1% per annum over the interest rate applicable for the time being on the instalment in default from the due date till it is paid. The payment of compound or additional interest shall not affect any liability of the company hereunder for such default, nor will it affect the rights of AB to proceed against the Company for such default.”

90. It is stated in paragraph 19 of the memorandum of appeal that at the time of disbursement of the loan in 1981 the MLR/PLR of the bank was 19.5% and the bank rate was 12%. While at the time of NPA of the account in March 1992, the rate of PLR/MLR was 18.5% while the interest of CC limit was agreed subject to minimum rate of 18% per annum quarterly rests.

91. The clause (iii) of the agreement dated 3-7-1984 of CC limit is not in issue as the bank is not questioning the amount of interest paid and the quantum of admitted on CC limit by the OL.

92. Shri V.K.S. Chaudhari submits that the term loan of Rs. 500 lacs was divided into two accounts namely TL-1 of Rs. 300 lacs had Rs. 570.14 lacs on 6-6-1989 and TL-2 of Rs. 200 lacs had 527.38 lacs on 6-6-1989. These amounts with interest on 8-12-1999 for Term Loan No. 1 at the agreed interest rate which comes Rs. 4986.51 lacs and for Term Loan No. 2 had Rs. 4757.18 lacs and thus on 8-12-1999 a total amount of Rs. 9743.69 lacs was due.

93. The Allahabad Bank was required to give an official statement of the bank rate at which the interest could be charged under the agreement. The bank rate and minimum lending rate and/or PLR of Allahabad Bank (except sick units of other private sectors where concessions are given) shows that the bank rate in 1989 was 10% and that it never exceeded 12% upto 1999.

94. The Allahabad Bank as such was required to explain as to how it has charged an amount of more than AB advance rate.

95. There is a difference between consortium agreement with SBI in clause 6 (ii) and with Allahabad Bank in clause 6(iii). Whereas in respect of SBI the compound interest is indicated at 13.5% per annum, in respect of Allahabad Bank, in the event of default in payment of principal, the company was liable to pay to Allahabad Bank by way of liquidated damages additional interest calculated @ 1% per annum and that the interest rate applicable for time being on the instalment.



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In the event of default of regular payment of interest, a compound interest @1% per annum over the interest rate applicable was payable from the due date without effecting the liability of the company. In the supplementary affidavit of Shri I.D. Tiru. Senior Manager, Allahabad Bank, Churk Branch, Sonbhadra, U.P., it is stated that final calculation of the total outstanding of the term loan till 9-12-1999 given in paragraph 6 had reached to Rs. 58,18,64,530.00 (Term Loan-I Rs. 29,03,85,380.00 and Term Loan II Rs. 29,14,79,150.00). This is the final calculation on the admitted rate of compound interest and penal interest without compounding.

One Time Settlement

96. Shri V.K.S. Chaudhari submits that the financial institutions had agreed to one time settlement. He has referred to the orders of the Courts and the orders in Special Appeals. It is submitted that once the financial institutions and banks had agreed to one time settlement of

their term loans. They cannot claim any amount higher than the amount offered from the sick industry.

97. The argument does not merit any consideration inasmuch as the one time settlement principally agreed by the financial institutions and bank was not finalised in the meetings. The financial institutions and banks had agreed towards request of the State Bank of India to one time settlement of their dues in view of the offer of M/s. Grasim Industries Ltd. The State Government had persuaded the financial institutions and banks that there was no possibility of getting any amount higher than the amount Rs. 241 crores offered by M/s. Grasim Industries Ltd. including workmen's dues and offer for voluntary retirement scheme to the workmen. The acceptance to the offer of one time settlement by the banks and financial institutions was under the shadow of persuasion by the State Government to sell the assets. The negotiations did not materialize as the Court rejected the offer of State Government to sell the assets to M/s. Grasim Industries Ltd. and proceeded to advertise the sale through OL in accordance with the provisions in the Companies Act. All the financial institutions and Banks excluding Life Insurance Corporation filed their claims before the Debt Recovery Tribunal and that all these claims have been decreed. In the circumstances, there is no substance in the objections taken by the Allahabad Bank that the financial institutions and banks had agreed to one time settlement of their dues and that they should not be allowed to claim anything more the amount offered by them in the year.. 2001.

98. Shri V.K.S. Chaudhari submitted that the domestic supply of electricity dues to the workers, cannot be included in the liquidation expenses to dilute the security of the bank. In the matter of payment of public dues under Sections 529 and 529-A to the secured creditors, only that much amount can be treated as liquidation expenses, which is necessary for preserving the assets of the company. The domestic supply of electricity was made to the workmen and thus they are liable to pay the electricity bills to the UP Power Corporation. There cannot be any element of discretion or orders to be passed for protecting fundamental rights of the workers, who were required to vacate the residential accommodations as soon as the company was wound up. If the OL failed to discharge his liability of the evicting the workmen and to obtain vacant possession, the banks securities cannot be diluted. The law and order is a problem of the State Government and not of the OL or the Court to give any extra benefit out of the security charged for repayment of the dues of the banks. Shri Chaudhari has relied upon judgment in *Wonders Jupiterchits*, 1992 (74) CC 215 (Kerala High Court) in support of his submission regarding liquidation expenses. He has further relied upon (1998) 5 SCC 401 : AIR 1998 SC 2111 (*India Bank v. OL*) that the Court's decree has to be accepted by the OL



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irrespective of the renewal of charge under Section 125 of the Companies Act; *State Bank of India v. Wasangi Venkateshwar Rao*; (1999) 2 SCC 375 : AIR 1999 SC 896 (paras 7 and 8) in support of his submission that the contract with a secured creditors cannot be varied and (2003) 2 SCC 15 : AIR 2003 SC 2122 in which the contract of interest at the RBI rate subject to minimum of 13.50% was upheld by the Court.

Life Insurance Corporation

99. Shri J. Nagar, Advocate, appearing for Life Insurance Corporation (LIC), has filed an appeal under R. 164 of the Rules of 1959 (0-39) challenging the part rejection of the proof of debts submitted by LIC. As against Rs. 4996.30 lacs claimed by LIC, the OL admitted only Rs. 1623.83 lacs treating the term loan to be inoperative from 1-1-1988 and adding 11% simple interest up to date of winding up and 4% simple interest thereafter till the date of filing their claim.

100. Adopting the arguments addressed by Shri V.B. Singh, Senior Advocate appearing for IDBI and IFCI; Shri Orri Prakash Misra, Advocate for Kotak Mahindra Bank Ltd; Shri S.N. Verma,

Senior Advocate for State Bank of India and Shri V.K.S. Chaudhari, Senior Advocate for Allahabad Bank, Shri J. -Nagar submits that according to the judgment in *ICICI Bank v. Sidco Leather Ltd.*, (2006) 5 CLJ 470 : (2006 CLC 709) claim of LIC is entitled to the entire principal with the contracted rate of interest. He submits that the term loan granted by LIC under the consortium agreement was disbursed in three instalments vide pronote dated 8-12-1979; 29-1-1980 and 30-10-1980. The account became inoperative after 31-12-1987. The first term loan was for Rs. 5,10,00,000/- and the second term loan was for Rs. 90 lacs. The company (in liquidation) agreed to pay interest @ 12% per annum and further agreed that in case of default of principal amount, default of interest of 1% and in case of default of interest an additional penal interest of 1% will be payable. According to Shri J. Nagar, the interest @12% on the principal amount was payable on half yearly basis. The penal interest, - however, will not be compounded in view of judgment in *Central Bank of India v. Ravindra*, (2002) 1 SCC 367 : (AIR 2001 SC 3095). In this judgment the Supreme Court held that a person, deprived of the, use of money to which he is legally entitled, has a right to be compensated for the deprivation, which may be called as interest compensation or damages subject to a binding stipulation contained in a voluntary contract between the parties and/or established practice or use of interest and loan and advance may be charged on periodical rests and also capitalized on remaining unpaid. Principal sum actually advanced coupled with the interest on periodical rests so capitalised as capable being adjudged-as principal sum on the date suit (para 58). The interest one capitalised ceases to be interest and becomes a part of principal sum or capital and, therefore, the question of awarding interest on interest does not arise at all. The Supreme Court further held in para 55(1) that penal interest cannot be capitalised. It will be opposed to public policy. Further interest i. e. interest on interest whether simple, compound or penal cannot be claimed on the amount of penal interest.

101. On the law laid down in *Central Bank of India's case* (supra) and further on the fact that there was no agreement or established practice or use nor any such established practice of use has been pressed into service, the compounding of penal interest cannot be claimed by the financial institutions and banks.

102. The LIC did not file any suit for recovery of principal and interest in the Civil Court or in the Debt Recovery Tribunal. Shri J. Nagar submits that though loan was inoperative from 1-1-1988 and that the reference made to BIFR was registered on 10-7-1992 and the winding up order was passed on 8-12-1999, the claim of LIC will not be barred by limitation as under Art. 63 of the Limitation Act,



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1963 the limitation for filing a suit for foreclosure of mortgage is 30 years and thus the claim filed by LIC is within the limitation of the creation of mortgage in 1978-1979. Shri J. Nagar submits that the entire dues of the LIC were secured by mortgage of the fixed assets of the company under the consortium agreement and that these assets were much more than the amount claimed by the LIC. The claim as such is not barred by limitation.

103. In the present case the entire debts of the banks and financial institutions were secured by simple English mortgage by deposit of title deeds. In the 'Statement of Affairs' as prepared on the basis of the balance sheet as on 31-3-1996 filed on 6-3-2000 the total amount due to secured creditors with interest was disclosed to Rs. 25875.78 lacs and that the fixed assets mortgaged to financial institutions and banks were estimated to be valued at Rs. 31836.00 lacs. The loan was entirely covered by fixed assets mortgaged to the financial institutions and banks. Section 17 of the Recovery of Debts Due to Banks and Financial Institutions Act, 1993 provides for same limitation as it is provided by Limitation Act, 1963 and thus the limitation for filing suit by the mortgagors for foreclosure under Art. 63(a) is 30 years. The claims of LIC are as such not barred by law of limitation.

104. LIC had claimed an amount of Rs. 4996.30 lacs from the OL. This claim was based on 15% interest and also capitalised it by compounding on half yearly basis. Along with his appeal, Shri J. Nagar has given a fresh calculation of both the terms loans calculated @ 12.50% compounded on half yearly basis. On the first term loan of Rs. 5,40,00,000/- and second term loan of Rs. 90 lacs the interest has been calculated @ 15% compounded on half yearly basis. The total dues of LIC calculated in the aforesaid manner up to date of winding up i. e. 8-12-1999 are Rs. 324,391,121/-. The LIC has agreed not to charge the penal interest.

105. The appeals/objections of the secured creditors including the IDBI, IFCI, Kotak Mahindra Bank Ltd., SBI, LIC and Allahabad Bank are consequently partly allowed with directions to the OL to recalculate the amount as follows:—

In *ICICI Bank Ltd. v. Sidco Leathers Ltd.*, (2006) 5 CLJ 470 : (2006 CLC 709) the Supreme Court set aside the order of High Court at Allahabad dated 4-8-2004 in Special Appeal No. 698/2002, affirmed the judgment of single Judge (Company Judge) dated 24-5-2002. Sidco Leathers Ltd. was wound up on 16-12-1993 and the OL was appointed as Liquidator of the company. The IDBI, IFCI, ICICI had given Rupee Term Loans and Foreign Currency Loan to the company. The Punjab National Bank advanced working capital funds. A first charge was created in favour of ICICI Bank Ltd. along with other financial institutions by equitable mortgage with deposit of title deeds of the immovable properties. The Punjab National Bank secured its loan by second charge by way of constructive delivery of title deeds. The charge of Punjab National Bank was subservient to the charges in favour of IFCI, IDBI and ICICI. The ICICI filed a suit which was transferred to DRT Bombay. The High Court permitted the suit to continue under S. 446 of the Companies Act. The PNB also filed a suit in the Court of Civil Judge, Fatehpur. The OL sold the assets and had a sum of Rs. 71,00,351/- available with him for distributions to the creditors of the company. Relying on *Allahabad Bank v. Canara Bank* ((2000) 4 SCC 406 : AIR 2000 SC 1535) : (2000 CLC 913), the Company Judge held that IFCI and IDBI have joined the winding up proceedings and have submitted proofs of debts before the OL. They shall be taken to have given up their securities and thus they will not claim any priority over the debt of PNB on the fixed, Assets. The Division Bench held in appeal that the appellant, having opted to remain outside the liquidation, will have second claim of beneficial right. The right of secured creditors under S. 529-A is a contingent right and that the ICICI



Bank Ltd. was rank with unsecured, creditors to take its dividend under S. 529(2) of the Act.

107. The Supreme Court while setting aside the judgment held that corporate insolvency procedure serve a variety of functions which include collective execution by unsecured creditors, facilitation of corporate rescue and the enforcement of security which would also include corporate morality. The liquidation proceedings are collective enforcement mechanism for the benefit of unsecured creditors. The liquidation is also an action for termination of company affairs. Applying *pari passu* principles, creditors' claims are to be treated alike, a single point of time at which the assets are liable to be quantified must be pin-pointed but then subsequent events are also required to be considered. For those who desired to go before the Company Court for dividend by relinquishing their, security, in accordance with the Insolvency Rules, S. 529, of the Companies Act will be attracted. Under S. 47 of the Provincial Insolvency Act, a secured creditors may realise his security and prove for balance due to him; after deducting the net amount realised. Where a secured creditors relinquishes his security for general benefit of the creditors, he may prove for his whole debt. Sub-section (3) provides that where a secured creditor does not either realise or relinquish his security, he shall, before being entitled to have his debt entered in the schedule, state in his proof the particulars of his security and the value at which he assesses it and shall be entitled to receive the dividend only in respect of the balance due to him after deducting the

value so assessed. Subsection (6) provides that where a secured creditor, does not comply with the provisions of this section, he shall be excluded from all shares in any dividend. The second class of the secured creditors are those who come under S. 529-A(1)(b) of the Companies Act, who opt to stand outside the winding up to realise their security. They also come, in certain circumstances, 'go before the Company Court. The Apex Court held that though S. '529-A of the Companies Act contains a non obstante clause but in construing the provisions thereof, it is necessary to determine the purport and object for which the same was enacted. Earlier the dues of the workmen were not to be treated pari passu with the secured creditors. It is only after insertion of S. 529-A the workers' dues are pari passu with the secured creditors.

108. It was held by the Apex Court that secured creditors have a valuable right which must be preserved. The Parliament had by amending the provisions of the Companies Act did not intend to take away respective rights of the secured creditors under S. 529(1)(c) of the Companies Act or vis-a-vis unsecured creditors. It does not envisage respective rights amongst the secured creditors. Section 48 of the Transfer of Property Act will not stand obliterated inter se priority of secured creditors. It does not get obliterated by merely responding to public notice arid that unsecured creditors are not to be placed at par with the secured creditors. The filing of affidavits or proofs of claims does not amount to relinquishing the security. In substance it was held that in submitting the affidavits or proofs of the claims with the OL for distribution of the claims beyond realised assets the inter se contract with regard to the priority of charges between secured creditors has to be enforced by the OL. If the OL proceeds to sell the security the Court first has to pay the amount on which the security was valued to the secured creditors out of the sale proceeds.

109. A consortium agreement was entered into between IDBI; State Bank of India and Allahabad Bank on 27-2-1978 with the U.P. State Cement Corporation Ltd, (in liquidation). Under this agreement annexed in the appeal filed on behalf of IDBI and also annexed as Annexure No., 3 to the appeal filed by the State Bank of India (0-22), the term loans were agreed to be the first charge on the fixed



assets of the company (in liquidation). Schedule III of the agreement for security clause for equitable mortgage provided in para 1 that the loan amounts of the lender together with interest compound and/or additional and/or penal interest, liquidated damages, commitment charge, other charges, cost expenses and other monies payable shall be secured by way of equitable mortgage by deposit of title deeds on all the immovable properties of the company present and in future and by charge by way of hypothecation of the movable properties of the company present and in future. In the event of default in para 2 the lenders reserved a right to take over the management of the company and for this purpose in para 3 the company was required to execute undertaking for creating registered legal mortgage(s) in English form whenever called upon by the lenders, the company was also required to execute revocable power(s) of attorney authorising the lenders to execute on behalf of company a registered moral mortgage(s) in English forms. The charge in para 4 all the lenders were put subject to charge created or to be created by the company in favour of its bankers on stocks of raw materials; semi-finished; finished goods; consumable stores and books debts for its working capital requirement. Para 5 provided that the charge in favour of lenders was to be first charge ranking pari passu for the term loan of Rs. 400 lacs of ICICI; Rs. 700 lacs of LIC; Rs. 300 lacs of IFCI; Rs. 500 lacs of SBI and Rs. 500 lacs of Allahabad Bank. In schedule 5 the company and State Government agreed to furnish a joint undertakings to the IDBI that they shall procure for the company at the appropriate time on terms acceptable to lenders funds to meet shortfall in internal resources as estimated to be available for financing the proposed project and short fall in finishing overrun, if any, in the case of project.

110. The secured creditors namely Allahabad Bank, LIC and SBI have submitted fresh calculations of their dues taking into account the dates after which the term loans were not serviced by the company (in liquidation) and the rate of interest in the consortium agreement as well as penal interest. The Court after hearing all these secured creditors, who had given term loans to the company (in liquidation), finds and holds that they are all entitled to their dues with the agreed rate of interest to be compounded in accordance with the terms of the agreement up to the date of winding up of the company (in liquidation). They are also entitled to penal interest. In view of *Central Bank of India v. Ravindra* ((2002) 1 SCC 367 : AIR 2001 SC 3095), they will not be entitled compounding of penal interest. The interest after the date of winding up of the company (in liquidation) may be considered only if sufficient amount is left after the dues of secured creditors and workmen are computed on pari passu basis under S. 529-A of the Act at simple interest of 4% per annum. With regard to working capital loans the bank and financial institutions have not addressed any argument as they are satisfied with the amount adjudicated by the OL. The final calculation of the debt of IDBI Ltd., IFCI Ltd. and ICICI Ltd. (assigned to Kotak Mahindra Bank Ltd.) at the agreed rate of compound interest and penal interest (not compounded) given by their counsel Shri Om Prakash Misra is as follows:

“KOTAK MAHINDRA BANK LTD.

First Loan	Rs. 400 lacs
Rate of interest	12%
Penal interest	@ 1% amounting to Rs. 547 lacs
Second Loan	Rs. 100 lacs (Rs. 75 lakhs disbursed)
Rate of interest	12%
Penal Interest	@ 1% amounting to Rs. 61.59 lakhs
Total penal interest	Rs. 609 lacs (penal interest not compounded)



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IFCI Ltd.	
First Loan	Rs. 300 lacks
Rate of interest	11.85% per annum payable half yearly
Penal interest	@ 2% per annum amounting to Rs. 224 lakhs
Second Loan	Rs. 100 lakhs
Rate of interest	11.85% per annum payable half yearly
Penal interest	@ 2% per annum amounting to Rs. 12.13 lakhs
Third Loan	Rs. 24 lakhs
Rate of interest	14% per annum payable half yearly
Penal interest	@ 2% per annum amounting to Rs. 11.26 lakhs
Total, penal interest	Rs. 247 lakhs (penal interest not compounded)
IDBI Ltd.	
First Loan	Rs. 2300 lakhs
Rate of interest	11% per annum payable half yearly
Penal interest	@ 0.5% per annum amounting to Rs. 303 lakhs
Second Loan	Rs. 700 lakhs
Rate of interest	11.85% per annum payable half yearly

Penal interest	@ 2% per annum amounting to Rs. 932 lakhs
Third Loan	Rs. 100 lakhs
Rate of interest	14% per annum payable half yearly
Penal interest	@ 2% per annum amounting to Rs. 163 lakhs
Total penal interest	Rs. 1398 lakhs (penal interest not compounded)."

THE UTTAR PRADESH POWER CORPORATION

111. Heard Shri W.H. Kharl, learned counsel appearing for U.P. Power Corporation.

112. The Corporation had filed an application (A-68) for directions to the OL to register their claims. The application (A-70) filed by the Corporation under S. 530 of the Companies Act in April, 2002 to register their claims for payment of electricity dues of Rs. 22,96,85,962.50. The OL was required to submit his comments on the application.

113. Shri W.H. Khan, appearing for the U.P. Power Corporation, submits that the Corporation supplied electricity to the residential colonies of the company (in liquidation) under the orders of the Court. He submits that the Corporation is bound by writ of mandamus and that electricity dues along with late payment surcharge for the period after the date of winding up are to be paid by the OL in preference all other claimants. The electricity bills prepared under the statutory provisions must be paid by way of liquidation expenses to the Corporation. If the Court is not inclined to pay these wages as liquidation expenses, the payment of these bills should be treated as secured debts.

114. Shri V.B. Singh, Senior Advocate appearing for IDBI and IFCI; Shri Om Prakash Misra appearing for Kotak Mahindra Bank Ltd; and Shri S.N. Verma, Senior Advocate appearing for State Bank of India; Shri V.K.S. Chaudhari, Senior Advocate appearing for Allahabad Bank and Shri J. Nagar appearing for Life Insurance Corporation, all secured creditors, submit that the electricity dues incurred after the date of winding up are not liquidation expenses to be paid in parity to secured creditors and workmen's dues under Ss. 529,529-A and 530 of the Act. It is submitted that the liquidation expenses or these expenses, which the OL has to properly incur in preserving, realising or getting in assets. They have relied upon provisions of Ss. 456,457, which enumerating the powers of the OL for preserving and sale of assets of the company (in liquidation) and R. 338 of



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the Rules of 1959. Shri S.N. Verma has relied upon the proviso to S. 529(2) of the Act which reads as follows:—

“Provided that if a secured creditor instead of relinquishing his security and proving for his debt proceeds to realise his security, he shall be liable to pay his portion of the expenses incurred by the liquidator including provisional liquidator, if any, for the preservation of the security before its realisation of the secured creditor.”

115. The directions of the Court for continuous supply of the electricity to the residential colonies of the workmen were made at the instance of the workmen, who were living in the quarters. It is reported that about one-third of the quarters were occupied by the officers and employees of the District Magistrate, Superintendent of Police and District Judiciary of district Sonbhadra. The directions were issued by the Court in liquidation proceedings for realisation of the house rent and electricity charges for the Government servant occupying the company accommodations. The workmen, however, were exempted as it was found that they are entitled for payment of the dues and they have not received salaries since 12-7-1998.

116. In *Textile Labour Association v. Official Liquidator*, (2004) 9 SCC 741 : (2004 CLC 741) the ONGC Ltd. supplied gas to Ambica Mills Ltd. in pursuance of the directions issued by the

Supreme Court on 17-10-1997 in IAS Nos. 168-78 by the Official Liquidator with directions that out of the assets of the company (in liquidation) the dues of ONGC Ltd. are required to be paid off first and the question of making any payment to any other creditors can arise only out of the surplus, if any remaining, after the full dues of ONGC Ltd. have been paid off. In a review petition, the Supreme Court relied upon *Supreme Court Bar Association v. Union of India*, (1998) 4 SCC 409 : (AIR 1998 SC 1895) and held that the Supreme Court in exercise of its powers under Art. 142 cannot ignore any substantive statutory provisions dealing with the subject. It is only residuary powers supplementary and complementary to the powers specifically conferred on the Court by Statutes exercisable to do complete justice between the parties, wherever it is just and equitable to do so. It is intended to prevent any obstruction to the extreme of justice. Paras 8,9 and 10 of the report relevant for the purposes of claim of the UP Power Corporation are quoted as below:—

“8. The effect of Ss. 529 and 529-A is that the workmen of the company become secured creditors by operation of law to the extent of the workmen's dues provided there exists secured creditor by contract. If there is no secured creditor then the workmen of the company become unsecured preferential creditors under S. 529-A to the extent of the workmen's dues. The purpose of S. 529-A is to ensure that the workmen should not be deprived of their legitimate claims in the event of the liquidation of the company and the assets of the company would remain charged for the payment of the workers' dues and such charge will be *pari passu* with the charge of the secured creditors. There is no other statutory provision overriding the claim of the secured creditors except S. 529-A. This section overrides preferential claims under S. 530 also. Under S. 529-A the dues of the workers and debts due to the secured creditors are to be treated *pari passu* and have to be treated as prior to all other dues.

9. Therefore, the law is clear on the matter as held in UCO Bank case that S. 529-A will override all other claims of other creditors even where a decree has been passed by a Court.

10. Therefore, claims, if any, of ONGC will have to be worked out in accordance with Ss. 529 and 529-A of the Companies Act as well. The contention advanced on behalf of ONGC by Shri Raju Ramachandran that if a mandamus



had been issued, it will prevail over any law is not tenable and is rejected.”

117. In order to effectively liquidate the company in which the payment to the workmen is a condition precedent in settling the dues from the realisation of the assets, the Court gave certain directions to the UP Power Corporation not to disconnect the electricity and to continue to raise the bills to the OL. If the electricity was disconnected the workmen could have been restless as their families could have seen untold hardships. The Court issued directions to supply continuous electricity for the welfare of the workmen and their families.

118. In order to avoid unrest and to calm down the workmen an interim order was passed directing that the UP Power Corporation be paid a sum of Rs. 7 crores as 10% of their dues as claimed by them along with late payment surcharge with an undertaking that this amount shall be adjusted in the final dividend. It now appears that this payment was over and above made due to the UP Power Corporation.

119. The question that falls for consideration is whether in the given situation in which the orders were passed to continue to provide electricity', at the instance of the workmen the electricity charges are expenses properly incurred in preserving, realising or getting in assets as provided in S. 457(2) of the Act illustrated in R. 338 of the Rules of 1959. There was no mining or production carried out in the company (in liquidation) after the winding up order. The then management continued up to 31-7-2001 and the OL did not pass any order to carry out any business activity. The directions to supply continued electricity were not given for the purpose of

preserving, realising or getting in the assets but by way of a facility to the workmen, to continue to live in the accommodations till they are paid their dues. Article 21 of Constitution of India provides that no one shall be deprived of his life and liberty except in accordance with the law. The Supreme Court has interpreted the right to life to include to right to live with dignity. The delay caused in sale of assets virtually deprived by the workmen, who were entitled along with secured creditors to have charge over the assets to pay their dues. Though they could be asked to vacate the quarters under S. 630 of the Act, it was not equitable or just for the Court to have directed their eviction or to allow them to live without the basic amenities like electricity, water, primary education, and health services. The Court was under the constitutional duty to accept the request of the workmen to provide them basic amenities for a decent and dignified life. The directions to continue to supply electricity as such were issued for effective liquidation of the company (in liquidation) and for proper and smooth sale and transfer of the assets to the purchaser. The Court cannot foresee a situation, which may have arisen in the long process of liquidation in refusing to provide basic amenities of the life to the workmen. The continuous supply of the electricity to the residential accommodations provided to the workmen was absolutely essential for effective liquidation of the company (in liquidation) and thus these charges can be included along with the charges of security, inspections, valuation, expenses of settlement claims committee etc., in the liquidation expenses to be borne by the OL for effective winding up of the affairs of the company and for distribution of its assets. The proviso to sub-section (2) of S. 529 will not be attracted as it is applicable in a situation where secured creditor, instead of relinquishing his security and proving for his debts, proceeded to realise his security and for that purpose the liquidator to bear the expenses for preservation of security before its realisation. The workmen cannot be treated to be secured creditors, who do not relinquish their security and proceed to realise their debts as security.

120. The liquidation expenses have not been defined in the Act or the Rules.



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The OL, however, is required in law under S. 457 of the Act to protect and preserve the properties of the company (in liquidation). He has also powers under R. 457(1)(e) to do all such other things as may be necessary for winding up to affairs of the company and distributing its assets. In order to sale the properties, the OL may be required to employ security for protection and dissolution of the assets, institution and defend the suit for prosecution to carry on business of the company so far as may be necessary for beneficial winding up of the company and to raise on the security of assets in requisite money. All these powers under S. 457(1) are necessary for the purposes of effective liquidation.

121. The judgment cited by Shri V.B. Singh, Senior Advocate in *Wonder Jupiterchit*, 1992 (74) CC 215 by Kerala High Court is as such not applicable to the facts of the case. The ratio of the judgment in *Textile Labour Association* (2004 CLC 741) (supra) is also not attracted as in the said case the directions to supply gas were given by the Apex Court on 15-4-1987 before the company was wound up by the High Court on 17-1-1997. The ONGC Ltd. as such was only a unsecured creditor. The mandamus issued by the Supreme Court did not help ONGC Ltd. for recovering its dues as the sale proceeds could be distributed only in accordance with Ss. 529 and 529-A of the Act.

122. Having settled the issue that the electricity dues are part of the liquidation expenses, objections were raised with regard to correctness of the bills raised by the UP Power Corporation Ltd. The State Government in the MOU had announced waiver of the electricity dues of Rs. 110.10 crores. The UP Power Corporation found that in fact these waivers are only to the extent of Rs. 76,40 crores. According to Shri W.H. Khan, the waiver was only in respect of the electricity for industrial use and not for domestic consumption. He has placed on record a scheme by which the

dues to the extent of Rs. 76.40 crores of the three divisions were waived. According to affidavit filed by Shri W.H. Khan the entire industrial dues were waived while keeping the amount for domestic consumptions which were not waived. These amounts will not be liquidation expenses as the electricity prior to the date of winding up was not supplied to the residential colonies under the orders of the OL or under the orders of the Court.

123. Three meters installed at single points feeding the colonies were not maintained properly. The reading were not regularly taken and the bills were initially prepared on LMB-6 (Industrial use). In his report the OL submitted:—

“6. UP POWER CORPORATION LTD. : (Annexure No. 6)

There are two divisions, responsible for supply of electricity to the various units of the company under liquidation, namely Sonbhadra and Mirzapur division. No documents or statement of power units consumed up to 31-3-1999 in various units and colonies of the above said company was made available to the committee, despite demand and explanation raised with the competent authorities of the respective divisions of U.P. Power Corporation. In the above circumstances we have admitted 50% of the arrears so claimed.

For the period, April, 1999 to May, 2006, the following adjudications were undertaken:

a. Sonbhadra Division

The units of electricity consumed in residential colonies of Dalla unit is 603840 from June, 2001 to March, 2006. From April, 2006 onwards unit of electricity consumed as per meter reading was less than 50% of 603840 units of electricity supply shown. From perusal of statement of meter reading for the period under consideration, it is abundantly clear that reading was not undertaken on regular basis. As such, the electricity bills for the units consumed have been claimed



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arbitrarily. Under the given circumstances and after due consideration the committee decided to pay 60% of the amount as claimed for Dalla residential colony. The committee has not considered the claim with regard to Late Payment Surcharge (LPS).

For other units i. e., Churk colony and Gurma colony, the committee has considered 100% of the claims against the units of electricity consumed as per the statement submitted by the Sonbhadra Division.

b. Mirzapur Division

The documents submitted on affidavit for claim is up to May, 2006. In reply to our queries the officers of the Mirzapur Division submitted monthly consumption of power by the ex-workers residing at Chunar residential colony and, the Water Pump House at Chunar. After-verification 100% of the claimed amount for power consumption except Late Payment Surcharge. (LPS) has : been admitted for Chunar residential colony. For the period April 1999 to 6-2-2002, we have observed that from December, 2002 to May, 2006, bills were raised for 181315 units of power consumption. The monthly consumption as claimed by the division from Feb., 2002 to Nov., 2002 were too high in variance and appears to have been made arbitrarily. Considering the above facts the claim committee has admitted 66.33% of the claimed amount for the period. 7th, February, 2002 to 31st May, 2006.

c. Jamuhar Tubewell, Sonbhadra:

Details of monthly electricity consumption were not made available to the committee. The claim includes Late Payment Surcharge (LPS). 'As such, 50% of the amount claimed has been admitted.

124. Shri W.H. Khan, appearing for U P. Power Corporation in support of objections/application

(0-9), has filed copies of the bills of September, 2006, October, 2006 and November, 2006 as well as copies of the bills up to 31-3-1994. During the course of argument, it was found that these bills include the period prior to the date of winding up. Shri W. H/'Khan took time and has filed four supplementary affidavits'. The first supplementary affidavit sworn by Shri Ram Saran, Executive Engineer, Electricity Distribution Division-I Mirzapur is dated 17-1-2007. The second supplementary affidavit of the same officer is dated 22-1-2007. The third, supplementary affidavit of Shri Gopal Singh, Executive Engineer, EDD, Robertsganj, Sonabhadra is dated 23-1-2007 and that last improved supplementary affidavit, filed during the course of submissions made by Shri W.H. Khan, is affirmed by Shri Gopal Singh, Executive Engineer, EDD Robertsganj, Sonabhadra. The details of the bills given in the last supplementary affidavit are given as below:

- "(a) The total principal amount up to 8-12-1999 is Rs. 22,760,039-67 and late payment surcharge is Rs. 5,04,14,689-33 and from 9-12-1999 to 11-10-2006 is Rs. 2,11,411,565-08 and late payment surcharge is Rs. 37,49,27,458-58 and from 12-10-2006 to Jan., 2007 is Rs. 7,367,365-57. and late payment surcharge is Rs. 570,110,576-18! The total principal amount comes to Rs. 570,110,576-18. True copy of the calculation chart showing break up of the arrears, the principal amount and late payment surcharge in respect of residential colonies of Churk, Dala and Gurma is being filed herewith and marked as Annexure SA-1 to this affidavit.
- (b) Similarly the principal amount of Chunar residential colony up to 31-3-1999 is (-) 1,73,505/- and Jamuhar Tube Well is Rs. 1,09-, 198/-. From 1-4-1999 to 8-12-1999 of Chunar residential colony the principal amount is Rs. 47,69,536 and late payment surcharge is Rs. 2,45,844/-. The principal amount of Jamuhar Tube Well is Rs. 9,61,352/- and late payment surcharge is Rs. 66,025/-. For the



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period 9-12-1999 to 11-10-2006 the principal amount of residential colony of Chunar is Rs. 4,48,93,442/- and late payment surcharge is Rs. 3,58,72,607/-. The principal amount of Jumuhar Tube Well is Rs. 98,70,487/- and late payment surcharge is Rs. 79,99,687/-. For the period i. e. From 12-10-2006 to 31-1-2006 the principal amount of Chunar residential colony is Rs. 30,86,935/- and late payment surcharge is Rs. 24,32,168/- and of Jamuhar Tube Well the principal amount is Rs. 1,71,057/- and late payment surcharge is Rs. 6,01,831/-, thus, the total principal amount of Chunar residential colony up to 31-1-2007 comes to Rs. 5,25,76,408 and late payment surcharge Rs. 3,85,50,619/- and of Jumuhar Tube Well the principal amount comes to Rs. 1,11,12,094 and late payment surcharge comes to Rs. 86,67,543/-. True copy of the calculation chart showing break up of the arrears up to the principal amount and late payment surcharge in respect of Chunar residential colony and Jamuhar Tube Well is being filed herewith and marked as Annexure SA-2 to this supplementary affidavit."

125. It has been found that the supply of the electricity under the orders of the Court was absolutely necessary to maintain industrial peace as well as to protect and preserve the assets of the company (in liquidation). The U.P. Power Corporation as such is entitled to the actual bills for supply of the electricity. It is, however, found from these bills that large component of these bills is of late payment surcharge. Shri W.H. Khan submits that late payment surcharge is part of statutory tariff and as such the Court may not deny the amount to the U.P. Power Corporation. He has relied upon the U.P. Electricity Supply Code, 20.05 and the rate schedule of the U.P. Power Corporation Limited, as per order dated 10-11-2004 of U.P. Electricity Regulatory Commission, effective from 1-12-2004. Para 6.7 of U.P. Electricity Supply Code, 2005 and para 12 of Rate Schedule LMV-2, effective from 1-12-2004 are quoted as below:—

"Uttar Pradesh Electricity Supply Code, 2005

6.7 Late Payment Surcharge

In case of dispute regarding levy of surcharges, the licensee shall settle the dispute within in two billing cycles from the date of protest by the consumer after giving him opportunity for reply and personal hearing."

Rate Schedule LMV-2

12. Surcharge/penalty:

(i) Delayed payment If the bill is not paid by the due date specified therein, a later payment surcharge shall be levied @ 1.25% per month up to first three months and subsequently @ per month. Late payment surcharge shall be calculated proportionately for the number of days for which the payment is delayed beyond the due date specified in the bill and levied on the unpaid amount of the bill excluding surcharge. This surcharge is without prejudice to the right of the licensee to disconnect the supply or take any other measure permissible by law.

(ii) Charges for exceeding contracted demand:

If the maximum demand in any month of the consumer having TVM/MDI/TOD meters exceeds the contracted load, such excess demand shall be levied at twice the normal rate.

This additional charge shall be without prejudice to the licencees' right to take such other appropriate action including disconnection of supply; as may be deemed necessary to restrain the consumer from exceeding his contracted load."

126. The statutory provision of levy of late payment surcharge in the U.P. Electricity Supply Code, 2005 made in exercise of powers conferred by Ss. 50 and



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181 read with Ss. 43 to 48,50,55,59 of the Electricity Act, 2003 (Act No. 36 of 2003) by the U.P. Electricity Regulatory Commission, provides that licensee shall settle the dispute regarding levy of surcharges within two billing cycles from the date of protest by the consumer after giving him opportunity for reply and personal hearing. The Rate Schedule (LMV-2) in para 12(i) provides for late payment surcharge @ 1.25% per month up to first three months and subsequently @ 1.5% per month.

127. The electricity supply was given to the colonies and Jamuhar Tube Well under the orders of the Court. The OL did not have any money in his account for payment of these bills until the amount was realised from the sale of the assets of the company (in liquidation). There was as such no question of default and wilful non-payment by the OL. The electricity supply was allowed to be maintained in the extraordinary situation. Although, the workmen and officers and employees of both the company (in liquidation) and State Government were in occupation of residences in the colonies, the liability of payment of bills is of the OL under the supervision of the Court and then to collect from the State Government employees and unauthorised occupants. In the circumstanes it cannot be said that those workmen, who are not getting salaries and were virtually starving and that the OL committed any default or were in a position to raise any dispute with regard to quantum of the bills. The workmen have protested to these bills on the ground that the electricity supply was limited to a few hours in day and that a large number of stone unauthorised connections were taken out of main supply and further that a large number of stone crushers were operating illegally from the same supply in connivance with the officials of the power corporation. The Court, however, is not taking cognizance of these complaints as it is not the appropriate stage to do so. The fact remains that the electric supply was given in pursuance of the order of the Court and that OL or the Court cannot be treated to be defaulter for payment of late payment surcharge. The OL had no money in the account of the company and as such he was not in a position and could not have paid or even raised a dispute. The bills of the U.P. Power Corporation given in supplementary affidavit of Shri Gopal Singh dated 20-2-2007 are admitted to proof except late payment surcharge. The OL shall make payments of the actual bills except

the late payment surcharge to the U.P. Power Corporation up to the date of declaration of final dividend. In compliance with these orders, the interim payment of Rs. 7 crores made to the U.P. Power Corporation in compliance of the order dated 22-11-2006 shall be adjusted out of the final payment. It is made clear that the OL will not be liable to make payment of electricity charges after the declaration of final dividend. (The disbursement has been stayed by Hon'ble Su-preme Court in SLP (Civil) No. 19132 of 2006 *RPJ Mineral Pvt. Ltd. v. S.K. Saxena* and others on 9-2-2007). The final disbursement of the amount shall be made only after the decision and in terms of the orders of the Supreme Court. The electricity supply will continue until the logical conclusion of these proceedings and the amount is disbursed to the workmen after its final adjudication or under the orders of the Supreme Court, as the case may be.

UP CEMENT VETANBHOGISAHAKARIRIN SAMITI LTD. CHURK (IJCPSRNL)

128. Shri W.H. Khan and Shri Ravi Prakash Srivastava, appearing for the UPCVSRNL, have prayed for condonation of delay for their application/objection (0-85) and have prayed for a deduction of Rs. 34 lacs from the salary of the workmen of U.P. Cement Corporation Ltd. (in liquidation) to be paid to the society and further an amount of Rs. 94 lacs is due against the members/employees, which have not been deducted by the company (in liquidation) may be got paid to the appellant-society from the amount which the members/employees have to get



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after settlement of their claims by the OL.

129. It is stated that the UPCVSRNL is a co-operative society of the workmen established for their welfare. The entire records of the society are under the look of the OL in the premises at Churk factory district Sonbhadra. The claims committee has illegally and arbitrarily rejected the claim of the society. The rejection order has not been served. He has prayed for condonation of delay. The cause shown is sufficient. The delay is condoned.

130. The co-operative society was established for the benefit of the workmen : In (2003) 115 Comp Cas 207, *Bank of Baroda v. Nutan Mills Employees Co-operative Credit Society Ltd.*, Gujarat High Court in the matter of winding up of the company held that the sums outstanding to the co-operative society of the workmen from the company are to be treated as wages in arrears. Hon'ble Justice R.K. Abichandani and Hon'ble Justice A.K. Trivedi, relying upon *Baroda Spinning and Weaving Mills Company Ltd. v. Baroda Spinning and Weaving Mills Cooperative Credit Society Ltd.*, (1976) 46 Comp Cas 1, held that the amount like a trust money and that the credit society can make a preferential claim before the exercise of distribution of the proceeds realised by disposing of the assets of the company. The details of the defaults made by the workmen apparently on the ground that the wages were not paid since July, 1998 have been enclosed along with 'affidavit of proof of debt' submitted by Shri Prem Chandra, ADO Co-operative, Chapka Block Robertsganj, District Sonbhadra/Liquidator, UPCVSRNL. From these affidavits, it appears that Deputy Registrar, Co-operative Societies, Vindhyachal Region, Mirzapur has passed orders under S. 72(2) (c) of the U.P. Cooperative Societies Act, 1965 for winding up of the co-operative society appointing Shri Prem Chandra, ADO, Co-operative as the liquidator. The claim also includes the details of the dues and the list of the workmen, who are liable to pay these dues.

131. The amounts do not exceed more than few hundreds and in some cases few thousands of the workmen. The Court as such finds that these dues of the cooperative society (in liquidation) have to be paid treating them to the workmen's dues as preferential payment. The application/objection is allowed. The OL is directed to deduct the amount from each of the defaulter workmen, list of which is given along with 'proof of debt.' The interest, however, calculated @ 12% shall not be payable to the co-operative society as these defaults cannot be said to be made by the concerned workmen intentionally. The defaulter-workmen were not getting their wages since July, 1998 and as such they will not be liable to pay the interest both

6% calculated in the chart of the defaults as well as 12% in calculation of the total amount annexed to the 'affidavit of proof of Shri Prem Chandra, ADO Co-operative/liquidator of the society.

132. Shri W.H. Khan very fairly quantified this amount to Rs. 34 lacs to be deducted from the salaries of the employees, a list of which is included with the 'affidavits of proof and further an amount of Rs. 94 lacs. The OL will deduct the interest component of this amount and shall make the payment to the Registrar, Co-operative Societies, U.P. for payment in the account of the UPCVSRNL (in liquidation) to be utilised in the manner in which it is provided under the U.P. Cooperative Societies Act.

LIQUIDATION EXPENSES

133. Out of total sale proceeds of Rs. 459 crores, the OL has made available for Rs. 435 crores for distribution leaving 24 crores towards liquidation expenses. The details and break up of the liquidation expenses, have not been provided in his report.



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134. Section 457 of the Companies Act, read with R. 338 of the Company (Court) Rules, 1959, provides for liquidation expenses payable out of assets in a winding up by the Court. The assets of the company in a winding up by the Court remaining after payment of fees and expenses properly incurred in preserving, realising or getting in the assets, shall, subject to any order of the Court and to the rights of the secured creditors, if any, be liable to the payments, the table of which in descending order is provided in R. 338. Firstly, the taxed costs of the petition, then costs and expenses of the persons in making the companies statement of affairs, then necessary disbursements of the Official Liquidator other than expenses properly incurred in preserving, realising or getting in the properties of the companies; the cost of any person properly employed by the Official Liquidator; the fees to be credited to the Government under S. 451(2) and the actual out of pocket expenses necessarily incurred by the members of the Committee of Inspection, and sanctioned by the Court are to be paid by the OL. In the present case following persons have claimed the amounts which may be included in liquidation expenses:—

1. Cost of security in preserving assets.
2. Cost of valuation of the assets.
3. Cost of the advertisement for sale.
4. Cost of members of asset sale committee.
5. Cost incurred by the OL in transportation, preservation and making copies of the records for being given to the workmen for securing employment as retrenched employees.
6. Cost of the committee appointed for making inventories of the accommodation, occupation of the workmen and for deciding their objections.
7. Cost of the settlement claims committee.
8. The dues of U.P. Power Corporation for domestic supplies and to tubewell, both under the orders of the Court as well as the orders of the local administration.
9. Cost of running the schools and the salaries of teachers and other staff of such schools which were taken over by the OL from the corporation.
10. Costs to be incurred on salaries and wages of the officers and employees for maintaining water and electricity supplies to the residential colonies.
11. Costs of salaries and expenses of maintaining Churk and Dalla provident fund account.
12. Cost of salaries and other expenses for maintaining dispensaries for health care of the workers.
13. Other miscellaneous costs which were necessary for preserving assets of the company.

135. Secured creditors have raised dispute with regard to payment of electricity and salaries of the teachers and staff for water and electricity expenses and staff for maintaining Churk and Dalla provident fund account and the cost and expenses for security staff of the company up to 31-7-2001 under the orders of the then management of the corporation continuing even after winding up till the OL took over the possession. These objections have been raised on the ground that facilities given by the Court to workmen, shop keepers, Government officers and other authorised or unauthorised persons living in the colonies or occupying the company properties without any legal authority cannot be legally incurred by the OL. The secured creditors submit that these facilities which were essential services were incurred for the benefit of the workmen and that the workmen must

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pay for these facilities from out of the amount reserved for them. These expenses cannot be apportioned between the secured creditors and the workmen as these expenses cannot be treated to be properly incurred for preserving and maintaining the assets for their sale and distribution.

136. Shri Yogesh Agarwal and Shri K.C. Vishwakarma appearing in Appeals/Objections No. 0-47 (primary school teachers of Chunar), No. 0-48 (primary school teachers of Dalla), 0-73 (Secondary school teachers and staff of Churk), 0 = 74 (primary school teachers of Dalla) and 0-75 (primary school teachers of Churk); Shri Narendra Mohan appearing for staff of the EPF trust; Shri P.N. Saxena appearing for watch and ward staff and Shri Ashok Kumar Srivastava appearing for staff maintaining electricity and water supplies submit that right of the employees under Arts. 19 and 21 of the Constitution of India do not get suspended on the winding up of the company. An order to effectively liquidate the company and for protecting and preserving the assets, which was necessary that the workmen should have occupied the houses as they were involved in preserving assets but were also provided sufficient check in theft and dissipation of the goods of the company which were spread over 80 kms., areas including factory sides, colonies and mines. The Court recognised these rights and both as exworkmen and citizens of the country and allowed workmen to stay in the colonies and for their health, education of their children and for maintaining power and water supplies. The winding up of the corporation wholly owned and controlled by the State does not cease to take away its liabilities towards the workmen until they are paid their dues in full. The OL simply steps in shoes of the company and has to safeguard the fundamental rights of the workmen. Shri Yogesh Agarwal has relied upon judgment in *Kapila Hingorani's case*, JT (2003) 5 SC 1 in support of the submissions and has further relied upon Art. 23 of the Constitution of India which prohibits 'begar.' He has also relied upon Art. 21-A of the Constitution of India which gives guarantees to the children up to age of 14 years to receive free education. The legitimate expectation of the workmen to continue to live in the colonies with dignity until they are paid can only be defeated by overriding public interest. In the present case no such public interest intervened in their rights to continue in the colonies and to receive the basic amenities which are required for dignified life.

137. The primary school of the company (in liquidation) at Churk has 600 students and the primary school at Chunar has 257 students. The 10 primary school teachers and employees of Dalla; 6 primary school teachers; staff of Chunar and 22 primary school teachers of Churk have relied upon the orders of the General Manager of the company dated 24-3-2000 and Court's orders dated 8-8- 2001 to allow these primary schools to continue. These schools were handed over to OL on 3-8-2001.

138. It cannot be said that running of these schools was business of the company (in liquidation). The workmen were however living in the colonies and their children could not be ignored by the OL and the Court. The State under Art. 21-A of the Constitution of India guarantees free education to the children up to age of 14 years. The State has a corresponding duty to

provide facility for free education. The OL is an officer of the Central Government and Court are also State within the meaning of Art. 13 of the Constitution of India. The OL as such could not have ignored fundamental rights of the children of the workmen living in the colonies of education in the schools which were run by the company (in liquidation). The business of the company under S. 445(iii) of the Act of 1956 includes all incidental activities. The OL as such was under constitutional duty to provide facilities of, primary school to the children of the workmen. The Court had



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directed the Secretary of Education (Primary) Government of U.P. to take over these schools under 'Sarva Shiksha Abhiyan Scheme.' The Secretary of Education (Primary) Government of U.P. had appeared in the Court and had informed that a proposal in this regard has been put to the State cabinet. The State Government thereafter agreed to take over these schools and consequential orders were issued. District Basic Education Officer and District Magistrate, Sonbhadra directed the OL to hand over the building and land of the primary schools so that salaries may be disbursed. The request surprised the Court as the Government order which translated the decision of the State cabinet to take over the schools was not communicated to the Court earlier than the confirmation of the sale of assets. The matter with regard to taking over schools are still pending in special appeal in the Court.

139. The fundamental right of the children to receive primary education in the schools, which are so available, run in the premises of the company (in liquidation), which have not yet been handed over to the purchaser, would compel the OL to pay the salaries of the Assistant Teachers and employees of these primary schools. These expenses as such will be charged on the liquidation expenses and shall be paid as liquidation expenses by the OL until the schools are taken over by the State or till the purchaser takes over these schools and makes arrangement for education of the children. On such date, the liability of the OL to pay salaries of headmaster, teachers and staffs of these primary schools will come to an end. The appeals/objections No. 0-47,0-48,0-74,0-75 are allowed. To that extent, the appeal/objection No. 0-73 by Secondary School Teachers at Churk, who was appointed as Lecturer (Physics) visiting teacher cannot be considered as all the secondary schools have been taken over by the State Government and that salaries of only those teachers were not disbursed who were teaching classes for which the grant-in-aid was not given. Shri Mahaveer in his appeal/objection No. 0-73 was visiting teacher appointed on a consolidated salary. His salary as such cannot be disbursed by the OL and his appeal/objection is accordingly dismissed.

UNSECURED CREDITORS

140. The appeals/objections 0-13 (Executive Engineer, PWD, Auraiya and 0-23 to 27,0-28 (Parash Nath Cement Pvt. Ltd.), 0-29 to 34,0-44 and by the Forest Department, 0-61 to 63,0-81 and 82,0-88 have been filed by the Government departments unsecured creditors, who had completed works or made advance for supply of cement. Some of these unsecured creditors are dump/depot holders/transporters with their claims against the company (in liquidation). These persons falling in the category of unsecured creditors. Having partly admitted the appeals/objections of the secured creditors and workmen and having separated the amounts detailed in the order as liquidation expenses, there will be no amount left to be paid to the Government departments and unsecured creditors under S. 530 of the Act. The considerations of the appeals/objections of secured creditors and workmen has not left amount to be paid in full to the secured creditors and workmen and that a pari passu deduction has to be made of their admitted claims under S. 529-A of the Companies Act, 1956. In the circumstances, the determination of admittance of proofs of their claims of the State Government departments and unsecured creditors as well as their appeals/objections are dismissed. Some of these appeals by

Government departments and unsecured creditors were decided separately and that all were dismissed.

Nagar Panchayat Churk/JAIL

141. Nagar Panchayat Churk has filed their objections 0-2 through Shri U.N. Sharma, Senior Advocate assisted by Shri Ravi Shanker Prasad with regard to exclusion of 30 shops constructed at old Plot 933 Gata No. 933 new Numbers



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438/439 area 0.4746 hectares, on which the Nagar Panchayat Churk had constructed the shops after sanction of the map by Sub-Divisional Magistrate of notified area/prescribed authority, on 15-4-1991. These objections are not to be considered and adjudicated in these appeals/objections under R. 164 of the Companies (Court) Rules, 1959. These will be considered separately considering the reply given by Official Liquidator and JAL. Similarly objection 0-86 filed for separating the area acquired and on which a Jail is being constructed shall be considered separately.

SHRI G.S. BIRDI, VALUER

142. The appeal/objections (0-53) is filed by Shri G.S. Birdi, a registered valuer on the panel of the OL for settlement of the bills out of the liquidation funds. He has claimed Rs. 33 lacs as his fee for valuation based on rules framed under the Wealth Tax Act in terms of the orders passed by this Court in Special Appeal No. 271 of 2002 by Grasim Industries Ltd. and Special Appeal No. 316 of 2003 by State of U.P.

143. Shri Pankaj Bhatia appearing for G.S. Birdi states that the valuation was carried out in accordance with the rules in pursuance of the orders of the Court and thus the amount may be charged to the liquidation expenses of the company (in liquidation).

144. The assets of the company (in liquidation) were valued by Shri A.F. Furgusan and Company in 1995 in pursuance of the directions of BIFR. Thereafter, Shri N.K. Agarwal, a registered valuer valued the assets in the year 2001. These two valuations were the basis of documents of sale prepared by the State Government. The third valuation by Shri G.S. Birdi was in fact revaluation of the assets for which he had sufficient material available on record in the reports of A.F. Furgusan and Company and N.K. Agarwal. Shri G.S. Birdi did not carry out any fresh measurements of the mines, factories, building, plant and machinery etc. He did not prepare any fresh inventories of the stores and material lying on the spot.

145. There is difference between the valuation of the properties and revaluation which is based on earlier reports. In the cases of revaluation the valuer may only verify the measurements and inventories of the earlier valuation and may include such items which were left or have to be added to the valuation or which may have stolen or destroyed. In any event of revaluation, the valuer is not required to carry out the same extensive exercise. His job in revaluation is much simple and is confined to verification rather than valuation.

146. Shri Pankaj Bhatia, learned counsel appearing for G.S. Birdi left the matter of settlement of his bills to the discretion of Court. The discretion given to the Court in such matters cannot be exercised arbitrarily or unreasonably. It must be based on sound judicial principles, which rest the claim on statutory provisions or precedents. Shri Pankaj Bhatia did not cite any rule of precedent which may give an indication to the Court for exercising its discretion. In the circumstances, the Court is left to exercise discretion on the basis of the work done by the valuer taking into account the earlier two reports. The Court finds that 50% of the amount claimed by him, which may include his expenses and the fees of the services which he may have hired, would be sufficient to cover his expenses and fees for revaluation of the assets of the company (in liquidation). The OL will charge this amount to the liquidation expenses.

EMPLOYEES LOOKING AFTER EPF TRUST DALLA AND EPF TRUST CHURK

147. The officers and workmen maintaining electricity supply, water supply, teachers in primary school, staff of the dispensaries, workmen employed for security of the godowns and stores by the management, and the officers and staff



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managing the Employees' Provident Fund Trust Churk and Employees Provident Fund Dalla have claimed their salaries from the liquidation expenses. They have relied upon orders passed by the Court by which the Court directed the electricity and water supplies, schools and hospitals to function. I have already found that the officers and staff maintaining water and electricity, primary education and health are entitled to some token which is yet to be determined from the liquidation expenses. The situation of employees looking after the employees provident fund trust is slightly different.

148. The EPF Trusts Dalla and Churk were exempted from the provisions of the Employees' Provident Fund and Miscellaneous Provisions Act, 1954. These trusts were run and managed by the company (in liquidation) and the administrative expenses over and above the expenses charged to the trusts were borne to the company (in liquidation). If there was any shortfall in the payment of interest, the same was also required to be borne by the company (in liquidation). Some complaints were made with regard to irregularities in the trusts on which orders were passed on 19-5-2005, 14-7-2005 and 5-4-2006 under which the trusts were directed to be handed over to the EPF Commissioner and audited by the Chartered Accountant nominated by the EPF Commissioner. The accounts of these trusts were finalised for which the EPF Trust Churk was given a sum of Rs. 50,000/- from the liquidation expenses. The EPF Trust Dalla did not claim any amount. Shri G.S. Rai, General Manager was Chairman and Shri A.K. Upadhyay, an employee of the company (in liquidation) was Secretary of EPF Trust Dalla and was looking after the trust with three employees out of which one had retired. Shri Suhail Sultan was Secretary of the EPF Trust Churk. He was looking after the trust with the help of 6 employees. All these employees were working in the accounts department of the company.

149. The account of these trusts were audited and that objections made by the auditors were removed and that by order dated 2-8-2006 these accounts were finally transferred to the Regional Provident Fund Commissioner, Varanasi who was called to the Court on about three occasions and were given detailed directions with regard to the disbursement of the amount. On the advise of the RPEF Commissioner, Varanasi the loan transactions out of these trusts were stopped and final accounts were directed to be prepared. It is reported that the accounts are being settled with the workmen and that out of 5000 employees who are members of the trusts, almost 80% of the employees of the EPF Trust of Dalla and 50% employees of EPF Trust Churk have been paid EPF amount calculated up to 12-7-1998.

150. The employee's share to be contributed to the trust from 13-7-1998 to 9-12-1999 from the wages to be paid to the workmen under the EPF scheme, the workmen are also entitled to the employer's share on this amount which was increased to 10% w.e.f. 1-5-1997. Most of the workmen were also covered under the Employees Pensions Scheme, 1995 and that a contribution of 8.33% was subject to maximum of Rs. 417/- per month calculated on the contribution of Rs. 5000/- (per annum) was payable to the pension fund.

151. Now since the EPF Trust account has been closed; employee's share on the wages from 13-7-1998 to 8-12-1999 may not be deducted and be directly paid over to the workmen. The employer's share also has to be paid over to the workmen by the OL except 8.33% of the amount subject to maximum of Rs. 417/- per month from out of employer's shares is to be contributed towards the Pension Fund, 1995, if the EPF Commissioner, Dalla is entitled to employees to claim their pension w.e.f. 8-12-1999 i. e. the date when the company (in liquidation) was wound up by the Court. The winding up date will be the date on which the



employees will cease to be a member of the EPF Trust and will exit from the EPF membership. The trustees clerks and employees shall be paid wages after the date of winding up in accordance with the rates given in para 189 of this judgment.

EMPLOYEES' PROVIDENT FUND

152. Shri D.K. Pandey and Shri Dhananjai Awasthi appear for Provident Fund Commissioner and have filed objections 0-36, on behalf of Employees' Provident Fund Commissioner verified by Shri Gopal Ram, S.S. A : at S.R.O. Varanasi. The workmen of the U.P. State Cement Corporation (in liquidation) were contributing to Employees' Provident Fund Trusts at Churk and Dalla. Both these trusts were exempted by the State Government under S. 17(1)(a) of the Employees' Provident Fund and Misc. Provisions Act, 1952 (EPF Act of 1952). The recommendations for grant of exemption by the Regional Provident Fund Commissioner dated October 24, 1990 under S. 17 (1)(a) of the PF Act 1952 have been placed on record along with the affidavit of Shri A.A. Siddiqui, Enforcement Officer, EPF Organisation, Allahabad.

153. In the liquidation proceedings, some of the workmen raised doubts about the manner in which the trusts were functioning. By orders passed in the proceedings the Court directed the Secretary of both the trusts namely Shri A.K. Upadhyay and Shri Suhail Sultan to hand over accounts of the Trusts to the Regional Provident Fund Commissioner, Varanasi for audit by an auditor nominated by the Provident Fund Commissioner, New Delhi. Both these accounts were audited and discrepancies pointed out by the auditors were removed in a series of meetings carried out under the orders of the Court. The entire securities with the trustees were handed over to the Regional Provident Fund Commissioner, Varanasi. The accounts were finally closed and directions were issued on the recommendations of the Regional Provident Fund Commissioner, Varanasi not to disburse any further loans and to finally settle these accounts. Thereafter, detailed orders were issued by the Court, directing Regional Provident Fund Commissioner, Varanasi for verifying the claims to finally settle the claims in favour of employees by giving them appropriate interest in accordance with provisions of the trust. It is reported that most of the accounts have been settled. The Court has not received any complaint from the workmen regarding any shortfall in payment of the amount including the employees contribution and interest. In these orders, the Court had made it clear that the Regional Provident Fund Commissioner, Varanasi will pay the entire employer's shares and interest which will be given to the workmen at the time of closing of the accounts and that entire administrative expenses including the audit fees shall be paid. The trustees informed the Court that the trust was having an excess amount realised from the securities as the statutory interest was reduced by the Central Government. The Employee's Pension Scheme, 1995, is closely left with the Employees' Provident Fund Act, 1952 and Employees' Provident Fund Act, 1970. The part of the contribution was given in EPF Act 1995 for the purposes of payment of pension payable after the date of superannuation of the workmen. The prayer has been made on behalf of the workmen that although the accounts of trust have been closed on the date of finding up, the contribution to EPF Act, 1995 from the Act of EPF be made up to the date when the possession of unit was taken over i. e. 31-7-2001 so that all the employees may get the benefit of pension calculated up to July, 2001.

154. That Shri J.K. Pandey, Assistant Provident Fund Commissioner, Sub- Regional Office, Varanasi submitted claims on behalf of both these trusts, which were handed over to RPFC, Varanasi. The details of claims, claims admitted and net dividend payable is given as below:—



Sl. No.	Name	Unit		Claimed amount	Claim admitted	Net dividend payable
1.	J.K. Pandey Asstt. Commissioner, Sub-Regional Office, Varanasi	Churk Chunar &	Claimed amount	289846508		
			EPF-1952 104-1971 and EPS-1995		100568970	
			Audit fee		238000	
			Total		100806970	100806970.
2	J.K. Pandey Asstt. Commissioner, Sub-Regional Office, Varanasi	Dalla	Claimed amount	155471240		
			EPF-1952 104-1971 and EPS-1995		53797575	
			Audit fee		218000	
			Total		54015575	54015575
3.	J.K. Pandey Asstt. Commissioner, Sub-Regional Office, Varanasi	Supplementary claim for Churk and Dalla	Claimed amount	1157351		
			EPF-1952 Claim processing expenses		1133746	
			Audit fee		23605	
			Total		1157351	1157351
			Grand Total	446475099		155979896

155. Shri Ashok Mehta, learned counsel appearing for Official Liquidator, has not raised any objections with regard to employer's contribution up to date of winding up on 8-12-1999 and the interest paid by EPFC, Varanasi to the workmen on behalf of the trust. He, however, has raised objections with regard to any claim towards penal interest and damages under S. 7-Q and damages under S. 14-B for default in employer's contribution claimed by the Assistant Provident Fund Commissioner, Varanasi.

156. Shri Dhananjai Awasthi was asked to substantiate the claim with regard to penal interest under S. 7-Q and damages under S. 14-B of the JEPF (MP) Act, 1952. He has filed an affidavit of Shri M.L. Verma, Assistant Accounts Officer (Legal) EPFC, Allahabad and thereafter on the direction of the Court, an affidavit of Shri A.A. Siddiqui, Enforcement Officer, EPFC, Allahabad has been filed. A perusal of the affidavit of Shri A.A. Siddiqui shows that the interest on the PF

contribution paid to the workmen in case of both the trusts is calculated on the basis of the interest notified by the Central Government. The rate of interest calculated and paid to the workmen is as follows:—

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"CALCULATION OF INTEREST PAYABLE TO THE P.F. MEMBER OF U.P. STATE CEMENT CORPORATION LIMITED, CHURK, SONEBHADRA P.F. CODE NO. UP/423

Year	Rate of Intt. P.A.	P.F. Contribution	Opening Balance	Interest Payable	Closing Balance
97-98	12%	44362622	0	1774505	1774505
98-99	12%	56206348	44362622	9470899	53833521
99-00	12%	0	111814374	13417725	125232099
00-01	11.25%	0	125232099	14088611	139320710
01-02	9.50%	0	139320710	13235467	152556177
02-03	9.50%	0	152556177	14492837	167049014
03-04	9.50%	0	167049014	15869656	182918670
04-05	9.50%	0	182918670	17377274	200295944
05-06	8.50%	0	200295944	17025155	217321099
06-07	8.50%	0	217321099	18472293	235793392
			1340870709	135224422	1476095131

"CALCULATION OF INTEREST PAYABLE TO THE P.F. MEMBER OF U.P. STATE CEMENT CORPORATION LIMITED, DALLA, SONEBHADRA P.F. CODE NO. UP/4427

Year	Rate of Intt. P.A.	P.F. Contribution	Opening Balance	Interest Payable	Closing Balance
97-98	12%	27423622	0	1096945	1096945
98-99	12%	26373953	28520567	5268646	60163165
99-00	12%	0	60163165	7219580	67382745
00-01	11.25%	0	67382745	7580559	74963304
01-02	9.50%	0	74963304	7121514	82084818
02-03	9.50%	0	82084818	7798058	98882876
03-04	9.50%	0	89882876	8538873	98421749
04-05	9.50%	0	98421749	9350066	107771815
05-06	8.50%	0	107771815	9160604	116932419
06-07	8.50%	0	116932419	9939256	12687167
		0			
			726123458	7307410	799197559

157. The calculating the rate of interest as given above on the opening balance of the PF contribution of Rs. 4,43,62,622/-; closing balance as on 20-3-2007 comes to Rs. 147,60,95,131/- for EPF Trust Churk, Sonebhadra PF Code UP/423 and on the opening balance of Rs. 2,74,23622/- and closing balance as on 20-3-2006 comes to Rs. 79,91,97,559/- in respect of EPF Trust Dalla, Sonebhadra PF Code UP/4427.

158. There is no dispute with regard to employer's contribution, administrative charges and audit fees, which have. been admitted in full amount to the PF Commissioner. The dispute only centres about penal interest under S. 7-Q and damages under S. 14-B of the EPF Act, 1952.



159. The EPF Trust Churk and Dalla were exempted trusts maintained by the company (in liquidation). The company was wound up on the recommendation of BIFR on 9-12-1999 and appeal against the winding up order was dismissed. The company was suffering severe losses and closed its production since 1994. The wages were paid from the grants given by the State Government and thus the employer's contribution was not deposited in the trust. Thereafter the possession of the unit was taken over by the Official Liquidator in July 2001 and process of sale continued upto November 2006. Section 7Q of the EPF Trust 1952 provides that the employer shall be liable to pay simple interest @ 12% per annum and at such higher rate as may be specified in the scheme and any amount due from him under the Act from the date it becomes due is provided higher rate of interest specified in the scheme shall not exceed to lending rate of interest charged by any scheduled bank. Section 14B of EPF Act 1952 provides for recovery of damages on the employer making default in making contribution to the fund. For this purpose a notice has to be given to the employer and opportunity of hearing has to be given before levying and recovering damages. Section 17(1-A) (a) provides that where exemption has been granted to any establishment under clause 17-A(a) the provisions of Sections 6,7A, 8 and 14B shall, so far as may be, apply to the employer of the exempted establishment in addition to such other conditions as may be specified in the notification granting such exemption and where the employer contravenes, or makes default in complying with any of the said provision, or conditions or any other provision of this Act, he shall be punishable under Section 14 as if the said establishment has not been exempted under the said clause (a).

160. Shri Dhananjai Awasthi submits that as soon as default was made, the exemption will be deemed to be withdrawn and that the statutory liability under Sections 7Q and 14B will automatically come into play.

161. I do not find any good ground to accept the prayer of payment of penal interest and damages under Sections 7Q and 14B of EPF Act 1952. Section 7Q of the EPF Act 1952 is a penal provision applicable where the employer makes default on any amount due under the scheme from the date when the amount becomes due at the rate of 12% per annum or as such higher rate as is being specified in the scheme, which shall not exceed lending rate of interest charged by the scheduled bank. Firstly the scheme does not provide for payment of any such interest and secondly in the present case the default was not intentional. Although the Official Liquidator steps in show of the employer where the industry stopped production and cannot be rehabilitated and has to be wound up. The question of payment of penal interest does not arise. Section 7Q is as such clearly inapplicable and in any case the rate of 12% interest from the date when the amount fall due cannot be awarded out of sale proceeds. This amount will not be paid to the workmen to be part of Section 529, and to be made part of the wages to be paid to the workmen under Section 529(3) (b) of the Companies Act 1956. The Court as such cannot allow the amount realized from the assets to be distributed in accordance with the Section 529-A to be included in wages of the workmen.

162. The object and purpose of damages under Section 14B were considered by Supreme Court in (1998) 2 SCC 242 : AIR 1998 SC 688. The vires of Section 14B was upheld on the ground that it provides a show cause notice and a reasoned order after following principle of natural justice and giving a reasonable opportunity of hearing (para 28) before the damages can be revied. This Court in the *Northern India Press Works v. Regional Provident Fund Commissioner*, 1983 Lab IC 1314, the Delhi High Court in *Atlantic Engineering Services (P) Ltd. N. Delhi v. Union of India*



1979 Lab IC 695 & Supreme Court in *Organo Chemical Industries v. Union of India*, (1979) 4 SCC 573 : AIR 1979 SC 1803 held that though there is no limitation of power under Section 14-B for levying of the damages is to be exercised by giving opportunity of hearing to the concerned party. Same view was taken in *Regional Provident Fund Commissioner, U.P. v. Allahabad Canning Co., Bamrauli, Allahabad*, 1978 Lab IC 998 and Kerala High Court in *Calicut Modern Spinning & Weaving Mills Ltd.*, 1982 Lab IC 1422.

163. In the present case the employer was not at fault in failing to deposit as there was no production nor there was any special grants given by the State Government. The trusts were managed by the company and not by EPF commissioner. There was no notice given to the management or the Official Liquidator nor any proceedings were taken or any reasoned order passed to impose damages under Section 14-B of the EPF Act, 1952. The claim of the Provident Fund Commissioner as such under Section 7Q and Section 14-B of EPF Act, 1952 is rejected. The amount claimed towards employer's contribution and administrative expenses including audit fee is held to be admissible and has been so admitted to proof by the Official Liquidator.

164. Appeal No. 8574 of 2007 (0-57) filed by C-14 Jai Ram Sharma and 11 others.

165. Heard Shri K.C. Vishwakarma for the 12 applicants. The applicant Nos. 1 to 11 are claiming to be working even after the date of winding up for supplying electricity to Cement Factory Colony, Chunar and Jamohar Water Pump. The applicant No. 11 himself to be Executive Engineer and appears to have certified that the applicant Nos. 1 to 10 have worked regularly. The application was forwarded by the Sub Divisional Magistrate, Chunar to the Official Liquidator. The applicant No. 12 is the Churk Adhikari Kalyan Samiti.

166. Shri. K.C. Vishwakarma submits that Sub Divisional Magistrate has verified that the applicant Nos. 1 to 11 have worked for supplying electricity to the residential colonies of the company at Chunar.

167. All the workmen engaged in maintaining supply of water and electricity had approached the Court in the year 2001-2002 and were given specific orders to continue to work to maintain the water and electricity supplies and that a provision was made to pay Rs. 1000/- per month by way of interim measure. These applicants were not included in that group and that they have not been receiving the benefit of Rs. 1000/- per month. The Court therefore, has doubt over their working as they were never claimed any amount for maintaining water and electricity supplies from 1999 to 2006.

168. Shri Yogendra Singh, who claims himself to be Executive Engineer in 2001 also has not submitted any proof and was never authorised by the Official Liquidator or the Court to function as such the claims of these workmen and Shri Yogendra Singh for payment after the date of winding up are as such rejected. For the period before the date of winding up they will not be covered by the decisions taken with regard to other workmen and employees.

169. Shri Viswakarma then submitted that the officers, who were not working in supervisory capacity and are to be treated workmen, are also entitled to be CCI scales, they were given to them in 1979 and 1986 and approved to be implemented for further revision w.e.f. 1-4-1996. He, has relied upon a letter dated 11-8-1998 sent by the Senior Personal Officer, Headquarters, U.P. State Cement Corporation Ltd. (in liquidation) for implementing the Cement Corporation of India's pay scale w.e.f. 1-4-1996. The consequential orders were not passed and that on



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the date of winding up they were not receiving the wages in terms of the CCI pay scales.

170. These officers were receiving central dearness allowances. They are claiming Industrial

Dearness Allowance, for which they have not shown any entitlement and implementation. The claims for IDAR are also not applicable and are rejected.

171. There are many categories of workmen, who are claiming entitlement of higher wages. The Court is not required to adjudicate whether they were entitled to such wages and will rely last wages drawn by the claimants. Wherever the Wage Board Award and CCI scales were not implemented, the workmen/employees will not be entitled to the same. The appeal/objection is disposed of accordingly.

172. Appeal No. 11527 of 2007 (0-59) filed by Harish Chandra Mishra and 7 others.

173. The claims of these workmen will be considered in accordance with the general directions given for calculating the wages. These workmen have claimed 'that they were looking after the water and electricity supply. They however, have not furnished any proof for the same. They had not approached earlier to the Court and are not workmen who are directed to continued work either by the Official Liquidator or the Court. The payment from the liquidation expenses will be made only to those workmen, who are permitted by the Official Liquidator or the Court to continue to work to supply water and electricity to the colonies.

174. Appeal No. 14012 of 2007 (0-66) filed by Ram Bali Singh and 5 others.

175. The claim of these applicants, who were working as workmen at Chunar Cement Factory Colony for supply of water and electricity were allowed to continue and the payment of Rs. 1000/- on an interim basis shall be governed for the date prior to the date of winding up by the orders passed as above for all the workmen and for a period after the winding up, they will be paid Rs. 3000/- per month for skilled workmen and Rs. 2000/- per month for unskilled workmen after making deduction the amount already made to them by the Official Liquidator.

176. Appeal No. 37580 of 2007 (0-63) filed by Yogendra Kumar Mathur and three others.

177. The claims/objections of these workmen are covered by the general direction issued in this order. The Official Liquidator will calculate their claims accordingly.

178. Appeal No. 14009 of 2007 (0-65) filed by M/s Chhavi Nath S/o Late Mangaroo, resident of Village Bakiabad, Post Chunar, District Mirzapur.

179. The applicant has claimed arrears on the basis of Labour Court : Award passed by H.M. Misra, dated 27-3-1985 in Adjudication Case No. 19 of 1984 by which it was held that his services were wrongly terminated on 23-6-1980.

180. The Court has already accepted all the awards under the Industrial Disputes Act and adjudications by the Labour Court. The Official Liquidator will consider his application accordingly.

181. Appeal No. 14014 of 2007 (0-67) filed by Haridas son of Dukhi Seth Resident of Qtr. No. SF-1/1 /50 Chunar Cement Factory Colony, Post Chunar District Mirzapur.

182. The applicant has claimed arrears on the basis of Labour Court Award passed by H.M. Misra, dated 27-3-1985 in Adjudication Case No. 19 of 1984 by which it was held that his services were wrongly terminated on 23-6-1980.



183. The Court has already accepted all the awards under the Industrial Disputes Act and adjudications by the Labour Court. The Official Liquidator will consider his application accordingly.

184. Appeal No. 15367 of 2007 (0-69) filed by Nand Kumar Mehta and 103 others.

185. The workmen of Dalla, Sonbhadra are covered by Award in Adjudication Case No. 9 of 1984 decided by H.M. Misra, Presiding Officer, Industrial Tribunal-1 UP Allahabad dated 22-1-1985 by which it was held that these workmen were entitled to regularization. The matter has been dealt with and that all Labour Court awards and adjudications have been accepted to be considered and award by the Official Liquidator. The appeal is disposed of accordingly.

186. Appeal Nos. 16892 & 16897 of 2007 (0-72) filed by Ramesh Kumar Singh, Proprietor, M/s. Vidyaman Cement Agency, Jamui Chatti, Chunar, Mirzapur.

187. The applicant is proprietor of M/s. Vidyaman Cement Agency and was an agent of the Company (in liquidation). He deposited Rs. 10,000/- as security and claimed Rs. 25,000/- which has been accepted partly for Rs. 10,000/- the principal amount deposited by him.

188. The rejected part of the claim will fall in the category of unsecured creditors. After excluding liquidation expenses and payment to secured creditors and workmen under Sections 529 and 529A on pari passu basis, nothing will be left for payment to unsecured creditor. The appeals/objections are accordingly rejected.

189. Appeal No. 18646 of 2007 filed by Smt. Dulari Devi and 8 others and Appeal No. 18651 of 2007 filed by Radhey Lal and 21 others.

190. These appeals/objections have been filed by Smt. Dulari Devi and 8 others, non-teaching staff of Primary School, Sectors A, B, C, D, Dalla, Sonbhadra and Radhey Lal and 21 others. In appeal No. 18651 of 2007, the applicant No. 1 is Principal; applicant Nos. 2 to 17 are Assistant Teachers and 20 to 22 are peon of Cement Factory Primary Pathshala Churk Sonbhadra. These primary teachers were allowed to continue to serve to primary schools for teaching to children of the Cement Factory Colonies. The orders were passed to allow them to continue to serve. They however were not paid salary. It has been decided as above that their services were essential for presentation of the assets and also to serve the fundamental rights of the children of the residents of the colonies. The Principal as such will be paid at the rate on which the Supervisory staff will be paid i. e. Rs. 5000/- per month from the date of winding up to the date of declaration of final dividend : the teachers will be paid as skilled employees and peon as unskilled employees at the rate of Rs. 3000/- and Rs. 2000/- per month respectively. For the period prior to the date of winding up. they will be paid wages in accordance with the wages, which they were received. The applications are accordingly disposed of.

191. Appeal /Objection No. 47487 of 2007 (0-91) filed on behalf of Awadesh Pratap Singh and 8 others.

192. Heard Sri O.P. Singh, learned counsel for the appellant/objectors. By this application, Shri Awadhesh Pratap Singh and 8 others, the Principal and Teachers of Junior High School Ghurma and Cement Factory Inter College Churma,. district Sonbhadra, established and run by the company (in liquidation), have prayed to recall/modify the order dated 29-11-2006 by which the Court noticed that Jaiprakash Associate Ltd. the confirmed purchaser of the assets of the company (in liquidation) wants to run the school through 'Jaiprakash Sewa Sansthan'. They however do not have any plan to disturb any school upto academic year 2006-2007. It was thereafter observed in para 17 that let individual teachers apply



for either transfer of their Services or for adjustment of their services in any other State schools. They were also given liberty to negotiate with JAL, in case they are upto the standards for retaining their services on fresh terms and conditions. The Court however was not inclined to give any protection order in the matter.

193. It is contended that the land namely plot No. 1329 area 12.375 acres was acquired by the State Government by notification dated 28-9-1979 under Section 4(1) read with Section 17 (4) and Section 6 of the Act, for the purposes of establishing residential quarters and for school building for the workmen working in the mines of the U.P. State Cement Corporation Ltd. Churk in (liquidation) in Markundi (Ghurma). The copy of the khatauni certified by the Survey Tehsildar dated 11-12-2006, records a 'school' of Gurma Khadan-1. These documents go to show that the land was acquired for the Company (in liquidation) for school building and was entered as school in revenue records. The School however did not have any independent legal personality. It was

established as Junior High School on 13-6-1979 and up graded as High School on 19-3-1980 and thereafter as Intermediate without any grant-in-aid on 4-3-1983. There was no society or trust constituted to establish an independent legal personality to claim the status independent from the Company (in liquidation).

194. The applicants have prayed a direction to the State of U.P. District Inspector of Schools, the Administrator, U.P. State Cement Corporation Ltd. Inter College Ghurma, Sonbhadra; and Official Liquidator, U.P. to establish the applicants college at its own level and not to change the nature of land, building of the college and the fund (in the form of Grant-in-Aid) to the applicant college as well as to direct the respondents not to interfere in the functioning of the applicants w.e.f. 1-7-2007 onwards under the supervision of control of JAL and by any other private party.

195. Upon hearing Shri Ashok Mehta, appearing for Official Liquidator, I do not find that the Company Court has any such jurisdiction in liquidation proceeding to pass such orders. Once the assets have been sold, the sale was confirmed and part possession of the assets have been given to the purchaser, the arrangement to continue the school till the academic year was made with the consent of purchaser. The Court has no jurisdiction to pass any order either directing the State Government or the JAL to run the school with the grant-in-aid of the State Government. The application is accordingly rejected with liberty to the applicants to seek their remedies, if they have any, in accordance with the law, before the appropriate forum.

196. Appeal/Objection No. 16878 of 2007 (0-71) filed on behalf of Hari Shanker Prasad and 26 others and Appeal/Objection No. 19922 of 2007 filed on behalf of Paras Nath Singh and 15 others.

197. These two appeals/objections filed by Shri Hari Shankar Prasad and 26 others and Paras Nath Singh and 15 others claiming to be workmen looking after watch and ward of the Chunar Cement Factory Colony, P.S. Chunar, District Mirzapur. They have been treated by Official Liquidator as workmen upto the date of winding up of the company (in liquidation) i. e. upto 9-12-1999. "[11686 workmen have now claimed salary from 10-12-1999 to 27-7-2001 on the ground that they had been working as security guards /watch and ward under the supervision of Senior Security Officer.

169. The Official Liquidator took possession of the assets under the orders of the Court on 27-7-2001. On the date of winding up their services were dispensed with under Section 445 (3) of the Companies Act 1956.

198. Their claim is in two parts (a) wages, retrenchment compensation,



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bonus, etc. as workmen up to date of winding up; and (b) salary from 10-12-1999 to 27-7-2001 under the supervision of the Senior Security Officer of the Company (in liquidation).

199. So far first part of the claim is concerned, the applicants are entitled to the same relief as other workmen have been provided in the order. The claim of salary in the second part from 10-12-1999 to 27-7-2001 cannot be accepted. The appellants did not work under the orders or in supervision of the Official Liquidator. The Official Liquidator did not allow them to be engaged as watch and ward staff after the date of winding up. They never approached the Court either by themselves or through their Supervisors seeking permission of the Court having custody of the assets of the company (in liquidation) under Section 456 of the Companies Act, 1956 to continue to work. The Senior Security Officer had no authority thereafter to deploy them or to verify their work and performance. Their claim in the second part is rejected and their appeals to that extent is dismissed.

200. It may be noticed that some of the claimants /objectors have not titled their representations against the report of the OL as Company Appeal under Rule 164 of the Companies (Court) Rules of 1959. Most of these appeals were titled as company applications or

objections. The court has tried to avoid the technicality and has treated all these applications/objections as company appeals and has decided all of such applications/objections/appeals. In some of the applications/objections/appeals, the orders have been passed separately. In this judgment, the Court has considered the applications/objections/appeals of the secured creditors. U.P. Power Corporation, Employees Provident Fund Commissioner, U.P. Cement Vatanbhogi Sahkari Rin Samiti Ltd. and some of the appeals filed by the workmen.

201. In order to clarify the OL is directed that all those workmen/employees, who were engaged either by the orders of the Court or otherwise for the purposes of maintenance of employees' provident fund accounts, schools and colleges (other than those who are paid from the Government grant regularly) hospitals and dispensaries, water and electricity supplies, will be paid from out of liquidation expenses to the extent that the supervisory/managerial category persons namely trustees of the two employees' provident fund trusts, doctors, principals and the general manager, who were asked to look after the assets by an interim arrangement, as salary @ Rs. 5000/- per month. The other skilled employees including teachers, pharmacists, nurses and clerks @ Rs. 3000/- per month and all other workmen @ Rs. 2000/- per month (subject to deduction of Rs. 1000/- per month paid to the employees maintaining water and electricity up to date of declaration of final dividend).

202. With this judgment, the Court has concluded the hearing on the objections/appeals for admitting the 'proofs of debts', dismissed or allowed by the OL in part. All the applications/objections/appeals are consequently partly allowed except those, which have been rejected by the Court. The OL will proceed to recalculate the amount for distribution, taking into account the directions given by the Court. He will first separate liquidation expenses and the amount for taxation and audit and then work out the overriding preferential claims and apply the pari passu rule under Section 529-A. It is only, if some amount is left over and above the liquidation expenses then the preferential claimants will be entitled to the interest. The applications/objections/appeals of the officers and unsecured creditors are accordingly dismissed. The OL will keep Rs. 4.59 crores i. e. one per cent of the total sale consideration with him for a period of one year for any claim of the workmen or other category, left out by either inadvertence or which could not be filed on



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account of delay or other unforeseen circumstances. This amount shall, be disbursed subject to the orders of the Supreme Court after the period of one year on pari passu basis between all the claimants in accordance with the judgment. The OL will also notify the summary of this judgment within two weeks in all leading newspapers having wide circulation in and around the districts Mirzapur and Sonbhadra for the benefit of the workmen, as well as the orders of the Supreme Court by which the disbursement has been stayed.

203. The OL is reminded that in *RPJ Mineral Pvt. Ltd. v. S.K. Saxena, Official Liquidator*. Hon'ble Supreme Court, while hearing Special Leave Petition (Civil) No. 19132 of 2006, arising out of judgment dated 27-10-2006 in Civil Appeal No. 1239 of 2006 and the Orders dated 20-9-2006, 5-6-2007 and 11-10-2006 in Misc. Company Application No. 4 of 1997, has passed an order on 9-2-2007 "no money will be disbursed during the pendency of the special leave petition." The Official Liquidator will comply with the orders of the Hon'ble Supreme Court. He may consider and adjudicate the claims/proofs of debts in terms of this judgment but shall not disburse the amount during the pendency of the special leave petition in Supreme Court, and will comply with the orders of the Supreme Court, in this regard.

Order accordingly.

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2014 SCC OnLine All 8462 : ILR (2014) 2 All 866 : (2014) 105
ALR 603

In the High Court of Allahabad
(BEFORE ASHOK BHUSHAN AND RANJANA PANDYA, JJ.)

Mohd. Sagir ... Petitioner;

Versus

Dakshinanchal Vidyut Vitran Nigam Ltd. and Others
... Respondents

Writ - C No. - 55384 of 2009

Decided on May 30, 2014

Advocates who appeared in this case:

Counsel for Petitioner:— B.C. Rai

Counsel for Respondent:— Amrit. Lal. Yadav., S.C.

The Judgment of the Court was delivered by

HON'BLE ASHOK BHUSHAN, J.

Hon'ble Mrs. Ranjana Pandya, J.

(Delivered by Hon'ble Ashok Bhushan, J)

We have heard Shri B.C. Rai, learned counsel for the petitioner and Shri Rajenda Kumar Mishra, learned counsel appearing for the respondents.

Counter and rejoinder affidavits having been exchanged between the parties, with the consent of the learned counsel for the parties, we proceed to decide the writ petition finally.

By this writ petition, the petitioner, proprietor of M/s Monex Glass Private Limited has challenged the order dated 30/9/2009, by which the Executive Engineer finalized the theft assessment on the basis of checking dated 16/8/2009. Petitioner has also prayed for appropriate writ, order or direction declaring the meter testing report dated 03/9/2009 as illegal and arbitrary.

Brief facts of the case which emerge from the pleadings of the parties are: That the petitioner, had a contracted load of 498 KVA from the Dakshinanchal Vidyut Vitran Nigam Limited (hereinafter called the "Corporation"). Two meters have been installed by the Corporation i.e. main meter in the meter room and one out door meter installed outside the factory premises at the same line. On 20/8/2008, the Officers of the Corporation inspected the main meter and outdoor meter and no irregularity was found. Inspection report dated 20/8/2008, was prepared accordingly. On 28/4/2009, inspection was again carried out by the Officers of the Corporation along with authorized representatives

of the manufacturing company namely: M/s Secure Meters (Pvt.) Limited, but nothing incriminating was found either with the main meter or with the outdoor meter. Meter Sealing Certificate dated 28/4/2009 was prepared by the inspection team. An Office Memorandum dated 19/6/2009, was issued by the Corporation forming a Committee for testing of meters. On 16/8/2009, Officers of the Corporation inspected the factory premises of the petitioner. Inspecting team also obtained MRI report. New meters were installed at the factory premises of the petitioner and both the old meters were taken out and were given to the Assistant Engineer (Raid) for further investigation. On the same date i.e. 16/8/2009, Meter Sealing Certificate No. 103 was prepared. On 19/8/2009, the checking team required the petitioner to return the Meter Sealing Certificate No. 103 dated 16/8/2009 and thereafter the checking team prepared another Sealing Certificate No. 105 dated 16/8/2009. On 18/8/2009, the Superintending Engineer, issued a letter directing the Executive Engineer to obtain an acknowledgement from the petitioner to appear on 27/8/2009 in the office of the Corporation at Agra. The said letter was served on the petitioner's Manager working in the factory, who on the said letter endorsed that for some work, petitioner has gone out of India and he shall return on 10/9/2008, he prayed for a date to be fixed. Another letter dated 25/8/2009 was issued by the Superintending Engineer addressed to the Executive Engineer in which it was mentioned that according to the Electricity Supply Code, 2005 (hereinafter called the "Code 2005") consumer has to be informed within seven days. It was stated in the letter that 03/9/2009 is the date fixed for opening of the meter and owner of the firm, Manager or any other representative be asked to ensure his presence on 03/9/2009 in the office of the Managing Director of the Corporation at Agra. On 25/8/2009, the Manager of the factory again wrote a letter that the firm owner is out of India and a date be fixed after 10/9/2009. He further stated that he being the Manager of the factory, cannot go out of the factory. He prayed for next date. On 03/9/2009, the meter was opened before a Committee constituted by office order dated 19/6/2009. The inspection report dated 03/9/2009 found meters body, seal, lead seal, and ultra-sonic welding steps were in order. However, it observed that foreign wires were found connected and remote control and sensing device was found inside the meter. An F.I.R. was also lodged against the petitioner on 04/9/2009 under Sections 135 and 150 of the Electricity Act, 2003 (hereinafter called the "Act, 2003"). A provisional assessment notice dated 05/9/2009 for an amount of Rs. 21588487/- was sent to the petitioner. On 11/9/2009, petitioner submitted an objection against the testing of the meter carried on 03/9/2009. The objection was made against the testing of the meter done on

03/9/2009 and was not made against the provisional assessment notice dated 05/9/2009. Petitioner had also filed Writ Petition No. 49991/2009 on 15/9/2009 challenging the testing of the meter made on 03/9/2009. Petitioner's representative on 22/9/2009 prayed for time to file objection. It was prayed that the matter be adjourned after 05/10/2009. By letter dated 23/9/2009, petitioner's request was not acceded and 29/9/2009 was the date fixed for filing the objection. On 29/9/2009, petitioner appeared before the Executive Engineer and prayed that his objection dated 11/9/2009, be first decided and he also prayed that his writ petition in the High Court is pending which is fixed for 05/10/2009, hence he be given 15 days time to file objection. Petitioner's prayer for filing the objection was not acceded and the assessment was finalised by order dated 30/9/2009, against which order this writ petition has been filed. A Division Bench of this Court passed an interim order on 28/10/2009, restraining the respondents from enforcing the recovery proceedings in pursuance of the final assessment made by the respondents on 30/9/2009 and further directed the respondents for restoration of the power supply. The Corporation thereafter filed Special Leave to Appeal (Civil) No (s).35966/2009, challenging the interim order dated 28/10/2009. The said Special Leave Petition was disposed of by the Apex Court on 26/3/2010 permitting the Corporation to file an application for vacating the interim order within seven days which was to be disposed of within next three weeks after giving opportunity of hearing to both the parties.

Counter affidavit along with application for vacating the interim order has been filed by the Corporation on 03/4/2010 in this Court.

A perusal of the Order Sheet indicates that although the matter was listed before different benches from time to time, but due to adjournment sought on behalf of the petitioner or respondents the stay vacation application could not be disposed of. The case was directed to be listed peremptorily on 03/4/2014. The writ petition came up before this bench on 18/4/2014 when a direction was issued to list on 21/4/2014. The matter was heard on 22/4/2014 on which date both the parties agreed that the writ petition itself be decided finally. Hearing was concluded on 22/4/2014 and the judgment was reserved.

Shri B.C. Rai, learned counsel appearing for the petitioner in support of the writ petition raised various submissions. He submits that the assessment order dated 30/9/2009 has been passed without giving reasonable opportunity to the petitioner. Petitioner's request made on 29/9/2009 to give 15 days time to file objection was not accepted and without there being any objection by the petitioner to the provisional assessment notice dated 05/9/2009, final assessment order dated 30/9/2009 has been passed. It is submitted that the request of the petitioner's representative to fix a date after 10/9/2009 for opening the

meter was also not acceded whereas it was informed that the owner of the firm (petitioner) has gone out of India. The respondents completed the entire proceedings hastily in utter violation of the principles of natural justice. It is further submitted by the learned counsel for the petitioner that the testing of the meter done on 03/9/2009 was made by the Corporation in violation of the provisions of Clause 5.6(c)(iii) of the Electricity Supply Code, 2005 (hereinafter called the "Code 2005"). It is submitted that the petitioner was never given any option to indicate as to whether he wants the meter to be tested at the licensees lab, or independent lab or by electrical inspector. The petitioner never gave his consent for getting the meter tested at the Corporations Office. The testing of the meter having been done in violation of the aforesaid provision, the entire assessment is illegal. He submits that the testing of the meter has been done by the Corporation contrary to the law as laid down by the Division Bench of this Court in *Smt. Amrawati Devi v. Purvanchal Vidyut Vitran Nigam Ltd.*, 2009 (1) ADJ 430. He further submits that the assessment made is not in accordance with the provisions of the Act, 2003 as well as the Code, 2005. He submits that the assessment has been made for a period of 365 days whereas on 28/4/2009, the petitioner's meter was inspected by the Corporation's team and nothing wrong was found at the petitioner premises and the assessment could not have been made of any date prior to 28/4/2009.

Learned counsel for the petitioner has also challenged the office order dated 19/6/2009, being ultra-vires to the provisions of the Code, 2005. He submits that no executive order can be passed contrary to the statutory scheme as delineated in the Code, 2005.

Shri Rajenda Kumar Mishra, learned counsel appearing for the Corporation refuting the submissions of the learned counsel for the petitioner contended that against the assessment order dated 30/9/2009, the petitioner has a statutory remedy of filing an appeal under Section 127 of the Act, 2003, hence the writ petition be not entertained to enable the petitioner to avail the remedy of appeal. It is submitted that Clause 5.6(c)(iii) of the Code, 2005 is not attracted in the present case. It is submitted that the said clause is attracted only with regard to the defective meters and is not applicable in the cases of theft of electricity within the meaning of Section 135 of the Act, 2003. He further submits that the Division Bench judgment of this Court in *Smt. Amrawati Devi's* case (supra) is not applicable in the facts of the present case. It is further submitted that the ratio of the Division Bench judgment in *Smt. Amwarawati Devi's* case (supra) failed to notice sub-clause (iii) of Clause 5.6(c) of the Code, 2005. He submits that the option once exercised by the consumer shall not be changed. He submits that the testing of the meter conducted on 03/9/2009 has

became final. It is submitted that the prayer made in the objection dated 11/9/2009 by the petitioner that the meters be re-checked by the licensee in some other independent lab is neither practically possible, nor legally permissible.

Learned counsel for the parties have placed reliance on various judgments of this Court as well of the Apex Court which shall be referred to while considering their submissions in detail.

At first, we need to consider the submissions of the learned counsel for the respondents that there being remedy of appeal provided, the writ petition be not entertained and the petitioner be relegated to avail the remedy of appeal provided under Section 127 of the Act, 2003. There cannot be any dispute that against the final assessment made under Section 126 of the Act, 2003, an appeal is provided under Section 127 of the Act, 2003. There are two reasons due to which we do not find this is a fit case to be dismissed on the ground of alternate statutory remedy. Firstly, sub-section (3) of Section 126 of the Act, 2003 contemplates giving an reasonable opportunity of hearing to a consumer before passing a final order of assessment. The submission of the petitioner in the writ petition is that he was not afforded reasonable opportunity of hearing and the assessment order has been passed in violation of the principles of natural justice. From the assessment order dated 30/9/2009, it is clear that there was no objection by the petitioner to the provisional assessment notice dated 05/9/2009. Petitioner had also appeared on 29/9/2009 and prayed for 15 days time to file an objection which was not considered. Even the one months period contemplated under Section 126(3) of the Act, 2003 had not expired. There being allegation by the petitioner that the assessment order dated 30/9/2009 has been passed in violation of the principles of natural justice, we think it proper to consider the above submissions on merit. It is well settled that when an order is passed in violation of the principles of natural justice, the alternative remedy is not a bar in entertaining the writ petition. The above proposition has been laid down by the Apex Court in *Whirlpool Corporation v. Registrar of Trade Marks, Mumbai*, (1998) 8 SCC 1, in which case the Apex Court laid down following in paragraphs 15, 16, 17, 18, 19, 20 and 21.

“15. Under Article 226 of the Constitution, the High Court, having regard to the facts of the case, has a discretion to entertain or not to entertain a writ petition. But the High Court has imposed upon itself certain restrictions one of which is that if an effective and efficacious remedy is available, the High Court would not normally exercise its jurisdiction. But the alternative remedy has been consistently held by this Court not to operate as a bar in at least three contingencies, namely, where the writ petition has been filed for the enforcement of any of the Fundamental Rights or where there has been a violation of

the principle of natural justice or where the order or proceedings are wholly without jurisdiction or the vires of an Act is challenged. There is a plethora of case law on this point but to cut down this circle of forensic whirlpool, we would rely on some old decisions of the evolutionary era of the constitutional law as they still hold the field.

16. *Rashid Ahmad v. Municipal Board, Kairana, 1950 SCC 221 : AIR 1950 SC 163, laid down that existence of an adequate legal remedy was a factor to be taken into consideration in the matter of granting writs. This was followed by another Rashid case, namely, K.S. Rashid & Son v. The Income Tax Investigation Commission AIR 1954 SC 207 which reiterated the above proposition and held that where alternative remedy existed, it would be a sound exercise of discretion to refuse to interfere in a petition under Article 226. This proposition was, however, qualified by the significant words, "unless there are good grounds therefor", which indicated that alternative remedy would not operate as an absolute bar and that Writ Petition under Article 226 could still be entertained in exceptional circumstances.*

17. *A specific and clear rule was laid down in State of U.P. v. Mohd. Nooh, AIR 1958 SC 86, as under:*

"But this rule requiring the exhaustion of statutory remedies before the writ will be granted is a rule of policy convenience and discretion rather than a rule of law and instances are numerous where a writ of certiorari has been issued in spite of the fact that the aggrieved party had other adequate legal remedies."

18. *This proposition was considered by a Constitution Bench of this Court in A.V. Venkateswaran, Collector of Customs v. Ramchand Sobhraj Wadhvani, AIR 1961 SC 1506 and was affirmed and followed in the following words:*

"The passages in the judgments of this Court we have extracted would indicate (1) that the two exceptions which the learned Solicitor General formulated to the normal rule as to the effect of the existence of an adequate alternative remedy were by no means exhaustive, and (2) that even beyond them a discretion vested in the High Court to have entertained the petition and granted the petitioner relief notwithstanding the existence of an alternative remedy. We need only add that the broad lines of the general principles on which the Court should act having been clearly laid down, their application to the facts of each particular case must necessarily be dependent on a variety of individual facts which must govern the proper exercise of the discretion of the Court, and that in a matter which is thus per-eminently one of discretion, it is not possible or even if it were, it would not be desirable to lay down inflexible rules which should be applied with rigidity in every case which comes up before the Court".

19. *Another Constitution Bench decision in Calcutta Discount Co. Ltd.*

v. Income Tax Officer Companies Distt. I AIR 1961 SC 372 laid down:

“Though the writ of prohibition or certiorari will not issue against an executive authority, the High Courts have power to issue in a fit case an order prohibiting an executive authority from acting without jurisdiction. Where such action of an executive authority acting without jurisdiction subjects or is likely to subject a person to lengthy proceedings and unnecessary harassment, the High Court will issue appropriate orders or directions to prevent such consequences. Writ of certiorari and prohibition can issue against Income Tax Officer acting without jurisdiction under Section 34, Income Tax Act”.

20. Much water has since flown under the bridge, but there has been no corrosive effect on these decisions which though old, continue to hold the field with the result that law as to the jurisdiction of the High Court in entertaining a Writ Petition under Article 226 of the Constitution, in spite of the alternative statutory remedies, is not affected, specially in a case where the authority against whom the writ is filed is shown to have had no jurisdiction or had purported to usurp jurisdiction without any legal foundation.

21. That being so, the High Court was not justified in dismissing the Writ Petition at the initial stage without examining the contention that the show cause notice issued to the appellant was wholly without jurisdiction and that the Registrar, in the circumstances of the case, was not justified in acting as the “Tribunal”.

Secondly, the writ petition has been entertained by this Court on 28/10/2009, on which date the interim order was also passed by this Court staying the recovery proceedings in pursuance of the final assessment dated 30/9/2009 and the writ petition has been pending in this Court for about five years. This is another reason due to which we propose to decide the writ petition on merits instead of dismissing the writ petition on the ground of alternative remedy.

The submission which needs to be next considered is the submission raised by the learned counsel for the petitioner that the assessment order dated 30/9/2009 has been passed in violation of the principles of natural justice since he has not been afforded a reasonable opportunity of hearing before making the final assessment. Sub-section (3) of Section 126 of the Act, 2003 provides as follows:

“126. Assessment.-

(1).....

(2).....

(3) The person, on whom an order has been served under sub-section (2), shall be entitled to file objections, if any, against the provisional assessment before the assessing officer, who shall, after affording a reasonable opportunity of hearing to such person, pass a

final order of assessment within thirty days from the date of service of such order of provisional assessment, of the electricity charges payable by such person."

Whether reasonable opportunity of hearing has been given to a consumer before making a final assessment is the question which has to be determined on the facts of each case.

From the facts of the case as noted above, 16/8/2009, was the date when the checking was made on the petitioner's premises. After the checking dated 16/8/2009, letter dated 18/8/2009 was served on the petitioner in which 27/8/2009 was the date fixed for testing of the meter. The Manager of the petitioner's factory made an endorsement that the owner of the factory (petitioner) has gone out of India and he shall return on 10/9/2009, hence the date of testing of the meter be fixed thereafter. The said request was not acceded by the Executive Engineer and by another letter dated 25/8/2009, 03/9/2009 was the date fixed for testing of the meter on which letter again the same endorsement was made by the Manager which was made on 25/8/2009 that a date be fixed after 10/9/2009. It was stated that the Manager is unable to come out of the factory premises in view of the absence of the owner. Despite the aforesaid two protests, the respondents proceeded with the testing of the meter on 03/9/2009 and a provisional assessment notice dated 05/9/2009 was served on the petitioner fixing 23/9/2009 in the matter. On 11/9/2009, petitioner had filed a detailed objection against the testing of the meter conducted on 03/9/2009. Petitioner referring to Clause 5.6(c)(iii) of the Code, 2005 stated that the testing of the meter was done without the consent of the petitioner. Following prayer was made in paragraph 24 of the said application which is to the following effect:

"24-It is, therefore, requested that power supply of the factory may be restored and information regarding approved independent and competent test laboratory may be provided so that Applicant may opt for testing of meter and further provisional assessment notice may be withdrawn."

By letter dated 23/9/2009, the Executive Engineer fixed 29/9/2009 as the date for filing objection. Petitioner appeared on the said date and filed an application praying that his objection dated 11/9/2009 be first disposed of. It was further stated that his writ petition in the High Court is pending in which 05/10/2009 is the date fixed and he requested for 15 days time for filing objection. The said prayer of the petitioner was refused and the Corporation proceeded to pass the final assessment order dated 30/9/2009.

From the facts as narrated above, it is clear that the request of the petitioner for fixing a date after 10/9/2009 for testing of the meter was not acceded to and the meter was tested in the office of the Corporation

on 03/9/2009, although one of his representative was present. The provisional assessment notice dated 05/9/2009 was served on the petitioner fixing 23/9/2009 as the date fixed for filing objection. Another date fixed was 29/9/2009, on which date the petitioner appeared and made a request for granting 15 days time. Before that a detailed objection dated 11/9/2009 was filed by the petitioner against the testing of the meter conducted on 03/9/2009. Petitioner in his objection dated 11/9/2009 has requested for information in respect of providing independent and competent test lab so that the applicant may opt for testing of the meter. The said objection remained pending and on 29/9/2009 when the petitioner appeared, he again prayed that the said objection be decided and 15 days time be given. The Corporation did not decide his objection dated 11/9/2009. Further more, on 29/9/2009, when for the first time the petitioner appeared he stated that he had gone out of India at the time of checking and testing of the meter and requested for time to file objection which ought to have been acceded even though the respondents may not have granted 15 days time, at least a breathing time be allowed to file objection. Further, the period of one month from serving the provisional assessment notice dated 05/9/2009 was also not expiring and there was no such urgency on the part of the Corporation to finalise the assessment, even two or three days time for filing the objection would have been given in consonance of the principles of natural justice. When the Corporation did not accede to the petitioner's request and finally proceeded to pass the assessment order dated 30/9/2009 which in our considered opinion has violated the principles of natural justice in the facts and circumstances of the present case, hence the assessment order dated 30/9/2009 deserves to be set-aside on this ground alone.

Much argument has been raised by the learned counsel for both the parties on Clause 5.6(c)(iii) of the Code, 2005 in reference of the testing of the meter which was conducted on 03/9/2009. The submission of the petitioner's counsel is that before the testing of the meter it was removed from the premises of the petitioner on 16/8/2009, petitioner was required to give an option for getting the meter tested either by a licensees laboratory or independent lab or with the electrical inspector. It is submitted that the petitioner was neither informed about the option, nor he ever exercised his option. The testing of the meter done on 16/8/2009, is contrary to the statutory scheme. It is relevant to note the statutory scheme of Code, 2005 in the above context.

Chapter V of the Code, 2005 relates to metering. Clause 5.4 of the Code, 2005 deals with ownership and use of meter. Clause 5.4(a) which is relevant is quoted below:

"5.4 Ownership and Use of meters: (a) [At the time of seeking a new

connection the consumer shall indicate option in the application form to either purchase the meter, MCB/CB and associated equipment himself from the authorized vendor(s)/make or manufacturers of meter approved by the licensee, or require that such approved meter, MCB/CB and associated equipment be supplied by the Licensee.

Provided that it shall be the responsibility of the licensee to ensure that meters of national repute only are used as specified in clause 5.2, and under Sec 55 of the Act by CEA. The licensee shall not restrict the consumer choice to 2-3 make/manufacturer only, but shall offer a wide ranging choice from amongst the list of approved make/manufacturers. The Licensee shall put the list of approved vendor(s)/make or manufacturers of meter, on their website/display on the notice board/and if requested, supply the consumer with the list of approved vendor(s)/make or manufacturer.

Provided also that the licensee shall get the meter lots inspected by test labs having accreditation from National Accreditation Board for testing and Calibrating laboratories, and also adhere to test procedure specified in clause 5.5. The Licensee shall put the list of such approved test labs, on their website/display on the notice board/and if requested, supply the consumer with the list of approved labs. The licensee shall also set up appropriate number of testing labs and get the accreditations from NABL, if not already done.]”

Clause 5.6 of the Code, 2005 deals with Defective Meters. Clause 5.6 (a), (b), (c) and (d) which are relevant in the present case are quoted below:

“5.6 Defective Meters.-(a) The Licensee shall have the right to test any meter and related apparatus if there is a reasonable doubt about the accuracy of the meter and the consumer shall provide the Licensee necessary assistance in conduct of test. However, the consumer shall be allowed to be present during the testing.

[(b) A consumer may request the Licensee to test the meter installed on his premises if he doubts its accuracy of meter readings not commensurate with his consumption of electricity, stoppage of meter, damage to seal, by applying to the Licensee in prescribed format (Annexure 5.1) along with the requisite testing fee. The Licensee shall test the meter:

(i) Within 15 days of the receipt of the application, at consumer's premises, or

(ii) Within 30 days at licensee's lab, or Independent lab, or

(iii) By installing a tested check meter in series with the existing meter within 7 days of filing of application.]

(c) In case of testing of meter at consumer's premises, the testing of meter shall be done for a minimum consumption of 1 kWh. The meter

testing team of the licensee shall carry heating load of sufficient capacity to carry out the testing. Optical Scanner may be used for counting the pulses/revolutions or meter shall be tested as per the procedure described in IS/IER 1956 or through aqua-check for LT meters and through RSS for others. The aqua Check and RSS shall be calibrated in laboratory of national repute once in a year.

(i) In case the meter is found O.K., no further action shall be taken.

(ii) In case the meter is found fast/slow by the licensee, and the consumer agrees to the report, the meter shall be replaced by a new meter within 15 days, and bills of previous three months prior to the month in which the dispute has arisen shall be adjusted in the subsequent bill as per the test results. In case meter is found to be slow, at the request of the consumer, these charges may be recovered in installments not exceeding three.

[(iii) If the consumer disputes the results of testing, or testing at consumer's premises is difficult, the defective meter shall be replaced by a new tested meter by the Licensee, and, the defective meter after sealing in presence of consumer, shall be tested at licensee's lab/Independent lab/Electrical Inspector, as agreed by consumer. The option once exercised by consumer shall not be changed. The decision on the basis of reports of the test lab shall be final on the Licensee as well as the consumer.]

(d) In cases of testing of a meter in the licensee's/Independent test laboratory,

(i). Consumer shall be informed of the proposed date of testing at least 7 days in advance so that he may be present at the time of testing, personally or through an authorized representative.

ii. The signature of the consumer or his authorized representative, if any present, shall be obtained on the Test Result Sheet.

iii. The results of testing, billing, and in case the consumer disputes the results of testing, shall be same as provided in clause 5.6(c) above."

Clause 5.9 of the Code, 2005 deals with cost of Replacement of Defective/Burnt Meters. Clause 5.9(b)(ii) which is relevant is quoted below:

"5.9 Cost of Replacement of Defective/Burnt Meters.

(a)

(b) [xxx]

(i)

(ii) If it is established, as a result of testing, that the meter was rendered defective due to tampering or any other deliberate act by the consumer to interfere with the meter, the cost of the meter shall be borne by the consumer as above. The consumer shall be assessed

under Section 126 of the Electricity Act 2003, and shall be punishable under Section 138 of the Electricity Act 2003. In addition, action as permissible under law shall be taken against the consumer for pilferage and tampering.”

In the order impugned dated 30/9/2009, the Executive Engineer referring to Clause 5.6(c) of the Code, 2005, has stated that Clause 5.6 (c) is applicable for defective meters only, and is not applicable for the tampered meters. In the counter affidavit filed on behalf of the respondents also a categorical stand has been taken by the respondents that clause 5.6(c) of the Code, 2005 as well as the Division Bench judgment of this Court in *Smt. Amrawati Devi's* case (supra) relates to defective meter and does not apply to tampered meter. Following was stated in para 29 of the counter affidavit which is to the following effect:

“29. That, the contents of paragraph Nos. 24, 25 and 26 of the writ petition are incorrect and as such denied. It is most respectfully submitted that whatever the objection has been raised by the petitioner the same were duly considered and decided by the assessing officer by means of the assessment order dated 30.09.2009. The allegation being made by the petitioner contrary to this are incorrect and unfounded and as such denied. It is most respectfully submitted that decision of this Court in the case of Smt. Amrawati Devi (2009 (1) A.D.J. 430) would not apply in the present case inasmuch as the ratio laid down by this Hon'ble Court in the case of Smt. Amrawati Devi is related to the defective meters and here in the instant case the meter of petitioner were found to be tampered. It is submitted that there is clear distinction between 'tampered meter' and 'defective meter' under the scheme of the Act, 2003 and Supply Code, 2005 and therefore, the decision of this Hon'ble Court in the case of Smt. Amrawati Devi as affirmed by Hon'ble Supreme Court will have no application in the present case. It is further to point out here that the meters of the petitioner were tested by the committee of expert engineers and remote controlling and sensing device was found fitted inside the meters and as such the defect could be and has been detected by naked eyes and therefore, the same was not required to be tested in any lab as the same cannot be termed as defect in meter and it comes within the definition of tampering in meter and therefore, the meters were found to be tampered and thus, the provisions pertaining to the defective meters would not apply in the instant case.”

There is no dispute in the present case that the meter was taken out from the petitioner's premises on 16/8/2009, after it being sealed was sent to be tested on licensees lab/independent lab/electrical inspector as agreed by the consumer. Relevant part of Clause 5.6(c)(iii) of the Code, 2005 is “..... shall be tested at licensee's lab/Independent

lab/Electrical Inspector, as agreed by consumer.”

The agreement of the consumer as contemplated above in Clause 5.6 (c)(iii) of the Code, 2005, is an agreement for testing of the meter at any of the places mentioned therein i.e. (i) Licensees lab (ii) Independent lab (iii) Electrical Inspector. The aforesaid clause further stated that the option once exercised by the consumer shall not be changed. Thus, the consumer has to opt any of the three places for testing of the meter. The word “agree” has been defined in P. Ramanatha Aiyar's The Law Lexicon 3rd Edition 2012 in following words:

“Agree. To concur, to come to a mutual assent; to come into harmony, to promise; to contract; to assent; to unite in mental action; to acquiesce in. In Thorton v. Kelley, 11 R.I 498, 499, it is said that the word “agree” is sometimes used to signify an offer merely, but properly speaking it embraces concurrence or assent. (Ame. Cyc.)

To enter into an agreement [S.58(b), T.P. Act (4 of 1882)]; to concur [S.23, Indian Evidence Act (1 of 1872)].”

Now the submission and the stand taken by the learned counsel for the respondents in the impugned order as well as in the counter affidavit is that Clause 5.6 of the Code, 2005 is not applicable when there is an allegation that the meter has been tampered. Clause 5.6(a) of the Code, 2005 provides “The Licensee shall have the right to test any meter and related apparatus”. Although the heading of the word is “defective meters”, but the said heading cannot control the substantive provision when the provision is clear and categorical. The right of a licensee to test the meter where licensee has a reasonable doubt that the meter is tampered cannot be taken away and in event the right is only confined to defective meters as alleged by the respondents, the said interpretation shall not advance the object of the Act, 2003.

Clause 5.9 of the Code, 2005 deals with cost of Replacement of Defective/Burnt Meters. Sub-clause (a)(ii) of the Code, 2005 uses the words “as a result of testing, that the meter was rendered defective due to tampering or any other deliberate act by the consumer to interfere with the meter”. Thus, when the sub-clauses 5.6 and 5.9 are read together, it is clear that the meter is to be treated as a defective meter consequent to tampering or any other deliberate act by the consumer. Thus, in the cases where the allegations are that the consumer has tampered the meter the said meter is fully covered by the definition of defective meters as given in Cause 5.6 of the Code, 2005 and the case of the respondents that Clause 5.6 is not attracted is incorrect.

A Division Bench judgment of this Court in *Smt. Amrawati Devi's* case (supra) had considered the same Clause 5.6(c)(iii) of the Code 2005. Paragraphs 6, 7, 8, 9, 10 and 11 of the said judgments are quoted below:

"6. From reading of Clause 5.6(c)(iii) it is clear that this clause in unequivocal terms declares that the defective meter after sealing in presence of consumer, shall be tested, at licensee's lab/independent lab/Electrical Inspector, as agreed by the consumer. Therefore, the agreement by the consumer is essential for testing of the meter either at the laboratory of the Nigam or at the laboratory of some other independent agency. It further provides that option exercised by consumer once cannot be changed. The clause, therefore, empowers the authorities to seal the meter and get it tested with consumer's agreement. Since the clause operates harshly against the consumer it has to be construed strictly. The consumer has a right to get the meter tested with independent agency. The authorities, therefore, have a corresponding duty to apprise the consumer of the right. Failure to discharge this duty, which flows from sub-clause (c)(iii) by the authorities while exercising their right to send the meter for testing, renders the entire proceedings for sealing the meter irregular and illegal. Annexure-3 dated 26.11.2008 does not comply with this requirement. The relevant portion is extracted below:

- "1. मीटर ऐक्यू चेक से चेक किया गया मीटर 12.61 धीमा पाया गया।
cwhl=-12.61%*
- 2. मीटर संख्या यू0पी0ई0 को उतार कर सील किया गया। मीटर का परीक्षण 4.12.2008 को मीटर लैब में होगा। उपभोक्ता को सूचित किया जाता है कि दिनांक 4.12.2008 को 12.00 बजे मीटर के परीक्षण हेतु उपस्थित हो।"*

7. It only informs the consumer that the meter shall be tested at licensee's laboratory and she should be present on 4.12.2008. In absence of intimation that she has a right to get it tested at independent laboratory, the notice was contrary to law.

8. It has been argued by the respondents that the Code, 2005 being the law, the petitioner cannot claim that she was not aware of it. On the other hand the counsel for the petitioner argued that 'ignorance of law is no excuse' does not apply universally. We do not consider it necessary to enter into this wider issue as we have found the notice dated 26.11.2008 Annexure-3 to be contrary to Clause 5.6(c)(ii).

9. For the same reason the argument of the respondents that once the petitioner did not object, she waived her right to get the defective meter tested by independent laboratory cannot be accepted, unless she knew or had knowledge about the provisions of Clause 5.6(c)(iii) of the Code, 2005. In such situation the doctrine of waiver cannot be pressed into service. The Apex Court in M/s. Moti Lal Padampat Sugar Mills Ltd. v. State of U.P., AIR 1979 SC 621, had held in paragraph 6 as below:

"Secondly, it is difficult to see how, on the facts, the plea of waiver could be said to have been made out by the State Government. Waiver means abandonment of a right and it may be either express or implied form of conduct, but its basic requirement is that it must be "an

intentional act with knowledge". Per Lord Chelmsford, L.C. in Earl of Darnley v. London, Chatham and Dover Rly. Co., (1867) LR 2 HL 43 at 57. There can be no waiver unless the person who is said to have waived is fully informed as to his right and with full knowledge of such right, he intentionally abandons it. It is pointed out in Halsbury's Laws of England (4th Edn.) Volume 16 in paragraph 1472 at page 994 that for a "waiver to be effectual it is essential that the person granting it should be fully informed as to his rights" and Isaacs, J., delivering the judgment of the High Court of Australia in Craine v. Colonial Mutual Fire Insurance Co. Ltd., (1920) 28 CLR 305 (Aus), has also emphasised that waiver "must be with knowledge, an essential supported by many authorities."...Moreover, it must be remembered that there is no presumption that every person knows the law. It is often said that everyone is presumed to know the law, but that is not a correct statement: there is no such maxim known to the law. Over a hundred and thirty years ago, Maule, J., pointed out in Martindale v. Falkner, (1846) 2 CB 706, "There is no presumption in this country that every person knows the law: it would be contrary to common sense and reason if it were so." Scrutton, L.J., also once said: "It is impossible to know all the statutory law, and not very possible to know all the common law." But it was Lord Arkin who, as in so many other spheres, put the point in its proper context when he said in Evans v. Bartlam, (1937) AC 473"....the fact is that there is not and never has been a presumption that everyone knows the law. There is the rule that ignorance of the law does not excuse, a maxim of very different scope and application. It is, therefore, not possible to presume, in the absence of any material placed before the Court, that the Appellant had full knowledge of its right to exemption so as to warrant an inference that the appellant waived such right by addressing the letter dated June 25, 1970. We accordingly reject the plea of waiver raised on behalf of the State Government.

10. In our opinion, in absence of intimation of Clause 5.6(c)(iii) of the Code, 2005, the petitioner could not be deemed to have waived her right to exercise her option to get her meter tested at independent laboratory. To be fair to the Nigam as well as consumer, a notice is required to be given by the Nigam to the consumer as to whether the consumer wants to get the defective meter tested at the laboratory of the Nigam or by Electrical Inspector or by an independent agency. The answer of the notice has to be given by the consumer. After the option is exercised by the consumer and he agrees to get the meter tested at the laboratory of the Nigam or Electrical Inspector, then the Nigam may fix the date for testing the meter. If the consumer exercises his option to get the meter tested from outside agency, the list of the names of the outside agency approved by the Nigam should be intimated to the

consumer so that he may choose any one of the outside agency and according to the option of the consumer. The outside agency may test the meter and its finding about testing of meter would be final. It is after following this procedure that the option exercised by consumer cannot be changed. The decision on the basis of option exercised by the consumer, and the report of the test laboratory shall be final and binding on the licensee as well as on the consumer. But the Nigam did not inform the petitioner to exercise her option on 26.11.2008 when the meter of the petitioner was sealed and she was informed to appear on 4.12.2008 for testing of the meter.

11. We are of the considered opinion that after sealing the meter the Nigam must serve a notice, on which it should be printed in bold capital letters, intimating the consumer or his representative to exercise his option either to get the meter tested by the Electrical Inspector or at the laboratory of the Nigam or the consumer may exercise his option to get his meter tested from one of the outside agencies approved by the Nigam mentioned in the notice. Once the consumer exercises his option then immediately a date has to be fixed for testing of the meter in the presence of the consumer."

The law laid down in the aforesaid case fully supports the submission of the learned counsel for the petitioner. It is relevant to note that against the aforesaid Division Bench judgment dated 15/1/2009, Purvanchan Vidyut Vitran Nigam Limited filed Special Leave to Appeal which was dismissed by the Apex Court on 03/8/2009. The respondents having taken the stand that Clause 5.6(c) of the Code, 2005 is not applicable with regard to the testing of the meter conducted on 03/9/2009, and we having come to the conclusion that Clause 5.6(c) of the Code, 2005 is applicable, the final assessment order dated 30/9/2009 falls on the said ground also and deserves to be set-aside.

Learned counsel for the petitioner has also raised some other submissions regarding the assessment made by the respondents on 30/9/2009 including the submissions that the assessment made for 365 days was unjustified since the respondents have already conducted the inspection on 28/4/2009 and no period prior to the said date can be taken for assessment. However, we having taken the view that the petitioner was entitled for opportunity to file an objection against the provisional assessment notice dated 05/9/2009, we leave it open to the petitioner to raise such objection as permissible regarding the provisional assessment, and do not feel it necessary to decide the said submissions in this writ petition.

We having held that the assessment order dated 30/9/2009 deserves to be set-aside on the grounds as indicated above, and fresh assessment be made, the submission of the petitioner challenging the Office Order dated 19/6/2009 needs no consideration in this writ

petition. The above submission is left open to be considered in an appropriate case.

In the result the assessment order dated 30/9/2009, is set-aside. The writ petition is disposed of. The petitioner is allowed 15 days time to file objection to the provisional assessment notice dated 05/9/2009 before the Executive Engineer and the Executive Engineer thereafter shall proceed to finalise the assessment keeping in view the observations made by us in this judgment.

Parties shall bear their own costs.

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2014 SCC OnLine All 18761

In the High Court of Allahabad
(BEFORE SUDHIR AGARWAL AND SUNEET KUMAR, JJ.)

Arup Kumar Mitra ... Petitioner;

Versus

State of U.P. Thru Secy. and Others ... Respondent.

Writ - C No. - 33119 of 2014

Decided on June 30, 2014

Advocates who appeared in this case :

Counsel for Petitioner:- Subhash Gosain

Counsel for Respondent:- C.S.C., Mahboob Ahmad

The Judgment of the Court was delivered by

SUDHIR AGARWAL, J.:— This writ petition demonstrates as to how statutory authority can harass a person by simply passing unmindful illegal orders in flagrant violation of requirement of law and despite repeated orders passed by this Court, setting aside their orders and remanding the matter, they would not mend their ways and continue with similar illegalities so as to test the patience of the person concerned, either to surrender to the system or otherwise, break away. The facts demonstrating and fortifying the above impression gained by this Court, in brief, may be stated as under.

2. Petitioner has an electric connection in commercial category i.e. governed by tariff LMV-2. His service connection number is 231383 and contracted electrical load is 4 KW. A vigilance team of U.P. Power Corporation Limited (hereinafter referred to as "UPPCL") made an inspection on 22.9.2012 and reported that by inserting a magnetic relay device in the meter box, petitioner has tampered the meter and, therefore, was guilty of committing theft of electrical energy. With respect to meter seals, checking team noted as under:

- (1) Meter box seal was not found.
- (2) Meter seal tampered.
- (3) Meter body seal broken.
- (4) Magnetic relay device found in the meter.

3. Thereafter, it made following additional observation in the said report.

"Meter box was found locked inside, which was opened at the instance of consumer. On the spot magnet was found kept on meter body and meter was also found inoperative. After removing the magnet, meter started working. By tampering the meter and

inserting magnetic relay device, consumer was found committing theft of consumption of 4 KW electrical load.”

4. The Executive Engineer, Electricity Urban Distribution Division, Ram Bagh, Allahabad (hereinafter referred to as assisting authority) issued a show cause notice dated 31.12.2012 stating that the petitioner has been found indulged in theft of electrical energy, which is an offence under Section 135 of Electricity Act 2003 and he may show cause, why allegations be not treated correct and assessment be made in accordance with U.P. Electricity Supply Code 2005 (hereinafter referred to as “the Code 2005”). An assessment bill of Rs. 1,60,046/- was appended to show cause notice dated 31.12.2012.

5. It appears that at the time of checking, vigilance team also received a cheque of Rs. 40,000/- from the petitioner purported to be compounding charges under Section 152 of Act 2003 but the payment of aforesaid cheque was stopped by petitioner as a result whereof, the cheque stood dishonoured. Taking this factum into notice, assessing authority issued another notice dated 29.06.2013 stating that since his cheque of compounding has not been honoured, assessment will have to be made at double the rate and, therefore, proposed assessment against petitioner was made at Rs. 3,17,333/-. He was required to deposit the said amount or file his objection, if any, within 15 days.

6. Revised assessment notice dated 29.06.2013 was dispatched by the office of Respondent No.-3 on 20.09.2013 and it was delivered to Petitioner on 21.09.2013. This is evident from photocopy of envelop as also from Indian Post Track result, filed at page no. 40 of Paper Book. Petitioner submitted reply to show cause notice dated 29.06.2013 vide letter dated 03.10.2013.

7. Assessing authority, however without verifying from record as to when assessment notice dated 29.06.2013 was put in transmission by his office and presuming that notice must have been served long back, proceeded to make final assessment on 18.09.2013 itself, i.e. two days before the notice dated 29.06.2013 was put in transmission. Final assessment order dated 18.09.2013 required petitioner to pay assessed amount of Rs. 3,17,333/- within 15 days.

8. However, petitioner's meter was removed vide sealing certificate dated 19.08.2013 and a new meter was installed. The petitioner was also directed to present himself in the Test Lab on 24.08.2013 when removed meter would be tested thereat.

9. Petitioner challenged final assessment order dated 18.09.2013 in Writ Petition No. 61403 of 2013. It was allowed vide judgment dated 13.11.2013 and setting aside final assessment order dated 18.09.2013, this Court passed the following order.

“Petitioner's case is that he has filed a detailed objection dated 3.10.2013. annexure-5 to the writ petition, which has not been

considered while finalising the assessment. Petitioner's case is that he has received the provisional assessment notice on 21.9.2013, hence he could not file the objection earlier.

Considering the facts of the case, we are of the view that the petitioner's objection be considered and the assessment against the petitioner finalising a fresh, the final assessment dated 18.9.2013 is set aside with a liberty to the Executive Engineer to pass a fresh order regarding finalising of assessment after considering the objection of the petitioner. The said decision shall be taken within a period of four weeks."

10. Petitioner furnished a copy of judgment dated 13.11.2013 to assessing authority alongwith letter dated 21.11.2013. In the meantime since recovery proceedings were also initiated pursuant to final assessment order, the Collector and Tehsildar, Allahabad issued citation on 23.11.2013 compelling petitioner to pay Rs. 3,17,333/- despite the fact that final assessment order was already set aside by this Court. It caused the petitioner to come again in Writ Petition No. 14942 of 2014, challenging citation dated 23.11.2013. This Writ Petition was also allowed vide judgment dated 02.04.2014, which reads as under:—

"Learned counsel for the petitioner submits that by order dated 13.11.2013 passed by this Court in civil misc. writ petition no. 61403 of 2013, final assessment order dated 18.09.2013 was set aside giving liberty to the executive engineer to pass a fresh order regarding finalisation of assessment after considering the objections of the petitioner.

Learned counsel for respondent nos. 2 and 3 has placed before us a letter dated 10th March, 2014 whereby in pursuance of the order passed by this Court on 13.11.2013, recovery proceedings have been kept in abeyance, which does not tantamount to the compliance of Court order dated 13.11.2013. The final assessment being set aside by order dated 13.11.2013, therefore, the recovery against the petitioner ought to have been withdrawn which is said to have been deferred only.

We are thus satisfied that the citation issued against the petitioner deserves to be set aside. However, liberty to finalize assessment is given which may be only by affording opportunity of hearing to the petitioner.

The impugned citation, therefore, is set aside and the writ petition stands allowed with no order as to cost."

11. Sri. N.K. Singh, holding office of assessing authority in May 2014 proceeded to pass a fresh order in purported compliance of this Court's judgment dated 13.11.2013 and 02.04.2014. He observed that

assessment order dated 18.09.2013 was made final since petitioner's reply was not received by that date and petitioner's letter/representation received alongwith High Court's judgment does not accompany any such evidence which deserves to be considered and accordingly, rejected the same, upholding final assessment order dated 18.09.2013, observing that the same is in accordance with Rules and recovery must proceed accordingly.

12. It is this order which has been challenged in the present Writ Petition, contending that assessment order dated 18.09.2013 had already been set aside by this Court, meaning thereby, it ceased to exist in law, after passing judgment dated 13.11.2013. The assessing authority in impugned order has treated earlier assessment dated 18.09.2013 alive and this is nothing but a sheer disobedience and non-compliance of this Court's order and even otherwise, impugned order does not amount to a fresh and reasoned assessment order and therefore, is patently illegal.

13. Prima facie we find substance in what was contended by learned counsel for petitioner which could not be shown incorrect by learned counsel appearing for respondents. We took a view that assessing authority Sri. N.K. Singh has committed contempt of this Court and therefore, vide order dated 24.06.2014 we called upon him to appear before this Court and explain why he could dare to defy this Court's judgments dated 13.11.2013 and 02.04.2014. Sri. N.K. Singh, Executive Engineer was also impleaded as respondent no. 5.

14. Pursuant to our order dated 24.06.2014 respondent no. 5 put in appearance and filed his affidavit as well as supplementary affidavit. In para 8 of the affidavit, he admits that revised notice and provisional assessment order was issued by him on 29.6.2013 but there appears to be some lapse on the part of the office in sending revised assessment dated 29.6.2013. Para 8 of the affidavit reads as under:

"The deponent revised the provisional assessment on 29.6.2013. It appears that there was lapse on the part of the office in sending the revised assessment dated 29.6.2013."

15. He further said that final assessment dated 18.9.2013 was passed by him on the assumption that petitioner has not submitted objection to the revised assessment notice dated 29.06.2013. In para 9 of the affidavit he has admitted that vide order dated 5.5.2014, he reaffirmed order dated 18.9.2013 and did not pass detailed order believing that the judgment dated 13.11.2013 stood complied with by him. Para 9 of the affidavit reads as under:—

"The deponent reaffirmed the order dated 18.9.2013. In view of these facts, the deponent did not pass the detailed order and bona fide believed that the order of this Hon'ble Court dated 13.11.2013 has been complied with"

16. In para 10 of the affidavit he further said that one opportunity may be granted to him to pass fresh reasoned order on the representation of petitioner, as directed vide Court's judgment dated 13.11.2013. In para 3 of supplementary affidavit he has again said that he passed order dated 5.5.2014, bona fide, observing that the petitioner did not adduce any evidence to discredit checking report dated 22.9.2012, the order dated 18.09.2013 was rightly passed and did not require any change. He also admits that the order dated 5.5.2014 is not a reasoned order, dealing with all the points raised in 19 pages representation of the petitioner. The relevant part thereof reads as under:—

“It is correct that the order dated 5.5.2014 is not a detailed order dealing with on the points raised in 19 pages representation of the petitioner dated 3.10.2013.”

17. Suffice it to mention here that the concerned authority neither recalled the impugned dated 5.5.2014 nor complied with the orders passed by this Court and flouted the same. It appears from the record that respondent No. 5 did not read orders dated 13.11.2013 and 02.04.2014. Initially, we thought to draw contempt proceedings against respondent No. 5 but on an undertaking given by him to the effect that since for his fault, the petitioner has repeatedly been harassed in filing three writ petitions before this Court, he will make compliance of this Court's order strictly, by passing a reasoned order, in accordance with law, laid down by this Court in various cases, including *Ashok Kumar v. State of U.P.*, (2008) 6 ADJ 660 and that he is ready to compensate the petitioner as may be directed by this Court, we declined initiating contempt proceedings.

18. From the above, it is clear that though final assessment order dated 18.09.2013 was set aside by the Court, as a result whereof it became nonest in the eyes of law but without understanding or realising or appreciating the consequence, respondent no. 5 believed that the said assessment order dated 18.09.2013 is still subsisting and he has only to re-check whether any further alteration is required or not. Either he did not read the order carefully with open mind or did not understand its clear and unambiguous meaning. This is really unfortunate and shameful that an officer of the rank of

Executive Engineer could not understand a clear and simple order of this Court, whereby the order under challenge was set aside and the competent authority, i.e. assessing authority was required to pass a fresh reasoned order, after considering petitioner's reply. It also appears to us that instead of considering petitioner's reply dated 03.10.2013, respondent no. 5 only look into his letter dated 21.11.2013 which was submitted by petitioner communicating this Court's judgment to him and thereafter, he passed impugned order. Though

disobedience and noncompliance is fully proved and admitted also but since respondent no. 5 has tendered unconditional apology, we drop proceedings for initiating contempt against him but place on record our serious concern and displeasure to his conduct and attitude, besides showing doubt to his functional capacity and efficiency.

19. Since impugned order is apparently and evidently does not satisfy requirements as directed by this Court vide judgment dated 13.11.2013, it is non-speaking, unreasoned, founded on nonest order, therefore, it can not sustain. The Writ Petition has to be allowed.

20. In the result, the Writ Petition is allowed. Since petitioner has repeatedly been harassed due to unmindful orders passed by assessing authority, in our view, here is a case which renders petitioner entitled and justify exemplary cost which we quantify to Rs. 20,000/- against respondent no. 5, who shall pay the same personally within a period of one month.

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2006 SCC OnLine All 1312 : (2007) 2 All LJ 5

Reversed in *Badri Kedar Paper (P) Ltd. v. U.P. ERC*, (2009) 3 SCC 754

In the High Court of Allahabad
(Lucknow Bench)
(BEFORE S.R. ALAM AND BHANWAR SINGH, JJ.)

M/s. Saini Alloys Private Limited

Versus

U.P. Power Corporation, Lucknow & Ors.

First Appeal No. 75 of 2002
Decided on October 19, 2006



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The Judgment of the Court was delivered by

BHANWAR SINGH, J.:— All the above appeals have arisen out of the common orders dated 12-9-2002 and 4-10-2002, passed by the Uttar Pradesh Electricity Regulatory Commission, Lucknow (to be hereinafter known as Regulatory Commission). By virtue of the order of September 12, 2002, the Regulatory Commission rejected the appellants' application for permission to approach the High Court for determining the issue regarding validity of the Circular dated 8-9-2000 by virtue of which an option was given to the consumer to inform the Power Corporation whether 500 hours assured supply was or was not required.

2. The other order dated October 4, 2002 was issued rejecting the appellants' application for review of the former order dated 12-9-2002. By virtue of the lone writ petition, the petitioner has questioned the propriety and legality of the order dated 31-8-2001 whereby the UPPCL had withdrawn its earlier Circulars dated 8-9-2000 and 15-12-2000.

3. The factual matrix of all the cases giving rise to these appeals are more or less similar. However, a brief narration of the facts involved



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in each appeal would facilitate our understanding.

4. First, we take up the First Appeal No. 76 of 2002, preferred by M/s. Kajaria Ceramics Limited. As alleged, the controversy has arisen due to ambiguous language of the Regulatory Authority while issuing order dated 27-7-2000 in regard to tariff under category HV-2. M/s. Kajaria Ceramics Limited deals in manufacturing of Ceramic tiles, as the name suggests, and the factory of the company is located at Secunderabad, the suburban of district Bulandshahr, U.P. The U.P. Power Corporation, the licensee of energy published its tariff on 27-7-2000 and the tariff rates came into force with effect from 9-8-2000. The following chart would give a clear picture about the fixed charges in rupees per KVA per month and energy charges Paise per unit:

UPERC As Approved	
Demand Charge PLUS	130
Energy Charge	390
For consumers getting power supply in Restricted hours	15% surcharge on demand and energy charges
For consumers getting power supply on independent feeders emanating from 400/220/132 KV	15% surcharge on demand and energy charges and have the assured supply of minimum 500 hours in a month. In case of shortfall in the guaranteed hours of the supply, a rebate at the rate of 1% per ten hours or part thereof shall be admissible on the total amount as computed under rate of charge.

5. The Power Corporation had invited options from the consumers of heavy electricity and asked them to inform the authorities whether they desire of 500 hours per month assured supply while getting power on independent feeders. However, the said notification was held to be otiose and struck down by the High Court in *L.M.L. Limited v. State of U.P.*, 2001 (2) AWC 1472 : (2001 All LJ 2520) (to be hereinafter referred to as *L.M.L.'s case*). The reason, on the basis of which the said notification was struck down, was that the licensee had no power to amend the rates of tariff approved by the Regulatory Commission.

6. The appellants and the petitioner, however, dispute the issue regarding applicability of the judgment to their individual cases on various grounds. Although such grounds are more or less similar, yet in order to appreciate the pleadings of the individual consumer, it will be appropriate to mention their versions with the individual variations put forth by them. Accordingly, their individual cases may be narrated as

below:

M/s. Kajaria Ceramics

7. In the case of *Kajaria Ceramics*, it was pleaded that since the said company had no independent feeder of energy supply nor opted for 500 hours guaranteed supply in a month, the licensee's demand for 15% surcharge was not justified. Not only this but the said company had also informed the authorities of the licensee that 500 hours assured supply was not required for operation of their factory. In such circumstances, the company moved the Regulatory Commission for clarification of the ambiguous situation and circumstances in which the said company was unnecessarily being taxed with a demand of 15% surcharge.

8. The appellant reiterated before the Commission that the independent feeder surcharge, as demanded by the district authorities, is illegal as neither any guaranteed supply was provided to the Company nor it had ever been asked for. Moreover, the consumer-appellant was not having any independent feeder emanating from 400/220/132 KV Sub-Station.

9. Subsequently, the other consumers — 17 in number also filed similar petitions before the Commission. All such cases were tagged for hearing and disposal. However, no independent hearing was afforded to the appellant and a common date was fixed. Accordingly, all the petitions were listed on August 27, 2002 for disposal. On that date, some consumers on the basis of a different stand moved an application before the Regulatory Commission for permission to approach the High Court seeking clarification of earlier decision in *Lohia Machine's case*, although no such issue was raised by this appellant. Thereafter,



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no independent hearing was allowed and not only the clarification applications but also the original petitions were rejected by the Commission on 12-9-2002. This appellant-consumer then moved another review application before the Commission on 28-9-2002 by placing all the facts on record but the said review petition too was dismissed by the Commission on 4-10-2002.

10. Thus, it is in these circumstances that the appellant was obliged to prefer the present appeal.

11. In this appeal, the appellant has reiterated its case of there being no independent feeder available to the factory for electricity consumption and when it is so, there was neither any undertaking nor a demand for assured supply of 500 hours in a month. In this situation,

no liability of 15% independent feeder surcharge can be fastened upon the appellant.

12. The respondents, resisting the appeal filed the counter-affidavit of Shri Rajesh Kumar Gupta, the then Executive Engineer, Electricity Distribution Division, U.P. Power Corporation Limited, Bulandshahr. Shri Gupta asserted in his affidavit that the U.P. Power Corporation Limited had withdrawn the Circulars dated 8-9-2000 and 15-12-2000 after they were declared null and void in *L.M.L.'s* case (2001 All LJ 2520) by the High Court. As a consequence, the U.P.P.C.L. directed its district authorities to realise an additional charge of 15% from those who had availed on independent feeders assured supply of 500 hours in a month. It was not correct to say that the first Circular of September 8, 2000 was issued by the U.P.P.C.L. as it had realised that it was not in a position to supply the guaranteed quantum of electricity through independent feeders. No doubt, the two circulars in question were issued by the Corporation, providing options to the consumers but it had full capacity to assured guaranteed supply of power of the requisite hours. However, Allahabad High Court held that alteration in the terms of tariff without concurrence of the Commission was void. Keeping this decision in view, the U.P.P.C.L. had withdrawn both the Circulars of September 8, 2000 and December 15, 2000 and directed its staff to recover the amount of 15% surcharge. The appellant-consumer filed a reference before the Commission, during pendency of which, 17 different petitioners had sought permission from the Commission to approach the High Court to seek clarification/directions as there was some confusion/ambiguity in its judgment passed in *LML's* case. As a matter of fact, when the appellant-realised that there was no substance in their original petition, such frivolous application for permission was moved. The Commission declined to grant any permission by holding that it is for the petitioners themselves to take decision in the matter as they might deem appropriate. After the appellants reference petition and the review petition were dismissed, the respondents proceeded to realise 15% independent feeder surcharge as such the demand, is in accordance with law.

13. Shri Raj Kumar Rastogi, Executive Engineer (Revenue), EDD-1 Bulandshahr, filed a supplementary affidavit and testified that the appellant was sanctioned 1500 KVA power load vide agreement executed on 30-4-1990. The said load was further enhanced to 2400KVA and an agreement to this effect was entered into between the parties on 7-3-1994. The said agreement clearly mentions that the supply shall be given through independent feeder and the manufacturing process of the consumer has also been specified as continuous process. In this way, the appellant has all along been availing the benefit of in dependent feeder and even during the year

under consideration, the consumer has availed supplied power in excess of 500 hours every month. The appellant had also by its registered letter No. KCL/SM(E & 1)/00/723, dated 29-9-2000 addressed to the Executive Engineer, Power Corporation, Bulandshahr had acknowledged drawing power from independent feeder.

14. Mr. R.K. Gupta who filed the counter-affidavit earlier also brought his supplementary counter-affidavit and asserted that the MRI report indicated that the appellant-consumer consumed unrestricted supply from urban and independent feeder during restricted hours.



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15. Mr. S.C. Verma, Senior Manager (Electrical) in M/s. Kajaria Ceramics filed his rejoinder-affidavit and reiterated almost all the facts narrated earlier but he has not made rebuttal of the averment that there was an agreement between the appellant and the licensee for the continuous supply for installing an electricity line connecting mains and apparatus including transformer.

M/s. Modipon Fibers Co.

16. In First Appeal No. 78 of 2002, M/s. Modipon Fibers Co. has also prayed for setting aside the impugned orders dated 12-9-2002 and 4-10-2002, passed by the Regulatory Commission. The appellant which has its plant of manufacturing fibers at Modinagar in Ghaziabad District has also stated that both the decisions of the Commission are liable to be set aside as the Commission has not dealt with the material which was placed before it. According to the company, a very important question of law has arisen for determination by this Court in the present appeal and it is to the effect as to whether the Commission's two decisions dated 12-9-2002 and 4-10-2002 are complete decisions on the issue referred to the Commission by the appellant. Besides above, the following questions of law need to be dealt with:

1. Whether Commission has rightly gone through the application moved by some other customer seeking for permission to approach the High Court and whether it was open for the Commission to dismiss the entire proceedings?
2. Whether the Commission has rightly decided the original petition of the appellant on the basis of the decision in *L.M.L.'s case* (2001 All LJ 2520) by going through the spirit of the said decision?
3. Whether the decision in *LML's case* was a hurdle for the Commission to deal with the matter referred to by the appellant?

4. Whether the verdict of the Commission by above two orders is correct and whether it was not the Commission's duty to look into the unfair business of the licensee?

17. The appellant-consumer has asserted that it had never consumed supply of electricity up to the guaranteed quantum and, therefore, the licensee was not entitled to impose surcharge of 15% but the Commission has not entered into the merit of this contention. Since the Corporation itself was not capable of supplying guaranteed energy of 500 hours per month, Circular dated 8-9-2000 was issued providing for an option not to avail the guaranteed supply of 500 hours in a month. The Commission was asked by virtue of filing a reference petition before it to examine the unfair business of the licensee, as on one hand, the Corporation accepted that it was not in a position to supply assured guaranteed quantum and on the other, after L.M.L.'s decision, it levied the additional surcharge of 15% and issued the demand notice. The Commission without application of mind to the provisions of Sections 10K, 24, 34 and 35 of the U.P. Electricity Reforms Act, 1999 rejected the reference petition. Even after the two Circulars had been withdrawn subsequently by the Power Corporation, the Commission was required to determine as to whether precondition for imposing 15% surcharge had been fulfilled or not. The Commission has not looked into the arbitrary manner in which the fictitious demand for 15% additional surcharge had been raised. Both the orders under challenge clearly indicate that the real issues have not been dealt with on merit by the Commission and the latter had wrongly interpreted the judgment in *L.M.L.'s* case (2001 All LJ 2520). As a matter of fact, it was the licensee's illegal conduct of raising fictitious surcharge demand without there being any guaranteed supply. The High Court had not restrained the Commission from proceeding or for granting approval to the licensee or from dealing with every case separately on merit where unfair business had been conducted by the licensee. The Commission has accepted in its order dated 1-9-2001 that 15% independent feeder surcharge was not realistic and legal, so they dropped realisation from 15-5-2001. Therefore, it was the duty of the Commission to look this aspect also and decide whether the licensee had made guaranteed supply and also whether the consumer was liable to pay such surcharge or not. This material



aspect has not been dealt with by the Commission while passing the two orders dated 12-9-2002 and 4-10-2002.

18. By virtue of seeking amendment in the memo of appeal, the appellant-consumer pleaded further that the demand of 15% surcharge was ex facie illegal and unauthorised as the “tariff” nowhere permitted the licensee to press for the aforesaid demand on the basis of continuous supply. Even the second kind of surcharge on the count of electricity use during restricted hours, was illegal as the appellant had never asked for supply of power during the restricted hours. Unless and until there was any provision to restrict the appellant consumer from consuming power during restricted hours, there was no occasion for the appellant to opt for power use during the restricted hours. In the case of appellant, since the licensee had not borne the cost of independent feeder connecting the appellant's plant with mains, it cannot be subjected to liability of independent feeder surcharge.

19. Mr. B.K. Sharma, the then Executive Engineer (Revenue) filed his counter-affidavit asserting therein that the Regulatory Commission has passed a detailed order on the reference filed by the appellant by categorically holding that since *L.M.L.'s case* by which the Circular issued by the respondent Corporation was declared void is pending before the Supreme Court, the matter being sub judice could not be dealt with. The appellant's plea that the licensee was not in a position to supply guaranteed quantum of electricity was rejected to be as baseless. It is different that the Circulars dated 8-9-2000 and 21-12-2000 were issued by the respondent-Corporation to provide option to the consumers. The Commission in its order dated 29-1-2000 provided for 15% additional surcharge on consumers deriving power from independent feeder and such consumers were assured supply of 500 hours in a month. In a case of default in the assured supply, a rebate of 1% for each 10 hours shortfall was admissible on the total computed charges. After the decision in *L.M.L.'s case* (2001 All LJ 2520), the licensee had withdrawn both the Circulars in question and consequently raised the demand from the consumers. Some of the consumers moved the Commission for permission to approach the High Court for clarification when they realised that the reference petition had no merit. The Commission rightly declined to grant any permission and the review petitions were also correctly and legally disposed of as without merit.

20. In view of these objections, the present appeal is not tenable in the eye of law and, therefore, it deserves to be dismissed.

21. In his rejoinder-affidavit, Shri Pankaj Kumar Sinha, Deputy General Manager, Legal has simply reiterated the pleas raised by the appellant earlier. Nothing new came forward.

M/s. Samtel Colour Limited

22. In First Appeal No. 82 of 2002 also, M/s. Samtel Colour Limited, Ghaziabad, engaged in manufacturing of steel ingots, gets power

supply through 33-KVA mixed feeder. It has assailed the two orders dated 12-9-2002 and 4-10-2002 passed by the Regulatory Commission, mainly on the grounds that the latter did not consider the merit of the case and with out going through the materials placed before it passed the orders impugned in this appeal. The; appellant had given its option that it was not interested for guaranteed supply. Consequently, the U.P. Power Corporation had never supplied the guaranteed electricity, a fact merit of which was not looked into by the Commission. The Regulatory Commission has also not dealt with the specific point of the appellant that it was the Power Corporation itself which declined to supply the assured power. It was only after the *L.M.L.*'s case that the Corporation withdrew its circular letter and levied 15% illegal surcharge on the total monthly bill. This unfair business run by the Corporation was not looked into; rather the Commission had rejected the reference merely by taking the plea that in view of the decision in *L.M.L.*'s case, there remains nothing to be decided by the Commission. The Commission had also not considered the provisions of Sections 10-K, 24, 34 and 35 of the U.P. Electricity Reforms Act, 1999 and with a non-application of mind passed the orders in question. It is further pleaded that the Commission



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had wrongly interpreted some other consumers' application dated 27-8-2002, meant for seeking permission to approach the High Court. The Commission had also not looked into the fact that in the *L.M.L.*'s case, the High Court had not dealt with licensee's illegal conduct of demanding fictitious surcharge without guaranteed supply. The High Court had not restrained the Commission from proceeding or for granting approval to the licensee or from dealing with each and every case separately on merit. In this way, the Commission had wrongly applied *L.M.L.*'s case. Further, the Commission had also not come across while deciding the reference petition that it has itself accepted in its order dated 1-9-2001 that 15% surcharge on independent feeder was not realistic and legal and as such, it dropped realisation thereof from 15-5-2001 and in such circumstances, it was the duty of the Commission to go through this very important aspect of the matter as to whether the consumer was liable to pay such surcharge even without supply of guaranteed power by the UPPCL. In such situation, the decision of the Commission is meritless and is liable to be set aside.

23. Mr. Jag Mohan Lal, the then Executive Engineer, Electricity Distribution Division-1, Gaziabad has filed his counter-affidavit on

behalf of the respondents and deposed that it is incorrect to say that since the licensee was not in position to supply guaranteed power through the independent feeders, it issued the Circular dated 8-9-2000 giving liberty to the consumers to exercise their option that in case they were not interested to take supply of power for 500 hours in a month, 15% surcharge on such count will not be levied. The Commission by its order dated 29-1-2000 had provided 15% additional surcharge on the total bill against a consumer deriving power from independent feeder with assured supply of 500 hours in a month and in case of short fall in such supply, a rebate of 1% on each 10 hours shortfall was admissible on the total computed amount. Besides, the UPPCL had no jurisdiction to issue circulars dated 8-9-2000 and 15-12-2000 as it amounted to altering the terms of the tariff and keeping this in view, the High Court in *L.M.L.'s case* (2001 All LJ 2520) termed these circulars to be as void and as such the respondents were right in their move to realise 15% additional surcharge on the total bill.

24. Mr. A.M. Bansal has filed his rejoinder-affidavit and repeated the earlier version with the only addition that as the Power Corporation had not made the assured supply of 500 hours, the shortfall must have been reduced in guaranteed supply with the rebate of 1% for each 10 hours default as enumerated in the tariff order dated 27-7-2000 issued by the Commission and the consequential order dated 9-8-2000, published by the UPPCL.

M/s. Sandila Metal Wires (P) Limited

25. M/s. Sandila Metal Wires (P) Limited, Hardoi has filed F.A.F.O. No. 30 of 2004, challenging the Regulatory Commission's order dated 11-9-2003, by which the latter has dismissed Petition No. 51 of 2002 moved against the demand of 15% additional charge vide bill dated 11-9-2002. The appellant-consumer has pleaded that it had opted for not getting 500 assured electricity supply during the period from 9-8-2000 to 15-9-2001 and therefore, the demand of 15% independent feeder surcharge is ex facie illegal and contrary to the tariff. The Commission had not considered the relevant facts put forth by the appellant on its merit and without applying its mind passed the impugned order which is illegal and bad on facts and law both. The Commission, vide order in question, had also decided seven more Industries' case relating to the same subject-matter regarding illegal levy of 15% surcharge for supply of power on independent feeder applicable to HV-2 consumers. It is not disputed that the appellant is covered by rate schedule HV-2 under the tariff order dated 27-2-2000, issued by the Regulatory Commission. It is also pleaded that the Circular dated 8-9-2000 clearly depicts that 15% charge would not be levied on any consumer unless and until he opts for guaranteed supply of minimum 500 hours in a month. The Circulars dated 8-9-2000 and 15-12-2000 were issued by the Power

Corporation after detailed discussions with the Commission. Since the correct facts were not placed before



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the High Court in *L.M.L.'s case*, the Court held the Circular dated 8-9-2000 to be inoperative and void in law. It is further contended that the levy of 15% surcharge is dependent upon the consumers getting power supply for a minimum of 500 hours which include the peak/restricted hours and further they were given the right to opt for such a supply. The Commission itself issued the tariff order dated 1-9-2001 whereby it discontinued the 15% additional surcharge. This order was issued by the Regulatory Commission after the UPPCL's declination to supply guaranteed power of minimum 500 hours as it was not practically possible for it. The Regulatory Commission had not taken into consideration the cause of abolition of 15% additional surcharge for the year 2001-2002. To be explicit, the appellant-consumer's contention is that it was owing to the licensee's operational and technical difficulties that it had given liberty to the consumers to either opt to use 500 hours assured supply or not. The appellant cannot be punished for the alleged non-approval, if any of the Circular, issued by the UPPCL. The observations of this Court in *L.M.L.'s case* (2001 All LJ 2520) cannot be said to be binding upon the Regulatory Commission as the dispute in question before the High Court was between the L.M.L. and KESCO and not with any other consumer of the licensee like the appellant in this case. Besides, this judgment in *L.M.L.'s case* is subject to an appeal pending before the Apex Court. The demand of 15% additional surcharge is nothing but an extraction of money. It amounts to imposition of tax by the respondents which is illegal and violative of Arts. 19(1)(g) and 300-A of the Constitution of India. The respondents cannot resile from the terms/promises of the Circulars of September 8, 2000 and December 15, 2000 and they are estopped to do so by virtue of principles of promissory estoppel or principle, analogous thereto. On these facts and grounds, the appellant-consumer has prayed for setting aside the Regulatory Commission's order under appeal.

26. Mr. C.S. Mishra, who was at the relevant time posted as Executive Engineer. EDD-II, U.P. Power Corporation Limited, Hardoi has filed his counter-affidavit on behalf of the opposite parties. This affidavit only mentions about the *L.M.L.'s case* decision and that of the Regulatory Commission's order under challenge. It has been mentioned further that the U.P. Power Corporation Limited had supplied power to the appellant factory for more than 500 hours every month in the

calender year 2000 and 2001. At last, it has been prayed that the appeal as also the application for interim relief being devoid of merit are liable to be dismissed with costs.

27. Mr. Abhay Kumar Agrawal through his rejoinder-affidavit dated April 28, 2004 has reiterated the averments made in the affidavit filed in support of the application for interim relief. Nothing new has been added by him.

M/s. Saini Alloys Private Limited

28. M/s. Saini Alloys Private Limited, Sikanderabad (Bulandshahr) has also filed First Appeal No. 75 of 2002 against the orders dated 12-9-2002 and 4-10-2002, passed by the Regulatory Commission. The appellant is a consumer of the U.P. Power Corporation and gets supply through 33-KVA mixed feeder and is engaged in the manufacturing of steel ingots. The main grounds for challenge are that the Regulatory Commission had not gone into the material facts and without applying its mind has passed the orders in appeal. The appellant consumer had exercised its option that it was not interested for any guaranteed supply. The Commission was not right in its observation that after the *L.M.L.'s case*, nothing remains to be decided by it. The Commission had also not gone through the merits of the case of the appellant-consumer. The main contention of the appellant before the Commission was that the licensee had never supplied electricity up to the assured quantity and accordingly, the UPPCL was not empowered to impose additional surcharge but this issue was not taken into consideration by the Commission while deciding the matter and as such the decision of the Commission is erroneous. The Commission has also not cared to thoroughly examine the unfair business of the licensee to the effect that the licensee had expressed its inability to supply



power to the guaranteed extent which was the basis of realising the surcharge and consequently, the Power Corporation itself dropped realisation of 15% surcharge. The appellant-consumer had also moved an application for clarification/review of the order dated 12-9-2002 but the Commission with complete non-application of mind rejected the application. The Commission has also not looked into the fact that in *L.M.L.'s case*, the High Court has not dealt with the UPPCL's illegal conduct of raising fictitious surcharge demand without guaranteed supply. Thus, the Commission had wrongly applied *L.M.L.'s case* in the case of the appellant-Consumer. Further material aspect which too was not looked into is that the Commission itself in its order dated 1-9-2001 accepted that 15% independent feeder surcharge was not realistic

and legal and as such, it dropped realization of such surcharge w.e.f. May 15, 2001. On these grounds, the appellant-consumer was sought for setting aside the two orders under appeal.

29. Mr. Rajesh Kumar Gupta, the then Executive Engineer, Electricity Distribution Division, U.P. Power Corporation Limited, Bulandshahr has filed a counter-affidavit on behalf of all the respondents. It is asserted that in pursuance to the directions of this Court in *L.M.L.'s* case (2001 All LJ 2520), the Circulars dated 8-9-2000 and 21-12-2000 were withdrawn and a direction was issued to recover the amount of 15% additional surcharge from the consumers who had exercised their option not to get guaranteed power supply of 500 hours. Since the appellant had used power through independent feeder, it is bound to pay the surcharge at the rate of 15% as determined by the Commission. In this way, the answering opposite party has sought dismissal of the appeal.

M/s. Jagannath Steels Private Limited

30. In First Appeal No. 96 of 2002 *Jagannath Steels Private Limited, Azamgarh v. U.P. Power Corporation*, the appellant-consumer has assailed the order dated 11-9-2003, passed by the Regulatory Commission under Section 34 of the U.P. Electricity Reforms Act, 1999. It has been contended that the UPPCL had never supplied the assured power and as such, there was no question of charging 15% surcharge on account of independent feeder. It is further pleaded that in the other first appeals filed against the Commission's orders dated 12-9-2002 and 4-10-2002, this Court had stayed the demand of the UPPCL and disconnection of power but the Regulatory Commission had not taken into consideration this fact and passed the order in question. After the order of demand was stayed by the High Court, the Regulatory Commission should have waited for the final decision of this Court and stayed the UPPCL's move to disconnect the power supply to the appellant-consumer but by adopting a contrary view, the erroneous condition of depositing 30% amount of the total surcharge bill has been imposed. This has been termed to be as arbitrary and illegal. The view of the Commission that after the decision in *L.M.L.'s* case (2001 All LJ 2520), nothing was left to be decided, is wrong as the issue regarding carrying out of unfair business by the Power Corporation was not before the High Court. The High Court had simply termed the Circular dated 8-9-2000, issued by the UPPCL to be as void. Hence the decision of Commission dismissing the reference petition filed by the appellant-consumer is bad. Further when the appellant moved an application for clarification/review of the earlier order, the Regulatory Commission without application of mind dismissed the whole case. Since the UPPCL had failed to supply the assured power, there was no question of

levying 15% additional surcharge on the bill. This aspect was not considered by the Regulatory Commission. In these circumstances, the appellant has prayed for setting aside the order in question.

31. By filing counter-affidavit on behalf of the respondents, Mr. Kapil Dev Shukla, the then Executive Engineer, EUDD-II, U.P. Power Corporation Limited, Azamgarh has reiterated the averments of the counter-affidavit filed by Mr. Rajesh Kumar Gupta in First Appeal No. 75 of 2002.

M/s. Swarpp Castings Private Limited

32. By means of F.A.F.O. No. 575 of



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2003, M/s. Swarup Castings Private Limited, a factory situated at village Salarpur, District Muzaffarnagar and which deals in manufacturing of various types of melting furnace and induction furnace products, has challenged the order dated September 11, 2003, passed by the Regulatory Commission, whereby the latter had dismissed the reference petition, inter alia on the ground that after the final decision rendered by High Court in Civil Misc. Writ Petition No. 40692 of 2000, *L.M.L. Limited v. State of U.P.*, it had no jurisdiction to hear the matter and make any comment on the issue.

33. The facts giving rise to the instant appeal are that pursuant to an agreement entered into on February 3, 1995, the appellant consumer had obtained a sanctioned load of about 2200-KVA on an independent feeder of 132-KV Sub-station, although it is now a non-continuous category (HV-1) consumer under the new tariff of 2001-2002 with effect from 24-9-2001. It is pleaded by the appellant that pursuant to the Circular dated September 8, 2000 issued by the Power Corporation, it exercised its option of not insisting on an assured supply of 500 hours vide its letter dated September 19, 2000. This option was duly accepted and acted upon by the UPPCL and thereby 15% additional surcharge was not levied against the appellant-consumer. It was only after the Lohia Machines judgment that the UPPCL issued a Circular dated 31-8-2001 and levied 15% surcharge for the period August, 2000 to September 15, 2001 vide supplementary electricity bills. Being aggrieved of this order dated 31-8-2001; the appellant-consumer approached the Regulatory Commission through a petition under Regulations 24 and 144 of the U.P. Electricity Regulatory Commission (Conduct of Business) Regulations 2000, read with Sections 24, 26 and 27 of the State Act, 1999. However, the consumer's petition was dismissed vide order under appeal. It has been

contended that the impugned order has been passed without affording adequate opportunity of being heard to the appellant-consumer. The merit of the case was not at all discussed by the Commission. The UPPCL had itself in its short counter-affidavit filed before the Regulatory Commission averred that the Circulars dated September 8 and December 15, 2000 were issued pursuant to the deliberations with the Regulatory Commission. In other words, the said Circulars were impliedly approved by the respondent No. 3. This very important fact was not considered by the Regulatory Commission while dismissing the petition. The Regulatory Commission had also failed to appreciate that it was due to the licensee's operational and technical difficulties of giving guaranteed supply of power that levy of 15% surcharge was abolished for the year 2001-2002. The Commission had further erred in not appreciating that the judgment of this Court in *L.M.L.'s* case related to another licensee, namely, Kanpur Electric Supply Company (KESCO) and the petitioner of the said case was the consumer thereof and the Circular issued by the respondent No. 1 had no concern with another licensee like KESCO and as such the observations made by the High Court in *L.M.L.'s* case (2001 All LJ 2520), cannot be said to be binding on any other consumer, much less the present appellant-consumer. The Regulatory Commission has not given a thought to the legal plea that the respondents were estopped to resile from the promises, made in the Circulars dated 18-9-2000 and 15-12-2000 by virtue of the principle of promissory estoppel or the principle analogous thereto. It is further stated that the Circular of December 15, 2000 was not placed before the Regulatory Commission for its perusal. It was only the Circular dated 8-9-2000 that was held to be inoperative under the impression that it could not get the assent of the Regulatory Commission. All that observed by this Court was that the Power Corporation had no opportunity to alter the tariff without approval of the Regulatory Commission. In any case, the licensee cannot be said to have rightly proceeded with levy of 15% already waived surcharge and issue of the supplementary bill. It has also been pleaded that the appellant-consumer had acted to its detriment by reducing the prices of its components subsequent to the waiver of surcharge by the licensee and at this stage when much water had flown, the respondents cannot either on the



strength of the Circular of August 31, 2001 or in view of this Court's judgment in *L.M.L.'s* case proceed to realize 15% surcharge. Besides, justifiability of the waiver of the onerous burden cast on the consumers

led to the abolition of this surcharge in the tariff for the year 2001-2002 which has been approved by the Commission. In other words, the Commission had put its imprimatur on the said waiver of surcharge by allowing impliedly the Circulars dated September 8 and December 15, 2000 giving option to the consumers to either opt for the assured supply of power or not. These Circulars were in conformity with the scheme of the relevant statutory provisions. Silence on the part of the Commission upon receipt of copies of the Circulars can justifiably be interpreted as its unspoken approval. In any case, demand/realisation of additional surcharge of 15% retrospectively which had already been waived of, is contrary to the licensee's commitment, and therefore, it is liable to be set aside.

34. Mr. O.P.S. Tomar, the then Executive Engineer, EUDD-II, Patel Nagar, Muzaffarnagar filed an affidavit along with the application for vacation of stay order, inter alia mentioning therein that the issue of 15% additional surcharge has already been finally decided by the Division Bench of this Court at Allahabad in *L.M.L.'s case* (2001 All LJ 2520). In other words, the opposite Parties' contention is that since the issue in question has already been dealt with and decided by this Court in the above-mentioned case, the appellants cannot raise again the same point in this Court.

M/s. Ram Ganga Cement (Pvt.) Limited

35. Now we take up the First Appeal from Order No. 570 of 2003, filed by M/s. Ram Ganga Cement (Pvt.) Limited. This company is situated at Shahabad Road, Bilari, District Moradabad. It preferred this appeal against the dismissal order dated 11-9-2003, passed by the Regulatory Commission on the basis of the Lohia Machines decision, rendered by the High Court. The facts and grounds taken in this appeal are almost similar to those enumerated in the above-mentioned F.A.F.O. No. 575 of 2003. The present appellant's factory too produces melting furnace and induction furnace. This appellant's unit is also based on an independent feeder. It had exercised its option not to insist on an assured supply of power of 500 hours. However, the licensee had imposed additional surcharge and issued enhanced bills which were challenged before the Regulatory Commission. However, the latter rejected the appellant's case by means of its order under appeal. This order of the Commission has been levelled as illegal and passed without considering the true facts put forth by the appellant-company.

36. By filing a counter-affidavit, Mr. V.P. Singh, Executive Engineer (Revenue), Electricity Distribution, Division-I, U.P. Power Corporation Limited, Moradabad, as he then was, placed some additional features before this Court. It has been alleged that the Regulatory Commission,

vide its interim order dated 7-1-2003, directed the appellant-consumer to deposit 30% of the impugned demand, i.e. Rs. 12.72 lacs. The appellant-consumer had furnished a bank guarantee for Rs. 12.72 lacs, issued by the State Bank of India, Civil Lines, Moradabad. This Court too in the present appeal has passed an interim order dated 29-9-2003 directing the appellant-consumer to deposit a sum of Rs. 12.00 lacs with the UPPCL. However, the appellant-consumer instead of complying with the order, had opted for permanent disconnection of power. A final bill amounting to Rs. 65,56,902.00 was issued against the appellant. Surcharge at the rate of 15% for power consumption through independent feeder was also levied in the bill.

ITI Limited, Mankapur

37. In First Appeal No. 120 of 2003, ITI Limited, Mankapur, District Gonda, engaged in the manufacturing of Electronic Exchange for supply and installation all over the country, has prayed for quashing the order dated September 11, 2003, passed by the U.P. Electricity Regulatory Commission. By this order, the Regulatory Commission has dismissed by a common judgment the clarification application moved by the appellant-consumer and some others simply on the ground that the matter has already been decided by the High Court in *L.M.L.'s* case (2001 All LJ 2520).

38. Briefly stated, the facts of the case are



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that the appellant-company is a government company having its registered office at Bangalore. The electric supply to the factory is given during normal hours and peak/restricted hours from 132-KV Sub-station, Mankapur by an independent feeder, constructed at the cost of the company. Such a supply is charged under HV-2 category. It has been stated that the Regulatory Commission had issued tariff order dated July 27, 2000 containing the rate schedule for large and heavy industries. It was categorically provided that for using the power during peak hours, 15% surcharge on the amount of bill was to be paid in a month and nothing else was required to be billed. The Commission had observed that the electricity rates for industries in the State of U.P. are quite high and sharp increase in the rates will be counter-productive. Keeping this in view, the Commission had increased the demand and energy charges only by 5%. However, this chart provided in the tariff order, postulates otherwise. It mentions two categories of billing — one that the consumers getting supply of power in restricted hours are liable to pay 15% surcharge on demand and energy charges and the other were those consumers who were getting supply through

independent feeders emanating from 400/220/132 KV-Sub-stations. They were proposed to be levied with an additional 15% surcharge on the condition of assured power supply for minimum 500 hours in a month. In case of short fall, a rebate at the rate of 1% per 10 hours was admissible on the total amount computed under "Rate of Charge". Vide Circular dated 9-8-2000, the licensee published its rate schedule, in terms of above, making it effective from 9-8-2000. This rate schedule has been pleaded by the appellant-consumer to have been issued against the intent of the Commission as only 15% surcharge was to be levied on the consumers having independent feeders and using power during peak/restricted hours. It has been stated further that the appellant-company was levied only 15% additional surcharge for quite some time for consuming power from independent feeder as also in restricted hours. However, all of a sudden the licensee was required to pay some arrears at the rate of 30% surcharge on the count of using power firstly from independent feeder and the other during peak hours. This demand by the UPPCL has been phrased to be as illegal and against the tariff order. Consequently, the appellant-consumer filed an Application/Petition No. 8 of 2003 before the Regulatory Commission challenging the aforesaid illegal demand of surcharge. The company also sought clarification of the tariff order dated 27-7-2000. However, the Regulatory Commission had dismissed the petition vide its order in question on the ground that after the Lohia Machines judgment, the Commission had no power to re-examine the already decided issue by the High Court. It has been pleaded that this order has been passed with complete non-application of mind. The Commission had not considered the stand of the company that it had never opted for guaranteed supply of power for 500 hours. It had also not dealt with the very important point raised by the appellant-consumer to the effect that in case there is a variation between the narration of facts and the column graphs/charts as depicted in the tariff order, issued by the Commission, it is the narration of facts which have to be relied upon for assessing the true intention of the words. However, the Commission by adopting the short-cut method dismissed the petition by a common judgment on the basis of the decision in *L.M.L.'s case* (2001 All LJ 2520). In this way, the appellant-consumer has sought quashing of the order dated 11-9-2003, passed by the Regulatory Commission.

39. Mr. R.C. Jain, the then Assistant Engineer, EDD, U.P. Power Corporation Limited, Gonda has filed an affidavit, sworn on October 15, 2003. The order dated 11-9-2003, passed by the Regulatory Commission has been stated to be validly passed as it had no jurisdiction to interfere in the matter after the *L.M.L.'s* decision of the High Court which is binding on the Regulatory Commission.

M/s. Diamond Cements, Jhansi

40. Another First Appeal No. 116 of 2003 has been filed by M/s. Diamond Cements, Jhansi against the U.P. Power Corporation's authorities challenging the order dated 11-9-2003, passed by the Regulatory Commission.



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The appellant-consumer gets power supply from independent feeder emanating from 132-KVA Sub-station. The factory opted for using power in restricted/peak hours and agreed to pay an additional surcharge of 15% for the purpose but did not go for the assured supply of 500 hours in a month and as such denied to pay 15% additional surcharge on this count but after the circular orders dated 8-9-2000 and 15-12-2000 were cancelled by the UPPCL vide its order dated 31-8-2001, a consequential bill/notice dated 17-9-2001 for a sum of Rs. 1,31,94,445/- has been issued in respect of additional 15% surcharge on demand and energy charges for getting supply on independent feeder from 9-8-2000 to August, 2001. It has been pleaded by the appellant that the Circulars dated 8-9-2000 and 15-12-2000 issued by the UPPCL had the approval of the Regulatory Commission, as mentioned in the Circular dated 31-8-2001 itself, whereby the former had cancelled these two Circulars and imposed on bills 15% additional surcharge for use of power from independent feeder. Therefore, in view of the Regulation 128(2) of the Regulations, framed under Section 52 of the Electricity Regulatory Commission Act, 1998, read with U.P. Electricity Reforms Act, 1999, these two Circulars of the year 2000 are binding upon the Corporation. The Circulars dated 8-9-2000 and 15-12-2000 do not vary the tariff framed by the Regulatory Commission as the UPPCL had simply given to its consumers certain benefits through these Circulars and now the Power Corporation cannot turn back and levy 15% additional surcharge against the appellant getting power under HV-2 category as it is barred by the law of promissory estoppel. It is further pleaded that since the appellant-consumer had acted upon the two Circulars, issued by the Power Corporation, by exercising its option, as aforesaid, it is binding on the latter till it is withdrawn and such withdrawal can be made applicable only with prospective effect and not retrospectively. This very important aspect of the matter was not dealt with by the Commission. In addition to it, the fact that the impugned Notifications dated 8-9-2000 and 15-12-2000 were issued with the concurrence of the Regulatory Commission escaped from the attention of the High Court while deciding Writ Petition No. 40692 and thus the judgment rendered in the said petition is per incuriam and

does not apply in case of the appellant-consumer. On these grounds, the appellant-consumer has prayed for setting aside the judgment and order dated 11-9-2003 under appeal.

41. Mr. Daya Ram Vimlesh, the then Executive Engineer, E.D.D.-II, Jhansi has filed his counter-affidavit on behalf of the respondents. It has been pleaded that the High Court in *L.M.L.'s* case has held the options sought by the UPPCL by means of Circulars dated 8-9-2000 and 15-12-2000 to be void as it is a clear alteration of the approved tariff which is not permissible in law. It has been further contended that these Circulars insofar as they are inconsistent with the tariff approved by the Commission are void and wholly inoperative in law. The order dated 31-8-2001 withdrawing the two Circulars of 2000 was issued in pursuance of the judgment and order rendered in *L.M.L.'s* case and consequently the bill for 15% additional surcharge was issued against the appellant-consumer.

42. The appellant-consumer in rebuttal of the averments made in the counter-affidavit has reiterated its version put forth by it in this appeal. It is needless to restate the same.

M/s. Rama Paper Mills Limited

43. M/s. Rama Paper Mills Limited, a company registered under the Companies Act, 1956, having its registered office and works at Kiratpur, Bijnor, has filed F.A.F.O. No. 575 of 2002 through its Manager (Finance) Sri V.K. Bansal, challenging the order dated 12-9-2002, passed by the Regulatory Commission, and the Circular of August 31, 2001, issued by the UPPCL, all bills raised and demands made pursuant thereto, whereby a demand of 15% surcharge with interest thereon was made.

44. Briefly stated, the facts of the case giving rise to the instant appeal are that the appellant-consumer engaged in the manufacture of paper and allied products has a sanctioned load of about 3000-KVA on an independent feeder. In pursuance to the same Circular as relied in all the above appeals, this appellant-consumer too exercised its option of not insisting



on a guaranteed supply of 500 hours vide its letter dated September 19, 2000. This option was accepted and acted upon by the respondents. However, after the Lohia Machines decision, the UPPCL issued a Circular dated 31-8-2001 and levied surcharge of 15% for the period from August, 2000 to September 15, 2001. Dissatisfied with and aggrieved with the said order, the appellant-consumer filed a petition

before the UPERC under Regulations 24 and 144, read with Sections 24, 26 and 27 of the State Act, 1999. However, the UPERC declined to pass any order, inter alia, on the ground that it was open for the parties to approach the High Court for appropriate orders. It has been submitted that the consumer-appellant was not afforded adequate opportunity of being heard. Further the order passed by the Commission is meritless. The Regulatory Commission while deciding the petition had not considered the relevant provisions of U.P. Electricity Regulatory Commission (Conduct of Business) Regulations, 2000, the U.P. Electricity Reforms Act, 1999 and the Electricity Regulatory Commissions Act, 1998. The Circulars of September 8 and December 15, 2000 were issued after deliberations, as averred on oath by the UPPCL in its counter-affidavit, with the Regulatory Commission. It is further submitted that since the aforesaid Circulars of 2000 were sent to the Regulatory Commission, it will be presumed that the Regulatory Commission impliedly had given its approval therefor. It has been further contended on behalf of the appellant-consumer that the observations of this Court in *L.M.L.'s case* are applicable/binding only to L.M.L. and KESCO, i.e. the parties to the litigation and not any other consumer like the present appellant-consumer. It is also vehemently pleaded that even if the judgment in *L.M.L.'s case* applies to the consumers at large, it is not open to the UPPCL to reopen, raise and realize/recover 15% surcharge. The High Court had nowhere given a blanket permission to the Corporation to raise such demand. In any event, an attempt to recover a tax or penalty including a surcharge retrospectively is contrary to law and any action in this regard is liable to be prevented. On these grounds, the appellant-consumer has prayed for setting aside the orders under challenge.

45. Mr. Akhil Mehrotra, the then Assistant Engineer (Revenue), Electricity Distribution Division, U.P. Power Corporation Limited, Bijnor has filed counter-affidavit on behalf of the respondents. It has been submitted that the order dated 31-8-2001, issued by the UPPCL has been passed in pursuance of the decision in *L.M.L.'s case* (2001 All LJ 2520) and in consequence thereto, the bills were raised and further that the Regulatory Commission had declined to interfere in the matter and as such, the appeal is not maintainable being misconceived and baseless. In regard to the exemption of surcharge of 15% by the Regulatory Commission for the year 2001-2002, it has been submitted that the present dispute of the bill is for the period from August 2000 to September 15, 2001 and the tariff for the year 2001-2002 has nothing to do with the controversy involved in the present appeal. There was no question left for the Regulatory Commission to deal after the decision rendered in *L.M.L.'s case* and this Court too has no jurisdiction to interfere in the present appeal when the matter has

already been decided by another Division Bench of this Court in *L.M.L.*'s case. In these circumstances, the appeal having no force deserves to be dismissed with costs.

46. Mr. Ramesh Chand Gupta, the then Executive Engineer, Electricity Distribution Division, U.P. Power Corporation Limited, Bijnor has also filed a supplementary affidavit on behalf of UPPCL and denied the averment of the present appellant-consumer that the former did not supply minimum assured power, i.e. 500 hours in a month. It is stated that for the period in question, the supply in every month was more than 500 hours. In support of this contention, the answering respondent has filed along with the affidavit details of supply made to the appellant-consumer between August 2000 to September 2001. Further the appellant-consumer also consumed electricity during restricted hours.

M/s. Badri Kedar Papers Pvt. Ltd.

47. At last, we take up Writ Petition No. 7279(M/B) of 2002, *Badri Kedar Paper*



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Pvt. Ltd. v. U.P. Electricity Regulatory Commission, whereby the validity of the circular letter dated August 31, 2001, issued by the U.P. Power Corporation has been questioned. By the said Circular, the Corporation had withdrawn its earlier Circulars dated 8-9-2000 and 15-12-2000 whereby exemption of 15% surcharge by way of concession for not raising demand for guaranteed supply of power for 500 hours in a month was granted. A demand notice dated October 18, 2002 directing the appellant-consumer to deposit Rs. 21,13,032/- was also issued. The petitioners had earlier approached this Court for the similar cause by way of First Appeal No. 653 of 2002. However, they did not press the appeal at the preliminary stage and consequently, it was dismissed as not pressed.

48. The sequence of events leading to filing of the instant writ petition can precisely be narrated as under:

The petitioner is a private limited company, registered under the Companies Act and consuming electric power through independent feeder connected with 132-KVA. It entered into an agreement with the then U.P. Electricity Board, now the UPPCL for supply of power through independent feeder. Clause 4 of the Rate Schedule provides an additional surcharge of 15% on demand of energy to be levied on the consumers getting supply through independent feeder emanating from 440/220/132-KVA Sub-stations and who desired a

guaranteed supply of minimum 500 hours in a month. In this context, the U.P. Power Corporation issued Circulars dated 8-9-2000 and 15-12-2000. In pursuance of these Circulars, the petitioner-company opted for not using assured power for 500 hours during a month, and therefore, it was not liable to pay 15% surcharge. However, the licensee issued the impugned Circular dated August 31, 2001 and thereby cancelled its earlier circulars of 2000 on the mere pretext of the judgment rendered by this Court in *L.M.L.'s* case and demanded 15% additional surcharge from the petitioner-company.

49. It has been pleaded on behalf of the petitioner that once it exercised its option of not consuming the assured supply for 500 hours, as aforesaid, which was accepted by the UPPCL, there was no question of retracting by the licensee and demanding raised bill merely on the basis of some observations of the High Court in *L.M.L.'s* case (2001 All LJ 2520). It has been supplemented further that the judgment rendered in *L.M.L.'s* case is not binding upon the petitioner as it was between the Kanpur Electricity Supply Corporation, another licensee and the Lohia Machines. In other words, the petitioner was not a party to the writ petition. It has been further added that since the Circular under challenge fastens a financial liability on the petitioner-company, it cannot be applied retrospectively. The defence of application of the principle of promissory estoppel upon the licensee has also been taken recourse to. Challenging this Circular, the petitioner-company and some others filed a reference petition before the Regulatory Commission which too was dismissed by a common order by the latter without going through the merit of each case. The Commission had observed that after the decision in *L.M.L.'s* case, it had no power to entertain the petition. This approach has been termed to be as illegal.

50. A counter-affidavit has been filed by Mr. Shankar Lal Gupta, Executive Engineer, Electricity Distribution Division, U.P. Power Corporation Limited, Ajmal Khan Road, Najibabad, Bijnore on behalf of opposite parties 2 and 3 giving parawise reply to the writ petition. It has been submitted that this petition is not maintainable as the controversy has already been brushed aside by this Court in Writ Petition No. 40692 of 2000. Unless the said decision is interfered with or set aside by the Apex Court, there is no justification for the petitioner to challenge the Circular dated 31-8-2001 again in the writ petition in hand. The answering opposite party has termed the bills having been rightly issued by the Corporation. It is further pleaded that since the Circular in question was notified in violation of the relevant provisions of the Act, the UPPCL was right in its move to withdraw it and demand for recovery of the outstanding amount. In reply to the contents of paragraphs 20 and 21. it is inter alia submitted that there



is no question of the Circular dated 31-8-2001 having retrospective operation. It is the amount under the Tariff Rate Schedule which was sought to be recovered through the impugned Circular. Besides, without following the procedure as contemplated under the Reforms Act, 1999, there cannot be any change in the rate schedule even by the Commission and as such the reference too was not maintainable at all. The decision taken by the impugned order is totally just and proper and as such, the writ petition having no merit deserves to be dismissed with cost.

51. We have heard learned counsel for the parties.

52. The main issue to be determined in these appeals and the sole writ petition is as to whether the circulars dated 8-9-2000 and 15-12-2000 were in consonance with the provisions of U.P. Electricity Reforms Act, 1999 and the Regulations framed thereunder.

53. Whereas it has been submitted on behalf of the appellants and the writ petitioner both that the above-referred Circulars were validly issued by the U.P.P.C.L. the respondents have contended with reference to the L.M.L. 's case that both the Circulars were otiose — having been issued without the approval of the Regulatory Commission. We would deal with both these respective contentions simultaneously as these are two aspects of the same issue. However, it seems to be significant to note that prior to the enactment of U.P. Electricity Reforms Act, 1999, three important provisions pertaining to generation, determination of tariff and supply of electricity in the State of U.P. were governed by the provisions of Indian Electricity Act, 1910 and Electricity (Supply) Act, 1948. The U.P. State Electricity Board was functional under the above Act of 1948 and the said Board was the sole in-charge and authority to execute the three functions of generation, fixation of tariff and power supply throughout the State. In order to improve the tariff-system, the Electricity Regulatory Commission Act was enacted in 1998 (Act No. 14 of 1998). The U.P. State Regulatory Commission was established under the provisions of the Central Act of 1998 and it continued to operate until 14-1-2000. In the meantime, the U.P. Electricity Reforms Act, 1999 came into force with effect from 7-7-1999. Under this Act, three different Corporations were constituted in the State of U.P. for the three important works of generation, determination of tariff and power supply. Precisely, they are as follows:

1. Kanpur Electricity Supply Company (KESCO) for Kanpur.
2. Noida Power Company Limited for Noida. (NPCL).

3. Uttar Pradesh Power Corporation Limited (UPPCL).

54. As suggested by their names, the first two Corporations, namely KESCO and NPCL were confined to Kanpur and Noida regions only while rest of the areas are governed by UPPCL. In these appeals and the writ petition, we are concerned with UPPCL and the UPERC constituted under Section 3 of the Act, 1999.

55. On May 1, 2000, the UPPCL submitted a petition before the UPERC for Aggregate Revenue Requirement (ARR) and tariff determination for different categories of consumers. The following charges were approved:

		UPERC As Approved
1	Demand Charge PLUS	130
2	Energy Charge	390
3	For consumers getting power supply in Restricted hours	15% surcharge on demand and energy charges
4	For consumers getting power supply on independent feeders emanating from 400/220/132-KV	15% surcharge on demand and energy charges and have the assured supply of minimum 500 hours in a month. In case of shortfall in the guaranteed hours of the supply, a rebate at the rate of 1% per ten hours or part thereof shall be admissible on the total amount as computed under rate of charge.

56. A controversy arose after notification dated 8-9-2000 was issued, whereby the options were invited from the industries about their need of power on independent feeders. As is evident from column No. 4 of the tariff plus surcharge described in the block reproduced



above, if an industry having an independent feeder emanating from 400/220/132 IV Sub-station did not wish to have assured supply of minimum 500 hours in a month, it could inform the authority and if such an intimation is received in time, no liability of 15% surcharge would be fastened upon such consumer. However, if somebody needed assured supply of power for minimum 500 hours in a month, shortfall, if any, in the guaranteed hours of supply will be compensated with a rebate at the rate of 1% per 10 hours or part thereof. Many consumers

informed the authorities concerned that they did not want to avail of the power supply for a minimum of 500 hours in a month. By virtue of Circular dated 15-12-2000, the Chief General Manager of U.P. Power Corporation Limited asked the consumers to inform about their option up to 31-12-2000, whereafter such option will not be exercisable. It was also clarified that the surcharge would not be leviable with effect from 7-8-2000 if option of not needing 500 hours supply in a month was exercised up to 31-12-2000.

57. The consumers as per their need exercised the option but in the meantime, a Civil Misc. Writ Petition No. 40692 of 2000 was filed before this Court at Allahabad by L.M.L. Limited and a prayer was pressed into service for quashing of demand of surcharge of 15%, leviable for power consumption during restricted hours. The said petition was dismissed on the ground that the Circular dated 8-9-2000, issued by UPPCL giving additional benefit to consumers was inconsistent with tariff approved by the Commission and was thus void and wholly inoperative in law. It is contended on behalf of the respondents that the said judgment lays down a principle of law and the said decision has to be followed by this Division Bench. On the other hand, learned counsel for the appellants and the petitioner, relying upon the plea that the said judgment is per incuriam and not applicable to the present cases as the other kind of surcharge relating to independent feeder with an assured supply of minimum 500 hours was not the issue involved in *L.M.L.'s case* (2001 All LJ 2520).

58. Before we scrutinise the legal aspects of the issue with implications of the above-said decision, we would like to make reference to the relevant legal provisions pertaining to determination of the tariff.

59. Under U.P. Electricity Reforms Act, 1999, UPPCL was constituted and as is envisaged, this Corporation was constituted as a company under the Companies Act for the purpose of procurement, transmission and supply of electricity. The Power Corporation is authorised to undertake planning and coordination in regard to transmission and will also determine the electricity reforms in the State in consultation with the generating companies, the State Government contiguous States, the Commission, the Regional Electricity Board, the Central Electricity Regulatory Commission and the Central Electricity Authority. Under sub-clause (3) of Section 13, the Power Corporation shall be provisional licensee for transmission and supply of electricity within the State until the grant of licence by the Commission.

60. Section 14 of the Reforms Act, 1999 prohibits a person from engaging himself in the business of transmission unless he holds a valid licence. Section 15 of the said Act authorises the UPREC

constituted under Section 3 of the Act to grant a licence authorising any person for transmission/supply of electricity, or both in an area of transmission or supply, or both, as the case may be. A licence may prescribe the extent to which, and the terms and conditions under which the transmission or supply of electricity is to be made. The Commission may also impose such terms and conditions as it may consider appropriate for achieving the objects of this Act.

61. The licensee under the provisions of Section 17 of the Reforms Act, 1999 is under an obligation to develop and maintain an efficient, coordinated and economical system of electricity transmission or supply.

62. Section 24 of the Reforms Act is very important from our point of view. It lays down, inter alia, provisions for determination of tariffs. Since all provisions are significantly attracted towards the issue involved for determination before us, we consider it appropriate



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to quote the said Section as below:

24. Licensee's revenues and tariffs.— (1) The licensee shall follow the procedure specified in the regulations in calculating the expected revenue from charges which he is permitted to recover and in determining tariffs.

(2) Save as provided in sub-section (3), the Commission may specify in regulations the terms and conditions for the determination of the revenue and tariffs and, in doing so, the Commission shall be guided by the following, namely:

(a) the financial principles and their application provided in Sections 46, 57 and 57-A of the Electricity (Supply) Act, 1948 and in the Sixth Schedule thereto;

(b) the factors which would encourage efficiency, economical use of the resources, good performance, optimum investments, observance of the conditions of the licence and other matters which the Commission may consider appropriate for the purpose of this Act; and

(c) the interest of the consumers.

(3) Where the Commission departs from the facts specified in Clauses (a) to (c) of sub section (2), it shall record the reasons for such departure.

(4)(a) Every licensee shall provide to the commission at such time and in such manner as may be provided by the regulation, full details of its calculation for the ensuing financial year of

the expected revenue from charges which it believes to have been permitted to recover and thereafter it shall also furnish such further information as the Commission may reasonably require to assess the licensee's calculation.

- (b) the licensee shall also publish, within three days of submission of his proposal for the tariff for the ensuing year, a notice in at least two daily newspapers, widely circulating in the area of supply, outlining the proposed tariff and calling for objections from the interested persons and the State Government.
- (c) the Commission while determining the tariff shall also take into consideration the objections, if any, received within one month from the date of last publication of the notice referred to in clause (b).
- (5) The Commission shall, within ninety days from the date on which the licensee has furnished the information under sub-section (4), give notice to the licensee that it—
 - (a) accepts the licensee's calculations; or
 - (b) does not consider the licensee's calculations to be in accordance with the procedure given in the licence or considers that it is otherwise incorrect, specifying the reasons therefor and proposing modifications or alternative calculations.
- (6) The Commission may, after notifying its decision on the licensee's calculations as provided in sub-section (5), determine whether the tariff charged by the licensee is required to be modified, and if so, require the licensee to modify the tariff or any part thereof with immediate effect.
- (7) Each holder of a supply licence shall publish in at least two daily newspapers, widely circulating in the area of supply, and make available to the public on request, the tariff for the electricity within its area of supply and such tariff shall come into force after seven days from the last date of such publication, and any tariff implemented under this section,—
 - (a) shall not show any preference or favour to any consumer of electricity but may differentiate on the ground of the consumer's load factor or purpose of use or power factor, the consumer's total consumption of electricity during any specified period, or the time during which the supply is required;
 - (b) shall be just and reasonable and be such as to promote economy and efficiency in the supply and consumption of electricity; and

- (c) shall accord with all other relevant provisions of this Act and the conditions of licence.
- (8) Tariff shall not be determined more than once in a financial year except in respect of any changes expressly permissible under the terms of any fuel surcharge formula as may be provided by regulations. At least one hundred days before the proposed date for implementation of any tariff, the licensee shall provide details of the proposed tariff to the Commission, together with such further information



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as the Commission may require with a view to determining whether the proposed tariff is in accordance with sub-section (7). If the Commission considers that the proposed tariff of a licensee does not fulfil any one or more of the requirements of sub-section (7), it shall, within ninety days of receipt of all the information which it required, and after consultation with the Electricity Advisory Committee constituted under Section 29, and the licensee, inform the licensee that the tariff is not acceptable to the Commission, and it shall provide to the licensee an alternative tariff which shall be implemented by the licensee. The licensee shall not implement any tariff unless it has been approved by the Commission.

- (9) Notwithstanding anything contained in Sections 57-A and 57-B of the Electricity (Supply) Act, 1948, no "Rating Committee" shall be constituted after the commencement of this Act and the Commission shall ensure compliance of the terms and conditions of the licence by the licensee in relation to charges for the sale of electricity, both wholesale and retail, and for the connection to and use of, their assets or systems in accordance with the provisions of this Act."

63. A careful perusal of the above statutory provisions would reveal that while determining the tariff, the Regulatory Commission will invite proposals from the licensee and objections from the consumers after getting the proposed tariff notified in the two daily newspapers of wide circulation. The Commission may then accept the calculations or may not accept the same as being not in accordance with the requisite provisions. It may also specify reasons for proposed modifications or alternative calculations. If the proposals are accepted, the Regulatory Commission may determine the tariff and shall publish the same again in two daily newspapers having wide circulation in the area of supply and such tariff shall come into force after seven days from the last date of such publication.

64. It is important to note that the tariff shall not be determined more than once in a Financial year except in respect of any changes expressly permissible under the terms of fuel surcharge formula (not applicable here). It is further important to mention that the licensee shall not implement any tariff unless it has been approved by the Commission.

65. Tariff means a schedule of standard prices or charges for specified services which are applicable to all such specified services, provided to the category or categories of extremes specified in the "tariff". Undisputedly, the surcharge levied either for power consumption on independent feeder with assured supply of minimum 500 hours or surcharge for power consumption during restricted hours forms part of the "tariff". We may lay emphasis upon the statutory provisions referred to above and hold that the Regulatory Commission — repeat — the Commission alone is competent to determine the tariff or amend, alter, review or substitute the same and it has to be done only once a year. This point of view is fortified from the provisions of Regulations 121 and 124 to 130 of U.P. Electricity Regulatory Commission (Conduct of Business) Regulations, 2000, as framed under Section 52 of the Reforms Act. Regulation 121 provides that the Regulatory Commission may provide methodologies and procedures to the licensees for calculating the expected revenue from charge, and for determining the tariff. The Commission is also competent, at any time, to add, amend, alter, revise or substitute such methodologies and procedures.

66. According to Regulation 124, each licensee shall furnish every year between 15th December to 31st December the expected aggregate revenue for the ensuing financial year and the expected cost of providing services. The Commission may also from time to time issue guidelines for filing such statement of revenue calculations and tariff proposals. While taking stock of the entire situation of aggregate revenue and tariff proposals, the Commission may grant audience to such persons as the Commission may consider appropriate.

67. Regulation 127 postulates that the Commission shall make a final order and notify the licensee of its decision on the revenue calculations and tariff proposals, as provided

in sub-section (5) of Section 24 of the Act. The Regulatory Commission may then notify the tariff which the licensee shall charge from different categories in the ensuing financial year. Regulation 128 reiterates the provisions of Section 24 regarding calculation of the revenue and tariff as also the publication of the proposals and tariff. Amendment, if any,

in the tariff can be made only once as provided under sub-section (8) of Section 24; and we have already referred to sub-section (8) of Section 24 which provides in unambiguous terms that no amendment would be permissible unless expressly sanctioned.

68. It is pertinent to note that sub-section (8) clearly lays down that tariff shall not be determined more than once in a financial year except in respect of any charges expressly permissible under the terms of any fuel surcharge formula as may be provided by the Regulations. In the cases in hand, no fuel surcharge formula has been pressed into service. The last sentence of sub-section (8) of Section 24 is very important and the same may be reproduced again with a view to arrive at a clinching conclusion. It reads as follows:

“.....the licensee shall not implement any tariff unless it has been approved by the Commission.”

69. As said above, the tariff includes charge or any surcharge, permitted by the Commission. Any proposal for implementation of additional surcharge or non-implementation of the approved tariff including surcharge is not permissible unless the Regulatory Commission has approved it in accordance with the procedure laid down in Section 24. This proposition of law is as clear as a crystal and it leaves no room for doubt that a licensee is not authorised by any stretch of imagination to either add or subtract the “tariff” determined by the Regulatory Commission.

70. If we put the Circulars dated 8-9-2000 and 15-12-2000 on the touchstone of the aforesaid proposition of law, the answer will be prompt to figure that the UPPCL was absolutely incompetent to have issued these two notifications. There is no order of the Regulatory Commission whereby it might have approved the proposal of 15% surcharge as not recoverable in case a consumer opted for not availing the 500 hours assured power supply on an independent feeder. Also there was no proposal or its acceptance by the Commission to dispense with the prescribed surcharge of 15% on power consumption during restricted hours.

71. Learned counsel for the appellants contended that the Circular dated 8-9-2000 was issued by the UPPCL in consultation with UPERC and the latter had never raised any objection nor disputed the issuance of the aforesaid Circular. The UPERC also did not dispute the communication letters dated 11-6-2001 and 24-8-2001 nor the Commission had taken any action against the UPPCL authorities for deviating from the notified tariff. It was also supplemented that the issue was discussed by the authorities of the UPPCL with the members of UPERC and it was only after the discussions held between the authorities of the two organisations that the Circular dated 8-9-2000

was issued. In this context, reference was made to the recitals of a letter dated 11-6-2001, written by the Chairman and Managing Director of the UPPCL to the Secretary, U.P. Electricity Regulatory Commission, Lucknow. The Managing Director, making a reference to this High Court's decision in *L.M.L.'s case* (2001 All LJ 2520) mentioned that the Circular dated 8-9-2000, extending the facility of an option to avail or not to avail minimum 500 hours assured supply was issued subsequent to the detailed discussions held with the Commission as well as the then Pramukh Sachiv, Energy Department. In this context, it may be observed that any discussion with the Principal Secretary of the department is of no avail unless he is the member of the Regulatory Commission; and even if he is the member of the Commission, he cannot be the sole authority to take a decision regarding amendment of the tariff. As far as the discussion with the commission is concerned, no details about such meeting held for discussions have been furnished. Neither the date for such discussions is specifically given nor it is disclosed as to who were the members of the Commission present in the meeting convened for the purpose of



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holding deliberations on the issue. It is also a question mark as to whether the minutes of such discussions or resolution passed by the members were recorded or not. At least, such minutes have not been produced for perusal of this Court and as said above, holding deliberations or formal or informal discussions about the abolition of surcharge or making the recovery optional is meaningless as the procedure prescribed for determination of tariff or amendment thereof is clearly laid down for being followed in Section 4 of the Reforms Act. Any proposal for tariff made by the licensee has to get through the prescribed procedure of being notified in the two daily newspapers of wide circulation in the concerned area and after consideration of the objections filed, if any, the Regulatory Commission is to notify the tariff. Sub-section (5) of Section 24 empowers the Regulatory Commission to accept the licensee's calculations and sub-section (6) authorises it to make modification, if any. Then sub-section (7) makes it obligatory for the licensee to notify the prescribed tariff. Sub-section (8) may provide for some change expressly permissible under the terms of any fuel surcharge formula and this very sub-section levies an embargo to the effect that the licensee shall not implement any tariff unless it has been approved by the Commission.

72. The appellants or the petitioner, as the case may be, could not

establish before this Court that the procedure prescribed from sub-section (5) to sub-section (8) of Section 24 were followed prior to issuance of the Circular letter dated 8-9-2000. The Regulatory Commission is also a party to these appeals and the Commission has refuted the claim of any such deliberations having been held. The Commission has rejected any such suggestion to be as baseless. Moreover, a very well deliberated decision in writing, of the Commission was required while conforming to the Circular dated 8-9-2000 but no such decision is on record nor any such decision was ever arrived at. It is a long drawn settled law that if an act is required to be done in a particular way with a particular method and procedure prescribed, it should be done only in accordance with the said provisions of procedure and any other methodology adopted for short circuiting such elaborate and transparent procedure is invalid and void ab initio.

73. The other letter of August 24, 2001 seeking guidelines from the Regulatory Commission is again meaningless as neither the guidelines could be issued by the Commission nor such guidelines, even if issued would conform to the provisions of sub-section (5) to sub-section (8) of Section 24 of the Reforms Act, 1999. We are of the view that these two letters do not carry any legal significance as their contents are in conflict with the provisions of Section 24 of the Reforms Act.

74. It was then argued that according to the *Webster's Dictionary*, the word, "guarantee" means an assurance that something will be replaced if it does not meet specifications. In other words, it guarantees a pledge by which a person commits himself to the payment of another's debt or the fulfilment of another's obligation in the event of default. Since, as added further, there was no pledge made by the U.P.P.C.L. to provide guaranteed supply of 500 hours in a month, surcharge could not have been recovered as the Power Corporation failed to come alive to its commitment with the guaranteed supply. In this context, it may be observed that whether there was a guaranteed or assured supply of 500 hours in a month or not is a question of act, into the arena of which we would not like to enter. Such a factual issue can be determined by the prescribed authority, who is competent to hear the objections raised against the bills served upon the consumers. Likewise, it was also not within the scope of the commission to have embark upon this issue as the role of Commission is to determine the tariff and not to delve upon the factual controversies. Similarly, the question of erratic supply is not to be delved upon by the Commission but it is to be looked into by the billing authority and questions about the laxity in the guaranteed supply of 500 hours or power failure despite power supply on independent feeder ought to have been gone into by the billing authority or the appellate authority but not by the Regulatory Commission.



75. Mr. Vivek Raj Singh, learned counsel for the I.T.I. Limited, Mankapur contended that the preamble to the chart prepared in the box by the Regulatory Commission whereby two kinds of surcharges were levied had created an utter confusion. The relevant portions of the tariff order in respect of HV-2 consumers may be quoted as under:

“The current tariff for this category consists of demand charge of Rs. 125 per KVA per month plus energy charge of Rs. 3.70 per kwh. The Commission appreciates the fact that electricity rates for industry in this State are quite high and a sharp increase in the rates will be counter-productive. The number of industrial units setting up their own captive power plants is increasing and this trend needs to be arrested. We are, therefore, increasing the demand and energy charges only by 5%.”

“To ensure availability of power to industries connected to independent feeders emanating to 132-KV, 220 KV and 400 KV Substations, they shall be allowed to operate during peak hours as well. They will be able to do so by paying small additional charge of 15% on the amount of bill in a month. These consumers will be ensured minimum 500 hours supply. In case of shortfall in the guaranteed hours of supply a rebate of 1% per 10 hours or part thereof shall be admissible on the total amount of the bill.”

“Fixed charges Rs. Per KVA per month energy charges Paise per unit

UPERC As Approved	
Demand Charge PLUS	130
Energy Charge	390
For consumers getting power supply in Restricted hours	15% surcharge on demand and energy charges
For consumers getting power supply on independent feeders emanating from 400/220/132-KV	15% surcharge on demand and energy charges and have the assured supply of minimum 500 hours in a month. In case of shortfall in the guaranteed hours of the supply, a rebate at the rate of 1% per ten hours or pan thereof shall be

	admissible on the total amount as computed under rate of charge.
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In case where demand is recorded in KW, the demand charge shall be computed assuming the power factor as 0.85.

For connection in rural area getting power supply as per rural schedule a rebate of 10% on the amount of demand charge and energy charge will be given.

In respect of the supply during peak hours/restricted hours, the consumer shall have to take the permission from UPPCL with the intimation to the Commission."

76. Making a categorical reference to the above provisions laid in the Commission's order dated 27-7-2000, Mr. Vivek Raj Singh submitted that the Commission did not intend to levy two kinds of surcharges as the electricity rates for industries in this State are already high and therefore, further increase in rates inclusive of surcharge will be counter-productive. Therefore, a nominal increase of 5% was approved and accordingly notified. The consumers having independent feeders were placed under an obligation of only one surcharge of 15% and in lieu thereof, they were permitted to operate their industries during peak/restricted hours as well but in that case, such consumers were to be ensured with minimum 500 hours supply in a month. In other words, Mr. Vivek Raj Singh's contention is that not two but one kind of surcharge was levied by the Commission. However, he conceded that fixation of two kinds of surcharge — one for using power during restricted hours and the other getting power supply on independent feeders with 500 hours guaranteed supply created ambiguity and utter confusion and the present litigation is a consequence thereof. Learned counsel made an endeavour to persuade us to remove the ambiguity by holding that only one kind of surcharge of 15% was approved for such consumers who had independent feeders and who conveyed their need of getting power during restricted hours. It would be extremely difficult for us to be in agreement with the learned counsel as acceptance of such a plea would again thwart the entire procedure prescribed under Section 24 of the Act. As pleaded on behalf of the Commission, the Commission had notified the charges and surcharges both.



invited objections and eventually approved them and also got them notified. In case the two surcharges were sequel to some ambiguity or confusion, the UPPCL must have approached the Regulatory Commission for alteration or amendment in the said surcharges which could have been dealt with by the Commission in accordance with the

guidelines and the prescribed procedure. But never any such attempt was made either by the UPPCL or by any one else. And, at the top of it, the Commission has ruled out any possibility of there being any confusion.

77. The fact that the Regulatory Commission on the recommendation of the UPPCL abolished the surcharge for the succeeding financial year will confer no right upon the appellants and the petitioner to avail the same benefit unless the commission agreed for abolition of such surcharges for the financial year 2000-2001 and issued instructions for UPPCL while exercising powers under sub-section (6) of Section 24 of the Reforms Act, 1999 to modify the tariff. Even this Court in *L.M.L.'s case* (2001 All LJ 2520) had delved upon the above plea and held in Para 15 of the judgment that there is absolutely no ambiguity or confusion of any kind of the tariff as approved by the Commission. The relevant portion of the judgment may be quoted as below:

“There is absolutely no ambiguity or confusion of any kind in the tariff as approved by the Commission. It clearly contemplates two categories of consumers. One category is of consumers who get power supply in restricted hours and the other category is of consumers, who get power supply on independent feeders emanating from 400/220/132-KV Sub-stations. The two categories are wholly independent and distinct and they are not inter-linked with each other.”

78. In para 25, the High Court in the *L.M.L.'s case* (2001 All LJ 2520) ruled that once a tariff was approved by the Commission, the licensee had no power to alter or vary the same. The Circular of UPPCL insofar as it is in consistent with the tariff approved by the Commission is void and held inoperative in law. The petitioner of that case, namely the *L.M.L. Limited* was not held to be entitled to avail benefit of the Circular dated 8-9-2000 and since it was held that the petitioner was getting supply from an independent feeder line emanating from 132-KV Sub-station, it was fully covered by the relevant part of the tariff and was as such liable to pay 15% surcharge.

Whether judgment in *L.M.L.'s case* was per incuriam

79. Learned counsel for the appellants and the petitioner argued that the judgment in *L.M.L.'s case* (2001 All LJ 2520) was per in curium and the same was governed by the principle of subsilentio. In support of the first limb of the above argument, reference has been placed on the Supreme Court decision in, “*Maharashtra State Co-operative Cotton Grower's Marketing Federation Ltd. v. Employees' Union* (1994 Supp (3) SCC 385 : AIR 1994 SC 1046)”. In this decision, the Hon'ble Supreme Court held that if a pronouncement has been made on the basis of a

presumption contrary to the facts, such decision will be treated as per incuriam. In that case, the Supreme Court in an earlier decision of *Pandurang Khade's case* (1989 Supp (1) SCC 226 : AIR 1989 SC 485), held that the seasonal employees and perennial employees were to be treated at par as the two terms were synonym of each other. With reference to the *Pandurang Khade's case*, it may be mentioned that the Apex Court proceeded in that case on the footing that the Patankar Award had held entitled even the seasonal employees to be made permanent but this presumption was not borne out by the facts. It was categorically held by the Supreme Court in *Maharashtra State Co-operative Cotton Growers' Marketing Federation's case* (supra) that the seasonal employees were not to be treated as perennial employees. As a matter of fact, neither the Patankar Award nor the model standing orders applied to the case of seasonal employees nor such employees could have been treated at par with perennial employees. The Supreme Court in the latter case thus held that the judgment of *Pandurang Khade's case* being based on wrong presumption was per incuriam and, in fact, not attracted towards the seasonal employees. It was in this situation that the earlier judgment in



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Pandurang Khade's case was termed to be as per incuriam. Such are not the facts in the present case before us. If we carefully look at the decision of this Court in *L.M.L.'s case*, the position would be crystal clear.

80. Before we proceed to make a reference to the *L.M.L.'s case* (2001 All LJ 2520), it would be all the more necessary to mention as to on what line of argument the said decision is being referred to as a judgment per incuriam. The submission of the learned counsel in this context is that the *L.M.L.* in that case questioned the validity/propriety of column 3 of the chart whereby tariff included surcharge of 15% for power consumption during restricted hours. The judgment remained confined to column 3 alone. In other words, it has been contended before this Court that since the controversy in issue in *L.M.L.'s case* did not pertain to column 4 which provides for surcharge of 15% for using power on independent feeder with 500 hours assured supply, was not at all involved in *L.M.L.'s case*, the said judgment having not dealt with the issue of independent feeder's surcharge will have to be termed to be as per incuriam and therefore not attracted towards the present cases. No doubt, the petitioner claimed relief for exemption from the surcharge of 15% for using power during restricted hours, on the

ground that the said factory was running as a non-continuous process industry and therefore, it did not consume power from 6.00 p.m. to 11.00 p.m. However, the Division Bench dismissed the said plea and held as follows (Para 18 of All LJ):

“The provisions referred to above show that the Commission alone has got the power to issue a licence for supply or transmission of power and while granting a licence it can prescribe the terms and conditions including that of establishing a tariff under which the supply or transmission is to be made. In case of breach of any condition of licence the Commission can revoke the same. The Commission has power to examine whether the tariff charged by a licensee is proper or not and it can issue directions for modification thereof. The licensee cannot implement any tariff unless it has been approved by the Commission. Thus, the provisions of the Act and the Regulations framed thereunder show in unmistakable terms that it is a tariff as approved by the Commission which is final and binding and it is not permissible for the licensee, consumer or anyone else to vary or alter the same.”

81. It is clear from above that the licensee was held to be not authorised to issue any concession or relaxation as regards the tariff rates without approval of the UPERC. The principle of law on the basis of which this finding was given is understandable. As held, UPERC alone is competent to determine the rate or make any alteration therein. Undoubtedly, the above principle of law was laid down in the context of column 3 of the tariff chart, i.e. use or non-use of power during restricted hours but this Court well deliberated the intricacies of column 4 as well. In Para 22 of the said judgment, the High Court observed that the contention raised on the basis of Circular dated 8-9-2000 as regards use of the power through independent feeder was equally untenable. It was candidly ruled that the Circular while retaining the provision of rebate of 1% for each 10 hours shortfall but providing for exemption from 15% surcharge (for not requiring 500 hours supply through independent feeder) was a clear alteration of the approved tariff which is not permissible in law.

82. While dealing with the argument put forward on behalf of L.M.L. Limited to the effect that the licensee was authorized while publishing the tariff in newspapers to alter the same but with embargo of such alteration being in consonance with clauses (a)(b) and (c) of sub-section (7) of Section 24, the High Court held as follows (2001 All LJ 2520, Para 22):

“.....In our opinion, the contention raised is wholly fallacious. The scheme of the Act which we have referred to in detail clearly shows that a tariff approved by the Commission alone can be implemented by a licensee and it has no power to alter or vary the same. The

Circular of UPPCL in so far as it is inconsistent with the tariff approved by the Commission is void and wholly inoperative in law. The petitioner therefore, cannot get any advantage by exercising an option in terms of



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the Circular by which it informed by registered post that it did not want an assured supply of 500 hours in a month.”

83. From the observations quoted above, it remains no doubt that the Circular dated 8-9-2000 was scrutinised as a whole and held to be inoperative in law. It would be incorrect to say that it was dealt with piecemeal and the matter pertaining to surcharge leviable for use of power through independent feeder was not discussed or dealt with. Obviously, therefore, the principle of per incuriam will not be attracted. The High Court also refused to accept the contention that there would be a distinction between a consumer having paid for the independent feeder and the other having acquired a separate line at the expense of the licensee. While rejecting such a suggestion, the High Court held that the licensee is authorised to use the independent feeder of a consumer in spite of the fact that the latter had made full payment for the said independent feeder, to provide power to another. In such case, no doubt, interest of consumer paying for the feeder has to be protected but if the power is in surplus, it can be used for an other consumer. On the basis of this distinction, the Court held that the fact as to whether the consumer has or has not paid for the independent feeder will have no bearing upon the liability of the consumer to pay tariff including the surcharge. In these circumstances, we are of the considered opinion that neither the rule of per incuriam is attracted nor that of sub-silentio.

Rule of Sub Silentio

84. A decision is said to have passed sub silentio in the technical sense that has come to be attached to that phrase, when the particular point of law involved in the decision is not perceived by the Court or present to its mind.

85. Learned counsel for the appellants while pleading that the *L.M.L.'s* case would attract the rule of sub silentio placed reliance upon the Apex Court's decision in, "*State of U.P. v. Synthetics and Chemicals Limited* (1991) 4 SCC 139. The Hon'ble Supreme Court held in this case that a decision which is not express and is not founded on reasons nor it proceeds on consideration of issue cannot be deemed to be a law declared to have a binding effect as is contemplated by Article 141 and

in such circumstances precedents sub silentio and without argument are of no moment.

86. As discussed above, we are unable to accept the plea of the learned counsel for the appellants and the writ petitioner with reference to the decision cited above for the simple reason that the decision in *L.M.L.'s case* (2001 All LJ 2520) has very clearly and in unambiguous terms dealt with the statutory provisions of the Electricity Reforms Act and put the entire Circular dated 8-9-2000 to the touchstone of the provisions of the said Act and arrived at a decision that this Circular was wholly inoperative in law. Accordingly, we are inclined to hold that neither the rule of sub silentio is attracted towards the facts and circumstances of these cases, vis-a-vis the *L.M.L.'s case* nor the decision cited above is of any help to the appellants and the writ petitioner.

87. For the same reason, the decision, "*A-One Granites v. State of U.P.* (2001) 3 SCC 537 : (2001 All LJ 584)" and "*Municipal Corporation of Delhi v. Gurnam Kaur*, (1989) 1 SCC 101 : AIR 1989 SC 38" are not applicable as in these decisions, the issues of law and facts really involved were not referred to in the earlier decisions. In the former case, Rule 72 of U.P. Minor Minerals (Concession) Rules, as amended had not been discussed or even referred to in the earlier appeals. It was, therefore, held that the earlier decisions were no longer res integra. In the latter case of *Municipal Corporation of Delhi* (supra), the earlier decision was based on the consent of the parties. The Hon'ble Supreme Court held that when a direction or order is made with the consent of the parties, the Court does not adjudicate upon the rights of the parties nor lay down any principle. Quotability as 'law' applies to the principle of a case its ratio decidendi. Therefore, earlier decision, pronounced with the consent of the parties was treated to be a precedent sub silentio and without argument on the issue. The earlier judgment, in other words, was held to be delivered without



argument, without reference to the relevant provisions of the Act conferring express power on the Municipal Corporation to direct removal of encroachment from any public place like pavements and public streets.

88. On the other hand, learned counsel for the respondents referred to a series of decisions of the Apex Court wherein it was held that a Division Bench decision of a High Court is binding upon another Division Bench of the same Court. In this context, reference may be

made to the following decisions:

1. *Rajesh Kumar Verma v. State of Madhya Pradesh*, (1995) 2 SCC 129 : AIR 1995 SC 1421
2. *Union of India v. Godfrey Philips India Limited* ((1985) 4 SCC 369 : AIR 1986 SC 806).
3. *Sundarjas Kanyalal Bhatija v. Collector, Thane, Maharashtra* ((1989) 3 SCC 396 : AIR 1990 SC 261).

89. In the case of *Rajesh Kumar Verma* at Serial No. 1, the Hon'ble Supreme Court held that the proper course for a Division Bench to differ with earlier decision of a Division Bench of the same Court is to refer the matter to a larger Bench, a course which the subsequent Division Bench did not follow. It was also ruled that the subsequent Division Bench could not have refused to follow the decision of the former Division Bench even on the ground that in the earlier decision, a Supreme Court's decision has not been followed. It was also held that a decision of a Division Bench is a good precedent which is to be followed by a subsequent Division Bench. Before us, the decision of *L.M.L.'s case* (2001 All LJ 2520) duly pronounced by a former Division Bench candidly and categorically deals with all the points — legal or factual, involved. We, therefore, regard it as a precedent binding upon us. We do not find even an iota of the argument to differ with the said decision.

90. Similarly, in *Godfrey Philips' case* ((1985) 4 SCC 369 : AIR 1986 SC 806) at serial No. 2, the Supreme Court held that a Bench of the Court cannot overrule or disapprove decision of another Division Bench of equal number of Judges. In case of disagreement, the matter should be referred to a larger Bench.

91. In the third decision of *Sundarjas Kanyalal Bhatija* ((1989) 3 SCC 396 : AIR 1990 SC 261), the Supreme Court while delving upon the *Stare Decisis* laid down that when a Bench of the High Court disagrees with another Bench of coordinate jurisdiction of the same High Court, it must refer the matter to a larger Bench. The following observations may be quoted as below to make our point:

“.....Pursuit of the law, however, glamorous it is, has its own limitation on the Bench. In a multi-Judge Court, the Judges are bound by precedents and procedure. They could use their discretion only when there is no declared principle to be found, no rule and no authority. The judicial decorum and legal propriety demand that where a Single Judge or a Division Bench does not agree with the decision of a Bench of coordinate jurisdiction, the matter shall be referred to a larger Bench. It is a subversion of judicial process not to follow this procedure.”

92. Following the principle of law laid down by the Apex Court in the above decisions, we arrive at a conclusion that the judgment of the

Division Bench in *L.M.L.'s case* (2001 All LJ 2520) is binding upon this Bench and since all the relevant issues pertaining to the law involved have been discussed and adjudicated by the former Bench, we are bound by that precedent and, therefore, we hold it a good law and precedent.

The Rule of Promissory Estoppel

93. Learned counsel for the petitioner and appellants while relying upon the principle of promissory estoppel contended that the UPPCL is estopped from deviating from its commitment or promise as envisaged in the Circulars dated 8-9-2000 and 15-12-2000. In this very context, learned counsel appearing for the sole writ petitioner also contended that the UPPCL is all the more estopped from withdrawing the option offered to the writ petitioner by means of the aforesaid Circular as consequent to the issuance of the said option which was practically availed of by it the writ petitioner had transferred the said benefit to its customers by reducing the price of its products.



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The analogy for reduction of the prices was abolition of the surcharge of 15% which had been exempted by the UPPCL. The natural consequence of such reduction was the reduction in the cost price of their products. Indeed, since the products had been sold and price realised, the writ petitioner is not in a position to ask for the additional cost of such products from the buyers and if in such a situation of predicament, the petitioner would be asked to pay 15% surcharge, its financial burden will increase to an alarming proportion resulting in a financial crisis. The respondents are, therefore, as pleaded by the petitioner, estopped to resile from their promise to withdraw the surcharge.

94. Likewise, the appellants have submitted that the UPPCL, by providing an option of not using power for minimum 500 hours through independent feeder or during restricted hours, had promised to provide a relief to the consumers, and therefore, if the Corporation will be allowed to retract from its promise, it will entail serious consequences. In such situation, the act of withdrawing the relevant Circulars would be barred by the principle of promissory estoppel.

95. We would deal with the above two arguments put forth by the writ petitioner and the appellants in seriatim.

96. In so far as the contention of the learned counsel for the petitioner is concerned, it may be observed that no document clearly indicating that the power reduction was the logic behind reduction of the prices of their products has been produced before this Court. No

doubt, some invoices were placed for perusal of the Court which appear to indicate that prices of the petitioner's products were lowered down but there is nothing on record to show that such reduction of the prices was linked with exemption of the surcharge. The writ petitioner had not issued any notification/notice to convey its intention of getting the price reduced following exemption of surcharge. In the absence of such a close link between the reduction of prices and exemption of surcharge, we are not inclined to uphold the contention of the learned counsel for the petitioner and hold that the UPPCL would be bound by the principle of promissory estoppel, particularly when the Circulars in question, as held above, were contrary to the statutory provisions of the Reforms Act, 1999.

97. Learned counsel for the appellants in support of their argument, cited a decision of the Supreme Court delivered in "Civil Appeal Nos. 885 to 893 of 1967, *The Union of India v. Anglo Afghan Agencies* AIR 1968 SC 718". It was held in this decision that it is open to a party who had acted on a representation made by the Government to claim that the Government shall be bound to carry out the promise made by it, even though the promise was not recorded in the form of a formal contract as required by Art. 299 of the Constitution. The issue in that case related to the Export Promotion Scheme floated by the Textile Commissioner whereby the exporters were given an incentive of being entitled to import raw materials. Although there was no contractual liability on the part of the textile corporation, yet the Union of India was held to be bound by the promise made by it. In that case, the import policy was held to be not contrary to the provisions of any statute. The commitment made by the Union of India was purely executive in character, and therefore, it was held that the Courts had the power to compel performance of obligations imposed by the Scheme upon the departmental authorities.

98. In the cases, in hand, the question of power tariff is to be determined in accordance with the provisions of the Reforms Act, 1999. We have already discussed in detail such relevant provisions and arrived at a conclusion that the licensee, i.e. the UPPCL had no authority to alter the power tariff determined by the U.P. Electricity Regulatory Commission. If the promise of exempting surcharge is implemented, it will amount to breach of the provisions of Section 24 of the Reforms Act and it is a settled law that there can be no 'promissory estoppel' against a statute. This view is fortified by the Apex Court's decision in, "*Sharma Transport v. Government of A.P.* ((2002) 2 SCC 188 : AIR 2002 SC 322)". It was held in this pronouncement that the principle of promissory estoppel

cannot be used to compel the Government or a public authority to act contrary to law or beyond its authority. The Hon'ble Supreme Court ruled as follows (Para 13 of AIR):

“.....Even though a concession is extended for a fixed period, the same can be withdrawn in public interest. There cannot be estoppel against any statute. There is preponderance of judicial opinion that to invoke the doctrine of promissory estoppel, clear, sound and positive foundation must be laid in the petition itself by the party invoking the doctrine and that bald expressions, without any supporting material, to the effect that the doctrine is attracted because the party invoking the doctrine has altered its position relying on the assurance of the Government would not be sufficient to press into aid the doctrine. The principle of promissory estoppel is that where one party has by his word or conduct made to the other a clear and unequivocal promise or representation which is intended to create legal relations or affect a legal relationship to arise in the future, knowing or intending that it would be acted upon by the other party to whom the promise or representation is made and it is in fact so acted upon by the other party, the promise or representation would be binding on the party making it and he would not be entitled to go back upon it, if it would be inequitable to allow him to do so.”

99. As a matter of fact, the doctrine of promissory estoppel is based on the principles of equity. This principles was evolved to avoid injustice. It has object to interpose equity shorn of its form to mitigate the rigour of strict law but it is a settled law that promissory estoppel cannot be used to compel the Government or a public authority to carry out a representation or promise which is prohibited by law or which was devoid of the authority or power of the officer of the Government or the public authority to make.

100. In the appeals before us, the UPPCL was not a competent authority to have issued the relevant Circular of 8-9-2000 and moreover the benefit of exemption from the surcharge was against the enacted provisions of Section 24 of the Reforms Act. Therefore, we are of the decisive opinion that the doctrine of promissory estoppel is not attracted here to protect the interest of the appellants or the writ petitioner.

101. The Apex Court in another decision has followed the aforesaid view. In *“Pune Municipal Corporation v. Promoters and Builders Association, ((2004) 10 SCC 796 : AIR 2004 SC 3502)”*, the Supreme Court held that the doctrine of promissory estoppel cannot be invoked

against a statute.

102. The citation, "*Century Spinning & Manufacturing Co. Limited v. The Ulhasnagar Municipal Council*, (1970) 1 SCC 582 : AIR 1971 SC 1021", relied upon by the learned counsel for the appellants, is distinguishable on comparison of the facts of the said case with that of the appeals pending before this Court. Therefore, that citation is not applicable to the case of the appellants. In that case, the State Government of Maharashtra being competent to restrain Municipal Board from realising any octroi for a period of seven year was bound by the commitment it had made. It was to the special features of that case that the doctrine of promissory estoppel was held to be attracted but as said above, the facts are entirely different from the one of the appeals pending before this Court. In that case, the Government was held to be bound by its own commitment to exempt from sales tax the sales of vanaspati effected in Uttar Pradesh for a period of three years from the date of commencement of production. The Century Spinning and Manufacturing Mill, i.e. the appellant of that case acted upon this representation of the Government, borrowed moneys from various financial institutions, purchased plant and machinery and set up a Vanaspati Factory at Kanpur. It was held by the Supreme Court that the Government was bound to extend the benefit of exemption on the basis of the principle of promissory estoppel to make good the representation made by it. In that case, the representation or say the promise made by the Government was not contrary to any law and, therefore, the said decision is not applicable here. For the same reasoning, the decisions in "*State of Punjab v. Nestle India Limited* (2004) 6 SCC 465 : (AIR 2004 SC 4559)"



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and "*Pawan Alloys & Casting Private Limited, Meerut v. U.P. State Electricity Board* (1997) 7 SCC 251 : (1997 All LJ 2202)" have no application to these appeals.

103. Thus, our categorical finding on the legal plea of the doctrine of promissory estoppel is that such principle being not applicable against the statute cannot be invoked against the UPPCL or the UPERC.

104. An attempt has been made to put forth the issue of unfair business being conducted by UPPCL. Learned counsel for the appellants contended that the licensee was getting undue advantage of realising surcharge for consumption of power on independent feeder during restricted hours. Further it is supplemented that it is implied with the installation of an independent feeder that the consumer will get 24

hours supply without any break and in case of some of the appellants, the characteristic of their factory is a continuous process — meaning thereby that if a factory is required to run all the 24 hours and it has taken power connection by making huge investment for installation of independent feeder, it is inherent obligation of the licensee to supply power for all the 24 hours without making any provision for realisation of surcharge; and certainly in such situation, consumption of power during restricted hours will not entail liability for payment of additional charges in any form including surcharge.

105. In this context, it may be observed that the issue of UPPCL getting undue or unfair advantage of surcharge cannot be raised after the Commission finalises the annual tariff in accordance with the provisions of Section 24 of the U.P. Electricity Reforms Act, 1999. The provisions of Section 24 have already been quoted above and as is evident the licensee (Section 24(4)(b)) shall publish, within three days from submission of the proposal for the tariff for the ensuing year, a notice in at least two daily newspapers, widely circulating in the area of supply, outlining the proposed tariff and calling for objections from the interested persons and the State Government. It is this stage when a consumer must lodge his protest to the proposed tariff if in his view the licensee has proposed some such tariff which will fetch undue advantage or it is likely to indulge in conduct of unfair business. Sub-clause (c) postulates that the Commission while determining the tariff shall take into consideration the objections, if any, received within one month from the date of last publication of the notice. Then, sub-section (5) provides that the Commission shall, within ninety days from the date on which the licensee has furnished the information give notice to the licensee to either accept or not to accept or accept in part the proposed modifications.

106. When, the procedure is so well defined and it gives an ample opportunity to a consumer to raise objections, no plea regarding conduct of unfair business can be permitted to raise at a belated stage. The tariff once determined is not changeable and the same will last up to the end of the financial year for which it has been finalised. In nutshell, we can hold that the plea of unfair business being conducted by UPPCL cannot be permitted to be raised once the tariff is finalised and notified after inviting objections from the consumers in accordance with the procedure laid in Section 24 of the Uttar Pradesh Electricity Reforms Act, 1999.

107. We are thus convinced with the argument of the learned counsel for the respondents that the UPPCL was not authorised to issue the circular dated 8-9-2000 contrary to the provisions of Section 24 of the U.P. Electricity Reforms Act, 1999, in which a power is envisaged for determination of tariff by the UPERC. If there were some billing

complaints on the basis of the appellants' plea that some of them had not used power during restricted hours or the power was not used on independent feeder with minimum assured supply of 500 hours, the appellants could have raised these issues before the AE (Revenue), EE (Revenue) or DGM who is the appellate authority. The relevant provisions regarding such complaints to be filed are contained in paras 7.18, 7.19 and 7.20 of Uttar Pradesh Electricity Supply Code-2002. The Regulatory Commission may also be approached under para 7.26, if a consumer has exhausted the channels for redressal of grievance set up by the



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licensee. Neither the appellants nor the writ petitioner have taken recourse to the proceeding of pleading their grievance before the authorities enumerated in the paras, quoted above.

108. Further, we are of the opinion that the plea of seeking permission of the Commission to approach the High Court for correct interpretation of L.M.L.'s decision (2001 All LJ 2520) could not have been raised before the Commission nor the latter had any such authority to grant kind of the sanction sought. The Commission too had no authority to interpret the judgment and come to a different or a conflicting opinion.

109. As a matter of fact, all these appeals are not maintainable in view of the clear-cut provisions of Section 36 of the U.P. Electricity Reforms Act, 1999, which provides as follows:

“36. Appeals from the orders of the Commission.— Any person aggrieved by an award or order of the Commission under this Act (other than an award or order under Section 34 involving a valuation of up to 50,000 rupees only) may, within sixty days from the date of communication to him of the order of the Commission, prefer an appeal to the High Court:

Provided that the High Court may, if it is satisfied that appellant was prevented by sufficient cause from filing the appeal within the said period, allow it to be preferred within a further period not exceeding sixty days.”

110. In fact, it appears that the appellants have evolved a device to approach the Regulatory Commission by filing applications for permission to approach the High Court with the permission to keep their petitions challenging the validity of UPPCL's order dated 31-8-2001 pending. The Regulatory Commission clearly held that no such permission could be granted as there was no such provision under the

Reforms Act. The review petitions were also dismissed on the same analogy on 28-9-2002. In this way, the provisions of Section 36 of the Reforms Act cannot be invoked to challenge the impugned orders of September 12, 2002, October 4, 2002, 11-9-2003 and circular letter dated 31-8-2001. Under Section 36 of the Reforms Act, as is evident from the provisions of the said Section, an appeal can be preferred before this Court against the orders of the Regulatory Commission on the issue, enumerated in the said Section. We are, therefore, of the view that the appeals are not maintainable and they, therefore, deserve to be dismissed on account of this legal provision.

111. Learned counsel for the respondents also raised the issue that the appeals No. 75, 76, 78, 82 and 96 — All of 2002 were purposely and deliberately undervalued. The following chart shows that the appeals were not properly valued in order to escape statutory liability of making payment at the time of filling the appeals.

Sl. No	Case No.	Valuation in appeal (In Rs.)	Demand by UPPCL (In Rs.)
1.	F.A. No. 75 of 2002 Saini Alloys	2,15,311.00	1,05,39,082.07
2.	F.A. No. 76 of 2002 Kajaria Ceramics	2,04,310.00	58,27,351.57
3.	F.A. No. 78 of 2002 Modipon Fibers Co	2,04,310.00	1,02,13,731.00
4.	F.A. No. 82 of 2002 Samtal Color Ltd.	2,54,466.00	25,46,664.00
5.	F.A. No. 96 of 2002 Jagannath Steels Pvt. Ltd.	1,63,000.00	51,19,241.00

112. We can certainly hold that the appellants of the appeals have not come to the Court with clean hands. The valuation of these appeals was far less than the demand made by the UPPCL. We cannot approve of such a device by taking recourse to underhand dealings. The long and short of discussions made above may, in brief, be pointed out as below:

1. The appeals are not maintainable under Section 36 of the Uttar Pradesh Electricity Reforms Act, 1999 and therefore, deserve to be dismissed on this score alone.
2. The judgment in, "*L.M.L. Limited, Kanpur v. State of U.P.* AIR 2001 All 321 : (2001 All LJ 2520)" is binding upon this Court as a precedent.
3. The said judgment in *L.M.L.'s* case was neither a judgment per incuriam nor the principle



of sub silentio by any stretch of reasoning is attracted.

4. The circulars dated 8-9-2000 and 15-12-2000, being otiose to the provisions of Section 24 of the Reforms Act. were absolutely illegal and wholly inoperative in law.
5. The Commission had never approved of alteration in tariff made by virtue of the circular orders in question. No significance would be attached to the theory of deemed approval.
6. Raising irrelevant issues before the Commission was not a bona fide move.
7. The UPPCL had no authority or power to issue the aforesaid circulars.
8. The doctrine of promissory estoppel is not applicable to the appeals and writ petition filed before this Court.
9. Indeed, it was not within the jurisdiction of the Commission to either interpret the LML's decision or permit the appellants to approach the High Court.
10. The above appeals No. 75, 76, 78, 82, 96 — all of 2002 filed before this Court were strategically undervalued — an act which deserves to be censured.
11. Although the circulars dated 8-9-2000 and 15-12-2000 were illegally issued and therefore, did not acquire any significance, yet the circular dated 31-8-2001 withdrawing the aforesaid earlier circulars of 2000 was perfectly valid.

113. In view of the findings arrived at above, all the appeals and the writ petition, being devoid of merit are hereby dismissed with costs.

114. *Appeals dismissed.*

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2005 SCC OnLine All 1117 : (2006) 2 All LJ 391 (DB)

Allahabad High Court
(Lucknow Bench)
(BEFORE PRADEEP KANT AND G.K. GUPTA, JJ.)

Noind Power Co. Ltd.

Versus

State of U.P. & Anr.

C.W.P. No. 1048 of 2000 (M/B)

Decided on November 10, 2005



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1. Heard the learned counsel for the petitioners Sri Shanti Bhushan, Senior Advocate assisted by Sri N. Pyne, Advocate and Sri Rakesh Dwivedi, Senior Advocate and Sri S.K. Kalia, Senior Advocate assisted by Sri Jaideep Narain Mathur, Advocate for the respondents. With a view to encourage the private sector in the matter of distribution of power in the State of U.P., the Government of U.P. desired that the power should be supplied to the consumers by a joint venture company, namely, a private company and for giving boost to such a programme and to make it real the supply to the consumers of the notified area of Greater Noida was entrusted to the petitioner Company by allowing it to purchase power from the then existing U.P. State Electricity Board (now known as U.P. Power Corporation Ltd.). For implementing the said Scheme expeditiously an agreement was entered into between the parties fixing a tentative price of Rs. 1.66 per unit for power purchase for a period of six months, which was to be studied and revised thereafter by an Independent Authority with the hope that such an "agreement would be faithfully implemented, which would reduce the burden of supply of power of the Board to some extent and would also encourage private sector in the field of electricity supply but the present litigation is an example of a dispute resulting into an uncalled for, litigation which is continuing since the very initial stage of the agreement till date mainly because one or the other party did not accept the determination made by the Independent Authority and thus the dispute regarding power purchase price payable by the petitioner Company to the Board is still pending, which this court is

persuaded to clear out.

2. The petitioner, Noida Power Company Ltd. (hereinafter referred to as the NPCL) is joint venture company with 27% participation by Greater Noida Development Authority (an instrumentality of State of U.P.) incorporated on 29.6.1992 under the Companies Act, 1946 for taking over the distribution of electricity in the notified area of Greater Noida and CESCO a private limited company of Calcutta, A Memorandum of Understanding (MoU) was signed between Greater Noida Industrial Development Authority and CESCO Ltd., an RPG Group Company, as co-promoter on 11.12.1992. The NPCL was granted licence under the Indian Electricity Act, 1910 by the Government of U.P. on 30.8.1993 for supply of electricity to Greater Noida area, which licence is valid for a period of 30 years. The petitioner is thus licensee in terms of section 2(6) of the Electricity (Supply) Act, 1948.

3. An agreement dated 15.11.1993 between the petitioner and respondent no. 2 was entered into prescribing the stipulated tentative power purchase price at the rate of Rs. 1.66 per unit. The petitioner company was to purchase power from the then U.P. State Electricity Board (now U.P. Power Corporation Ltd.) and was to supply power to its consumers in the Greater Noida area. Under the terms of the agreement, the price of the power supplied by the NPCL to its consumers was to be the same, which was the price on which the Board was supplying power to its own consumers. This arrangement/agreement clearly understood that at a given rate of Rs. 1.66 per unit tentatively fixed, the power shall be purchased by the NPCL from the Board and that shall be supplied to its consumers by the NPCL on the same price which is being charged by the Board from its own consumers. This tentative price of power purchase was fixed for a period of six months, whereinafter it was to



be studied and revised by an Independent Authority to be nominated by the State Government after six months of Company's operation. The agreement stipulated that the rates would be subject to revision, as and when consumer tariff is revised by the Board.

4. In pursuance of the aforesaid agreement, the NPCL commenced its operation on 15.12.1993. After expiry of six months of its operation, the Government of U.P. appointed a Committee known as Nair Committee for final determination of power purchase price on 31.8.1994. The Nair Committee which consisted of three Members submitted its report on 28.2.1995 in which one Member did not submit

any report nor signed the report whereas Mr. Nair and the other Member Sri Vijay Prakash submitted separate reports, which makes the aforesaid report wholly irrelevant, however, a rate of Rs. 1.35 per unit was proposed, for power purchase by calculating on the principles of Sixth Schedule of Electricity (Supply) Act, 1948, by one member Mr. Nair, though the other member, Sri Vijay Prakash suggested the rate of Rs. 1.77 per unit.

5. Finding that the final determination of rates could not be done, the Government of U.P. vide letter dated 28.4.1995 directed the NPCL to make payment at the rate of Rs. 1.66 per unit till the determination of power purchase price.

6. A new Committee/Independent Authority known as M.I. Beg Committee for determination of power purchase price in terms of the agreement between UPSEB and NPCL was constituted by the Government, vide letter dated 27.7.1995 and the Board passed resolution agreeing to abide by the Beg award on 4.10.1995. In the meantime, the licence of the petitioner Company dated 30.3.1993 was amended on 18.7.1996 to include additional area in the jurisdiction of the Company. The Beg Committee submitted its recommendations on 7.3.1997 fixing the rate of Rs. 1.59 per unit. The said determination was not acceptable to NPCL, as, according to the Company, the aforesaid calculation was an erroneous calculation wherein allegedly inflated income was taken into account and also the tariff increase effected by the Board beyond the reference period of six months was also considered and that the interest on UPSEB loan was not taken into account and was said to be resolved separately between the Board and NPCL with suitable modification of the agreement. The NPCL, vide its letters dated 19.7.1997 and 19.8.1997 objected to the aforesaid determination of power purchase price by the Beg Committee (hereinafter referred to as the 1st Beg Committee) by high lighting the aforesaid alleged discrepancies. On 5.12.1997 a decision was taken in the meeting between the Government of U.P. the Board and the NPCL wherein the minutes of the meeting was recorded as follows;

NPCL's income taken for rate fixation would be corrected on the basis of the actuals for the material period of April - June, 1994, while the income for the period January-March, 1994 would be retained as per Beg Committee;

7. Shri T. George Joseph, IAS, Chairman, Greater Noida, would undertake the review,

8. Interest charges against UPSEB loan would be a deductible expense to be adjusted against power purchase bill on "Pay & Deduct" basis.

9. Sri T. George Joseph submitted his report on 8.1.1998 revising

the income of NPCL for the period April - June, 1994 on the basis of actual revenue to which the NPCL agreed, vide letter dated 15.1.1998 made on account payment of power purchase on the basis of the rate derived from Shri Joseph's correction of income for April - June, 1994.

10. There is a dispute by the respondents about the report submitted by Sri T. George Joseph as a report of Independent Authority, as he was entrusted the work of review of a limited period but in any case *Joseph's* report was not accepted by the Board on the plea that NPCL's expenditure for April - June, 1994 be also re-examined.

11. The State Government thereafter on 29.5.1998 made a reference to Sri M.I. Beg for review of income and expenditure for the period April, June, 1994, vide reference order dated 27.6.1998

12. The Government of U.P. extended the



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period of agreement for further period of one year on the same terms and conditions, which fact was communicated to the NPCL, vide letter dated 29.5.1998 and on 23.8.1998 the Board informed the Company that the billing will be made at normal rate as per earlier terms during the extended period of agreement.

13. Sri M.I. Beg submitted his report regarding the income and expenditure of the NPCL for the period April - June, 1994 on 3.3.1999 upon which the State Government requested him on 6.3.1999 to determine the rate in continuation of his report. This time the Beg Committee (hereinafter referred to as the 2nd Beg Committee) vide its report dated 19.3.1999 recommended the rate of Rs. 1.41 per unit upon revision of income/expenditure for the period April - June, 1994. The NPCL, vide its letter dated 25.3.1999 confirmed its acceptance of Rs. 1.41 per unit but this time objection was raised by the Board on 6th May, 1999 saying that income of NPCL from January - March, 1994 be also examined.

14. As a result of the objection so raised, a decision was taken at the higher level in a Government of U.P. meeting attended also by the Chief Minister on 6.5.99 that reference be made to Sri M.I. Beg for review of income and expenditure between the period January - March, 1994, in view of the Board's objection, otherwise NPCL is agreed to the rate of Rs. 1.41 per unit.

15. It was also decided in the said meeting of the High Power Committee that a new agreement with revised terms would be

executed between the Board and the NPCL and till such time power purchase price was determined by the Regulatory Commission, that rate would be fixed by the U.P. Government in accordance with the Sixth Schedule. It was further decided in the meeting that the NPCL's generation and distribution operations are to be delinked and treated under separate agreements and the Board would purchase power from NPCL's proposed power plant on the basis of power purchase agreement.

16. The NPCL by its letter dated 14.5.1999 communicated its conditional acceptance of further review by Sri Beg, subject to, inter alia, Sixth Schedule being followed. Sri M.I. Beg was required to review and submit report within 45 days, vide letter dated 11.6.1999. The terms of agreement was extended for a period of three months from 15.6.1999, vide Board's letter dated 5.7.1999 and the Government of U.P. confirmed the terms of reference vide its letter dated 8.7.1999 and also enclosed therein the Board's letter dated 16.6.1999 which claimed the rate of Rs. 1.66 per unit, which was the tentative rate fixed and mentioned in the agreement.

17. It appears that the NPCL, vide its letter dated 17.9.1999 raised a grievance to the Government of U.P. for delaying the Award of Beg Committee making the Board responsible for raising the issues which were outside the terms of reference and objecting to the determination of Rs. 1.66 under section 47 as claimed by the Board and also mentioned that there was no signed agreement between the parties on the aforesaid issue. The Government of U.P. re-affirmed the terms of reference, vide letter dated 21.9.1999 and on 2.11.1999 and requested Sri M.I. Beg to submit his report within 30 days in view of the issues referred being 'extremely limited'. The NPCL appears to have sent the letter dated 5.11.1999 stating that any decision taken beyond the terms of reference and not on the same basis adopted earlier will not be binding upon the Company.

18. Since in the meantime, a Gazette Notification of 10.9.1998 was published in regard to the establishment of U.P. State Electricity Regulatory Commission by the Governor of the State, the Company requested the Government to refer the matter to the Commission, which has since come into being as per statutory provisions in view of the delay in making the award by Sri Beg. The Government, however, did not accede to the said request of the Company. The Company again wrote a letter on 6.12.1999 communicating to the Government that the Company would not be under obligation to accept any report if extraneous issues beyond the terms of reference are considered or the basis/principle decided by the Authority earlier is changed. Sri M.I. Beg submitted his report (Third Beg Committee Report) dated 5.12.1999



alongwith letter dated 9.12.1999 recommending the rate of Rs. 1.63 per unit for the aforesaid period of six months.

19. The NPCL feeling dissatisfied with the report submitted an objection on 20.12.1999 to the Government of U.P. pointing out infirmities/erroneous conclusions in the report and requested for rejection of the same.

20. The Board again extended the term of the agreement from 30.11.1999 for a further period of three months which was communicated to the Company, vide letter dated 31.3.2000. In the meantime, Uttar Pradesh Electricity Reforms Act, 1999 came into force, vide Gazette Notification dated 14.1.2000 of the Government of U.P. and the petitioner Company not finding the rates as proposed by the Third Beg Committee as acceptable, filed the present writ petition on 29.2.2000 praying for various reliefs including the relief of issuance of a writ, order or direction in the nature, of mandamus directing the State of U.P. including the UPSEB to withdraw, revoke and cancel the Beg report; refrain from giving any effect thereto or from taking any step in terms thereof or thereunder or pursuant thereto; refer the issues relating to determination and/or revision of the power purchase price in terms of the said agreement dated 15.11.1993 to Uttar Pradesh Electricity Regulatory Commission for determination thereof in terms of ERC Act, 1998.

21. In the writ petition, an interim order was passed by a Division Bench of this Court on 31.3.2000, mainly issuing the following two directions:

(i) The State Commission under ERC Act, 1998 which has been deemed as Commission under Section 3 (b) of U.P. Electricity Reforms Act, 1999 to fix the tariff i.e. power purchase price within 10 days.

(ii) The parties shall maintain status quo regarding payment of tariff by the petitioner to the Corporation. This protection afforded to the petitioner shall be of no avail as soon as the State Commission fixes the tariff.

22. The U.P. Power Corporation Ltd. (here inafter referred to as the UPPCL), filed a counter affidavit on 18.5.2000. The U.P. State Electricity Regulatory Commission fixed the power purchase rates, vide order dated 12.2.2001. In this order the Commission fixed the rates for the period 1993 - 1994 to 1999-2000. The starting rate determined by the Commission was Rs. 1.39 per unit against Rs. 1.66 per unit (tentative rate for the period in question) and thereafter in continuation of that

rate, rates have also been determined for the subsequent years and lastly for the financial year 1999-2000, the rate of Rs. 2.56 per unit has been determined. The High Court, vide its order dated 19.2.2001 directed the petitioners to deposit the amount as per the tariff decided by the UPERC, within six weeks, which amount to the tune of Rs. 721.31 lakhs was deposited in instalments; Rs. 400 lakhs on 14.3.2001 and balance on 29.3.2001.

23. Despite marathon exercise and repeated Independent Authorities being appointed and successive reports being given, the NPCL and the Board/UPPCL could not reconcile themselves on the determination of final price of power purchase, which has resulted into such a long drawn litigation and still the two are not agreed upon any rate mutually or on the basis of the any of the aforesaid reports or the fixation made by the Commission, as there is serious dispute between the parties on the methodology which should be adopted for determining the price.

24. From the arguments raised by the parties, the following points require consideration:

(1) Whether any mutually agreed methodology exists or was applied while making the tentative price of Rs. 1.66 per unit; and, if yes, whether the same has to be applied when the final price is to be determined.

(2) If there was no agreed methodology either before the execution of the agreement or in the agreement for determining the final price, then whether the provisions of Sixth Schedule of the Electricity (Supply) Act, 1948 can be applied by their reverse application, though the said provision may not be applicable straightaway in the case of determination of power purchase price payable by the Company to the Board/UPPCL, more so when the same principle has been applied in the determination of power purchase price for



KESCO;

(3) In view of the admitted position that the agreement stipulates only a tentative price of Rs. 1.66 per unit for a period of six months, which was to be 'studied and revised' after six months of operation of the Company, it would necessarily mean that while determining the firm price, the aforesaid phrase 'studied and revised' necessarily excludes the claim of reasonable return of the Company.

(4) Whether the applicability of the provisions of Sixth Schedule

in their reverse application have to be excluded, as per the case of the respondents that the Company was not entitled to any reasonable return;

(5) Whether the Electricity Regulatory Commission was having jurisdiction to determine the rate of tariff for power purchase both for the period of six months given under the agreement and also of subsequent periods.

(6) Whether the plea of the respondents that the Board/UPPCL should not suffer loss because of the power supplied to the Company and statutory surplus of 3% has necessarily to be earned by the Board/UPPCL in accordance with the provisions of section 59 of the Act stands satisfied in the determination made by the Commission.

25. According to the petitioners, it was agreed in principle in all the earlier reports except the Third Beg Committee Report that the determination is to be made by applying the Sixth Schedule to the Electricity (Supply) Act, 1948 and not the provisions of section 47 whereas it is the specific case of the respondents that Sixth Schedule is not applicable and that the determination has to be done on the basis of the provisions of section 47 by calculating it on the 'through rate' basis on assessment of the total expenditure of the NPCL and its income.

26. The NPCL's argument is that before all previous Committees/Independent Authorities including the Nair Committee but for the Third Beg Committee, it was agreed between both the parties before the Independent Authorities, a mention of which also finds place in their reports that Sixth Schedule will apply, which is also evident by the fact that the licence granted itself makes the applicability of Sixth Schedule obligatory.

27. The petitioners' claim is being rebutted by the learned counsel for the respondents by asserting that though in the first three reports, a mention of Sixth Schedule has been made with the agreement of the parties but in effect even in none of those reports, the Independent Authority has followed the Sixth Schedule or its principles and, therefore, to say that the earlier reports were based on Sixth Schedule is total misconception of the afore said reports, apart from the fact that Sixth Schedule cannot be made applicable to the present agreement which is an arrangement, which is protected by Section 47 of the Act of 1948 even after the enforcement of the Uttar Pradesh Electricity Reforms Act, 1999 and the Electricity Regulatory Commission Act, 1998 and, therefore, the plausible, reasonable, legal and agreed method of determining the price is the calculation of 'through rate' by taking into account the entire expenditure and expenses and income of the NPCL. According to the respondents, if the methodology of Sixth Schedule is applied, that would run against the agreed terms of the agreement of

power purchase and would be contrary to the agreement which would mean adopting and introducing such provisions in the agreement, which have never been intended to be adopted and used under the agreement.

28. Regarding the applicability of the Sixth Schedule, which in fact, is the financial principle and their application, the provisions in pursuance of which the same has been enacted and its sphere of applicability has to be seen from the provisions of the Act of 1948. The Sixth Schedule refers to section 57 and section 57-A of the Act of 1948. Section 57, which is the 7 Licensee's charges to consumers is a provision of deemed incorporation of the provisions of the Sixth Schedule in the licence of every licensee, not being a local authority and reads as under:

“57. Licensee's charges to consumers—The provisions of the Sixth Schedule shall be deemed to be incorporated in the licence of every licensee, not being a local authority—

(a) in the case of a licence granted before the commencement of this Act, from the



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date of the commencement of the licensee's next succeeding year of account; and

(b) in the case of a licence granted after the commencement of the Act, from the date of commencement of supply, and as from the date, the licensee shall comply with the provisions of the said Schedule accordingly, and any provisions of the Indian Electricity Act 1910 (9 of 1910), and the licence granted to him thereunder and of any other law, agreement or instrument applicable to the licensee shall, in relation to the licensee, be void and of no effect in so far as they are inconsistent with the provisions of Section 57-A and the said Schedule.”

29. Section 57-A is for the constitution of the rating committees in matters where the provisions of the Sixth Schedule under section 57 are deemed to be incorporated in the licence of any licensee.

30. ‘Licensee’ has been defined under section 2(6) of the Act, which means a person licensed under Part II of the Indian Electricity Act, 1910 to supply energy or a person who has obtained sanction under Section 28 of that Act to engage in the business of supplying energy (but the provisions of Section 26 or 26-A of this Act notwithstanding does not include the Board or a Generating Company). The aforesaid definition excludes the Board (now UPPCL) or a generating company

from the definition of 'licensee' aforesaid. The Board thus would not be a licensee within the meaning of Section 57 to whom the provisions of Sixth Schedule would apply nor can be treated to have been incorporated therein. But in accordance with the provisions of section 26, the Board will have the power and obligations of a licensee under Act IX of 1910. The Board thus would discharge all its powers and obligations of a licensee under the provisions of the Act of 1910 and this Act shall be deemed to be the licence of the Board for the purpose of Act of 1910.

31. A) The first proviso attached to the aforesaid section 26 excludes the applicability of sections 3 to 11 and other sub-sections and clauses mentioned therein in respect of the Board which related to the duties and obligations of a licensee in respect of the Board and their application in respect of the Board; whereas the second proviso further says that the provisions of Clause VI of the Schedule to that Act shall apply to the Board meaning thereby that the Act of 1910 shall apply to the Board in respect of that area only where distribution mains have been laid by the Board and the supply of energy through any of them has commenced.

31. Section 26-A is in regard to the applicability of the provisions of Act of 1910 to Generating Company, which means a company registered under the Companies Act, 1956 and which has among its objects, the establishment, operation and maintenance of generating stations as defined in Section 2(4-A).

32. Upon reading of the aforesaid provisions and the definition of 'licensee' given in the Act of 1948, it can well be concluded that the Board is not a 'licensee' within the meaning of section 2(6) of the Act of 1948 but subject to the provisions of the Act, it shall have all powers and obligations of a licensee under the Act of 1910 in respect of the whole State and for the said purpose the Act of 1948 shall be deemed to be the license of the Board for the purpose of the Act of 1910.

33. It thus stands clarified that the Board being not a licensee within the meaning of the definition as given in 1948 Act, the provisions of section 57, which are applicable to the licensee would not be applicable in the case of the Board. The licensee, as mentioned in section 57 and 57-A is a licensee, who is covered by the definition of the said term given in section 2(6) of the Act of 1948 and the Board having been expressly excluded from the definition of licensee under the aforesaid provisions notwithstanding the provisions of section 26 and 26-A of this Act could not be treated or taken to be a licensee for the purpose of Section 57. That being so, the Board, merely because it has all powers and obligations of a licensee under the Act of 1910 and 1948 Act, would be deemed to be licensee for the purpose of the former Act, would not be a licensee within the meaning of 1948 Act.

34. The provisions of Sixth Schedule, which have been inherently made applicable by a legal fiction in the case of a licensee under



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Section 57 obligate the applicability of the provisions of Sixth Schedule in the matter of determination of tariff by the licensee to its consumers but this legal fiction would only be attracted in the case of a licensee under the Act of 1948 and not otherwise.

35. The deeming provision or a legal fiction has to be applied or would be deemed to be applicable only in case it strictly falls within the criteria laid down for inviting such deeming provision or legal fiction. The scope of the deeming provision cannot be extended beyond the intendment of the provision/en actment in which it has been provided nor it can be used or deemed to be incorporated for the purpose of extending the scope of the concerned provision and the applicability thereof.

36. By virtue of section 57, a licensee, who supplied energy/power to its consumers, has necessarily to determine the price by taking into account the provisions and principles laid down in detail in the Sixth Schedule. While doing so and while making calculation of the price (rate of tariff), the licensee has been given right to have 'reasonable return' while fixing such price. The principle behind framing Sixth Schedule apparently are that while making the price determination, the interest of the consumer as well as that of the licensee, who supplies power to them, is safeguarded and protected. Under various heads of Sixth Schedule, various expenses including such amounts which are liability of the licensee, may be, for example, the loan amount and interest payable thereon and keeping reserve have been provided with further option to have a 'reasonable return'. This mechanism, on the one hand, lays down a criteria and guidelines for taking out the cost of energy and also the little profit, which has been termed as 'reasonable return', which can also be named as 'surplus', which too is very essential for the purpose of running and maintaining the licensee so that it continues to supply power to its consumers not only without loss but with some 'reasonable return'. In fact, the provisions of Sixth Schedule are more specified and detailed procedures for determination of price by the licensee for supply to its consumers treating that such supply to the consumers is a commercial transaction and, therefore, care has to be taken, that neither the consumers suffer because of the arbitrary fixation of price which have to be done by taking into account various expenses and expenditure under different categories and heads under

the Schedule nor the licensee is put to a loss, for which the provision of reasonable return has been made. This is a simple principle of determination of price in any commercial transaction.

37. Having found that the Board not being a licensee within the meaning of Section 2(6) of the 1948 Act and, therefore, the provisions of Section 57 and consequently the Sixth Schedule not being applicable, the only provision which gives power to the Board to fix tariff of its consumers is section 49.

38. Section 49 of the Act reads as under:

“49. Provision for the sale of electricity by the Board to persons other than licensees-

- (1) Subject to the provisions of this Act and or regulations, if any, made in this behalf, the Board may supply electricity to any person, not being a licensee upon such terms and conditions as the Board thinks fit and may for the purposes of such supply frame uniform tariffs.
- (2) In fixing the uniform tariffs, the Board shall have regard to all or any of the following factors, namely-
 - (a) the nature of the supply and the purpose for which it is required;
 - (b) the co-ordinated development of the Supply and distribution of electricity within the State in the most efficient and economical manner, with particular reference to such development in areas not for the time being served or adequately served by the licensee;
 - (c) the simplification and standardization of methods and rates of charges for such supplies;
 - (d) the extension and cheapening of supply of electricity to sparsely developed areas.
- (3) Nothing in the foregoing provisions of this section shall derogate from the power of the Board, if it considers it necessary or expedient to fix different tariffs for the supply of electricity to any person not being a licensee, having regard to the geographical position of



any area, the nature of the supply and purpose for which supply is required and any other relevant factors.

- (4) In fixing the tariff and terms and conditions for the supply of electricity, the Board shall not show undue preference to any

person.”

39. Section 49 is the provision of sale of electricity by the Board to the persons other than licensees. A bare perusal of the aforesaid provision would indicate that the Board has the power to fix tariff for supply of electricity to any person, who is not a licensee, upon such terms and conditions, as the Board thinks fit and may for that purpose of supply frame uniform tariff. The factors or conditions which have to be taken into consideration in fixing tariff from time to time have also been provided in sub-section (2) and sub-section (3) gives overriding power to the Board to fix different tariffs for different consumers not being a licensee in given situation under the aforesaid section; whereas in sub-section (4) a caution has been put that the Board shall not show undue preference to any person in fixing the tariff or the terms and conditions of supply of electricity.

40. The aforesaid provisions of section 49 thus is a complete code in itself for the Board, for determination of tariff for supply of electricity to its consumers, not being a licensee and also the criteria broadly given therein, for the purpose with an assurance of not showing undue favour or preference to any consumer in the matter of determination of price or tariff or the terms and conditions of supply of electricity.

41. The Board is thus not governed by the provisions of Sixth Schedule nor is the same applicable in the determination of tariff to its consumers. Section 49, which is regarding the fixation of tariff to its consumers, shall also not be attracted as against the NPCL, the latter not being a consumer, but a licensee.

42. The next question arises that whether the NPCL would be a licensee within the meaning of section 57 so as to have the benefit of legal fiction or the deeming provision of incorporation of the provisions of Sixth Schedule in the licence and consequently its applicability in the matter of determination of power purchase price from the Board.

43. The NPCL is a licensee under section 3(1) of the Indian Electricity Act, 1910 and is a licensee within the meaning of the Act of 1948 also, but it would not attract the provisions of section 57 in the matter of determination of power purchase price from the Board in its liberal terms.

44. Section 57 is a provision and rather a procedure or machinery which provides for fixation of tariff by the licensee to its consumers. The Board is not the consumer of NPCL. The consumers are thus persons to whom the electricity is being supplied by the NPCL and not the Board from whom the power is being purchased for being supplied to its consumers by the NPCL. So far as the price or the rates on which power is to be supplied by the NPCL to its consumers is concerned, the same already stands determined under the agreement itself which provides that the NPCL shall supply power to its consumers on the same very

rate on which the Board supplies power to its own consumers. Therefore, a ceiling has been placed upon the rate of supply by the NPCL to its consumers and NPCL is not at liberty to change that price or to raise that price. It is thus apparent that NPCL can not claim the applicability of Sixth Schedule for the purpose of determination of price of power purchase from the Board, it neither being a consumer nor the Board is its consumer, as such the determination of the price of the power purchased from the Board by the NPCL does not apparently fall within any of the clauses of Section 57 and consequently Sixth Schedule cannot be said to be applicable literally or strictly.

45. Sri Shanti Bhushan, learned Senior Advocate, appearing for the NPCL urged that Sixth Schedule would be applicable firstly for the reason that it was agreed to, between the parties before the Independent Authorities but for in the Beg Committee Third that the same would be applicable and, secondly also because the agreement itself says in Clause 2 that the provisions of Electricity (Supply) Act, 1948 would apply and Sixth Schedule being a part of the aforesaid Act would thus be applicable



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but the same has to be applied by 'reverse application'. It will thus be required to find out as to whether legally and under the provisions of the Act or under the terms of the agreement, the Sixth Schedule or its principles would be or can be applied by making its reverse application, and also the effect and import of the agreement of both the parties upon all the Independent Authorities but for Beg Third, in respect of the applicability of Sixth Schedule.

46. Clause (2) of the agreement says that this agreement would be read and construed in all respects in conformity with all the provisions of the Act and the Electricity (Supply) Act, 1948 or any subsequent amendment made therein and any Rules and Regulations made thereunder.

47. The recital made in clause (2) of the agreement may lead to the inference about the applicability of the provisions of Electricity (Supply) Act, 1948 but that would mean the application of only such provision which would be applicable in terms of the agreement or which could be made otherwise applicable under the provisions of the Act. In case by virtue of specific term of the agreement, any of the provisions of the Act stand excluded in its applicability in respect of the terms and conditions of the agreement or if the parties' do not fall within the specification and definition given under the Act in a particular provision,

then all such provisions would stand excluded in their applicability between the parties despite it having been generally mentioned that the agreement shall be read and construed in all respects in conformity with the provisions of Electricity (Supply) Act, 1948.

48. Section 57 of the Act is the provision, which applies the provisions of Sixth Schedule to every license but as already discussed above, it prescribes the procedure for determination of tariff by the licensee for the supply of electricity to its consumers whereas in the instant case this determination of tariff to its consumers is not in the hands of the licensee, namely, NPCL, as it is to supply electricity to its consumers on the same rate on which the Board is supplying electricity to its own consumers.

49. Thus, the applicability of the provisions of Electricity (Supply) Act, 1948 would be confined only to such provisions which are actually applicable and not with respect to those which are either not applicable or which have been consciously or expressly excluded from their applicability under the terms of the agreement. If a general and sweeping interpretation is given to the aforesaid recital of clause (2) of the agreement, that would frustrate the terms of the agreement and would also lead to the results which are uncalled for.

50. The agreement is an arrangement referable to Section 47 and 48 of the Act and, therefore, while interpreting and understanding the meaning and import of the terms of the agreement, their intention, scope and binding nature, has to be kept in mind.

51. Elaborating his arguments regarding the applicability of Sixth Schedule, Sri Shanti Bhushan further submitted that may be that the provisions of Sixth Schedule be not applicable in the strictest terms of Section 57 but they would be applicable by virtue of their reverse application, as the Board placed a ceiling on the price of power supply by the NPCL to its consumers by providing that the NPCL would charge the same price which the Board is charging from its own consumers and, therefore, there being no scope or liberty to the NPCL to fix and charge the price of electricity for supply to its consumers, the only reasonable methodology which could be adopted for determination of power purchase price would be by making reverse application of the provisions of Sixth Schedule and the principle laid down therein. The submission is that only by following the aforesaid principle, the Board would be getting reasonable price towards the cost of supply and the NPCL would also get a reasonable return by making the determination on taking into account the various heads under the Sixth Schedule, which, according to him, would balance the equities between the two, namely, the Board and the NPCL and both would not remain in loss. Further that the Board was earning huge profits and the NPCL shall also have small return, namely, reasonable return, in consonance with the

ba sic principle of any commercial transaction



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as the industry would not survive in the absence of any provision for reasonable return and likewise, the NPCL would also not survive.

52. It has also been urged that the Board in the matter of determination of power purchase price by KESCO (Kanpur Electricity Supply Company) has itself followed the aforesaid principle of reverse application of the provisions of the Sixth Schedule by applying the principle given therein but in the case of the petitioners, for reasons best known to the Board, the same is being opposed.

53. Sri Rakesh Dwivedi, learned Senior Advocate, in response, has submitted that neither the Sixth Schedule nor the principle of Sixth Schedule would be applicable nor the said provision can be made applicable by reverse application, as it would in substance mean applying Sixth Schedule which otherwise is not applicable. He, however, does not dispute that in the matter of KESCO the determination has been made by reverse application of the provisions of Sixth Schedule, but has tried to explain by saying that the agreement between the petitioner and the Board was a special arrangement for the purpose of giving boost and encouragement to the Company for establishing its own generating plant within a period of 4 ½ years whereafter the Company would use its own generated electricity and would not be dependant upon the Board in the matter of supply of electricity whereas for KESCO it was a permanent arrangement, which thus totally was of a different nature. Further the agreement in question was only a stop gap arrangement during the period interregnum when the Company could not have started generation of its own and it was never envisaged, in the agreement that such an arrangement would continue in per-i petuity and for all times to come. The agreement, therefore, stipulated a tentative price of Rs. 1.66 per unit for a period of six months subject to the same being studied and revised thereafter with a deliberate and conscious condition being put in the agreement in clause 7(d) that in case the Company fails to start its own generation within the aforesaid period of 4 ½ years, the Company would have to pay double the price thereafter. This condition itself demonstrate that the emphasis was on the Company generating its own electricity within a given time for which purpose the Company was also given many concessions and facilities under the agreement.

54. In defence, it has also been urged that the controversy revolves

around the meaning and interpretation of the terms of the agreement dated 15.11.1993 and in particular clause 7 of the said agreement, which provides a specified procedure/methodology for determination of tariff for the period of six months for which tentative rate of Rs. 1.66 was fixed after deliberations being made between the parties and, therefore, no other methodology can be allowed to be adopted nor any other procedure can be permitted to be followed for fixing the price.

55. Clause 7 of the agreement around which the whole controversy revolves which has various sub-clauses, reads as under:

“7. a. The Company shall pay for the supply of electric energy at the rates enforced by the Supplier from time to time as may be determined by the Supplier.

b. The rates of tariff payable by Company shall be Rs. 1.66 per unit. In addition, the following charges will also be payable by the Company:

- (i) Late Payment Surcharge (as per Board's iiv-2 tariff);
- (ii) Low Power Factor Surcharge (as per Board's iiv-2 tariff);
- (iii) Fuel Surcharge and Establishment Surcharge after June 1993 will be applicable on the actual billing of NOIDA Power Company Ltd. (NPCL) to such consumers, who are liable for these charges. The details of monthly billing will be supplied by NPCL every month, based on which additional Fuel Surcharge and Establishment Surcharge will be paid immediately alongwith the statement. At the end of each financial year statutory auditor's certificate will be submitted by NPCL to substantiate monthly statement. The Supplier has the right to check and verify these statements. Adjustment, if any, will be made at the end of financial year. However, in case of consumers added after take over by the Company, the



fuel and establishment surcharges will be passed on to the Board by the Company in full.

- (iv) Any levy, such as Sales Tax, Excise Duty, Electricity Duty, Levy, taxes, Cess etc. by whatsoever name called by Central/State Government or other competent authority on the Electricity supplied to the Company shall also be paid by the Company.
- (v) The above rates of Company are tentative which will be studied and revised after six months by an independent

authority to be nominated by State Government and mutually acceptable to NPCL and Supplier for this purpose. If during the period of these six months this Body fixes more/less charges on the basis of the above, it will be adjusted accordingly.

- (vi) While deciding/fixing the above rates (Rs. 1.66 per unit) the ratio of the mix of the, consumption of industrial and other consumers was 77:23. The same will be reviewed every year and in the case of increase/decrease of 1% in the industrial consumption, there shall be an increase/decrease of 2 (two) paise per unit in the above rates of supply of Electricity and for this purpose NOIDA Power Company shall make available all the relevant records to the Board.
- c. The rates above mentioned will, how ever, in any case be revised by the supplier as and when the rates are revised for supply of Electricity to other consumers by Board and in the case of revision, the rates so revised shall be applicable to the Company.
- d. If the Company does not start its own generation within 4 ½ years (Four years and six months i.e. the maximum period of agreement) and if the Board is ready to supply Electricity then the Board shall charge the Company at double the rates so enforced and applicable at that time."

56. In terms of clause 7. a. the Company was to pay for the supply of electric energy on the rates, which were to be enforced by the supplier, namely, the Board from time to time and as determined by the Board.

57. At the time of execution of the agreement at 33 KV, the rates were since not clear and could not be arrived at for want of necessary details, it was provided in sub-clause (2) of clause 7 that the rate of tariff payable by the Company would be Rs. 1.66 per unit in addition to the charges payable by the Company given under other sub-clauses of the said provision. The rate of tariff of Rs. 1.66 per unit was admittedly a tentative price which was to be studied and revised after six months by an Independent Authority to be nominated by the State Government and mutually acceptable to the NPCL and the Supplier for the purpose. If during the period of these six months, the Independent Authority had fixed more or less price than Rs. 1.66 per unit, the same were liable to be adjusted accordingly. At the time of deciding/fixing the rate of Rs. 1.66 per unit, the ratio of the mix of the consumption of industrial and other consumers was 77:23 which was to be reviewed every year and in the case of increase/decrease of 1% in the industrial consumption, there shall be an increase/decrease of 2 (two) paise per unit in the above rates of supply of Electricity and for

this purpose NOIDA Power Company shall make available all the relevant records to the Board.

58. The rates mentioned above were, however, in any case to be revised by the Supplier as and when the rates are revised for supply of electricity to other consumers by the Board and in the case of revision, the rates so revised were to be made applicable to the Company.

59. The respondents have urged that the rate of Rs. 1.66 per unit was not the rate of tariff, which had suddenly come from the air, or that the petitioners were not aware about the methodology used in arriving at such a rate. Their submission is that it was after long deliberations that the aforesaid rate was fixed and, therefore, the same very principle on the basis of which the said-rate was fixed would be applicable when the above rates are to be studied and revised.

60. Sri Rakesh Dwivedi refutes the argument of the learned counsel for the petitioners Sri Shanti Bhushan that the agreement does not provide for methodology for determination of price and, therefore, the Sixth Schedule can be made applicable and contends that the price of Rs. 1.66 p per unit, which



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has been termed as 'tentative', in the agreement itself was fixed after various deliberations between the parties and on principle which was agreed upon by them before entering into a written agreement. The submission, therefore, is that all correspondence and deliberations which had taken place prior to the written agreement was entered into are relevant and have to be considered for recording a finding that whether the agreement of 15th November, 1993 envisages any methodology or it can be treated to be absolutely silent on that score.

61. In contrast, the petitioner urges that all correspondence or deliberations which have taken place prior to the agreement having been reduced in writing would have no sanctity or significance when once the final agreement is reduced into writing in which all details with respect to the terms of the agreement have been specifically mentioned and, therefore, in view of non incorporation of such decision, procedure or methodology it cannot be presumed to be inherent or in existence or incorporated in the agreement even if it is found or is presumed that a particular methodology was adopted while determining the tentative price of Rs. 1.66 per unit for the period of six months.

62. The material which has been relied upon by the respondents to

show that there existed an agreed methodology, both for fixation of the tentative rate of Rs. 1.66 per unit and also for studying and revising the aforesaid rate after the period of six months are mainly the minutes of the meeting dated 6.11.1992 under the Chairmanship of the Chief Secretary, note of the Member (Distribution) of the Board dated 1.11.1993, letter, to the Principal Secretary, Energy, Government of U.P. by Sri. S. Srinivasan, Chairman, Greater Noida dated 22.9.1993, letter dated 19.9.1992, which has been written by Secretary, Heavy Industries to the Chairman/CEO, Greater Noida, Ghaziabad.

63. The aforesaid letter of 19.9.1992 communicates about the sanction being granted by the Governor for constituting a Company for the purpose of supplying electricity in the area of Greater Noida to its consumers which would be a joint venture of Greater Noida and RPG Enterprises Ltd. It also communicated that the Company would be a joint venture Company with Noida and Greater Noida, who shall also be shareholders. It also provided that Surajpur Sub Station of 132 KV would be transferred to the newly constituted Company with the condition that the aforesaid Company would pay the transfer price to the Board immediately, who would establish a new Sub Station after such transfer.

64. It was further provided in the letter that till the new Company does not have its own generation plant, till such period the Board shall supply 30 MV of Electricity to the Greater Noida. The new Company shall undertake the work of generation, transmission and distribution of electricity in the area of Greater Noida and the rates of supply of electricity would be determined in accordance with the provisions of Electricity Supply Act, 1948. The property/assets of the Board which are being given to the Company shall be assessed and the price so estimated shall be paid by the Company to the Board within a period of 10 years.

65. The aforesaid letter further laid down the specific queries and conditions with respect to the setting up of its own generating plant by the Company requiring the Greater Noida to clarify; (i) what would be the generating capacity of the Sub Station which is to be established by the new Company and on the failure of getting Gas, the medium by which it would run the plant; (ii) the period in which the generating plant would be established by the Company and the extent of work of establishment which would be taken in the first phase; and (iii) the funds which are required for the establishment of Such generating plant.

66. Care was required to be taken in fixing the rate of tariff for supply of electricity to the consumers as against the rates fixed by the Board for its own consumers so that it may not create any confusion and anomaly, A Committee was also constituted for finding out the

modalities and ways and means to ensure the implementation of the aforesaid conditions, consisting of Principal Secretary, Energy, Principal



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Secretary, Finance, Chairman, LLP. State Electricity Board and Secretary, Heavy Industries.

67. The Committee deliberated upon the aforesaid issues in its meeting dated 6.11.1992 and resolved that the price of supply of electricity to the new Company would be determined in a manner so that it does not cause any loss to the Board and that the expenditure which would be made on the assets/property of the Board would also be taken into consideration.

68. The Member (Distribution) in its note dated 1.11.1993 put a note to the Secretary, U.P. State Electricity Board, which was placed before the Board for approval. The note, which was a prelude to the execution of the written agreement, says that the State Government had granted license to the NPCL on 30.8.1993 for supply of electricity in the Greater Noida area. This Company is not in a position to have its own generation of electricity in the initial stages, therefore, the State Government, vide its letter dated 23.10.1993 decided that till the Company becomes capable of generating its own Electricity (for a period of 4 ½ years), it would receive supply of electricity from 132 KVA Surajpur Sub Station of the Board and, therefore, for supply of electricity (purchase) the rates and conditions were to be determined.

69. Three proposals made to the Principal Secretary, Power, Government of U.P., reproduced in the note of Member (Distribution), were as follows:

(a) based on the present average rate by calculating in the following manner:

Present rate + fuel and establishment surcharge 9/92 on 11 KVA + 3% statutory profit -(minus) 5% rebate on 33 KV = 220 paisa per unit. Thus the two part tariff would be (i) demand charge = Rs. 115/KVA/Month; (ii) Energy Charge = 146 paisa per unit. After September, 1992 fuel and establishment surcharge according to rate of tariff of the Board in addition.

(b) On the basis of HV 2 continuous process

Rate of HV-2 continuous process + 3% statutory profit - rebate of 5% on 33 KV=298, 82 paisa per unit.

In this way two part tariff was proposed as under:

Demand Charge = Rs. 143/KVA/Month

Energy Charge = 190 paisa/unit

Fuel and establishment surcharge in addition.

(c) On the basis of proposal of NPCL based on price index of the year 1992 of 60/90 MW Thermal Power Stations.

355.10 Paisa/unit (estimated rate on production from 60 MW capacity power station);

282.30 Paisa/unit (estimated rate on production from 90 MW capacity power station).

70. The note further says that some unsigned comments were sent by the NPCL on 22.2 1993, the reply of which was forwarded to the Government by the Principal Secretary, Power, but the State Government did not answer to the said reply. The Board has shown the through rate of 179 paisa per unit in the Greater Noida area. Thereafter an Expert Casting Committee was constituted under the Chairmanship of the Principal Secretary, Power on 22.4.1993, but it did not submit any report.

71. On 6.9.1993 a meeting was held under the Chairmanship of the Principal Secretary, Energy in which the representative of NPCL also participated wherein it was broadly considered that the power be supplied to the Company at the rate of Rs. 1.70 per unit. This rate of Rs. 1.70 per unit was derived as follows:

Rate of electricity as per LMV-2 of the Board = 213 P/unit;

5% rebate being given on the aforesaid rate on 33 KV= 202.35 P/unit;

Less 10 P per unit rebate on timely payment = -192.35 P/unit

Adding the fuel and establishment surcharge in item no. (iii) (29.21 P/unit upto:6/93 = 222 P/unit;

Ratio of energy consumption of Greater Noida of only metered consumers in which the industrial consumers were in majority = 0.77;.

Rate obtained by multiplying with multiplier at item no. (v), rates calculated/received at item no. (iv) = 170.00 P/unit.

72. On the suggestion of the aforesaid rate



of Rs. 1.70 per unit, the NPCL objected and said that this will mean a return of 22.35 paisa per unit out of 192.35 Paise per unit in which they will have to maintain and run the Company whereas in fact they require 38 paise per unit towards establishment cost and maintaining cost. On this objection it was decided that item no. (v) be re-looked and revised for which the Superintending Engineer, Electricity Distribution Division,

Ghaziabad was required to submit his comments within 15 days. It was further found that the price should be fixed at the rate of 177 paise per unit.

73. Thereafter a meeting was held in the Office of Principal Secretary, Power in which the NPCL was not present nor appears to have been invited and the rate of 166.57 paise per unit was calculated. In this calculation, it was found as under:

- (i) the average rate of all the consumers in the Greater Noida area = 188 P/unit;
- (ii) minus expenses of NPCL = 26.19 P/unit
- (iii) Balance ((i) - (ii)) = 161.81 P/unit
- (iv) minus 8% transmission losses = 12.94 P/unit
- (v) Balance ((iii) - (iv)) = 148.87 P/unit
- (vi) Adding the amount which would be saved by the NPCL on reduction of system losses = 17.70 P/unit
- Total of (v) + (vi) = 166.57 P/unit

This amount of 166.57 paise per unit was fixed as Rs. 1.66 or 166 paise per unit as tentative price for the sale of electricity for a period of six months in the agreement.

74. The aforesaid pre-contract negotiations or deliberations on which the emphasis is being laid upon by the respondents nowhere establish that the NPCL ever agreed even to the tentative price of Rs. 1.66 per unit and, as a matter of fact, it was the decision of a Committee in which the NPCL was not even represented. On the other hand, the NPCL did raise an objection when the rate of sale of electricity was proposed as 177 paise per unit by saying that it would not even meet the establishment costs for running the project. The aforesaid grievance apparently indicates that the NPCL has nowhere either accepted the methodology or the tentative rate nor it gave up the plea of reasonable return, which is also evident by the fact that even in these deliberations, the reasonable return or the profit to the NPCL was a matter for consideration, though that profit/reasonable return was said to be available to the Company by reducing the system losses, which were assessed at a comparatively very high percentage.

75. In fact, the power purchase price could not be firmly determined at the time of entering into the agreement since the ingredients necessary for such determination, such as total earnings, details of electricity consumption, expenses of the new distribution licensee and the transmission and distribution losses were not available/ascertainable. Since the Board was itself in the dark about the actual expenditure and income of the Company and was not in a position to collect any information about the area transferred to the

Company even for the financial years prior to the date of handing over, the tentative rate of tariff was fixed, of course, with some deliberations but not with full exactness. Since no firm price was fixed in the agreement, it could not be said that the agreement which is otherwise an arrangement within the meaning of Section 47 and 48 of the Act, did prescribe any mutually agreed price so as to make it binding upon the parties, obligating the licensee, namely, the Company to abide by it in terms of Section 48 of the Act.

76. The Independent Authority was to be appointed for final determination of the price for the aforesaid six months and for rest of the period, the Board was to determine the price of its own. This was to be done by the Board after six months from commencement of the operation by the NPCL and upto the year 1998 whereafter the Commission was the; authority competent to fix the tariff, it having been constituted in the year 1998. On constitution of the Commission, the UPPCL stood divested of such determination of tariff.

77. Placing reliance upon Section 47 and 48 of the Act of 1948, it is being pressed that the agreement in question being still in force, the Board was free to make alternative arrangement with the licensee and it having been mutually agreed between the parties as to in



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what manner the final determination of price would be done, it is not open for the petitioners to take a somersault and insist for adopting a principle which obviously stands excluded in the agreement.

78. Section 47 and 48 of the Act which deals with power of the Board to make alter native arrangement with the licensee and the power of the licensee to carry out arrangement under the Act are being reproduced below:

“47. Power to Board to make alternative arrangements with the licensees. — Notwithstanding anything contained in Sections 34 to 37 and sub-section (2) of Section 46 but subject to any regulations made in this behalf, the Board may make such arrangements as may be mutually agreed with any licensee whose area of supply is situate within an area for which a scheme is in force, in regard to the purchase or sale of electricity and the price thereof, or the purchase, operation or control of any generating station or main transmission line:

Provided that in making any such arrangement the Board shall not show undue preference to any licensee.

48. Power to licensee to carry out arrangements under this Act. —

Where under any provision of this Act the Board is authorized or required to enter into arrangements with any licensee for any purpose then notwithstanding anything contained in any law or in any license memorandum of association or other instrument regulating the constitution or powers of the licensee, it shall be lawful for the licensee to enter into and carry out any such arrangements.”

79. Section 47 which starts with a non obstante clause and has an overriding effect over the provisions of Sections 34 to 37 and subsection (2) of Section 46 and is subject to any regulation made in this behalf, permits the Board to make an arrangement on mutual agreement with any licensee whose area of supply is situate within an area for which a scheme is in force, in regard to the purchase or sale of electricity and the price thereof.

80. The aforesaid provision would allow making of an alternative arrangement by the Board with the licensee on the existence of the following conditions.

- (i) it should be mutually agreed arrangement between the Board and the licensee;
- (ii) the area of supply of the licensee has to be situated within an area in which a scheme is in force; and
- (iii) such an agreement would be or can be in regard to the purchase or sale of electricity and the price thereof
 or
 the purchase, operation or control of any generating station or main transmission line.

81. The section not only has the overriding effect over the provisions of Section 34, 35, 36 and 37 which relate to the supply by the Board to the generating stations and the power of the Board to close down the generating stations and also over sub-section (2) of Section 46 which makes the Grid Tariff applicable to sale of electricity by the licensee in terms of the aforesaid provision but also expressly prescribes the condition under which such arrangement can be made i.e. it should be mutually agreed arrangement between the Board and the licensee in respect of an area of supply which is situate within an area in which the scheme is in force, namely, the scheme under Section 28 of the Act and also the purpose/object for which such an arrangement can be made; namely, for the purchase and sale of electricity and the price thereof or the purchase, operation and control of any generating station or main transmission line.

82. In case there is no mutually agreed arrangement in respect of a particular issue or the purpose for which the agreement can be entered into, it would not be appropriate for the parties to presume otherwise.

83. Section 48 obligates the licensee to carry out the arrangement under the Act, which provision gives again an overriding effect to such an arrangement, despite anything contained in any law or in any licence, memorandum of association or other instrument regulating the constitution or powers of the licensee. The arrangement gives lawful authority to the licensee to enter into and carry out any such arrangement.

84. It is no more in dispute that there exists a scheme under section 28 which is still in force



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and that a mutually agreed arrangement have been entered into between the Board and the NPCL. There also cannot be any exception with respect to the applicability of the provisions of section 48 and consequently legal obligation of the licensee to carry out the terms of such arrangement (agreement dated 15.11.1993).

85. A close reading of the agreement would reveal that unquestionably it is a mutual agreement for the supply of electricity by the NPCL to its consumers in the area under the scheme after purchasing the same from the Board. The terms and conditions under which such purchase would be made or, in other words, the supply would be made by the Board to the Company have also been mutually agreed upon, but for the firm price or the rate of tariff on which such sale was to be made by the Board to the Company.

86. The other binding and mutually agreed upon terms have been specifically detailed in the agreement including the transfer of assets of the Board to the Company under Clause 21, the value thereof being assessed at Rs. 10.10 crores, the manner of repayment of loan at the given rate of interest in instalments and also the rate on which the Company would supply electricity to its consumers under Clause 23. There are other terms and conditions besides the aforementioned conditions, which also find incorporation in the agreement with mutual consent and agreement.

87. The agreement also says that a price has to be paid by the Company to the Board for the purchase of electricity but this price could not be firmly fixed in the agreement which resulted into putting a tentative rate: which was to be studied and revised after six months. The aforesaid rate of Rs. 1.66 per unit for the purchase of electricity was obviously not a rate which could be said to have been fixed on consideration of all necessary and relevant factors, as it is the admitted case of both the parties that the relevant data was not available for

making any positive and final fixation of the rate of tariff. The Board itself admitted in its letter dated 18.8.2000 and 5.9.2000 before the Regulatory commission that 'it is almost impossible to collect any information about the area transferred to NPCL for the financial years prior to the date of handing over'.

88. The argument of the learned counsel for the respondents that the agreement in question was a special package deal and, therefore, neither the parties nor the court would have the liberty to deduce such terms and conditions which do not find mention in the agreement, as it would lead to carving out a new contract or the novation of a contract, besides, the contract duly entered cannot be tinkered on the ground of equity and reasonableness or fairness has to be decided in the light of the aforesaid provisions, as detailed, and also by scrutinizing as to whether there was any fixed price mutually agreed upon and if not, the criteria which should be reasonably adopted for achieving the object for which the agreement was entered into.

89. Great emphasis has been laid upon the deterrent condition contained in Clause 7. d., wherein it has been provided that in case the Company fails to have its own generation within a maximum period of the agreement i.e. 4 ½ years, the Company shall have to pay double the price so fixed, namely, whatever the price had been fixed at that time by the Board, the Company would have to pay double the said price, to buttress his submission that this clause makes it abundantly clear that the Company was not entitled to any profits or reasonable return but it was only with a view to give the Company a reasonable period, which could be termed as 'gestation period' for having its own generation and till such time the Board had undertaken to supply power to the Company.

90. The special nature of the agreement is also being emphasized by asserting that the agreement did extend various facilities to the Company in the matter of supply of electricity to its consumers, namely, transfer of assets of the Board for the purpose of transmission and distribution and repayment of the amount treating it to be a loan in different instalments at the given rate of interest. The argument, therefore, is that the agreement being special package deal for the period interregnum, if the Company was still not in a position



to generate its own power, there was no occasion for providing any profits or reasonable return, as the Co-promoter, namely, the CESC, was a Company which was dealing in supply of power in Calcutta and was having a vast experience, ought to have known the effect of such

an agreement. Further the intention of the agreement is not to supply power in perpetuity to the Company for further distribution to its own consumers but restricts it for the period of 4 years during which period the Company was obliged to have its own generating units and for that purpose even if the Company had to suffer some losses that would not defeat the arrangement nor make it invalid nor the Company would be entitled to claim any reasonable return on the ground of equity and reasonableness.

91. The agreement in effect and in essence was entered into with a view to minimize the burden of the Board initially in the matter of distribution of electricity to the consumers of Greater Noida area with the specific stipulation that within the maximum span of 4 ½ years the Company would start its own generating plant and on establishing its own generating plant, it would supply electricity to the area of the Board apart from supplying it to the Greater Noida area. Had this arrangement effectively and properly been implemented, the generation and supply of electricity might have improved in other parts of the State of U.P. also but despite the most laudable object for which such arrangement was envisaged, for reasons attributable either to the Company or to the Board, the generating plant could not be set up by the Company and till date electricity is being supplied by the UPPCL to the NPCL for being supplied thereafter to its consumers.

92. This arrangement of power supply was thus an arrangement which was made with the consent of the parties, for boosting the power generation in the State of U.P. and consequently electricity supply to its consumers and it was in this background that the joint venture Company was allowed to undertake the supply of electricity to its consumers. The agreement which was initially for a maximum period of 4 ½ years has been extended from time to time by the Board and is still in force. Thus, by the conduct of the Board itself it cannot be said that the Board was not willing to supply electricity after the period of 4 ½ years merely because in terms of Clause 7. d. of the agreement, after expiry of 4 ½ years period, the Company was to pay or the Board was entitled to receive double the price of the price fixed, it cannot be presumed that the tentative rate of Rs. 1.66 per unit was final or mutually agreed rate or that the principle of reasonable return stands excluded from its applicability altogether. It may be placed on record that the Board itself during the extended term of the contract, has decided to 'bill' the company at the usual rates and not at the double the rates.

93. The aforesaid condition, which is apparently a penal condition, appears to have been incorporated with a view to compel the Company to have its own generating plant within the agreement period and that

is why such a heavy price of electricity supply was fixed but such a condition would not mean that while determining the firm price for the period of six months for which the tentative price of power purchase was fixed would not allow the Company to claim reasonable return. It is a different matter that the mutually agreed arrangement would remain in force with respect to all such stipulations and conditions which stood finally determined but one cannot lose sight of the fact that the power purchase price having not been firmly arrived at nor having been firmly fixed, cannot be taken to be a mutually agreed price under the said arrangement. The mutual arrangement is for the supply of electricity to the NPCL by the Board and supply of electricity to its consumes by the NPCL and other terms and conditions, the determination of price having been left open in terms of Clause 7. b. of the agreement, requires to be determined in a just, fair and reasonable manner.

94. Attaching great importance to the special features of the agreement, as aforesaid, reliance has been placed upon the case of *Kardha & Co. Ltd. v. Ramon & Co.*, AIR 1962 SC 1810 in support of the contention that in the matter of consideration of a document, it had to be construed as a whole and that the



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terms of contract can also be implied or express in the contract has to be reasonably interpreted after taking into consideration such factors as can be taken into account for which the surrounding circumstances can also be looked into.

95. Quoting from '*The Interpretation Of Contracts*' Second Edition by Kim Lewison, Q.C., it has been urged that the intention of the parties in respect of a contract can be ascertained from the antecedent agreement. Even if, logically, it is not permitted to take account of it in construing the later instrument, it is unlikely that the court will remain wholly uninfluenced by it.

96. From *Leggott v. Barrett* (1880) 15 Ch.D. 306, it has also been urged that where the contract is recited in the deed (as many are) then it is permissible to look at the contract for the purpose of construing the deed, although not for the purpose of enlarging, diminishing or modifying its terms.

97. Reliance has also been placed upon the case *Prenn v. Simmonds* (1971) 1 W.L.R. 1381 and *Reardon Smith Line Ltd. v. Hansen Tangen* (1976) 1 W.L.R. 8989 to buttress his submission that the English Courts do not adopt a narrowly restrictive approach to a preliminary agreement in the light of the decisions of the House of Lords in the

aforesaid cases.

98. In the case of *Prenn v. Simmonds*, the rationale of excluding negotiations was that no consensus had then been reached. This objection is not open in the case of reference to an antecedent agreement. In the latter case it was said that the court should be placed in thought in the same factual matrix as that in which the parties were when they made their agreement. If they had already reached an agreement, that would have been one objective fact, which would have been known to both of them, and ought therefore, to be admissible in evidence.

99. In the case of *Ladbroke Group plc v. Bristol City Council*, (1988) 1 E.G.L.R. 126 a lease was granted pursuant to an agreement for lease which annexed the agreed form of draft. The lease as executed gave rise to a difficulty of construction, and in order to resolve it the court looked at the draft lease annexed to the agreement.

100. Further reliance has been placed upon the following cases:

1. *Pilibhit Electric Supply Co. (P) Ltd. v. Special Officer (Electricity)*, (1996) 11 SCC 288;
2. *Poona Electric Supply Co. Ltd. v. Commission of Income Tax*, (1965) 3 SCR 818 : (AIR 1966 SC 30);
3. *Orissa State Electricity Board v. Indian Aluminium Co. Ltd.* (1975) 2 SCC 431;
4. *Indian Aluminium Company Ltd. v. Kerala State Electricity Board*, (1975) 2 SCC 414 : (AIR 1975 SC 1967); and
5. *New Bihar Biri Leaves Co. v. State of Bihar*, (1981) 1 SCC 537 : (AIR 1981 SC 679)

101. In the case of *Pilibhit Electric Supply Co. (P) Ltd.* (Supra) the Supreme Court considered the provisions of Sixth Schedule as against the provisions of section 7-A of the Act. Section 7-A is regarding the determination of the amount of compensation where an undertaking of a licensee has been purchased by the State Electricity Board in consequence of revocation of his licence under sub-section (2) of Section 4 or is sold under sub-section (1) of Section 5 or is purchased under Section 6 or acquired under Section 6-A. Section 7-A (2) is a mechanism for computing the amount of compensation payable to a licensee. In this case the apex court held as under:

“That the concept of reasonable return is defined in sub-para (9) of Paragraph XVII of Sixth Schedule. It encompassed in respect of any year of account, the sum of the amounts mentioned in clauses (a) to (e) thereof. For finding out whether clear profit in a given accounting year exceeded reasonable return as laid down in Paragraph I of Sixth Schedule reasonable return had to be calculated for the year. For determining reasonable return capital base has to

be ascertained-as required by clause XVII(9)(a). For finding out the capital base, original cost of fixed assets was required to be computed as per clause XVII (I)(a) and for that purpose original cost was to be ascertained as per clauses XVII(6)(a) and (c). Thus



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definition of original cost of fixed assets for the purpose of paragraph I of Sixth Schedule had an entirely different purpose to achieve and had nothing to do with Explanation (ii) to Section 7-A (2) of the Act.”

102. The Court upheld the contention that concept of capitalization of the cost of supervision for computing the original cost of the asset for the purpose of paragraph I of the Sixth Schedule had nothing to do with the cost of supervision actually incurred which had to be considered as an addition to the book value of the acquired fixed assets for computing compensation under Section 7-A(2).

103. It was further held that the provisions of Sixth Schedule to the Supply Act are general provisions which were enacted to lay down guidelines for fixation of the licensee's charges to consumers as provided in section 57 of the Supply Act and also for supplying guidelines to the Rating Committee under section 57-A and for that purpose various paragraphs of the Sixth Schedule have been enacted and are made a part and parcel of the terms and conditions of the licence. But so far as the question of compensation is concerned, Section 7-A of the Act represents a complete circle.

104. Thus in the matter of computing the compensation, the applicability of Sixth Schedule with respect to the cost of supervision was not held to be applicable, as it was the supervision cost actually incurred for computing the compensation under section 7-A (2). Specific provision was thus given, namely, section 7-A (2) for computing the compensation and; therefore, the general provisions of Sixth Schedule in regard to the said calculation of compensation was not found applicable, section 7-A(2) being a complete code having been enacted for the purpose.

105. The power purchase price in the present context or the manner in which it can be determined has not been specifically provided under any of the provisions of the Act and, therefore, either they have to be determined on the basis of the mutually agreed methodology, if any, or by adopting some reasonable methodology, if no final price has been determined in the agreement. In the absence of either of the two, and more particularly when no agreed methodology or agreed rate of power purchase is mentioned in the agreement, the provisions of Sixth

Schedule by their reverse application may be a method which could be adopted for the purpose.

106. In the case of *Poona Electric Supply Co. Ltd. v. Commissioner of Income Tax* (supra), the question arose for determination re garding the deductions claimed for the pur pose of income-tax. The Court observed as under:

‘The object of the Act and that of the Sixth Schedule thereto, as aforesaid, is to statutorily rationalize and regulate the rates chargeable for the energy supplied in the interest of the public and for electrical development. The rules embodied in the Sixth Schedule to the Act are intended only to achieve that object. Under the said rules certain appropriations and certain deductions have to be made to arrive at the clear profit; otherwise the items may be manipulated to sustain a demand for abnormal rates. The rules have no concern with the income-tax; though for the purpose of arriving at the clear profit the taxes paid are also deductible.’

107. In the case of *Orissa State Electricity Board v. Indian Aluminium Co. Ltd.* (Supra), the apex court held that neither section 49 nor section 59 would confer any power upon the Board to override a contractual stipulation as to rates and to enhance the rates in derogation of such contractual stipulation, even if it finds that the rates stipulated in the contract are not sufficient to meet the cost of production and supply of electricity and it is incurring operational loss. The Board must be held bound by the stipulation as to rates contained in the two contract solemnly entered into by the State of Orissa with M/S Indian Aluminium Co. Ltd.

108. For applying the dictum of the aforesaid judgment, it is necessary to see that there did exist a contractual stipulation mutually agreed in the arrangement made by virtue of the agreement dated 15.11.1993 regarding the power purchase price or the mechanism in which it has to be calculated. No such stipulation finds place in the agreement.



109. Almost similar view was taken in the case of *Indian Aluminium Company v. Kerala State Electricity Board* (Supra) wherein the apex court held that the Board could not enhance the charges in breach of the stipulation made in the agreement and the power to fix uniform tariffs under sub-section (1) of Section 49 could not be exercised in derogation of the stipulations fixing special tariffs made under sub-

section (3) of Section 49.

110. The Court further observed that the direction to the Board under section 59 is qualified by 'as far as practicable'. So Section 59 does not give a charter to the Board to enhance its charges in breach of a contractual stipulation,

111. Placing reliance upon the aforesaid case, it has been urged that the Sixth Schedule would not be applicable nor any other methodology can be allowed to be adopted in view of the stipulation made in the agreement between the petitioner and the respondent even if the Company has to suffer losses. But in the absence of any such agreed rate of power purchase price or the accepted methodology being incorporated in the agreement, the principle laid down therein-would not be applicable in the instant case,

112. In *New Bihar Biri Leaves Co. v. State of Bihar*, "the Supreme Court propounded that it is a fundamental principle of general application that if a person of his own accord, accepts a contract on certain terms and works out the contract, he cannot be allowed to adhere to and abide by some of the terms of the contract which proved advantageous to him and repudiate the other terms of the same contract which might be disadvantageous to him. The maxim is *qui approbation reprobat*, (one who approbates cannot reprobate). This principle though originally borrowed from Scots Law, is not firmly embodied in English Common Law. According to it, a party to an instrument or transaction cannot take advantage of rone part of a document or transaction and reject the rest. That is to say, no party can accept and reject the same instrument or transaction.

113. The doctrine of *qui approbat non reprobat* would only apply in case a firm price had been fixed in the agreement or a firm methodology had been agreed upon and which expressly debars the Company from, having even the least profit, but in the absence of the two, this principle would not be attracted in the matter of determination of power purchase price in the instant case.

114. On the maxim *qui approbation reprobat*, the following cases have also been cited.

1. *R.N. Gosain v. Yashpal Dhir*, (1992) 4 SCC 683 : (AIR 1993 SC 352)
2. *P.R. Deshpande v. Maruti Balaram Haibatti*, (1998) 6 SCC 507 : (AIR 1998 SC 2979)

wherein the Court has held that the doctrine of election is based on the rule of estoppel - the principle that one cannot approbate and reprobate inheres in it. The doctrine of estoppel by election is one of the species of estoppel in pais (or equitable estoppel) which is a rule in equity. By that rule, a person may be precluded by his actions

or conduct or silence when it is his duty to speak, from asserting a right which he otherwise would have had.

115. Learned counsel also cited the case of *Nagubai Ammal v. B. Shama Rao*, 1956 SCR 451 : (AIR 1956 SC 593) (see also *C. Beepathumma v. V.S. Kadambolithaya* - (1964) 5 SCR 835 : (AIR 1965 SC 241) and *Commissioner of Income Tax v. M.R.P. Firm. Muar*) for re-enforcing the argument that the petitioner cannot approbate and reprobate.

116. For urging that the concluding-contract binding between the parties, cannot through writ petitions, be permitted to wriggle out of the contractual obligations, learned counsel also cited the case of *Har Shanker v. Dy. Excise and Taxation Commissioner*, (1975) 1 SCC 737 : (AIR 1975 SC 1121) where the petitions were filed by liquor contractors and hoteliers, who were given licence for retail sale of country liquor and foreign liquor in pursuance of their highest bid but later on they fell into arrears, as they were not in a position to meet their obligations under the conditions of the auction. They filed writ petitions to stall the consequential action by the State challenging



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the validity of the contract and the terms thereof. Dismissing the appeals preferred by the licensees, the apex court observed that since rights in regard to intoxicants belong to the State, it is open to the Government to part with those rights for a consideration. By Article 298 of the Constitution, the executive power of the State extends to the carrying on of any trade or business and to the making of contracts for any purpose and that the appellants having offered their bid in the auctions did so with full knowledge of the terms and conditions attaching to the auctions and they cannot by their writ petitions, be permitted to wriggle out of the contractual obligations arising out of the acceptance of their bids.

117. Similar view was expressed by the apex court in the case of *State Bank of Haryana v. Jage Ram* (1980) 3 SCC 599 in respect of the default committed by the licensees, who were given the licence for sale of liquor and also in the case of *Assistant Excise Commissioner v. Issac Peter*, (1994) 4 SCC 104 : (1994 AIR SCW 2616).

118. Relying upon the observations made by the apex court in the case of *Raymonds Ltd. v. M.P. State Electricity Board*, (2001) 1 SCC 534 : (AIR 2001 SC 238), namely, “tinkering with portions of contract for any such reason, merely on consideration of equity or reasonableness pleaded for vis-a-vis one party alone will amount to

mutilation of the whole scheme underlying the contract and render thereby the very generation and supply of Electrical energy economically unviable for the Board", it has been submitted by Sri Rakesh Dwivedi that reading of reasonable return in the aforesaid agreement would be wholly unjust, as this will mean tinkering with a portion of the contract merely on the basis of equity and reasonableness whereas the Company has no fundamental right to have reasonable return while doing the business in public sector and it is well accepted that in the areas of heavy capital investments, the entrepreneurs are even prepared to suffer losses with a view to ultimately gain advance and profits. The Company, in the instant case, under the agreement are getting a prime industrial area and even an established distribution infrastructure with no burden of immediate payment for assets and in these circumstances, to import the concept of reasonable return in such a contract would result in its mutilation.

119. In *Raymonds Ltd. (Supra)* the apex court was considering the challenge to the minimum guarantee charges under the Tariff Scheme whereas in the instant case there is no mutually agreed price of power purchase fixed in the agreement nor there is any agreed methodology for determination of such power purchase price incorporated in the agreement. It is only by inference or so to say by surrounding circumstances, it is being urged by the respondents that the revision of tariff has to be done by adopting the same methodology by which the tentative price was arrived at. As already discussed above, the Company at no point of time agreed to the tentative determination of Rs. 1.66 per unit, though at times it deliberated on the issue but finally it did bring to the notice of the State Government that the price of Rs. 1.70 per unit would make it available only 22 paise for the purpose of establishment costs whereas the said costs is 38 paise. Even thereafter the price of Rs. 1.66 was fixed as tentative price. The very tentative fixation of price with provision to study and revise, if necessary, after a period of six months presumes and establishes that the Government of U.R. or the Board were not in a position to fix any firm price at the time of entering into the agreement. In case the aforesaid rate of tariff was to be studied and revised, the question arises that what criteria had to be adopted while studying and revising the tariff. The phraseology of 'studied and revised' necessarily leads to the exclusion of reasonable return, cannot be Accepted. If a price has to be studied and revised, it would mean that while doing so, all relevant factors and considerations which are necessary for determination of price have to be studied which, of course would include the total expenditure and total income of the Company including the transmission losses and other expenses, may be the salary of the employees and also other heads and thus the total cost of supply



alongwith reasonable return so that the Company may survive has to be taken into consideration and accordingly its revision has to be done.

120. In the case in hand, pre-contract deliberations and correspondence show that NPCL, in fact, never agreed. to the price of Rs. 1.66 per unit and that when the tentative price of Rs. 1.70 was suggested, it brought to the notice of the Committee that it would not meet even the establishment charges for which 38 paisa per unit was required as against 22 paisa per unit, which could be received on the said rate. The Government without any further negotiation fixed the tentative rate of Rs. 1.66 per unit. It, therefore, cannot be said that it was an agreed rate or a consensus was arrived at between the parties but it appears that with a view to implement the desired policy of the State Government of introducing the private sector in the power sector, the NPCL agreed for the said price which was reduced into writing. The aforesaid price was thus unilaterally fixed, as suggested by the learned counsel for the petitioner, and since it was not a firm price, the company appears to have agreed for the. said tentative price subject to the same being studied and revised after six months. This itself establishes that there was no final price fixed, and, therefore, there could not have been any occasion for mutually agreeing to such a price, so as to make it binding under Section 47 or 48 of the Act. The pre-contract deliberations, in effect, even does not disclose that any firm methodology was adopted or adhered to, as several proposals were made for determining the rates of supply, and thereafter tentative rates were fixed.

121. After accepting that the Sixth Schedule may not be applicable in its literal form, the fact still remains] that whether a Company which, engages itself, as a commercial establishment and transacts business can be allowed to run in losses deliberately and consciously, though as per the case of the UPPCL, it may not have a legal or otherwise any. right of having any profit in such business transaction.

122. It is universally accepted principle of any business transaction that there cannot be any deliberate or mutually agreed arrangement so as to put the business organization to losses. Whenever a commercial entity makes an investment it is necessary for such entity to atleast get reasonable profits or returns against the capital employed by the promoters or borrowed from the Banks/financial institutions etc. The borrower is required to pay interest to the banks/financial institutions. Thus, it is impossible to comprehend that any commercial organization would enter into a commercial arrangement which does not offer the

organization any scope for even a reasonable return on the investments made by it.

123. In the case in hand, the Company was not allowed to fix their own consumer tariff and, therefore, for having one of the ways in which the Company can earn a reasonable return was to fix the rate of power purchase in such a manner so that the reasonable return was ensured, and at the same time the Board does not suffer any loss on supply of electricity to the company. The theory of 'reasonable return' or the principle thereof, as envisaged in Sixth Schedule, is only with a view to strike a balance between the costs of electricity supplied to the consumer and the price that they pay. It only says that the profit should only be to the extent of reasonable return meaning thereby that such profit should not be excessive so as to increase the costs of electricity otherwise to be supplied to the consumers. According to the NPCL, it had, during all discussions aforesaid, laid its claim for 'reasonable return' also as well as reasonable expenses. The pre-contract deliberations also support the claim of reasonable return as it was suggested that the company will earn profits by reducing the system loss. Thus it would be justified to hold that for the survival of the Company, it would be entitled to reasonable return, otherwise the Company would not be in a position to survive even for 4 ½ years and the whole arrangement will result in total failure.

124. Before proceeding to discuss as to whether the principle of Sixth Schedule can be applied by their reverse application, it would be worthwhile to appreciate the methodology of 'through rate' as propagated by the



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respondents The through rate normally would mean the total earnings from the sale of electricity divided by number of units sold to consumers. Since the tariff paid by different class of consumers are different, the total realisation made by the total number of units supplied to the consumers is regarded as through rate. In short, the power purchase price on through rate basis would be the total earnings divided by the total number of units supplied to the consumers less reasonable expenses including reasonable return, less transmission and distribution losses.

125. The financial principle of the Sixth Schedule in effect is more precise and well defined and well accepted commercial principle in this regard. In the absence of any agreed methodology between the parties either before or at the time of entering into the agreement, coupled

with the fact that admittedly before the parties entered into the agreement, the price of power purchase could not be fixed for want of necessary information and, therefore, a tentative price was fixed subject to the same being approved by the Expert Casting Committee, which Committee did not give its report or approval till date and there being no exclusion clause in the agreement regarding the earning of reasonable return by the Company, the most appropriate and reasonable methodology which could be adopted for determining the power purchase price would be to follow the principle of Sixth Schedule in its reverse application, as has been done by the Board in the matter of fixing the price of power purchase by KESCO, wherein also the provisions of Section 57 and 57-A could not be said to be applicable in their apparent form.

126. The first four reports, namely, Nair Committee, Joseph Committee and two earlier Committees of Mr. Beg, with the consent of both the parties, did record that the rate of tariff may be determined by applying the principle of Sixth Schedule. It was only in the Third Beg Committee Report that a different and opposite view was expressed by the Board which resulted in exclusion of the applicability of the aforesaid provision. Mr. Beg in his Third Report calculated the power purchase price by taking the total income for the period 1st January, 1994 to 30th April, 1994 and thereafter took into account the balance which might have been available to meet the energy cost and the energy consumed, reasonable energy loss in the system at the rate of 6% and the assessed energy purchase and derived the cost of energy per unit at Rs. 1.63.

127. The Commission has rightly observed that the price calculated by Beg in his Third Report does not take into account its loan of Rs. 10.10 crores. As recommended and agreed by the Government and the two parties, this will be settled separately. Similarly, the question of interest payable by the Company and not paid will have to be dealt with separately and accordingly the Authority has neither considered the loan as expenditure nor has considered the interest payable but not paid in interest as income for the purpose of calculating the price of power purchase.

128. Beg in his Third Report apart from committing the aforesaid illegality, as observed by the Commission in its report, has also relied upon certain documents, which were never given to the Company, and that he refused to allow any return so to say of 'reasonable return' on the ground that the Company would not be entitled to such a return even though it may have to go in losses, as the period of 4 ½ years would be treated as gestation period for the purpose of establishment of generating plant. In our opinion, the terms of the agreement or the pre-contract deliberations/negotiations and the alleged methodology

adopted either or through rate or otherwise nowhere prohibits that the Company would not earn any profits. The main concern there was to see that the Board does not suffer any loss because of the supply and the expenses of the Company also has to be borne in mind while determining the tariff. There was no exclusion clause nor there was any condition in the agreement, which prohibits the Company from having reasonable return. Unless the contract specifically excludes any profit or reasonable return by whatever name it is called, the plea of the Company that for its survival, the reasonable return is necessary, cannot be thrown out merely



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on the ground that the agreement does not contemplate about any such reasonable return. It is a different matter that for calculating the aforesaid amount it may have to be seen that which methodology has to be adopted and what principle has to be followed.

129. The Beg in his Third Report thus discarded the basis/methodology of all the earlier reports and consequently the financial principle of Sixth Schedule and apparently incorrectly held that the method of calculation was mutually agreed to between the parties prior to the signing of the agreement. The other discrepancy which have been pointed out by the petitioner in the aforesaid Report is regarding the depreciation of 1993-94 which was allowed in the earlier report but has been disallowed in the Third Report. The system loss taken in calculations has been irrationally assumed to be 6% without any basis, though in the past the Board itself had indicated the system loss to be 8% in the original calculations. Revenue expenses for January - March, 1994 have been reduced arbitrarily to 50% of the audited figures and the income for January - March, 1994 has been inflated by disallowing abatements given to consumers and including income of disconnected consumers not accruing to the Company. The income for April * June, 1994 has been revised upwards, thereby violating the terms of reference. Even in this report, it has been observed that the Company could have earned reasonable profit by reducing the system loss i.e. below 6% assumed in the report. The aforesaid observation makes it clear that Beg in his Third Report also was conscious that there has to be reasonable return and, therefore, though he suggested a way in which such a profit could be earned, refused to apply the principles of Sixth Schedule. In the Beg Second Report, where a price of Rs. 1.41 per unit was suggested by him, he had observed that "issues and principles such as reasonable return etc. and method of cal

ulation as decided/determined and adopted by me during the earlier exercise for fixing power purchase price during 1996 and 1997 are acceptable and need not be reviewed.”

130. This shows that the Company's claim that it was to be protected by giving reason able return was well in the mind of the Independent Authorities and the Board also agreed to the application of the principles of Sixth Schedule for the purpose of determination of the power purchase price but for in the Third Report.

131. Treating the agreement in question as a special arrangement within the meaning of section 47 and 48 and adopting the methodology as suggested by the UPPCL, it has to be considered that the determination so made of the rate of tariff does not result and adversely affect the Company merely because the applicability of Sixth Schedule was not specifically mentioned in the agreement. Clause (2) of the agreement, which has been quoted earlier, itself says about the applicability of the Indian Electricity Act, 1910 and Electricity (Supply) Act, 1948.

132. In view of the agreement between the parties before the Independent Authorities at four times coupled with the provisions of Clause (2) of the agreement and the principle of having 'reasonable return' in a business venture and commercial organization, it can be held that the rate of tariff has to be determined in the manner which protects the Board from incurring any loss and rather gives it at least minimum statutory profit of 3%, as is envisaged in section 59 of the Act and may be more but at the same time it does not make the Company into losses.

133. The respondents have throughout been saying that they are entitled to 3% statutory profit under Section 59 of the Act, which fact also stands verified in the suggestion of price fixation, under different proposals in precontract deliberations and as it reflects in the note of Member (Distribution).

134. The reasons for not being able to establish generation plant of its own, the Company submits that it was because of the non cooperation of the Board in not entering into the power purchase agreement as per the agreement, that such a plant could not be established. Reason may be any, but the fact remains that the generating plant has not been established till date. On a query being put to the learned counsel for the Company, as to within what period they can install the generating plant, it was replied by Sri Shanti Bhushan that now the Company has already made arrangement of land and that they would start establishment of plant even without waiting for any power purchase agreement being executed by the UPPCL and that in all expectations, the work would be completed within



a span of three/four years.

135. Since the learned counsel for the respondents had argued that the very object of allowing the Company to make supply of power to its consumers under the terms of the agreement would stand defeated in case a reasonable return is provided to the Company and they are allowed to continue with the agreement, which would give them liberty of not installing the generating plant at all and derive full advantage and profit from the electricity generated and supplied by the UPPCL, we called the learned counsel for the Company to clarify the aforesaid situation by making the query aforesaid. However, this apprehension of the respondents would again in itself alone be not sufficient to hold that the company is not entitled to reasonable return.

136. In case a reasonable return is to be given to the Company while determining the rate for purchase of power with the specified conditions of the agreement including one of supplying power to its own consumers on the same rate on which the UPPCL supplies power to its own consumers, and that the Board should not suffer any loss, the financial principle as given in Sixth Schedule, if applied by reverse application, do not call for any serious objection.

137. The Nair Committee, in its report dated 28.2.1995 has made the following observations:

“Licensees (other than Local Authorities) are governed by the provisions of the Sixth Schedule to the E. (S)) Act, which contains detailed stipulations regarding permissible items of expenditure. Having regard to the procedure adopted in fixing the cost per unit in the instant case, the Committee does not feel the need for changes; except to the minimum extent necessary to avoid a violation of the statute. Following comments are made on this basis:

‘Equity’: Return on equity at the ‘Standard Rate’ as defined in the E. (S). Act (Sixth Schedule) is an entitlement of the licensee. Omission to provide the same in the cost estimate is inexplicable.”

138. The Beg Committee First Report dated 7.3.1997 applied the Sixth Schedule with the agreement of the parties, as is reflected from paras 6 and 7 of the report. Para 6 of the report reads as under:

“6. The fifth and final hearing in the case was held on 14.10.1996. In this meeting both the parties agreed that the tariff will be calculated on the basis of date for the period January, 1994 to June, 1994 and calculation for fixation of tariff will be done as per Schedule VI of the Electricity (Supply) Act, 1948.”

139. The Joseph Committee in its report dated 8.1.1998 did not

alter the application of the financial principles of the Sixth Schedule (as was applied in the Beg Report dated 7.3.1997) and only modified the computational errors of the Beg Report dated 7.3.1997. The Principles of the Sixth Schedule were thus also accepted in the Joseph Report.

140. The Beg Committee Second in his report dated 19.3.1999 again applied the principles of Sixth Schedule, as is evident by the following observations:

“I understand that amongst various issues that needs to be addressed and settled to calculate the power purchase price under the agreement, only two issues are referred to me, i.e. income and expenditure of M/SNPCL for the period 1.4.94 to 30.6.94 were to be reviewed by me and that all other issues and principles such as income and expenditure from 1.1.1994 to 31.3.1994, Capital base, depreciation, working capital, reasonable return etc. and method of calculation etc. as decided/determined and adopted by me during the earlier exercise for fixing the power purchase price during 96-97, are acceptable and need not be reviewed.”

It was further observed as under:

“In arriving at the above figure, I have applied the same principle and taken the same values of all other elements that go in determining the power purchase rate as worked out during the earlier exercise carried during 1996 and 1997, except the income and expenditure of M/S NPCL for the period 1.4.94 to 30.6.94 which are as worked out during the present exercise.”

141. It is the admitted case of both the parties that for determining the power purchase price, the Board itself had applied the provisions of Sixth Schedule by reverse application in the case of KESCO. It is thus acknowledged and decided mechanism on the basis of which the power purchase price can be determined and has been determined even though the provisions of Section 57 and 57-A may not be applicable otherwise. The reason for not giving the aforesaid benefit to the



NPCL is only regarding the nature of the agreement between the NPCL and the Board as against the nature of the agreement between the Board and the KESCO but the fact remains that the power purchase price has been determined by reverse application of the provisions of Sixth Schedule. Though the term of the agreement was for a period of 4 ½ years but the same has been extended from time to time and is still in force, and during all the periods the normal rates are being charged by the Board/UPPCL and not the penal rates.

142. The vehemence about the non-applicability of Sixth Schedule is mainly because it has the provision of 'reasonable return'.

143. On having arrived at the conclusion that the NPCL is entitled to reasonable return, there cannot be any dispute that such tariff may be determined by applying the principles of Sixth Schedule by reverse application and that would be one of the most appropriate, accurate and secured method of determining the rate of power purchase.

144. Serious objections have been raised against the interim order passed by this court whereby reference has been made to the Commission by the Court. It has been strenuously urged that the dispute in question was not cognizable or referable to the Commission, as the Commission does not have jurisdiction to decide any dispute which has arisen prior to the enforcement of the Act of 1998 and that the Beg Report unless set aside, it cannot be said that there was any dispute which could have been referred. Further, the Commission has relied upon the Sixth Schedule, which was not applicable and that it has also gone astray in holding that there was no mutual arrangement within the meaning of section 47 of the Act and that had also recorded a factually incorrect finding that there was no scheme and the agreement has broken down.

145. It is admitted to the learned counsel for the petitioner also that the view expressed by the Commission that the agreement has broken down is erroneous and that there was no scheme in existence, is an incorrect observation but he says that even assuming that the aforesaid two observations are not factually correct, that would not affect the determination made by the Commission.

146. We also feel that despite the aforesaid two mistaken observations, neither the order passed by the Commission nor its jurisdiction would be affected in any manner. Assuming that the Scheme is in force and agreement is an arrangement under Section 47 of the Act, still in view of our findings that there was no mutually agreed power purchase price nor any agreed methodology for determination of final price in the aforesaid agreement, the findings of the Commission had to be tested on their own merits.

147. Regarding the jurisdiction of the Commission to fix the rate of tariff, both for the initial period of six months and also for subsequent periods upto 1999-2000, it may be taken note of that both the parties agreed that in terms of section 10(a) of the Uttar Pradesh Electricity Reforms Act, 1999 from the date of the Constitution of the Commission i.e. 25th April, 1998, it would be only the Regulatory Commission, who would be competent to determine the tariff, which of course, means that despite the enforceability and continuance of the agreement protected under Section 47, the right to determine the tariff for

purchase of electricity from the Board, will be determined by the Commission, irrespective of the terms of Clause 7(a) of the agreement. The question, therefore, arises that if the Commission can fix the rate of power purchase in the teeth of clause 7(a) of the agreement, after it came into being then why it cannot determine' the rate for the period of mx months and for subsequent period, if it has the jurisdiction to do so.

148. The parties not being able to reconcile with one or the other report, brought the issue before the High Court by means of the present writ petition. Placing reliance on section 10(q) of the U.P. Electricity Reforms Act, 1999, section 22(2) (n) of the 1998 Act read with section 52 of the Act, it is being urged by the petitioner that section 10(q) has to be given its widest meaning, which gives the Commission as one of its functions to adjudicate upon the disputes and differences between the licensees and utilities and to refer the matter for arbitration. Section 22(2)(n) of the 1998 Act also reads as under:

“22(2) (n) to adjudicate upon the disputes and differences between the licensees and utilities and to refer the matter for arbitration.”

149. Section 52 of the Act, has the over riding effect, which says “save as otherwise provided in section 49, the provisions of this Act shall have effect notwithstanding anything



inconsistent therewith contained in any enactment other than this Act”.

150. The Regulatory Commission is the body consisting of experts and has been constituted with the object of fixing and regulating tariff. The State Act, 1999 has been enacted to provide for the restructuring of the electricity industry in the State of Uttar Pradesh, the rationalization of generation, transmission, distribution and supply of electricity in the State regulation by an independent electricity regulatory Commission of the electricity industry in the State including the purchase, distribution, supply and utilization of electricity, the quality of service, tariff and other charges keeping in view the interest of the consumers and utilities, creation of an environment which will attract participation of private sector entrepreneurs in the electricity industry in the State and generally for taking measures conducive to the development and management of the electricity industry in the State in an efficient, economical and competitive manner and for matters connected therewith or incidental thereto.

151. A pending dispute which remains unsettled till the date of enforcement of the Commission Act, the same has to be adjudicated

upon by the Regulatory Commission was considered by the Bombay High Court in the case of *Dabhol Power Company v. Maharashtra State Electricity Board* (Writ Petition No. 1205 of 2000). The principal issue involved in the aforesaid case was whether the disputes and differences between the petitioner Dabhol Power Company and respondent no. 1 Maharashtra State Electricity Board are required to be resolved in terms of the statutory machinery under the Electricity Regulatory Commission Act, 1998 (hereinafter referred to as ERC Act) or whether such disputes must be decided in accordance with the pre-existing arbitration agreement between the parties. In the aforesaid case an agreement was entered into on 8th December, 1993 between the Dabhol Power Company and the Maharashtra Electricity Board with respect to the power purchase. This power purchase agreement was subsequently amended and supplemented by agreements dated 2nd February, 1995 26th July, 1996 and 9th December, 1998. The agreement provided for arbitration in case of any dispute. An escrow agreement was entered into between the parties on 19th September, 1998 which was amended on 27th March, 1999.

152. The Bombay High Court took into consideration the law propounded by the apex court in the case of *India Thermal Power Ltd. v. State of M.P.*, (2000) 3 SCC 379 : (AIR 2000 SC 1005) wherein the Supreme Court rejected the submission that the power purchase agreement was statutory contract under section 43 and 43-A of 1948 Act and therefore, the terms and conditions of the agreement would be of statutory character.

153. The High Court further observed as under:

“It is thus apparent that the power conferred on the ERC is of the widest possible magnitude and would cover the disputes between the petitioner DPC and the respondent Board. The terms of the contract such as escrow, LC etc. are also matters directly arising out of the tariff issues. These are all matters directly pertaining to the tariff and can be regulated by the Commission. Therefore, we are unable to agree with the narrow and restrictive interpretation of section 22(2) (n) as suggested by Mr. Chidambaram.”

154. In Para 69 the Bombay High Court also made the following observations:

“That a change in the law during the pendency of an appeal has to be taken into account and will govern the rights of the parties was laid down by this Court in *Ram Swarup v. Munshi* AIR 1963 SC 553, Which was followed by this Court in *Muta v. Godhu*, (1969) 2 SCC 653 : AIR 1971 SC 89. We may point out that in *Dayawati v. Inderjeet*, AIR 1966 SC 1423, this Court observed:

“If the new law speaks in language which expressly or by clear intendments, takes in even pending matters, the Court of trial as

well as then Court of appeal must have regard to an intention so expressed and the Court of appeal may give effect to such a law even after the judgement of the Court of the first instance.”

155. The argument of the UPPCL that in the *Dabhol Power Company* case, the supplementary agreement and escrow agreements were entered into after the Commission Act had come into force and, therefore, the said case having different set of facts cannot be of any assistance in the present one would not



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be sufficient to exclude the jurisdiction of Regulatory Commission, as in the *Dabhol Power Company* case also the agreement was entered into in 1993 and it was the specific case of the *Dabhol Power Company* that the agreement having been entered into, prior to the enforcement of the aforesaid Act and the notification issued under section 22(2)(n), could not have been the subject matter of consideration by the Regulatory Commission which plea has been rejected by the Bombay High Court. Merely because certain supplementary agreements were entered into thereafter would not make the case distinguishable on this ground alone.

156. It is also clear that when the parties did not agree to any rate of tariff and one of them approached the High Court, it can very well be presumed that there existed a dispute on the date when the party approached the High Court. The adjudication of a dispute and the existence of a dispute are two separate issues. Simply because the UPPCL felt satisfied with the determination made by the Beg Committee Third, to which NPCL did not agree, it cannot be said that there was no dispute when the matter was brought to the High Court so as to exclude the jurisdiction of the Commission on the ground that unless there was a dispute and that too which had arisen after the enforcement of the Act and constitution of the Commission, the Commission would not have jurisdiction to entertain the matter.

157. Tracing the history of dispute it goes without saying that from day one when the firm rate of tariff was to be determined, the dispute arose. The first Independent Authority, the Nair Committee, suggested and fixed the price at Rs. 1.35 per unit. The Beg Committee first suggested a price of Rs. 1.59 per unit but because of the non-agreement by the petitioner, the same was not accepted and a second report was called for in which the Beg Committee suggested/recommended the price of Rs. 1.41 per unit. This time the Board did not agree, though in the meantime, the petitioner had made

a request that the matter be referred to the Commission, as by that time it was already constituted. For the reasons already indicated in the earlier part of the judgment, a third report was called for from Mr. Beg and this time it suggested the power purchase price at Rs. 1.63 per unit but again to the dissatisfaction of the petitioner this time. The petitioner instead of asking the State Government to refer the matter to any Independent Authority, again chose to challenge the same by filing the writ petition wherein while challenging the Beg Committee Third Report on several issues and the criteria adopted, also made a prayer that the dispute be referred to the Regulatory Commission. The High Court after hearing both the parties, directed the Commission to decide the controversy in accordance with the provisions of the Electricity Reforms Act, 1999. The operative portion of the order passed by the court is as under:

“In the meantime, we provide that the State Commission under the Electricity Regulatory Commission Act, 1998 which has been deemed the Commission under section 3(6) of the Uttar Pradesh Electricity Reforms Act, 1999 may fix tariff i.e. Power Purchase Price in accordance with the provisions of the said Act of 1999, after giving an opportunity to the parties concerned within 10 weeks from the date of production of a copy of this order and in the meantime the parties shall maintain status quo regarding the payment of tariff by the petitioner to the Corporation, but the protection which has been afforded to the petitioner shall be of no avail as soon as the State Commission fixes tariff in that regard.”

158. The main grievance against the Beg Committee Report Third raised by the petitioner is that it did not apply the principle of Sixth Schedule by reverse application, although the same principle was applied in the matter of KESCO in fixing the power purchase price and also by all the Independent authorities including Mr. Beg in his earlier reports and the Board/UPPCL itself had agreed before these Independent authorities that Sixth Schedule will apply.

159. The application of section 47 and 48 of 1948 Act for the purpose of excluding the jurisdiction of the Commission in the matter of determination of power purchase price has to be decided in the light of the fact that whether any agreed price of power purchase was ever arrived at between the parties either at the time of entering into contract or before the contract was reduced in writing or there is any such agreed rate in the agreement, and whether at any point of time consensus has been arrived to any methodology or so to say

any agreed methodology ever came into being.

160. Shorn of any unnecessary details, the agreement does not prescribe any agreed rate or final rate of tariff for the period of six months or for any period thereafter. The determination of rate of tariff for the period commencing after six months was dependent upon the basic rate of tariff which was to be determined for the period of six months for which a tentative rate of Rs. 1.66 per unit was mentioned in the agreement. This rate of tariff undisputedly was tentative and was arrived at by the Government by holding various meetings, despite the objection of NPCL that it would not be having the return even sufficient for its maintenance and establishment cost. This objection was not considered at the time of fixation of the aforesaid tariff of Rs. 1.66 per unit and since the Board was not having any data about the expenditure and income of the NPCL nor was having any other material relevant for the purpose of determination of final tariff, it was so decided to first fix the tentative rate of Rs. 1.66 per unit and then study and revise the same, if necessary, after six months. It, therefore, cannot be said that Rs. 1.66 per unit was a duly agreed rate which was fixed in the agreement of the NPCL. It was, in fact, a rate fixed for the purpose of bringing into motion the policy of the State Government for supplying the electricity through private sector.

161. Learned counsel for the respondents Sri Jaideep Narain Mathur also do admit that this price fixation was done on the desire of the State Government. It is equally apparent that in the agreement, which was reduced in writing on 15.11.1993 there is neither agreed rate of tariff nor any specific methodology has been provided therein for studying and revising the tariff for the period of six months.

162. The argument of the UPPCL that the term 'studied and revised' would necessarily mean that the same methodology has to be adopted for fixing the final price which was adopted at the time of determination of tentative price appears to be based on the assumption that there existed any agreed methodology and the NPCL duly participated in the determination of the tentative price and it agreed for the tentative price. Apart from this, when a price is to be studied and revised, it would not conclusively mean that all relevant factors and considerations which are necessary for determination of such price including the factor that there should not be any loss to the Board or that there should be a reasonable return to the NPCL stand excluded and cannot be seen. The phrase 'studied and revised' has to be given its natural meaning, which cannot be confined to one or the other limited consideration. If one of the main consideration in determining the price was the protection of the Board from incurring any loss for making the supply of electricity to the NPCL, the reasonable return to the NPCL is no less an important

factor.

163. The principle enunciated in the Sixth Schedule do govern such determination of tariff by the licensee for its consumers. Since the Board is not the licensee within the meaning of section 57 and NPCL is though a licensee but is not to determine the tariff for its consumers, the provisions of Sixth Schedule can only be applied by reverse application. Even if the price or the rate of tariff is to be fixed on the basis of through rate, this also would have to be done in substance by keeping in mind the rate on which the NPCL is to supply electricity to its consumers. Final rate of supply to consumers being fixed by the Board, any formula made for determining the power purchase price would necessarily mean reverse application.

164. Even the pre-contract negotiations/deliberations do not expressly stop the Company from raising the plea of reasonable return nor anywhere in the said negotiations, it has been stated that the Company was not entitled to any profit or reasonable return. It is also unquestionable that when the UPPCL itself agreed about the applicability of Sixth Schedule before different Independent Authorities including Mr. M.I. Beg on all four occasions, in no changed circumstance, the said plea was given up in Beg Committee Third and it was asserted by the Board for the first time that the principle of Sixth Schedule would not be applicable.

165. The High Court finding that there was a dispute in existence, referred the matter to the Commission with the direction that the same be determined in accordance with the provisions of the Electricity Reforms Act, 1999. Section 24 of the Act reads as under and gives the criteria for determining the tariff, which the Commission has to follow:



“24. Licensees’ revenues and tariffs-

- (1) The licensee shall follow the procedure specified in the regulations in calculating the expected revenue from charges which he is permitted to recover and in determining tariffs.
- (2) Save as provided in sub-section (3), the Commission may specify in regulations the terms and conditions for the determination of the revenue and tariffs and, in doing so, the Commission shall be guided by the following, namely,-
 - (a) the financial principles and their application provided in Sections 46, 57 and 57-A of the Electricity (Supply) Act, 1948 and in the Sixth Schedule thereto;

- (b) the factors which would encourage efficiency; economical use of the resources, good performance, optimum investments, observance of the conditions of the licence and other matters which the Commission may consider appropriate for the purpose of this Act; and
- (c) "the interest of the consumers."

166. In our opinion, the Commission would have jurisdiction to adjudicate upon any dispute, may be arising out of the agreement entered into between the parties prior to the enforcement of the Commissions Act, unless such an agreement is protected by section 47 of the Act by means of which special arrangement has been made on mutual agreement between the parties. The rate of tariff not being mutually agreed between the parties in the agreement and the methodology not being given in the agreement for determination of final price even though the agreement stand protected under section 47 of the Act for the purpose of supply of electricity by the UPPCL to the Company for distributing it to its consumers, the same is not of any effect, in respect of the price determination. In view of the aforesaid findings, the Commission would have jurisdiction to entertain and decide the dispute regarding the rate of tariff.

167. We also find force in the argument of the learned counsel for the petitioner that even, though not admitted, but assuming that the Regulatory Commissions was not having jurisdiction to entertain and decide the aforesaid dispute, being a pre-existing dispute under section 10(q) of the Act of 1999, its report or the order cannot be faulted with, as it was open to the High Court under its inherent powers to take the assistance of the Electricity Regulatory Commission, and to have its report, it being an Expert Body and in such cases it was open to the Expert Body to go beyond the scope of the Act while deciding the issue referred by the Court. Reliance has been placed on the case of *Paramjeet Kaur v. State of Punjab*, (1999) 2 SCC 131 : AIR 1999 SC 340 in this regard. Further placing reliance upon the case of *A.P. Pollution Control Board v. Prof. M.V. Nayudu (Retd)*, (1999) 2 SCC 718 : (AIR 1999 SC 812) it has been urged that in the event of such an Expert Body having been appointed by the High Court and when such a Body has recorded findings, such findings should not be interfered with.

168. Placing reliance upon the case of *WBSEB v. CESC*, JT 2002 (7) 5578 : ((2002) 8 SCC 715 : AIR 2002 SC 3588), learned counsel for the petitioners submitted that the UPERC is an expert body having expert knowledge, inter alia for fixation of tariff. Even the tariff payable by a distributing company to another entity which supplies power to such distributing company is to be determined by the concerned regulatory commission and such determination are to be normally accepted. The Supreme Court in Para 68 of the judgment, observed as

under:

“Further, in regard to the exercise of appellate power against the orders of expert tribunals, on facts, the appellate court which is not an expert forum should be doubly careful while interfering with such expert forum's finding on facts. That is a principle accepted by this Court with which we respectfully agree. See *reliance Silicon (I) Pvt. Ltd. as also Collector of Customs Bombay.*”

169. Reliance has also been placed by the petitioner on the case of *Mrs. Judith Fernandes v. Conceicao Antonio Fernandes*, (1996) 10 SCC 401 : AIR 1996 SC 2821 wherein the apex court considered the jurisdiction of the Civil Court and found that no doubt, the suit had been filed on October 10, 1973 but the trial court passed the judgment and decree on January 27, 1983, the Fifth Amendment having come into force with effect from April 20, 1976, several years before, the passing of the decree and, therefor, the bar of sub-section (2) of section 58 became applicable. In this background, the High Court was justified in setting aside the judgment and decree passed by the trial court which had



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been affirmed by the court of appeal. The plea of the defendant-respondents that they were the tenants of the land in question having coconut trees, as such the Civil Court had no jurisdiction to pass the decree for eviction against them was not accepted.

170. After holding that the Commission was having jurisdiction to decide the dispute and that the High Court having directed him to do so, no fault can be pointed out in its report on the basis of lack of jurisdiction of the Commission.

171. On the merits of the report of the Commission, the challenge has been made solely on the ground that apart from the ground of lack of jurisdiction, it applied the principle of Sixth Schedule which were not applicable nor there was any contemplation when the tentative price was fixed or when the final determination was to be done. Besides, a plea was also raised that in view of the provisions of Clause 7(a) of the agreement, the Board was the only authority, who could have determined the price for subsequent period/years and, therefore, the Commission exceeded its authority in determining the price for the period after six months upto 1999-2000.

172. In regard to the jurisdiction of the Commission, suffice would be to mention that it had the jurisdiction to decide the final price with respect to the period of six months regarding which a dispute was

already existing. The applicability of Sixth Schedule by reverse application can also not be ruled out, which principle has rightly been applied for the reasons given in the report and affirmed by us in the judgment. So far as fixing and determination of rate of power purchase for the subsequent period is concerned, since the Commission had the jurisdiction to determine the tariff and the rate of tariff for the subsequent period was to be determined on the basis of the basic rate fixed for six months and also for the reason that after the constitution of the Commission in the year 1998, all such rates were to be fixed by the Commission, no objection can be taken for such determination by the Commission.

173. The determination made by the Commission is also in conformity with the provisions of section 59 of the Electricity (Supply) Act, which requires the profit of not less than 3% to the Board/UPPCL. Section 59 of the Act provides as under:

“59. General Principles for Board's finance-

- (1) The Board shall, after taking credit for any subvention from the State Government under Section 63, carry on its operations under this Act and adjust its tariffs so as to ensure that the total revenues in any year of account shall, after meeting all expenses properly chargeable to revenues, including operating, maintenance and management expenses, taxes (if any) on income and profits, depreciation and interest payable on all debentures, bonds and loans, leave such surplus as is not less than three per cent, or such higher percentage, as the State Government may, by notification in the Official Gazette, specify in this behalf, of the value of the fixed assets of the Board in service at the beginning of such year.

Explanation.-For the purposes of this sub-section, “value of the fixed assets of the Board in service at the beginning of the year” means the original cost of such fixed assets as reduced by the aggregate of the cumulative depreciation in respect of such assets calculated in accordance with the provisions of this Act and consumers' contributions for service lines.

- (2) In specifying any higher percentage sub-section (1), the State government shall have due regard to the availability of amounts accrued by way of depreciation and the liability for loan amortization and leave-
 - (a) a reasonable sum to contribute towards the cost of capital work; and
 - (b) where in respect of the Board, a notification has been issued under sub-section (1) of Section 12-A, a reasonable sum by way of return on the capital provided by the State

Government under sub-section (3) of that section and the amount of the loans (if any) converted by the State Government into capital under sub-section (I) of Section 66-A.”

174. The aforesaid provision prescribes that after meeting all expenses, the Board shall leave such surplus as is not less than three percent, or such higher percentage, as the State Government may by notification in the official Gazette, specify in this behalf, of the value of the fixed assets of the Board in service at the beginning of such year. The fixed assets, which were made available to the Company, were valued to the tune of Rs. 10



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10 crores. It cannot be presumed nor can be accepted that this 3% surplus which is to be earned from the assets transferred by the Board to the NPCL should be calculated by taking into account all the assets of the Board in the entire State of U.P., an argument which has been raised by the learned counsel for the Board. It would be wholly impracticable to suggest that the entire 3% statutory surplus as prescribed in the aforesaid provision of section 59 can be made good by realizing the power purchase price from the Company alone. Keeping in mind the assets of the Board which have been transferred to the Company and also the costs of the power at which the same is available to the Board and the rates determined by the Commission, for power purchase, the position which emerges from the report of the Commission has been very vividly and clearly summarized in the various charts annexed with the report. The rates fixed by the Commission ensure not only the statutory profit of 3% under section 59 but a much higher return to the UPPCL ranging from 39 paise per unit to 79 paise per unit in different years from 1993-94 to 1999-2000 as against the reasonable or effective return to NPCL ranging from 0 paise to 10.26 paise per unit.

175. The Commission on consideration of various facts has observed as under:

“The average pooled cost of energy generated and purchased by UPSEB/UPPCL between 93-94 and 1999-2000 was 109.52 paise per unit, while the average purchase price to be paid as determined by the Commission, by NPCL is 187.57 paise per unit. The additional per unit payment by NPCL will be about 71.26% more as compared to the pooled cost of energy generated and purchased. The wheeling cost of power including technical losses incurred by UPSEB/UPPCL is

taken at 12% of the energy cost. After taking this into account UPSEB/UPPCL will receive 52.91% more than the pooled cost of own generation and power purchased and wheeling charges (including technical losses). The bulk power purchase price of UPSEB/UPPCL from the generating stations owned by government of India is higher than from its own power stations. The average bulk purchase price from central generating stations was 125.52 paise per unit in the period 1993-94 to 1999-2000. If this is taken as cost to UPSEB/UPPCL then the average per unit bulk purchase price to be paid by NPPCL will be more by 49.43% excluding wheeling charges and technical losses and 33.43% if they are included. Thus the arrangement entered into by UPSEB/UPPCL which NPCL is not be to the disadvantage of the former (Annex-X)."

176. The report of the Commission also contains various annexures which indicate the profit of UPSEB for the year 1993-94 to 1999-2000, which shows that the Board/UPPCL was earning much more profits on the determination made by the UPERC, which need not be repeated in this judgment. The cost has been calculated by taking into account the pool cost of UPSEB's own generation and purchase and by taking into account the average pooled cost of energy generated and purchased by UPSEB/UPPCL between 1993-94 and 1999-2000 and also by taking into account the bulk power purchase price of UPSEB/UPPCL from central generating stations. The figures of cost of purchase, sale and profits and reasonable return of NPCL and other details given by the UPERC could not be disputed by the respondents' counsel in their arguments despite the opportunity being given and query put by the court even on re-hearing. We, therefore, take them as correct and find that in any case the mandatory requirement of section 59 stands fulfilled in the rates determined by the Commission, which satisfies the plea of the UPPCL that it is entitled to 3% statutory profit.

177. Before concluding, we place on record that serious technical and hypertechnical objections and arguments have been raised on the method of calculation of tariff, methodology adopted during the pre-contract negotiations, the determination made by the various Committees/Independent Authorities and also by the Commission including the applicability of Sixth Schedule and the principles thereof and jurisdiction of the High Court to refer the matter to the Commission and consequently the jurisdiction of the Commission and though we have dwelt upon all such questions, we are also of the view that determination of rate of tariff should be fair, just and reasonable and the Commission's determination having been done by taking into account the relevant considerations that the Board not only should not suffer loss but should earn the profit at least 3%, as given in Section 59



or more and also some reasonable return to the NPCL wherein for first two years it would not earn any reasonable return does not call for any interference. The determination of rate of power purchase for different years, done by the Commission is based on the settled norms duly recognised and, therefore, also we do not intend to interfere into the determination so made. The controversy lingering since beginning i.e. for long 12 years must come to an end, as non-determination of the final price would necessarily lead to adverse results, and would mutilate and defeat the purpose and object of the agreement.

178. We also hope and trust that the NPCL shall set up the generating plant, as given by them during the course of arguments expeditiously and as early as possible, within the time proposed by them.

179. For the reasons stated above, the writ petition is allowed. The Report of the Beg Committee Third is set aside and the report of the Commission is hereby affirmed. *Petition allowed.*

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2026 SCC OnLine All 3329

In the High Court of Allahabad
(BEFORE AJIT KUMAR AND SWARUPAMA CHATURVEDI, JJ.)

Writ - C No. - 19391 of 2023

South East U.P. Power Transmission Company
Limited ... Petitioner(s);

Versus

Prescribed Authority and Others ... Respondent(s).

Along with

Writ - C No. - 17846 of 2025

Tata Steel Limited ... Petitioner(s);

Versus

State of U.P. and Others ... Respondent(s).

Writ - C No. - 19391 of 2023 and Writ - C No. - 17846 of 2025

Decided on April 24, 2026, [Reserved on: 11.02.2026]

Advocates who appeared in this case :

Counsel for Petitioner(s): Shubham Agarwal, Varad Nath

Counsel for Respondent(s): CSC, Krishna Agarawal, Narendra Kumar
Tiwari

Counsel for Petitioner(s): Pratik J. Nagar

Counsel for Respondent(s): Ravi Anand Agarwal, Baleshwar
Chaturvedi, C.S.C.

The Judgment of the Court was delivered by

SWARUPAMA CHATURVEDI, J.:— For the convenience of exposition,
this common order is divided into the following parts:

INDEX

- I. Factual Matrix
- II. Submissions on behalf of Petitioners
- III. Submissions on behalf of Respondents
- IV. Points for Determination
- V. Discussion and Analysis
 - (i) Overriding Effect of the IBC over Electricity Laws
 - (a) Arrival of IBC
 - (b) Interplay in between IBC and Electricity Laws
 - (c) Principles Laid Down by the Supreme Court
 - (ii) Notice of CIRP and non-submission of claims
 - (a) Nature of Electricity dues under the IBC

(b) Whether Public Announcement is sufficient Notice under IBC

(c) Effect of non-filing of claim under CIRP

(iii) Maintainability of demand notices raised for pre-CIRP period

VI. Conclusion

VII. Order

1. Both writ petitions, filed under Article 226 of the Constitution of India, arise out of a similar grievance, wherein the respective petitioners challenge the demand notices issued to them towards electricity dues pertaining to the period prior to the commencement of the Corporate Insolvency resolution Process (hereinafter referred to as "CIRP") of the concerned companies, which are resolved long ago after following due procedure prescribed under Insolvency and Bankruptcy Code, 2016 (hereinafter referred to as "IBC"). In Writ C No. 19391 of 2023, the petitioner seeks issuance of a writ, order or direction in the nature of certiorari for quashing the impugned demand notices, whereas in Writ C No. 17846 of 2025, the petitioner, prays for issuance of a writ of certiorari to quash the impugned demand to the extent it pertains to the period prior to the approval of the resolution plan, and a writ of mandamus restraining the respondents from taking any coercive action pursuant to the said notices and subsequent actions.

2. Since the reliefs sought in both the petitions are substantially similar, and the matters arise out of a similar set of facts involving identical questions of law, both the petitions were taken up together for hearing and are being decided by this common order. However, the necessary facts pleaded in each writ petition, as well as the submissions advanced on behalf of the parties therein, are being noticed separately wherever required.

I

Factual Matrix

3. The factual matrix in Writ C No. 19391 of 2023 is that the Isolux Corsan Concesiones S.A. (hereinafter referred to as "Isolux") has received a letter of intent dated 5-7-2011 by the Uttar Pradesh Power Transmission Company Limited (hereinafter referred to as "UPPTCL") to establish a 765 kV transmission system on a Build-Own-Operate-Maintain & Transfer (BOOT) basis at Mainpuri-Bara line.

4. Pursuant thereto, the Petitioner company was incorporated as a special purpose vehicle in September 2011 to implement and operate the said transmission system, and its 100% shareholding was subsequently acquired by Isolux on 16-12-2011. In furtherance to this, on 20-1-2012, the petitioner entered into Transmission Service Agreements with the distribution licensees (hereinafter referred to as "DISCOMs") in the State of Uttar Pradesh.

5. Thereafter, on 25-9-2013, the petitioner applied to Respondent 1 seeking a 630 KVA, 33 kV auxiliary power supply at the 400/220 kV Rewa Road GIS Sub-station. On 4-1-2014, the petitioner informed UPPCL of its requirement for two 33 kV auxiliary sources for safe operations, specifically indicating that one such source was being drawn through the tertiary winding of Inter-Connecting Transformer-II (hereinafter referred to as "ICT-II"). Subsequently, an Electrical Energy Supply agreement dated 18-4-2015 came to be executed between the petitioner and Respondent 1.

6. In continuation thereof, the ICT-II was charged on 2-10-2015 and allegedly utilised as a source of auxiliary power. The Uttar Pradesh Electricity Regulatory Commission (UPERC) declared commercial commissioning of the transmission lines and substations with effect from 27-10-2017, which was communicated by UPPTCL to the petitioner on 19-7-2018.

7. Subsequently, the company has gone into the insolvency as the National Company Law Tribunal (hereinafter referred to as the "NCLT"), Allahabad Bench, vide its order dated 6-7-2020 initiated the CIRP against the company under the provisions of the Insolvency and Bankruptcy Code, 2016 (hereinafter referred to as "IBC, 2016").

8. During the CIRP, Resurgent Power Ventures Pvt. Limited submitted a resolution plan on 19-7-2021, which was approved by the Committee of Creditors (hereinafter referred to as "CoC") with a 100% vote on 8-3-2022. The NCLT formally approved this resolution plan vide its order dated 15-6-2022, and it was implemented on 15-9-2022. Following this, the UPERC approved the 100% change in shareholding to Resurgent Power on 29-7-2022.

9. The actual root of the dispute is the inspection dated 17-10-2022, when respondents conducted an inspection of the Rewa Road Substation, wherein it was observed and recorded in the minutes that no meter had been installed at the ICT-II tertiary, resulting in an absence of energy accounting since its charging from 2-10-2015. Consequently, Respondent 1 installed a meter at the tertiary winding of ICT-II in 21-10-2022 to assess actual consumption. Thereafter, Respondent 1 issued demand notices on 9-1-2023, 21-1-2023, and a notice on 4-2-2023, claiming an amount of Rs 2,17,49,692.58 for the auxiliary consumption of power from ICT-II spanning the period from 2-10-2015 to 1-12-2022.

10. The Petitioner opposed demand notices for the period prior to the approval of the resolution plan, sending reply dated 16-2-2023, and 2-3-2023, while simultaneously clearing the dues generated for the period after approval of the resolution plan on 15-6-2022 by the order passed by Ld. NCLT. On 17-5-2023, Respondent 1 issued another demand notice dated 17-5-2023, alleging unauthorized use of

electricity and indicating the probability of recovery proceedings to be initiated against the petitioner. Aggrieved by these actions, the Petitioner has approached this Court.

11. The factual background in Writ C No. 17846 of 2025 is that the petitioner, Tata Steel Limited (hereinafter referred to as "TSL"), is the successor-in-interest of Tata Steel BSL Limited (hereinafter referred to as "TSBSL"), formerly known as Bhushan Steel Limited (hereinafter referred to as "BSL").

12. On 8-8-2011, the erstwhile BSL entered into an "agreement for Supply of Electrical Energy" with the Executive Engineer, Pashchimanchal Vidyut Vitran Nigam Limited (hereinafter referred to as "PVVNL"). The said agreement pertained to BSL's Pilkhuwa Stockyard, under which an industrial load connection (HV-2) category was sanctioned, and the supply of electricity commenced with effect from 1-10-2011.

13. On 3-7-2017, the State Bank of India (hereinafter referred to as "SBI") initiated CIRP against the erstwhile BSL by filing a petition under Section 7, IBC before NCLT, New Delhi, principal Bench. NCLT admitted the petition filed by the SBI on 26-7-2017 and appointed an Interim resolution Professional (hereinafter referred to as "IRP") while imposing moratorium as per procedure prescribed under IBC.

14. The IRP made public announcement inviting claims from all creditors as per procedural requirement under IBC. Subsequently, on 3-2-2018, TSL submitted its resolution plan, which was approved by the CoC on 20-3-2018. The NCLT approved TSL's resolution plan vide its order dated 15-5-2018. Following this approval, TSL acquired the control and business of BSL on 18-5-2018, and BSL's name was changed to Tata Steel BSL Limited (TSBSL) on 27-11-2018. The NCLT's approval was upheld after appeals against resolution plan got dismissed by the NCLAT on 10-8-2018 and the Supreme Court on 22-2-2021. Eventually, TSBSL was wholly amalgamated with TSL pursuant to the order dated 29-10-2021 passed by the learned NCLT, Mumbai Bench, with effect from 11-11-2021.

15. As appeared from records, on 11-3-2019, the erstwhile TSBSL officially intimated Respondent 2 about the completion of the CIRP and its takeover and thereafter deposited the requisite fee to change the consumer name from BSL to TSBSL in the electricity records. On 13-1-2023, officials of PVVNL conducted an inspection at the Pilkhuwa Stockyard, which gave rise to the present dispute. Based on the said inspection, Respondent 2 issued the demand notice dated 9-3-2023 being Notice No. 8670, alleging that the petitioner was consuming electricity in excess of the sanctioned load and raising a demand of Rs 1,15,33,801. In response, on 28-4-2023, the petitioner submitted its reply, bringing to the notice of the respondents the facts relating to

CIRP and amalgamation, and also sought a two-week extension of time to furnish a detailed response.

16. On 29-4-2023, Respondent 2 issued two more notices, being Notice Nos. 641 and 642. By notice No. 641, the petitioner's response was rejected on the ground that TSL was not competent to reply to the notice issued in the name of BSL and by notice No. 642, alleged that during the inspection dated 13-1-2023, the connection was found to be operating under the commercial load category (HV-1) instead of the sanctioned industrial category (HV-2). The said notices further directed the petitioner to appear for a hearing on 17-5-2023.

17. In response, the petitioner submitted a detailed reply dated 16-5-2023, reiterating that the stockyard was merely an extension of its Sahibabad Industrial Plant, thereby justifying classification under the (HV-2) and also asserting its legal contention that any demand relating to the period prior to approval of the CIRP on 15-5-2018 stood extinguished. Thereafter, PVVNL issued another letter dated 5-10-2023 fixing the matter for hearing on 18-10-2023, with the mention that ex-parte proceedings may be taken in the event of non-appearance. The petitioner again reiterated its stand in the letter dated 28-11-2023.

18. Following an order passed by PVVNL on 16-9-2024, determining the demand as final revenue, on 26-10-2024, Respondent 2 issued the demand notice No. 6428, directing the Petitioner to deposit Rs 1,15,33,801 by 26-11-2024, failing which the recovery would be proceeded as an arrear of land revenue. Further, on 18-1-2025, notice No. 8148 was issued to the District Magistrate to initiate recovery proceedings. Consequently, on 5-2-2025, the Tehsildar, Hapur, Respondent 3 issued the impugned recovery notice (RC No. 36) demanding the amount under the Uttar Pradesh Revenue Code (hereinafter referred to as "Revenue Code").

19. Upon receipt of the recovery citation, the petitioner sent a letter dated 20-2-2025, seeking a month-wise and year-wise calculation of the differential amount, disclosure of the precise basis for reclassification to (HV-1) category, and reiterating the applicability of the "clean slate" principle under the IBC, which makes the pre-CIRP unclaimed dues extinguished. Thereafter, on 21-3-2025, Respondent 2 issued the demand notice, being Notice No. 10013, while stating that the department had not been formally informed of the CIRP and requiring the petitioner to undertake a formal change of name. Thereafter, the petitioner addressed letters dated 3-4-2025 to both PVVNL and the Tehsildar, placing on record the earlier intimations, including those made since 2019, and disputing the initiation of recovery proceedings.

Submissions on behalf of Petitioners

20. Having heard Sri. Anurag Khanna, learned Senior Advocate assisted by Sri. Varad Nath, as well as Ms Sadhavi Kumar, learned counsel for the petitioner in Writ C No, 19391 of 2023 and Sri. Devashish Bharukha, learned Senior Advocate assisted by Sri. Pratik, J. Nagar, learned counsel for the petitioner in Writ C No.-17846 of 2025, we find basic submissions advanced in both petitions has been that the impugned demand and recovery actions in both writ petitions are ex facie illegal, being in direct contravention of the respective approved resolution plans and the statutory scheme under the IBC.

21. The learned counsel appearing for the petitioner in Writ C No. 19391 of 2023 submitted that during the CIRP, neither any claim was filed by the respondent authorities in respect of electricity dues, nor was any representation or objection made by them during the pendency of CIRP proceedings. It is submitted that the Committee of Creditors (hereinafter referred to as the "CoC") approved the resolution plan on 8-3-2022, which was subsequently approved by the Ld. NCLT on 15-6-2022. Neither any objection was filed by respondents against the resolution plan nor they assailed approved resolution plan at any stage.

22. The learned counsel representing petitioner in Writ C No. 19391 of 2023 further submitted that the law is well settled that the resolution plan approved by the CoC is binding upon all stakeholders. He relied upon Clause 8 of the approved resolution plan, which is as follows:

"8. Waivers, Reliefs and Exemptions

8.1. The resolution Applicant claimed various reliefs, waivers and concessions in the resolution plan. However, in our view, we cannot grant all such reliefs and concessions for the effective implementation of the resolution Plan. As per the scheme of IBC read with the regulations made thereunder, and keeping the judicially settled position in view, we grant the reliefs, waiver and claims made by the resolution Applicant in the following manner and only to this extent:—

- a. After the payment of the dues to the creditors, as per the resolution plan, all the liabilities of the said stakeholders shall stand permanently extinguished after the approval of the resolution plan. We further hold that other claims including Government/statutory authority, whether lodged during CIRP or not, shall stand extinguished after the approval of the resolution plan. We further hold that contingent/unconfirmed dues shall also stand extinguished.*
- b. In view of the judgment of Ghanashyam Mishra & Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Company Ltd.. where*

the Hon'ble Supreme Court held in para 95(i) that once a resolution Plan is approved, a creditor cannot initiate proceedings for recovery of claims which are not part of the resolution Plan. Therefore, all claims except provided in the plan shall stand permanently extinguished."

(emphasis supplied)

23. It was further submitted that after the approval of the resolution plan by the NCLT, respondent authorities conducted the inspection on 17-10-2022 at the premises of the petitioner. Later, respondents raised a demand notice dated 9-1-2023 demanding payment from 2-10-2015, which cannot be permissible in law as demand is raised for the pre-CIRP period.

24. It was submitted by the learned counsel that the petitioner has already discharged liabilities which pertain to the period after approval of the resolution plan, and the dispute in the present petition is confined to the demand raised for the pre-resolution period. The learned counsel relied upon Section 31 of the IBC, 2016 to buttress his submissions that the petitioner is not liable for the demand related to the pre-CIRP duration.

25. Sri. Devashish Bharuka, learned Senior Counsel appearing in *Writ C No. 17846 of 2025*, submitted that while entertaining the writ petition on 29-5-2025, this Court granted interim protection to the petitioner and stayed recovery of demand relating to the period prior to 15-5-2018, and directed issuance of a revised demand confined to the period thereafter. In compliance thereof, a revised demand was issued by respondent authorities.

26. He further submitted that this Court, in its order dated 29-5-2025, also noted that the core issue for determination is whether the respondents were justified in raising demands for the pre-CIRP period despite its own fault of non-filing of claims during the CIRP and further not raising any objection till the approval of the resolution plan on 15-5-2018 by NCLT.

27. The learned counsel for the petitioners also placed reliance on judgments of the Supreme Court in *Committee of Creditors of Essar Steel India Ltd. v. Satish Kumar Gupta*, (2020) 8 SCC 531 : (2020) 219 Comp Cas 97 and *Ghanshyam Mishra & Sons (P) Ltd. v. Edelweiss Asset Reconstruction Co. Ltd.*, (2021) 9 SCC 657 : (2021) 4 SCC (Civ) 638 : (2021) 227 Comp Cas 251 : (2021) 91 GSTR 28.

28. The learned counsel for the petitioner appearing in *Writ C No. 19391 of 2023* further submitted that pursuant to initiation of CIRP by NCLT, Allahabad Bench vide its order dated 6-7-2020, after following due procedure of CIRP, the resolution plan submitted by Resurgent Power Ventures Limited was approved on 15-6-2022 by NCLT and had

since been implemented. Similarly, in Writ C No. 17846 of 2025, the approved resolution plan dated 15-5-2018 in respect of the erstwhile corporate debtor has attained finality and has been duly acted upon. In both cases, the approved resolution frameworks have not been challenged by the respondents when it could have been, and now the resolution is concluded.

29. It was submitted that in both petitions, substantial portion of the impugned demands pertains to the pre-CIRP period. In Writ C No. 19391 of 2023, the demand relates to the period prior to 15-6-2022, whereas in Writ C No. 17846 of 2025, the demand pertains to the period from 8-8-2011 to 15-5-2018. Relying on the “clean slate” doctrine read with Sections 31(1) and 238 of the IBC, 2016, it was contended that all such pre-CIRP debts and statutory dues stand extinguished upon approval of the resolution plan and cannot be revived or demanded thereafter.

30. The learned counsel for the petitioners submitted that Section 31 of the IBC makes the approved resolution plan binding on all stakeholders, including governmental and statutory authorities, and all claims not forming part of the approved resolution plan stand extinguished upon its approval. It is further emphasized that CIRP proceedings are *in rem* in nature and bind all stakeholders without requiring individual intimation. Reliance in this regard is placed on the judgment of the Supreme Court in *RPS Infrastructure Ltd. v. Mukul Kumar*, (2023) 10 SCC 718 : (2023) 241 Comp Cas 17.

31. It was further submitted that the respondents had acted arbitrarily in both matters. In Writ C No. 19391 of 2023, the petitioner's electricity connection was reclassified from industrial to commercial without any cogent basis or supporting material, and despite repeated requests dated 16-2-2022 and 2-3-2023, no meaningful breakup of the demand was supplied to the petitioner. In Writ C No. 17846 of 2025, similar arbitrariness is alleged in the assessment of demand without proper disclosure or transparency, rendering the impugned actions violative of principles of natural justice.

32. Further, it was submitted that CIRP being *in rem* proceedings, all stakeholders are deemed to have knowledge of its commencement and also the public announcement was duly made in compliance with Section 15 of the IBC read with Regulation 6 of the Insolvency and Bankruptcy Board of India (Insolvency resolution Process for Corporate Persons) Regulations, 2016 (hereinafter referred to as “IBBI regulation”), including publication in widely circulated newspapers. In this circumstance, respondent authorities, cannot plead ignorance of the CIRP proceedings and even if they do so, that cannot make any difference as per settled law on this issue.

33. It was further submitted that in both matters, the respondents

are attempting to enforce pre-CIRP liabilities contrary to the approved resolution framework and established legal principles in this regard. Reliance is placed on Section 238 of the IBC, which gives overriding effect over the Electricity Act, 2003. It was also argued that Section 238 of the IBC contains a clear non-obstante clause giving overriding effect to the provisions of the Code over any other law for the time being in force.

34. The petitioners relied upon judgment in *Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Pvt. Ltd.*, (2023) 10 SCC 60 : (2023) 4 SCC (Civ) 489 : (2023) 23 Comp Cas-OL 524, where the Supreme Court has held that the waterfall mechanism provided under Section 53, makes it clear that the governmental dues rank subservient to those of secured, unsecured, and operational creditors.

35. The learned counsel further submitted that the respondents are “operational creditors” within the meaning of Sections 5(20) of the IBC, as the impugned demands constitute “claim” being “operational debts”, and are therefore bound by the approved resolution plans. Since they could not file claim within time, they cannot demand it after approval as well as implementation of the resolution plan. Petitioners finally reiterated that in both writ petitions, the respondents are seeking to enforce extinguished claims contrary to the statutory provisions of the IBC as well as established legal principles, and therefore impugned demand notices deserve to be quashed.

36. It was also submitted that the respondent authorities failed to file their claims during the time provided for the same by resolution Professional during CIRP in both matters and, consequently, claims stand extinguished and cannot be revived after approval of the resolution plans.

III

Submissions on behalf of Respondents

37. Heard Sri. Sambhu Chopra, learned Senior Advocate assisted by Sri. Narendra Kumar Tiwari, learned counsel for the respondents in Writ C No.-19391 of 2023 and Sri. M.C. Chaturvedi, learned Senior Advocate assisted by Sri. Ravi Anand Agarwal, learned panel counsel for respondents in Writ C No.-17846 of 2025. The learned counsel for the respondents in both petitions submitted that the writ petitions are misconceived and the impugned demands are fully justified in law as well as on facts. It was contended that the reliance placed by the petitioners on the doctrine of “clean slate” under the IBC is wholly misplaced, inasmuch as statutory dues and electricity charges owed to public authorities cannot be extinguished in the manner suggested. In support of this submission, counsel appearing for respective respondents, relied upon the judgments of the Supreme Court in *Telanganana State Southern Power Distribution Company Ltd. v. Sriadhaa*

Beverages, (2020) 6 SCC 404 : (2020) 3 SCC (Civ) 748 : (2020) 11 Comp Cas-OL 1 and *State Tax Officer v. Rainbow Papers Limited*, (2023) 9 SCC 545 : (2022) 234 Comp Cas 584.

38. The learned counsel further submitted that a conjoint reading of the principles in above-mentioned judgments along with the provisions of the Electricity Act, 2003 and the applicable state electricity regulations makes it clear that statutory dues created by operation of law constitute secured debts and cannot be extinguished by referring to the IBC framework. It was further submitted that any resolution plan which ignores such statutory dues payable to governmental authorities is contrary to law and cannot bind respondent authorities.

39. The learned counsel further submitted that under the statutory scheme of the Electricity Act, 2003 and Electricity Supply Code, 2005, electricity dues constitute statutory charges having enforceable legal character and cannot be defeated by general application of the provisions of IBC.

40. It was also submitted that the resolution Professional was under a statutory obligation under Section 29 of the IBC to prepare an accurate Information Memorandum reflecting all liabilities, disputes, and operational dues, including electricity dues. In both matters, the petitioners were continuously availing electricity supply, and such consumption ought to have been duly reflected in the CIRP records. He further submitted that the failure of the resolution Professional to properly disclose and maintain proper account of such liabilities cannot operate to extinguish lawful dues of statutory authorities, and the CIRP process cannot be used as a mechanism to defeat actual consumption based liabilities.

41. It was further contended that the reliance placed by the petitioners on *Ghanshyam Mishra & Sons (P) Ltd.* (supra) is misconceived and distinguishable, as the said judgment does not deal with statutory dues secured by operation of law, but pertains to claims in the context of resolution proceedings where creditors had participated or had the opportunity to submit claims.

42. It was further submitted that the principles laid down in *Rainbow Papers* (supra) clarifies that statutory dues cannot be ignored in the resolution process and authorities cannot be deprived of their lawful dues merely due to approval of a resolution plan. He further submitted that petitioners cannot take advantage of their own non-disclosure during CIRP to defeat lawful claims arising from actual consumption of electricity.

43. The learned counsel for the respondent submitted that the petitioner in Writ C No. 19391 of 2023 had unauthorisedly drawn electricity through ICT-II tertiary connection without proper

authorisation and metering arrangement. The same was discovered during inspection conducted on 17-10-2022, wherein it was found that electricity was being consumed through an undisclosed arrangement and was accordingly assessed.

44. It was submitted by the counsel that such unauthorised consumption continued for a prolonged period and liability for electricity consumption commenced from 2-10-2015 as it was duly reflected in the impugned demand notices. The inspection took place after approval of the resolution plan on 15-6-2022, the petitioner cannot rely upon the resolution plan to avoid liability for actual consumption.

45. It was further submitted that the petitioner continued correspondence in its own name even after the alleged takeover and also made payments under its earlier identity, thereby demonstrating continuity of liability. It was therefore submitted that the petitioner was attempting to evade statutory liability under the guise of insolvency proceedings, which is impermissible in law.

46. Regarding Writ C No. 17846 of 2025 learned counsel for the respondent submitted that the impugned demands were raised strictly in accordance with statutory provisions governing electricity supply and recovery of dues. It was urged by the counsel that Sections 173 and 174 of the Electricity Act, 2003 contain *non-obstante* clauses, and therefore the recovery proceedings are fully protected thereunder and the same is legally justified.

47. It was further submitted that as per Section 5 of the Uttar Pradesh Government Electrical Undertaking (Dues Recovery) Act, 1958, read with Rule 5 of Uttar Pradesh Government Electrical Undertaking (Dues Recovery) Rule, 1958 dues are recoverable as arrears of land revenue, and the petitioner continues to be a “consumer” of the electricity connection originally issued to BSL.

48. The learned Senior Counsel for the respondents further submitted that Clause 5 of the supply agreement in between PVVNL and the petitioner in *Writ C No. 19391 of 2023*, creates a charge on the assets of the company. He further submitted that in terms of Section 100 of the Transfer of Property Act, 1882, such charge is enforceable in law being a secured interest. Above mentioned Clause 5 is reproduced as under:

“5. The outstanding dues will be a charge on the assets of the company. Before sale is made, the outstanding dues will be cleared and, in the alternative the deed to agreement/sale will specifically mention the outstanding dues and the method of its payment.”

(emphasis supplied)

49. It was further submitted that the statutory framework under the Electricity Act, 2003, read with the Uttar Pradesh Government Electrical

Undertaking (Dues Recovery) Act, 1958, governs recovery, and the expression “consumer” includes any person supplied with electricity. The petitioner, being a continuing user of the same connection, was therefore liable for outstanding dues.

50. It was further submitted that inspection conducted on 13-1-2023 revealed that electricity was being consumed beyond the sanctioned load and that the industrial connection (HV-2) was being used for commercial purposes (HV-1). It was also submitted that stockyard operations were continuing both prior to and after the takeover, and the petitioner was admittedly paying current electricity bills under commercial tariff.

51. It was therefore submitted that differential tariff and consequential demand had been correctly raised on the basis of actual usage and classification, and the petitioner cannot avoid liability for consumption under an incorrect tariff category. It was further submitted that no crystallised claim existed during CIRP so far as the respondents are concerned, and therefore there was no occasion to file any claim before the resolution Professional. It was also submitted that no notice of CIRP was received by the respondent authorities.

52. The learned counsel for the respondents further submitted that since the erstwhile company continued in the same name even after approval of the resolution plan by the NCLT - and its subsequent affirmation by the Appellate Tribunal and dismissal of the special leave petition by the Supreme Court - the liability is deemed to have continued. Consequently, the petitioner, being the successor entity, cannot avoid such liability.

53. Sri. M.C. Chaturvedi, learned Senior Advocate appearing for the respondent authorities, further submitted that since the electricity connection was originally granted in the industrial category (HV-1) to BSL, the petitioner was not justified in utilising it for commercial purposes. It was submitted that this misuse was discovered during an inspection conducted on 13-1-2023, and accordingly the demand was raised. It was further submitted that once unauthorised use of electricity is established, the charges become recoverable from the date of such unauthorised use commenced.

54. It was lastly submitted that the calculation of the impugned demand is based on due inspection and verification, supported by the checking report and calculation sheets on record after full compliance of provisions of law. In view of the aforesaid, the impugned demands in both writ petitions are justified, being based on actual consumption as well as statutory authority; therefore, both writ petitions are liable to be dismissed.

IV

Points for Determination

55. Having considered the facts of the case and the submissions advanced on behalf of the parties, following points arise for consideration in these writ petitions:

- (i) Whether IBC overrides the electricity laws and regulations, thereby barring the respondent authorities from raising demands for the pre-resolution period after the resolution plan is duly approved and implemented.
- (ii) Whether the respondent authorities are entitled to receive separate notice of the CIRP and whether they had information to provide them opportunity to file their claims.
- (iii) Whether the respondent authorities could raise demand for their statutory dues after implementation of resolution plan, while they have neither filed their claim during CIRP nor objected to the resolution plan before NCLT.

V

Discussion and Analysis

56. The Supreme Court has analysed the scope of judicial review in insolvency cases in *Torrent Power Ltd. v. Ashish Arjunkumar Rathi*, (2026) 266 Comp Cas 40 : 2026 SCC OnLine SC 325, where it was held that:

“14.7. Predictability and finality are thus essential to maintaining a robust insolvency regime. Judicial intervention beyond the narrow statutory confines undermines both predictability and finality. Recognising this, the IBC deliberately confines judicial review to strict statutory compliance under Sections 30(2) and 61(3). Respecting these limits will preserve the economic sense of the IBC and ensure that insolvency remains a predictable, time-bound, and market-driven process.”

57. Having regard to the settled legal position that the scope of judicial review over an approved resolution plan under the IBC is limited, and that the commercial wisdom of the CoC is ordinarily not open to judicial scrutiny, we proceed to examine issues arising for determination in these petitions.

- (i) Overriding Effect of the IBC over Electricity Laws.
- (a) Arrival of IBC

58. In the history of economic law reforms in India, bringing IBC holds a distinct place, as it introduced a consolidated, time-bound framework for insolvency resolution, replacing the earlier fragmented regime of multiple forums and different laws. The legislative design of the IBC prioritises resolution and makes liquidation as a last resort; its main objective is to protect the economic value of the company and keep the corporate debtor as a going concern while under CIRP.

59. The basic feature of insolvency law framework is the finality

accorded to an approved resolution plan by the Statute, including necessary provisions to minimize interference with the final resolution plan. Under IBC, once a plan is approved by the adjudicating authority, it is intended to bind all stakeholders-including governmental and statutory authorities - to ensure that the successful resolution applicant is not burdened with unforeseen or belated claims relating to the period preceding the resolution process.

60. Generally, the “clean slate principle” is being used to explain the status of the resolved company. This doctrine flows from the statutory architecture itself and is founded on the premise that all claims arising prior to the approval of the resolution plan must be submitted within the insolvency framework, failing which they stand extinguished upon approval of the plan. This ensures certainty, predictability, and viability of the resolution process.

61. Equally significant feature of the IBC is the collective mechanism of the insolvency process. It contemplates that all creditors, including statutory authorities, participate in the CIRP by filing their claims in a timely manner. The integrity of the process get ensured with the participation of all creditors while they file their respective claims, enabling the CoC to evaluate the corporate debtor's liabilities in an informed manner.

62. Against this statutory backdrop, it is necessary to examine that which law will have primacy and whether statutory authorities, having chosen not to file their claims in the CIRP, can bypass the resolution mechanism and raise demands post-approval of the resolution plan in respect of pre-CIRP dues. It also falls for consideration that whether such claims stand extinguished upon approval of the resolution plan, or whether the impugned demand notices can survive in law despite the absence of any objection having been raised by the respondents to the resolution plan, which was subsequently approved by the NCLT. It further falls for consideration whether such claims stand extinguished upon approval of the resolution plan, or whether the impugned demand notices can survive in law despite the absence of any challenge to the resolution plan, which was subsequently approved by the NCLT.

63. These questions go to the root of the sanctity of the insolvency process and the binding effect of an approved resolution plan under the IBC. With this backdrop, we proceed to examine the facts and issues arising in these writ petition.

(b) Interplay in between IBC and Electricity Laws.

64. After hearing learned counsel for the parties and upon perusal of the material on record, the first question that arises for consideration is the interplay between the provisions of the IBC and the Electricity Act, 2003, as well as other applicable electricity laws governing dues in the

State of Uttar Pradesh. Since learned counsel appearing for both sides are *ad idem* that the grievance in the present petitions is confined to demand notices raising claims pertaining to the pre-CIRP period, the consideration is accordingly limited to the legality and enforceability of such demands arising prior to the approval of the resolution plan.

65. Relevant provisions of the Electricity Act, 2003 require consideration, and in this regard, counsel appearing for respondent authorities relied upon Sections 173 and 174 of the Electricity Act, 2003, which are reproduced below:

"173. Inconsistency in laws.-Nothing contained in this Act or any rule or regulation made thereunder or any instrument having effect by virtue of this Act, rule or regulation shall have effect in so far as it is inconsistent with any other provisions of the Consumer Protection Act, 1986 (68 of 1986) or the Atomic Energy Act, 1962 (33 of 1962) or the Railways Act, 1989 (24 of 1989).

174. Act to have overriding effect.- Save as otherwise provided in Section 173, the provisions of this Act shall have effect notwithstanding anything inconsistent therewith contained in any other law for the time being in force or in any instrument having effect by virtue of any law other than this Act."

66. To determine the primacy in between IBC and Electricity Act, 2003, similar provision of the IBC also require consideration. The learned counsel appearing for petitioners relied upon Section 238 of the IBC to assert primacy of IBC, 2016 over The Electricity Act, 2003. Section 238 IBC reads as under:

"238. Provisions of this Code to override other laws.

The provisions of this Code shall have effect, notwithstanding anything inconsistent therewith contained in any other law for the time being in force or any instrument having effect by virtue of any such law."

67. Bare perusal of the Section 238 demonstrates a legislative mandate that the provisions of IBC shall prevail notwithstanding anything inconsistent contained in any other law for the time being in force. The effect of this provision is to accord primacy to the insolvency resolution mechanism, ensuring that in the event of any inconsistency or conflict with other statutory regimes, the mechanism and outcomes contemplated under the IBC cannot be diluted.

68. In addition to above, a reading of Section 31 of the IBC is also significant, which indicates that an approved resolution plan is binding on all stakeholders, including governmental and statutory authorities. Section 31(1) of the IBC is reproduced below for easy reference:

"31. Approval of resolution plan. (1) If the adjudicating authority is satisfied that the resolution plan as approved by

the Committee of Creditors under sub-section (4) of Section 30 meets the requirements as referred to in sub-section (2) of Section 30, it shall by order approve the resolution plan which shall be binding on the corporate debtor and its employees, members, creditors, including the Central Government, any State Government or any local authority to whom a debt in respect of the payment of dues arising under any law for the time being in force, such as authorities to whom statutory dues are owed.] guarantors and other stakeholders involved in the resolution plan:

Provided that the adjudicating authority shall, before passing an order for approval of resolution plan under this sub-section, satisfy that the resolution plan has provisions for its effective implementation.

(2)..."

(emphasis supplied)

69. Conjoint reading of both provisions indicate that the statutory scheme of the IBC is designed to confer finality upon the resolution process by making the approved resolution plan binding on all stakeholders, and simultaneously through its overriding clause, it ensures that nothing should unsettle matters concluded therein to create problem for the resolved company after completion of CIRP. The legislative intent is thus to create a self-contained and comprehensive framework where all claims against the corporate debtor are required to be addressed during CIRP period only, so that upon approval of the resolution plan, the rights and liabilities stand conclusively determined.

70. We also consider it necessary to refer legal maxim, "*leges posteriores priores contrarias abrogant*", which means wherever two enactments are irreconcilably inconsistent, the later enactment must prevail to the extent of such inconsistency. This principle of interpretation of statutes is generally applicable in a situation where two enactments appear to operate in the same field but got enacted in different timeline. It is a settled rule of statutory interpretation is that where there is a conflict between two statutes, the Court must first attempt a harmonious construction, however, where such reconciliation is not possible, the later enactment would prevail as per above-mentioned maxim.

71. In the light of above, if we read Section 238 of IBC, it clearly indicates the legislative intent to ensure that the insolvency resolution framework operates with primacy in the event of inconsistency. Hence, reliance on the provisions of Electricity Act, 2003 and UP Electricity Supply Code 2005 to contend that the pre-CIRP dues can be recovered after the company is resolved and the resolution plan is implemented, is purely misconceived.

72. The IBC is a subsequent and comprehensive legislation intended to consolidate and amend the laws relating to insolvency resolution, specifically focussing on revival of corporate debtors in a time-bound manner. The scheme of the Code would be rendered unworkable if past liabilities, not forming part of the resolution plan, were permitted to be raised by claimants relying upon any other Statute.

73. For ascertaining the legislative intent underlying the enactment of the IBC, we consider it appropriate to refer to its Preamble, which was also analysed by the Supreme Court in *Innovative Industries Ltd. v. ICICI Bank*, (2018) 1 SCC 407 : (2018) 1 SCC (Civ) 356 : (2017) 205 Comp Cas 57. It is settled beyond ambiguity that IBC was enacted to consolidate and amend the laws relating to reorganisation and insolvency resolution of corporate persons, partnership firms, and individuals in a time-bound manner, keeping in view maximisation of assets value. It further seeks to balance the interests of all stakeholders while providing a waterfall mechanism for payment of dues.

74. The above provisions make it abundantly clear that the intent of Parliament was to ensure that a successful resolution applicant is not burdened with past liabilities which were not part of the resolution plan, as the same would deter prospective applicants and undermine the efficacy of the insolvency regime if there is sword of uncertain and unquantified dues is left hanging over their heads.

75. Thus, when Section 238 of the IBC is read in light of the objective of the Code and established legal principles, there remains no doubt that in the event of inconsistency between the IBC and any other statutes, including sector-specific enactments such as the Electricity Act, 2003, the provisions of the IBC would prevail.

76. The reliance placed by the respondents on the statutory character of electricity dues or the provisions of the Electricity Act cannot override the express mandate of the IBC. As a subsequent enactment, the IBC provides a comprehensive insolvency framework while accounting for all other existing laws. Therefore, the claims in question, which relate to any period prior to approval of the resolution plan are to be considered as extinguished.

(c) Principles Laid Down by the Supreme Court

77. The Supreme Court in *Essar Steel India Ltd. Committee of Creditors v. Satish Kumar Gupta*, (2020) 8 SCC 531 : (2020) 219 Comp Cas 97, held that:

"107. For the same reason, the impugned NCLAT judgment [Standard Chartered Bank v. Satish Kumar Gupta, (2020) 219 Comp Cas 15 : 2019 SCC OnLine NCLAT 388] in holding that claims that may exist apart from those decided on merits by the resolution professional and by the adjudicating authority/Appellate Tribunal can

now be decided by an appropriate forum in terms of Section 60(6) of the Code, also militates against the rationale of Section 31 of the Code. A successful resolution applicant cannot suddenly be faced with “undecided” claims after the resolution plan submitted by him has been accepted as this would amount to a hydra head popping up which would throw into uncertainty amounts payable by a prospective resolution applicant who would successfully take over the business of the corporate debtor. All claims must be submitted to and decided by the resolution professional so that a prospective resolution applicant knows exactly what has to be paid in order that it may then take over and run the business of the corporate debtor. This the successful resolution applicant does on a fresh slate, as has been pointed out by us hereinabove. For these reasons, NCLAT judgment must also be set aside on this count.”

78. This legal position has been further clarified by the Supreme court in *Ghanshyam Mishra & Sons (P) Ltd.* (supra), and held that once a resolution plan is approved under Section 31(1), it is binding on all stakeholders, including the Central Government, State Government, and Local Authorities to whom statutory dues are owed. Claims not part of the plan are extinguished, ensuring no surprise claims are sprung on the successful resolution applicant. Relevant paragraphs of the judgment is as follows:

“93. As discussed hereinabove, one of the principal objects of the I&B Code is providing for revival of the corporate debtor and to make it a going concern. The I&B Code is a complete Code in itself. Upon admission of petition under Section 7 there are various important duties and functions entrusted to RP and CoC. RP is required to issue a publication inviting claims from all the stakeholders. He is required to collate the said information and submit necessary details in the information memorandum. The resolution applicants submit their plans on the basis of the details provided in the information memorandum. The resolution plans undergo deep scrutiny by RP as well as CoC. In the negotiations that may be held between CoC and the resolution applicant, various modifications may be made so as to ensure that while paying part of the dues of financial creditors as well as operational creditors and other stakeholders, the corporate debtor is revived and is made an on-going concern. After CoC approves the plan, the adjudicating authority is required to arrive at a subjective satisfaction that the plan conforms to the requirements as are provided in sub-section (2) of Section 30 of the I&B Code. Only thereafter, the adjudicating authority can grant its approval to the plan. It is at this stage that the plan becomes binding on the corporate debtor, its employees, members, creditors, guarantors and other stakeholders involved in the resolution plan. The legislative

intent behind this is to freeze all the claims so that the resolution applicant starts on a clean slate and is not flung with any surprise claims. If that is permitted, the very calculations on the basis of which the resolution applicant submits its plans would go haywire and the plan would be unworkable.

...

102. In the result, we answer the questions framed by us as under:

102.1. That once a resolution plan is duly approved by the adjudicating authority under sub-section (1) of Section 31, the claims as provided in the resolution plan shall stand frozen and will be binding on the corporate debtor and its employees, members, creditors, including the Central Government, any State Government or any local authority, guarantors and other stakeholders. On the date of approval of resolution plan by the adjudicating authority, all such claims, which are not a part of resolution plan, shall stand extinguished and no person will be entitled to initiate or continue any proceedings in respect to a claim, which is not part of the resolution plan.

102.2. The 2019 Amendment to Section 31 of the I&B Code is clarificatory and declaratory in nature and therefore will be effective from the date on which the I&B Code has come into effect.

102.3. Consequently, all the dues including the statutory dues owed to the Central Government, any State Government or any local authority, if not part of the resolution plan, shall stand extinguished and no proceedings in respect of such dues for the period prior to the date on which the adjudicating authority grants its approval under Section 31 could be continued."

79. The principle established by the Supreme Court in the aforementioned judgments is that a successful resolution applicant must be permitted to take over the corporate debtor on a "clean slate" the entity should be free from past liabilities except those specifically preserved in the resolution plan. The IBC is based on the principle that upon approval of a resolution plan, the corporate debtor emerges from insolvency in a renewed form, with its past liabilities crystallised and confined strictly to those recognised in the resolution plan.

80. The respondents' contention is that electricity dues, being statutory in nature, cannot be extinguished in such manner and that such dues constitute secured debts by operation of law is unacceptable. In support thereof, reliance had been placed by respondents on *State Tax Officer (1) v. Rainbow Papers Ltd.* (supra), and *Telangana State Southern Power Distribution Co. Ltd.* (supra), however, both judgments are distinguishable on their facts. This Court finds that while the aforesaid judgments recognise that certain statutory dues may be in

the character of secured debts, the same cannot be read in a manner so as to dilute the overriding scheme of the IBC in the facts of these cases where the resolutions plans have already got implemented.

81. It is a settled legal principle that the corporate soul, once purged through the judicial resolution process under IBC, is a legally reborn entity that does not carry the burden of its past debts, therefore, even if the corporate debtor continues to operate under its old name, it cannot be held liable for extinguished dues that were not recognised in the NCLT approved resolution plan. In *Ruchi Soya Industries Ltd. v. Union of India*, (2022) 6 SCC 343 : (2022) 3 SCC (Civ) 369 : (2022) 231 Comp Cas 308 : (2022) 20 GSTR-OL 59 the Supreme Court held as follows:

“11. Admittedly, the claim in respect of the demand which is the subject-matter of the present proceedings was not lodged by Respondent 2 after public announcements were issued under Sections 13 and 15 IBC. As such, on the date on which the resolution plan was approved by the learned NCLT, all claims stood frozen, and no claim, which is not a part of the resolution plan, would survive.”

82. In this regard, reference may be made to *Paschimanchal Vidyut Vitran Nigam Ltd.* (supra), wherein the Supreme Court considered the status of electricity dues in the context of the IBC and held that the IBC overrides the provisions of the Electricity Act, 2003, as Section 238 of the IBC contains a non-obstante clause. The Supreme Court distinguished findings of *Rainbow Papers* (supra) and further held that:

“53. Rainbow Papers [STO v. Rainbow Papers Ltd., (2023) 9 SCC 545 : (2022) 234 Comp Cas 584] did not notice the “waterfall mechanism” under Section 53-the provision had not been adverted to or extracted in the judgment. Furthermore, Rainbow Papers [STO v. Rainbow Papers Ltd., (2023) 9 SCC 545 : (2022) 234 Comp Cas 584] was in the context of a resolution process and not during liquidation. Section 53, as held earlier, enacts the waterfall mechanism providing for the hierarchy or priority of claims of various classes of creditors. The careful design of Section 53 locates amounts payable to secured creditors and workmen at the second place, after the costs and expenses of the liquidator payable during the liquidation proceedings. However, the dues payable to the government are placed much below those of secured creditors and even unsecured and operational creditors. This design was either not brought to the notice of the Court in Rainbow Papers [STO v. Rainbow Papers Ltd., (2023) 9 SCC 545 : (2022) 234 Comp Cas 584] or was missed altogether. In any event, the judgment has not taken note of the provisions of IBC which treat the dues payable to the secured creditors at a higher footing than dues payable to the

Central or the State Government.”

....

57. *Similarly, in Duncans Industries Ltd. v. AJ Agrochem [Duncans Industries Ltd. v. AJ Agrochem, (2019) 9 SCC 725 : (2019) 4 SCC (Civ) 669 : (2019) 217 Comp Cas 320], Section 16-G of the Tea Act, 1953 which required prior consent of the Central Government (for initiation of winding-up proceedings) was held to be overridden by IBC. In a similar manner, it is held that Section 238 IBC overrides the provisions of the Electricity Act, 2003 despite the latter containing two specific provisions which open with non obstante clauses (i.e. Sections 173 and 174). The position of law with respect to primacy of IBC, is identical with the position discussed in ABG Shipyard Liquidator [ABG Shipyard Liquidator v. Central Board of Indirect Taxes & Customs, (2023) 1 SCC 472 : (2022) 19 Comp Cas-OL 816 : (2022) 22 GSTR-OL 6 : (2023) 1 SCC (Civ) 251] and Duncans Industries [Duncans Industries Ltd. v. AJ Agrochem, (2019) 9 SCC 725 : (2019) 4 SCC (Civ) 669 : (2019) 217 Comp Cas 320] [refer also: Innoventive Industries [Innoventive Industries Ltd. v. ICICI Bank, (2018) 1 SCC 407 : (2018) 1 SCC (Civ) 356 : (2017) 205 Comp Cas 57], CIT v. Monnet Ispat & Energy Ltd. [CIT v. Monnet Ispat & Energy Ltd., (2018) 18 SCC 786 : (2019) 3 SCC (Civ) 252 : (2018) 211 Comp Cas 99 : (2018) 12 ITR-OL 281], Ghanashyam Mishra & Sons (P) Ltd. v. Edelweiss Asset Reconstruction Co. Ltd. [Ghanashyam Mishra & Sons (P) Ltd. v. Edelweiss Asset Reconstruction Co. Ltd., (2021) 9 SCC 657 : (2021) 4 SCC (Civ) 638 : (2021) 227 Comp Cas 251 : (2021) 91 GSTR 28], and Jagmohan Bajaj v. Shivam Fragrances (P) Ltd. [Jagmohan Bajaj v. Shivam Fragrances (P) Ltd., (2018) 210 Comp Cas 84 : 2018 SCC OnLine NCLAT 413]].”*

(emphasis supplied)

(ii) Notice of CIRP and non-submission of claims

(a) Nature of Electricity Dues under the IBC

83. Under IBC, the concept of a claim is intentionally broad, and it forms the foundation for determining the scope of liabilities in insolvency proceedings. Section 3(6) IBC defines a claim. The definition is significant, as it enables diverse liabilities, including statutory dues on corporate debtor. Thus, the statutory character of electricity dues as a claim, by itself, is not excluded from the ambit of the IBC, but once a resolution plan is approved, any claim pertaining to the period prior thereto, if not forming part of the resolution plan, can be claimed after the implementation of the resolution plan or the same is extinguished is to be determined.

84. In the light of IBC framework and judicially established

principles, it cannot be accepted that liabilities pertaining to a period prior to the resolution can be permitted to resurface after conclusion of the CIRP, merely because they were not earlier quantified, and thereby burdening the resolved corporate entity. Permitting such an approach would defeat the finality attached to the resolution plan and undermine the very objective of revival by exposing the corporate debtor to uncertain and indeterminate liabilities. Accordingly, such claims cannot be imposed upon the resolved entity, irrespective of the fact that whether the entity continues under the same old name or a different one. Once the resolution plan has attained finality, a new entity is born after implementation of the resolution plan, and the scope for judicial review also gets over *qua* that approved resolution plan.

85. Therefore, even if a distinction is to be drawn between claims which were in existence or ascertainable during CIRP but claims not filed, and those which were detected subsequently, the former would stand extinguished, the latter would be barred by application of the “clean slate” doctrine and consequently that will also gets extinguished.

(b) Whether Public Announcement is sufficient notice under IBC

86. The next issue, which requires consideration is whether the respondent authorities had notice of the CIRP to file their claims. In this regard, Section 15 of the IBC, which also provide details regarding contents for the public announcement of initiation of CIRP, is to be read as follows:

“15. Public announcement of corporate insolvency resolution process. (1) The public announcement of the corporate insolvency resolution process under the order referred to in Section 13 shall contain the following information, namely:—

- (a) name and address of the corporate debtor under the corporate insolvency resolution process;*
- (b) name of the authority with which the corporate debtor is incorporated or registered;*
- (c) the last date for submission of claims, as may be specified;*
- (d) details of the interim resolution professional who shall be vested with the management of the corporate debtor and be responsible for receiving claims;*
- (e) penalties for false or misleading claims; and*
- (f) the date on which the corporate insolvency resolution process shall close, which shall be the one hundred and eightieth day from the date of the admission of the application under Sections 7, 9 or Section 10, as the case may be.*

(2) The public announcement under this section shall be made in such manner as may be specified.”

87. Bare reading of Section 15 of the IBC makes it clear that the

Code contemplates mechanism and content for public notice, but it does not contemplate individual service of notice for informing stakeholders of the initiation of the CIRP. The provision mandates a public announcement containing complete particulars of the corporate debtor, the interim resolution professional, and significantly, the last date for submission of claims, along with consequences of non-compliance. Such announcement is required to be made in the manner prescribed under the regulations.

88. The nature of CIRP proceedings as proceedings in rem and the effect of public announcement have been considered by the Supreme Court in *RPS Infrastructure Ltd. v. Mukul Kumar*, (2023) 10 SCC 718 : (2023) 241 Comp Cas 17. Supreme Court held that:

"21. The second question is whether the delay in the filing of claim by the appellant ought to have been condoned by Respondent 1. The IBC is a time bound process. There are, of course, certain circumstances in which the time can be increased. The question is whether the present case would fall within those parameters. The delay on the part of the appellant is of 287 days. The appellant is a commercial entity. That they were litigating against the corporate debtor is an undoubted fact. We believe that the appellant ought to have been vigilant enough in the aforesaid circumstances to find out whether the corporate debtor was undergoing CIRP. The appellant has been deficient on this aspect. The result, of course, is that the appellant to an extent has been left high and dry."

(emphasis supplied)

89. From the aforementioned, it is established that individual notice to each creditor is not contemplated under the mechanism of IBC, and public announcement is treated as sufficient notice. Creditors are expected to act with necessary diligence and file their claims within the prescribed time during CIRP.

(c) Effect of non-filing of claim during CIRP

90. In the absence of any material to indicate procedural irregularity in the conduct of CIRP, the respondents, being commercial entities, cannot be permitted to plead ignorance from CIRP being the reason for not challenging the resolution plan at any stage till the resolution plan got approved by Ld. NCLT. Accordingly, if a claim existed and was capable of being filed during CIRP, failure to do so would result in its extinguishment upon approval of the resolution plan.

91. However, the submission advanced on behalf of the respondents that no crystallised claim existed during the CIRP also requires careful scrutiny. If stand of the respondents is that the liability did not realised during the subsistence of the CIRP and that the dues were discovered only after its conclusion. the question would arise whether such a claim

was capable of being asserted within the CIRP framework pursuant to the public announcement inviting claims. If the claim was not in existence during CIRP, the same cannot be imposed as liability of the resolved corporate entity.

(iii) Maintainability of demand notices raised for pre-CIRP period

92. Applying the above discussed principles to determine that whether the respondent authorities can be permitted to raise demand for their statutory dues after implementation of resolution plan, while they have neither filed their claim during CIRP nor objected to the resolution plan before NCLT.

93. In the facts of Writ C No. 19391 of 2023, the demand has been raised pursuant to inspection dated 17-10-2022 i.e. much after approval of the resolution plan on 15-6-2022 and its effective implementation and therefore, the demand for the time period going back to the pre-CIRP period. To the extent the demand is of past dues which could have been determined prior to approval of the resolution plan and the claims could have been filed if the respondent authorities were vigilant, that demand would not be sustainable. However, to the extent demand arises from detection of unauthorised consumption revealed during inspection, and the same is for the consumption by the resolved company and after resolution plan got implemented, the dues are liable to be paid.

94. Similarly, in Writ C No. 17846 of 2025, the demand is based on inspection indicating excess load and misuse of tariff category. To the extent the demand pertains to continuing usage or post-resolution liability, it would not be hit by the resolution plan. However, any component of the demand related to the pre-CIRP period, which did not form part of the approved resolution plan, would liable to be set aside due to the same reasoning.

95. We are also of the view that even otherwise, the exercise of statutory power must conform to the principles of natural justice. In the present case, the grievance regarding not providing proper breakup and lack of clarity in the impugned demands assumes significance and the authorities are directed to act with fairness and transparency while making any such demand in future. Accordingly, the impugned demand notices are required to be tested not only on the touchstone of the IBC framework but also on compliance with principles of natural justice and procedural fairness.

96. Applying legal principles discussed above in the facts of Writ C No. 19391 of 2023, the admitted position is that the resolution plan was approved by NCLT on 15-6-2022. The inspection, however, was conducted thereafter on 17-10-2022, and the demand has been raised covering a period substantially prior to approval of the resolution plan.

To the extent the impugned demand seeks recovery of dues relatable to the pre-resolution period, the same would fall within the ambit of claims required to be filed during the CIRP, and upon approval of the resolution plan, stands extinguished in view of Section 31 read with Section 238 of the Code.

97. Similarly, in Writ C No. 17846 of 2025, the impugned demands are stated to arise out of inspection leading to reclassification of tariff category and detection of alleged misuse of sanctioned load. To the extent such reclassification and consequential billing pertain to continuing usage or post-resolution conduct, the respondents statutory authority can proceed in accordance with the applicable electricity laws. However, any component of the demand attributable to the pre-resolution period, which was not incorporated in the approved resolution plan, would stand on a different footing and cannot be demanded contrary to the settled position of law under the IBC.

98. It is an undisputed fact that respondent authorities neither filed claim during the CIRP nor questioned the resolution plan at any stage, despite the same having attained finality not only from NCLT but also upheld by NCLAT and Supreme Court where other stakeholders assailed the same. The law is settled that once resolution plan, is approved by NCLT, it attains binding force on all stakeholders, including those who chose not to participate in the process. In such statutory framework, permitting a belated claim to be raised after the culmination of the process would run contrary to the settled principles governing finality and sanctity of an approved resolution plan. Accordingly, claims not forming part of the CIRP or the approved plan cannot survive once the CIRP is concluded.

99. The Supreme Court has consistently held that the commercial wisdom of the CoC is decisive in matters relating to the resolution of the corporate debtor and is not ordinarily subject to judicial interference. In *Torrent Power Ltd.* (supra) the Supreme Court has held that the commercial wisdom of the CoC is paramount. It has further observed that:

“12.5. The issue is no longer res integra, the law having been settled that the commercial wisdom of the CoC enjoys primacy and cannot be supplanted by judicial review. Neither the NCLT, nor the NCLAT nor even this Court is empowered to substitute its assessment in place of the commercial decision arrived at by a requisite majority of the CoC.

13. The appeals before us typify the growing strategic use of the judicial system by unsuccessful resolution applicants, who seek to reopen almost every commercial decision under the guise of procedural impropriety. This converts the corporate resolution process into a protracted adversarial contest and erodes the value of

the corporate debtor. Such an approach incentivises delay, rent-seeking, and strategic obstruction and is fundamentally inconsistent with the economic logic and statutory design of the IBC.

13.1. In the present case, the resolution Plan stands approved by both the NCLT and the NCLAT and has since been implemented, leaving absolutely no scope for intervention by this Court.

13.2. In view of the foregoing, we do not find any merit in the appeals. With the above observations, these appeals are dismissed. Therefore, the Impugned judgment dated 1-10-2024 passed by the NCLAT is affirmed.

14. Before parting, we wish to add a few words of caution. The IBC represents a conscious legislative choice to privilege speed, certainty, and creditor-driven decision-making over exhaustive judicial scrutiny. Experience shows that unsuccessful bidders will always try to spin commercial decisions of the CoC as procedurally faulty in order to secure a second shot through litigation by filing applications or making representations. However, courts need to remain vigilant against any temptation to expand the scope of review beyond the narrow boundaries prescribed by the IBC.

(emphasis supplied)

100. In both writs, the resolution plan contains a stipulation that all dues and liabilities not recognised therein shall stand extinguished upon approval of the plan. This statutory consequence binds the respondent authorities as well, who admittedly did not file any claim during CIRP, nor challenged the plan before its approval for omitting their dues. In view of this clear term within resolution plan, read with the binding effect of an approved resolution under the IBC, any demand raised thereafter is clearly unsustainable. Furthermore, the claims referred by respondents were not crystallised during CIRP and were not mentioned in the resolution plan, they stand extinguished and the same cannot be allowed to be raised against the newly resolved company, which has started on the basis of resolution plan, finalized as per wisdom of CoC and duly approved by NCLT.

VI

Conclusion

101. A conjoint reading of Sections 173 and 174 of the Electricity Act, 2003 shows that while Section 173 provides that the provisions of certain specified enactments shall not be affected, Section 174 expressly confers overriding effect on the Electricity Act over anything inconsistent contained in any other law for the time being in force, except to the limited extent carved out under Section 173. However,

this overriding clause is itself subject to the operation of Section 238 IBC, which is a subsequent legislation containing a clear and unambiguous *non obstante* provision giving it primacy over all other laws in case of inconsistency. Accordingly, even though the Electricity Act occupies a special field and contains its own overriding provision, the legislative intent of Section 238 of the IBC ensures that, in matters of insolvency, the provisions of the IBC shall prevail notwithstanding any inconsistency with the Electricity Act, including Sections 173 and 174 thereof.

102. Thus, we are of the view that while the respondents are not precluded from exercising statutory powers in respect of post-resolution discoveries or continuing liabilities, they cannot be permitted to enforce claims which stand extinguished by operation of law under the IBC. The impugned demands are required to be examined and segregated accordingly for determining their enforceability wherever the same is not done. Supreme Court in *Paschimanchal Vidyut Vitran Nigam Ltd.* (supra) has held the primacy of IBC over electricity dues and as per this principle, all submissions made by respondents regarding claiming primacy of Electricity Laws over IBC are unacceptable.

103. The respondents argued to justify the impugned demands on the ground that electricity dues are statutory in nature and therefore it cannot get extinguished, this argument cannot be sustained in view of the clear mandate of Sections 31 and 238 of the IBC, and the law laid down by the Supreme Court in the judgments referred to above. The reliance on *Telangana State Southern Power Distribution Company Ltd.* (supra) and *Rainbow Papers Ltd.* (supra) are misplaced as the issues and factual matrix therein differ and do not detract from the binding effect of an already implemented resolution plan.

104. After implementation of resolution plan, arguments made by the respondents that the resolution plan having no mention of the electricity due is an inaccurate information and bad under Section 29 IBC, cannot be considered here. Resolution professional, while having no claim filed by respondents and no objection filed before NCLT against the resolution plan, cannot be blamed at this stage, especially when there is no dispute regarding any unpaid dues during CIRP. If respondents had any grievance against the resolution plan, the time to object the same ended right after the plan got approved by NCLT.

105. The IBC framework is based on the foundation that the corporate entity under resolution is an ongoing concern, and therefore, the resolution professional communicates with the same company name during CIRP. Respondents' submission that the claim is a continued claim because of communication with the same name is unacceptable, as the same does not make the resolved entity liable for any pre-CIRP unclaimed, unrecognised dues.

106. The arguments made by respondents that they did not receive notice of commencement of CIRP also misplaced as the publication after following due procedure under IBC is sufficient notice to all stakeholders and the respondent authorities are not exception to it, who could demand a separate notice in this regard.

107. On the basis of submissions made by counsel appearing in both petitions, the impugned demand notices, in both the writ petitions, relate to electricity dues pertaining to a period prior to the approval of the respective resolution plans under the IBC, 2016. It is not in dispute that the CIRP had been duly initiated in accordance with law, that public announcement was made inviting claims, and that the resolution plans were thereafter approved by NCLT and have attained finality.

108. In such circumstances, the legal consequence flowing from Section 31 of the IBC, 2016 is that the approved resolution plan is binding on all stakeholders, including statutory authorities, and operates to extinguish all claims which were not filed during CIRP or which did not form part of the approved resolution plan. The said provision, read with the overriding effect contained in Section 238 of the Code, leaves no doubt that any attempt to enforce pre-CIRP claims outside the framework of the resolution plan is impermissible in law. Approved resolution plan conclusively determines all claims against the corporate debtor, leaving no scope for the enforcement of any claim outside the approved plan.

109. The Supreme Court in *Essar Steel India Ltd.* (supra) has clearly held that the objective of the IBC is to ensure that the successful resolution applicant takes over the corporate debtor on a clean slate, which is free from past liabilities except those specifically incorporated in the resolution plan. This principle has been reaffirmed in *Ghanshyam Mishra & Sons (P) Ltd.* (supra), wherein it has been categorically held that all claims not forming part of the approved resolution plan stand extinguished and cannot be revived or enforced thereafter.

110. Applying the aforesaid settled legal position to the facts of the present case, it is manifest that the respondent authorities admittedly did not file any claim in respect of the alleged electricity dues during the CIRP, nor is it shown that such dues formed part of the resolution plan as approved by the adjudicating authority. The impugned demands, therefore, seek to resurrect claims which stood extinguished upon approval of the resolution plan and cannot be permitted to be enforced under the guise of statutory recovery proceedings.

111. Submissions regarding category under which the electricity is being used and the tariff, etc. are not considered in this order for the reason that if any such demand is regarding pre-CIRP then the same cannot be claimed being extinguished claim and if the demand is regarding post resolution plan approval then the parties have got

remedy under Electricity Act for which they are at the liberty to proceed.

112. Before parting, we consider it necessary to observe that the exercise of statutory power, even when otherwise available, must conform to the requirements of fairness, transparency, and procedural propriety. Not providing adequate breakup of amount, clarity in computation, and disclosure of the basis of classification or reassessment, as requested by the petitioners, cannot be ignored and may have a bearing on the legality of demand notices even if it get issued for the post resolution period.

113. Therefore, all the issues discussed above are concluded in the favour of petitioners.

114. In view of the above discussion and analysis, this Court is of the considered view that the impugned demand notices dated 9-1-2023, 21-1-2023, 4-2-2023 and 17-5-2023 in Writ C No. 19391 of 2023 and notices dated 9-3-2023, 18-1-2025 and 21-3-2023 in Writ C. No. 17846 of 2025, upto the extent of demand being made for pre-CIRP period, cannot be sustained in law and hence deserve to be quashed.

VII

Order

115. These petitions succeed and are accordingly allowed. Impugned demand notices dated 9-1-2023, 21-1-2023, 4-2-2023 and 17-5-2023 in Writ C No. 19391 of 2023 and notices dated 9-3-2023, 18-1-2025 and 21-3-2023 in Writ C. No. 17846 of 2025 are hereby quashed. However, respondent authorities are at the liberty to issue fresh demand notice for any dues, which may have occurred for the post-resolution period, in accordance with law.

116. No order as to cost.

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2008 SCC OnLine All 696 : (2008) 5 All LJ 383 (DB) : (2008) 72 ALR (SUM
102) 43

In the High Court of Allahabad
(BEFORE ANJANI KUMAR AND SUDHIR AGARWAL, JJ.)

Ashok Kumar and Ors.

Versus

State of U.P. and Ors.

W.P. Nos. 21073, 22678, 22674, 22373 and etc. of 2008

Decided on July 18, 2008



Page: 385

The Judgment of the Court was delivered by

SUDHIR AGARWAL, J.:— Pleadings are complete. As requested and agreed by learned counsel for the parties, the matter has been heard finally at the admission stage under the Rules of the Court. Further, in all these petitions, common questions of law and facts are involved, therefore, they have been heard together and are being decided by this common judgement. Besides oral submissions, the parties have also filed written arguments.

2. Aggrieved by the assessment orders under Section 126 of the Electricity Act, 2003 (hereinafter referred to as the "Act, 2003") and demand notices under Section 3 of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958 (hereinafter referred to as the "1958 Act"), these petitions (except Writ Petitions Nos. 22263 of 2008, 22365 of 2008, 22678 of 2008, 21986 of 2008, 22367 of 2008 and 18542 of 2008) have been filed seeking a writ of certiorari quashing the aforesaid orders/notices. A writ of mandamus has also been sought commanding respondents not to realise any amount pursuant to the impugned orders. Further notification dated 27-6-2006 issued by the State Government notifying 'assessing officer' under Section 126 of the Act, 2003 has also been challenged on the ground that it is ultra vires and illegal. In Writ Petitions Nos. 22263 of 2008, 22365 of 2008 and 22678 of 2008, only provisional assessment notice issued by the Executive Engineer concerned as well as the Government notification dated 27-6-2006 have been challenged. In Writ Petitions Nos. 21986 of 2008. and 22367 of 2008, the demand notice dated 29-3-2008 under Section 3 of 1958 Act as well as the notification dated 27.06.2006 are under challenge. For the purpose of brevity the facts have been taken from the leading Writ Petition No. 21073 of 2008 (*Ashok Kumar v. State of U.P.*).

3. The petitioner is running an Oil Expeller at his premises situated at Kheragarh,

District



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Agra for which he obtained an electric connection with the contracted load of 21 Horse Power. The electricity is being distributed in District Agra by respondent No. 2 namely, Dakshinanchal Vidyut Vitran Nigam Limited (hereinafter referred to as the "DVVNL"). It is said that on 22-9-2007 a new meter was installed at the petitioner's premises. While taking away old meter, it was mentioned in the meter sealing certificate dated 22-9-2007 (Annexure-1 to the writ petition) that the old meter shall be tested in the laboratory of respondent No. 2 on 4-10-2007 in the presence of the consumer or his representative. The petitioner submits that on 4-10-2007, in the test laboratory, old meter was checked and nothing wrong was found therein for the purpose of revenue assessment as is evident from page 52 of the paper book which is a test report duly signed by the Assistant Engineer (Meters), Electricity Test Laboratory, Electricity Test Division, Agra. However, on 18-3-2008 the respondent No. 3, i.e., Executive Engineer, Electricity Distribution Division-I, DVVNL, Agra issued a provisional assessment notice stating that on 15-1-2008 during an inspection the petitioner was found committing certain irregularities/theft of energy on account whereof an assessment of Rs. 3,83,622/- was imposed. The petitioner was given seven days time to submit his objection. Copy of the said notice dated 18-03-2008 is on record as Annexure-1-A to the writ petition. Thereafter on 29-3-2008 a demand notice under Section 3 of 1958 Act was issued for recovering Rs. 3,83,644/- which included the amount of provisional assessment as mentioned in the notice dated 18-3-2008 as well as the process fee of Rs. 22/- being cost of notice under Section 3 of 1958 Act. It is this act of the respondents which has compelled the petitioner to approach this Court under Art. 226 of the Constitution of India.

4. In all other matters the assessment orders and demand notices are similar except of amount and in some cases date of inspection is different which is given in the form of a chart as under:

1	2	3	4	5	6	7
W.P. No.	Name of Petitioner	Provisional Assessment Notice	Assessment amount	Demand Notice	Amount	Basis of Assessment
21073/08	Ashok Kumar & Ors.	18-3-08	3,83,622/-	29-3-08	3,83,644/-	MRI/Check report dt. 15-1-08
21984/08	Arul Kumar Garg	18-3-08	1,95,334/-	29-3-08	1,95,356/-	MRI/Check report dt. 15-1-08
21985/08	Om Prakash	18-3-08	2,05,348/-	29-3-08	2,05,370/-	MRI/Check report dt. 15-1-08
21986/08	Pramod			29-3-08	4,01,486/-	MRI/Check

	Kumar				-	report dt. 15-01-08
21988/08	Sanjay Kumar	18-3-08	1,85,011/-	29-3-08	1,85,033/-	MRI/Check report dt. 15-1-08
21989/03	Rajesh Kumar Garg	18-3-08	3,86,202/-	29-3-08	3,86,224/-	MRI/Check report dt. 15-1-08



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22263/08	Bhagwan Das	18-3-08	2,44,217/-			MRI/Check report dt. 15-1-08
22674/08	Neeraj Sharma	19-3-08	1,86,230/-	29-3-08	1,86,252/-	MRI/Check report dt. 15-1-08
22262/08	Bhagwan Garg	18-3-08	2,13,083/-	29-3-08	2,13,105/-	MRI/Check report dt. 16-1-08
22365/08	Mukesh Kumar	18-3-08	1,88,643/-	————	————	MRI/Check report dt. 16-1-08
22368/08	Ram Gopal	19-3-08	2,07,669/-	29-3-08	2,07,681/-	MRI/Check report dt. 16-1-08
22369/08	Manish Kumar	18-3-08	2,09,863/-	29-3-08	2,09,885/-	MRI/Check report dt. 16-1-08
22370/08	Satya Prakash Sharma	18-3-08	1,93,632/-	29-3-08	1,93,654/-	MRI/Check report dt. 16-1-08
22678/08	Kapoor Chandra	18-3-08	2,07,015/-	————	————	MRI/Check report dt. 16-1-08
21987/08	Giriraj Kishore	25-3-08	2,01,501/-	29-3-08	2,01,522	MRI/Check report dt. 17-1-08
22260/08	Trilok Chand	18-3-08	3,93,975/-	29-3-08	3,93,997/-	MRI/Check report dt. 17-1-08
22367/08	Saheb Singh	————	————	29-3-08	2,37,582/-	MRI/Check

					-	report dt. 17-1-08
22371/08	Rambir Giri	18-3-08	2,06,771/-	29-3-08	2,06,793/-	MRI/Check report dt. 17-1-08
22373/08	Mukesh	18-3-08	2,22,858/-	29-3-08	2,22,880/-	MRI/Check report dt. 17-1-08

5. In Writ Petition No. 18542 of 2008 the facts are slightly different. A provisional assessment notice pursuant to MRI report was issued on 30-5-2007 whereafter a demand notice under Section 3 of 1958 Act was issued on 1-6-2007. The petitioner filed his objection on 18-6-2007 which was not decided by the assessing officer, whereafter the petitioner approached this Court in Writ Petition No. 44239 of 2007 which was disposed of on 17-9-2007 directing the assessing officer to pass final order which has been passed by the assessing officer on 8-3-2008 making assessment of Rs. 28,71,444/- against the petitioner.



6. The petitioners assailing the impugned orders/notices briefly submitted as under:

1. The respondent No. 2 is not a 'licencee' either under U.P. Electricity Reforms Act, 1999 (hereinafter referred to as the "1999 Act") or the Act, 2003 and, therefore, the respondent No. 3 neither can be nominated or notified to be an 'assessing officer' under Section 126 of Act, 2003 nor the State Government's notification dated 27-6-2006 can confer such power upon him. The notification dated 27-6-2006 is thus illegal and ultra vires of the Act, 2003 rendering various assessment orders issued by respondent No. 3 also without jurisdiction.
2. Though the impugned provisional assessment notice apparently pretend to give opportunity to the petitioners of showing cause against the proposed assessments but in fact there is flagrant violation of the procedure prescribed under Clause 6.8 of the U.P. Electricity Supply Code, 2005 (hereinafter referred to as Code, 2005) and in effect virtually no opportunity has been given to the petitioners. The entire proceedings are in flagrant violation of principles of natural justice.
3. Neither DVVNL has been notified to be a "Government Electrical Undertaking" under Section 2(c) of 1958 Act nor the respondent No. 3 has been notified as 'prescribed authority' under Section 2(b) of 1958 Act, therefore, the demand notice issued under Section 3 of 1958 Act is wholly without jurisdiction.
4. The very allegation of theft of electrical energy levelled against the petitioners is not substantiated by any material whatsoever and, therefore, unless the relevant material is disclosed to the petitioners, and charge of theft is proved

they are not in a position to submit any effective defence to the allegations made against the petitioners. The entire action of the respondents is based on conjectures and surmises and is in flagrant violation of the procedure prescribed in law.

7. The respondents have filed counter affidavit raising a preliminary objection that against the assessment made under Section 126 of the Act, 2003 the petitioners have an alternative remedy of appeal under Section 127 of the Act, 2003 and since such alternative remedy of appeal has not been availed of by the petitioners, therefore, the writ petition is liable to be dismissed on the ground of alternative remedy. On merits, it is stated that the enforcement squad of respondent No. 2 inspected premises of the petitioners and on the basis of MRI of meter it was found that the petitioners were indulged in irregularities/unauthorised user of electricity. Consequently, provisional assessment notices were issued to the petitioners but they did not file any objections thereagainst, hence, demand notices were issued under Section 3 of 1958 Act. Answering the question of validity of the State Government's notification dated 27-6-2006 with respect to 'assessing officer' issued under Section 126 of Act, 2003, it is said that such a challenge after more than 2 years suffers from undue laches and, therefore, to that extent writ petition is liable to be dismissed on the ground of delay and laches. Justifying assessment it is averred that as per MRI report dated 15-1-2008 lesser consumption was recorded in the display unit because of the deliberate action of the petitioners and, therefore, the revenue assessment was made under Section 126 of the Act, 2003. Due opportunity was given to the petitioners for submitting their reply to the provisional assessments which they failed and, therefore, the demand notices have been issued. It is further said that U.P. Power Corporation Limited (in short "UPPCL") is a 'licensee' and respondent No. 2, i.e., 'Agra Discom' is a subsidiary company of UPPCL. The officers of UPPCL transferred to Agra Discom are continuing to be the officers of UPPCL. Since they, i.e. UPPCL and its executive engineers, have already been notified as 'Government Electrical Undertaking' and 'prescribed authority' under Section 2(c) and 2(b) of 1958 Act vide Government notification dated 9-1-2001, therefore, the demand notices issued under Section 3 of 1958 Act are valid and need no interference, it is lastly submitted that the transfer scheme with respect to absorption of employees/officers of UPPCL has been



deferred up to 11-10-2008 vide notification dated 11-4-2008 and, therefore, presently, in law, it is the UPPCL and its officers who are actually functioning through Agra Discom which is a Government company 100% owned by UPPCL or its nominees and, therefore, there is no requirement of any separate notification with respect to 'Agra Discom' i.e. DVVNL or its employees under 1958 Act.

8. We have heard learned counsel for the parties and perused the record.

9. Dealing first with the preliminary objection regarding availability of alternative remedy we are of the view that the issues which have been raised in all these

petitions are purely legal and involves jurisdictional issues, therefore, these are not the cases where the writ petitions can be thrown on the ground of non exhaustion of alternative remedy. We need not to multiply various authorities on the subject but apt it would be to refer a recent one of the Apex Court in *Popcorn Entertainment v. City Industrial Development Corporation*, 2007 (4) JT (SC) 70 : (2007 AIR SCW 2010) wherein the Court has reiterated three exceptions for entertaining writ petition without relegating parties to avail alternative remedy and has said that if the action of the authorities is illegal and without jurisdiction; if the principles of natural justice have been violated and if the fundamental rights of the other side is violated, the writ petition would be maintainable, as is evident from paras 15 to 19 and 44 of the judgment.

10. All the three exceptions are applicable in these cases, if the contention of petitioners are upheld. Since the issues raised involve not only jurisdictional issue but also the constitutional rights of petitioners, i.e., non-deprivation of their property except in accordance with the procedure prescribed in law, we are of the view that the said issues should be settled by this Court so as to avoid multiplicity of litigation on the same issues before various authorities. Moreover, vires of notification dated 27-6-2006 of the State Government issued under Section 126 of the Act, 2003 is also involved. It is well settled principle that an authority constituted under a provision cannot judge the validity of the order in the nature of delegated legislation, therefore, the question as to whether the said notification is valid or not cannot be decided either by the assessing officer or even by appellate authority under Section 127 of the Act, 2003. Hence it is appropriate that these issues should be decided in these writ petitions without relegating the parties to avail alternative remedy. We accordingly negative preliminary objection and proceed to decide the issues on merits.

11. From the rival submissions and arguments advanced by the learned counsel for the parties, the questions which need adjudication by this Court are as under:

1. Whether the notification dated 27-6-2006 issued by the State Government in exercise of its power under Clause-(a) Explanation to Section 126 of Act, 2003 is valid inasmuch DVVNL (Agra Discom) can be said to be a 'licensee' under Act, 2003?
2. Whether DVVNL is a Government Electrical Undertaking as defined under Section 2(c) of 1958 Act?
3. Whether Executive Engineer of DVVNL is a prescribed authority as defined under Section 2(b) of 1958 Act?
4. Whether demand notice issued under Section 3 of 1958 Act by the Executive Engineer describing himself as Executive Engineer, UPPCL, Sikandara, Agra is valid?
5. Whether allegations of unauthorised user of electricity were properly and in specific and understandable manner communicated to the petitioners?
6. Whether the provisional assessment notices issued by the Executive Engineer, DVVNL making assessment against the concerned petitioners are in accordance with the procedure prescribed under Section 126 of Act, 2003 read with Clause-6.8 of U.P. Electrical Supply Code, 2005?

12. The first question which we are confronted is whether notification dated 27-06-2006 (Annexure-20 to the writ petition) is valid or is ultra vires of the explanation (a) of Section 126 of Act, 2003.

13. Section 126 of Act, 2003 reads as under:



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“126. Assessment.— (1) if on an inspection of any place or premises or after inspection of the equipments, gadgets, machines, devices found connected or used, or after inspection of records maintained by any person, the assessing officer comes to the conclusion that such person is indulging in unauthorised use of electricity, he shall provisionally assess to the best of his judgment the electricity charges payable by such person or by any other person benefited by such use.

(2) The order of provisional assessment shall be served upon the person in occupation or possession or in charge of the place or premises in such manner as may be pre scribed.

(3) The person, on whom an order has been served under sub-section (2), shall be entitled to file objections, if any, against the provisional assessment before the assessing officer, who shall, after affording a reasonable opportunity of hearing to such person, pass a final order of assessment within thirty days from the date of service of such order of provisional assessment, of the electricity charges payable by such person.

(4) Any person served with the order of provisional assessment may, accept such assessment and deposit the assessed amount with the licensee within seven days of service of such provisional assessment order upon him.

(5) If the assessing officer reaches to the conclusion that unauthorised use of electricity has taken place, the assessment shall be made for the entire period during which such unauthorised use of electricity has taken place and if, however, the period during which such unauthorised use of electricity has taken place cannot be ascertained, such period shall be limited to a period of twelve months ??? diately preceding the date of inspection.

(6) The assessment under this section shall be made at a rate equal to twice the tariff applicable for the relevant category of services specified in sub-section (5).

Explanation.— For the purpose of this section,—

(a) “assessing officer” means an officer of a State Government or Board or licensee, as the case may be, designated as such by the State Government;

(b) “unauthorised use of electricity” means the usage of electricity—

(i) by any artificial means; or

(ii) by a means not authorised by the concerned person or authority or licensee; or

- (iii) through a tampered meter; or
- (iv) for the purpose other than for which the usage of electricity was authorised.”

(Emphasis added)

14. In exercise of the aforesaid power the State Government has published notification dated 27-6-2006 as under:

“In pursuance of the provisions of clause (a) of the Explanation to section 126 of the Electricity Act, 2003 (Act No. 36 of 2003) and in supersession of Government order No. 231-P-2004-24-27P/98, dated January 17, 2004 the Governor is pleased to designate.—

(a) the Executive Engineers of the Distribution Divisions of the Madhyanchal Vidyut Vitran Nigam Limited, Lucknow, Purvanchal Vidyut Vitran Nigam Limited, Varanasi, Paschimanchal Vidyut Vitran Nigam Limited, Meerut, Dakshinanchal Vidyut “Vitran Nigam Limited, Agra and Kanpur Electricity Supply Company, KESCO, Kanpur as Assessing Officer within their respective jurisdiction, and

(b) the Assistant Managers of NOIDA Power Company Limited as the Assessing Officers within their respective jurisdiction.”

15. Learned counsel for the petitioners contended that DVVNL is a company incorporated in the year 2003 and has neither applied nor granted any licence either under 1999 Act or the Act, 2003 and, therefore, cannot be treated to be a ‘licensee’ under the Act, 2003. That being so, the respondent No. 3, an employee of respondent No. 2, i.e., DVVNL could not have been notified an ‘assessing officer’ under Section 126 of the Act, 2003 and, therefore, the aforesaid notification dated 27-6-2006 is ultra vires of the Act, 2003.

16. Before examining the aforesaid



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question, it would thus be relevant to have a bird eye view of the historical background of power sector reforms in the State of U.P. and statutory provisions contained in various statutes applicable thereto. These aspects to some extent have already been dealt with by a Division Bench of this court in *Maa Vind Vasini Industries v. Purvanchal Vidyut Vitran Nigam Ltd. D.L.W. Bhikharipur, Varanasi*, 2008 (1) ADJ 75 : (2008 (2) ALJ 456) (DB) and we find it useful to quote paras 15 and 16 thereof as under:

“15. In the State of Uttar Pradesh, generation, distribution and transmission of electrical energy initially, and in particular after 1975, was solely in the hands of the U.P. State Electricity Board (in short ‘UPSEB’), a statutory body constituted under Section 5 of the Electricity (Supply) Act, 1948 (in short ‘1948 Act’). With the expansion of the generation units, a Government Company, namely, U.P. Rajya Vidyut Utpadan Nigam Limited (in short UPRVUNL) was incorporated under the Companies Act, 1956 in the year 1980. It is wholly owned by the State Government of Uttar Pradesh. Similarly, in 1985, another company, U.P. Jal Vidyut

Nigam Limited (in short 'UPJVNL') was incorporated which was also wholly owned by the State Government of U.P. A major power reform was brought into force in the year 1999 by the legislature enacting Reforms Act, 1999 which was assented to by the President of India on 23-6-1999 and published in U.P. Gazette (Extraordinary) on 7-7-1999. Section 13 of Reforms Act, 1999 provides for formation of a company namely UPPCL registered, under the Companies Act, 1956, which is required to undertake planning and co-ordination in regard to transmission, to determine electricity requirement in the State in consultation with the generation companies etc. and be a legal successor of UPSEB in relation to all power purchase and transmission agreements. Section 23(1) of Reforms Act, 1999 provides that on and from the date specified in the Transfer Scheme prepared by the State Government to give effect to the objectives of the Act, all properties, interest, right and liabilities of UPSEB shall be vested in the State Government and, thereafter, shall re-vest in UPPCL and generating companies in accordance with the Transfer Scheme so specified, on such terms and conditions as may be determined, by the State Government.

16. The State Government in exercise of the powers under section 23(1) & (2) of Reforms Act, 1999 published U.P. Electricity Reforms Transfer Scheme, 2000 (hereinafter referred to as "Transfer Scheme, 2000"), which came into force on 14th January, 2000. Under clauses 4 and 5 of Transfer Scheme, 2000 all thermal generating undertakings stood transferred to UPRVUNL, hydro generating undertakings transferred to UPJVNL and the undertakings forming part of transmission and distribution to UPPCL."

17. By another transfer scheme notified on 15-1-2000 assets, liabilities and personnel of Kanpur Electricity Supply Authority were transferred to another company namely, Kanpur Electricity Supply Company which was also registered as a "Government Company" under the Companies Act, 1956 (hereinafter referred to as the "1956 Act"). Since then, the aforesaid companies were operating and distributing electricity in the State of U.P.

18. In the year 2003 the State of U.P. felt need for further unbundling of UPPCL. Four new companies were thus formed namely, (1) Dakshinanchal Vidyut Vitran Nigam Limited (Agra Discom), (2) Madhyanchal Vidyut Vitran Nigam Limited (Lucknow Discom) (3) Paschimanchal Vidyut Vitran Nigam Limited (Meerut Discom) and (4) Purvanchal Vidyut Vitran Nigam Limited (Varanasi Discom). With the incorporation of the aforesaid four companies the distribution of electrical energy in the territorial jurisdiction of the aforesaid four companies got transferred to them w.e.f. 12-8-2003 and UPPCL ceases to be a distributing company then on in view of clause 2(g) read with clause 3 of U.P. Power Sector Reforms (Transfer of Distribution Undertakings) Scheme, 2003 (hereinafter referred to as "Transfer Scheme, 2003") published in exercise of power under



subsection (4) of Section 131 of Act, 2003 read with Section 23(4) of 1999 Act.

19. Clause 2(g) of the Transfer Scheme, 2003 defines effective date of transfer as under:

“2(g). “Effective date of transfer” means the date of publication of this Scheme in the Official Gazette;”

20. Clause 3 of the said Scheme provides for classification and transfer of undertakings of UPPCL to the aforesaid four companies as under:

“3. Classification and Transfer of Undertakings.— (1) The existing business and undertakings of Uttar Pradesh Power Corporation Limited shall stand classified, namely as

- (a) Zone-I Distribution Undertakings as set out in Schedule-A;
- (b) Zone-II Distribution Undertakings as set out in Schedule-B;
- (c) Zone-III Distribution Undertakings as set out in Schedule-C;
- (d) Zone-IV Distribution Undertakings as set out in Schedule-D;
- (e) Transmission Undertakings and Residuary Undertakings as per clause 3(4) with the assets and liabilities as set out in Schedule-D1.

(2) On and with effect from the Effective Date of Transfer, without any further act (s) or thing(s) to be done by the State Government, UPPCL, any distribution company, the personnel, their respective debtors or creditors, or any other person, the Distribution Undertakings related to Zone-I, Zone-II, Zone-III and Zone-IV and set out in Schedules A, B, C and D shall stand transferred to Agra Discom, Lucknow Discom, Meerut Discom and Varanasi Discom respectively, subject however to terms and conditions specified in this Scheme.

(3) In consideration of the transfer of Distribution Undertakings related to Zone -I, Zone-II, Zone-III, and Zone-IV by UPPCL to Agra Discom, Lucknow Discom, Meerut Discom and Varanasi Discom respectively in terms of the Transfer Scheme, Agra Discom, Lucknow Discom, Meerut Discom and Varanasi Discom shall issue and allot equity shares and/or instruments to UPPCL as specified in Schedules A, B, C, D respectively.

(4) The transmission and residuary undertakings with the assets and liabilities specified in Schedule D1 and all proceedings, and personnel, other than those specified in sub-rule (2) as forming part of any Distribution Undertakings, shall continue to remain and belong to UPPCL.

(5) On the transfer and vesting of the Distribution Undertakings and except as otherwise provided in this Transfer Scheme, the relevant distribution company shall be responsible for all, or the relevant part of any contracts, tenders, rights, deeds, Schemes, bonds, agreements and other instruments of whatever nature relating to the Distribution Undertakings, which are subsisting or having effect on the Effective Date of Transfer, in the same manner as UPPCL was liable immediately before the Effective Date of Transfer and the same shall be in full force and effect against or in favour of the relevant distribution company and may be enforced as fully and effectively as if instead of UPPCL, the relevant distribution company had been a party thereto.”

21. In respect to DVVNL, i.e., Agra Discom, Schedule A of Transfer Scheme, 2003 contains the description of distribution assets, general assets/liabilities, other assets and miscellaneous items. Para V, Schedule A of Transfer Scheme, 2003 provides as

under:

“V. The State Government may however, transfer any of the above assets, liabilities, proceedings etc. within one year from the effective date the State Government may consider appropriate to the UPPCL or any of the Distribution Companies.”

22. It is not in dispute that till date, no as sets, liabilities, proceedings etc. which stood transferred to DVVNL (Agra Discom) has been transferred back to UPPCL or any other distribution company in exercise of power in para-V Schedule A of Transfer Scheme, 2003. Therefore, whatever stood transferred to DVVNL, i.e., Agra Discom with effect from 12-8-2003 is continuing thereafter with



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DVVNL and UPPCL had ceased to be a Distribution Undertaking in respect to the said area over which DVVNL (Agra Discom) is operating as a Distribution Undertaking. It would be useful to clarify at this very stage as to the area transferred to DVVNL and the meaning of the word “Distribution Undertaking”. The term “Distribution Undertaking” has been defined in Clause (2)(e) of Transfer Scheme, 2003 and reads as under.:

“(e) “Distribution Undertakings” means,

- (i) with respect to the Agra Discom, the distribution business and the assets, liabilities, proceedings and personnel specified in the Schedule “A”;
- (ii) with respect to Lucknow Discom, the distribution business and the asses, liabilities, proceedings and personnel specified in the Scheduled “B”;
- (iii) with respect to Meerut Discom, the distribution business and the assets, liabilities, proceedings and personnel specified in the Scheduled “C”;
- (iv) with respect to Varanasi Discom, the distribution business and the assets, liabilities, proceedings and personnel specified in the Schedule “D”;

23. The term “Agra Discom” has been de fined in Clause (2)(b), which reads as under:

“(b) “Agra Discom” means the Dakshi-nanchal Vidyut Vitaran Nigam Limited, which is incorporated with the principal object of engaging in the business of distribution and supply of electricity in the areas under Zone-I as specified in Part I of Schedule-I of this Scheme;”

24. Part-I Schedule I provides for area of supply and distribution of Agra Discom and reads as under:

“Part-I

The Agra Discom shall have the area of supply as the following existing Distribution Zones of the UPPCL

- (a) Agra Zone
- (b) Jhansi Zone
- (c) Kanpur Zone”

25. There is another aspect which may also be considered hereat. In view of

Clause (3) though the entire assets, liabilities, personnels etc. of UPPCL with respect to existing business and undertaking of distribution stood transferred with effect from 12-8-2003 to various Distribution Undertakings as defined under Clause 2(e) of Transfer Scheme, 2003, but Clause 4 read with (7) and (8) thereof provide, the transfer is provisional at the first instance and liable to be finalized subsequently. As per Clauses (7) and (8) of Transfer Scheme, 2003, the provisionality of transfer was to continue for a period of 12 months, thereafter it shall be treated to be final but in view of the amendments made thereunder in the year 2008, the period has been extended to five years, i.e., up to 12-8-2008.

26. From Annexure-CA-3 to the counter affidavit it is evident that in respect to DVVNL majority shares are held by UPPCL and some smaller number of shares are held by certain individuals holding the position of Director, Managing Director and Chief General Manager in UPPCL or DVVNL. It is not in dispute that DVVNL has neither applied nor granted any licence under 1999 Act or the Act, 2003. In these circumstances we have to consider, whether, for the purpose of Section 126 of the Act, 2003, DVVNL can be said to be a licensee since only then the notification dated 27-6-2006 could have been issued by the State Government notifying officers of DVVNL as 'assessing officer' under Section 126 of the Act, 2003.

27. Section 14 of the Act, 2003 deals with grant of licence and the relevant part thereof reads as under:

"14. Grant of licence.— The Appropriate Commission may, on an application made to it under section 15, grant a licence to any person—

- (a) to transmit electricity as a transmission licensee; or
 - (b) to distribute electricity as a distribution licensee; or
 - (c) to undertake trading in electricity as an electricity trader,
- in any area as may be specified in the licence:

.....

Provided also that the Government

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company or the company referred to in sub-section (2) of section 131 of this Act and the company or companies created in pursuance of the Acts specified in the Schedule, shall be deemed to be a licensee under this Act:

....."

(Emphasis added)

28. The term "licensee" has also been defined under Section 2(39) of the Act, 2003 and reads as under:

"(39) "licensee" means a person who has been granted a licence under section 14;"

29. The relevant proviso of Section 14 with which we are concerned in this case, a perusal thereof clearly shows, that a Government company or a company referred to in sub-section (2) of Section 131 of the Act, 2003 and the company or companies

created in pursuant of the Act specified in the schedule shall be deemed to be a 'licensee' under this Act, i.e., the Act, 2003. The aforesaid thus talks of the following companies as 'deemed licensee' under the Act, 2003:

- (1) A Government company;
- (2) Company referred to in Section 131(2) of the Act, 2003;
- (3) Company or companies created in pursuant of the Act specified in the schedule, i.e., Orissa Electricity Reform Act, 1995, Haryana Electricity Reform Act, 1997, Andhra Pradesh Electricity Reform Act, 1998, Uttar Pradesh Electricity Reform Act, 1999 Karnataka Electricity Reform Act, 1999, Rajasthan Electricity Reform Act, 1999, Delhi Electricity Reforms Act, 2000, Madhya Pradesh Vidyut Sudhar Adhiniyam, 2000 and Gujarat Electricity Industry (Reorganization and Regulation) Act, 2003.

30. At this stage learned counsel for the petitioner sought to argue that in the proviso the words 'Government company' or the 'company' before the words "referred to in sub-section (2) of Section 131 of this Act" must be read as if both i.e. 'Government company' or the 'company' are such which are referred to in sub-section (2) of Section 131 and should not be read separately being distinct classes. We are not impressed with the submission for the simple reason that under Section 131(1) of the Act, 2003 the State Government is entitled to transfer the property, rights and liabilities etc. of a State Electricity Board constituted under Section 5 of Electricity Act, 1948 to the State Government itself and thereafter under sub-section (2) it shall be re-vested in a Government company or a company or companies in accordance with the said transfer scheme. The words 'Government company' or 'company' or 'companies' have already been used in Section 131(2) of the Act, 2003. If this would have been the intention of legislature as argued by learned counsel for the petitioner, while legislating proviso to Section 14 of the Act, 2003, there was no occasion for using both the words namely, 'Government company' or the 'company' in proviso to Section 14 of the Act, 2003 since both these words already exist in Section 131(2) of the Act, 2003. Both have been mentioned distinct in Section 14, proviso. It means that the legislature intended to treat a 'Government company' as a 'deemed licensee' under Section 14 of the Act irrespective of the fact whether it has been transferred property interest, rights and liabilities etc. of the State Electricity Board under Section 131(2) of the Act or is created as a new company to undertake the same or has already been vested of the said property under some other statute not referable to Section 131(2) of the Act, 2003. We, therefore, are clearly of the view that for the purpose of proviso of Section 14 of the Act, 2003 a 'Government company' is a separate category in itself than the 'company' etc. which have been referred to Section 131(2) of the Act, 2003 and that category may also include a 'Government company' but i.e. a different aspect and incident.

31. It is not in dispute that UPPCL is a company created in pursuance to the Act specified in the schedule namely, 1999 Act. Though there is a dispute between the parties as to whether the four discoms namely, Agra Discom, Meerut Discom, Lucknow Discom and Varanasi Discom which includes DVVNL also can be said to be the companies created pursuant to 1999 Act but there is no dispute

between the parties that the aforesaid discoms are mainly owned by UPPCL which is a 'Government company'. In order to find out whether DVVNL can be said to be a 'deemed licensee' under proviso to Section 14 of the Act, 2003 it is necessary for DVVNL either to qualify as a 'Government company', or, 'as a company created in pursuant to 1999 Act' since the third category namely, company referred to in Section 131(2) of the Act, 2003 admittedly is not applicable to it. We shall first find out whether it can be said to be a Government company or not since any finding otherwise on this aspect would only render it necessary to consider the second aspect.

32. The term "Government company" is defined under Section 2(31) of the Act, 2003 and reads as under:

"2(31) "Government company" shall have the meaning assigned to it in section 617 of the Companies Act, 1956(1 of 1956)."

33. Section 617 of 1956 Act defines a "Government company" as under:

"617. Definition of "Government Company".—

For the purposes of this Act Government company means any company in which not less than fifty one percent of the paid-up share capital is held by the Central Government, or by any State Government, or Governments, or partly by the Central Government, and partly by one or more State Governments, and includes a company which is a subsidiary of a Government Company as thus defined."

(Emphasis added)

34. The definition of 'Government company' thus extends to a company which is subsidiary of a 'Government company'. The term "subsidiary company" has been defined under Section 2(47) read with Section 4 of 1956 Act which are reproduced as under:

"2(47) "subsidiary company" or "subsidiary" means a subsidiary company within the meaning of section 4;"

"4, Meaning of "holding company" and "subsidiary".— (1) For the purpose of this Act, a company shall, subject to the provisions of sub-section (3), be deemed to be a subsidiary of another if, but only if,"

(a) that other controls the composition of its Board of Directors; or

(b) that other—

(i) where the first-mentioned company is an existing company in respect of which the holders of preference shares issued before the commencement of this Act have the same voting rights in all respects as the holders of equity shares, exercises or controls more than half of the total voting power of such company;

(ii) where the first-mentioned company is any other company, holds more than half in nominal value of its equity share capital; or

(c) the first-mentioned company is a subsidiary of any company which is that other's subsidiary."

35. A conjoint reading of Section 4(1) read with Section 617 of 1956 Act leads to inescapable conclusion that DVVNL is a subsidiary company of UPPCL which admittedly is a Government company and, therefore, DVVNL is also a 'Government company' as defined under Section 617 of 1956 Act. Once we reach to this conclusion that DVVNL is a 'Government company' as defined under Section 617 of 1956 Act, the answer to question whether it is 'deemed licensee' under Section 14 of the Act, 2003 becomes clear. The proviso does not talk of a 'Government company' which has already been licensed under any provision or under any statute but the mere fact that it is a 'Government company' is sufficient to qualify it to be a 'deemed licensee' under proviso to Section 14 of the Act, 2003. Rest of the things are not relevant at all. A deeming provision made in a statute is intended to cover a situation which otherwise does not exist and, therefore, unless there is some restriction provided in the statute itself, expressly or by necessary implication, deeming provision has to be given full effect.

36. In *Doypack Systems Private Limited v. Union of India*, (1988) 2 SCC 299 : (AIR 1988 SC 782) the Court held that deeming provision generally is intended to enlarge the meaning of a particular word or to include



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matters which otherwise may not fall within the main provision. It is also true that a legal fiction must be construed having referred to the purpose and object of the Act for which the same was enacted as was observed in *Ishikawajma-Harima Heavy Industries Limited v. Director of Income Tax, Mumbai*, (2007) 3 SCC 481 : (AIR 2007 SC 929). We find that in the present case the Act, 2003 besides others, has an objective of unbundling of State Electricity Boards and transfer of its functions to company/companies created by the State Government and others. We do not find that if Government companies are declared to be 'deemed licensee' under Section 14 of the Act, the same would defeat or would not further the objective of the Act.

37. Thus a 'Government company', by virtue of being a 'Government company', would be a 'deemed licensee' by virtue of proviso to Section 14 of the Act, 2003, irrespective of any other factor whether exist or not. DVVNL thus a Government company, is a deemed licensee under Section 14 of Act, 2003.

38. Learned counsel for the petitioners submits that Clause 9 of Transfer Scheme, 2003 provides specifically that the distribution companies namely, Agra Discom, Meerut Discom, Lucknow Discom and Varanasi Discom constituted thereunder would have to obtain a licence from the regulatory commission within 60 days from the date of publication of Transfer Scheme, 2003. The scheme was published on 12-8-2003 and since no licence was obtained by any of the discoms within 60 days thereunder, therefore, it cannot be said that the aforesaid discoms are holding a licence under 1999 Act.

39. The argument, in our view, though at the first flush attract but on deeper scrutiny we found is thoroughly misconceived. We are not considering as to whether DVVNL or a discom referred to in the Transfer Scheme, 2003 has been granted

licence under 1999 Act or under any other Act. On the contrary, we are confined to the issue with reference to proviso, Section 14 of Act, 2003 which is an independent provision. The said provision is neither controlled nor is subordinate nor its scope can be restricted in any manner by 1999 Act or by Transfer Scheme, 2003 which is in the nature of a delegated legislation having been issued under Section 23 of 1999 Act read with Section 131(4) of the Act, 2003 and cannot override Section 14 of Act, 2003. In construing the ambit of Section 14, proviso, of Act, 2003, we do not find it necessary to take into consideration the effect and consequences of non-compliance of certain provisions of Transfer Scheme, 2003. For construing Section 14 of Act, 2003, in our view, the principle of plain and simple construction and interpretation has to be followed and adopted. As we have discussed above, Section 14, proviso, of Act, 2003 read with Sections 4(1) and 617 of 1956 Act makes it clear that DVVNL is a 'Government company', and, that being so, it is a 'deemed licensee' under Section 14 of Act, 2003. Once DVVNL qualify to be a 'deemed licensee' under Section 14 of the Act, 2003, it cannot be said that the State Government faulted in any manner in issuing notification dated 27-6-2006 notifying officers of DVVNL as 'assessing officer' under Section 126 of the Act. Therefore, we are clearly of the view that notification dated 27-6-2006 is neither illegal nor ultra vires of Explanation (a) of Section 126 of the Act, 2003. We thus hold that the State Government has validly notified the officers of DVVNL which is a 'Government company' under Section 617 read with Section 4(1) of 1956 Act, as 'assessing officer' and, therefore, the assessment orders issued by the said authorities cannot be said to be illegal or without jurisdiction on this ground.

40. The second question which needs to be considered is whether DVVNL qualifies to be a Government Electrical Undertaking under Section 2(c) of 1958 Act so as to take steps for recovery of its dues from its consumers as arrears of land revenue as per the procedure prescribed under 1958 Act?

41. We have already held that DVVNL (Agra Discom) is a Government company in view of the provisions contained under Section 617 of 1956 Act read with definition of Subsidiary Company as provided in Section 4 of the said Act. In view of the specific



definition of Government Company, it is true that DVVNL is a subsidiary company of UPPCL, yet, by that itself it does not mean that DVVNL has no independent identity and for all purposes is a part and parcel of UPPCL. It is well settled that one who own certain property, assets, liability etc. cannot transfer the same to himself. For making transfer of property, assets, liabilities etc. existence of more than one is necessary. DVVNL has been incorporated as a separate Government Company though its majority shares are owned by UPPCL. It is a subsidiary company of UPPCL but that does not extinguish the independent and separate entity of DVVNL. This independent entity of DVVNL is fortified from the fact that under the Transfer Scheme, 2003 assets, liabilities, properties of UPPCL with respect to distribution business have been transferred from UPPCL to DVVNL (Agra Discom). Therefore, the mere fact that

DVVNL is a subsidiary company of UPPCL, it cannot be said to be a part and parcel of UPPCL, as if having no separate identity or legal and juristic personality. We can understand this from example of UPPCL also where 100 per cent shares are owned by the State Government, yet UPPCL is not a department and part and parcel of the State Government, but is a separate juristic personality for all purposes. UPPCL and the State Government are two different bodies. A similar question has been considered by a Division Bench of this Court in *Rajeev Kumar Jauhari v. State of U.P.*, 2007 (4) ESC 2253 : 2007 (7) ADJ 110 : (2007 (1) ALJ 620) (DB) wherein this Court held as under:

“Merely for the reason that the State Government is 100% share holder of the company does not identify the company itself with the State Government. In *Shrikant v. Vasant Rao*, (2006) 2 SCC 682 : (AIR 2006 SC 918), the Court held in para 24 that in the matter of a company where the entire share capital is held by the State Government, yet it cannot be identified with the State Government and is always entitled to act and proceed in a manner a company function. This principle was recognized as long back as in 1970 also by a Constitution Bench in *R.C. Cooper v. Union of India*, (1970) 1 SCC 248 : AIR 1970 SC 564, and at page 584, the Apex Court held-“A company registered under the Companies Act is a legal person, separate and distinct from its individual members. Property of the Company is not the property of the shareholders. A shareholder has merely an interest in the Company arising under its Article of Association measured by a sum of money for the purpose of liability, and by a share in the profit.”

42. The aforesaid view was reiterated in *Heavy Engineering Mazdoor Union v. State of Bihar*, (1969) 1 SCC 765 : AIR 1970 SC 82, *Ahdhra Pradesh State Road Transport Corporation v. Income Tax Officer*, AIR 1964 SC 1486, *Western Coalfields Ltd. v. Special Area Development Authority*, (1982) 1 SCC 125 : AIR 1982 SC 697. A Constitution Bench of the Apex Court in *Electronics Corporation of India Ltd. v. Secretary, Revenue Department, Government of A.P.* ((1999) 4 SCC 458 : AIR 1999 SC 1734), in Para-15 of the judgment held as under:

“A clear distinction must be drawn between a company and its shareholder, even though that shareholder may be only one and that the Central or a State Government. In the eye of the law, a company registered under the Companies Act is a distinct legal entity other than the legal entity or entities that hold its shares.”

43. Similar question has again been considered by another Division Bench of this Court in *Maa Vind Vasini Industries* (2008 (2) ALJ 456) (supra) wherein in paras 36 and 38 of the judgment, the Court observed as under:

“36. The company where shareholding is owned by the Government can never be treated to be a department of the Government and it has a separate legal existence for all purposes, and, has to function in accordance with the Article of Association and the provision of the Companies Act.

38. Thus it is evident that once independent companies have come into existence, rights, property and obligations have also vested therein separately, they are all totally separate and individual bodies and have to function in an autonomous manner without



any influence from any third party except to the extent the statutory provisions otherwise require. We have not been shown any provision under which an officer of UPPCL can issue binding orders to other companies like various Discoms including the respondent No. 1."

44. That being so, we have no hesitation in observing that even though DVVNL is a Government company in view of the provisions of Companies Act but being an independent electrical undertaking having its own identity, it cannot be identified with UPPCL for a purpose more than what is prescribed in law. Since it is a separate and independent distribution company to which assets, liabilities etc. of UPPCL have been transferred under the Transfer Scheme, 2003, it is a separate undertaking and unless notified as required by Section 2(c) of 1958 Act, in our view, cannot qualify to be a 'Government Electrical Undertaking' under 1958 Act to avail the benefit of the said Act and the procedure prescribed thereunder for recovering its dues from its consumers.

45. The learned counsel for the respondents, in its counter affidavit, has placed on record a Government notification dated 9-1-2001 whereby UPPCL and the Executive Engineers of UPPCL, who are concerned with distribution, maintenance and revenue recovery have been notified as "Government Electrical Undertaking" and "prescribed authority" under Section 2(c) and (b) of 1958 Act. He argued that since DVVNL is a subsidiary company of UPPCL. therefore, it would be deemed to be a 'Government Electrical Undertaking' under Section 2(c) of 1958 Act and need not to be separately notified there under. However, we are not able to agree with the submission. The DVVNL being a separate and independent distribution company cannot be deemed to be a Government Electrical Undertaking merely because its majority share holder, namely, UPPCL has been notified to be 'Government Electrical Under taking' by the State Government. The State Government when notified UPPCL and its Executive Engineers dealing in distribution, maintenance and revenue recovery, has confined only to them and none else. The DVVNL in the garb of UPPCL cannot be deemed to be a 'Government Electrical Undertaking' under Section 2(c) of 1958 Act unless so expressly provided in the statute or by necessary implication and there is no other alternative but to come to such a conclusion. Since DVVNL and other Discoms have been separately created as independent entity and the distribution business of UPPCL has been transferred to those undertakings, we cannot accept the submission of the respondents that the notification pertaining to UPPCL would ipso facto be extendable and apply to DVVNL and other Discoms. We are also fortified in taking this view from sub-section (4) of Section 131 whereunder the distribution and supply work of electricity of UPPCL has been transferred to various distribution undertakings including DVVNL (Agra Discom), which reads as under:

"(4) The State Government may, after consulting the Government company or company or companies being State Transmission Utility or generating company or transmission licensee or distribution licensee, referred to in sub-section (2)

(hereinafter referred to as the transferor), require such transferor to draw up a transfer scheme to vest in a transferee being any other generating company or transmission licensee or distribution licensee, the property, interest in property, rights and liabilities which have been vested in the transferor under this section, and publish such scheme as statutory transfer scheme under this Act.”

(Emphasis added)

46. The words “being any other generating company or transmission licensee or distribution licensee” to which the property, interest in property, rights and liabilities etc. are to be transferred under Transfer Scheme must be other than the Government Company or companies being State transmission utility or generating company or transmission licensee or distribution licensee as referred to in sub-section (2) of Section 131 of the said Act. Since Transfer Scheme, 2003 has been notified under Section 131(4) of the Act, it is clear that the State Government understands



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and knows that various distribution companies including DVVNL (Agra Discom) are distinct from UPPCL. This is also fortified from the fact that in Clause 9 of the Transfer Scheme, 2003, it has been provided that the new distribution company shall apply to the commission for grant of licence under 1999 Act or Act, 2003 to undertake the business of distribution and retail supply of electricity in their area of operation. We, therefore, have no hesitation to hold that DVVNL having not been notified under Section 2(c) as a Government Electrical Undertaking, it cannot take steps for recovery of its dues as arrears of land revenue by taking help to the procedure prescribed under Sections 3 and 5 of 1958 Act and the said Act is inapplicable to it.

47. Learned counsel for the respondents sought to argue that the definition of ‘Government Electrical Undertaking’ is inclusive and, therefore, it cannot be restricted to only those electrical undertakings run or controlled by the State Government or by the Board as may be notified but a Government company, if it is engaged in electricity transmission, distribution or generation, that would also be covered by the term ‘Government Electrical Undertakings’ as defined under Section 2 (c) of 1958 Act irrespective of whether it is notified or not. However, the submission has no substance. From a bare perusal of the 1958 Act and its objective it is evident that it is applicable to Government Electrical Undertaking for recovery of dues in respect to electrical energy supplied to the consumer. 1958 Act was enacted about 50 years back when supply of electricity in the State of U.P. was not with the U.P. State Electricity Board but at that time the electricity was being supplied in the State of U.P. by various undertakings owned either by the State Government or local bodies/authorities or private companies. The U.P. State Electricity Board itself was created in the year 1959, and in phases, the electricity supply undertakings of State Government and other licensees were transferred. The inclusive definition of ‘Government Electrical Undertakings’ thus refers to the electrical undertakings owned by the State Government directly as its own department or the U.P. State Electricity Board which was created in 1959 and the entire work and staff of Government

department dealing with electricity supply was transferred to it. So far as the companies created subsequently for the aforesaid purpose, if the majority or 100% shareholding belong to State Government or Board, for including those companies, the same has to be notified under Section 2(c) otherwise the words "such other electrical undertaking run or controlled by the State Government or the Board as may be notified in this behalf would become superfluous and redundant. An interpretation which may render some part of legislation superfluous has to be rejected.

48. We are thus clearly of the view that DVVNL (Agra Discom) cannot be said to be a 'Government Electrical Undertaking' under Section 2(c) of 1958 Act unless it is notified for the said purpose under the 1958 Act and, therefore, the said Act has no application to the aforesaid company till it is so notified by the State Government.

49. The third and fourth questions are being dealt together as under.

50. Since question No. 2 has been answered against the respondents and DVVNL has been held not a 'Government Electrical Undertaking' under 1958 Act having not been notified thereunder, there is no manner of doubt that its officers and employees can neither be treated to be a 'prescribed authority' under 1958 Act nor it is the case of the respondents that the Executive Engineer of DVVNL has been notified under Section 2(b) as 'prescribed authority' to function under 1958 Act as such. Rather a very strange way has been adopted by the respondents. The entire checking has been conducted by the officials of DVVNL and, thereafter, the provisional assessment notice has also been issued by the Executive Engineer of DVVNL. However, the demand notice, which has been issued under Section 3 of 1958 Act, the designation of sender has been shown as Executive Engineer, UPPCL (prescribed authority), Electricity Distribution Division, Sikandara, Agra. The notice also mentions that the consumer



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concerned has not paid electricity dues payable to UPPCL, a Government Electrical Undertaking and, therefore, should pay the said dues failing which recovery certificate shall be issued to recover the said amount as arrears of land revenue. The notice, it is signed by Sub-Divisional Officer on behalf of the Executive Engineer (prescribed authority).

51. After transfer of assets, liabilities and distribution work of UPPCL to DVVNL in respect to Agra, Jhansi and Kanpur zones, as stated above, we are not able to understand as to how the petitioners have been said to be the consumers of UPPCL and that too in 2008. The checking was made by the employees of DVVNL, provisional assessment was made by the Executive Engineer, Distribution Division of DVVNL, Agra and therefore how and when the said dues became payable to UPPCL could not be clarified even by the learned counsel for the respondents. He also could not explain as to how and why the petitioners have been treated to be the consumers of UPPCL when the distribution undertaking has already been transferred to DVVNL w.e.f. 12-8-2003. Clause-5 of the Transfer Scheme, 2003 also provides that except to the extent specifically provided in the said scheme, after transfer of distribution

undertaking, the third party rights shall be restricted to the concerned transferee and such person shall not claim any right or interest against UPPCL and/or with the Board in connection therewith. Similarly Clause 3 and Clause 5 of Transfer Scheme, 2003 also provide that with effect from the effective date of transfer, i.e., date of publication of Transfer Scheme in Official Gazette, which is admittedly 12-8-2003, it is relevant distribution company which shall be responsible for all or the relevant part of any contracts, tenders, rights, deeds, schemes, bonds, agreements and other instruments of whatever nature relating to the Distribution Undertakings in place of UPPCL. It is true that in view of Clauses 7 and 8 as amended by notification dated 11-4-2008 vide U.P. Electricity Reforms (Transfer of Distribution Undertaking) (5th Amendment) Scheme, 2008 which has come into force with effect from 12-4-2008, the period of final transfer has been extended by 5 years, but that does not in any manner detract the fact that the distribution work has already been transferred to DVVNL and it is the DVVNL, which is a supplier of electricity to the petitioners and not UPPCL, since 12-8-2003 in Agra, Jhansi and Kanpur Zone by virtue of Transfer Scheme, 2003. That being so, the demand notices issued by the Executive Engineer purporting to be of UPPCL, Sikandara, Agra 'to the petitioners are wholly without jurisdiction and cannot be sustained. So far as the Executive Engineers of DVVNL is concerned, it is not in dispute that no notification has been issued under Section 2 (b) of 1958 Act notifying them to be a prescribed authority' under the said Act and, therefore, they have no jurisdiction to initiate any recovery proceeding under the said Act.

52. It is also contended by the respondents' counsel that since the employees of UPPCL have not been finally absorbed in DVVNL and, therefore, the parent employer of the Executive Engineer concerned, who is working in DVVNL is still UPPCL and hence a demand notice issued by him under 1958 Act would be valid since he is already notified to be a prescribed authority vide notification dated 9-1-2001, however, do not agree. In the present case, the petitioners are consumers of DVVNL and if they are liable to pay any dues of DVVNL, it is DVVNL only which can take appropriate steps as permissible in law to recover the said amount from the petitioners. Neither UPPCL nor its employees can have any jurisdiction to proceed against the petitioners since they are no more consumers of UPPCL in view of Transfer Scheme, 2003. Moreover, once the Executive Engineer concerned is working in DVVNL, he cannot describe himself to be an Executive Engineer of UPPCL and that too only for the purpose of taking recovery steps under 1958 Act though otherwise for all purposes he is working with DVVNL. Admittedly UPPCL is no more operating as a distribution licensee in the area which has been transferred to DVVNL.

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53. There is another aspect reflecting upon the legality of demand notice issued under Section 3 of 1958 Act. As per Rule 3 of U.P. Government Electrical Undertakings (Dues Recovery) Rules, 1958 (hereinafter referred to as "1958 Rules").

A demand notice has to be issued as per Form-A which provides that it has to be issued and signed by the prescribed authority. It does not contemplate any authorization by the prescribed authority notified under 1958 Act authorizing any one else to sign a legal document, i.e., a demand notice under Section 3 of 1958 Act. In the case in hand, demand notice clearly shows that it has been signed by Sub-divisional Officer, though purporting to be acting on behalf of Executive Engineer. In law, i.e., under 1958 Act read with 1958 Rules, it is clear that notice under Section 3 has to be signed by the prescribed authority himself since no power of authorization has been conferred upon the prescribed authority for issuing either notice under Section 3 or recovery certificate under Section 5 of 1958 Act. Therefore, a demand notice issued under the signatures of Sub-divisional Officer, who is a subordinate authority to an Executive Engineer is wholly without jurisdiction. This also negates the validity of notice issued under Section 3 of 1958 Act.

54. Both the questions thus are answered by holding that neither the Executive Engineer of DVVNL is a 'prescribed authority' under Section 2(b) of 1958 Act so long it is not notified thereunder nor the impugned demand notices are legal and valid.

Fifth and sixth questions: Both can be dealt together.

55. The provisional assessment notices are in question in all these cases except writ petitions No. 21986 of 2008 and 22356 of 2008 and have also been challenged on the ground that neither they have been issued observing the procedure prescribed under Section 126 of the Act, 2007 read with Clause 6.8 of Code, 2005 nor the petitioners have been given adequate opportunity of defence.

56. Sub-section (1) of Section 126 provides that if on inspection, the assessing authority comes to the conclusion that the person concerned is indulged in unauthorized user of electricity, the assessing officer shall provisionally assess, to best of its judgment, electricity charges payable by that person or by any other person benefited by such use. Therefore, the conditions precedent to attract the power of assessment under Section 126(1) is the conclusion drawn by the assessing officer that the person concerned has indulged in unauthorized use of electricity.

57. The term "unauthorized use of electricity" is defined in explanation (b) to Section 126 which includes usage of electricity (i) by any artificial means; or (b) by a means not authorised by the concerned person or authority or licensee; or (iii) through a tampered meter; or (iv) for the purpose other than for which the usage of electricity was authorised. Before issuing an assessment notice, therefore, the assessing officer must record its conclusion that the person concerned or any other person benefited has used electricity unauthorizedly in terms as defined in Explanation (b) of Section 126. The Act in respect to the stage of recording of conclusion by assessing officer regarding user of electricity by the person unauthorizedly does not provide specifically for any opportunity of hearing to the person concerned but also simultaneously does not prohibit the same. The allegation of unauthorised use of electricity by a person concerned, as defined in Explanation (b) also covers within its ambit certain acts/omission which constitute an offence under Section 135 of the Act, 2003. Therefore, it is a serious matter and no person can be indicted and held guilty of user of electricity unauthorizedly unless he is given an opportunity of hearing before coming to such conclusion. Where a person is held guilty of unauthorised user of electricity, besides making him responsible for paying

penalty in the shape of assessment under the Act, 2003 it also causes stigma on his conduct. He is declared an anti-social person indulging in a serious unsocial activity, by causing loss to the society and country in general and electricity undertaking in particular. Such condemnation of a person would not be permissible on the mere vagaries of the authority



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i.e. assessing officer unless such a person is given a fair opportunity of hearing i.e. putting his defence before the said authority. This Court is clearly of the view that before making provisional assessment, the assessing officer, in law, is bound to afford an opportunity to the consumer or person concerned of the allegations of means and ways in which he is said to have unauthorisedly used electricity, and, should be given an opportunity of placing his defence. Thereafter the assessing officer shall record its conclusion with respect to unauthorised use of electricity, to confer upon himself the jurisdiction to issue provisional assessment notice. The object of opportunity at the two stages namely, before arriving at the conclusion of unauthorised use of electricity and before making final assessment are distinct. In the former, it is the very issue whether the consumer is guilty of unauthorised use of electricity or not and in later case it is the quantum of amount which he is required to pay as a compensation and a fiscal preventive measure for committing such irregularity. The first one is the stage of finding the person guilty and later one is the stage of determining extent of monetary liability for compensating electrical undertaking qua the alleged unauthorised use of electricity by such persons. It is only when the proceedings are conducted in the above manner, the assessment made can be held valid and not otherwise.

58. It is true that judicial cognizance can/should be taken of the fact that theft of electricity has become a serious menace and a social evil not only in the State of U.P. but in the entire country. The electricity has become a necessity in the present day of society and development of society as well as nation cannot be conceived of without electricity. The availability of electricity however is much in deficiency. A huge amount of electricity, consumed by scrupulous persons is causing a serious loss to public revenue hampering and obstructing the development of electrical sector in particular as well as society and nation in general. Therefore, to check theft of electricity and/or unauthorized use of electricity, stern measures are required to be taken. The various provisions of Act, 2003 shows that the legislature is also concerned about it and has taken several measures from time to time including making harsh provisions in the statute.

59. However, this by itself would not justify condemnation and indictment of a citizen or a consumer of electricity by holding him guilty of unauthorized use of electricity on the vagaries of the officers of electrical undertaking unless he is disclosed the manner in which he was found using electricity unauthorizedly on inspection by the officer concerned and given an opportunity to explain his case, if any. It is well settled law that no person can be indicted or condemned without

giving a minimal opportunity of hearing. In the case of unauthorized use of electricity found by the assessing officer at any place or the premises etc. or otherwise, the same has to be disclosed to the person concerned giving him an opportunity to put his defence. The principles of natural justice unless excluded by express provision of the Act or by necessary implication cannot be said to be inapplicable when a citizen or person is being indicted of a serious charge, i.e., unauthorized use of electricity, which in some of the cases an offence under Section 135 of Act, 2003.

60. On behalf of the respondents it is argued that in case, such a view is taken, that would amount to delay of issuance of notices and proceedings and may hamper the very objectives of the Act i.e. prevention of theft/unauthorized use of electricity. We are not impressed with the said objection. It is permissible to an 'assessing officer' to cover both the aspects of the matter in the show cause notice, which he is required to issue under sub-section (3) of Section 126 of the Act. The conclusion with respect to unauthorized use of electricity is a condition precedent for issuing provisional assessment notice and, therefore, unless opportunity is given and a finding is recorded whether there is unauthorized use of electricity or not, the question of assessment would not arise. Obviously, no



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person can come to the conclusion of unauthorized use of electricity suo motu without giving an opportunity to the person concerned and any other procedure would not only be violation of principles of natural justice but would also be arbitrary, infringing Article 14 of the Constitution of India. In order to read Section 126(1) constitutionally valid, we have no hesitation in observing that before coming to any conclusion the assessing authority would give an opportunity to the person concerned to find out whether he is/was indulged in unauthorized use of electricity.

61. The manner in which we have read section 126(1) and (3) of the Act, 2003, the U.P. Electricity Regulatory Commission (hereinafter referred to as the "UPERC") and the distribution licensees working in the State of U.P., have also understood the same as is evident from the procedure prescribed in the Code, 2005 which has been published by UPERC in exercise of its power under Section 50 of the Act, 2003.

62. Para 6.8(a), (b) and (c) of Code, 2005 deals in detail the procedure for inspection, provisional assessment, hearing and final assessment in the case of unauthorised use of electricity and reads as under:

"6.8 Procedure for Inspection, Provisional assessment, Hearing and Final Assessment in case of unauthorised use of electricity (UUE) under Section 126 of the Act

- (a)(i) An Assessing Officer shall suo-moto, or on receipt of reliable information regarding unauthorised use of electricity or on instruction from higher authority, promptly conduct inspection of such premises, exercising due diligence. (Annexure 7.3(1))
- (ii) The assessing Officer, if required to do so, may handover his business card to the consumer before entering the premises. Photo ID card shall be

carried by each team members.

- (iii) The access to consumer premises shall be in accordance to clause 4.30 to 4.34. Provided that the occupant of the place of search or any person on his behalf shall remain present during the inspection. A list of all things seized in the course of such search shall be prepared and delivered to such occupant or person who shall sign the list.
 - (iv) The report shall be prepared at site giving details of connected load, condition and details of old seals and resealing done, working of meter, details of new seals. The report shall mention any irregularity noticed which may lead to an inference of unauthorised use of electricity in the format given Annexure 6.4. The Inspecting Officer shall carry seals for this purpose.
 - (v) The report shall clearly indicate whether or not conclusive evidence substantiating the fact that UUE was found. The details of such evidence should be recorded in the report. The report shall be signed by each member of the inspection team and handed over to the consumer or his/her representative at site immediately under proper receipt. In case of refusal by the consumer or his/her representative to either accept or give a receipt, a copy of inspection report shall be pasted at a conspicuous place in/outside the premises and may be photographed. Simultaneously, the report shall be sent to the consumer under Registered Post/Speed post on the day or the next day of the inspection.
 - (vi) Within 3 working days of the date of inspection, the Assessing Officer shall analyse the case after carefully considering all the evidence including the consumption pattern, wherever available and the report of inspection. If it is concluded that no unauthorised use of electricity has taken place, no further action will be taken.
- (b) Notice to the Consumer and his reply:
- (i) If the Assessing Officer suspects that Unauthorised Use of Electricity has taken place (as defined under Explanation to Section 126 of the Act), he will serve a provisional assessment bill along with show cause notice to the consumer, giving 15 working days for submission of reply, under proper receipt fixing a date of hearing.
 - (ii) The notice shall invite objections in writing from the consumer against the charges??? and provisional assessment and require presence of the consumer on the date of hearing.



(c) Hearing

- (i) On the date of hearing, the Assessing Officer shall hear the consumer. The Assessing Officer shall give due consideration to the facts submitted

by the consumer and pass, within 7 working days, a speaking order as to whether the case of UUE is established or not. The order shall contain the brief of inspection report, submissions made by the consumer in his written reply and during hearing.

- (ii) A copy of the order shall be served to the consumer under proper receipt, and in case of refusal to accept the order or in absence of the consumer, shall be served on him under Registered Post/Speed Post. The consumer shall be required to make the payment within 15 days of receipt of final order for assessment.
- (iii) If the Assessing Officer finds that unauthorised use of electricity has taken place (as defined under explanation to Section 126 of the Electricity Act, 2003, it shall be presumed unless contrary is proved, that such unauthorised use of electricity was continuing for either actual period of misuse, if available, or three months immediately preceding the date of inspection in case of domestic and agriculture services and for a period of six months immediately preceding the date of inspection for all other categories of services, and he shall provisionally assess the consumption as per the procedure specified in Annexure 6.3.
- (iv) The assessment under (iii) above shall be made at a rate equal to one-and-a-half times the tariff rates applicable for the relevant category of service. The amount billed at this rate (one-and-a-half times the tariff rates) shall not be taken into consideration for the purpose of computing consumer's liability to pay monthly/annual charges, wherever applicable."

63. A perusal of para 6.8(a)(i), (ii), (iv) and (v) shows that it presupposes an inspection of the premises to be made by the assessing officer and if he finds evidence of irregularities constituting unauthorised use of electricity at the premises, shall prepare a report at the site, giving details thereof, and, would handover the copy of such report to the consumer or his representative at the site itself. In case of refusal by consumer or its representative, to either accept or giving receipt to such report, the same shall be pasted at a conspicuous place at the premises and shall also be sent to the consumer under registered post/speed post on the day itself or the next day of the inspection. Therefore, the requirement of prima facie conclusion is supposed to be recorded by the assessing officer at the time of inspection itself and needs to be communicated to the consumer. Para 6.8(b)(ii) shows that the notice shall require the consumer to give his objections against the charges and provisional assessment. Para 6.8(c)(i) shows that an opportunity of personal hearing shall also be given to the consumer and thereafter the assessing officer shall pass a speaking order recording (i) whether unauthorised use of energy is established or not, and; where it is so established, (ii) shall determine the quantum of the amount which the consumer has to pay i.e. the assessment shall be made by the assessing officer. Thus even Code, 2005 which contains the conditions of electricity supply etc., provides a detailed procedure in which the assessment would have to be made by the assessing officer.

64. In these cases the assessing officer has proceeded to make assessment in a very strange manner. We propose to take the facts as stated in the counter-affidavit filed on behalf of respondents Nos. 2 and 3 in the leading Writ Petition No. 21073 of

2008 (*Ashok Kumar v. State of U.P.*). In other cases also, the situation is more or less same. As stated in para 6 of the counter-affidavit, on 15-1-2008 an inspection was made by the Enforcement Squad of DVVNL at the petitioners' premises and it took out MRI of the meter. The copy of the MRI report dated 15-1-2008 is Annexure-CA-I. It shows that the Assistant Engineer (Meter) First and Second, Sri J.K. Gupta and Pankaj Agarwal respectively got the said report prepared, signed the same and concluded that voltage imbalance/missing, CT short and CT open and Tamper are recorded in irregular



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manner. They also said that sometimes in one phase itself the sufficient amount of electricity was available for use which is not consistent with the potential and current parameters and since electricity has been consumed as per the MRI, this shows that it has been unauthorizedly used by the consumer.

65. In paras 7 and 8 of the counter-affidavit it is said that on the basis of MRI report dated 15-1-2008, provisional assessment was made on 18-3-2008 giving seven days time to the consumer to file his objection, which he failed and, therefore, treating provisional assessment to be final, demand notice dated 29-3-2008 was issued for recovering a sum of Rs. 3,83,644/-. In para 16 of the counter-affidavit, referring to MRI report it is said that lesser consumption was recorded in display unit which was due to deliberate action of the petitioners and, therefore, assessment under Section 126 was made against them.

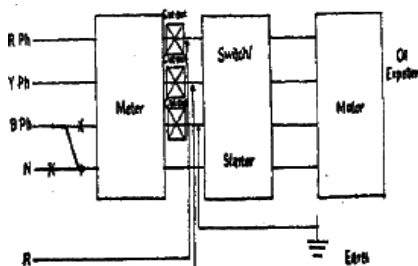
66. We have perused the MRI report. We also required the learned counsel of the respondents to explain as to how and in what manner MRI shows unauthorised use of electricity by the consumer by his deliberate act or omission in the metering system. To explain the same learned counsel for the respondents, after receiving instructions, along with his written submission, has placed before this Court a separate note explaining the manner in which the authorities concluded theft/unauthorised use of electricity at the premises by the petitioner, Ashok Kumar and the same may be reproduced as under:

“Cumulative tamper status recorded through M.R.I. shows the tamper details event wise in which date of occurrence/recovery of tamper, time duration and other parameters like voltage, current, power factor and energy units are recorded.

In case of *Ashok Kumar* tamper status shows that voltage of B Phase is zero while current in this phase is 18A. Similarly voltage in R Phase and Y Phase are 430 Volt approximately in place of 230 Volt and current in both the faces being Zero. A three phase motor cannot run with phase voltage is zero but in the same phase current is being recorded, it indicates that face voltage has been supplied through any other unauthorised means.

Similarly, meter records 220V with respect to neutral but in this case R Phase and Y Phase Voltage are 430V approximate. This is only possible when Phase voltage is connected to neutral point by any means. Due to this reason current of

both the phases is zero. Practically such type of consumers use this earthing as a neutral.



Residence Connection

In Kheragarh town, generally consumers have installed their oil plant in ground floor and have taken separate residential connection in upper floor which is unmetered supply. They take the advantage of unmetered supply by connecting one phase or two after the meter of oil plant due to which motor gets three phase supply and it runs but the energy is not recorded in the meter while even three phase voltages are recorded.

Energy Recording

Energy = Voltage × PF × No. of hrs.

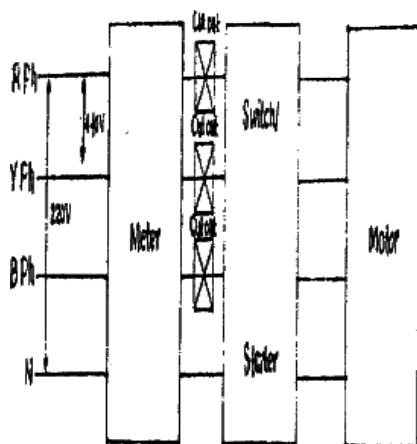
It means if either voltage or current is zero, then energy recording will be zero. That is why energy recording is affected by tampering.”

67. The correct way in which the meter and its supply is connected by respondents has also been explained in the same note and it would be appropriate to reproduce the same also as under:

“Any three phase motor requires three phase supply i.e. 230V with respect to neutral for its running. When motor is started i.e. three phase supply is given through switch/starter,



it draws balanced current in all the three phases and these parameters are recorded in the meter installed against the connection.



68. The aforesaid note has been made part of the record.

69. We have also been supplied with the literature i.e. User's Manual of electronic meter installed at the consumer premises giving detail parameters of the said meter and its working etc. which has also been perused by us. A very interesting aspect is born out from the aforesaid.

70. First of all it would be appropriate to make clear at this stage that the kind of electronic meter installed at the petitioner's/consumer's premise is known as Secure Energy Meter (in short "SEM") manufactured by a private company namely, M/s Secure Meters Limited, Udaipur. As per the company's literature i.e. User's Manual of Consumer Energy Meter (in short "CEM") the meter is an all-electronic, solid state polyphase energy meter which can accurately measures all parameters of the supply voltage, current, power factor, demand, active, reactive and apparent energy etc. It is designed around an Application Specific Integrate circuit based micro-controller with its own programming language. The company claims that the said meter has a high degree of programmability to accommodate various types of applications and tariffs. The meter reading and other performance data recorded in the meter is downloaded by an instrument known as "Meter Reading Instrument" (MRI) and the said data can be interpreted through the "Base Computer System" (BCS). It is also mentioned therein that besides displaying the readings by digital display the electronic meter has the advantage of memory chip, nonvolatile, which can retain data up to a period of 10 years even if there is no power and such data can either be displayed on the electronic display or can be communicated via an optical communication port on to a hand-held MRI. The kind of tamper/fraud detection and logging which such meter records is provided in para 3.10 of the User's Manual and reads as under:

"The special software in consumer energy meter detects & reports conditions of tampers and fraud like missing potential, CT polarity reversal, Current imbalance or CT open/bypass, power on/off etc, along with data and time.

a) Missing Potential: The meter is capable of recording occurrence of missing potential phase wise. Missing potential is checked only when load is above threshold value. Tamper is restored whenever the condition normalises. All such recordings are accompanied by date and time of occurrence.

- b) Current Polarity reversal: The meter is capable of detecting and recording occurrences and restoration of CT polarity reversal of one or more phases. When any current polarity is reserved then such a condition is treated as current polarity reversal tamper.
- c) Current Circuit Open: The meter has the capability to record opening of one or two Current circuits connected to the meter along with date and time. (not applicable in HT 3 phase 3 wire system)
- d) Current Circuit bypassing: The meter

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has the capability to record bypassing of one or two Current circuits connected to the meter along with date and time. (Not applicable in HT 3 phase 3 wire system)

- e) Current Imbalance-If there is imbalance in load conditions above a particular threshold limit, meter will detect this condition as Current imbalance and log this as a tamper event.
- f) Power On/Off: Meter detects this condition when all the voltages goes below a particular level where meter stop functioning.
- g) Magnetic Influence— The meter has the capability of detecting and recording of presence of abnormal magnetic influence near the meter, if the magnetic influence affects the meter functionality.

All the events log has been divided into different compartments. The tamper information shall be logged on first-in-first-out basis. Each compartment shall in itself be of rollover type.

Our LT meters have provision to record energy in forward direction in case of CT reversal (Factory Programmable).

Please note that the tamper information & events shall be available in a CEM depending upon hardware supported and software configured in CEM at the time of manufacturing.

Note: The meter works accurately irrespective of phase sequence of the supply."

71. All these petitioners are LT consumers. The kind of Secure meter installed at the premises of these consumers are LT meters, i.e., low tension meters i.e. E3D type of Secure meter which is a whole current Secure meter for three phase four wire LT connections, current supply range available is 5-30 ampere, 10-60 ampere, 20-100 ampere. The sealing certificates have been filed along with the writ petitions and they show that secure meter 3/4/10-60 ampere was installed. The connection diagram which is given in the User's Manual in respect to E3D type meter and a note given below the diagram is as under:

"Connection Diagrams:

A) E3D Type Meter:

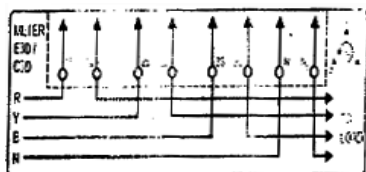


Figure 1: Connection diagram of the E3D Meter

Neutral connection should be made as shown in figure 1, Note if neutral source and load end are not connected correctly, false CT open/Bypass tamper will be detected by the meter."

72. One of the important aspect mentioned in para 8.2 of the User's Manual is as under:

"Warning: Proper voltages and currents to the meter as per the rating plate details of meter are to be given for normal operation."

73. The sealing report prepared at the time of sealing of the meter shows that the meters, various connections etc. were made safe by installing various kinds of seal i.e. plastic seal, lead wire seal, paper seal, meter body seal, terminal seal etc. It is not the case of respondents that any kind of meter or body seal was found broken or tampered or removed. From the diagram supplied by respondents along with the written arguments, it transpired that what actually claimed is that the feeder cable i.e., incoming cable to meter, before entering the meter, at some point of time has been cut and connected with neutral wire so as to bypass the recording of phase voltage in the meter correctly. Without going into any other technicality, we enquire from learned counsel for the respondents as to whether there is any report of cutting of incoming cable i.e. three phase wire outside the meter so as to draw an inference of manipulation by connecting phase wire/s to neutral instead of allowing it to go to the meter directly. He clearly replied that there is no material on record to show such cutting in the incoming phase cable. He could not dispute that the cable supplying electricity



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from distribution mains to meter is guarded and covered and not naked, and, without cutting its cover it is not possible to connect such incoming phase cable/wire to neutral. He also could not explain how in the absence of any such cut outside the meter, the assessing officer could infer connection of a phase wire with neutral before the meter. From his own document which he has supplied to this Court to explain the method of unauthorised use of electricity allegedly adopted by the petitioners/consumer it is clear that there has to be a cut in the incoming cable outside the meter so as to enable connection of phase wire with neutral otherwise theft/unauthorised use of electricity in the manner suggested by respondents could not have been possible. He also could not dispute the fact that the electronic meter, as per the User's Manual, functions when the potential, ampere etc. made available to the meter is strictly as per the specifications of rating plate of the meter and if there is any variation, the normal operation of the meter may be adversely affected.

74. The MRI report also shows some more strange facts. In case of *Ashok Kumar*, for example, the cumulative tamper status shown in the report shows that on certain days, the B phase missing pot has continued for 2-6 days and on some days it has continued to only for a few minutes, i.e., 11 minutes on 27-11-2007. Similarly, on 4-1-2008 this missing has occurred as per MRI report at 5 hours, 58 minutes and 27 seconds in the evening but there is no mention as to when it was restored though at the time of checking on 15-1-2008 it was not found missing. Similarly, CT shorting, i.e., current transformer shorting has also been recorded on certain dates to have continued for several hours while on other dates it has continued for very small time namely, 12 minutes on 2-1-2008 and 7 minutes on 4-1-2008 at 04.34.30 p.m. The two officials who offloaded the data through MRI on 15-1-2008 have not tried to find out the reason for such irregular recording and admittedly have not found any external reason existing on spot explaining such irregularity. We have made these observations not with any intention to record a final opinion on the issue but only to highlight inconsistency in the stand taken by the respondents and the vital clues missing therein which are required to prove a serious allegation of unauthorised use of electricity by the person.

75. It is true that these are all technical matters and normally the Courts should accept the opinion of technical experts but where such opinion is likely to cause a serious stigma on the conduct of the citizens, besides fiscal liability, and rather in some cases it may also render them guilty of committing an offence, it is of utmost importance that such technical experts must prove their opinion with relevant and cogent material. The non-technical and untrained consumer cannot be thrown at the vagaries of such authorities, otherwise it will wide open victimization of innocent people and will encourage corruption. In such cases, the allegation can be explained by finding out the relevant evidence. It is for this reason that the regulatory commission has mentioned in para 6.8 of the Code, 2005 that the details of evidence to substantiate the factum of unauthorised use of electricity has to be recorded in the report as also to be mentioned in the assessment notice and order.

76. From the above discussion it is also evident that the procedure prescribed in para 6.8 of Code 2005, while issuing provisional assessment notice has not been followed at all. Before issuing a demand notice under Section 3 of 1958 Act, admittedly no final order of assessment as contemplated under para 6.8(c)(i) and (ii) has been passed by the assessing officer. There is no averment in the counter-affidavit that MRI report and its findings were made available to the consumers at the time of inspection or along with provisional assessment notice after discussing and substantiating the alleged irregularity as required in para 6.8(a)(iv) and (v). Therefore, it cannot be said that a valid and proper assessment notice was issued to the petitioners which could have been replied by them effectively. The kind of notice issued to the petitioners mentions only that on 15-1-2008 departmental officers/enforcement

squad found excess load/theft of energy/other irregularities and, therefore, as per Code, 2005 the assessment to the following effect is made and if they want to give any objection, may file the same within seven days, failing which recovery proceeding would be initiated. This is non-compliance of para 6.8 of Code, 2005.

77. Para 6.8(b)(i) also require assessing officer to give 15 working days time for submission of reply and sub-clause (ii) thereof shows that he shall also fix a date of hearing on which date the consumer shall be heard in person.

78. No such procedure has been followed by the assessing officer in the case in hand, therefore, the impugned provisional notices cannot be sustained being wholly illegal, contrary to the procedure prescribed in para 6.8 of Code, 2005 read with Section 126 of the Act, 2003.

79. In the result, these writ petitions are partly allowed. The impugned provisional/final assessment notices issued under Section 126 of the Electricity Act, 2003 as well as demand notice issued under Section 3 of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958, impugned in these writ petition, are hereby quashed. However, the respondents shall be at liberty to take appropriate steps and pass fresh order in view of the observations made above and in accordance with law. The petitioners shall be entitled to cost which is quantified to Rs. 2000/- for each set of writ petition.

80. *Petitions partly allowed.*

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2018 SCC OnLine All 6208 : (2019) 133 ALR 501 : (2019) 197
AIC 935

In the High Court of Allahabad
(BEFORE SAUMITRA DAYAL SINGH, J.)

Pashchimanchal Vidhyut Vitran Nigam Ltd.

Versus

Permanent Lok Adalat, Moradabad and another

Civil Misc. Writ Petition No. 39082 of 2018

Decided on December 20, 2018

The Judgment of the Court was delivered by

SAUMITRA DAYAL SINGH, J.:— Rejoinder-affidavit filed today, is taken on record.

2. Heard Ms. Usha Kiran, learned Counsel for the petitioner and Sri R. P.S. Chauhan, learned Counsel for the private-respondent.

3. The present writ petition has been filed by the Pashchimanchal Vidhyut Vitran Nigam Ltd. against the order dated 29.9.2018 passed by the Permanent Lok Adalat, Moradabad, in Complaint Case No. 03 of 2018 (*Kunwar Petrol v. Pashchimanchal Vidhyut*). By that award, the Permanent Lok Adalat has set aside the provisional assessment order made by the petitioner against its consumer namely respondent No. 2. Admittedly, the petitioner is a public utility service provider and the respondent No. 2 is its consumer. Pursuant to certain complaints received by the petitioner, with respect to 4 KW power connection availed by the respondent No. 2, an inspection was conducted whereupon an allegation of theft of electricity arose against the respondent No. 2. It gave rise to a provisional assessment order dated 5.12.2017, in terms of section 126(1) of the Electricity Act, 2003 (hereinafter referred to as the Act), creating a demand of Rs 6, 36, 553/-. The respondent No. 2 filed an objection to the provisional assessment order on 26.12.2017, whereafter no final assessment order was passed. Those proceedings have remained pending. At the same time, it appears, the respondent No. 2 instituted a proceeding before the Permanent Lok Adalat in January, 2018.

4. The Permanent Lok Adalat has decided the matter by its order dated 29.9.2018. The three members of the Permanent Lok Adalat passed that order upon a difference of opinion. While the Chairman of the Permanent Lok Adalat opined that the claim made before that authority was not maintainable, the other two members held otherwise and set aside the provisional assessment order. The claim petition was

thus allowed on a majority opinion.



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5. In the present writ petition, at the fresh stage itself, affidavits have been exchanged and the matter is being thus decided finally.

6. Learned Counsel for the petitioner submits, by virtue of the clear language of section 22-C(I), first proviso, read with section 22-C(8) of the Legal Services Authorities Act, 1987 (hereinafter referred to as the Legal Services Act), the Permanent Lok Adalat had no jurisdiction to entertain the claim petition or to decide the same inasmuch as admittedly, the allegation of theft had been levelled against the respondent No. 2 under section 135 of the Act. She would therefore submit, though the Permanent Lok Adalat may have had jurisdiction to pass an award upon successful conclusion of conciliation proceedings, however, once the conciliation proceedings had failed, the Permanent Lok Adalat had no option but to close the proceedings. Its adjudicatory jurisdiction did not arise in view of the allegation of offence of theft (levelled against the respondent No. 2), in respect to the dispute brought before the Permanent Lok Adalat. The fact that the offence of theft of electricity may have been com-poundable was a relevant factor only for the purpose of conferring jurisdiction in the Permanent Lok Adalat in conciliatory jurisdiction but not adjudicatory jurisdiction.

7. In this regard, reliance has been placed on an earlier decision of a learned Single Judge of this Court, in the case of *Torrent Power Ltd. v. State of U.P.*, passed in Civil Misc. Writ Petition No. 41139 of 2012, decided on 4.12.2013. Upon consideration of the provisions as also the existing precedent, the learned Single Judge had held as below:

“In the light of the aforesaid provision, an application by a consumer in a matter relating to theft of energy can be filed before the Permanent Lok Adalat. The Permanent Lok Adalat will have jurisdiction to entertain such an application for conciliation and for settlement of the said dispute, in view of first proviso to section 22-C of the Act.

Further, the Court is of the opinion that where the conciliation fails between the parties and no settlement is arrived at, the Permanent Lok Adalat cannot proceed any further nor can it decide the matter on merits under section 22-C (viii) of the Act. The reason is not far to see. The adjudicator role, which the Permanent Lok Adalat is required to follow is only with regard to a dispute, which does not relate to an offence under sub-clause-(viii) The words used

are “does relate to an offence” which is totally different and distinct from the words. used under the 1st proviso to section 22-CH), namely, “matter relating to an offence not cbmpoundable in law”.

Thus, where a dispute which is an offence, but is compoundable can be entertained by the Permanent Lok, Adalat for the purpose of concilliation and settlement but, upon failure, the Permanent Lok Adalat cannot proceed to decide such matters on merit, if it relates to an offence irrespective of the fact as to whether it is compoundable or not. If the dispute relates to an offence, the Permanent Lok Adalat will have no jurisdiction to decide the matter on merits.”

8. Responding to the above, Sri R. P.S. Chauhan, learned Counsel for the respondent No. 2 submits that the jurisdiction of the Permanent Lok Adalat has not been taken away by the Act inasmuch as bv virtue of section 175 of the Act, the provisions of that Act are only in addition and not in derogation of any other law. Therefore, the jurisdiction of the Permanent Lok Adalat vested under the Legal Service Act stood saved. Then, it has also been submitted, the



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allegation of theft levelled against the respondent No. 2 was wholly com-poundable. Therefore, by virtue of the first proviso to section 22-C(I) of the Legal Services Act, the jurisdiction of the Permanent Lok Adalat was not ousted in view of the allegation of theft arising against the respondent No. 2. In this regard, it has been further submitted with great vehemence that the allegation of theft of electricity is only a partial truth inasmuch as though such allegation had been made in the provisional assessment order, no FIR came to be registered against the respondent No. 2 and no criminal prosecution had been instituted by the petitioner. Even if that course had been adopted, the proceedings would have fallen within the parameters of Clause 8. 2 of the Electricity Supply Code, 2005 which would have, in turn, given rise to the jurisdiction of the Special Court. It has thus been suggested, if such a course had been adopted, the respondent would have had a right to approach an independent Court for protection of its rights and it would not have continued to be harassed by the petitioner in the manner it has been done in passing the provisional assessment order.

9. He has also relied upon various judgments of the Supreme Court in the case of *Bar Council of India v. Union of India*¹ specifically paragraph Nos. 16, 17, 18 and 27. Further reliance has been placed on the decision of another learned Single Judge decision of this Court in

the case of *Executive Engineer, Electricity Distribution Division-II v. Chairman, Permanent Lok Adalat*² and another Division Bench decision of this Court in the case of *Ashok Kumar v. State of U.P.*,³ specifically paragraph Nos. 59, 60 and 61.

10. Having heard learned Counsel for the parties, it is true that the Permanent Lok Adalat had the jurisdiction to entertain the complaint as lodged by the respondent, even though the allegation of offence of theft had been made against it. It would be so because for the conciliatory Jurisdiction to be ousted the offence alleged should be non-compoundable. Then of electricity being a compoundable offence, the conciliatory jurisdiction of the Permanent Lok Adalat would exist.

11. In view of the earlier decision of this Court in the case of *Torrent Power Ltd. v. State of U.P.* (supra), with which I am in full agreement, it has to be held, the jurisdiction that so arose to the Permanent Lok Adalat was confined to the conciliation proceedings only. Had there been a successful conciliation between the parties, than, in view of the fact that a compoundable offence of theft of electricity was involved, would not have given rise to any defect of jurisdiction, in view of the clear language of the first proviso to section 22-C(I) of the Act.

12. However, it being undisputed that the conciliation proceedings had failed, thereafter, for the adjudicatory jurisdiction to arise the further test of sub-section (8) of section 22-C had to be satisfied. In view of the clear language of section 22-C(8) of the Act which is in stark contrast to that of the first proviso to section 22-C(I), the adjudicatory jurisdiction would remain ousted so long as the allegation of theft survived even though that offence was compoundable. Unlike the first proviso to section 22-C(I) of the Legal Services Act, under sub-section (8) of section 22-C of that Act, it was wholly irrelevant whether the offence related to the dispute before the Permanent Lok Adalat was compoundable.



13. The fact that no FIR had been lodged against the respondent, also does not lead to the conclusion that there was no allegation of theft against the respondent. That allegation arose under section 135 of the Act That provision defines theft in specific terms. Undisputedly, the petitioner had alleged the respondent to have committed that offence under the Act. Although proceedings were initiated against the respondent and a provisional assessment order was also passed, but

those proceedings were interjected upon institution of conciliation proceedings by the Permanent Lok Adalat

14. At the same time, as a consequence of theft alleged, it was not necessary for the petitioner to have lodged an FIR. Upon allegation of theft, both civil and criminal consequences arose against the respondent No. 2 with respect to the theft alleged. Undeniably, theft is an offence under the Act For the purposes of determination of the adjudicatory jurisdiction of the Permanent Lok Adalat it was not a necessary mat a criminal prosecution must necessarily have been lodged before the jurisdiction of that authority was?? ted. So long as the respondent No. 2 was being proceeded against by the petitioner for sum theft, even though in civil proceedings only, it had to be said that the dispute brought before the Permanent Lok Adalat related to an offence.

15. For the adjudicatory jurisdiction of the Permanent Lok Adalat to be ousted, the jurisdictional fact was - absence of any offence. Therefore, so long as it cannot be disputed that the theft of electricity is an offence under due Act, that jurisdictional fact did not exist. There is no other statutory indication to restrict the meaning of the phrase "to any offence" appearing in sub-section (8) of section 22-C of the Legal Services Act, to cases involving criminal prosecution already lodged. Therefore, there is no warrant to read mat provision restrictively. Clearly, the adjudicatory jurisdiction of the Permanent Lok Adalat, never arose.

16. Consequently, the award passed by the Permanent Lok Adalat in exercise of its adjudicatory jurisdiction is without jurisdiction and it is hereby quashed.

17. It has thereafter been submitted by learned Counsel for the respondents that by virtue of the language of section 22-C(2) of the Legal Services Act, respondent would be rendered remedy less inasmuch as once the conciliation proceedings before the Permanent Lok Adalat had failed and the adjudicatory jurisdiction never arose, the embargo placed on all other Courts and authorities against exercise of their respective jurisdiction during pendency of conciliation proceedings before the Permanent Lok Adalat stood removed. The restraint placed by sub-section (2) of section 22-C of the Legal Services Act on exercise of jurisdiction by other Courts and authorities does not destroy those jurisdictions completely, but it only places a restraint on other jurisdictions during pendency of a valid proceedings before a Permanent Lok Adalat The restraint so placed would lift once the proceedings before the Permanent Lok Adalat fail.

18. In any case, in the instant case, once the award of the Permanent Lok Adalat had been found to be without jurisdiction, the same is a nullity. It has no effect. Therefore, the interpretation offered

by learned Counsel for the respondent cannot be accepted and the statute cannot be read in the manner suggested by learned Counsel for the respondents, as it may lead to plainly absurd results where, upon failure (for any reason), of a validly initiated proceedings before the Permanent Lok Adalat, the parties may be left remedy less.

19. Consequently, the petitioner's objection that are claimed to have filed in response to the provisional assessment order may be decided by the



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petitioner authority on their own merits, as expeditiously as possible, preferably within a period of two months from the date of production of a certified copy of this order after affording due opportunity of hearing to the respondents. It is further needless to clarify that all other statutory proceedings and remedies thereto that may have been available to the respective parties, in the facts of the case, shall remain intact and may not be prejudiced by any observations made in this order.

20. Accordingly, the present writ petition is allowed. No order as to costs.

Petition Allowed.

¹. (2012) 8 SCC 243 : (2012) 94 ALR 483 (SC).

². (2015) 113 ALR 603 (SC).

³. 2008 (6) ADJ 660 (DB) : (2008) 72 ALR 43 (Sum).

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2026 SCC OnLine All 3330

In the High Court of Allahabad
(BEFORE AJIT KUMAR AND SWARUPAMA CHATURVEDI, JJ.)

Reliance Projects and Property Management
Services Limited ... Petitioner(s);

Versus

State of U.P. and Others ... Respondent(s).

Writ - C No. - 32408 of 2023

Decided on April 24, 2026, [Reserved on 12.02.2026]

Advocates who appeared in this case :

Counsel for Petitioner(s): Rahul Agarwal, Vedant Agarwal

Counsel for Respondent(s): Ankit Prakash, Baleshwar Chaturvedi,
C.S.C., Kartikeya Saran, Krishna Agarawal, Mukesh Kumar Singh, Rahul
Agarwal, Udit Chandra

The Judgment of the Court was delivered by

SWARUPAMA CHATURVEDI, J.:— For the convenience of exposition,
this common order is divided into the following parts:

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- I. Introduction
- II. Factual Matrix
- III. Submissions on behalf of Petitioner
- IV. Submissions on behalf of Respondents
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- VI. Discussion and Analysis
 - (i) Overriding Effect of the IBC over Electricity Laws
 - (ii) Validity of Pre-CIRP dues raised after implementation of resolution Plan
 - (iii) Date of commencement of the liability
 - (iv) Legality of Impugned Demands and Coercive Measures
- VII. Conclusion
- VIII. Order

I

Introduction

1. Present petition has been filed under Article 226 of the Constitution of India, praying for issuance of several orders and directions in the nature of writ of certiorari and mandamus. Main relief sought in the petition is for order or direction in the nature of certiorari quashing the impugned Recovery Certificates and *kurki* proceedings

issued by Respondents 1 to 6, especially the impugned demands to the extent they relate to alleged electricity dues for the period prior to 22-12-2022 when the resolved company was effectively commenced.

2. The petitioner further prays for issuance of the writ in the nature of mandamus commanding the respondents to de-seal the mobile tower sites as detailed in the writ petition and to restore electricity supply to all disconnected sites. A further direction has been prayed for requiring the respondents to act in accordance with Section 31(1) of the Insolvency and Bankruptcy Code, 2016 (hereinafter referred to as "IBC") and the law laid down by the Supreme Court in *Ghanshyam Mishra v. Edelweiss Asset Reconstruction Co. Ltd.*, (2021) 9 SCC 657 : (2021) 4 SCC (Civ) 638 : (2021) 227 Comp Cas 251 : (2021) 91 GSTR 28 and *Ruchi Soya Industries Ltd. v. Union of India*, (2022) 6 SCC 343 : (2022) 3 SCC (Civ) 369 : (2022) 231 Comp Cas 308 : (2022) 20 GSTR-OL 59.

3. The petitioner has also prayed for an order or direction in the nature of mandamus declaring that the approved resolution plan dated 25-11-2019 is binding on all stakeholders and that no liability survives in respect of any debts, claims or dues arising prior to 22-12-2022, including those of statutory authorities. Consequential reliefs have been prayed for restraining the respondents from taking any coercive steps pursuant to the impugned demands and Recovery Certificates, and for a direction to grant new electricity connections in respect of existing and pending applications for mobile tower sites, subject to compliance with applicable conditions.

4. Counter affidavits have been filed on behalf of contesting respondents and rejoinder affidavits have also been filed by the petitioner. With the consent of learned counsel for the respective parties, the writ petition was taken up for final hearing and is being disposed of by this judgment.

II

Factual Matrix

5. The facts of the case, as emerging from the pleadings on record are that the insolvency petition under Section 9 of the IBC was admitted against Reliance Infratel Ltd. (hereinafter referred to as "RITL") by the National Company Law Tribunal, Mumbai (hereinafter referred to as "NCLT") *vide* its order dated 15-5-2018. The above mentioned NCLT order imposed the moratorium and appointed the Interim resolution Professional (hereinafter referred to as "IRP"), as on 18-5-2018, consequently the Corporate Insolvency resolution Process (hereinafter referred to as "CIRP") got commenced.

6. On 21-5-2018, the IRP made the public announcement (hereinafter referred to as the "First Public Announcement") inviting all the creditors of RITL to submit proof of claims. Meanwhile the NCLT

order dated 15-5-2018, admitting the insolvency petition got challenged in National Law Company Appellate Tribunal (hereinafter referred to as the "NCLAT"), where the NCLT order got stayed by an order dated 30-5-2018, but later on, the petition got withdrawn on 30-4-2019 and consequently CIRP got re-commenced as per IBC.

7. On 7-5-2019 IRP made another public announcement (hereinafter referred to as the "Second Public Announcement") inviting all the creditors to submit proof of claims. It is an undisputed fact that respondent authorities have not submitted any claim before the resolution Professional (hereinafter referred to as "RP") during CIRP for which the impugned demand notices are being issued. On 24-5-2019 IRP prepared the Information Memorandum and the Committee of Creditors (hereinafter referred to as "CoC") of RITL was constituted.

8. On 21-6-2019 NCLT confirmed the appointment of RP. As per procedure prescribed under IBC, the RP published Form G containing a detailed invitation for expression of interest (hereinafter referred to as "EOI") to which Reliance Projects & Property Management Services Ltd. (hereinafter referred to as "RPPMSL") responded positively. Additionally RP issued letters dated 25-7-2019 and 22-8-2019 addressed to all State Electricity Boards, Distribution Companies, and other respondents informing them of the CIRP and calling for claims.

9. Following due procedure of the CIRP, the RPPMSL submitted its resolution plan, which got approved by the CoC on 2-3-2020 and subsequently, NCLT approved the same resolution plan *vide* its order dated 3-12-2020. The order passed by the NCLT was assailed in appeals before NCLAT as well as Supreme Court.

10. The NCLT order approving resolution plan got assailed by some stakeholders before NCLAT, which stayed the distribution of the total resolution amount to certain parties due to inter-creditor disputes. The matter travelled upto the Supreme Court where the resolution plan got a way to move towards its implementation.

11. The NCLT *vide* its order dated 21-11-2022 allowed RPPMSL's application to deposit the Total resolution Amount in an escrow account towards successful implementation of the resolution plan. Thereafter on 22-12-2022, minutes of the meeting of the CoC noted that all steps of the implementation in the resolution plan were completed.

12. Further, consequent to the order dated 11-5-2023 passed by the NCLT, Mumbai and the order dated 7-8-2023 passed by the NCLT, Ahmedabad under Sections 230-232 of the Companies Act, 2013, RITL stood merged into the Petitioner Company with effect from 22-12-2022. Hence, records demonstrate that pursuant to the approval of the resolution plan, RPPMSL took over RITL on 22-12-2022, which became the effective date.

13. After complete implementation of the approved resolution plan, Respondents 3 to 6 have issued recovery certificates and raised demands against RITL in respect of electricity dues pertaining to the period prior to the effective takeover date. The Respondents also disconnected electricity for some mobile towers while insisting upon payment of the entire amount, along with interest and penalty, as a precondition for reconnection.

14. Aggrieved by above, petitioner company has filed this petition under Article 226, challenging mainly the demand notices issued by the respondent authorities. Although there are various prayers made in the petition, during hearing counsel appearing from respective parties agreed that the main point of contest was the demand notice, to the extent that such dues relate to the period prior to the date to commence liability *i.e.*, 22-12-2022 and also the fact as which date would be considered as the date to commence liability, date of approval of resolution plan by NCLT or the date when the resolved company effectively commenced.

III

Submissions on behalf of Petitioner

15. We have heard Sri. Navin Sinha, learned Senior Advocate assisted by Sri. Vedant Agarwal, Sri. Madhav Kanoria and Sri. Aditya Swaroop, learned counsel for the petitioner. At the outset, Sri. Sinha, learned Senior Advocate submitted that a public announcement was made by the IRP upon commencement of the CIRP, inviting all creditors to submit their respective claims, and in addition, RP also send letters to all the DISCOMs (licensees) informing commencement of CIRP, still no claim was filed by the respondents during CIRP.

16. Sri. Sinha had drawn the attention of the Court to the list of statutory creditors mentioned in the resolution plan, and argued that despite such public announcement and individual letters, none of the DISCOMs submitted any claim before the RP. He submitted that the CoC unanimously approved the resolution plan, which came to be approved by the NCLT *vide* its order dated 3-12-2020. The said approval was unsuccessfully assailed before the NCLAT and further before the Supreme Court, where the challenge culminated in dismissal of the petition in *Pratap Technocrats (P) Ltd. v. Monitoring Committee of Reliance Infratec Ltd.*, order dated 10-8-2021 in Civil Appeal No. 676 of 2021 thereby upholding the order approving of the resolution plan.

17. It was further submitted that none of the DISCOMs ever challenged the resolution plan at any stage by asserting their alleged claims before any forum. Sri. Sinha had also submitted that on 22-12-2022, the new management took over the company in terms of the approved resolution plan upon payment of the resolution amount into the designated account. The learned Senior Advocate emphasized that

till the above-mentioned date, no demand had been raised by any of the DISCOMs, although, according to him, electricity supply to certain mobile towers had been disconnected in part even prior to and during the CIRP period.

18. It was contended that it was only after the resolution plan attained finality and the new management assumed control that the respondent DISCOMs raised demands towards electricity charges pertaining to the period prior to the CIRP and also for the period prior to the date of effective takeover. Sri. Sinha submitted that, in view of Section 31 of the IBC, such claims, not having been submitted before the RP, stood extinguished. In support, reliance was placed on the judgment of the Supreme Court in *Tata Power Western Odisha Distribution Ltd. v. Jagannath Sponge Pvt. Ltd.*, (2023) 24 Comp Cas-OL 229 : 2023 SCC OnLine SC 2442, to contend that once a resolution plan was approved, the successful resolution applicant could not have been burdened with past liabilities, and permitting such claims would defeat the very scheme of the enactment. It was, thus, submitted that the impugned demand notices and consequential recovery proceedings were liable to be quashed.

19. Sri. Sinha, however, fairly submitted that insofar as the dues arising after 22-12-2022 were concerned, the petitioners were ready and willing to pay the same, subject to restoration of electricity connections to enable operation of the mobile towers. He further submitted that the liability of the petitioner, if any, would arise only from 22-12-2022, when the new management has taken over and claimed this date to be effective date (hereinafter 22-12-2022 shall be referred to as “effective date” for convenience).

20. Sri. Sinha invited attention of the Court to the relevant clauses of the resolution plan, i.e., Clause 1.2.6 and Clause 4.1, as also clauses 2.1.1 and 2.1.2, submitted that an “Interim Monitoring Committee” was constituted post-approval of the resolution plan by the NCLT, comprising the RP, nominees of financial creditors and nominees of the petitioner company, for which the petitioner had also contributed a sum of Rs 100 crores.

21. Sri. Sinha urged that upon payment of the entire resolution amount on the effective takeover date, no liability of the erstwhile corporate debtor could survive in respect of any dues prior thereto. He had invited the attention of the Court to the minutes of the meeting of the Interim Monitoring Committee/Committee of Management, particularly agenda item no. B2, to indicate that the Effective Date has been recorded as 22-12-2022, being the date on which the resolution amount stood deposited in the escrow account maintained with the State Bank of India. It was, thus, submitted that the petitioner had already discharged liabilities from the said date onwards and no prior

dues, therefore, remained recoverable.

22. Sri. Sinha has also placed reliance upon the letter dated 25-7-2019 issued by the resolution Professional, wherein it has been stated that the resolution plan would be deemed to have become effective upon deposit of the entire resolution amount in the designated account. In further support of his submissions, reliance has been placed upon the judgment of the Supreme Court in *Ghanshyam Mishra and Sons Pvt. Ltd.* (supra), particularly paras 132, 140 and 149 of the judgment, to contend that all claims not forming part of the resolution plan stand extinguished and that the successful resolution applicant is entitled to get the company as a “clean slate.”

23. It was urged that the liability, if any, would arise only from the Effective Date, *i.e.*, the date of transfer of control coupled with deposit of the resolution amount, and not from the date of approval of the resolution plan by NCLT as the order continued to be under litigation, which was a situation not under control of the petitioner. He further contended that the resolution plan was binding upon all stakeholders and on the point as to from when the liability would have arisen, it was clearly provided under the plan and, therefore, the demand was to be raised only after the effective date, which was date of takeover and not the date of NCLT order in the facts of this case considering the years long time gone under litigation due to which the resolution plan could not get implemented.

24. On the basis of aforesaid, Sri. Sinha argued that all claims, including statutory dues of the erstwhile RITL, stood extinguished on the effective takeover date *i.e.*, 22-12-2022. He also submitted that the successful resolution applicant could not be burdened by uncertain past liabilities of corporate debtor as it would defeat the object of the IBC.

25. Sri. Sinha submitted that by virtue of Section 238 of the IBC, the provisions of IBC override the Electricity Act, 2003 and any subordinate legislation framed thereunder. He argued that the respondents, having failed to submit their claims despite due notice, were precluded from raising the same at later stage and the petitioner had, in any case, already incurred substantial expenditure exceeding Rs 75 crores towards electricity dues for operational towers during the CIRP and Interim Monitoring Committee period, and no liability can be fastened in respect of non-operational towers or towards interest and penalty for the prior period.

26. Sri. Sinha lastly submitted that the similar issue was before the Division Bench of the High Court of Meghalaya at Shillong in *Meghalaya Power Distribution Corporation Limited (MePDCL) v. Reliance Infratel Limited*, 2025:MLHC:365-DB, regarding same resolution plan and the High Court had restrained the authorities from raising old electricity dues pertaining to the corporate debtor while holding that all debts not

included in the plan prior to the effective date would be deemed to be extinguished.

IV

Submissions on behalf of Respondents

27. We have heard Sri. Manish Goyal, learned Senior Advocate assisted by Sri. Udit Chandra, learned counsel for the respondent Power Corporation, Sri. Krishna Agrawal, learned counsel for Respondent 2, Sri. Mukesh Kumar Singh, learned counsel for Respondent 4, Sri. Baleshwar Chaturvedi, learned counsel for Respondent 5, Sri. Ankit Prakash, learned counsel appearing for Respondent 6. Since submissions advanced by learned counsel appearing for contesting respondents were similar as well as overlapping, we consider it appropriate to record it altogether, as the issues involved are common.

28. Leading the submission on behalf of respondents, Sri. Goyal, learned Senior Counsel, at the outset fairly submitted that the legal position, insofar as extinguishment of claims not submitted before the RP was concerned, it stood settled against respondents. He submitted that where a creditor, including the Government or its instrumentalities, had failed to lodge its claim in the CIRP and the resolution plan had come to be approved by the NCLT, the provisions of Section 31(1) of the IBC would operate to extinguish such claims, and any recovery in respect thereof would not be sustainable in law. He further submitted, in all fairness, that this position stood conclusively settled by a catena of judgments of the Supreme Court, including the case of *Ghanshyam Mishra and Sons Pvt. Ltd.* (supra).

29. However, Sri. Goyal raised a caveat to the extent of the petitioner's contention regarding the "Effective Date." He submitted that the liability of the petitioner could not have been confined to the date of transfer of management or deposit of the resolution amount, *i.e.*, 22-12-2022, and instead must relate back to the date of approval of the resolution plan by the NCLT, *i.e.* 3-12-2020. Elaborating the submission, he contended that the order of the NCLT approving the resolution plan, in unequivocal terms, stipulated that the plan shall be effective from the date of the order itself.

30. Sri. Goyal referred to the relevant directions, particularly Clause 8.2.1 of the plan, to submit that the approval order clearly manifested the intention that the plan would come into force from the date of such approval and not from any subsequent date of transfer of assets or payment.

31. Sri. Goyal further submitted that the constitution of an Interim Monitoring Committee, as referred to by the petitioner, was merely a facilitative mechanism for implementation of the resolution plan and did not, in any manner, defer or alter the date from which the plan

became operative. He contended that, in view of the proviso to Section 31(1) of the IBC, the adjudicating authority was required to satisfy itself regarding the feasibility and implementation of the plan and may issue necessary directions for its effective execution. According to him, such directions cannot be construed as postponing the operative date of the plan, and once the NCLT has clearly directed that the plan shall be effective from the date of its order, no other interpretation was permissible.

32. It was further argued by Sri. Goyal that any subsequent deposit of funds or procedural steps, including transfer of money into an escrow account with the State Bank of India pursuant to *inter se* disputes between financial institutions or directions issued by the Supreme Court, would not have the effect of altering the effective date of the resolution plan. He submitted that these were consequential steps towards implementation and cannot determine the date from which liabilities are to be reckoned.

33. Dealing with the argument based upon the judgment in *Ghanshyam Mishra and Sons Pvt. Ltd.* (supra) relied upon by the petitioner, Sri. Goyal submitted that the said judgment did not address the issue as to whether the effective date of a resolution plan was the date of approval by NCLT or the date of transfer of management. According to him, the observations therein could not be read to draw any inference that the effective date would be the date of transfer of control, and any such interpretation would amount to reading beyond the ratio of the judgment. He further submitted that any directions in the said judgment relating to the date of transfer were traceable to the powers of the Supreme Court under Article 142 of the Constitution of India and could not be treated as a binding declaration of law on the issue.

34. Sri. Ankit Prakash, learned counsel appearing for Respondent 6, supplemented the submissions by placing reliance upon the terms of the resolution plan itself, particularly Clause 1.2.6, to contend that the plan expressly provided that it shall be effective from the date of approval by the NCLT.

35. Respondents further contended that under Clause 4.3(f)(iv) of the U.P. Electricity Supply Code, 2005, the outstanding electricity dues constitute a “first charge” on the assets, and therefore, any subsequent applicant or entity seeking reconnection was liable to clear such dues. It was urged that by virtue of such statutory charge, the respondent DISCOMs would become secured creditors, and such security interest, being created by operation of law, could not be extinguished under IBC.

36. It was also argued that electricity being an essential service within the meaning of Section 14(2) of the IBC, if the petitioner continued to consume electricity during the moratorium period for

maintaining the corporate debtor as a going concern, the corresponding dues would necessarily be payable.

37. Placing reliance on the principle laid down in *K.C. Ninan v. Kerala SPB*, (2023) 14 SCC 431, it was further contended that a request for restoration of electricity supply at a disconnected premises amounts to “reconnection” and not a fresh connection, and therefore, the respondent authorities are entitled to insist upon clearance of past arrears as a condition precedent for such reconnection.

38. Lastly, reliance was placed on the doctrine emerging from *State Tax Officer v. Rainbow Papers Limited*, (2023) 9 SCC 545, to contend that if a resolution plan failed to account for statutory dues or ignored a statutory first charge created by law, the same would be legally untenable and ought not to have been approved by the adjudicating authority. Accordingly, it was submitted that the respondent authorities are within their rights to enforce recovery of such dues and to insist upon payment as a precondition for restoration of electricity supply.

V

Points for Determination

39. Having regard to the factual matrix and the rival submissions advanced on behalf of the parties, the following points arise for determination:

- (i) Whether IBC overrides the electricity laws and regulations, thereby barring the respondent authorities from raising demands for the pre-resolution period after the resolution plan is duly approved and implemented.
- (ii) Whether the respondent authorities could raise demand for their statutory dues after implementation of resolution plan, while they have neither filed their claim during CIRP nor objected to the resolution plan before NCLT.
- (iii) Whether there can be any liability, which was not mentioned in the resolution plan, can be imposed upon petitioner for the duration prior to the effective date of the implementation of the plan, in the facts and circumstances of the case.
- (iv) Whether the impugned demands, recovery certificates and consequential coercive measures are sustainable in law.

VI

Discussion and Analysis

40. The Supreme Court has analysed the scope of the judicial review in the IBC related cases in *Torrent Power Ltd. v. Ashish Arjunkumar Rathi*, (2026) 266 Comp Cas 40 : 2026 SCC OnLine SC 325, where it was held that:

“14.7. Predictability and finality are thus essential to maintaining a robust insolvency regime. Judicial intervention beyond the narrow

statutory confines undermines both predictability and finality. Recognising this, the IBC deliberately confines judicial review to strict statutory compliance under Sections 30(2) and 61(3). Respecting these limits will preserve the economic sense of the IBC and ensure that insolvency remains a predictable, time-bound, and market-driven process.”

41. Being conscious of the settled legal position that the scope of judicial review over an approved resolution plan under the IBC is very limited, and that the commercial wisdom of the CoC is not open to judicial scrutiny, especially at the stage when the resolution plan is already implemented, we proceed to examine issues arising for determination in these petitions.

(i) Overriding Effect of the IBC over Electricity Laws.

42. The question of primacy between the IBC and the Electricity Act, 2003 arises for consideration in the present case. The learned counsel for the petitioner has drawn attention to Section 238 of the IBC, which contains a non obstante clause asserting the overriding effect of the Code over all other laws in force. *Per contra*, learned counsel appearing for the respondents have placed reliance upon Sections 173 and 174 of the Electricity Act, 2003 to contend that the said enactment has an overriding effect in certain circumstances. In this backdrop, it becomes necessary to examine the scope and interplay of the aforesaid provisions to determine which Statute would prevail in the event of inconsistency.

43. In addition to Section 238 IBC, the significant role is also being played by Section 31 of the IBC, which indicates that an approved resolution plan is binding on all stakeholders, including governmental and statutory authorities. Section 31(1) of the IBC is reproduced below for easy reference:

“31. Approval of resolution plan. (1) If the adjudicating authority is satisfied that the resolution plan as approved by the Committee of Creditors under sub-section (4) of Section 30 meets the requirements as referred to in sub-section (2) of Section 30, it shall by order approve the resolution plan which shall be binding on the corporate debtor and its employees, members, creditors, including the Central Government, any State Government or any local authority to whom a debt in respect of the payment of dues arising under any law for the time being in force, such as authorities to whom statutory dues are owed.] guarantors and other stakeholders involved in the resolution plan:

Provided that the adjudicating authority shall, before passing an order for approval of resolution plan under this sub-section, satisfy that the resolution plan has provisions for its effective

implementation.”

(emphasis supplied)

44. We also consider it necessary to refer legal maxim, “*leges posteriores priores contrarias abrogant*”, which means wherever two enactments are irreconcilably inconsistent, the later enactment must prevail to the extent of such inconsistency. This principle of interpretation of statutes is generally applicable in a situation where two enactments appear to operate in the same field but got enacted in different timeline. It is a settled rule of statutory interpretation is that where there is a conflict between two Statutes, the Court must first attempt a harmonious construction, however, where such reconciliation is not possible, the later enactment would prevail as per abovementioned maxim.

45. The IBC is a subsequent and comprehensive legislation intended to consolidate and amend the laws relating to insolvency resolution, specifically focussing on revival of corporate debtors in a time-bound manner. The scheme of the Code would be rendered unworkable if past liabilities, not forming part of the resolution plan, were permitted to be raised by claimants relying upon any other Statute.

46. For ascertaining the legislative intent underlying the enactment of the IBC, we consider it appropriate to refer to its Preamble, which was also analysed by the Supreme Court in *Innovative Industries Ltd. v. ICICI Bank*, (2018) 1 SCC 407 : (2018) 1 SCC (Civ) 356 : (2017) 205 Comp Cas 57. It is settled beyond ambiguity that IBC was enacted to consolidate and amend the laws relating to reorganisation and insolvency resolution of corporate persons, partnership firms, and individuals in a time-bound manner, keeping in view maximisation of assets value. It further seeks to balance the interests of all stakeholders while providing a waterfall mechanism for payment of dues.

47. Thus, when Section 238 of the IBC is read in light of the objective of the Code and established legal principles, there remains no doubt that in the event of inconsistency between the IBC and any other Statutes, including sector-specific enactments such as the Electricity Act, 2003, the provisions of the IBC would prevail.

48. In this regard, reference may be made to *Paschimanchal Vidyut Vitran Nigam Ltd.* (supra), wherein the Supreme Court considered the status of electricity dues in the context of the IBC and held that the IBC overrides the provisions of the Electricity Act, 2003, as Section 238 of the IBC contains a *non-obstante* clause. The Supreme Court distinguished findings of *Rainbow Papers* (supra) contextually and further held that:

“53. *Rainbow Papers* [STO v. *Rainbow Papers Ltd.*, (2023) 9 SCC 545 : (2022) 234 Comp Cas 584] did not notice the “waterfall

mechanism” under Section 53-the provision had not been adverted to or extracted in the judgment. Furthermore, Rainbow Papers [STO v. Rainbow Papers Ltd., (2023) 9 SCC 545 : (2022) 234 Comp Cas 584] was in the context of a resolution process and not during liquidation. Section 53, as held earlier, enacts the waterfall mechanism providing for the hierarchy or priority of claims of various classes of creditors. The careful design of Section 53 locates amounts payable to secured creditors and workmen at the second place, after the costs and expenses of the liquidator payable during the liquidation proceedings. However, the dues payable to the government are placed much below those of secured creditors and even unsecured and operational creditors. This design was either not brought to the notice of the Court in Rainbow Papers [STO v. Rainbow Papers Ltd., (2023) 9 SCC 545 : (2022) 234 Comp Cas 584] or was missed altogether. In any event, the judgment has not taken note of the provisions of IBC which treat the dues payable to the secured creditors at a higher footing than dues payable to the Central or the State Government.”

....

57. Similarly, in *Duncans Industries Ltd. v. AJ Agrochem* [Duncans Industries Ltd. v. AJ Agrochem, (2019) 9 SCC 725 : (2019) 4 SCC (Civ) 669 : (2019) 217 Comp Cas 320], Section 16-G of the Tea Act, 1953 which required prior consent of the Central Government (for initiation of winding-up proceedings) was held to be overridden by IBC. In a similar manner, it is held that Section 238 IBC overrides the provisions of the Electricity Act, 2003 despite the latter containing two specific provisions which open with non obstante clauses (i.e. Sections 173 and 174). The position of law with respect to primacy of IBC, is identical with the position discussed in *ABG Shipyard Liquidator* [ABG Shipyard Liquidator v. Central Board of Indirect Taxes & Customs, (2023) 1 SCC 472 : (2022) 19 Comp Cas-OL 816 : (2022) 22 GSTR-OL 6 : (2023) 1 SCC (Civ) 251] and *Duncans Industries* [Duncans Industries Ltd. v. AJ Agrochem, (2019) 9 SCC 725 : (2019) 4 SCC (Civ) 669 : (2019) 217 Comp Cas 320] [refer also: *Innoventive Industries* [Innoventive Industries Ltd. v. ICICI Bank, (2018) 1 SCC 407 : (2018) 1 SCC (Civ) 356 : (2017) 205 Comp Cas 57], *CIT v. Monnet Ispat & Energy Ltd.* [CIT v. Monnet Ispat & Energy Ltd., (2018) 18 SCC 786 : (2019) 3 SCC (Civ) 252 : (2018) 211 Comp Cas 99 : (2018) 12 ITR-OL 281], *Ghanashyam Mishra & Sons (P) Ltd. v. Edelweiss Asset Reconstruction Co. Ltd.* [Ghanashyam Mishra & Sons (P) Ltd. v. Edelweiss Asset Reconstruction Co. Ltd., (2021) 9 SCC 657 : (2021) 4 SCC (Civ) 638 : (2021) 227 Comp Cas 251 : (2021) 91 GSTR 28], and *Jagmohan Bajaj v. Shivam Fragrances (P)*

Ltd. [Jagmohan Bajaj v. Shivam Fragrances (P) Ltd., (2018) 210 Comp Cas 84 : 2018 SCC OnLine NCLAT 413] J.”

(emphasis supplied)

(ii) Validity of Pre-CIRP dues raised after implementation of resolution Plan.

49. The law on this issue is well settled by the Supreme Court in a catena of judgments as it was fairly submitted by Sri. Goyal learned Senior Counsel but some of the respondents' counsel continued submission on this issue and, therefore, the issue require consideration.

50. The judgment of the Supreme Court in *Tata Power Western Odisha Distribution Ltd.* (supra), is very relevant in the facts of this case, where it was held that:

“1. In our opinion, the legal issue is covered by the judgment of this court in Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat P. Ltd. [See (2023) 10 SCC 60 : (2023) 4 SCC (Civ) 489 : (2023) 23 Comp Cas-OL 524 (SC)] and the order of this court in Southern Power Distribution Co. of Andhra Pradesh Ltd. v. Gavi Siddeswara Steels (India) P. Ltd. [See (2023) 24 Comp Cas-OL 213 (SC) : 2023 SCC OnLine SC 2441, order dated 6-9-2023 in Civil Appeal Nos. 5716 and 5717 of 2023.]. The appellant-Tata Power Western Odisha Distribution Ltd. cannot insist on payment of arrears, which have to be paid in terms of the waterfall mechanism, for grant of an electricity connection. However, the successful resolution applicant will have to comply with the other requirements for grant of electricity connection. The clean slate principle would stand negated if the successful resolution applicant is asked to pay the arrears payable by the corporate debtor for the grant of an electricity connection in her/his name.”

51. The Supreme Court in *Ghanshyam Mishra and Sons Pvt. Ltd.* (supra) held that the term “operational Creditor” included Central and State Governments and any other local authority, following its earlier decision in the case of *Essar Steel India Ltd. Committee of Creditors v. Satish Kumar Gupta*, (2020) 8 SCC 531 : (2020) 219 Comp Cas 97 and thereafter concluded that:

“102.1. That once a resolution plan is duly approved by the adjudicating authority under sub-section (1) of Section 31, the claims as provided in the resolution plan shall stand frozen and will be binding on the corporate debtor and its employees, members, creditors, including the Central Government, any State Government or any local authority, guarantors and other stakeholders. On the date of approval of resolution plan by the adjudicating authority, all such claims, which are not a part of resolution plan, shall stand extinguished and no person will be entitled to initiate or continue any proceedings in respect to a claim. which is not part of the

resolution plan.”

52. These principles were followed in *RPS Infrastructure Ltd. v. Mukul Kumar*, (2023) 10 SCC 718 : (2023) 241 Comp Cas 17, and *Vaibhav Goel v. Deputy Commissioner of Income-Tax*, (2025) 8 SCC 511 : (2025) 255 Comp Cas 266. In *RPS Infrastructure Limited* (supra), and the Supreme Court relied upon its observations in *Essar Steel India Ltd. Committee of Creditors* (supra) on entertaining claims after the resolution plan had been accepted by the CoC. Supreme Court was of the view that the finality after undergoing the due process under IBC could not be easily interfered with by the adjudicating authority.

53. In *Vaibhav Goel* (supra), the Supreme Court held that:

“all the dues including the statutory dues owed to the Central Government, any State Government or any local authority, if not a part of the resolution plan, shall stand extinguished and no proceedings could be continued in respect of such dues for the period prior to the date on which the adjudicating authority grants its approval under Section 31 of the IB Code.”

54. Relying upon the principles established by the Supreme Court in *Essar Steel India Ltd. Committee of Creditors* (supra), and *Ghanshyam Mishra and Sons Pvt. Ltd.* (supra), this Court in similar facts and issue in *South East U.P. Power Transmission Company Limited v. Prescribed Authority*, order dated 24-4-2026 in Writ C No. 19391 of 2023 has held that:

“76. The principle established by the Supreme Court in the aforementioned judgments is that a successful resolution applicant must be permitted to take over the corporate debtor on a “clean slate” the entity should be free from past liabilities except those specifically preserved in the resolution Plan. The IBC is based on the principle that upon approval of a resolution Plan, the corporate debtor emerges from insolvency in a renewed form, with its past liabilities crystallised and confined strictly to those recognised in the resolution Plan.”

55. Respondents relied upon *State Tax Officer (1) v. Rainbow Papers Ltd.* (supra), where the State Tax Officer had raised the claim before the CoC, which was not taken into consideration by the CoC. As such, Court came to a finding that the satisfaction arrived at by the adjudicating authority under Section 31 of the Code was vitiated. Therefore, we are of the considered view that the facts in *Rainbow Papers* are totally distinguishable to the facts of the present case and hence the judgment is of no help to the respondents.

56. While dealing with the same resolution plan as in this case and old dues of corporate debtor, the High Court of Meghalaya at Shillong has held in *Meghalaya Power Distribution Corporation Limited (MePDCL)*

(supra) that:

“Then under Section 31, the resolution plan goes for approval to the adjudicating authority. The adjudicating authority has a concurrent duty of satisfying itself that inter alia the plan provides for payment of the debts of operational creditors. Thereafter, the adjudicating authority which is the NCLT approves the resolution plan. Section 60 provides that during pendency of the resolution plan before the adjudicating authority or NCLT, any application is to be made before it. Such an application under Section 60(5) (c) includes one for determination to any question with regard to insolvency resolution. Under Section 61 an appeal from a decision of the NCLT lies before the appellate authority (NCLAT). Such appeal under Section 61(2) has to be filed within 30 (thirty) days of the decision of the NCLT, the Appellate Tribunal may extend such time by a maximum period of 15 days. A further appeal lies under Section 62 of the Supreme Court within 45 days which may be further extended by 15 days and no more.”

57. Further, on the issue of raising the demand of electricity dues for pre-CIRP period, the High Court of Meghalaya at Shillong referred various judgments of the Supreme Court on the issue and thereafter held in *Meghalaya Power Distribution Corporation Limited (MePDCL)* (supra) that :

“On a proper interpretation of this judgment till such time as a resolution plan is declared as invalid it would be presumed to be valid and all debts not included in the plan prior to the effective date would be deemed to be extinguished.”

It was further held that:

“In my opinion, unless any contrary order is brought from a competent jurisdiction declaring invalidity of the resolution plan, the plan as approved by NCLT is valid and binding on all stakeholders.

In the facts and circumstances of this case the said alleged debts of the first respondent to the appellant are not included in the resolution plan as approved by the adjudicating authority, NCLT on 3 -12-2020. Therefore, those debts before the effective date of the plan i.e. 22-12-2022 are deemed to have been extinguished.

Therefore, I pass an order of injunction restraining the appellant from taking steps or from enforcing its demand notice dated 12-6-2023.”

58. We are in respectful agreement with the view taken by the Meghalaya High Court in *Meghalaya Power Distribution Corporation Limited (MePDCL)* (supra), as there were multiple occasions and forums when respondents could have challenged the resolution plan if they had any grievance but after opting to neither file claim nor challenging the

resolution plan, respondents have lost the opportunity and the old claim of corporate debtor is extinguished in facts of the case.

(iii) Date of commencement of the liability

59. Next question which arises for consideration is as to when the liability starts for the payment of dues to the respondents. It is argued by the petitioner that the “effective date” of the resolution plan should be considered in the facts of the present case. The petitioner contends that the “Effective Date” is 22-12-2022, being the date on which the successful resolution applicant took over the management of the corporate debtor upon deposit of the resolution amount and actual implementation of the plan. On the other hand, the respondents submits that the resolution plan, having been approved by the NCLT on 3-12-2020, became effective from that date itself, and all consequences, including fastening of liability, must be from the date of NCLT order approving the resolution plan.

60. It is not in dispute that the resolution plan was approved by NCLT on 3-12-2020 and was thereafter challenged in appeal before NCLAT and travelled upto Supreme Court and then got finally upheld. In the circumstances the NCLT order could not be implemented in the meanwhile and that lead to put the resolution plan implementation on hold. It is also not in dispute that the actual change of management and operational control took place on 22-12-2022 upon completion of procedural formalities, including deposit of the resolution amount and implementation steps undertaken thereafter under the supervision mechanism provided in the plan. It can also not be denied that there was no possibility of the resolution plan to become effective till the amount was deposited as per procedural requirement.

61. In the facts of this case the “Effective Date” assumes significance since it is closely linked with the commencement of liabilities of the successful resolution applicant as per Clause 1.2.6 of the resolution plan. While the approval of the resolution plan by the NCLT confers legal sanction upon the plan, its operational implementation, including transfer of management and discharge of obligations under the plan, may occur subsequently in accordance with its terms and the implementation framework contemplated therein as the decision of CoC is final being the commercial wisdom and there cannot be judicial review to the clause which has specified the effective date in resolution plan itself, which got approved by the NCLT.

62. However, the respondents had raised question in this regard and therefore it becomes the point for determination as to whether mere approval of the resolution plan is sufficient to fix the date for imposition of liability even if the implementation thereof gets over delayed, or whether such liability can only arise upon actual implementation and transfer of control in terms of the resolution framework. This issue

necessarily requires examination of the terms of the resolution plan itself, the implementation mechanism envisaged therein, and the legal effect of approval under Section 31 of the IBC.

63. Resolution plan in Clause 1.2.6 states that upon payments in the manner specified in sub-Section 1.2.8 and payment of the Interim Management Costs in accordance with this resolution plan, the corporate debtor or the resolution applicant or its Affiliates shall have no liability. For ready reference, Clause 1.2.6 is reproduced as below:

“1.2.6 Upon payments in the manner specified in sub-Section 1.2.8 below and payment of the Interim Management Costs in accordance with this resolution Plan, the corporate debtor or the resolution Applicant or its Affiliates shall have no liability towards:

- (a) any Stakeholder of the corporate debtor, including any Creditor whether Financial Creditors, Employees, Workmen, Government and/or Statutory Authorities, Other Operational Creditors, shareholders or any other stakeholder and all claims and liabilities of any nature whatsoever (whether claimed or unclaimed, admitted or not, due or contingent, asserted or un-asserted, crystallised or uncrystallised, known or unknown, disputed or undisputed) of the corporate debtor for any period up to the Effective Date towards the Creditors and other Stakeholders of the corporate debtor shall be extinguished and settled, upon payment of the Total resolution Amount on the Effective Date, on and with effect from the NCLT Approval Date; and*
- (b) ...”*

64. It is evident that, with effect from the date of approval by the NCLT, the liability of the resolution Applicant was intended to commence, but in the resolution plan itself it is also stipulated that all claims against the corporate debtor would stand extinguished upon payment of the total resolution amount on the effective date. However, despite this clear framework, the Plan could not be implemented within the contemplated timeline, as the final payment itself was delayed due to challenges raised to the resolution plan. The issue of final payment could be resolved only after the interim order dated 30-11-2022 was passed by the Supreme Court in *State Bank of India v. Doha Bank Q.P.S.C.*, Civil Appeal No. 8527 of 2022.

65. The delay, therefore, was occasioned due to litigation and not by any lapse on the part of the resolution Applicant. In *State Bank of India* (supra), the Supreme Court further directed, in terms of the order dated 21-11-2022 passed by the NCLAT Court-I, Mumbai Bench, Maharashtra, that the amount be deposited in an escrow account to be opened with the State Bank of India. It was only thereafter effective steps toward implementation of the resolution plan were taken, culminating in the successful resolution of the corporate debtor as a

new entity with effect from 22-12-2022 upon completion of all formalities.

66. In our considered view, the newly resolved company cannot be forced to bear the financial burden due to such delay caused because the NCLT order approving resolution plan got challenged before appellate courts. To substantiate it, we would rely upon the Latin legal maxim, “*actus curiae neminem gravabit*” which means that an act of the Court shall prejudice no one. In the facts of this case, occasional interim orders delayed the effective date, which is to be considered as per clause mentioned in the resolution plan regarding commencement of liabilities and therefore, Court is to come forward to protect such litigant relying upon above maxim.

67. On the matter of delay due to litigation the Supreme Court has relied upon the above-mentioned maxim to do justice in *Arcelor Mittal India (P) Ltd. v. Satish Kumar Gupta*, (2019) 2 SCC 1 : (2018) 211 Comp Cas 369, and held that:

“86. Given the fact that both the NCLT and Nclat are to decide matters arising under the Code as soon as possible, we cannot shut our eyes to the fact that a large volume of litigation has now to be handled by both the aforesaid Tribunals. What happens in a case where the NCLT or the NCLAT decide a matter arising out of Section 31 of the Code beyond the time-limit of 180 days or the extended time-limit of 270 days? Actus curiae neminem gravabit — the act of the court shall harm no man — is a maxim firmly rooted in our jurisprudence (see Jang Singh v. Brij Lal [Jang Singh v. Brij Lal, 1963 SCC OnLine SC 219 : (1964) 2 SCR 145 : AIR 1966 SC 1631], SCR at p. 149 and A.R. Antulay v. R.S. Nayak [A.R. Antulay v. R.S. Nayak, (1988) 2 SCC 602 : 1988 SCC (Cri) 372 : 1988 Supp (1) SCR 1], SCR at p. 71). It is also true that the time taken by a Tribunal should not set at naught the time-limits within which the corporate insolvency resolution process must take place. However, we cannot forget that the consequence of the chopper falling is corporate death. The only reasonable construction of the Code is the balance to be maintained between timely completion of the corporate insolvency resolution process, and the corporate debtor otherwise being put into liquidation. We must not forget that the corporate debtor consists of several employees and workmen whose daily bread is dependent on the outcome of the corporate insolvency resolution process. If there is a resolution applicant who can continue to run the corporate debtor as a going concern, every effort must be made to try and see that this is made possible. [Regulation 32 of the Insolvency and Bankruptcy Board of India (Liquidation Process) Regulations, 2016, states that the liquidator may also sell the corporate debtor as a going concern.] A reasonable and balanced

construction of this statute would therefore lead to the result that, where a resolution plan is upheld by the appellate authority, either by way of allowing or dismissing an appeal before it, the period of time taken in litigation ought to be excluded. This is not to say that the NCLT and Nclat will be tardy in decision-making. This is only to say that in the event of the NCLT, or the Nclat, or this Court taking time to decide an application beyond the period of 270 days, the time taken in legal proceedings to decide the matter cannot possibly be excluded, as otherwise a good resolution plan may have to be shelved, resulting in corporate death, and the consequent displacement of employees and workers."

(emphasis supplied)

68. The minutes of 20th CoC meeting clearly recognizes the effective date of implementation of the resolution plan is the date when the funds were deposited, i.e., 22-12-2022, and therefore, considering NCLT approval date being the date to commence liability would amount to interference with the wisdom of the CoC in the facts of this case because the plan accepted by the NCLT has expressly mentioned that the effective date would be the date of deposit. For ready reference, Agenda Item No. B-15, reads as below:

"Dissolution of the Monitoring Committee pursuant to the completion of the implementation of the resolution Plan. The Monitoring Committee was informed that pursuant to resolution plan dated 25-11-2019 (as amended from time to time till 13-1-2020) submitted by Reliance Projects and Property Management Services Limited through its division Infrastructure Projects ("RPPMSL" and the plan is referred to as the "resolution Plan") during the corporate insolvency resolution process of the Company, as duly approved by the Committee of Creditors of the Company and subsequently by the Hon'ble National Company Law Tribunal, Mumbai Bench ("NCLT") vide order dated 3-12-2020 and all the steps of the implementation stated in the resolution Plan of RPPMSL (including reconstitution of Board) have been completed on the Effective Date i.e. 22-12-2022.

The distribution of the Total resolution Amount (as defined under the resolution Plan) to the relevant stakeholders/creditors of the Company shall be carried out in terms of the Escrow agreement dated 22-12-2022.

Accordingly, it is informed that all actions/correspondence in relation to any matters/affairs of the Company shall henceforth be undertaken by the reconstituted board of Directors of the Company, and the Monitoring Committee shall be divested of its powers and responsibilities and shall cease to exist with effect from the Effective Date i.e. 22-12-2022 in accordance with the terms of the resolution Plan, without the requirement of any further action or deed in this

regard."

69. Considering above, we conclude that the liability arises from the effective date which is expressly mentioned in the resolution plan, which was approved by CoC in its commercial wisdom, approved by NCLT and upheld by Supreme Court. Recording in NCLT order that it is effective from the date of the order is to be read harmoniously as well as purposefully as the moment resolution plan is approved by the NCLT, everything written in the resolution plan becomes binding on all stakeholders. NCLT cannot intend to interfere in the provision made in the resolution plan as per established legal principle and, therefore, the NCLT order could have been read as the date per the resolution plan, if the amount was deposited as per Clause 1.2.8 schedule and had not got delayed the implementation of the plan due to litigation.

70. In the peculiar facts and circumstances of this case where the implementation of resolution plan got over delayed due to the situation beyond the control of the petitioner, we consider it appropriate to apply the principle laid down by the Supreme Court in *Arcelor Mittal India (P) Ltd.* (supra), where the Supreme Court has excluded the time taken in the litigation, we hold that the date on which the petitioner could effectively implement the resolution plan after depositing complete resolution amount, the liability shall arise from that date. Otherwise, putting the uncertain, unexpected, unclaimed burden on the resolved entity will be against the principles on which the insolvency law is based.

(iv) Legality of Impugned Demands and Coercive Measures

71. The next issue which arises for consideration is the legality and sustainability of the impugned demands, recovery certificates, and consequential coercive actions taken by the respondent authorities because the petitioner has made prayer against the said actions primarily on the ground that the demands pertain to the electricity dues relating to the period prior to Effective Date of the resolution plan, and therefore stand extinguished in view of Section 31 of the IBC if the claim is not being filed during CIRP. It is further contended that once the resolution plan has attained finality, which binds all stakeholders, and hence no recovery proceedings in respect of pre-CIRP dues can be maintained, much less enforced by coercive measures.

72. On the contrary, the respondents seek to justify the impugned actions by contending that the electricity dues constitute statutory dues protected under the applicable Electricity Supply Code and that such dues form a first charge on the premises. It is further urged that electricity being an essential service, recovery of arrears cannot be ignored, and disconnection or reconnection are permissible only under the Electricity Act, particularly where dues remain outstanding against the premises in question for any reason.

73. The controversy, therefore, lies in determining whether, in light of the approved resolution plan and the statutory scheme under the IBC, the respondents could lawfully raise and enforce demands relating to the duration prior to the effective date, and whether coercive measures such as disconnection of electricity supply and sealing of operational mobile tower sites can be justified in law.

74. The answer of this issue would first depend upon the interplay between the binding effect of the resolution plan under Section 31, the overriding effect under Section 238 of the Code, and the statutory powers claimed by the electricity distribution companies under the Electricity Act and the Supply Code, which has been discussed in point (i) where we have concluded that the IBC has overriding effect over Electricity Act and other related laws.

75. The second determinative factor would be as to whether respondents could raise the demand for the period prior to the effective date or when the complete resolution amount was not deposited and the plan was yet to be implemented. This issue has been analysed already above as point (ii) where we have concluded that the respondents who have not filed their claim during CIRP, cannot raise any demand as the claim has got extinguished such a right after the plan, resolution plan got approved by the NCLT and remained undisputed by such a department till the effective date. Considering facts of this case, where the plan is already implemented, raising the demand subsequently would be against all settled legal principles of insolvency laws.

76. Since, it has been held that the claims in respect of the period prior to the approval of the resolution plan stand extinguished, the respondents are precluded from enforcing any such claims, and the liability of the petitioner cannot be fastened prior to the Effective Date as determined in accordance with the resolution plan in the facts of the case.

77. IBC operates within a time-bound and self-contained mechanism, where rights and obligations of stakeholders are required to be determined strictly in accordance with the approved resolution plan and its implementation structure. The binding nature of the resolution plan, once it attains finality under Section 31 of the Code, necessarily governs the rights of all stakeholders, including operational creditors and statutory authorities, subject to the contours of the plan itself. But the principle of exclusion of time taken in the litigation is not alien to the insolvency law but it is available to the petitioner and not to the respondents in the fact of the case.

78. Within the framework of the IBC, three distinct phases prior to final phase can be discerned in the facts of this case. The first pertains

to pre-CIRP dues, which are required to be filed before the RP during the CIRP, failing this, or if not provided for in the approved resolution plan, such dues stand extinguished. The second phase covers the CIRP period itself, where regular operational cost gets presented as CIRP costs, and get placed before the CoC, and these costs are payable on timely basis or in terms of the approved plan, but this also extinguishes, if neither paid during CIRP nor mentioned in the plan. The third phase commences from the date of approval of resolution plan when the monitoring committee takes over, which settles all operational and transitional costs till the effective date of the resolution plan. The final phase is when the corporate debtor emerges as a clean slate, notwithstanding continuity in its name or change of name.

79. In view of the above, dues arising in the first, second and third phases cannot be enforced after the resolution plan is implemented. It is only liabilities arising in the final phase that can be validly claimed, and the petitioner would be bound to comply with the provisions of the Electricity Act, 2003 and other applicable laws in respect of obligations accruing from the effective date onwards.

80. From perusal of resolution plan, it appears that the implementation of the resolution plan, including assumption of management and operational control, is not merely a formal consequence of approval but is intrinsically linked to the execution steps contemplated under the plan. The determination of the point at which liabilities crystallise must, therefore, be guided by the scheme of implementation as reflected in the resolution framework and the actual transition of control in terms thereof, especially when the delay in the implementation was due to pending considerations before one or another Courts.

81. Consequently, any action or demand raised by statutory authorities must necessarily be tested on the anvil of the finality accorded to the resolution process and the statutory mandate governing its binding effect. Coercive steps undertaken in deviation of the approved resolution framework cannot be sustained if they are found to travel beyond the permissible scope of recovery as envisaged under the IBC framework.

82. Accordingly, the sustainability of the impugned actions and the liability, if any, attributable to the petitioner are required to be examined in the light of the settled legal position governing the sanctity of the resolution process and the statutory finality attached thereto under IBC and therefore impugned demand notices pertaining to the duration prior to CIRP, during CIRP, monitoring phase, and further upto the effective date of implementation cannot be sustained in law.

Conclusion

83. In view of the discussions made hereinabove and upon consideration of the factual matrix, the submissions advanced by learned counsel for the parties, and the settled legal position governing the field, this Court is of the considered view that the impugned actions of the respondent authorities cannot be sustained in law as IBC has overriding effect.

84. The claims sought to be enforced pertain to the period pre-CIRP, during CIRP, monitoring phase and further upto the period till effective date for which no claim was filed by respondents. These claims are extinguished in terms of Section 31 of the IBC as well as express provisions made in the resolution plan and hence are not enforceable against the petitioner.

85. We are of the considered view that the resolution plan, having attained finality, is binding on all stakeholders, including statutory authorities, and operates on a clean slate principle as recognised in law. The respondent authorities, therefore, could not have proceeded to raise or enforce demands which are extinguished, nor could they have resorted to coercive measures for recovery of such extinguished claims.

86. Prayers regarding disconnection/reconnection of the electricity, are not considered in this order as the main point in this case has been the date from which the liability could be imposed upon the petitioner and once that is being determined as the “effective date” when the final amount was deposited as per resolution plan, consequential action may follow. And for this reason if there is any demand pre-effective date, then the same cannot be claimed being extinguished claim and if the demand is regarding post-effective date then the parties have got remedy under Electricity Act, except the fact that the dues or arrears on premises cannot be demanded any more as per Electricity Act dues for the reason of overriding effect of IBC.

87. In the light of the aforesaid, this Court is of the considered view that the impugned Recovery Certificates and Kruki proceedings, upto the extent of demand being made prior to the effective date 22-12-2022, cannot be sustained in law and are liable to be set aside.

VIII

Order

88. Thus, this writ petition succeeds and is allowed. Impugned demand notices and consequential recoveries and action are quashed. However, respondent authorities are at the liberty to issue fresh demand notice for any dues, which may have occurred after the effective date *i.e.*, 22-12-2022 in accordance with law.

89. No order as to costs.

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2017 SCC OnLine All 3786 : (2018) 128 ALR 614

In the High Court of Allahabad
(BEFORE SUDHIR AGARWAL AND AJIT KUMAR, JJ.)

Rituraj

Versus

State of U.P. and Others

C.M.W.P. No. 35477 of 2016

Decided on December 14, 2017

The Judgment of the Court was delivered by

SUDHIR AGARWAL and AJIT KUMAR, JJ.:— Heard Sri Ram Swaroop Umrao, learned Counsel for Corporation and learned Standing Counsel for. State-respondents.

2. It is contended that the impugned demand has been raised on the basis of so called testing of meter without showing any defect or even doubt in respect of seals of the meter in the report dated 17.2.2017, without complying with the requirement of Rule 56(d)(i) of the U.P. Electricity Supply Code, 2005 by issuing



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notice to consumer giving intimation for alleged testing of the meter seals and therefore, the alleged demand including the alleged testing report is illegal and in violation of the procedure prescribed in Rules.

3. Reliance is placed on a Division Bench judgment of this Court in *Smt. Amrawati Devi v. Purvanchal Vidyut Vitran Nigam Limited*¹, *Mohd. Sagir v. Dakshinanchal Vidyut Vitran Nigam Limited*² and *Modern Rice Mill v. Madhyanchal Vidyut Vitran Nigam Limited*³.

4. In *Amrawati* (supra), a co-ordinate Bench of this Court while dealing with the issue of right of a consumer to get the defective meter properly sealed and tested either at the laboratory of Electricity Corporation or at the laboratory of some other independent agency holding thus:

“4. Shri Rai has urged that the respondents should have informed the petitioner that she had a right to get the sealed meter tested either at the laboratory of the Nigam or at the laboratory of some other independent agency. In absence of any information by the officers of the Nigam or knowledge the petitioner cannot be

presumed to have waived her right to get the sealed Secure Meter tested at the laboratory of some other independent agency. On the other hand Shri Dube, learned Counsel for the respondents has urged that the petitioner did not avail the opportunity when the meter was sealed and she was asked to appear on 4.12.2008, that she wants to get the sealed Secure Meter tested at the laboratory of some other independent agency. The seal of the meter was opened on 4.12.2008 and it was tested in the presence of the petitioner. Clause 5.6(c)(iii) of Code 2005 provides for only one opportunity and that has not been availed by the petitioner on 26.11.2008 and now it is not open to the petitioner to claim that the Secure Meter No. UPE 62373 be tested by an independent agency.

5. Clause 5.6(c)(iii) of U.P. Electricity Supply Code 2005 is extracted below:

"5.6 Defective Meters:

(a) The Licensee shall have the right to test any meter and related apparatus if there is a reasonable doubt about the accuracy of the meter and the consumer shall provide the Licensee necessary assistance in conduct of test. However, the consumer shall be allowed to be present during the testing.

(b) A consumer may request the Licensee to test the meter installed on his premises if he doubts its accuracy of meter readings not commensurate with his consumption of electricity, stoppage of meter, damage to seal, by applying to the Licensee in prescribed format (Annexure-5.1) alongwith the requisite testing fee. The Licensee shall test the meter:

- (i) Within 15 days of the receipt of the application, at consumer's premises, or
- (ii) Within 30 days at licensee's lab, or Independent lab, or
- (iii) By installing a tested check meter in series with the existing meter within 7 days of filing of application.

(c) In case of testing of meter at consumer's premises, the testing of meter shall be done for a minimum consumption of 1 kWh. The meter testing team of the licensee shall carry heating load of sufficient capacity to carry out



the testing. Optical Scanner may be used for counting the pulses/revolutions or meter shall be tested as per the procedure described in IS/IER1956"or through aqua-check for LT meters and through RSS for others. The aqua Check and RSS shall be calibrated in

laboratory of national repute once in a year.

- (i) In case the meter is found O.K., no further action shall be taken.
- (ii) In case the meter is found fast/slow by the licensee, and the consumer agrees to the report, the meter shall be replaced by a new meter within 15 days, and bills of previous three months prior to the month in which the dispute has arisen shall be adjusted in the subsequent bill as per the test results. In case meter is found to be slow, at the request of the consumer, these charges may be recovered in installments not exceeding three.
- (iii) If the consumer disputes the results of testing, or testing at consumer's premises is difficult, the defective meter shall be replaced by a new tested meter by the Licensee, and, the defective meter after sealing in presence of consumer, shall be tested at licensee's lab/Independent lab/Electrical Inspector, as agreed by consumer. The option once exercised by consumer shall not be changed. The decision on the basis of reports of the test lab shall be final on the Licensee as well as the consumer.

(d) In cases of testing of a meter in the licensee's/Independent test laboratory,

- (i) Consumer shall be informed of the proposed date of testing at least 7 days in advance so that he may be present at the time of testing, personally or through an authorized representative.—
- (ii) The signature of the consumer or his authorized representative, if any present, shall be obtained on the Test Result Sheet.
- (iii) The results of testing, billing, and in case the consumer disputes the results of testing, shall be same as provided in Clause 5.6(c) above.

Note: (i) The licensee may submit a proposal, with a list, of reputed and approved test labs, alongwith their test charges to the Commission.

(ii) The provisions of IER1956 shall however be followed until rules are made under sections 53 and 55 of the Act.

(e) In case a check meter is installed, and if after 7-15 days of the period of test, the existing meter is found to be fast or slow beyond the permissible limits, and the test results are not disputed by the consumer, then the same would be removed leaving the check meter in its place for future metering, and

bills of previous three months prior to the month in which the dispute has arisen shall be adjusted in the next bill as per the test results. Where the test results are disputed, the procedure as per Clause 5.6(c) as above, as the case may be, shall be followed.,

6. From reading of Clause 5.6(c)(iii) it is clear that this clause in unequivocal terms declares that the defective meter after sealing in presence of consumer, shall be tested, at licensee's lab/independent lab/ electrical Inspector, as agreed by the customer. Therefore, the agreement by the consumer is essential for testing of the meter either at the laboratory of the Nigam or at the laboratory of some other independent agency. It further provides that option exercised by consumer once cannot be changed. The clause, therefore, empowers the authorities to seal the meter and get it tested with consumer's agreement. Since the clause operates harshly against the consumer it has to be construed strictly. The consumer has a



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right to get the meter tested with independent agency. The authorities, therefore, have a corresponding duty to apprise the consumer of the right. Failure to discharge this duty, which flows from sub-clause (c)(iii) by the authorities while exercising their right to send the meter for testing, renders the entire proceedings for sealing the meter irregular and illegal. Annexure-3 dated 26.11.2008 does not comply with this requirement. The relevant portion is extracted below:

“1. मीटर ऐक्यू चेक से चेक किया गया मीटर 12.61 धीमा पाया गया। Cwhl = -12.61%
2. मीटर संख्या यू० पी० ई० को उतार कर सील किया गया। मीटर का परीक्षण 4.12.2008 को मीटर लैब में होगा। उपभोक्ता को सूचित किया जाता है कि दिनांक 4.12.2008 को 12.00 बजे मीटर के परीक्षण हेतु उपस्थित हो।”

7. It only informs the consumer that the meter shall be tested at licensee's laboratory and she should be present on 4.12.2008. In absence of intimation that she has a right to get it tested at independent laboratory, the notice was contrary to law.”

5. Following the aforesaid judgment in *Modem Rice Mill* (supra), one of us (Sudhir Agarwal, J.) held that a report of laboratory which was not an independent test laboratory could not be relied upon and hence the assessment made on the basis of report, which was not held worth acceptance, was set aside. The Court further expressed the view that unless opportunity is given by means of proper notice regarding testing the defective meter by an independent agency, Corporation cannot take defence of validity of assessment on the basis of testing report of such defective meter. The relevant paragraphs of the judgment in this regard

are reproduced herein under:

“48. This submission has been seriously disputed by the learned Counsel for petitioner. I also finds some substance in the reasoning forwarded on behalf of the petitioner. The practice of getting secure meter tested by its manufacturer has been deprecated as it amounts to making a person judge in his own cause. Secure Meters Ltd., the manufacturer of Secure Meter, is a pure and simple commercial undertaking. Its interest is to prove efficacy of its meters for augmenting its sale. This would be possible only by canvassing a system of metering which is tamper proof, pilfer proof etc. and generate confidence as much as possible. It cannot admit easily or at least cannot be expected to admit easily defect (s) in its meters, if any. Even if it finds something wrong, there is every possibility that being a private party, not accountable to any one, it may try to dispel charge on its own and make responsible someone else. It may be a good commercial undertaking but being solely private not accountable to the consumer or the licensee, testing of a meter by such a company and that too wholly *ex parte* and in a self-contented manner cannot be imposed on a consumer by the Licensee. The action following the conclusion that a meter has been tampered etc. so as to record incorrect reading results in civil consequences to the consumer. The exercise, therefore, if not judicial is also not pure administrative. The procedure consistent with the principles of natural justice, therefore, would be attracted in such a case. No person can be made an Arbiter of a dispute when such person has its own interest in the matter. When there is a dispute regarding the meter whether it is correct or not, whether tampered or not, Meter Manufacturing company having its own interest in the meter, if allowed to adjudicate and that too conclusively on the question of tampering or tamper etc. that would amount to inviting a decision from a person having large commercial interest in the matter. It would hit the principle that no one



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shall be judge in his own cause. Even otherwise when the statute talks of an “independent testing laboratory” it does not mean that it : should be a test lab of the person holding large commercial interest in the matter. Moreover, a private company's opinion cannot be given statutory status in absence of any provision to do so.

49. The Patna High Court time and again, confronted with similar situation, has deprecated test of meter by its manufacturer M/s.

Secure Meters Ltd. It had observed that it is likely to create a strong bias on the part of supplier/manufacturer. In para 13 of the judgment in *JMD Alloys Limited* (supra), a Single Judge of Patna High Court observed:

“13. It has also been held by this Court that sending the meter for testing to the accredited laboratory of M/s. Secur Meters Ltd. which is the manufacturer and supplier of the said meters under guarantee to replace the defective meter to the Electricity Board, is likely to create a strong bias on the part of the supplier/manufacturer in testing the meter, even though its laboratory may be an accredited laboratory.”

50. I, therefore, finds no justification in relying on the report of M/s, Secure Meters Ltd. I have no hesitation in holding that in the light of discussion as above, the laboratory of M/s. Secure Meters Ltd. cannot be said to be an “Independent Laboratory” under para 5.6(b)(iii) of Code 2005.

51. In any case para 5.6(d) makes imperative upon the licensee or the test laboratory to follow certain procedure before testing of the meter, namely, information to consumer of the proposed date of testing, giving opportunity to consumer or his representative to be present personally at the time of testing, obtaining signature of such person, if he is so present and a right to the consumer to dispute such testing as provided in Clause 5.6(c).

52. Admittedly and at least there is nothing on record to show that before obtaining report from M/s. Secure Meters Ltd., such procedure was followed. Petitioner categorically raised this issue in paras 3 and 4 of his letter dated 6.3.2006 (Annexure-5 to the writ petition) but the same has not been adverted to by any of the authorities at any stage. The Assessing Officer initially issued a Provisional Assessment Order dated 1.2.2006 without commenting on the alleged report of M/s. Secure Meters Ltd. and thereafter issued a revised undated assessment bill (sent to petitioner by registered post in which due date of payment was mentioned as 31.3.2006) for Rs 10,54,969/-. It was appended with a calculation assessment sheet signed by Divisional Accountant (Revenue), Assistant Engineer (Revenue) and EE. The petitioner's objection dated 6.3.2006 does not appear to have been attended by Assessing Officer at all. The EE's letter dated 25.4.2006 only shows that he relied on Clause 5.6(c)(iii) of Code 2005 but then without caring to go through the relevant provisions simply says that meter manufacturing company is an independent agency and its report must be honoured. This shows closeness with which Assessing Officer had looked into the matter and had miserably failed to apply mind to the entire facts of the case. This Court is constraint to

observe that Assessing Officer appears to lack appreciation and knowledge of relevant provisions or there is some deliberate negligence or carelessness on his part in appreciation of application of those provisions.”

6. In view of the above exposition of law and the facts that in the instant case, no intimation was given to the petitioner for alleged testing of meter seals; the assessment order is *per se* illegal and is hereby quashed. Final bill



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and demand notice dated 28.3.2016 as well as the provisional assessment bill dated 1.3.2016 (Annexure Nos. 7 and 6 respectively) as well as the test laboratory report dated 1722016 (Annexure No. 5) are hereby set aside.

7. Petition is *allowed* with cost of Rs. 25,000/-. However, the respondent Corporation shall be at liberty to proceed afresh in accordance with law.

8. *Petition Allowed.*

¹. (2009) 74 ALR 701.

². (2014) 105 ALR 603.

³. 2012 (1) ADJ 296 : (2012) 90 ALR 12 (Sum.).

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2009 SCC OnLine All 26 : (2009) 74 ALR 701 : (2009) 76 AIC 548
(All) : (2009) 3 All LJ (NOC 448) 140 : ILR (2009) 1 All 113

(Allahabad High Court)

BEFORE V.M. SAHAI AND RAN VIJAI SINGH, JJ.

Between

Smt. Amrawati Devi

Versus

Purvanchal Vidyut Vitran Nigam Ltd. through its
Managing Director and another

C.M.W.P. No. 1545 of 2009

Decided on January 15, 2009

The Judgment of the Court was delivered by

V.M. SAHAI and RAN VIJAI SINGH, JJ.:— The Purvanchal Vidyut Vitran Nigam Ltd. (in brief the Nigam) replaced the old electricity meter on 14.12.2004 and installed a new Secure Meter No. UPE 62373 at the hotel of the petitioner. Another China Meter No. LT-1 089513 was installed outside the premises of the petitioner on 16.12.2007. The hotel of the petitioner was checked on 26.11.2008 and the officers of the Nigam found that the Secure Meter No. UPE 62373 was running slow by 12.61%. It was decided by the officers of the Nigam that the aforesaid meter would be tested at the laboratory of the Nigam. On the same day the Secure Meter No. UPE 62373 was sealed and the petitioner was intimated that the meter would be tested at the laboratory of the Nigam and the petitioner should be present on 4.12.2008. The Secure Meter No. UPE 62373 was taken away and a new meter was installed at the hotel of the petitioner.

2. At the laboratory of the Nigam on 4.12.2008 the seal of the Secure Meter No. UPE 62373 was opened in the presence of the petitioner. The meter and seal, after testing were found to have been tampered. Thereafter, provisional assessment notice dated 31.12.2008 was issued to the petitioner which has been challenged by the petitioner in this writ petition on the ground that



the sealed meter should have been sent for testing by an independent agency as provided by Clause 5.6(c)(iii) of U.P. Electricity Supply Code 2005 (in brief the Code 2005).

3. We have heard Shri B.C. Rai, learned Counsel for the petitioner and Shri H.P. Dube, learned Counsel for the respondent. There is no dispute on facts and only interpretation of Clause 5.6(c)(iii) of the Code 2005 is involved. With the consent of learned Counsel for the parties we have taken up this petition for final disposal at the admission stage without calling for a counter affidavit.

4. Shri Rai has urged that the respondents should have informed the petitioner that she had a right to get the sealed meter tested either at the laboratory of the Nigam or at the laboratory of some other independent agency. In absence of any information by the officers of the Nigam or knowledge the petitioner cannot be presumed to have waived her right to get the sealed Secure Meter tested at the laboratory of some other independent agency. On the other hand Shri Dube, learned Counsel for the respondents has urged that the petitioner did not avail the opportunity when the meter was sealed and she was asked to appear on 4.12.2008, that she wants to get the sealed Secure Meter tested at the laboratory of some other independent agency. The seal of the meter was opened on 4.12.2008 and it was tested in the presence of the petitioner. Clause 5.6 (c)(iii) of Code 2005 provides for only one opportunity and that has not been availed by the petitioner on 26.11.2008 and now it is not open to the petitioner to claim that the Secure Meter No. UPE 62373 be tested by an independent agency.

5. Clause 5.6(c)(iii) of U.P. Electricity Supply Code 2005 is extracted below,

"5.6 Defective Meters:

- (a) The licensee shall have the right to test any meter and related apparatus if there is a reasonable doubt about the accuracy of the meter and the consumer shall provide the licensee necessary assistance in conduct of test. However, the consumer shall be allowed to be present during the testing.
- (b) A consumer may request the licensee to test the meter installed on his premises if he doubts its accuracy of meter reading not commensurate with his consumption of electricity, stoppage of meter, damage to seal, by applying to the licensee in prescribed format (Annexure 5.1) along with the requisite testing fee. The licensee shall test the meter.
 - (i) Within 15 days of the receipt of the application, at consumer's premises, or
 - (ii) Within 30 days at Licensee's lab, or independent lab, or
 - (iii) By installing a tested check meter in series with the existing meter within 7 days of filing of application.
- (c) In cases of testing of meter at consumer's premises, the testing of meter shall be done for a minimum consumption of 1 KWH. The

meter testing team of the licensee shall carry heating load of sufficient capacity to carry out the testing. Optical scanner may be used for counting the pulses/revolutions or meter shall be tested as per the procedure described in IS/IER 1956 or through Aqua Check for LT meters and through RSS for others. The Aqua Check and RSS shall be calibrate in laboratory of national repute once in a year.

(i) In case the meter is found OK, no further action shall be taken.



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(ii) In case the meter is found fast/slow by the licensee, and the consumer agrees to the report, the meter shall be replaced by a new meter within 15 days, and bills of previous three months prior to the month in which the dispute has arisen shall be adjusted in the subsequent bill as per the test results. In case meter is found to be slow, at the request of the consumer, these charges may be recovered in installments not exceeding three.

(iii) If the consumer disputes the results of testing, or testing at consumer's premises is difficult, the defective meter shall be replaced by a new tested meter by the licensee, and, the defective meter after sealing in presence of consumer, shall be tested at licensee's lab/independent lab/electrical inspector, as agreed by the consumer. The option once exercised by consumer shall not be changed. The decision on the basis of reports of the test lab shall be final on the licensee as well as the consumer.

(d) In cases of testing of a meter in the licensee's/independent test laboratory,

(i) Consumer shall be informed of the proposed date of testing at least 7 days in advance so that he may be present at the time of testing, personally or through an authorised representative;

(ii) the signature of the consumer or his authorised representative, if any present, shall be obtained on the Test Result Sheet;

(iii) the results of testing, billing, and in case the consumer disputes the results of testing, shall be same as provided in Clause 5.6(c) above.

Note: (i) The Licensee may submit a proposal, with a list of reputed and approved test labs, along with their test charges to the commission.

(ii) the provisions of IER 1956 shall however be followed until rules are made under sections 53 and 55 of the Act.

(e) In case a check meter is installed, and if after 7–15 days of the period of test, the existing meter is found to be fast or slow beyond the permissible limits, and the test results are not disputed by the consumer, then the same would be removed leaving the check meter in its place for future metering, and bills of previous three months prior to the month in which the dispute has arisen shall be adjusted in the next bill as per the test results. Where the test results are disputed, the procedure as per Clause 5.6(c) as above, as the case may be, shall be followed.”

6. From reading of Clause 5.6(c)(iii) it is clear that this clause in unequivocal terms declares that the defective meter after sealing in presence of consumer, shall be tested, at licensee's lab/independent lab/electrical Inspector, as agreed by the consumer. Therefore, the agreement by the consumer is essential for testing of the meter either at the laboratory of the Nigam or at the laboratory of some other independent agency. It further provides that option exercised by consumer once cannot be changed. The clause, therefore, empowers the authorities to seal the meter and get it tested with consumer's agreement. Since the clause operates harshly against the consumer it has to be construed strictly. The consumer has a right to get the meter tested with independent agency. The authorities, therefore, have a corresponding duty to apprise the consumer of the right. Failure to discharge this duty, which flows from sub-clause (c)(iii) by the authorities while exercising their right to send the meter for testing, renders the entire proceedings for sealing the meter irregular



Page: 704

and illegal. Annexure-3 dated 26.11.2008 does not comply with this requirement. The relevant portion is extracted below:—

- “1. मीटर ऐब्यू चेक से चेक किया गया मीटर 12.61 धीमा पाया गया। CWhI = 12.61%
2. मीटर संख्या यू० पी० ई० को उतार कर सील किया गया। मीटर का परीक्षण 4.12.2008 को मीटर लैब में होगा। उपभोक्ता को सूचित किया जाता है कि दिनांक 4.12.2008 को 12.00 बजे मीटर के परीक्षण हेतु उपस्थित हो।”

7. It only informs the consumer that the meter shall be tested at licensee's laboratory and she should be present on 4.12.2008. In absence of intimation that she has a right to get it tested at independent laboratory, the notice was contrary to law.

8. It has been argued by the respondents that the Code 2005 being the law, the petitioner cannot claim that she was not aware of it. On the other hand the Counsel for the petitioner argued that 'ignorance of law

is no excuse' does not apply universally. We do not consider it necessary to enter into this wider issue as we have found the notice dated 26.11.2008 Annexure-3 to be contrary to Clause 5.6(c)(iii).

9. For the same reason the argument of the respondents that once the petitioner did not object, she waived her right to get the defective meter tested by independent laboratory cannot be accepted, unless she knew or had knowledge about the provisions of Clause 5.6(c)(iii) of Code 2005. In such situation the doctrine of waiver can not be pressed into service. The Apex Court in *Moti Lal Padampat Sugar Mills Ltd. v. The State of U.P.*¹ had held in paragraph 6 as below:—

“Secondly, it is difficult to see how, on the facts, the plea of waiver could be said to have been made out by the State Government. Waiver means abandonment of a right and it may be either express or implied from conduct, but its basic requirement is that it must be “an intentional act with knowledge”. Per Lord Chelmsford, L.C. in *Earl of Darnley v. London, Chatham and Dover Rly. Co.*² There can be no waiver unless the person who is said to have waived is fully informed as to his right and with full knowledge of such right, he intentionally abandons it. It is pointed out in *Halsbury's Laws of England* (4th edn.) Volume 16 in paragraph 1472 at page 994 that for a “waiver to be effectual it is essential that the person granting it should be fully informed as to his rights” and Issacs, J. delivering the judgment of the High Court of Australia in *Craine v. Colonial Mutual Fire Insurance Co. Ltd.*³ has also emphasised that waiver “must be with knowledge, an essential supported by many authorities.” Moreover, it must be remembered that there is no presumption that every person knows the law. It is often said that everyone is presumed to know the law, but that is not a correct statement: there is no such maxim known to the law. Over a hundred and thirty years ago, *Maule, J.*, pointed out in *Martindale v. Falkner*⁴. “There is no presumption in this country that every person knows the law: it would be contrary to common sense and reason if it were so.” Scrutton, L.J., also once said: “It is impossible to know all the statutory law, and not very possible to know all the common law”. But it was Lord Arkin who, as in so many other spheres, put the point in its proper context when he said in *Evans v. Bartlam*⁵ the fact is that there is not



and never has been a presumption that everyone knows the law. There is the rule that ignorance of the law does not excuse. a maxim of very

difficult scope and application. It is, therefore, not possible to presume, in the absence of any material placed before the Court, that the appellant had full knowledge of its right to exemption so as to warrant an inference that the appellant waived such right by addressing the letter dated 25.6.1970. We accordingly reject the plea of waiver raised on behalf of the State Government."

10. In our opinion, in absence of intimation of Clause 5.6(c)(iii) of the Code 2005, the petitioner could not be deemed to have waived her right to exercise her option to get her meter tested at independent laboratory. To be fair to the Nigam as well as consumer, a notice is required to be given by the Nigam to the consumer as to whether the consumer wants to get the defective meter tested at the laboratory of the Nigam or by electrical inspector or by an independent agency. The answer of the notice has to be given by the consumer. After the option is exercised by the consumer and he agrees to get the meter tested at the laboratory of the Nigam or electrical inspector, then the Nigam may fix the date for testing the meter. If the consumer exercises his option to get the meter tested from outside agency, the list of the names of the outside agency approved by the Nigam should be intimated to the consumer so that he may choose any one of the outside agency and according to the option of the consumer. The outside agency may test the meter and its finding about testing of meter would be final. It is after following this procedure that the option exercised by consumer cannot be changed. The decision on the basis of option exercised by the consumer, and the report of the test laboratory shall be final and binding on the licensee as well as on the consumer. But the Nigam did not inform the petitioner to exercise her option on 26.11.2008 when the meter of the petitioner was sealed and she was informed to appear on 4.12.2008 for testing of the meter.

11. We are of the considered opinion that after sealing the meter the Nigam must serve a notice, on which it should be printed in bold capital letters, intimating the consumer or his representative to exercise his option either to get the meter tested by the electrical inspector or at the laboratory of the Nigam or the consumer may exercise his option to get his meter tested from one of the outside agencies approved by the Nigam mentioned in the notice. Once the consumer exercises his option then immediately a date has to be fixed for testing of the meter in the presence of the consumer.

12. For the aforesaid reasons the writ petition succeeds and is allowed. The provisional assessment notice dated 31.12.2008 issued by the respondents Annexure-6 to the writ petition is quashed. We further direct the respondents to send the meter of the petitioner for testing by an independent agency in accordance with Clause 5.6(c)(iii) and

thereafter make provisional assessment provided the petitioner deposits an amount of Rs. 2,50,000/- with the respondents within a period of fifteen days from today. The respondents are further directed to restore the power supply of the petitioner within 48 hours from the date petitioner deposits the aforesaid amount. The petitioner shall go on paying her regular electricity bills.

13. Parties shall bear their own costs.

Petition Allowed.

¹. 1979 (5) ALR 13 (Sum) : (1979) 2 SCC 409 : AIR 1979 SC 621.

². (1867) LR 2 HL 43 at p. 57.

³. (1920) 28 CLR 305 Aus.

⁴. (1846) 2 CB 706.

⁵. (1937) AC 473.

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2013 SCC OnLine All 9880

(BEFORE ASHOK BHUSHAN AND VIPIN SINHA, JJ.)

Jai Laxmi Cement Company Ltd. Petitioner

v.

State of U.P. and 3 Others Respondents

Counsel for Petitioner : - Bidhan Chandra Rai

Counsel for Respondent : - C.S.C., Mahboob Ahmad

Writ - C No. - 58746 of 2013

Decided on October 29, 2013

Hon'ble Ashok Bhushan, J.

Hon'ble Vipin Sinha, J.

Counter affidavit filed today is taken on record.

Heard Sri. B.C. Rai learned counsel for the petitioner and Sri. M.D. Singh Shekhar, learned Senior Advocate assisted by Sri. Nipendra Mishra, Advocate for the respondents.

This Writ petition has been by the petitioner praying for following reliefs.

"i. Issue a Writ, order of direction in the nature of certiorari calling for the records and to quash undated provisional assessment which was served to the petitioner company on 18.10.2013 at about 8 : 15 P.M. (Annexure 6 to the Writ petition);

ii. issue a Writ, order or direction in the nature of mandamus commanding the respondent no. 4 to send the main meter for testing to the approved independent test laboratory;

iii. issue a Writ, order or direction in the nature of mandamus commanding the respondent no. 4 to reconnect electricity supply of the petitioner company as the electricity of similarly situated consumers have been reconnected by the respondent no. 4.

Petitioner's case in the Writ petition is that the provisional assessment notice has been given to the petitioner demanding an amount of Rs. 13,92,97,764/- regarding theft of electricity and the notice indicates that the respondents have already made up their mind for arriving at the aforesaid amount. It is further submitted that a first information report was lodged after the checking which first information report is

annexed as annexure 2 to the Writ petition in which allegations were made that there was tampering in the pole meter. He submits that two meters have been installed, one pole meter and another consumer meter within the premises of petitioner. It is submitted that petitioner is a consumer of H.V.-2 category having 1500 KVA load. It is further submitted that petitioner has requested for sending the meter for testing at laboratory on 11.10.2013 but no action has been taken so far. Petitioner's case further is that tampering in pole meter can in no manner affect the assessment nor any theft can be found on that basis. He submits that the assessment has been arbitrarily made without there being any material to prima facie prove any theft within the meaning of Section 135 of Electricity Act.

Sri. M.D. Singh Shekhar, learned Senior Counsel appearing for the respondents refuting the submission of the petitioner's counsel, contended that petitioner has been given opportunity to file objection within 15 days and it is open for the petitioner to raise all his objection in reply to the provisional assessment notice. Sri. M.D. Singh submits that the Writ petition is premature and be not entertained. It is further submitted that all the issues and grounds which are sought to be raised in the Writ petition can very well be raised in his objection which shall be decided by the Executive Engineer.

Learned counsel for the petitioner in support of his submission that the provisional assessment notice has recorded its conclusions and deserves to set aside on this ground, has placed reliance on the judgment of Apex Court in (2010) 13 SCC 427; *Oryx Fisheries Private Limited v. Union of India*.

We have considered the submissions of learned counsel for the parties and perused the record.

A perusal of the provisional assessment notice (Annexure-6 to the Writ petition) indicates that the Executive Engineer has provisionally assessed the petitioner on the basis of checking report which according to the Executive Engineer confirms the theft of electricity. The notice stated that the petitioner may deposit the amount and if there is any objection, the same may be filed within 15 days.

A bare reading of the provisional assessment notice does not indicate that any concluded opinion has been expressed in the provisional assessment notice or the issues have been prejudged. The provisional assessment notice is based on checking report on which petitioner has been given opportunity to file an objection.

The judgment of the Apex Court in *Oryx Fisheries Private Limited v.*

Union of India was on different facts and situation. In the said case the show cause notice has been stated, "It has been proved beyond doubt.....". The observations made by the Apex Court in paragraph 23, 24, 27, 29, 31 and 32 have been relied by learned counsel for the petitioner. There cannot be any dispute to the proposition as laid down by the Apex Court in the said case. However, each case has to be examined on its own facts. In the provisional assessment notice (Annexure 6 to the Writ petition), the checking report has been relied for issuing the same. We are of the view that notice cannot be read as expressing any concluded opinion on the allegation of theft as mentioned in checking report. Petitioner having given right to file an objection, petitioner can raise his objections against the checking report as well as against the provisional assessment notice which is to be examined by the authority finalising the assessment.

Thus, we are not satisfied that the provisional assessment notice is liable to struck down on the above ground.

Learned counsel for the petitioner submitted that the Writ petition against the provisional assessment notice can very well be entertained by this Court. He has relied on the judgment of the Apex Court in (2012) 2 SCC 108; *Executive Engineer, Southern Electricity Supply Company of Orissa Limited v. Seeraram Rice Mill*. The Apex Court in the said case while considering the provisions of Electricity Act, 2003 has laid down following in paragraph 79 to 82 : -

79. It may be noticed that admittedly the present respondent had not preferred any appeal against the provisional order of assessment dated 25th July, 2009 and, in fact, had preferred a Writ petition against the very issuance of a notice issued in terms of Subsections(2) and (3) of Section 126 of the 2003 Act. This brings us to the question as to what is the scope of jurisdiction under Article 226 of the Constitution of India in face of the provisions of Section 127 of the 2003 Act.

80. It is a settled canon of law that the High Court would not normally interfere in exercise of its jurisdiction under Article 226 of the Constitution of India where statutory alternative remedy is available. It is equally settled that this canon of law is not free of exceptions. The courts, including this Court, have taken the view that the statutory remedy, if provided under a specific law, would impliedly oust the jurisdiction of the Civil Courts. The High Court in exercise of its extraordinary jurisdiction under Article 226 of the Constitution of India can entertain Writ or appropriate proceedings despite availability of an alternative remedy. This jurisdiction, the High Court would exercise

with some circumspection in exceptional cases, particularly, where the cases involve a pure question of law or vires of an Act are challenged. This class of cases we are mentioning by way of illustration and should not be understood to be an exhaustive exposition of law which, in our opinion, is neither practical nor possible to state with precision. The availability of alternative statutory or other remedy by itself may not operate as an absolute bar for exercise of jurisdiction by the Courts. It will normally depend upon the facts and circumstances of a given case. The further question that would inevitably come up for consideration before the Court even in such cases would be as to what extent the jurisdiction has to be exercised.

81. Should the Courts determine on merits of the case or should they preferably answer the preliminary issue or jurisdictional issue arising in the facts of the case and remit the matter for consideration on merits by the competent authority? Again, it is somewhat difficult to state with absolute clarity any principle governing such exercise of jurisdiction. It always will depend upon the facts of a given case. We are of the considered view that interest of administration of justice shall be better subserved if the cases of the present kind are heard by the courts only where it involves primary questions of jurisdiction or the matters which goes to the very root of jurisdiction and where the authorities have acted beyond the provisions of the Act. However, it should only be for the specialized Tribunal or the appellate authorities to examine the merits of assessment or even the factual matrix of the case.

*82. It is argued and to some extent correctly that the High Court should not decline to exercise its jurisdiction merely for the reason that there is a statutory alternative remedy available even when the case falls in the above-stated class of cases. It is a settled principle that the Courts/Tribunal will not exercise jurisdiction in futility. The law will not itself attempt to do an act which would be vain, *lex nil frustra facit*, nor to enforce one which would be frivolous-- *lex neminem cogit ad vana seu inutilia*--the law will not force any one to do a thing vain and fruitless. In other words, if exercise of jurisdiction by the Tribunal *ex facie* appears to be an exercise of jurisdiction in futility for any of the stated reasons, then it will be permissible for the High Court to interfere in exercise of its jurisdiction. This issue is no longer *res integra* and has been settled by a catena of judgments of this Court, which we find entirely unnecessary to refer to in - detail. Suffices it to make a reference to the judgment of this Court in the case of *Whirlpool Corporation v. Registrar of Trade Marks, Mumbai [(1998) 8 SCC 1]* where this Court was concerned with the powers of the Registrar of Trade Marks and the Tribunal under the Trade and Merchandise Marks Act, 1958 and exercise of jurisdiction by the High Court in face of*

availability of a remedy under the Act.

In paragraph 87, the Apex Court has recorded conclusions which are to the following effect : -

87. Having dealt with and answered determinatively the questions framed in the judgment, we consider it necessary to precisely record the conclusions of our judgment which are as follows : -

1. Wherever the consumer commits the breach of the terms of the Agreement, Regulations and the provisions of the Act by consuming electricity in excess of the sanctioned and connected load, such consumer would be "in blame and under liability" within the ambit and scope of Section 126 of the 2003 Act.

2. The expression "unauthorized use of electricity means" as appearing in Section 126 of the 2003 Act is an expression of wider connotation and has to be construed purposively in contrast to contextual interpretation while keeping in mind the object and purpose of the Act. The cases of 72 excess load consumption than the connected load inter alia would fall under Explanation (b) (iv) to Section 126 of the 2003 Act, besides it being in violation of Regulations 82 and 106 of the Regulations and terms of the Agreement.

3. In view of the language of Section 127 of the 2003 Act, only a final order of assessment passed under Section 126(3) is an order appealable under Section 127 and a notice-cum-provisional assessment made under Section 126(2) is not appealable.

4. Thus, the High Court should normally decline to interfere in a final order of assessment passed by the assessing officer in terms of Section 126(3) of the 2003 Act in exercise of its jurisdiction under Article 226 of the Constitution of India.

5. The High Court did not commit any error of jurisdiction in entertaining the Writ petition against the order raising a jurisdictional challenge to the notice/provisional assessment order dated 25th July, 2009. However, the High Court transgressed its jurisdictional limitations while travelling into the exclusive domain of the Assessing officer relating to passing of an order of assessment and determining factual controversy of the case.

6. The High Court having dealt with the jurisdictional issue, the appropriate course of action would have been to remand the matter to the Assessing Authority by directing the consumer to file his objections, if any, as contemplated under Section 126(3) and require the Authority

to pass a final order of assessment as contemplated under Section 126 (5) of the 2003 Act in accordance with law.

There cannot be any dispute to the proposition that in exercise of jurisdiction under Article 226 of the Constitution of India Writ petition can be entertained even though a statutory remedy is available. However, for entertaining the Writ petition under Article 226 of the Constitution of India, the case has to be covered by one of the well known exceptions as laid down by the Apex Court in *Whirlpool Corporation v. Registrar* 1998 (8) SSC 1. From the submissions of the petitioner's counsel, we are of the view that present is not a case which can be held to be covered by any of the exceptions as laid down by the Apex Court in *Electricity Supply Company's* case or *Whirlpool Corporation's* case.

The petitioner having right to file objection against the provisional assessment notice and the statutory authority being obliged to consider the said objections while finalising the assessment, we are of the view that this is not a fit case to be entertained at this stage.

Learned counsel for the petitioner has submitted that even the provisional assessment notice has not been issued in accordance with provisions of the U.P. Electricity Supply Code, 2005. It is submitted that the petitioner is an industry and due to disconnection w.e.f. 01.10.2013 it is suffering a lot, hence in the interest of justice reconnection may be directed so that the industry may run.

After having considered the submissions of learned counsel for the parties and perusing the record, we are of the view that the petitioner be given further opportunity of filing a detail objection within 21 days from today. Petitioner's prayer for sending the meter in laboratory for testing may also be considered and appropriate decision may be taken by the competent authority. We further direct that subject to petitioner depositing one third amount of provisional assessment notice dated 11.10.2013, the respondent shall reconnect the electricity, which however, shall abide by the final assessment. It goes without saying that petitioner shall continue to pay the futures bills as and when due. The Executive Engineer shall consider the objection of the petitioner and finalise the assessment expeditiously preferably within a period of four weeks from the date of filing detail objection along with a certified copy of this order.

With these observations the Writ petition is disposed of.

liable in any manner by reason of any mistake or omission or for any action taken or omitted to be taken or advice rendered or accepted on the basis of this casenote/ headnote/ judgment/ act/ rule/ regulation/ circular/ notification. All disputes will be subject exclusively to jurisdiction of courts, tribunals and forums at Lucknow only. The authenticity of this text must be verified from the original source.

2013 SCC OnLine All 11490

In the High Court of Allahabad
(BEFORE ASHOK BHUSHAN AND VIPIN SINHA, JJ.)

Parmarth Steels & Alloys (Pvt.) Ltd. and Another ...
Petitioners;

Versus

U.P. Power Corporation Ltd. (Transco) and Others ...
Respondents.

Writ - C No. - 4544 of 2008

Decided on December 3, 2013

Advocates who appeared in this case :

Counsel for Petitioner : - B.C. Rai

Counsel for Respondent : - H.P. Dube, A.N. Singh, Pankaj Kumar Shukla, S.C.

The Order of the Court was delivered by

ASHOK BHUSHAN and VIPIN SINHA, JJ.:— Heard Sri. B.C. Rai, learned counsel for petitioners and Sri. Nripendra Mishra appearing for respondents.

2. By this writ petition, the petitioners have prayed for quashing the order dated 17.12.2007 issued by Executive Engineer rejecting the petitioners objections submitted against provisional assessment notice dated 23rd July, 2007.

3. Petitioners have also prayed for mandamus restraining the respondent no. 3 from recovery of balance amount of Rs. 1,07,23,725/- pursuant to orders dated 17.12.2007 and 27th July, 2007 (other reliefs claimed in the writ petition has not been raised).

4. Counter and rejoinder affidavits have been exchanged between the parties and with the consent of the learned counsel for the parties we proceed to decide the writ petition finally.

5. The brief facts as emerge from the pleadings of the parties are that the petitioners have contracted load of 3060 KVA from the respondent corporation. The petitioners have been receiving electricity supply from 132 K.V. Pilichowki, Sub station which is an independent feeder. In the petitioners' premises the meter has been installed, namely, energy meter. There is another meter installed outside, namely, double pole meter on same supply line for keeping check at the factory for accounting and billing, in case of failure of energy meter. The meter installed outside is known as 'outdoor meter'. At Pilichowki Sub station, there is another meter installed which is known as "energy

accounting meter”.

6. From the meter at Sub Station energy account chart is being maintained in which line losses is also recorded. The petitioners' premises have been inspected every month and at no point of time any tampering in the energy meter was noted. Last such inspection was made on 21st June, 2007, again on 5th July, 2007 an inspection was made by the official of respondent no. 3 who inspected energy meter as well as C.T./P.T., MRI was also done from the energy meter and it was noticed that Push button is not functioning and one phase in the meter was not being shown properly. The petitioners on 6th July, 2007 made a request to prepare energy bill on the basis of outdoor meter. On 11th July, 2007, the officials again inspected the energy meter and power supply was disconnected on 11th July, 2007 itself. On 12th July, 2007, petitioners were supplied checking report and ceiling certificate. On 13th July, 2007 a provisional assessment notice under Section 126(2) of Electricity Act, 2003 was given to the petitioner proposing an assessment of Rs. 1,52,53,942/- for the period between 9th May, 2007 to 11th July, 2007. The petitioners have submitted a representation requesting that the provisional assessment notice be cancelled. By a non speaking letter dated 27th July, 2007, the petitioners' representation was rejected. The petitioners filed a writ petition being writ petition no. 47202 of 2007 against the order dated 27th July, 2007 which was disposed of on 1.10.2007 by following order:—

“The Executive Engineer Electricity Distribution Division, Bijnor will apply a copy of MRI report for the last one year to the petitioner within a period of one week of the filing of the certified copy of this order.

It will be open to the petitioners to file further objection within a period of three weeks from today.

Within a period of six weeks, thereafter, the Executive Engineer Electricity Distribution Division, Bijnor will decide afresh the objection dated 24.7.2007 filed by the petitioners as also any fresh objection filed by the petitioners, as mentioned above in accordance with law by passing a speaking order dealing with each and every point raised by the petitioners.

With the aforesaid directions, the Writ Petition stands disposed of.”

7. After the order of this Court dated 1.10.2007, petitioners filed a detailed objection dated 12.11.2007 against the provisional assessment notice which objection contained 34 paragraphs. The Executive Engineer vide letter dated 17.12.2007 rejected the objections of the

petitioners. After the assessment dated 27th July, 2007 petitioners by letter dated 27th August, 2007 was asked to deposit the amount of Rs. 45,30,270/- plus Rs. 28,07,611/- for restoration of supply. Petitioners deposited the amount and supply was restored.

8. The petitioners have challenged the order dated 17th December, 2007 by means of this writ petition. The writ petition was filed on 21st January, 2008 which was entertained and an interim order was passed on 6th February, 2008 staying the demand of electricity dues on the basis of impugned order dated 17.12.2007.

9. Learned counsel for the petitioners submitted that there was no material to prove theft of electricity on the part of the petitioners and the Executive Engineer has acted without jurisdiction in making theft assessment. It is further submitted that detailed objections raised by the petitioners has neither been adverted nor the issues raised by the petitioners in its objections were decided by the Executive Engineer. The order dated 17.12.2007 is nothing but parawise reply to various objections without there being any proper consideration of issues raised by the petitioners.

10. It is submitted that when on checking on 5th July, 2007, the meter was found O.K. and there was no occasion to assess the petitioners for 63 days. The assessment was not made in accordance with provision of Section 126 of Electricity Act, 2003 and clause 6.8 of U.P. Electricity Supply Code, 2005. He submitted that when on inspection dated 11th July, 2007 the pole meter was found O.K., the said reading ought to have been accepted which clearly disproved any allegation of unauthorized use of electricity. It is further submitted that there being meter at Sub Station where details are maintained of line losses, the said reading was also required to be taken into consideration before making any decision regarding theft assessment. The ingredients of Section 135 of Electricity Act were not made out and mere allegation of damage seal of C.T. chamber cannot mean theft of electricity unless there is any other material to suggest the theft of electricity.

11. It is further submitted that the objections of the petitioners have not been considered, although this Court vide its order dated 1.10.2007 has directed the Executive Engineer to deal with each and every point raised by the petitioners.

12. Sri. Nripendra Mishra, appearing for the respondents at the very outset submitted that writ petition be dismissed on the ground of alternative remedy of appeal provided by Section 127 of Electricity Act, 2003. It is further submitted by Sri. Nripendra Mishra that checking report dated 11th July, 2007 clearly makes out a case of theft of

electricity. He submitted that seal of C.T./P.C. Chamber had been found tempered, the respondents have correctly made a theft assessment. He submitted that in an independent feeder a group of consumers may be connected, hence the reading of meter of Sub Station is not very relevant.

13. We have considered the submissions of learned counsel for the parties and perused the record.

14. The submission made by Sri. Nripendra Mishra, learned counsel for the respondents that the writ petition be not entertained due to availability of remedy of appeal is to be considered first. Learned counsel for the petitioners replying the objections of respondents, contended that the writ petition having been pending in this Court for more than five years and the counter and rejoinder affidavits having been exchanged between the parties, at this stage the petitioners be not relegated to alternative remedy. It is further submitted that the assessment having not been made in accordance with statutory provision, petitioners may not be relegated to alternative remedy. Learned counsel for the petitioners further submitted that the petitioners have already deposited the amount as communicated by the respondents vide letter dated 27th August, 2007 and electricity connection has been restored and petitioners have been making regular payment of bill as and when due hence, the writ petition be decided on merits and has placed reliance on judgment of the Apex Court reported in (2004) 13 SCC 665 *Durga Enterprises (P) Ltd. v. Principal Secretary, Govt. of U.P.* He further placed reliance on Division Bench Judgments of this Court reported in 2009 9 ADJ 670 *Roshan Lal v. State of U.P.* and (2013) 5 ADJ 691 *Dhani Ram v. Chief Engineer Raj Ghat Project Betwa River Board*.

15. The Division Bench judgment in Roshan Lal's case, while considering the similar objection has laid down following in paragraphs nos. 7, 10 and 11:—

“7. It is well settled that existence of alternative remedy does not bar the jurisdiction of this Court. It is a matter of discretion and not jurisdiction. It is self imposed discipline, wherein when an Act provides for a complete machinery for seeking redress, the writ Court declines to interfere in the matter and relegate a litigant to the remedy provided under the Statute. Power under Article 226 of the Constitution is not intended to circumvent statutory procedure but it is not an absolute bar and merely a factor, which requires consideration while exercising the power. Dismissal of the writ petition on the ground of alternative remedy long after its filing and exchange of pleadings, may lead to shutting the door of alternative remedy itself. Provisions of alternative remedy in many of the cases

provide for limitation and in case writ petitions are dismissed after exchange of pleadings after a long time, the damage cannot be countenanced.

10. The Supreme Court had also considered this issue in the case of Durga Enterprises (P) Ltd. v. Principal Secretary, Govt. of U.P., (2004) 13 SCC 665 in which, in categorical terms, it has been held that the High Court having entertained the writ petition in which pleadings were also complete, ought to have decided the case on merits instead of relegating the parties to a civil suit. Relevant portion of the judgment of the Supreme Court in this regard, reads as follows : -

“2. By the impugned order the writ petition, which was pending for a long period of thirteen years, has been summarily dismissed on the ground that there is remedy of civil suit. The dispute between the parties was concerning exercise of the respondents' alleged right of re-entry on the disputed property in accordance with sub-rules (2) and (3) of Rule 5 of the Land Acquisition (Companies) Rules, 1963. The aforesaid Rules contain a mechanism for adjudication of a dispute relating to the alleged breach of terms of the agreement and the manner in which it is to be resolved.

3. The High Court, having entertained the writ petition, in which pleadings were also complete, ought to have decided the case on merits instead of relegating the parties to a civil suit.

4. We, therefore, set aside the impugned order of the High Court and remit the matter to it for taking a decision on merits, after hearing the parties, within the earliest possible period.” (Underlining ours).

11. A Division Bench of this Court had also the occasion to consider this question in the case of Diwakar Dutt Bhatt v. Life Insurance Corporation of India, (1998) 2 UPLBEC 1154, in which it has been held that the bar of alternative remedy is nothing but a matter of self-imposed discipline and in a case in which the petition was entertained and pleadings have been exchanged, it would be inexpedient to dismiss the writ petition on the ground of alternative remedy. Paragraph 12 of the judgment, which is relevant for the purpose, reads as follows : -

“12. As far as the first ground is concerned the writ-petition was filed on 29.10.1997. The petition was entertained and the respondents were directed to file the counter-affidavit. The counter affidavit has been filed. The rejoinder affidavit has also been filed. The case was heard today. No doubt the administrative instructions provide for filing of an appeal but the question which remains to be decided is, as to whether, on the ground of availability of an alternative remedy the writ-petition, which has been entertained can

be thrown out and the petitioner be relegated to the appellate authority. The bar of the alternative remedy is nothing but a matter of self-imposed discipline which the Courts have imposed upon themselves for the reason that the jurisdiction of Article 226 of the Constitution of India, should be invoked after exhausting the alternative remedies available to an aggrieved person."

16. The writ petition was entertained on 21st January, 2008 and an interim order was also passed by Division Bench on 6th February, 2008 staying the demand of electricity dues. After the assessment dated 26th July, 2007, petitioners were asked to deposit certain amount for restoration of electricity which was deposited by the petitioners and electricity was restored and petitioners having been making payment of regular bills, we are of the view that at this stage it is not appropriate to dismiss the writ petition on the ground of remedy of appeal. This court generally does not entertain the writ petition when statutory remedy of appeal is available to the petitioners but when the writ petition was entertained five years ago and the court having already granted interim order to the petitioners and the writ petition remained pending for more than five years, it appears that it is not a fit case to be dismissed on the ground of alternative remedy.

17. We, therefore, proceed to decide the writ petition on merits.

18. As noted above, after order of this Court dated 1.10.2007, the petitioners filed detailed objection against the provisional assessment notice. It is useful to refer only few of the issues which are raised in the objection especially objection raised in paragraph nos. 17, 21, 22, 24, 31, 33 which are quoted below:—

"17. That the Objectionists submit that the line loss chart of K.V. Independent feeder, prepared by the Executive Engineer, ETD, Bijnor, is a conclusive proof of the fact that the entire quantum of electrical energy supplied through 33 KV independent feeder is being exclusively received and consumed by the Objectionist No. 1. It has been recorded and metered in the meters at both the ends. Readings in the meters of both the ends tallied. There has been no theft of unauthorized use of electricity.

19. That the Objectionists submit that in view of explanation (b) of Section 126 of Act of 2003 the "unauthorized use of electricity" means the usage of electricity; (i) by any artificial means; or (ii) by a means not authorized by the concerned person or authority or licensee; or (iii) through a tampered meter or for the purpose other than for which the usage of electricity was authorized. Neither there is any allegation that the aforesaid case fall under explanation (b) of Section 126 of the Act of 2003 nor there is any allegation in provisional assessment notice that the meter was found tampered. In view of this the assessment made

on the allegation that power consumption was is wholly irrelevant and could not be a basis of unauthorized use of electricity.

20. That apart from the above submissions, the Objectionists state that the definition of unauthorized use of electricity itself indicates that the question of levy of “assessment of electricity charges” arises only in a situation where on an inspection the Assessing Officer comes to a conclusion that the consumer has indulged in unauthorized use of electricity through tempered meter. Therefore, there was unauthorized use of electricity. In view of the above the very basis of assessment order, namely, unauthorized use of electricity, is without any evidence and wholly arbitrary.

21. That, assuming but without admitting, the Objectionists submit that the assessment order can be passed by the Assessing Officer only when he is satisfied that the consumer has indulged in unauthorized use of electricity through tempered meter and there is prima facie evidence against the consumer. Such satisfaction and evidence can only be arrived after verifying the consumption recorded in the meter installed at Sub-station. In the present case neither the consumption of main was cross checked through the consumption of out door meter nor cross checked through Sub-station meter. In these circumstances provisional assessment notice is not based on any legal evidence and is not only wholly illegal but also against the provisions of law.

22. That, assuming but without admitting, the Objectionists submit that any action can be taken against the petitioner, still it is submitted that on 5.7.2007 the mater having been checked by the officers of PVVNL and the meter was found OK, there is no justification for counting the period of assessment of electricity charges as 63 days and, therefore, the assessment for such an arbitrary period is not permissible in law. If assessment of electricity charges would have been made correctly in accordance with the provisions of Section 126 of the Act of 2003 read with Clause 6.8 of Code of 2005, the Petitioner cannot be required to assessed for a period of 6 days and hence arbitrary assessment amount for a much longer period is highly excessive, fictitious and imaginary.

23. That similar assessment of electricity for 63 days has been raised twice the normal tariff. It is made clear that the Section 126(6) of the Act of 2003 provided that assessment on electricity charges would be levied at one and half times of the rate of tariff. The said rate of assessment was amended and enhanced from one and half times to twice of the tariff w.e.f. 15.6.2007. Thus, provisional assessment notice for the period anterior to 15.6.2007 at twice the rate of tariff is wholly illegal and contrary to law.”

24. As noted above, petitioners are receiving supply from an independent feeder, there is one meter installed at Sub Station another

meter namely, outdoor meter outside the premises of the petitioners and one meter i.e. energy meter within the premises. The outdoor meter which has been installed outside the premises was installed with purpose and object to work as check meter. The petitioners have referred to the circular dated 23rd April, 2007 of Chief Engineer (Annexure-2 of the writ petition) providing for double metering and pole meter is to be treated as check meter.

25. Sri. Nripendra Mishra, learned counsel for the respondents referring to circular dated 21st September, 2007 of U.P. Power Corporation submitted that pole meter cannot be given the status of check meter. The circular dated 21st September, 2007 has been filed as annexure-C.A.-2 to the counter affidavit filed on behalf of the respondent nos. 2, 3, 4 and 5.

26. A perusal of the circular dated 21st September, 2007 clearly shows that the circular dated 23rd April, 2007 is modified to the extent that double metering is for the purpose of checking only.

27. Be that as it may, the circular dated 21st September, 2007 does not deny that the double pole meter is for the purpose of checking. It is further relevant to note that in the checking report dated 11th July, 2007 which has been filed as annexure-9 to the writ petition, although, the plastic seal on the back side of the C.T. chamber was found damaged and tempered but outdoor meter was found O.K.

28. Petitioners in their objections have specifically stated that consumption of main energy meter was not cross checked through consumption of outdoor meter and sub Station meter. When the respondents were examining the allegation of theft assessment the reading of outdoor meter which was found as O.K. was most relevant factor to be considered while recording any conclusion of theft assessment.

29. In spite of specific objection raised in this regard in para 24 of the objection only reply given to objection 24 in the order dated 17.12.2007 is as follows:—

“Assessment is as per rules and has been finalised after considering all the facts”

30. Further the submission of the petitioners have also substance that the petitioners having receiving supply from independent feeder and a meter having also installed as sub Station from where supply is released and there being record of line loses pertaining to petitioners the reading of the Sub station meter were also relevant factor for determining the question as to whether any theft of electricity was committed. The reading which has been maintained at Sub station has

to be given due consideration while deciding the objections.

31. Although, learned counsel for the petitioners have advanced various the submissions to press their point that there was no material to record any theft assessment but it is not necessary for us to enter into such submissions. We have found that objections raised by the petitioners have not been fully adverted to and considered by the Executive Engineer. It is for Executive Engineer to consider all the objections raised in detail written objection of the petitioners dated 12.11.2007 before making any final assessment under Section 126 of the Electricity Act, 2003.

32. We are of the view that order dated 17.12.2007 deserves to be set aside and is hereby set aside. The matter is remitted to the Executive Engineer to take a fresh decision regarding final assessment under Section 126 of the electricity Act, 2003 after due consideration of the objection dated 12.11.2007 submitted by the petitioner.

33. In result, the order dated 17.12.2007 is set aside. The matter is remitted to the Executive Engineer respondent no. 3 to take a fresh decision regarding final assessment under Section 126 of the electricity Act, 2003 after due consideration of the objection dated 12.11.2007.

34. The writ petition is allowed to the extent indicated above.

35. Parties shall bear their own costs.

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2016 SCC OnLine All 2684 : (2016) 117 ALR 584 : (2016) 166
AIC 951

In the High Court of Allahabad
(BEFORE KRISHNA MURARI AND AMAR SINGH CHAUHAN, JJ.)

Kamil

Versus

State of U.P. and Others

C.M.W.P. No. 19318 of 2008

Decided on April 25, 2016

The Judgment of the Court was delivered by

KRISHNA MURARI and AMAR SINGH CHAUHAN, JJ.:— Heard Shri B.C. Rai, learned Counsel for the petitioner, learned Standing Counsel for respondent No. 1 and Shri Baleshwar Chaturvedi for respondent Nos. 2 and 3.

2. Pleadings have been exchanged between the parties and with their consent, we proceed to decide the writ petition finally. Aggrieved by the order dated 9.10.2006 rejecting the representation made by the petitioner against the provisional assessment and the demand notice, the petitioner has approached this Court.

3. Facts, in brief, which emerge from the pleadings of the parties are that petitioner is a consumer of 6.702 H.P. connection bearing No. 062314 for running a small workshop. A surprise checking at the workshop of the petitioner was carried out on 26.7.2005 and it was found that petitioner was consuming a load of 32.16 H.P., which was far too excessive than the sanctioned load of 6.7 H.P. Petitioner was also found illegally using electrical energy directly taking connection from L.T. Line. An inspection report dated 26.7.2005 was prepared accordingly. An FIR for theft of electricity was also lodged against the petitioner on the same day. A provisional assessment notice dated 29.7.2005 was sent to the petitioner requiring him to deposit a sum of Rs. 2,92,685/- within seven days. Subsequently, a demand notice under section 3 of the U.P. Government Electrical Undertaking (Recovery of Dues) Act, 1958 dated 8.12.2005 for a sum of



Rs. 2,92,685/- was also issued. Petitioner challenged the same by filing Writ Petition No. 10566 of 2006, which was disposed of by a Division

Bench of this Court *vide* order dated 22.8.2006 by making following observation.

“In case the petitioner deposits a sum of Rs. One lac with respondent No. 3, Executive Engineer, Electricity Urban Distribution Division I, Udai Singh Jain Road, Aligarh within a period of ten days, the electricity connection of the petitioner will be restored forthwith. The petitioner may also file an objection with respondent No. 3 which shall be decided within a period of three weeks thereafter.

Till the objection of the petitioner is decided, no further recovery will be made against the petitioner.”

4. It is contended that in compliance of the aforesaid order, petitioner deposited a sum of Rs. one lac, but his electricity connection was not restored.

5. Although the said fact has been denied in the counter-affidavit and it has been stated therein that in compliance of the order passed by this Court, the electricity connection of the petitioner was restored. However, this is not the issue for adjudication in this writ petition.

6. In pursuance of the order dated 22.8.2006 passed on Writ Petition No. 10566 of 2006, the representation/objection made by the petitioner came to be rejected *vide* order dated 9.10.2006, which is impugned in this writ petition.

7. Shri B.C. Rai, learned Counsel for the petitioner submits that no provisional assessment bill was ever issued, as such, there was no opportunity of filing objection nor any opportunity of personal hearing was given as required by the provisions of the Code and this fact has miserably been ignored by the authority while rejecting the representation/objection of the petitioner. It is further submitted that final assessment has been made in violation of the provisions of the Electricity Supply Code as well as section 126 of the Act.

8. In reply, learned Counsel appearing for respondent Nos. 2 and 3 submits that the petitioner was caught committing theft of electrical energy and assessment of the same was made, which amount is being sought to be realised from the petitioner. It is also submitted that petitioner has an efficacious alternative remedy of appeal provided under section 127 of the Act and, hence, the writ petition is liable to be dismissed on the ground of existence of statutory alternative remedy.

9. Sub-section (1) of section 126 of the Act provides that if on inspection, the assessing authority comes to the conclusion that the consumer has indulged in unauthorised use of electricity, the Assessing Officer shall provisionally assess to the best of his judgment, electricity charges payable by that person or by any person benefited for such use. Therefore, the condition precedent to attract the power of assessment under section 126(1) is the conclusion drawn by the

assessing officer that person concerned has indulged in unauthorised use of electricity. Such satisfaction cannot be permitted to be recorded on the mere vagaries of the assessing officer unless a fair opportunity of hearing to defence before the said authority is provided.

10. It is well settled that principles of natural justice, unless excluded by express provision of the Act or by necessary implication, cannot be held to be inapplicable when a person is being indicted of a serious charge like unauthorised use of electricity, which may, in some cases, also amount to an offence under section 135 of the Act. It may also be relevant to notice para 6.8(a)(b) and



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(c) of the Code, 2005 provided by the U.P. Electricity Regulatory Commission in exercise of powers conferred by section 50 of the Act.

11. Para 6.8 (a), (b) and (c) of Code, 2005 deals in detail the procedure for inspection, provisional assessment, hearing and final assessment in the case of unauthorised use of electricity and reads as under:

“6.8 Procedure for Inspection, Provisional assessment, Hearing and Final Assessment in case of unauthorised use of electricity (UUE) under section 126 of the Act.

- (a)(i) An Assessing Officer shall *suo-moto*, or on receipt of reliable information regarding unauthorised use of electricity or on instruction from higher authority, promptly conduct inspection of such premises/exercising due diligence. (Annexure-7.3 (1))
- (ii) The assessing Officer, if required to do so, may hand over his business card to the consumer before entering the premises. Photo ID card shall be carried by each team members.
- (iii) The access to consumer premises shall be in accordance to Clause 4.30 to 4.34. Provided that the occupant of the place of search or any person on his behalf shall remain present during the inspection. A list of all things seized in the course of such search shall be prepared and delivered to such occupant or person who shall sign the list.
- (iv) The report shall be prepared at site giving details of connected load, condition and details of old seals and resealing done, working of meter, details of new seals. The report shall mention any irregularity noticed which may lead to an inference of unauthorised use of electricity in the format given Annexure-6.4. The Inspecting Officer shall carry seals for this purpose.

- (v) The report shall clearly indicate whether or not conclusive evidence substantiating the fact that UUE was found. The details of such evidence should be recorded in the report. The report shall be signed by each member of the inspection team and handed over to the consumer or his/her representative at site immediately under proper receipt. In case of refusal by the consumer or his/her representative to either accept or give a receipt, a copy of inspection report shall be pasted at a conspicuous place in/outside the premises and may be photographed. Simultaneously, the report shall be sent to the consumer under Registered Post/Speed post on the day or the next day of the inspection.
- (vi) Within 3 working days of the date of inspection, the Assessing Officer shall analyse the case after carefully considering all the evidence including the consumption pattern, wherever available and the report of inspection. If it is concluded that no unauthorised use of electricity has taken place, no further action will be taken.
- (b) Notice to the Consumer and his reply:
 - (i) If the Assessing Officer suspects that Unauthorised Use of Electricity has taken place (as defined under Explanation to section 126 of the Act), he will serve a provisional assessment bill alongwith show cause notice to the consumer, giving 15 working days for submission of reply, under proper receipt fixing a date of hearing.
 - (ii) The notice shall invite objections in writing from the consumer against the charges and provisional assessment and require presence of the consumer on the date of hearing.



- (c) Hearing:
 - (i) On the date of hearing, the Assessing Officer shall hear the consumer. The Assessing Officer shall give due consideration to the facts submitted by the consumer and pass, within 7 working days, a speaking order as to whether the case of UUE is established or not. The order shall contain the brief of inspection report, submissions made by the consumer in his written reply and during hearing.

- (ii) A copy of the order shall be served to the consumer under proper receipt, and in case of refusal to accept the order or in absence of the consumer, shall be served on him under Registered Post/Speed Post. The consumer shall be required to make the payment within 15 days of receipt of final order for assessment.
- (iii) If the Assessing Officer finds that unauthorised use of electricity has taken place (as defined under explanation to section 126 of the Electricity Act, 2003, it shall be presumed unless contrary is proved, that such unauthorised use of electricity was continuing for either actual period of misuse, if available, or three months immediately preceding the date of inspection in case of domestic and agriculture services and for a period of six months immediately preceding the date of inspection for all other categories of services, and he shall provisionally assess the consumption as per the procedure specified in Annexure-6.3.
- (iv) The assessment under (iii) above shall be made at a rate equal to one-and-a-half times the tariff rates applicable for the relevant category of service. The amount billed at this rate (one-and-a-half times the tariff rates) shall not be taken into consideration for the purpose of computing consumer's liability to pay monthly/annual charges, wherever applicable."

12. A perusal of paras 6.8 (a)(i), (ii), (iv) and (v) shows that it presupposes an inspection of the premises to be made by the assessing officer and if he finds evidence of irregularities constituting unauthorised use of electricity at the premises, shall prepare a report at the site, giving details thereof, and, would handover the copy of such report to the consumer or his representative at the site itself. In case of refusal by consumer or its representative, to either accept or giving receipt to such report, the same shall be pasted at a conspicuous place at the premises and shall also be sent to the consumer under registered post/speed post on the day itself or the next day of the inspection. Therefore, the requirement of *prima facie* conclusion is supposed to be recorded by the assessing officer at the time of inspection itself and needs to be communicated to the consumer. Para 6.8(b)(ii) shows that the notice shall require the consumer to give his objections against the charges and provisional assessment. Para 6.8(c)(i) shows that an opportunity of personal hearing shall also be given to the consumer and thereafter the assessing officer shall pass a speaking order recording (i) whether unauthorised use of energy is established or not, and; where it is so established, (ii) shall determine the quantum of the amount which the consumer has to pay *i.e.*, the assessment shall be made by the

assessing officer. Thus even Code, 2005 which contains the conditions of electricity supply etc., provides a detailed procedure in which the assessment would have to be made by the assessing officer.

13. In the case in hand, the assessing officer has proceeded to make assessment in a very strange manner. Admittedly, an inspection of the premises of the petitioner was carried out on 26.7.2005. There is absolutely no averment in the



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counter-affidavit that petitioner was provided any provisional assessment bill and opportunity to file objection to the same or any date was fixed for hearing as prescribed by Clause 6.8(b)(ii) of the Code, 2005.

14. On the contrary, a perusal of the notice dated 29.7.2005 filed as Annexure-4 to the writ petition goes to show that neither any opportunity to file objection was provided nor any date of appearance or hearing was fixed. The notice required the petitioner to deposit a sum of Rs. 2,92,685/- within seven days of receipt of notice. There is also nothing on record of the counter-affidavit to indicate that before issuing demand notice under section 3 of the Act, final order of assessment as contemplated under para 6.8(3)(i) and (ii) was passed by the assessing officer.

15. From the above facts and discussions, it becomes evident that procedure prescribed in section 126 of Electricity Act, 2003 and in para 6.8 for issuing provisional assessment bill has not been followed at all as no opportunity was given to the petitioner for submission of his objection nor any date of hearing was fixed and, thus, the entire procedure adopted by the respondents, is *de hors* the statutory provisions.

16. The aforesaid view being taken by us is amply supported by another Division Bench judgment of this Court in the case of *Ashok Kumar v. State of U.P.*¹.

17. Now, we proceed to consider the submission made by the learned Counsel for the respondent that there being a remedy provided, the writ petition be not entertained and the petitioner be relegated to avail the remedy of appeal provided under section 127 of the Act.

18. At first, we need to consider the submissions of the learned Counsel for the respondents that there being remedy of appeal provided, the writ petition is not liable to be entertained and the petitioner should be relegated to avail the remedy of appeal provided under section 127 of the Act, 2003. There cannot be any dispute that

against the final assessment made under section 126 of the Act, 2003, an appeal is provided under section 127 of the Act, 2003.

19. There are two reasons due to which we do not find this is a fit case to be dismissed on the ground of alternative statutory remedy. Firstly, sub-section (3) of section 126 of the Act, 2003 contemplates of giving an reasonable opportunity of hearing to a consumer before passing a final order of assessment. The submission of the petitioner in the writ petition is that he was not afforded any opportunity of hearing and the assessment order has been passed in violation of the principles of natural justice. From the facts discussed above, it is clear that no opportunity given to the petitioner to file objection to the provisional assessment notice. It is well settled that when an order is passed in violation of the principles of natural justice, the alternative remedy is not a bar in entertaining the writ petition.

20. The above proposition has been laid down by the Apex Court in *Whirlpool Corporation v. Registrar of Trade Marks, Mumbai*². It may be relevant to quote following observations from the said judgment:

“15. Under Article 226 of the Constitution, the High Court, having regard to the facts of the case, has a discretion to entertain or not to entertain a writ petition. But the High Court has imposed upon itself certain restrictions one of which is that if an effective and efficacious remedy is



available, the High Court would not normally exercise its jurisdiction. But the alternative remedy has been consistently held by this Court not to operate as a bar in at least three contingencies, namely, where the writ petition has been filed for the enforcement of any of the Fundamental Rights or where there has been a violation of the principle of natural justice or where the order or proceedings are wholly without jurisdiction or the vires of an Act is challenged. There is a plethora of case law on this point but to cut down this circle of forensic whirlpool, we would rely on some old decisions of the evolutionary era of the constitutional law as they still hold the field.

16. *Rashid Ahmad v. Municipal Board, Kairana*¹, laid down that existence of an adequate legal remedy was a factor to be taken into consideration in the matter of granting writs. This was followed by another Rashid case, namely, *K.S. Rashid and Son v. The Income Tax Investigation Commission*², which reiterated the above proposition and held that where alternative remedy existed, it would

be a sound exercise of discretion to refuse to interfere in a petition under Article 226. This proposition was, however, qualified by the significant words, “unless there are good grounds therefor”, which indicated that alternative remedy would not operate as an absolute bar and that Writ Petition under Article 226 could still be entertained in exceptional circumstances.

17. A specific and clear rule was laid down in *State of U.P. v. Mohd. Nooh*³, as under:

“But this rule requiring the exhaustion of statutory remedies before the writ will be granted is a rule of policy convenience and discretion rather than a rule of law and instances are numerous where a writ of certiorari has been issued in spite of the fact that the aggrieved party had other adequate legal remedies.”

18. This proposition was considered by a Constitution Bench of this Court in *A.V. Venkateswaran, Collector of Customs v. Ramchand Sobhraj Wadhvani*⁴, and was affirmed and followed in the following words:

“The passages in the judgments of this Court we have extracted would indicate (1) that the two exceptions which the learned Solicitor General formulated to the normal rule as to the effect of the existence of an adequate alternative remedy were by no means exhaustive, and (2) that even beyond them a discretion vested in the High Court to have entertained the petition and granted the petitioner relief notwithstanding the existence of an alternative remedy. We need only add that the broad lines of the general principles on which the Court should act having been clearly laid down, their application to the facts of each particular case must necessarily be dependent on a variety of individual facts which must govern the proper exercise of the discretion of the Court, and that in a matter which is thus per-eminently one of discretion, it is not possible or even if it were, it would not be desirable to lay down inflexible rules which should be applied with rigidity in every case which comes up before the Court”.



19. Another Constitution Bench decision in *Calcutta Discount Co. Ltd. v. Income Tax Officer Companies Distt*¹, laid down:

“Though the writ of prohibition or certiorari will not issue against an executive authority, the High Courts have power to

issue in a fit case an order prohibiting an executive authority from acting without jurisdiction. Where such action of an executive authority acting without jurisdiction subjects or is likely to subject a person to lengthy proceedings and unnecessary harassment, the High Court will issue appropriate orders or directions to prevent such consequences. Writ of certiorari and prohibition can issue against Income Tax Officer acting without jurisdiction under section 34, Income Tax Act”.

20. Much water has since flown under the bridge, but there has been no corrosive effect on these decisions which though old, continue to hold the field with the result that law as to the jurisdiction of the High Court in entertaining a writ petition under Article 226 of the Constitution, in spite of the alternative statutory remedies, is not affected, specially in a case where the authority against whom the writ is filed is shown to have had no jurisdiction or had purported to usurp jurisdiction without any legal foundation.

21. That being so, the High Court was not justified in dismissing the writ petition at the initial stage without examining the contention that the show cause notice issued to the appellant was wholly without jurisdiction and that the Registrar, in the circumstances of the case, was not justified in acting as the “Tribunal”.

21. *Secondly*, the writ petition has been entertained by this Court on 23.4.2008, on which date a conditional interim order was also passed and the same has remained pending for six years. This is another reason for which we do not think it will be appropriate to relegate the petitioner to avail the alternative remedy.

22. In our considered opinion, the procedure adopted by the respondents in proceeding to make assessment against the petitioner being *de hors* the statutory provisions contained in section 126 of the Act as well as Code, 2005, the same is not liable to be sustained. The respondent authority while deciding the representation made by the petitioner in pursuance to the earlier order passed by this Court has also failed to advert himself to the fact that the entire procedure adopted in making assessment against the petitioner is not only *de hors* the provision, but also in violation of the principles of natural justice, as such, the same cannot sustain.

23. In the result, the writ petition stands allowed.

24. The impugned order as well demand notice under section 3 of the 1958 Act is hereby quashed.

25. However, it shall be open to the respondents to issue a provisional assessment notice in accordance with the provisions of the Act as well Clause 6.8 of Code, 2005 inviting objections and fixing a date of hearing and thereafter proceed to finalise the assessment in accordance with law. However, in the facts and circumstances, we do

not make any order as to costs.

26. *Petition Allowed.*

¹. 2008 (72) ALR 43 (Sum.).

². (1998) 8 SCC 1.

¹. 1950 SCC 221 : AIR 1950 SC 163.

². AIR 1954 SC 207.

³. AIR 1958 SC 86.

⁴. AIR 1961 SC 1506.

¹. AIR 1961 SC 372.

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2013 SCC OnLine All 8908 : (2014) 122 RD 300 : (2013) 101 ALR
846 : (2014) 4 All LJ 200

In the High Court of Allahabad
(BEFORE MANOJ MISRA, J.)

Hyundai Engineering and Construction Co. Ltd. ...
Petitioner;

Versus

State of U.P. and Others ... Respondents.

Writ - C No. - 3672 of 2006

Decided on October 10, 2013

Advocates who appeared in this case:

Counsel for Petitioner:— C.S.C., Mahboob Ahmad, W.H. Khan

Counsel for Petitioner:— Dr. Archana Pandey, Rajendra Kumar
Pandey

The Judgment of the Court was delivered by

HON'BLE MANOJ MISRA, J.

1. I have heard Sri. Rajendra Kumar Pandey, learned counsel for the petitioner, Sri. Mahboob Ahmad, learned counsel for the respondent Nos. 2 to 4 and the learned Standing Counsel for the respondent Nos. 1 and 5.

2. As the parties have exchanged their affidavits, with the consent of learned counsel for the parties, the writ petition is being finally decided at the admission stage itself.

3. Briefly stated the facts giving rise to the present petition are that the petitioner being a construction company was awarded a contract by the National Highway Authority of India for construction of a bridge over river Yamuna connecting the city of Allahabad to Naini. For the said purpose, the petitioner entered into an agreement with the U.P. Power Corporation Ltd. (hereinafter referred to as 'Corporation') on 22.12.2000 (annexure "2" to the writ petition) for supply of electricity. The title of the agreement reads thus : -

"AGREEMENT FOR SUPPLY of ELECTRICAL ENERGY TO THE CONSUMERS HAVING CONTRACTED DEMand of MORE THAN 75 KW (OR 100 BHP)

The opening sentence of Clause 1 of the agreement (at page 22 of the petition) provides as follows : -

(1) Subject to the provisions hereinafter contained and during the continuance of the agreement, the Supplier shall supply to the consumer at near office of the Ganga Pradusan Jal Nigam, Naini,

Allahabad (place) for Naini Bridge Works (process) electrical energy in the form of a three phase alternating current at a declared pressure of 11 KV volts exceeding 300 KVA kilovolt amperest/kilowatts (hereinafter referred to as the 'Contracted load Contract Demand) and the supply shall be made available form the Board's mains in accordance with the availability in the grid....."

Clause 7 of the agreement (at page 24 of the petition) provides as follows : -

"(7)(a) The consumer shall pay for the supply of electric energy at the rates enforced by the Supplier from time to time as may be applicable to the consumer.

(b) The Rates Schedule applicable to the consumer at the time of execution of this agreement is annexed hereto, as Annexure-2. HV-2 (Large and Heavy Power)

(c) The Rate Schedule above mentioned may, at the discretion of the Supplier, be revised by the Supplier from time to time and in the case of revision, the Rate Schedule so revised shall be applicable to the consumer.

(d) Any levy as Sales Tax, Excise Duty, Electricity Duty or any other charge by whatsoever name called by Central/State Govt. or other competent authority, on the electricity supplied to the consumer shall also be paid by the consumer."

4. The period for which the electricity supply was to be made under the agreement has been mentioned in Clause 11 of the agreement (at page 25 of the petition), as follows : -

"(11). This agreement shall subject herein before provided be and remain in force for two years from the date of commencement of supply (hereinafter called the initial period of supply) and thereafter from year to year basis on the terms and conditions herein contained."

5. Pursuant to the aforesaid agreement, the Corporation supplied electricity and submitted bills to the petitioner at the rate provided for HV-2 category in the Rates Schedule, which the petitioner, allegedly, paid. However, on 29.03.2004, the Executive Engineer, Electricity Urban Distribution Division, Rambagh, Allahabad of the Corporation addressed a letter to the petitioner raising a demand of Rs. 11,67,697/- by way of 25% additional charge payable by the petitioner for the period starting from May, 2001 to August, 2003.

6. A perusal of the said letter reveals that the demand was raised consequent to a letter dated 16.12.2003 written by the Accountant General (Auditing) II, U.P. to the General Manager of the Corporation stating therein that with respect to temporary electricity connection for civil works, an additional charge of 25% on the tariff, as applicable, is

payable.

7. In response to the letter dated 29.03.2004, the petitioner submitted a representation on 08.04.2004 thereby challenging the demand on the following grounds : (a) that the agreement clearly stipulates that the rate schedule applicable will be HV-2 (Large and Heavy Power), which does not require payment of any charges other than the Demand Charges, Energy Charges and TOD rates; and (b) that the additional demand of 25% charge is for Temporary Supply, which is categorized under rate schedule LMV-9, whereas the supply agreement between the petitioner and the Corporation does not at all come in the category of Temporary Supply, inasmuch as, supply to the petitioner had exceeded three years in contrast to a temporary connection, which is meant for a short period only.

8. The Executive Engineer, vide his letter dated 19.04.2004, rejected the representation of the petitioner stating therein that under Part-C of Clause (1) and (3) of the rate schedule pertaining to LMV-9 category, the rate of charge is to be the corresponding net rate of charge in the appropriate schedule + 25%. The petitioner was thus informed that even if the agreement had been entered into in HV-2 category, which related to higher load electricity connection, the connection being for the purpose of civil construction, was liable to additional charge of 25% under Part-C, clauses (1) and (3) of LMV-9 category, as given in the Rates Schedule.

9. Aggrieved by the aforesaid demand, the petitioner approached this Court vide writ petition No. 20730 of 2004. Initially, an interim order was passed thereby directing that the electricity connection of the petitioner would be restored provided the petitioner deposits 50% of the disputed amount. However, later, vide order dated 24.02.2005, the said writ petition was dismissed on ground of availability of alternative remedy of appeal under clause 7.20 of the U.P. Electricity Supply Code, 2002. While dismissing the writ petition, this Court observed that if petitioner files an appeal within a specified period, the Appellate Authority would entertain the same without raising the objection of limitation. It was further provided that if the petitioner had already deposited 50% of the disputed amount, the Appellate Authority would not require the petitioner to deposit any further amount, till the decision of the appeal.

10. Pursuant to the order dated 24.02.2005 passed in writ petition No. 20730 of 2004, the petitioner preferred an appeal before the Appellate Committee, which was dismissed and information to that effect was given to the petitioner, vide letter dated 07.11.2005.

11. Challenging the appellate order, the instant petition has been filed.

12. The learned counsel for the petitioner submitted that under the

agreement, the rate schedule applicable to the petitioner was as applicable to HV-2 category, therefore, the 25% excess charge demanded from the petitioner by treating the electricity connection to be under LMV-9 category is wholly arbitrary, illegal and unjustified. It was further submitted that as the electricity has been supplied for a period exceeding two years, as specified in the agreement, the supply cannot be treated as temporary so as to bring it within the purview of LMV-9 category, which relates to temporary supply only.

13. Per contra, the learned counsel appearing for the Corporation submitted that, admittedly, the electricity connection was for a limited duration that is, initially, for two years, extendable by one year at a time, as would be evident from Clause 11 of the agreement, and the purpose of the connection was to carry out Naini Bridge Works, which, in any case, would not last forever, therefore, it was a temporary supply of electricity for a particular purpose only. It was submitted that under sub clause (a) of clause (7) of the agreement the consumer was liable to pay for the supply of electric energy at the rates enforced by the Supplier from time to time, and under sub clause (d) of clause (7) of the agreement the consumer was also required to pay any other charge, by whatever name called by Central/State Govt. or other competent authority, on the electricity supplied to the consumer. It was submitted that Part-C of the rate schedule of LMV-9 category specifically applies to the case of the petitioner, inasmuch as, it is provided therein that the said schedule shall apply to supply taken for construction purposes including civil work by all consumers including Govt. Departments. It was submitted that under clause (3) of Part-C of Rate Schedule (LMV-9) it is provided that the rate of charges for such category of consumer will be corresponding net rates of charge in the appropriate schedule plus 25%. Meaning thereby, that the charge applicable to the petitioner would be that of HV-2 category plus 25% as additional charge for the nature and purpose of the electricity connection, as provided by clause (1) of Part C of the Rates Schedule (LMV-9). It was thus submitted that the additional demand of 25%, by way of additional charge, cannot be said to be arbitrary, illegal or *dehors* the agreement.

14. Having considered the rival submissions of the learned counsel for the parties and on perusal of the record, the Court finds that HV-2 category, as per the Rates Schedule, is for large and heavy power. Clause 1 of the Rates Schedule (HV-2) provides as follows : -

"1. Applicability:— This rate schedule shall apply to all consumers who have a contracted load above 75 KW (100 BHP) for industrial and/or processing purposes as well as to Arc/Induction Furnaces, Rolling/Re-rolling mills, Mini steel plants and Floriculture & Mushroom farming units and to any other HT consumer covered

under any other Rate Schedule.

This rate schedule shall also apply to commercial/non-domestic light, fan & power consumers (LMV-2) and small & medium power consumers of Rate Schedule LMV-6 subject to the condition that they opt for this Rate Schedule."

15. So far as LMV-9 category under the Rates Schedule is concerned, it relates to temporary supply. Part C of Rate Schedule LMV-9 provides as follows : -

"(C) Temporary Supply for other Purposes : -

1. Applicability:— This schedule shall apply to all temporary supplies of light, fan and power load for the purpose other than mentioned in (A) & (B) above.

This schedule shall apply for power taken for construction purposes including civil work by all consumers including Govt. Departments."

16. A perusal of Part C of Rate Schedule (LMV-9) would go to show that it is not dependent upon the load factor but is dependent on the nature purpose of the supply. A careful reading of clause (1) of Part C of Rate Schedule (LMV-9) would go to show that it would apply to all temporary supplies of light, fan and power load for the purpose other than mentioned in Part (A) & (B) and would apply where the power is taken for construction purposes including civil work. Clause (3) of the Rate Schedule (LMV-9) clearly provides that *"the rate of charges would be corresponding net rates of charge in the appropriate Schedule plus 25%".* Meaning thereby, that if a consumer falls in the LMV-9 category on account of the nature/purpose of the supply and has a load factor which brings him under the HV-2 category, the charge payable by him would be as payable under the HV-2 category plus additional charge of 25% over and above the rate payable by him under the HV-2 category.

17. As admittedly, the supply was obtained for carrying out "Naini Bridge Works" and the period for which the supply was obtained under the agreement was limited by clause 11 of the agreement that is, for a period of two years, although, extendable from year to year, the supply of electricity to the petitioner was temporary for the purpose of construction including civil work. Accordingly, the contention of the learned counsel for the petitioner that as the supply had exceeded the period of two years, therefore, it should not be treated as temporary, cannot be accepted. Even otherwise, in absence of any definition of what constitutes a temporary supply, the general meaning assigned to the word "temporary" would have to be used to understand the meaning of temporary supply. In P. Ramanatha Aiyar's Advanced Law Lexicon (4th Edition), *"temporary means lasting for a time only; existing or continuing for a limited time; not of long duration; not*

permanent; transitory; changing; lasting for a short time." Black's Law Dictionary (5th Edition) defines temporary as *that which is to last for a limited time only, as distinguished from that which is perpetual or indefinite, in its duration.* Thus, where the period of supply is fixed by the agreement or where the supply is for a specific purpose which, by its very nature, would not last indefinitely, there can be no doubt that such a supply would be treated as temporary, even if it had to continue for two or three years. Moreover, clause (1) of Part C of the Rate Schedule (LMV-9), specifically provides that Part C of the Rate Schedule (LMV-9) would apply for power taken for construction purposes including civil work by all consumers including Govt. Departments. Therefore, in any case, Part C of the Rate Schedule (LMV-9) becomes applicable to the petitioner as the supply was contracted for construction of Naini Bridge. Thus, by virtue of Clause 7(a) and 7(d) of the agreement, the petitioner was liable to pay additional 25% of the rates of charge applicable to him.

18. For the reasons stated above, I do not find any illegality in the additional demand raised, vide letter dated 29.03.2004, which has been affirmed by the Appellate Authority. The writ petition, therefore, fails and is dismissed. There is no order as to costs.

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2015 SCC OnLine All 7156

In the High Court of Allahabad

Court No. - 34

(BEFORE SUDHIR AGARWAL AND RAM SURAT RAM (MAURYA), JJ.)

U.P. Rajya Vidyut Parishad Thru' Chairman &
Another ... Appellant;

Versus

Panjab Corbohydrate Thru' Partner Manu Kumar ...
Respondent.

First Appeal No. - 246 of 2007

Decided on November 23, 2015

Counsel for Appellant:— Nripendra Mishra

The Judgment of the Court was delivered by

SUDHIR AGARWAL, J. and RAM SURAT RAM (MAURYA), J.:— Heard learned counsel for the appellant and perused the record.

2. This appeal under Section 96 of Code of Civil Procedure has arisen from the judgment dated 8.5.2007, passed by Sri Umesh Kumar Uppar, Additional Civil Judge (Senior Division), Court No. 2, Ghaziabad, in Original Suit No. 909 of 1996, granting permanent injunction in favour of plaintiff-respondent and directing defendant-appellant for not raising any illegal assessment bill in respect of Electrical Connection No. 010162 of plaintiff-respondent, without referring the dispute to Electrical Inspector. Plaintiff instituted the aforesaid suit, stating that there is no allegation of theft of electrical energy and if defendant is of the view that meter is not running correctly, then, the matter ought to have been referred to Electrical Inspector under Section 26 of Indian Electricity Act, 1910 (hereinafter referred to as the "Act, 1910"), but without referring the same, they are illegally trying to propose an assessment against plaintiff in respect of the aforesaid electricity connection.

3. The matter was contested by defendant-appellant by filing written statement, in which, they did not dispute that they proposed to make an assessment of Rs. 17,25,399.04 against plaintiff, in respect of aforesaid electricity connection, on the ground that there is less recording of electrical consumption in his meter. It is however admitted that the matter was not referred to Electrical Inspector to check whether meter was correct or not and it is also not in dispute that there was no allegation of theft of electrical energy by plaintiff. Trial Court framed the following eight issues:—

1. क्या प्रतिवादीगण द्वारा वादी को जारी पत्र संख्या 2305 दिनांकित 10.6.96 वाद पत्र में वर्णित कारणों से अवैधानिक है, यदि हां तो प्रभाव?
2. क्या नोटिस दिनांक 10.6.96 वादी को प्राप्त हुए थे यदि हां तो प्रभाव?
3. क्या प्रतिवादीगण के विरुद्ध कोई वाद का कारण नहीं है?
4. क्या वाद यू.पी. जेड.ए.एल.आर. सन 1961 की धारा 283 ए से बाधित है?
5. क्या वाद का मूल्यांकन कम किया गया है?
6. अनुतोष यदि कोई जिसे पाने का वादी अधिकारी है?

दिनांक 28.2.2001 को निम्न वाद विन्दु विरचित किये गये:-

7. क्या इस न्यायालय को वाद का श्रवण क्षेत्राधिकार प्राप्त नहीं है जैसा कि प्रतिवाद पत्र के प्रस्तर 25 (ए) में अभिकथित है?

8. क्या वाद ,उपभोक्ता विनियमावली 1984 के प्राविधान से बाधित है जैसा कि प्रतिवादपत्र प्रस्तुत 25 (ए) में उल्लिखित है?

4. Issue 1 has been answered in favour of plaintiff, observing that admittedly, there was no case of theft of electrical energy against plaintiff and if defendant was of the view that there was some defect in meter, the same ought to have been ascertained by referring the matter to Electrical Inspector, but that was not done. Even a check meter was not installed and still defendant proposed an assessment, which was illegal. Issues 2 and 3 are answered against defendant. Issues 4, 7 and 8 were considered together and Court held that suit was not barred, since no provision could be shown by defendant before the Court below to justify alleged assessment. In the circumstances, suit was decreed.

5. Before this Court, Sri Nripendra Mishra, learned counsel for appellant, did not dispute that there was no allegation of theft of electrical energy against plaintiff. He submitted that it appears that meter did not record some consumption of electrical energy, which shows that there was some defect in meter, but in this respect, he also did not dispute that neither any check meter was installed, nor the matter was referred to Electrical Inspector, if there was a dispute regarding correctness of the meter.

6. Dispute in suit in question is of 1996. At that time, it was governed by the provisions of Act, 1910 and Electricity Supply Act, 1948 (hereinafter referred to as "Act, 1948"), read with Rules and Regulations framed thereunder. In case where supplier of electricity intends to raise supplementary bill, or a bill of an amount not founded on the reading of meter, on the ground that it had not recorded consumption of electricity correctly, Section 26(1) of Act, 1910 provides that such licensee would have to make a Reference to Electrical

Inspector, whose opinion in respect of meter where it has ceased to be correct or not, shall be final.

7. The Apex Court in *Madhya Pradesh Electricity Board v. Smt. Basantibai*, (1988) 1 SCC 23, has observed, if there is no allegation that meter has ceased to be correct on account of any tampering, etc., then dispute regarding correctness of meter shall be determined by Electrical Inspector. In paragraph 13 of judgment, the Court said:—

“13. We are, however, unable to accept this contrary view as it is obvious from the provisions of Section 26, Sub-section (6) of the said Act that dispute whether a meter is correct or faulty would come under the said provisions and not the dispute regarding tampering of meter. In our view, the view taken about the scope of Section 26(6) in the decisions cited above are correct. In the instant case the dispute relates to whether the meter is correct one or it is faulty not recording the actual energy consumed in running the oil mill of the respondent. So this dispute squarely falls within the provisions of the said Act and as such it has been rightly found by the High Court that it is the Electrical Inspector who alone is empowered to decide the dispute. If the Electrical Inspector comes to the finding that the meter is faulty and due to some defect it has not registered the actual consumption of electrical energy, then the Inspector will estimate the amount of energy consumed and will fix the amount to be paid in respect of such energy consumed within a period not exceeding six months. The appellant No. 1 is not competent pending the determination of this dispute by the Electrical Inspector to issue the impugned notice threatening disconnection of supply of electricity for non-payment of supplementary bill prepared and sent by it. The Board is also not competent to prepare and send a supplementary bill in respect of energy consumed by the respondent from the one phase which stopped functioning and did not record any consumption of energy. For the reasons, aforesaid we affirm the order of High Court and dismiss the appeal without costs.”

8. A perusal of the above shows that Electrical Inspector, if comes to conclusion that meter is faulty and has not registered actual consumption of electrical energy, it is the “Electrical Inspector”, who shall estimate amount of electrical energy consumed and will fix the amount to be paid and not the licensee.

9. After enactment of new Act, i.e. Indian Electricity Act, 2003 (hereinafter referred to as “Act, 2003”) and the Rules and Regulations framed thereunder, another matter came up before this Court in *Smt. Amrawati Devi v. Purvanchal Vidyut Vitran Nigam Limited*, 2009 (74) ALR 701 wherein a similar provision, as it was earlier in Section 26, was made in Clause 5 and 6 of U.P. Electricity Supply Code, 2005. The Court said, if licensee claims that meter is not recording consumption

correctly, consumer has a right to ask the licensee to get meter tested by Electrical Inspector or at the laboratory of Nigam or by an independent agency, as the case may be. In this regard, notice has to be given to consumer. The Court in paragraphs 6 and 11 of the judgment said as under:—

“6. From reading of Clause 5.6(c)(iii) it is clear that this clause in unequivocal terms declares that the defective meter after sealing in presence of consumer, shall be tested, at licensee's lab/independent lab/Electrical Inspector, as agreed by the consumer. Therefore, the agreement by the consumer is essential for testing of the meter either at the laboratory of the Nigam or at the laboratory of some other independent agency. It further provides that option exercised by consumer once cannot be changed. The clause, therefore, empowers the authorities to seal the meter and get it tested with consumer's agreement. Since the clause operates harshly against the consumer it has to be construed strictly. The consumer has a right to get the meter tested with independent agency. The authorities, therefore, have a corresponding duty to apprise the consumer of the right. Failure to discharge this duty, which flows from Sub-clause (c)(iii) by the authorities while exercising their right to send the meter for testing, renders the entire proceedings for sealing the meter irregular and illegal.”

11. We are of the considered opinion that after sealing the meter the Nigam must serve a notice, on which it should be printed in bold capital letters, intimating the consumer or his representative to exercise his option either to get the meter tested by the Electrical Inspector or at the laboratory or at the laboratory of the Nigam or the consumer may exercise his option to get his meter tested from one of the outside agencies approved by the Nigam mentioned in the notice. Once the consumer exercises his option then immediately a date has to be fixed for testing of the meter in the presence of the consumer.”

10. In the present case, it is not the case of appellant that there was any tampering or theft, etc. on the part of consumer. The case of licensee was that meter has recorded less consumption and if that be so, licensee was bound to refer the matter to Electrical Inspector under Section 26(6) of Act, 1910. We required from learned counsel for appellant to tell us under which provision, assessment in the case in hand was proposed by defendant-appellant, but no specific provision could be shown. In view thereof, we find no fault or error, factual, legal or otherwise, with the impugned judgment, warranting interference.

11. Appeal is accordingly dismissed, after hearing it at the stage of Order 41 Rule 11 C.P.C.

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2013 SCC OnLine All 11738

(BEFORE V.K. SHUKLA AND SUNEET KUMAR, JJ.)

Mohd. Daud Petitioner

v.

State of U.P. and 2 Others Respondents

Counsel for Petitioner:- Swarn Kumar Srivastava, Anil Kumar Srivastava

Counsel for Respondent:- C.S.C., Mahboob Ahmad

Writ - C No. - 66748 of 2013

Decided on December 6, 2013

Hon'ble V.K. Shukla, J.

Hon'ble Suneet Kumar, J.

Petitioner before this Court is questioning the validity of demand notice dated 23.10.2013 and further prayer is not to take any coercive action against the petitioner.

The demand notice in question is based on bills that have been raised and that has not been paid.

Petitioner is contending before this Court that once in the past permanent disconnection in question has been made, then after the aforementioned period, the bill in question could not have been raised and based on the same, recovery could not be effected.

The said claim in question is being resisted by the department concerned by contending that at no point of time, petitioner ever proceeded to make a request for getting permanent disconnection and in such a situation and in this background, the bill in question have been raised and the petitioner is under statutory obligation to pay the same.

In the opinion of the Court in pith and substance, it is the raising of the bill which is subject matter of issue that is being raised and as such at the first instance such an issue should be raised as is provided for under Clause 6.5. of U.P Electricity Supply Code 2005.

Accordingly, this Court is not entertaining the writ petition in question but leaves it open to the petitioner to raise the dispute as is being raised by the petitioner before this Court that bills in question has been incorrectly raised before the competent authority, who will look into the

matter and redress the same in accordance with law.

With these observations, on this ground of alternative remedy, the writ petition is not being entertained and is dismissed accordingly.

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2026 SCC OnLine All 5411

In the High Court of Allahabad⁺
(BEFORE ARINDAM SINHA AND SATYA VEER SINGH, JJ.)

Abhimanyu Singh ... Petitioner(s);

Versus

State of U.P. and 7 Others ... Respondent(s).

Writ - C No. - 10937 of 2026

Decided on April 9, 2026

Advocates who appeared in this case:

Counsel for Petitioner(s): Santosh Kumar Singh

Counsel for Respondent(s): C.S.C., Chetan Chatterjee

The Judgment of the Court was delivered by

ARINDAM SINHA, J. and SATYA VEER SINGH, J.:— With reference to earlier order dated 2-4-2026, Mr Chetan Chatterjee, learned advocate appearing for Respondents 3 to 8 (the supply company) files affidavit dated 5-4-2026 with copy served to Mr Santosh Kumar Singh, learned advocate appearing for petitioner.

2. Mr Chatterjee relies on clauses 4.5 (d) and 4.6 (e)(ii) and (iii) in Uttar Pradesh Electricity Supply Code, 2005. He submits, petitioner had initially opted to establish the connection requiring his client to only charge supervision costs. Subsequently, he wanted the supply to be given by his client (the supply company). Hence, there was revised estimate. It has been challenged in the writ petition. The challenge is without merit. The writ petition be dismissed.

3. Clauses (a) to (d) from Clause 4.5 are reproduced below.

"4.5 Inspection by Licensee:

The applicant along with the licensed contractor or his representative shall be present during the inspection. During the inspection, the Licensee shall:

- (a) Satisfy themselves regarding the work completion certificate and the test report submitted by the applicant.*
- (b) In consultation with the applicant, fix the point of supply and the place where meter and the MCB etc. shall be fixed.*
- (c) Estimate the distance between the point of supply and the nearest Distribution mains from where supply could be given.*
- (d) Determine if the supply line shall go over any property belonging to a third party. In such a case the applicant shall obtain no objection from the third party, in absence of which,*

the licensee may adopt a different route for which the applicant shall bear the cost differential.

.....”

Clause 4.6 (e)(ii) and (iii) is also reproduced below.

“4.6 Estimate

(e) (i)

(ii) If the work is to be done by the developer/applicant/Development Authority, the Licensee shall charge supervision charges (on the estimated labour cost, cost of material, material handling and storage/inventory, but excluding the system loading charges and the establishment costs), as a percentage of the normative estimates, specified in cost data book, which shall be deposited with the licensee before work begins.

For LT Loads upto 50 kW, if the supply released on HT on the request of consumers (in such cases, metering will be done on LT and billing as per LT tariff)-15%.

For Loads exceeding 50 KW (56 KVA) upto 3600 KW (4000 KVA)-15%.

For Loads exceeding 3600 KW upto 9000 KW (10,000 KVA)-8%

For Loads exceeding 9000 KW (10,000 KVA)-5%.

Notwithstanding the amended provision coming into effect from the date of notification, the supervision charge on cost of material charged earlier in the estimates before this amendment shall not be refunded back.

(iii) The Licensee shall commence the work after the applicant has deposited the full amount of the estimates.

.....”

Our understanding of above relied upon provisions is that the direct transmission from distribution main to point of supply is at cost of the licensee (the supply company). In event of objection requiring alternate route, the differential in cost is to be borne by applicant.

4. Prayer (a) in the petition is reproduced below.

“a) Issue a writ order or direction in the nature of mandamus directing the electricity department to immediate give electricity connection to the petitioner tube well in pursuance of the estimate amount paid by the petitioner a sum of Rs 1,19,368 on 18-8-2025 with immediate effect without any delay.”

Petitioner is facing objection from his neighbours on asserting, his property is landlocked. The supply company is directed to give particulars on fresh estimate, for petitioner to pay on the differential cost. Particulars are to be furnished to petitioner to show cost involved for setting up direct transmission between the distribution main and

point of supply as well as the longer route of transmission, necessitated by the objection(s), for demanding the estimate of cost from petitioner. In event it is less than amount already deposited by petitioner, the difference to be adjusted from future consumption bills. Otherwise, the excess will be informed to petitioner, for him to pay and obtain the supply.

5. Petitioner will communicate certified copy of this order to Respondent 6. Within two weeks of the communication, the exercise is to be completed and petitioner given the supply. This time line will stand automatically extended in case petitioner does not fulfill requirement of paying the excess, if demonstrated to be payable.

6. The writ petition is disposed of.

[†] At Allahabad

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2009 SCC OnLine All 83

In the High Court of Allahabad
(BEFORE AMITAVA LALA AND RAJES KUMAR, JJ.)

Heera Lal ... Petitioner;

Versus

State of U.P. & others ... Respondents.

Civil Misc. Writ Petition No. 4897 of 2009

Decided on January 28, 2009

Advocates who appeared in this case :

For the Petitioner : Sri Jagannath Singh.

For the Respondents: Sri Shobhit Dubey & Standing Counsel.

The Judgment of the Court was delivered by

Amitava Lala, J.- Dispute is with regard to demand of electricity charges by the appropriate electrical authority. Under normal circumstances this Court enquires whether demand is out of theft of electricity or provisional assessment and the petitioner requires consideration of the objection or not. If the answer is affirmative, Court normally puts a condition of deposit 50% of the claim amount to show bonafide and sends the matter to the authority to consider objection with further condition that if petitioner becomes successful, either the deposit will be refunded or adjusted. In case final assessment is made and the petitioner does not want to prefer appeal but to pay the entire dues, a scheme is made for payment by instalments as per Regulation 6.14 of the Electricity Supply Code, 2005.

Petitioner herein wanted to establish a different case. He contended before this Court that the demand notice which is said to be issued in January, 2007 by the respondent no. 4 i.e. Executive Engineer, U.P. Power Corporation, was not received by him but when the respective Amin of the State told that citation for recovery has been issued, he has filed an objection before the Tehsildar of the State, since according to him such authority is the appropriate authority as per law for hearing his objection in this regard. By citing three Judges' Bench judgment of Supreme Court reported in JT 1999 (7) SC 256 (*Chandra Kishore Jha v. Mahabir Prasad*), learned counsel appearing for the petitioner submitted that it is well-settled salutary principle that if a statute provides for a thing to be done in a particular manner, then it has to be done in that manner and in no other manner. We have no quarrel with such proposition. But we have to see how such proposition is applicable herein. He further cited a judgment of Supreme Court reported in (1996) 2 SCC 689 (*Seth Banarsi Dass (dead) bv LRS. v. District*

Magistrate and Collector, Meerut) to establish that recovery proceedings are equivalent to execution proceedings under the Code of Civil Procedure, therefore, any auction sale without deciding objections, is bad in law and material irregularity which vitiates the sale. We are of the view that an execution is an incident of the original proceeding. Executing court cannot go beyond the decree. It deals with the decree but neither can modify nor can set aside or recall the decree. Such type of relief can only be granted by the decreetal court. Under Section 47 of the Code of Civil Procedure only the questions between the parties to the suit in which the decree was passed, or their representatives, and relating to the execution, discharge or satisfaction of the decree, shall be determined by the Court executing the decree and not by a separate suit. Under Order 21 Rule 10 of the Code of Civil Procedure an application for execution is to be filed to the Court which passed the decree or to the officer appointed in this behalf, or if the decree has been sent under the provisions herein before contained to another Court then to such Court or to the proper office thereof. Therefore, the composite meaning is that normally the decreetal court and the executing court will be the same so that any objection to the execution, discharge and satisfaction of the decree can be ascertained without overriding the decree. Executing court will only confine itself within the decree. In the present case, purported recovery is purported execution but the objection, if any, with regard to order of the authority means purported decree. The same cannot be regarded as execution, discharge or satisfaction of the decree but variation of the decree. Therefore, it is required to be determined by the appropriate court which passed the decree, here the authority under the Electricity Act not by the executing court, here the Tehsildar of the State. There is a gulf difference between variation of decree by the decreetal court and execution, discharge or satisfaction of the decree by the executing court. If the affected party accepts the decree then the appropriate order can be passed by the executing court regarding execution, discharge or satisfaction about the mode for the respective purpose but if the petitioner does not want to accept the decree either he has to prefer an appeal or to proceed to the court which passed the decree for its variation. Both in one hand variation of decree so to say and on the other hand execution of the decree by executing court so to say, cannot run simultaneously. In the instant case, the petitioner never intended to approach the authority of electricity department in spite of best endeavour of the Court for the reasons best known to him. A rigid attitude not to go to the electrical authority, raises suspicion in the mind of the Court. The petitioner has not annexed any citation but narrated the fact of verbal communication of the Amin and raised a dispute before the Tehsildar only on the basis of such verbal

communication.

Learned counsel for the petitioner further wanted to establish his case with the support of a Division Bench judgment of this High Court reported in 1986 All. L.J. 1451 (*Smt. Chandrawati v. U.P. State Electricity Board*). From the judgement it appears that when no notice of demand was admittedly served on either of the petitioners, such petitioners are entitled to the relief in the form of mandamus not to recover any amount mentioned in the notice of demand and recovery certificates, from the petitioners in pursuance thereof. Such referred case is factually different from this case. In the instant case no such admission is available to us. Although it is stated that the petitioner has not received the demand notice but a copy of the demand notice dated 8th January, 2009 is annexed as Annexure 1. No explanation has been given even verbally as to how he got such copy. It appears to us that the petitioner has not come with clean hands to get the equitable relief from this Court. Hence, the writ petition is liable to be dismissed and accordingly dismissed.

However, no order is passed as to costs.

Rajes Kumar, J.

I agree.

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2017 SCC OnLine All 3976 : (2017) 124 ALR 350

In the High Court of Allahabad
(BEFORE ARUN TANDON AND REKHA DIKSHIT, JJ.)

Vandana Srivastava

Versus

Purvanchal Vidyut Vitran Nigam Ltd.

C.M.W.P. No. 13816 of 2017

Decided on May 9, 2017

The Judgment of the Court was delivered by

ARUN TANDON, J. and REKHA DIKSHIT, J.:— Heard learned Counsel for the parties. This writ petition has been filed with the prayer to quash the order of the Consumer Grievances Redressal Forum dated 9.12.2016 and for a direction upon the respondents No. 1 and 2 namely Purvanchal Vidyut Vitran Nigam Ltd and the Executive Engineer, Purvanchal Vidyut Vitran Nigam Ltd to provide electricity connection with the load of 6 KW under rate Schedule LMV-6 for running the footwear shop in question.

2. From paragraph two of the writ petition, it is apparent that the petitioner claimed himself to be the tenant of the shops in respect whereof electrical energy was prayed for. Reference was made to the order passed by the Civil Judge (Junior Division) dated 11.2.2014, wherein the petitioner was permitted to deposit the rent of the shop and that such rent was deposited by the



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petitioner in the Court of Civil Judge (J. D) Gorakhpur. In paragraph 19 of the writ petition reference has been made to Civil Misc. Case No. 188 of 2015, filed under section 30(2) of U.P. Act No. 13 of 1972 for permission to deposit the rent in the Court of Civil Judge (J. R) and the order passed thereon dated 29.7.2015.

3. It has been then stated that the respondent No. 5 namely Bhishma Kumar son of Manda Lal in collusion with respondent No. 6 on the basis of an application dated 23.11.2015 got the supply of electrical energy to the shop permanently disconnected.

4. The petitioner in that circumstances made a requisition on 14.12.2015 seeking new connection. He complied with all formalities

including indemnity bond as required under Supply Code 2005. The petitioner has, however, not been provided electricity connection for his shop by the department. He filed a complaint before the Consumer Forum which was registered as Misc. Case No. 1 of 2016. The Forum in its order dated 9.12.2016 observed that the dispute with regard to tenancy is pending before the competent Court and therefore, no order is required to be passed by the Forum.

5. In para 44 of the writ petition, a reference has been made in the Civil Suit No. 1454 of 2015 with the statement that the relief as has been prayed for in the writ petition is out side the scope of the said proceeding. The distribution Licensee is neither a party nor any relief has been claimed with regard to new power connection in the suit. The petitioner referred to the obligation of the licensee to provide the electricity facility to the petitioner under the Electricity Code.

6. On behalf of the respondent No. 6 an affidavit has been filed indicating therein that there has been material concealment of facts by the writ petitioner. In original suit No. 1454 of 2015, an application was filed by the writ petitioner/plaintiff for a direction to the licencing authority to provide electrical energy to the shop of the petitioner which application was got dismissed as withdrawn.

7. In the said suit a temporary injunction application was also filed for re-' straining the respondent No. 6 from interfering in the running of the shop by the petitioner/plaintiff in question. The temporary injunction application came to be rejected by the Trial Court *vide* order dated 6.3.2017. Copy of the order passed by the Trial Court in suit No. 1454 of 2015 disposing of the temporary injunction has been enclosed at page 51 of the affidavit filed on behalf of the respondent No. 6. The Trial Court has recorded a categorical finding that the plaintiff has failed to establish on *prima facie* basis that he was the tenant of the premises in question.

8. The petitioner/plaintiff has filed the present petition before the Court on 31.3.2017 supported by an affidavit dated 26.3.2017 i.e. 20 days subsequent to the order of the learned Trial Court rejecting the temporary injunction application.

9. The factum of filing of the temporary injunction application and the order passed there on dated 6.3.2017 is admitted to the petitioner/plaintiff. There is no mention of the aforesaid facts in the present writ petition.

10. In our opinion the order passed by the Trial Court disposing of the temporary injunction application after recording a finding that the petitioner has failed to establish herself as tenant of the premises in question, are materia) facts which should have been disclosed in the present writ petition.



11. Finding recorded by the learned Trial Court *qua* the petitioner being unable to establish herself as a tenant although at the interim stage only is material fact for consideration of the grievance as has been raised in the present writ petition, at least in the matter of grant of it 'term order.

12. May be that the distribution licensee is not a party in the suit and no relief in the matter of supply of electrical energy to the shop of the petitioner has been prayed therein, yet the findings of the Trial Court on the status of the petitioner is relevant for considering this writ petition, which should have been disclosed all the fact to this Court at the very outset. It is settled law that the Writ Court shall not interfere in writ jurisdiction for a petitioner who has not approached this Court with clean hands. This writ petition is dismissed.

13. *Petition Dismissed.*

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2011 SCC OnLine All 817 : (2011) 87 ALR 17

(Allahabad High Court)

BEFORE SATYA POOT MEHROTRA AND RAJESH CHANDRA, JJ.

Between

Suresh Kumar

Versus

U.P. Power Corporation Shakti Bhawan, Lucknow
through its Chairman and Others

C.M.W.P. No. 15788 of 2011

Decided on May 12, 2011

The Judgment of the Court was delivered by

SATYA POOT MEHROTRA and RAJESH CHANDRA, JJ.:— Counter Affidavit and Rejoinder Affidavit have been exchanged between the parties.

2. The Writ Petition is being disposed of at this stage with the consent of the learned Counsel for the parties.

3. The present Writ Petition has been filed, *inter alia*, praying for quashing the Citation dated 20th December, 2010 (Annexure 8 to the Writ Petition) and the Assessment (described as “Provisional Assessment”) dated 1.5.2008 (Annexure 6 to the Writ Petition).

4. It appears that checking was made in the premises of the petitioner on 10th January, 2008. Theft of electricity was allegedly detected.

5. Copy of the Checking Report has been filed as Annexure CA-1 to the Counter Affidavit filed on behalf of the respondent No. 2.

6. Shri Pankaj Kumar Shukla, learned Counsel for the respondent Nos. 1 and 2, on the basis of instructions received by him, has stated that pursuant to



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the said checking, Provisional Assessment dated 29.2.2008 was made in respect of the petitioner. A photostat copy of the Communication No. 191 dated 29th February, 2008 has been produced by Shri Pankaj Kumar Shukla stating the same to be the Provisional Assessment in respect of the petitioner. Let the said document be placed on record.

7. A perusal of the said document shows that the same does not

contain any calculation in regard to the Provisional Assessment as per the relevant provisions of law. Even the amount provisionally assessed against the petitioner on account of the alleged theft of electricity, has not been mentioned in the said document. In our opinion, the said document cannot be said to be Provisional Assessment as contemplated under the relevant provisions of the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005.

8. It is further stated by Shri Pankaj Kumar Shukla, learned Counsel for the respondent Nos. 1 and 2 that as no objections were received from the petitioner against the Provisional Assessment dated 29th February, 2008, Final Assessment Order dated 1.5.2008 was issued in respect of the petitioner.

9. Copy of the said Assessment Order dated 1.5.2008 has been filed as Annexure CA-2 to the Counter Affidavit.

10. Shri V.S. Rajpoot, learned Counsel for the petitioner states that no Provisional Assessment dated 29th February, 2008 was received by the petitioner. What was received by the petitioner, was the aforesaid Assessment Order dated 1.5.2008, copy whereof has also been filed as Annexure 6 to the Writ Petition. Treating the said Assessment Order dated 1.5.2008 to be Provisional Assessment, the petitioner submitted his Objections dated 22nd May, 2008 (Annexure 7 to the Writ Petition). Copy of the said objections has also been filed as Annexure RA-2 to the Rejoinder Affidavit filed on behalf of the petitioner.

11. It is submitted by Shri V.S. Rajpoot, learned Counsel for the petitioner that the said objections have not so far been decided by the respondent No. 2.

12. Shri Pankaj Kumar Shukla, learned Counsel for the respondent Nos. 1 and 2 states that no Objections dated 22nd May, 2008 were received by the respondent No. 2. In any case, it is submitted by Shri Shukla, the Assessment Order dated 1-5-2008 was Final Assessment Order and, therefore, there was no occasion for filing any objections in respect of the same.

13. We have considered the submissions made by the learned Counsel for the parties.

14. As noted above, even if the version of the respondent Nos. 1 and 2 regarding Provisional Assessment having been made on 29th February, 2008 were to be accepted, the said Provisional Assessment was not in accordance with law, as the same did not contain any calculation regarding the Provisional Assessment nor did it mention any amount in regard to the Provisional Assessment.

15. In the circumstances, we are of the opinion that the interest of justice would be subserved by disposing of the Writ Petition with the following directions:

1. Within four weeks from today, the petitioner will submit an application before the Executive Engineer concerned (respondent No. 2) along with copy of his aforesaid Objections dated 22nd May, 2008 and a certified copy of this order.



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2. After receipt of the documents mentioned above, the Executive Engineer concerned (respondent No. 2) will proceed to consider the aforesaid Objections of the petitioner treating the aforementioned Assessment Order dated 1.5.2008 as Provisional Assessment, and dispose of the said Objections by passing speaking order after giving reasonable opportunity of being heard to the petitioner in accordance with law.
3. Till 16th August, 2011 or till the disposal of the Objections by the Executive Engineer concerned (respondent No. 2), whichever is earlier, the recovery proceedings against the petitioner pursuant to the Citation dated 20th December, 2010 (Annexure 8 to the Writ Petition) will remain stayed.
4. The recovery proceedings against the petitioner will abide by the decision of the Executive Engineer concerned (respondent No. 2) on the objections of the petitioner.
5. In the event of failure on the part of the petitioner in complying with the requirements of Condition No. 1 above, this order shall stand automatically vacated.
16. The Writ Petition is accordingly disposed of with the aforesaid directions.

Petition Disposed Off.

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2019 SCC OnLine All 4790 : (2021) 114 ACC (Sum 12) 5 : (2020)
110 ACC (Sum 90) 30

In the High Court of Allahabad
(BEFORE SANJAY KUMAR SINGH, J.)

Shailendra Kumar ... Applicant;

Versus

State of U.P. and Another ... Opposite Parties.

Application U/S 482 No. - 13903 of 2019

Decided on April 11, 2019

Advocates who appeared in this case:

Counsel for Applicant:— Om Prakash Chaube

Counsel for Opposite Party:— G.A., Krishna Agarawal

The Order of the Court was delivered by

SANJAY KUMAR SINGH, J.:— Heard Sri. Om Prakash Chaube, learned counsel for the applicant, Sri. Krishna Agarawal learned counsel for the opposite party no. 2 and learned Additional Government Advocate for the State/opposite party no. 1 and perused the record with the assistance of learned counsel for the parties.

2. This application under Section 482 Cr.P.C. has been filed by the applicant with a prayer to quash the order dated 02.02.2019 passed by the Additional Sessions Judge (IVth)/Special Judge Banda, in Special Case No. 329 of 2018 arising out of Case Crime No. 97 of 2018 (*State v. Shailendra Kumar*) under Section 138 of the Electricity Act, 2003 P.S. Atarra, District Banda whereby non bailable warrant has been issued against the applicant on account of his non appearance before the trial court, as well as the entire proceedings of above case pending in the court of Additional Sessions Judge (IVth)/Special Judge Banda.

3. Filtering out unnecessary details, the basic facts of the case in brief are as follows:—

- (i) The applicant is consumer of Electricity Department and was having a valid connection of electricity. On 28.1.2013 an electric bill of Rs. 4137/- was issued to the applicant, which was deposited by the applicant on 30.1.2013. Thereafter, on 18.2.2015 another bill was issued to the applicant for a sum of Rs. 1,28,015/- which was disputed by the applicant and, as such, a Complaint Case No. 83 of 2015 was preferred by the applicant before the District Consumer Forum, Banda on 29.5.2015, which was decided in favour of the applicant vide judgment and order dated 25.8.2017 setting aside the impugned bill dated 18.2.2015

with a direction to the Electricity Department to issue a fresh bill as per the direction given in the order dated 25.8.2017 adjusting the amount of Rs. 15000/- paid by the applicant.

- (ii) Pursuant to the aforesaid order dated 25.8.2017, the Electricity Department on 27.8.2017 issued a fresh bill of Rs. 2,07,644/- enhancing the amount which has not been deposited by the applicant because as per case of the applicant, the same was not inconsonance with the direction given by the consumer forum in the judgment and order dated 25.8.2017.
- (iii) Thereafter on account of non payment of bill dated 27.8.2017, the Electricity Department disconnected the electric supply of the applicant on 13.3.2018. Later on, the Electricity Department received an information that despite disconnection made on 13.3.2018, the applicant is committing theft of electric by illegal means without adopting due procedure provided for reconnection, therefore, the premises of the applicant was inspected on 30.5.2018 in order to know the truth and on inspection and checking in accordance with law, it was found that despite disconnection made on 13.3.2018, the electric wire was reconnected by the applicant from his own and as such, he was indulged in the theft electricity without depositing the arrears of dues against him.
- (iv) On account of aforesaid reason, a letter dated 30.5.2018 was issued under the signatories of the authorities concerned to the Electricity Department to incharge inspector Police Station Kotwali, Atarra to lodge the FIR against the applicant for committing an offence under Section 138 of the Electricity Act 2003. In the said background of the facts, the impugned FIR was lodged on 31.5.2018 as Case Crime No. 97 of 2018 under Section 138 of the Electricity Act, 2003 P.S. Atarra, District Banda against the applicant, in which after investigation, the charge sheet was submitted by the Investigating Officer on 07.07.2018, on which the cognizance was taken on 18.9.2018 by the court concerned and the applicant was summoned to face trial under Section 138 of the Electricity Act. On account of non appearance of the applicant, non bailable warrant dated 02.02.2019 has been issued against him, which is under challenge before this Court by means of this application.

4. The main substratum of submission of learned counsel for the applicant is that once the Consumer Forum has set aside the bill dated 18.2.2015 considering the grievance of the applicant by the order dated 25.8.2017 in his favour, then all the criminal proceedings pursuant to the FIR is nothing but the abuse of the process of the law and liable to be quashed.

5. Per contra, learned Additional Government Advocate for the State and the counsel for the opposite party no. 2 have submitted that:

- (i) in compliance of the order dated 25.8.2017 passed by the Consumer Forum, the Electricity Department had issued a revised bill dated 27.8.2017 of sum of Rs. 2,07,644/- which has not been paid by the applicant till date and on account of non payment of the said bill, disconnection of electric supply has already been made on 13.2.2018.
- (ii) Counsel for opposite party no. 2 has also submitted that the amount under the revised bill dated 27.8.2017 has neither been paid nor the same has been challenged by the applicant before any competent court.
- (iii) The FIR against the applicant was lodged for committing offence under Section 138 of the Electricity Act by him, therefore, the impugned criminal proceedings against the applicant cannot be said to be the abuse of the process of the court as prima facie case under Section 138 of the Electricity Act is made out against the applicant.

6. After having heard the learned counsel for the parties and perusing the entire record, I find that criminal proceeding under Section 138 of the Electricity Act has not been initiated on account of non payment of revised bill dated 27.8.2017, but on account of re-connecting the electric line/wire by the applicant from his meter unauthorisedly without adopting due procedure of the law provided under the Electricity Act after disconnection made on 13.3.2018. The offence under Section 138 of the Electricity Act is entirely different from the dispute of arrears of dues/bill amount to the Electricity Department. The proceeding regarding billing has been provided under Chapter 6 of U.P. Electricity Supply Code 2005. Admittedly, the revised bill dated 27.8.2017 has not been challenged by the applicant before any competent Court, therefore, the argument advanced on behalf of the applicant is not sustainable at this stage. Learned counsel for the applicant could not show any material from the record that the electric connection of the applicant was not reconnected after disconnection dated 13.3.2018.

7. Here, it would be useful to quote Section 138 of Electricity Act 2003, which is reproduced here in below:

- “(a) unauthorisedly connects any meter, indicator or apparatus with any electric line through which electricity is supplied by a licensee or disconnects the same from any such electric line; or
- (b) unauthorisedly reconnects any meter, indicator or apparatus with any electric line or other works being the property of a licensee when the said electric line or other works has or have been cut or

disconnected; or

- (c) lays or causes to be laid, or connects up any works for the purpose of communicating with any other works belonging to a licensee; or
- (d) maliciously injures any meter, indicator, or apparatus belonging to a licensee or wilfully or fraudulently alters the index of any such meter, indicator or apparatus or prevents any such meter, indicator or apparatus from duly registering, shall be punishable with imprisonment for a term which may extend to three years, or with fine which may extend to ten thousand rupees, or with both, and, in the case of a continuing offence, with a daily fine which may extend to five hundred rupees; and if it is proved that any means exist for making such connection as is referred to in clause (a) or such re-connection as is referred to in clause (b), or such communication as is referred to in clause (c), for causing such alteration or prevention as is referred to in clause (d), and that the meter, indicator or apparatus is under the custody or control of the consumer, whether it is his property or not, it shall be presumed, until the contrary is proved, that such connection, reconnection, communication, alteration, prevention or improper use, as the case may be, has been knowingly and wilfully caused by such consumer."

8. Considering the facts of this case in the light of Section 138 of the Electricity Act, it cannot be said at this stage that no offence is made out against the applicant under Section 138 of Electricity Act.

9. On the given facts and circumstances, this Court is of the view that it is well settled that the appreciation of evidence is a function of the trial court. This Court in exercise of power under Section 482 Cr.P.C. cannot assume such jurisdiction and put an end to the process of trial provided under the law. It is also settled by the Apex Court in catena of judgments that the power under Section 482 Cr.P.C. at pre-trial stage should not be used in a routine manner but it has to be used sparingly, only in such appropriate cases, where uncontroverted allegations made in FIR or charge-sheet and the evidence relied in support of same do not disclose the commission of any cognizable offence against the accused. The disputed questions of facts and defence of the accused cannot be taken into consideration at this pre-trial stage.

10. It is also well settled that at the stage of summoning the accused, the court below is not required to go into the merit and demerit of the case. Genuineness or otherwise of the allegation cannot be even determined at the stage of summoning the accused.

11. In view of above, this Court does not find that this case fall in a categories as recognized by the Apex Court for quashing the criminal

proceeding of the trial court at pre-trial stage. Considering the facts, circumstances and nature of allegations against the applicant in this case, I do not find any good ground to interfere in the non bailable warrant order dated 02.02.2019 issued against the applicant, as the same has been rightly passed by the court concerned on account of non appearance of the applicant before the trial court.

12. Accordingly, the application lacks merit and is dismissed.

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2014 SCC OnLine All 11279

(BEFORE AMRESHWAR PRATAP SAHI AND VIVEK KUMAR BIRLA, JJ.)

Meva Ram Petitioner

v.

State of U.P. & 2 Others Respondents

Counsel for Petitioner:- Arun K. Bhatt

Counsel for Respondent:- C.S.C., Baleshwar Chaturvedi, P.K. Pandey

Writ - C No. - 35878 of 2014

Decided on July 15, 2014

Hon'ble Amreshwar Pratap Sahi, J.

Hon'ble Vivek Kumar Birla, J.

Heard Sri Arun K. Bhatt, learned counsel for the petitioner, Sri Baleshwar Chaturvedi, learned counsel for the Power Corporation, and Sri Pankaj Kumar Pandey for the caveator.

This matter arises out of a dispute of an electricity connection of a tubewell between the petitioner who is the uncle of the caveator Sri Ganga Dayal. He is represented before this Court through a caveat filed by Sri Pankaj Kumar Pandey. In view of the nature of the order that is being passed, upon agreement of the learned counsel for the parties, the Court directs the petitioner to implead Sri Ganga Dayal as respondent no. 4 in the writ petition during the course of the day.

The said respondent, in the opinion of the Court, is entitled to claim a right for hearing under Chapter 22 Rule 5A of the Allahabad High Court Rules, 1952. To this Sri Baleshwar Chaturvedi, learned counsel for the Power Corporation has no objection.

The newly impleaded respondent no. 4 Ganga Dayal approached this Court by filing Writ Petition No. 26100 of 2014 and the following order was passed on 9.5.2014:-

"Hon'ble Sanjay Misra, J.

Hon'ble Anant Kumar, J.

We have heard Sri Navin Kumar Srivastava, learned counsel for the petitioner, learned standing counsel for the State-respondent and Sri Sravan Kumar Tripathi, learned counsel for the respondents no. 2 and 3 which are the Dakshinanchal Vidyut Vitran Nigam Limited, Firozabad.

The petitioner prays that the respondent nos. 2 and 3 be directed to correct the electricity connection regarding tube well to be in the name of the petitioner being Connection No. 2202-003850. He refers to Annexures-4 and 5 to the writ petition and states that he has filed the application in prescribed form as far back as on 16.11.2007 but no action has been taken by the respondents hence, this writ petition. He further states that the original connection was taken in the name of Ram Das and Meva Ram and after death of Ram Das, Meva Ram has moved an application with affidavit surrendering his rights over the same and requesting that the petitioner's name may be recorded against the said electricity connection. He further states that arrears were raised against the said electricity connection and the same has been deposited by the receipts annexed along with this writ petition on the basis of one time settlement and as such there are no dues left against the said electricity connection.

Learned counsel for the respondents has submitted that in case the averment made in the writ petition filed by the petitioner regarding clearance of all the arrears against electricity connection are correct only then the mutation of name in the connection for transfer of the connection can be done under the provisions of Clause 4.44 of the U.P. Electricity Supply Code, 2005 and upon the petitioner completing the requisite formalities. He further states that the competent authority under Clause 4.44 of the Code is the Executive Engineer of the Division who has not been made party in this writ petition.

We have considered the submissions of learned counsel for the parties and perused the record.

The petitioner claims transfer of the connection in his name by mutating his name thereupon.

Without going into correctness of the averments made in the writ petition, we provide that in case the petitioner has already applied in the prescribed form in accordance with the provisions of Clause 4.44 of the Code, the competent authority should consider the prayer of the petitioner in accordance with law within three weeks from the date a certified copy of this order is produced by the petitioner before the competent authority. In case the petitioner has not applied in prescribed form under Clause 4.44 of the Code, he may complete the formalities before the competent authorities and thereafter his application be considered in accordance with law.

The writ petition is accordingly finally disposed of with no order as to costs.

Order Date:- 9.5.2014”

The respondent no. 4 was not being favoured with any order in respect of the said connection as prayed for by him as such he opted to file a Contempt Application No. 3742 of 2014 in which notices have been issued and the next date fixed is 18.8.2014. This order has been produced before the Court by Sri Baleshwar Chaturvedi.

Thus, all the parties to the litigation are well aware of the status of dispute in the present writ petition and in such circumstances in view of the agreed position it is not necessary to issue any direction for further exchange of affidavits in order to finally resolve the dispute.

During the course of hearing, on instructions from his client, Sri Rathore has given a statement to the effect that the respondent no. 4 Ganga Dayal is prepared to undertake all liabilities in respect of the electricity connection in dispute of the tubewell in question and that he will pay all dues irrespective of any dispute pending.

The petitioner's counsel Sri Bhatt submits that the petitioner should not be saddled with any such liability and it is for this reason that he has applied for the disconnection of the said electricity connection which was standing in the name of Meva Ram, the petitioner, and his deceased brother Ramdas father of Ganga Dayal.

It appears that it is on account of the death of Ram Das somewhere in 2006 that this dispute between the petitioner, who is uncle and the respondent no. 4, who is his nephew, has arisen. The petitioner's counsel has made a clear statement that the petitioner has no concern with the tubewell and if the respondent no. 4 is giving an undertaking to shoulder all liabilities of the said electricity connection and its dues then he has no objection to the same being transferred in the name of respondent no. 4.

In view of this agreed position, Sri Baleshwar Chaturvedi for the Power Corporation contends that if a direction is issued to the Executive Engineer to pass an appropriate order for transfer of the connection, as claimed by the respondent no. 4 in his favour, the same will end the dispute between the petitioner and the respondent no. 4 provided the respondent no. 4 clears all the dues of the Electricity Department.

This position having been arrived at before the Court, with the consent of learned counsel for the parties, this writ petition is disposed of with a direction that the respondent no. 2 shall proceed to now transfer the connection in favour of the respondent no. 4 Ganga Dayal after realizing the entire dues to which the petitioner Meva Ram will have no

objection. The formalities be completed within six weeks' from the date of production of a certified copy of this order before him.

It has also been agreed between the parties that the litigation in relation to this dispute now comes to an end so far as the transfer of connection is concerned. Consequently, we in the exercise of our inherent powers under Article 215 of the Constitution of India, on the statement made by the learned counsel, also discharge the notices in Contempt Application No. 3742 of 2014.

Let a copy of this order be also placed on the file of the aforesaid contempt application which shall be consigned to records.

With the said observations and directions, this petition is disposed of. The respondent-Executive Engineer after passing the order will forthwith restore the electricity connection and provide all facilities relating to the restoration of the line in respect of the same as learned counsel for the respondent no. 4 is right in his submission that the paddy crops have not been sown as yet and farmers are currently facing a drought situation.

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2014 SCC OnLine All 2727

(BEFORE VINEET SARAN AND ATTAU RAHMAN MASOODI, JJ.)

M/s. Forntier Alloy Steels Limited Petitioner

v.

Dakshinanchal Vidyut Vitran Nigam Ltd. Thru' M.D.

& 2 Others Respondents

Counsel for Petitioner:- Mayank Agrawal

Counsel for Respondent:- Baleshwar Chaturvedi, A.N. Singh

Writ - C No. - 11083 of 2014

Decided on February 20, 2014

Hon'ble Vineet Saran, J.

Hon'ble Attau Rahman Masoodi, J.

Connect and list with Writ Petition (C) No. 51884 of 2009.

Heard learned counsel for the petitioner as well as Sri. Baleshwar Chaturvedi, learned counsel for the respondents no. 1 and 2 and Sri. A.N. Singh for the respondent no. 3.

By means of this writ petition, the petitioners have prayed for quashing the demand notice dated 4.9.2013 issued by the respondent No. 2. Learned counsel for the petitioner submits that additional security has been asked under Para 4.20 of U.P. Electricity Supply Code, 2005.

Learned counsel for the petitioners submit that similar writ petition has been entertained and interim orders have been passed by this Court. Reference has been made to the order dated 7.10.2009 in Writ Petition No. 51844 of 2009 (*Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd.*).

Learned counsel for the respondents submits that in several matters identical questions are involved.

In view of the interim order as already granted in writ petition No. 51844 of 2009 as referred to above it is provided, without prejudice to the right and contention of the parties, that until further orders of this Court the respondents are restrained from demanding additional security from the petitioners.

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2016 SCC OnLine All 1586

In the High Court of Allahabad

(BEFORE SUDHIR AGARWAL AND KAUSHAL JAYENDRA THAKER, JJ.)

Rakesh Petitioner

v.

State of U.P. and 3 Ors. Respondents

Writ - C No. - 19095 of 2016

Decided on July 18, 2016

Counsel for Petitioner:- Satyendra Narayan Singh, Shiv Prakash

Counsel for Respondent:- C.S.C., Pranjal Mehrotra, Usha Kiran

1. Heard Sri. Shiv Prakash, learned counsel for the petitioner, Ms. Usha Kiran, learned counsel for respondent no. 4 and the learned Standing Counsel.

2. This writ petition is directed against citation dated 5.4.2016 issued by Tehsildar, Tehsil Kanth, District Moradabad for recovery of Rs. 6,24,558/- and other recovery charges from petitioner.

3. The case set up by petitioner is that his father late Om Prakash and Bharat Airtel Ltd. (hereinafter referred to as "Telecommunication Company") entered into an agreement dated 22.4.2007 whereby Telecommunication Company was allowed to install a Tower at the premises owned by petitioner's father and for that purpose obtain a separate electric connection in its own name. Agreement was in respect of Khet No. 59 Khata No. 173 (area 0.356) situate at Phatepur Visnoi, Tehsil Kanth, District Moradabad. The agreement was executed for a period of twenty years w.e.f. 1.6.2007. Electric connection was obtained by Telecommunication Company, being Service Connection No. 081333, and Respondent-electricity department was issuing regular bills to it.

4. Subsequently, a First Information Report was lodged against petitioner, being Case Crime No. 156 of 2014, under Section 135 of Electricity Act, 2003 (hereinafter referred to as "Act 2003") alleging that petitioner was found committing theft of electricity. In the said case, petitioner was arrested but has been en-larged on bail on 14.5.2014.

5. Petitioner approached Executive Engineer informing him that electricity connection on the aforesaid site is in the name of M/s. Bharti Airtel Limited and it has already paid electricity bills up to 31st October, 2014. On the aforesaid letter, matter was verified by respondent-4 and on page 28 following endorsement was made by it.

“संस० 2815/081333 बिल के अनुसार उक्त संयोजन फततेपुर विश्नोई में स्थित है। 53419 रु० उपभोक्ता का बिल 2/15 तक जमा है।”

“As per the bill of connection no. 2815/081333, the said connection stands fixed at Fatatepur Vishnoi. The consumer's bill amount to the tune of Rs. 53419/- is paid upto to 2/2015.”

(English translation by the Court)

6. All of a sudden, petitioner has received aforesaid citation for recovery of Rs. 6,24,558/- which is patently illegal.

7. Respondents have filed counter affidavit stating that there was a surprise checking on 1.11.2014 by Enforcement Squad who found petitioner committing theft of electrical energy, by directly connecting electric supply cable. Checking report has been filed as Annexure-1 to the counter affidavit. The inspection report mentioned following facts:

“साक्ष्य को बनाये रखने हेतु किये गये कार्य एवं पायी गयी त्रुटियों को ठीक करने के सम्बन्ध में। उपरोक्त टावर परिसर को चेक करने पर पाया कि उपरोक्त परिसर में संयोजन स्व० ओम प्रकाश एस/ओ० स्व० राम कुमार के नाम स्वीकृत है। जो परिसर में रखे टी०आई०एफ० से विच्छेदित है। मौके पर संयोजनधारी का पुत्र राकेश एस/ओ० स्व० ओम प्रकाश ने टी०आई०एफ० से अवैध रूप चारकोर काला केबिल जोड़कर बिना मीटर डारेक्ट अवैध रूप से टावर में विद्युत का प्रयोग कर विद्युत की चोरी कर रहा है। यह जुर्म धारा 135 के अन्तर्गत दंडनीय अपराध है। आरोपी उपरोक्त को उसके द्वारा कृत जुर्म से अवगत कराते हुए शमन शुल्क जमा करने को कहा तो आरोपी ने कोई सन्तोष जनक जवाब नहीं दिया मौके से अवैध रूप से जुड़ा चारकोर काला केबिल लगभग 03 मीटर काटकर सील सर्वे मोहर हेतु कब्जे में लिया शमन शुल्क जमा न होने की स्थिति में एफ०आई०आर० की कार्यवाही की जा रही है।”

“Regarding the work done for keeping the evidence intact and the rectification of the faults detected. On the aforesaid tower premises being checked, the connection thereat was found to be sanctioned in the name of late Om Prakash s/o Late Ram Kumar which is disconnected from the TIF positioned in the premises. Rakesh s/o Late Om Prakash, the connection holder, is pilfering power on spot in the premises by illegally connecting it to the T.I.F. With a black charcoal cable directly and without routing it through the meter. This offence is punishable u/s. 135. The aforesaid accused, on being

informed about the offence committed by him and told to deposit the compounding fee, did not give any satisfactory reply. Having served nearly 3 meter charcoal cable cable illegally connected on the spot and having got it sealed, FIR proceeding is being initiated on compounding fee not being paid.”

(English translation by the Court)

8. Pursuant to the aforesaid inspection an assessment has been made by competent authority, under Section 126 of Act, 2003 for a sum of Rs. 6,24,533/-. A provisional assessment bill dated 10.11.2014 was served upon petitioner, who submitted reply to Superintendent Engineering and not to Assessment Officer i.e. Executive Engineer. Therein he said that checking report is incorrect, and therefore, assessment should be cancelled. Assessing Authority thereafter made assessment final and recovery proceedings have been initiated.

9. Learned counsel for respondents further submitted that against assessment made, petitioner has a statutory alternative remedy of appeal under Section 127 of Act, 2003.

10. However, we find that though a provisional assessment notice was issued to petitioner on 10.11.2014 but it has not been stated anywhere in the entire counter affidavit as to when final assessment order was passed by Assessment Officer. In absence thereof, no question of recovery of assessed amount from petitioner can arise.

11. Moreover, we find that impugned provisional assessment notice is not in conformity with the law laid down by this Court in *Ashok Kumar v. State of U.P.*, 2008 (6) ADJ 660. Despite repeated query, learned counsel appearing for respondent-4 could not show that any final order of assessment was ever passed by Assessing Authority at any point of time.

12. In that view of the matter, we direct that respondent-4 shall issue an appropriate notice of provisional assessment, in accordance with law laid down in *Ashok Kumar* (supra) and Clause 6.8 of Electricity Supply Code, 2005 (hereinafter referred to as ‘Code, 2005’). Adequate opportunity of defence to petitioner to submit his reply and also oral hearing shall be afforded and thereafter he shall pass a speaking order in accordance with law i.e. in terms of Clause 6.8 of Code, 2005 read with Section 126 of Act, 2003 and also law laid down in *Ashok Kumar* (supra). Impugned recovery proceedings shall remain suspended till final order of assessment is passed as directed above and thereafter it shall abide by such final assessment order.

13. Subject to above directions, the writ petition is disposed of.

disputes will be subject exclusively to jurisdiction of courts, tribunals and forums at Lucknow only. The authenticity of this text must be verified from the original source.

2011 SCC OnLine All 722 : (2011) 87 ALR 97 : (2011) 4 All LJ 478

(Allahabad High Court)

BEFORE SATYA POOT MEHROTRA AND RAJESH CHANDRA, JJ.

Between

Mohammad Idrish

Versus

State of U.P. through Secretary, Energy, Lucknow
and Others

C.M.W.P. No. 10592 of 2011

Decided on April 27, 2011

The Judgment of the Court was delivered by

SATYA POOT MEHROTRA and RAJESH CHANDRA, JJ.:— Supplementary Affidavit has been filed today on behalf of the petitioner. Let the same be taken on record.

2. From the averments made in the Writ Petition, it appears that the petitioner was having an electricity connection for commercial purpose. Recovery proceedings were initiated against the petitioner for recovery of the electricity dues amounting to Rs. 3,47,022/- plus other charges by issuance of the Citation dated 9.6.2009 in respect of consumption of electricity by the petitioner in regard to the aforesaid electricity connection. Hence, the petitioner filed a Writ Petition being Writ Petition No. 6499 of 2009.

3. By the order dated 23rd December, 2009 passed by this Court, Civil Misc. Writ Petition No. 6499 of 2009 was disposed of permitting the petitioner to make representation before the respondent No. 3 in the said Writ Petition (Executive Engineer) within three weeks from the date of the said order. The Executive Engineer was directed to dispose of the representation filed by the petitioner by passing a reasoned and speaking order within a further period of two months.

4. It is averred in the Writ Petition that pursuant to the said order dated 23rd December, 2009, the petitioner made a representation dated 13th January, 2010 before the Executive Engineer concerned, but the said representation has not so far been decided by the Executive Engineer concerned. However, a Bill dated 14-3-2011 (Annexure No. SA-3 to the Supplementary Affidavit) has been issued for an amount of Rs. 5,03,298/- in regard to the regular electricity consumption in respect of the aforesaid electricity connection of the petitioner.

5. Shri H.P. Dube, learned Counsel for the respondent Nos. 2 and 3, on the basis of instructions received by him, has stated that the

aforesaid matter regarding regular consumption of electricity in respect of the electricity connection of the petitioner is not subject-matter of the present Writ Petition.



Page: 98

6. Shri H.P. Dube, learned Counsel for the respondent Nos. 2 and 3, on the basis of instructions received by him, has further stated that a checking was made in the premises of the petitioner on 17th February, 2010 and theft of electricity was allegedly detected. Consequently, provisional assessment for an amount of Rs. 1,43,608/- was made against the petitioner.

7. Sri B.D. Mishra, learned Counsel for the petitioner states that no provisional assessment was ever received by the petitioner.

8. Sri H.P. Dube, learned Counsel for the respondent Nos. 2 and 3 states that no instructions have been received by him as to by which mode the assessment was sent to the petitioner. As no instructions have been brought to the notice of the Court as to the mode by which the provisional assessment was sent to the petitioner, the Court assumes that no such provisional assessment was received by the petitioner.

9. Sri H.P. Dube, learned Counsel for the respondent Nos. 2 and 3 further states that as no objections were received from the petitioner, the Provisional Assessment was treated to be Final Assessment and recovery proceedings were initiated against the petitioner.

10. The Citation dated 1st February, 2011 (Annexure-1 to the Writ Petition) has been issued in this regard seeking to recover an amount of Rs. 1,43,630/- plus other charges from the petitioner. The said Recovery Citation dated 1st February, 2011 has been impugned in the present Writ Petition. Therefore, the subject-matter of the present Writ Petition is the recovery proceedings against the petitioner pursuant to the assessment made on account of the alleged theft of electricity on 17th February, 2010.

11. Sri H.P. Dube, learned Counsel for the respondent Nos. 2 and 3, on the basis of instructions received by him, has further stated that on 10th August, 2010, another checking was made in the premises of the petitioner, and theft of electricity was allegedly detected. Consequently, a First Information Report dated 10th August, 2010 (Annexure-4 to the Writ Petition) has been lodged against the petitioner. Further, a provisional assessment dated 30.9.2010, for an amount of Rs. 1,11,766/-, has been made in respect of the petitioner. However, the

said matter is not the subject-matter of the present Writ Petition.

12. From the above narration brought to the notice of the Court it is clear that the subject-matter of the petition pertains to the checking made in the premises of the petitioner on 17th February, 2010 and the consequent assessment made in respect of the petitioner on account of the alleged theft of the electricity.

13. As noted above, since, the mode of sending provisional assessment dated 26th March, 2010 on account of the checking made on 17th February, 2010 has not been brought to the notice of the Court by the respondent Nos. 2 and 3, the Court presumes that such provisional assessment was never received by the petitioner.

14. In the circumstances, the petitioner was deprived of opportunity of hearing as contemplated under sub-section (3) of section 126 of the Electricity Act, 2003 read with clause 8.1(b)(iii) of the U.P. Electricity Supply Code, 2005.

15. We may, however, note that copy of the provisional assessment has been supplied by Shri H.P. Dube, learned Counsel for the respondent Nos. 2 and 3 to Shri B.D. Mishra, learned Counsel for the petitioner, today.



Page: 99

16. In view of the above, we are of the opinion that interest of justice would be sub-served if the Writ Petition is disposed of by giving opportunity of filing objections in respect of the provisional assessment before the respondent No. 3 (Executive Engineer) and directing the respondent No. 3 (Executive Engineer) to dispose of such objections within a stipulated period.

17. We accordingly, dispose of the Writ Petition with the following directions:

1. Within four weeks from today, the petitioner will file objections before the Executive Engineer concerned (respondent No. 3) in respect of the provisional assessment dated 26th March, 2010.
2. On receipt of such objections, the Executive Engineer (respondent No. 3) will proceed to decide such objections preferably within a period of six weeks of the receipt of such objections, after giving reasonable opportunity of hearing to the petitioner, by passing a speaking order in accordance with law.
3. For a period of four months from today or till the disposal of the objections submitted by the petitioner as mentioned above,

whichever is earlier, the recovery proceedings, pursuant to the Citation dated 1st February, 2011 (Annexure-1 to the Writ Petition) will remain stayed.

4. In case, the petitioner fails to file any objections within the period mentioned in condition No. 1 above, this order shall stand vacated, and it will be open to the concerned respondent to make the Final Assessment in accordance with law.
5. The recovery against the petitioner will abide by the decision of the objections.

Petition Disposed Of.

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2013 SCC OnLine All 512

(BEFORE SATYA POOT MEHROTRA AND ZAKI ULLAH KHAN, JJ.)

Smt. Asma Begam Petitioner

v.

State of U.P. Thru Secy. and Others
Respondents

Petitioner Counsel:- Rajesh Kumar Singh

Respondent Counsel:- C.S.C., Dr. S.K. Yadav

Writ - C No. - 3765 of 2013

Decided on January 23, 2013

Hon'ble Satya Poot Mehrotra, J.

Hon'ble Zaki Ullah Khan, J.

It is submitted by Shri Rajesh Kumar Singh, learned counsel for the petitioner that pursuant to the Order dated 6th August, 2012 passed by this Court in *Civil Misc. Writ Petition No. 37622 of 2012* filed by the petitioner, the Application/Representation of the petitioner under Paragraph 6.5 of the U.P. Electricity Supply Code, 2005 was decided by the respondent no. 2 by the Order dated 10th October, 2012.

It is further submitted that the amount found due from the petitioner under the said Order dated 10th October, 2012 was deposited by the petitioner. However, the submission proceeds, the respondent no. 2 has again issued a Notice dated 23.11.2012 reopening the said matter on the ground that the evidence could not be produced by the Executive Engineer (Test).

It is submitted that the respondent no. 2 has no power to review the Order passed by him on 10th October, 2012.

The matter requires consideration.

Issue notice pending admission.

Notice on behalf of the respondent no. 1 has been accepted by the learned Standing Counsel.

Notice on behalf of the respondent nos. 2 and 3 has been accepted by Dr. S.K. Yadav, learned counsel for the said respondents.

Counter Affidavit on behalf of the respondents may be filed by 18.2.2013.

Rejoinder Affidavit may be filed by the next date fixed in the matter.

List this case on 5.3.2013.

Heard on the question of grant of interim relief.

Having regard to the facts and circumstances of the case and having considered the submissions made by Shri Rajesh Kumar Singh, learned counsel for the petitioner, Dr. S.K. Yadav, learned counsel for the respondent nos. 2 and 3 and the learned Standing Counsel appearing for the respondent no. 1, it is provided that proceedings pursuant to the Notice dated 23.11.2012 (Annexure 13 to the Writ Petition) will remain stayed till the next date fixed in the matter provided the petitioner continues to deposit the future Electricity Charges.

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2015 SCC OnLine All 3916

(BEFORE SURYA PRAKASH KESARWANI, J.)

Paschimanchal Vidyut Vitaran Nigam Ltd. &
Another Petitioners

v.

Commissioner Moradabad Region & Another
Respondents

Counsel for Petitioner:- Ms. Usha Kiran

Counsel for Respondent:- C.S.C., R.P.S. Chauhan

Writ - C No. - 7006 of 2015

Decided on February 6, 2015

SURYA PRAKASH KESARWANI, J.:— Heard Ms. Usha Kiran, learned counsel for the petitioners, Sri K.K. Rai, learned Additional Chief Standing Counsel for the respondent no. 1 and Sri R.P.S. Chauhan, learned counsel for the respondent no. 2.

2. In this writ petition the petitioner has prayed for a writ, order or direction in the nature of certiorari to quash the impugned judgment and order dated 11.12.2014 passed by the Commissioner, Moradabad Division Moradabad in Appeal No. 2/2011-12.

3. By the impugned order, the respondent no. 1 has set aside the assessment order passed by the petitioners determining the liability of the respondent no. 2 with respect to consumption of electricity by theft.

4. Submission of learned counsel for the petitioners is that in Writ C No. 20679 of 2010, the petitioner has challenged the assessment order dated 15.12.2007 as well as the appellate order dated 1.4.2010 and this Court framed three issues. The issues, namely, whether the respondent no. 2 can be held guilty merely on account of being owner of the premises in question and whether the assessment has been made by the A.O. in accordance with the procedure laid down in the statute; were answered in favour of the petitioners and against the respondent no. 2. However on the allegation of the respondent no. 2 that the trial court has acquitted him in SST No. 69/2008, the matter was remitted back to the respondent no. 1 to examine the case in the light of judgment of trial court in SST Case No. 69/2008 as well as paragraph 8.2 (X)(G) and (H) of Supply Code-2005. She submits that for limited purpose, the remand was made but by the impugned order the respondent no. 1 has reversed finding of this Court in the judgment dated 18.11.2011 on Issue No. (a) and (b).

5. She submits that the question whether the respondent no. 2 is liable. has become final by the aforesaid judgment of this Court. She

submits that it is a case where electricity was consumed by connecting the transformer with a cable to run Ice factory. She, therefore, submits that the impugned order passed by the respondent no. 1 is in conflict with the judgment of this Court dated 18.11.2011, and, therefore, the impugned order deserves to be set aside.

6. Learned counsel for the respondent no. 2 submits that since the respondent no. 2 has been acquitted in the criminal trial, and therefore, no liability can be fastened upon him with regard to theft of electricity.

7. I have carefully considered the submission of learned counsel for the parties on stay application.

8. Prima facie, I find that in Writ C No. 20679/2010 filed by the respondent no. 2 and decided on 18.11.2011, following issues were framed:

- “(a) Whether the petitioner can be held guilty merely on account of being owner of the premises in question.
- (b) Whether the assessment has been made by the A.O. in accordance with the procedure laid down in the Statute.
- (c) Whether the Court would be justified in interfering with the orders impugned in this writ petition in its equitable extraordinary jurisdiction under Article 226 of the Constitution of India.”

9. After considering the provisions of Section 2(15), Section 2(77) and Section 135 of the Electricity Act, 2003, this Court recorded the following findings in paragraph no. 33, 34 and 35 of the judgment dated 18.11.2011:-

“33. A cumulative, comprehensive and harmonious reading of the aforesaid ‘definitions’ in the context of the issue, this Court has no hesitation in saying that if a person's premises is connected in any manner with anything which is capable of carrying electricity belong to Electricity Supply Undertaking (Licensee), that person would be covered by the definition of “Consumer”. The suggestion is made that if a premises is let out to someone and such tenant is occupying commits some offence, it would not be justified to penalize/victimize the owner for something over which neither he has any control nor is otherwise the breach can be attributed to him. The submission at first flush appears attractive but lack substance. As already said in order to constitute offence the elements of mens rea is clearly contemplated by Section 135 and, therefore, on owner lack of mens rea can never be penalize for an offence committed by his tenant etc. but it cannot be said that in order to cause revenue loss to the licensee he has not done anything, it is his act of leasing out the property to an unscrupulous person if has caused a loss to the licensee, for the purpose of revenue assessment, I do not find any reason not to cover him within the definition of ‘Consumer’

particularly when there is nothing expressed or impliedly in the definition of 'Consumer' to exclude him. It is well established principle of interpretation that a statute otherwise straight unambiguous and clear should be given a simple interpretation born out from the language and no violence should be done by twisting the clear and unambiguous phrases of the statute.

34. Here the petitioner had not disputed that the premises in question is owned by him. He for the time being tried to dislodge his liability on the ground that the premises in question is/was let out to someone else. Even if for the moment petitioner's plea is taken to be correct, that would not make any difference. If at the concerned premises theft is detected, for the purpose of Section 135, the proceedings can be initiated against the petitioner and the mere fact that premises is let out to someone else would make no difference. It may be a different thing that petitioner in such circumstances may have a defence of the existence of mens rea on his part which is a condition precedent for attracting 'offence' under Section 135 of Act, 2003 but that is a matter to be seen during the course of trial. For our purposes the Section 135 would be attracted to the petitioner if he is owner of the premises.

35. However, I intend to place on record that the factum that premises in question was let out to someone else was not substantiated by petitioner and has been disbelieved by A.O. as also by the Appellate Authority. Before this Court also nothing has been shown to substantiate above plea. In the circumstances the issue no. 1 is answered against petitioner and in favour of respondents holding that petitioner can be held guilty merely on account of he being owner of premises in question."

10. Thus, it was clearly held that the petitioner can be held guilty on account of being owner of premises in question.

11. Thereafter this Court proceeded to consider the above noted question no. (b) and held in para 45 and 46 as under:

"45. So far as the present case is concerned, however, the lapse as discussed above may not help the petitioner for the reason that in reply dated 31.5.2007 submitted by petitioner, his only defence was about letting out premises to Smt. Manorama Singh. He said nothing on other aspects. The A.O. in these circumstances held by order dated 22.6.2007 that checking report demonstrated illegal use of electricity without any valid connection for running an ice factory at petitioner's premises which constitute theft of electricity. In absence of any explanation from petitioner his reply was rejected.

46. The assessment under paragraph 8.1(b)(IV) was to be made at 1.5 times the rates of normal tariff but in the present case it was made at thrice the rate and A.O. directed petitioner to pay amount of

assessment by order dated 22.6.2007. This was/is the final order of assessment. It is true that A.O. can make final assessment only when he has held that a case of theft has been established. This Court has taken the view that it is not mere suspicion but a clear reasoned finding has to be recorded to prove the charge of theft. Here also the lapse however, would not help the petitioner. In the present case checking report was already available with the petitioner which alleges detection of theft at his premises in respect where to nothing was stated by petitioner in his reply dated 31.5.2007. Truly but unfortunately order dated 22.6.2007 is not written in the manner so as to establish the charge of theft against petitioner before making provisional assessment, final but it is quite understandable that it was so written since petitioner's representation did not contain any reply on this aspect and thus was rejected and petitioner was advised to make payment. Hence in the peculiar facts of this case I do not find any fault with A.O. order dated 22.6.2007."

12. Thus, by the judgment dated 18.11.2011 passed in Writ C No. 20679/2010, this Court found no fault in the assessment order dated 20th June, 2007. It was further observed in paragraph no. 52 and 53 that though negligence, recklessness on the part of the officers is glaring and too repeated but for reasons above, in the absence of anything further, no advantage can be extended to the petitioner (respondent no. 2 herein) and no interference can be made for the reason that heinous crime like theft of electrical energy from the record available before this Court demonstrably has been committed at the premises in question owned by the respondent no. 2. However, the Court modified the appellate order to the extent that Commissioner shall examine the matter in the light of the judgment of trial Court in SST No. 69/2008 as well as paragraph no. 8.2(X), (G) and (H) of the Supply Code, 2005 and pass an appropriate order in accordance with law and for the said purposes the appeal of the respondent no. 2 shall be treated to be pending before the Commissioner. Thereafter, the Commissioner passed the impugned order dated 11.12.2014 wherein he recorded a finding that to obtain electricity connection was the responsibility of the Ice Factory and not of the owner of the premises i.e. respondent no. 2 and authorities have not examined that in what manner the respondent no. 2 was the partner in the Ice Factory.

13. He also recorded a finding that the action taken by the petitioner authorities was not in accordance with Section 135 of the Electricity Act. Lastly, he recorded a finding that the liability fixed against the respondent no. 2 is against the judgment in SST No. 69/2008 passed by Court of Special Judge (Electricity Act), Moradabad.

14. Prima facie, I find that by judgment dated 18.11.2011 passed in Writ C No. 20679/2010 the matter was remanded to the Commissioner for a very limited purposes. The question No. (a) and (b) as framed in the said judgment and quoted above were answered against the respondent no. 2. Assessment order was held to be valid.

15. Prima facie I find that the Additional Commissioner has traveled beyond remand the direction given in the judgment dated 8.11.2011.

16. Prima facie I find that the finding recorded in the impugned order by the respondent no. 1 is contrary to the findings recorded by this Court on Question no. (a) and (b) in the judgment dated 18.11.2011.

17. In view of the above discussion, as an interim measure, it is provided that the operation of the impugned order dated 11.12.2014 passed by the respondent no. 1 in Appeal No. 02/2011-12 shall remain stayed till the disposal of this writ petition.

18. Respondents are directed to file counter affidavit within four weeks. Petitioner shall have two weeks thereafter to file rejoinder affidavit.

19. List after expiry of six weeks.

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2014 SCC OnLine All 11162

(BEFORE V.K. SHUKLA AND SHASHI KANT, JJ.)

Jalaluddin Petitioner

v.

State of U.P. and 3 Others Respondents

Counsel for Petitioner:- Ashfaq Ahmad Ansari

Counsel for Respondent:- Govt. Advocate, Nripendra Mishra

Criminal Misc. Writ Petition No. - 11826 of 2014

Decided on July 16, 2014

Hon'ble V.K. Shukla, J.

Hon'ble Shashi Kant, J.

Heard learned counsel for the petitioner and learned A.G.A. for the State as well as Sri Nripendra Mishra, counsel for the complainant.

Petitioner has approached this Court with a request to quash the First Information Report dated 19.3.2014 registered as Case Crime No. 205 of 2014 and 206 of 2014, under Section 135(1)(e) of Electricity Act, Police Station Lisadi Gate, District Meerut.

This Court has the occasion to peruse the F.I.R. and the F.I.R. in question does disclose a cognizable offence, in view of this, there is no occasion for this Court to quash the F.I.R., as has been prayed on behalf of petitioner, as such, prayer made on the said score is refused by this Court.

Learned counsel for the petitioner contended that the offence in question, as has been alleged to have been committed by the petitioner, is under Section 135 of the Electricity Act and for the same even if the charges are found to be proved sentence of more than 7 years cannot be awarded and, in view of this, mechanically arrest should not be effectuated by the police personnel. Learned counsel for the petitioner next contended that the offence in question, as has been alleged to have been committed by the petitioner, is compoundable also.

The fact of the matter is that till date arrest has not been effectuated and this is mere apprehension of the petitioner that he would be arrested in breach of provisions as contained under Section 41(1)(b) read with Section 41-A of the Cr.P.C. Once there is statutory provision

provided for, then it is always expected that the said provisions would be adhered to and in case there is any violation of the same, complaint can also be made before the Magistrate concerned to remedy the situation and if petitioner's offence is compoundable, he may seek his remedy as provided under the provisions of Electricity Supply Code, 2005.

In view of above, it is hereby directed that in case arrest of petitioner is to be effectuated and the offence, in which he is wanted, will not entail sentence of more than 7 years, then in that event concerned police personnel should deal with the matter in compliance of the provisions as contained under Section 41(1)(b) read with Section 41-A of the Cr.P.C.

Writ petition stands disposed of.

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2018 SCC OnLine All 302

In the High Court of Allahabad
(BEFORE AMRESHWAR PRATAP SAHI AND SHASHI KANT, JJ.)

Amrita Arya Petitioner

v.

The Uttar Pradesh Power Corporation Ltd. and 2 Ors.
..... Respondents

Writ - C No. - 12931 of 2018

Decided on April 10, 2018

Counsel for Petitioner:- Bimla Prasad

Counsel for Respondent:- C.S.C., Mahboob Ahmad

ORDER

1. Heard learned counsel for the petitioner.

2. The petitioner is aggrieved on account of the disconnection of her electricity that has arisen out of default in payment of consumption of electricity charges. The petitioner approached the Consumer Redressal Forum by filing a complaint case no. 304 of 2017.

3. During the pendency of the said complaint before the Consumer Redressal Forum recovery certificate has been issued to the petitioner copy whereof is annexure-4 to the writ petition for depositing a sum of Rs. 90,030/-.

4. Against the recovery certificate the petitioner earlier filed Writ C No. 7978 of 2018 the said writ petition was dismissed by the following judgment:

“Heard learned counsel for the petitioner, learned Standing Counsel for the respondent No. 1 to 3 and Sri. Mahboob Ahmad, learned counsel for the respondent No. 4.

Case called out. No one is present on behalf of the petitioner to press this writ petition. However, we have perused the record.

From perusal whereof, we find that for the same grievance raised in this writ petition and the relief to be claimed, the petitioner has already approached before the Adhyaksh Consumer Grievance Redressal, Forum U.P.E.R.C., Allahabad and suit no. 304 of 2017 is pending. Petitioner cannot be permitted to avail two remedies simultaneously for the same cause and relief.

This writ petition is not liable to be entertained and the same is accordingly dismissed.”

5. The matter was not being disposed of by the Consumer Redressal Forum therefore the petitioner filed another writ petition being Writ C

No. 10791 of 2018 that was disposed of with a direction that the complaint of the petitioner may be disposed of expeditiously within a period of three months the following is the judgment extracted hereinunder:

"Petitioner has approached this Court seeking mandamus to command the respondent no. 2 to take a decision on the complaint case no. 304 of 2017 made by the petitioner within a stipulated time.

Though the petitioner made a complaint with respect to inflated electricity bill as long as back in 2017, the authorities have yet to take a decision thereon. The matter is remain pending till date.

Considering the aforesaid fact, we dispose of the writ petition by directing the respondent no. 2, Chairman Electricity

Dispute Consumer Redressal Forum, Allahabad to decide the complaint case no. 304 of 2017 made by the petitioner, expeditiously, preferably within a period of three months in accordance with law by passing a reasoned and speaking order from the date of production of certified copy of this order."

6. Learned counsel for the petitioner even before the expiry of the said period has now arrived before this Court contending that since the disconnection has been made after the direction issued by this Court therefore the respondent should be directed to accept the amount of recovery from the petitioner and restore the electricity connection of the petitioner.

7. There is nothing in the writ petition whereby the petitioner can be presumed to have waived of his right to contest the claim before the Consumer Redressal Forum. Thus on the one hand if the petitioner is pursuing her remedy before the Forum and is contesting the liability then in that event issuance of a mandamus to this effect would counter the offer of the petitioner made herein. In such circumstances we are not inclined to entertain this writ petition.

8. In the event the petitioner is tendering the amount which is sought to be recovered it will be open to the concerned Executive Engineer to accept the same and pass an appropriate order in accordance with law in terms of U.P. Electricity Supply Code, 2005.

9. Writ petition is consigned to record with the said observations.

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2012 SCC OnLine All 3806 : (2013) 97 ALR 24 : (2013) 123 AIC
798 : (2013) 119 RD 41

(Allahabad High Court)

(BEFORE SATYA POOT MEHROTRA AND HET SINGH YADAV, JJ.)

Between

Mohammad Waseem

Versus

State of U.P. and another

C.M.W.P. No. 53332 of 2012

Decided on October 11, 2012

The Judgment of the Court was delivered by

SATYA POOT MEHROTRA and HET SINGH YADAV, JJ.:— The present writ petition has been filed by the petitioner, *inter alia*, praying for directing the respondent No. 2 to accept the entire electricity dues amount in easy instalments.

2. From the averments made in the writ petition, it transpires that as per the Bill dated 1.9.2012 (Annexure-3 to the writ petition), an amount of Rs. 79,663/- is due from the petitioner towards electricity charges.

3. The petitioner has made a representation dated 6.9.2012 before the respondent No. 2 (Executive Engineer, Electricity Distribution Division, Kaushambi), which is stated to be still pending, for accepting the payment of the aforesaid amount in instalments.

4. We have heard Shri Anand Kumar Singh, learned Counsel for the pe-titioner, the learned Standing Counsel appearing for the respondent No. 1 and Shri Mahboob Ahmad, learned Counsel for the respondent No. 2.

5. Shri Anand Kumar Singh, learned Counsel for the petitioner submits that the petitioner is ready to pay the entire amount of electricity dues in case he is permitted to deposit the same in instalments.

6. Shri Mahboob Ahmad, learned Counsel for the respondent No. 2 brings to our notice the provisions contained in Clause 6.14 of the U.P. Electricity Supply Code, 2005, which gives power to the licensee to extend facility of in-stalments. The said Clause 6.14 is as under:

“6.34. *Instalment Facility*:

- (i) The licensee may extend the facility of instalments to those consumers only who are in financial distress. However, no waiver of surcharge shall be allowed.

- (ii) No officer below the rank of Executive Engineer shall grant instalments. The Executive Engineer, /DGM/ and General Manager can grant up to maximum of two, three or four monthly instalments respectively. However first instalment shall not be less than 40% of the total amount. Where the amount for instalments exceeds Rs. 10,000 (Ten Thousand), the consumer



Page: 25

shall be asked to deposit post dated cheques of the instalments to the licensee.”

7. Having regard to the facts and circumstances of the case and having considered the submissions made by the learned Counsel for the parties, we are of the view that the interest of justice would be subserved in case the writ petition is disposed of with the following directions:

1. The petitioner will make an application before the respondent No. 2 by 31.10.2012 alongwith a copy of the aforesaid representation dated 6.9.2012 and a certified copy of this order.
2. On receipt of such application alongwith the aforesaid documents, the respondent No. 2 will proceed to consider the representation of the pe-titioner and pass appropriate orders thereon in accordance with law expe-ditiously, preferably by 20.11.2012.
3. Till 26.11.2012 or till the disposal of the representation of the petitioner by the respondent No. 2, whichever is earlier, the petitioner will not be compelled to pay the amount of the aforesaid Bill dated 1.9.2012, pro-vided within three weeks from today, the petitioner deposits an amount of Rs. 15,000/- with the respondent No. 2.
4. In the event of default on the part of the petitioner in complying with any of the aforesaid conditions, this order will stand automatically vacated.

8. *Petition Disposed Of.*

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2014 SCC OnLine All 10951

(BEFORE V.K. SHUKLA AND SHASHI KANT, JJ.)

Santosh Pathak Petitioner

v.

State of U.P. and 3 Others Respondents

Counsel for Petitioner:- Tripathi B.G. Bhai

Counsel for Respondent:- Govt. Advocate

Criminal Misc. Writ Petition No. - 11642 of 2014

Decided on July 14, 2014

Hon'ble V.K. Shukla, J.

Hon'ble Shashi Kant, J.

Heard learned counsel for the petitioner and learned A.G.A. for the State.

Petitioner has approached this Court with a request to quash the First Information Report dated 28.05.2014, registered as Case Crime No. 186 of 2014, under Section 135 of Electricity Act at Police Station - Nauhjheel, District - Mathura.

This Court has the occasion to peruse the F.I.R. and the F.I.R. in question does disclose a cognizable offence, in view of this, there is no occasion for this Court to quash the F.I.R., as has been prayed on behalf of petitioner, as such, prayer made on the said score is refused by this Court.

Learned counsel for the petitioner contended that the offence in question, as has been alleged to have been committed by the petitioner, is under Section 135 of the Electricity Act and for the same even if the charges are found to be proved sentence of more than 7 years cannot be awarded and, in view of this, mechanically arrest should not be effectuated by the police personnel. Learned counsel for the petitioner next contended that the offence in question, as has been alleged to have been committed by the petitioner, is compoundable also.

The fact of the matter is that till date arrest has not been effectuated and this is mere apprehension of the petitioner that he would be arrested in breach of provisions as contained under Section 41(1)(b) read with Section 41-A of the Cr.P.C. Once there is statutory provision

provided for, then it is always expected that the said provisions would be adhered to and in case there is any violation of the same, complaint can also be made before the Magistrate concerned to remedy the situation and if petitioner's offence is compoundable, he may seek his remedy as provided under the provisions of Electricity Supply Code, 2005.

In view of above, it is hereby directed that in case arrest of petitioner is to be effectuated and the offence, in which he is wanted, will not entail sentence of more than 7 years, then in that event concerned police personnel should deal with the matter in compliance of the provisions as contained under Section 41(1)(b) read with Section 41-A of the Cr.P.C.

Writ petition stands disposed of.

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2014 SCC OnLine All 10372

(BEFORE V.K. SHUKLA AND SHASHI KANT, JJ.)

A.K. Dixit @ Avdhesh Kumar Dixit Petitioner

v.

State of U.P. and 4 Others Respondents

Counsel for Petitioner:- Indra Mani Tripathi

Counsel for Respondent:- Govt. Advocate

Criminal Misc. Writ Petition No. 13288 of 2014

Decided on August 7, 2014

Hon'ble V.K. Shukla, J.

Hon'ble Shashi Kant, J.

Heard learned counsel for the petitioner, Sri. Indra Mani Tripathi, learned AGA for the State and Shri Manish Tiwari, Advocate, who represents Torrent Power Ltd.

Petitioner has approached this Court with a request to quash the FIR dated 19.07.2014 registered as Case Crime No. 173 of 2014 under Section 135 of the Electricity Act at police station-Rakabganj (Agra), district-Agra..

This Court has the occasion to peruse the FIR and the FIR in question does disclose a cognizable offence, in view of this, there is no occasion for this Court to quash the FIR, as has been prayed on behalf of petitioner, as such, prayer made on the said score is refused by this Court.

Learned counsel for the petitioner contended that the offence in question, as has been alleged to have been committed by the petitioner, is under Section 135 of the Electricity Act and for the same even if the charges are found to be proved sentence of more than 7 years cannot be awarded and, in view of this, mechanically arrest should not be effectuated by the police personnel. Learned counsel for the petitioner next contended that the offence in question, as has been alleged to have been committed by the petitioner, is compoundable also.

The fact of the matter is that till date arrest has not been effectuated and this is mere apprehension of the petitioner that he would be arrested in breach of provisions as contained under Section 41(1)(b)

read with Section 41-A of the Cr.P.C. Once there is statutory provision provided for then it is always expected that the said provisions would be adhered to and in case there is any violation of the same, complaint can also be made before the Magistrate concerned to remedy the situation and if petitioner's offence is compoundable, he may seek his remedy as provided under the provisions of Electricity Supply Code, 2005.

In view of the above, it is hereby directed that in case arrest of petitioner is to be effectuated and the offence, in which he is wanted, will not entail sentence of more than 7 years then in that event concerned police personnel should deal with the matter in compliance of the provisions as contained under Section 41(1)(b) read with Section 41-A of the Cr.P.C.

Writ petition stands disposed of.

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2014 SCC OnLine All 11170

(BEFORE V.K. SHUKLA AND SHASHI KANT, JJ.)

Kanchan Singh Petitioner

v.

State of U.P. and 3 Others Respondents

Counsel for Petitioner:- Vinay Kumar Singh, Capt Seema Singh

Counsel for Respondent:- Govt. Advocate, Baleshwar Chaturvedi

Criminal Misc. Writ Petition No. - 11850 of 2014

Decided on July 16, 2014

Hon'ble V.K. Shukla, J.

Hon'ble Shashi Kant, J.

Heard learned counsel for the petitioner and the learned AGA for the State and Shri Baleshwar Chaturvedi Advocate for the complainant.

Petitioner has approached this Court with a request to quash the FIR dated 02.22.2013 registered as Case Crime No. 287 of 2013 under Section 135 of the Electricity Act at police station Kheragarh, district-Agra.

This Court has the occasion to peruse the FIR and the FIR in question does disclose a cognizable offence, in view of this, there is no occasion for this Court to quash the FIR, as has been prayed on behalf of petitioner, as such, prayer made on the said score is refused by this Court.

Learned counsel for the petitioner contended that the offence in question, as has been alleged to have been committed by the petitioner, is under Section 135 of the Electricity Act and for the same even if the charges are found to be proved sentence of more than 7 years cannot be awarded and, in view of this, mechanically arrest should not be effectuated by the police personnel. Learned counsel for the petitioner next contended that the offence in question, as has been alleged to have been committed by the petitioner, is compoundable also.

The fact of the matter is that till date arrest has not been effectuated and this is mere apprehension of the petitioner that he would be arrested in breach of provisions as contained under Section 41(1)(b) read with Section 41-A of the Cr.P.C. Once there is statutory provision

provided for then it is always expected that the said provisions would be adhered to and in case there is any violation of the same, complaint can also be made before the Magistrate concerned to remedy the situation and if petitioner's offence is compoundable, he may seek his remedy as provided under the provisions of Electricity Supply Code, 2005.

In view of the above, it is hereby directed that in case arrest of petitioner is to be effectuated and the offence, in which he is wanted, will not entail sentence of more than 7 years then in that event concerned police personnel should deal with the matter in compliance of the provisions as contained under Section 41(1)(b) read with Section 41-A of the Cr.P.C.

Writ petition stands disposed of.

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2014 SCC OnLine All 11161

(BEFORE V.K. SHUKLA AND SHASHI KANT, JJ.)

Santosh Pathak Petitioner

v.

State of U.P. and 3 Others Respondents

Counsel for Petitioner:- Sanjay Kumar Dwivedi

Counsel for Respondent:- Govt. Advocate

Criminal Misc. Writ Petition No. - 11824 of 2014

Decided on July 16, 2014

Hon'ble V.K. Shukla, J.

Hon'ble Shashi Kant, J.

Heard learned counsel for the petitioner and learned A.G.A. for the State.

Petitioner has approached this Court with a request to quash the First Information Report dated 28.05.2014 registered as Case Crime No. 186 of 2014, under Section 135 Electricity Act, Police Station Nauhjhil, District Mathura.

This Court has the occasion to peruse the F.I.R. and the F.I.R. in question does disclose a cognizable offence, in view of this, there is no occasion for this Court to quash the F.I.R., as has been prayed on behalf of petitioner, as such, prayer made on the said score is refused by this Court.

Learned counsel for the petitioner contended that the offence in question, as has been alleged to have been committed by the petitioner, is under Section 135 of the Electricity Act and for the same even if the charges are found to be proved sentence of more than 7 years cannot be awarded and, in view of this, mechanically arrest should not be effectuated by the police personnel. Learned counsel for the petitioner next contended that the offence in question, as has been alleged to have been committed by the petitioner, is compoundable also.

The fact of the matter is that till date arrest has not been effectuated and this is mere apprehension of the petitioner that he would be arrested in breach of provisions as contained under Section 41(1)(b) read with Section 41-A of the Cr.P.C. Once there is statutory provision

provided for, then it is always expected that the said provisions would be adhered to and in case there is any violation of the same, complaint can also be made before the Magistrate concerned to remedy the situation and if petitioner's offence is compoundable, he may seek his remedy as provided under the provisions of Electricity Supply Code, 2005.

In view of above, it is hereby directed that in case arrest of petitioner is to be effectuated and the offence, in which he is wanted, will not entail sentence of more than 7 years, then in that event concerned police personnel should deal with the matter in compliance of the provisions as contained under Section 41(1)(b) read with Section 41-A of the Cr.P.C.

Writ petition stands disposed of.

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2014 SCC OnLine All 9290

(BEFORE KRISHNA MURARI AND ASHWANI KUMAR MISHRA, JJ.)

Mukesh Singh Chaturvedi Petitioner

v.

State of U.P. & 2 Others Respondents

Counsel for Petitioner:- Sanjay Mishra

Counsel for Respondent:- C.S.C., Baleshwar Chaturvedi

Writ - C No. 33847 of 2014

Decided on July 3, 2014

Hon'ble Krishna Murari, J.

Hon'ble Ashwani Kumar Mishra, J.

We have heard learned counsel for the petitioner and Sri. Baleshwar Chaturvedi representing the respondents no. 2 & 3.

The petitioner has approached this Court seeking a writ of certiorari to quash the bill dated 20.06.2014 amounting to Rs. 5,21,091/- for consumption of electrical energy. It is pleaded that bill dated 20-05-2014 was challenged by the petitioner by filing writ petition no. 30729 of 2014, which was disposed of vide order dated 29-05-2014 providing that the petitioner, in case so advised, may avail his remedy under clause 6.5 of the Electricity Supply Code, 2005 (in short the 'Code').

Learned counsel for the petitioner contends that in pursuance of the aforesaid order, an objection dated 11-06-2014 was filed before the authority but without deciding the same, subsequent bill, challenged in this petition, was raised and thereafter, electricity connection has been disconnected.

The copy of the objection dated 11-06-2014 has been filed as annexure -7 to this petition. A perusal of the same goes to show that it does not conform with clause 6.5 of the Code inasmuch as no details of any amount deposited or objection with respect to the bill have been mentioned therein. Thus the same cannot be termed to be an objection under clause 6.5 of the Code and the authority cannot be blamed for not having decided the same.

At this stage, learned counsel for the petitioner states that the petitioner is ready and willing to deposit the entire amount in instalments without disputing the correctness of the bill.

Sri. Baleshwar Chaturvedi, learned counsel for respondents no. 2 & 3 has no objection.

Considering the facts and circumstances and with the consent of the learned counsel for the parties, writ petition is being finally disposed of by making following directions:

(i) Petitioner shall deposit half of the outstanding arrears standing against him within a period of one month from today. Electricity connection of the petitioner shall be restored within 24 hours of deposit of first instalment.

(ii) The balance amount shall be deposited within a further period one month.

(iii) The petitioner shall also go on depositing the regular monthly bill as and when raised.

(iv) In case of default in complying the aforesaid conditions, the respondents shall be at liberty to proceed against the petitioner in accordance with law.

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2014 SCC OnLine All 9211

(BEFORE SUDHIR AGARWAL, J.)

Ramveer Singh Petitioner

v.

U.P. Power Corporation Ltd. Thru Executive Engg.
and Another Respondents

Counsel for Petitioner:- S.S. Shukla

Counsel for Respondent:- Pankaj Kumar Shukla

Writ - C No. - 13988 of 2009

Decided on July 2, 2014

Hon'ble Sudhir Agarwal, J.

1. Heard Sri. S.S. Shukla, learned counsel for the petitioner and perused the record.

2. Notice on behalf of respondents has been accepted by Sri. Pankaj Kumar Shukla, Advocate and his name has also been shown in the cause list but he has not appeared though the case has been called in revised. In the circumstances, I proceed to decide the matter after hearing counsel for petitioner and perusing record.

3. On the allegation of theft of electricity by petitioner from power supply line of the Corporation the assessment was made by Executive Engineer under Section 126(1) of Electricity Act, 2003 vide order dated 15.04.2006 demanding Rs. 1,81,572/-, and, thereagainst petitioner preferred appeal, which has also been rejected by Appellate Authority vide order dated 07.01.2009 by a wholly unreasoned order.

4. Before this Court learned counsel for the petitioner submitted that under Electricity Supply Code, 2005 (hereinafter referred to as the "Code, 2005"), vide Annexure 6.3, the assessment ought to have been made at one and half times the rate per unit of the tariff applicable to the consumer category while in the present case assessment has been made on thrice of the rate per unit applicable to consumer category, which is illegal.

5. Clause 2 of Annexure 6.3 of Code, 2005 reads as under:

"2. The consumption so assessed shall be charged at one and half times the rate per unit of the tariff applicable to the consumer category after adjusting the amount paid by the consumer/person for the energy

consumption assessed for the assessment period if any. The amount billed at this rate one and half times rate shall not be taken into consideration for the purpose of computing consumer's liability to pay monthly/annually minimum charges, wherever applicable.”

6. I find substance in the matter. A bare perusal of the aforesaid provision shows that tariff applicable ought to have been assessed at one and half times instead of thrice but the same has not been done by respondents making assessment erroneous to this extent.

7. The writ petition is accordingly allowed in part. The impugned appellate order 07.01.2009 as well as assessment order dated 15.04.2006 are hereby set aside and the matter is remanded to Assessing Authority to reconsider the matter of assessment and pass a fresh order in accordance with law and in the light of observations made above.

8. No costs.

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2014 SCC OnLine All 7692

(BEFORE SUDHIR AGARWAL AND SUNEET KUMAR, JJ.)

Shri Krishna Kumar Bhargava Petitioner

v.

State of U.P. and 4 Others Respondents

Counsel for Petitioner:- Bidhan Chandra Rai

Counsel for Respondent:- C.S.C., Mahboob Ahmad

Writ - C No. - 33401 of 2014

Decided on June 30, 2014

Hon'ble Sudhir Agarwal, J.

Hon'ble Suneet Kumar, J.

1. It is contended that in the alleged checking report dated 24.02.2011, according to the department itself, the meter installed at the consumer's premises has been found defective and it is not mentioned anywhere that meter was made defective by consumer. In that view of the matter, it could not have been a case of theft of electricity energy under Section 126 of the Electricity Act 2003, and therefore, the impugned order is patently without jurisdiction.

2. It is also contended that if there is a meter which is defective it has to be seen, in what manner it is defective and thereafter the assessment order of defective meter can be made in accordance with rules applicable to defective meter which are different than Section 126 read with Clause 5.6 and 5.8 of U.P. Electricity Supply Code 2005.

3. Thirdly, it is contended that for making assessment and raising demand of Rs. 90,326/- the demand notice was already issued on 18.11.2011 (page 33 to the writ petition) while the alleged final assessment order was passed on 04.07.2013 which itself shows that respondents treated only show cause notice as the final assessment order and proceeded to make recovery and passed final assessment order on 04.07.2013 subsequently just to cover up their illegality, and that too, without showing as to how and in what manner assessment of Rs. 90,326/- is made against petitioner. This assessment is without following the procedure, clearly in violation of rules, as laid down by Division Bench in the *Ashok Kumar v. State of U.P.*, 2008 (6) ADJ 660 (DB).

4. Standing Counsel has accepted notice on behalf of respondents no. 1

to 3 and on behalf of respondents no. 4 and 5 notice has been accepted by Sri Mahboob Ahmad. Sri R.S. Umrao holding brief of Sri Mahboob Ahmad prays for and is granted three weeks' time to file counter affidavit. Rejoinder affidavit, if any, may be filed by the petitioner within one week thereafter.

5. List after expiry of aforesaid period.

6. In view of the above, until further orders, recovery pursuant to recovery citation dated 01.03.2014 issued by District Magistrate, Allahabad, shall remain stayed.

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2015 SCC OnLine All 1878

(BEFORE DHANANJAYA YESHWANT CHANDRACHUD, C.J. AND DEVENDRA KUMAR UPADHYAYA, J.)

Dr. Mamta Tripathi Petitioner

v.

State of U.P. Thru. Prin. Secy. Home U.P. & 6 Ors. .

.... Respondents

Counsel for Petitioner:- Dr. Dharendra Kumar Misra, Padam Chandra Gupta, Ram Shankar Tripathi

Counsel for Respondent:- C.S.C., Am Shukla

Misc. Bench No. - 12974 of 2014

Decided on January 22, 2015

Hon'ble Dr. Dhananjaya Yeshwant Chandrachud, Chief Justice
Hon'ble Devendra Kumar Upadhyaya, J.

On the oral request of the petitioner, who appears in person, we implead the Sub-Divisional Officer of the Lucknow Electric Supply Authority, Vibhuti Khand, Gomti Nagar, Lucknow, as respondent to these proceedings. Necessary amendment be carried out forthwith.

Issue notice to the seventh respondent, returnable on 10 February 2015.

The petitioner claims to be a tenant in respect of residential premises comprising of 1/173, Vikrant Khand, Police Station Vibhuti Khand, Gomti Nagar, Lucknow since 1 April 2012. She is stated to be residing on the first floor. Her case is that an electricity connection bearing No. 2195380000 stands in the name of the landlord, the seventh respondent, through which she was receiving her electricity supply. However, her electricity supply was disconnected on 4 December 2014 and once again on 15 December 2014. The petitioner has applied on 26 December 2014 for the grant of a fresh electricity connection. On 29 December 2014, she was informed by the Sub-Divisional Officer of the Lucknow Electric Supply Authority¹ that she should produce a copy of the rent agreement and the consent of the landlord. The petitioner has annexed to the writ proceedings the copies of the payment receipts made through the Bank to the landlord at Annexure 2.

At present, it appears that the difficulty in granting an electricity connection to the petitioner in her own name is the absence of the

consent of the landlord. The petitioner has pleaded that there is a dispute with the landlord.

In the judgment of a Division Bench of this Court in *Smt. Sushama Chowdhary v. U.P. Power Corporation Ltd.*², decided on 24 September 2014, this Court while taking due note of the decision of the Supreme Court in *Chandu Khamaru v. Smt. Nayan Malik*³ observed as follows:

“We find merit in the contention of the petitioner that the impugned order dated 2 August 2014 contains no reason for the denial of electric supply, save and except for making a reference to the provisions of Clause 4.4 of the Electricity Supply Code-2005. Clause 4.4 of the Code-2005 is in aid of the statutory duty cast by Section 43 of the Act of 2003.

As a matter of fact, an Indemnity Bond, a proforma of which is contained in Annexure 4.2 of the Code-2005, deals with a situation where an occupier of the premises applies for the grant of an electricity connection, but is unable to produce the consent of the owner. Obviously, in a situation, where a dispute is between the owner and occupier (in the present case, the dispute is between members of a family), a provision has been made for furnishing an Indemnity Bond.”

Having regard to the position of law as explained in the decision of the Division Bench noted above, which is in turn based on a judgment of the Supreme Court, we are of the view that the competent authority of LESA shall process the application filed by the petitioner in terms of the aforesaid observations. The petitioner shall comply with all other requirements under the law for the grant of an electricity connection in her name. We direct that the petitioner shall be informed within a period of two days from the receipt of a certified copy of this order of any other requirements which are required to be fulfilled. On the petitioner fulfilling the requirements, a final decision shall be taken on the grant of electricity connection and, if the petitioner is otherwise eligible, necessary action shall be taken no later than within a period of one week thereafter.

The letter dated 29 December 2014, which is placed by the petitioner before the Court is taken on the record and shall form part of these proceedings.

¹ LESA

² Misc. Bench No. 9588 of 2014

³ AIR 2011 SC 2897

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2018 SCC OnLine All 3484

In the High Court of Allahabad
(BEFORE ABHINAVA UPADHYA AND SHASHI KANT, JJ.)

Arvind Kumar Petitioner;

v.

Paschimanchal Vidyut Vitran Nigam Limited and
Another Respondents.

Writ - C No. - 13938 of 2018

Decided on July 4, 2018

Advocates who appeared in this case :

Counsel for Petitioner:- Bidhan Chandra Rai

Counsel for Respondent:- Ajay Kumar

ORDER

1. Heard Sri. Bidhan Chandra Rai, learned counsel for the petitioner and Sri. Ajay Kumar, learned counsel appearing for the respondent-Corporation.

2. Pursuant to the provisional assessment order dated 05.01.2018, now a final assessment order dated 29.03.2018 is stated to have been passed. Case against the petitioner was of theft of electricity and a demand notice was issued on 19.02.2018 for a sum of Rs. 64,44,961/-.

3. Learned counsel for the petitioner submits that it is mere demand notice and no provisional or final assessment order has been passed. It is submitted that initially this Court vide order dated 17.04.2018, directed the counsel for respondent-Corporation to produce final assessment order.

4. Sri. Ajay Kumar, learned counsel appearing for the respondent-Corporation submits that after considering the objection filed by the petitioner, now, the order in question has been filed which has to be taken to be the final assessment order.

5. Sri. B.C. Rai, learned counsel for the petitioner contradicting the arguments of the respondent's counsel submits that final assessment order is passed under Section 126(5) of Electricity Act, 2003 read with Clause 8.1(b) of U.P. Electricity Supply Code, 2005, which mandates that before passing an order of final assessment, an opportunity of hearing ought to be given to the petitioner. From the order impugned, it does not appear that any opportunity was given to the petitioner. Merely his objections are stated to have been considered and the order has been communicated.

6. We find that mandatory provisions under the Act, 2003, before

passing final assessment order have not been followed. The petitioner apparently does not appear to have been given any opportunity in the present case. As such, it can safely be concluded that no final assessment order has been passed.

7. The writ petition is disposed of with direction to the Executive Engineer, Electricity Distribution Division-I/respondent no. 2 to pass final assessment order after giving opportunity to the petitioner within a period of 15 days from the date a certified copy of this order is produced before the authority concerned. Till final assessment order is passed the impugned recovery notice dated 19.02.2018, demand notice dated 20.01.2018 and assessment bill dated 03/05.01.2018 issued by respondent no. 2, shall be kept in abeyance.

8. With above directions the writ petition stands disposed of.

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2014 SCC OnLine All 12682

(BEFORE KRISHNA MURARI AND ASHWANI KUMAR MISHRA, JJ.)

Ram Prakash Yadav Petitioner

v.

State of U.P. & 3 Others Respondents

Counsel for Petitioner:- B.N. Singh, Santosh Singh

Counsel for Respondent:- C.S.C., Baleshwar Chaturvedi

Writ - C No. - 37237 of 2014

Decided on August 4, 2014

Hon'ble Krishna Murari, J.

Hon'ble Ashwani Kumar Mishra, J.

Heard Shri B.N. Singh, learned counsel for the petitioner, learned Standing Counsel for respondent nos. 1 and 3 and Shri Baleshwar Chaturvedi, who has accepted notices on behalf of respondent no. 2.

On 22.07.2014, the respondents were required to seek instructions as to whether any provisional assessment was made against the petitioner; whether provisional assessment was served to the petitioner and if so, the copy of the notice was served; whether petitioner filed objections and same were decided by the concern authority; and, in case, the objections were decided, whether final assessment was sent to the petitioner before issuing notice and initiating recovery.

When the matter has been called out, Shri Baleshwar Chaturvedi, on the basis of the instructions, states that a provisional statement was made on 28.05.2011 and was sent by post to the petitioner. Since he did not file any objection/reply, the same was treated as final assessment and a recovery certificate was issued.

The copy of the instructions are taken on record.

This Court in *Ashok Kumar v. State of U.P.*, 2008 (6) ADJ 660 (DB) from paras 56 to 64 has considered the provisions of the Electricity Supply Code 2005, to be followed in a case of theft of electricity for assessment.

In the present case, we find that provisional assessment does not give the basis on which petitioner was assessed to pay Rs. 2,15,654/-. The assessing authority has not recorded its satisfaction that the petitioner has committed theft of electricity. In the instructions, dated

02.08.2014, the concerned Executive Engineer has informed the counsel for respondents that provisional assessment was sent vide notice No. 802 dated 28.05.2011 by post. The provisional assessment was sent by registered post and further there is nothing to show that it was received by petitioner.

In view of the fact that the instructions do not contain any positive reply with regard to method of service, we are of the opinion that petitioner was not afforded adequate opportunity as provided in para 6.8(b) of U.P. Electricity Code, 2005 to give reply and object to the provisional assessment.

The writ petition is allowed. The impugned demand notice dated 26.06.2014 and all consequential proceedings thereto are hereby quashed. The respondents are directed to prepare a fresh provisional assessment order and serve it upon the petitioner. The final assessment order will be made after considering petitioner's objection, giving reasons to meet the objections of petitioner in the light of observations made in *Ashok Kumar* (supra).

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2014 SCC OnLine All 12750

(BEFORE KRISHNA MURARI AND ASHWANI KUMAR MISHRA, JJ.)

Yogendra Singh Petitioner

v.

Dakshinanchal Vidyut Vitaran Nigam Ltd. and 3

Others Respondents

Counsel for Petitioner:- Sandeep Kumar

Counsel for Respondent:- C.S.C., Baleshwar Chaturvedi

Writ - C No. 39011 of 2014

Decided on August 5, 2014

Hon'ble Krishna Murari, J.

Hon'ble Ashwani Kumar Mishra, J.

We have heard Shri Sandeep Kumar, learned counsel for the petitioner, learned Standing Counsel for respondent nos. 3 and 4 and Shri Baleshwar Chaturvedi, who has accepted notices on behalf of respondent no. 1 & 2.

On 31.07.2014, the respondents were required to seek instructions as to whether any provisional assessment was made against the petitioner; whether provisional assessment was served to the petitioner and if so, the copy of the notice was served; whether petitioner filed objections and same were decided by the concern authority; and, in case, the objections were decided, whether final assessment was sent to the petitioner before issuing notice and initiating recovery.

When the matter has been called out, Shri Baleshwar Chaturvedi, on the basis of the instructions, states that a provisional assessment was made on 23.09.2013 and was sent by post to the petitioner. Since he did not file any objection/reply, the same was treated as final assessment and a recovery certificate was issued.

The copy of the instructions are taken on record.

This Court in *Ashok Kumar v. State of U.P.*, 2008 (6) ADJ 660 (DB) from paras 56 to 64 has considered the provisions of the Electricity Supply Code 2005, to be followed in a case of theft of electricity for assessment.

In the present case, we find that provisional assessment does not give the basis on which petitioner was assessed to pay Rs. 98,142/-. The

assessing authority has not recorded its satisfaction that the petitioner has committed theft of electricity. In the instructions, dated 02.08.2014, the concerned Executive Engineer has informed the counsel for respondents that provisional assessment was sent vide notice No. 2349 dated 23.09.2013 by post. The provisional assessment was sent by registered post and further there is nothing to show that it was received by petitioner.

In view of the fact that the instructions do not contain any positive reply with regard to method of service, we are of the opinion that petitioner was not afforded adequate opportunity as provided in para 6.8(b) of U.P. Electricity Code, 2005 to give reply and object to the provisional assessment.

The writ petition is allowed. The impugned demand notice dated 23.09.2013 and all consequential proceedings thereto are hereby quashed. The respondents are directed to prepare a fresh provisional assessment order and serve it upon the petitioner. The final assessment order will be made after considering petitioner's objection, giving reasons to meet the objections of petitioner in the light of observations made in *Ashok Kumar* (supra).

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2016 SCC OnLine All 1570

In the High Court of Allahabad

(BEFORE V.K. SHUKLA, A.C.J. AND MAHESH CHANDRA TRIPATHI, J.)

Dhyanendra Singh Petitioner

v.

State of U.P. and 5 Others Respondents

Writ - C No. - 29993 of 2016

Decided on July 5, 2016

Counsel for Petitioner:- Shravan Kumar Mishra

Counsel for Respondent:- C.S.C., Baleshwar Chaturvedi

1. Dhyanendra Singh is before this Court assailing the validity of the order dated 26.4.2016 passed by the respondent no. 5 and for a direction to the respondent no. 5 to restore the electricity supply connection no. 5041/93636 for the tubewell of the petitioner.

2. As per record this much is reflected that the petitioner has moved an application before the respondent no. 5 for connection of electricity supply for the tube well in the year 2013. The respondent no. 5 had issued the electricity supply for the tubewell bearing connection no. 5041/93636 in favour of the petitioner on 22.5.2013. It is stated that the petitioner had been regularly depositing the electricity bill before the authority concerned. It is reflected that the private respondent no. 6 has proceeded to file certain complaint against the petitioner to respondent no. 5. Consequently, the respondent no. 5 has proceeded to issue notice to the petitioner on 14.6.2013. The petitioner has replied the notice issued by the respondent no. 5 on 27.6.2013 along with the supported affidavit. Finally the respondent no. 5 has disconnected the electricity supply in question on 23.10.2013. It is submitted that in this regard the petitioner moved an application before the respondent no. 2 on 23.9.2014, who has directed the respondent no. 5 to restore the electricity supply in question.

3. This much is reflected that the respondent no. 6, who is the cosharer of the property has made the complaint against the petitioner on the ground that he has obtained the connection on the basis of forged paper and in this regard he has also lodged FIR on 14.9.2014 against the petitioner. Against the same the petitioner has moved discharge application before the court below in the criminal case, which was dismissed on 1.10.2015. Against the same the petitioner has filed Criminal Revision No. 8 of 2016 before this Court, in which on 12.1.2016 an order has been passed in favour of the petitioner staying the entire proceedings in question pending against the petitioner.

4. It is averred that inspite of clear direction given by respondent no. 2 for restoration of the electricity connection in question, the respondent no. 5 has not passed any order in this regard. Aggrieved with the same the petitioner filed Writ Petition No. 13756 of 2016, which was disposed of on 4.4.2016 with direction to respondent no. 5 to dispose of the representation of the petitioner. In compliance of the said order, the respondent no. 5 has considered the matter and passed an order on 26.4.2016 rejecting the claim of the petitioner on the ground that the petitioner has got the electricity connection on the basis of forged affidavit.

5. The petitioner has contended that only on the basis of complaint made by respondent no. 6, who is cosharer of the property, the electricity supply of the petitioner has been disconnected. The matter is subjudice before the competent court and without there being any order by the competent court he cannot be deprived from his valuable right which affects his livelihood. It is submitted that the petitioner has not taken shelter of any forged paper in getting the connection in question. He had been continuously and regularly paying the bill and the action of the respondents is arbitrary and unjustified.

6. Per contra, learned counsel for the respondents submits that the matter is subjudice before the court and the charges of fraud have been levelled against the petitioner in getting the connection in question, therefore, the electricity connection cannot be restored and the impugned order has been passed in accordance with law and there is no infirmity in it.

7. In view of above, once there is serious allegations that the petitioner has obtained the electricity connection on the basis of forged documents, we do not find any illegality or infirmity in the order impugned and no interference is required in the matter under Art.226 of the Constitution of India. However, if the petitioner makes fresh application for electricity connection as per the provisions of Electricity Supply Code, 2005, the same shall be considered in accordance with law within reasonable period.

8. The writ petition is disposed of accordingly.

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2018 SCC OnLine All 3262

In the High Court of Allahabad
(BEFORE SHASHI KANT GUPTA AND RAJIV GUPTA, JJ.)

Bharat Bhati Petitioner;

v.

State of U.P. And 2 Others Respondents.

Writ - C No. - 22326 of 2018

Decided on July 3, 2018

Counsel for Petitioner:- Awadhesh Kumar Mishra

Counsel for Respondent:- C.S.C., Chandan Agarwal

ORDER

1. This writ petition has been filed, inter alia, for the following reliefs:

(a) *Issue a writ, order or direction in the nature of mandamus commanding the respondent no. 3 that he will hear and consider the representation of the petitioner dated 05.06.2018 made by the petitioner in furtherance of a electricity checking report dated 23.05.2018 to consider the ownership date of property with effect from the date of agreement to sale/possession i.e. 27.03.2018.*

(b) *Issue a writ, order or direction to the respondent no. 3 to revised the assessment no. 2514 dated 06.06.2018 from the date of ownership of the petitioner 27.03.2018 to date of checking 23.05.2018 for 55 days and multiply by 18 hours.*

2. Perusal of the record reveals that a notice dated 06.06.2018 under Sub-clause B of Clause 6.8 of the Electricity Supply Code has been issued by the Electricity Department to the petitioner directing him to file objection if any to the provisional assessment and the charges contained in the notice. The record further reveals that in pursuance of the aforesaid notice the petitioner has not yet filed his objection.

3. The main contention of the learned counsel for the petitioner is that in fact the property in dispute was rented to one Mohd. Raza @ Raja son of Mahboob Ali and the same is in his occupation, as such, the aforesaid provisional assessment is illegal and without jurisdiction. The petitioner can not be made liable for the theft committed by the tenants.

4. Heard learned counsel for the parties and perused the record.

5. The present writ petition has been filed mainly against the show cause notice dated 06.06.2018 issued by the Electricity Department to

the petitioner. The petitioner has ample opportunity to take all pleas before the appropriate authority. In case, any objection is filed by the petitioner before the appropriate authority within a period of 15 days from today, the appropriate authority shall dispose of the objection by a speaking order if not already passed in accordance with law after taking into consideration the pleas raised by the petitioner.

6. With this observation, the present writ petition stands finally disposed of.

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2014 SCC OnLine All 6593

Ganga Dayal v. State of U.P.

(BEFORE SANJAY MISRA AND ANANT KUMAR, JJ.)

Ganga Dayal Petitioner

v.

State of U.P. Thru Secy. and 2 Others

Respondents

Counsel for Petitioner:- Parvesh Kumar Pandey, Navin Kumar
Srivastava

Counsel for Respondent:- C.S.C., Baleshwar Chaturvedi

Writ - C No. 26100 of 2014

Decided on May 9, 2014

Hon'ble Sanjay Misra, J.

Hon'ble Anant Kumar, J.

We have heard Sri. Navin Kumar Srivastava, learned counsel for the petitioner, learned standing counsel for the State-respondent and Sri. Sravan Kumar Tripathi, learned counsel for the respondents no. 2 and 3 which are the Dakshinanchal Vidut Vitran Nigam Limited, Firozabad.

The petitioner prays that the respondent nos. 2 and 3 be directed to correct the electricity connection regarding tube well to be in the name of the petitioner being Connection No. 2202-003850. He refers to Annexures-4 and 5 to the writ petition and states that he has filed the application in prescribed form as far back as on 16.11.2007 but no action has been taken by the respondents hence, this writ petition. He further states that the original connection was taken in the name of Ram Das and Meva Ram and after death of Ram Das, Meva Ram has moved an application with affidavit surrendering his rights over the same and requesting that the petitioner's name may be recorded against the said electricity connection. He further states that arrears were raised against the said electricity connection and the same has been deposited by the receipts annexed along with this writ petition on the basis of one time settlement and as such there are no dues left against the said electricity connection.

Learned counsel for the respondents has submitted that in case the averment made in the writ petition filed by the petitioner regarding clearance of all the arrears against electricity connection are correct only then the mutation of name in the connection for transfer of the

connection can be done under the provisions of Clause 4.44 of the U.P. Electricity Supply Code, 2005 and upon the petitioner completing the requisite formalities. He further states that the competent authority under Clause 4.44 of the Code is the Executive Engineer of the Division who has not been made party in this writ petition.

We have considered the submissions of learned counsel for the parties and perused the record.

The petitioner claims transfer of the connection in his name by mutating his name thereupon.

Without going into correctness of the averments made in the writ petition, we provide that in case the petitioner has already applied in the prescribed form in accordance with the provisions of Clause 4.44 of the Code, the competent authority should consider the prayer of the petitioner in accordance with law within three weeks from the date a certified copy of this order is produced by the petitioner before the competent authority. In case the petitioner has not applied in prescribed form under Clause 4.44 of the Code, he may complete the formalities before the competent authorities and thereafter his application be considered in accordance with law.

The writ petition is accordingly finally disposed of with no order as to costs.

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2013 SCC OnLine All 12913

(BEFORE V.K. SHUKLA AND SUNEET KUMAR, JJ.)

Gaya Prasad Petitioner

v.

U.P. Power Corporation Ltd. Thru' Chairman & 3
Others Respondents

Counsel for Petitioner:- Smt. Usha Srivastava, Vinod Kumar
Srivastava

Counsel for Respondent:- C.S.C., Dr. Suman Kumar Yadav

Writ - C No. - 70396 of 2013

Decided on December 20, 2013

Hon'ble V.K. Shukla, J.

Hon'ble Suneet Kumar, J.

Gaya Prasad, is before this Court with the grievance that earlier he had electricity connection in his favour and thereafter said electricity has been got disconnected by him after depositing disconnection fee. Petitioner submits that thereafter he has never used electricity connection and petitioner submits that he has made complaint that bills were being raised in spite of same. This much is also reflected that spot inspection has been carried out and on the spot, meter in question has not been found but Gaya Prasad has been found to be residing therein and has been using electricity connection therein and in this background a sum of Rs. 1,40,848/- has been directed to be recovered from the petitioner as arrears of land revenue. after making assessment. At this juncture petitioner is before this Court.

Petitioner has submitted before this Court that he has never been informed as to what is relevant criteria of raising such bill and petitioner submits that fact of the matter is that for the entire period as mentioned he has not at all used any electricity.

Countering the said submission Dr. Suman Kumar Yadav, Advocate contended that spot inspection has been made and on the spot petitioner has been found to be using electricity, as such rightful order has been passed.

Under the U.P. Electricity Supply Code, 2005, in paragraph 7.10, Consumer Grievance Redressal Forum and Ombudsman has been provided for and as per the aforesaid provision at the first instance any

incumbent aggrieved by any action of the Licensee in respect of the matters mentioned in Clauses 7.71 to 7.75 or those covered under the said Regulations may file a complaint with the Licensee and thereafter if the Licensee fails to settle the issue raised in complaint by the consumer within the time specified in the Code or otherwise provided in the said Regulations, or the consumer is not satisfied by the decision of the licensee the consumer may file a complaint in the Consumer Grievance Redressal Forum as per the specified procedure under the said Regulation and thereafter on non-redressal of grievances he may make representation before the Ombudsman.

This Court cannot decide disputed questions of fact that in spite of disconnection of electricity connection petitioner has been using continuously and regularly electricity or not wherein the spot inspection so made does reflect that petitioner has been using electricity connection. In view of this, this Court refuses to interfere in the matter but certainly liberty is given to the petitioner to approach Executive Engineer Kanpur Electric Supply Company Limited, EDD Naubasta district Kanpur Nagar, respondent no. 3 by moving application and alongwith the application a draft of Rs. 25,000/- in favour of respondent no. 3 and on the same application being moved, the Executive Engineer Kanpur Electric Supply Company Limited, EDD Naubasta district Kanpur Nagar, shall look into the grievance of the petitioner on the basis of record available and in accordance with law preferably within two months from the date of presentation of certified copy of the order passed by this Court. Needless to say that reasoned decision be taken. In case a draft of Rs. 25,000/- alongwith representation is moved then till the matter is not decided by Executive Engineer Kanpur Electric Supply Company Limited, EDD Naubasta district Kanpur Nagar, respondent no. 3, amount in question as directed to be recovered, shall not be recovered and in case finding is returned that petitioner has been using electricity, then amount determined be recovered from him, as per law.

With the above direction present Writ petition is disposed of.

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2014 SCC OnLine All 3942

(BEFORE ATTAU RAHMAN MASOODI AND VINEET SARAN, JJ.)

Smt. Mamta Devi Srivastava Petitioner

v.

State of U.P. and 2 Others Respondents

Counsel for Petitioner:- R.K. Mishra

Counsel for Respondent:- C.S.C., Dr. S.K. Yadav

Writ - C No. - 13585 of 2014

Decided on March 13, 2014

Hon'ble Vineet Saran, J.

Hon'ble Attau Rahman Masoodi, J.

Heard learned counsel for the petitioner as well as learned Standing Counsel appearing for the respondent no. 1 and Dr. S.K. Yadav, learned counsel appearing for the respondents no. 2 and 3 and have perused the record.

Earlier time was granted to Dr. S.K. Yadav, learned counsel for the respondents no. 2 and 3 to obtain instructions which he states that he has received. With consent of the learned counsel for the parties, this writ petition is being disposed of at this stage without calling for a counter affidavit.

The case of the petitioner is that she had an electricity connection granted by the respondent - Kanpur Electricity Supply Company Ltd. Since there was default in payment of the electricity bills, on 19.12.2008 the electricity line of the petitioner was disconnected. Thereafter, according to the petitioner on 27.2.2010 the petitioner made an application for reconnection of her electricity line and installation of meter and deposited a sum of Rs. 1,000/- for the same. Pursuant thereto, according to the petitioner, on 6.9.2011 the electricity line of the petitioner was restored and the meter was installed in the house of the petitioner. She is now aggrieved by the demand notice dated 20.2.2014 for a sum of Rs. 1,29,558/- stating that the same is for the bills upto December, 2013. Challenging the same, this writ petition has been filed.

On having received instructions, Dr. S.K. Yadav, learned counsel for the respondents no. 2 and 3 states that after the electricity line of the petitioner was disconnected on 19.12.2008, the petitioner had infact

filed an application for reconnection on 19.5.2009 and thereafter the electricity line of the petitioner was reconnected. However, the deposit of Rs. 1,000/- which is said to have been made by the petitioner on 27.2.2010 was not with regard to reconnection of the electricity line but was for installation of fresh meter as a dispute with regard to the meter reading had been raised by the petitioner and in pursuance thereof fresh meter was installed at the premises of the petitioner on 6.9.2011.

Learned counsel for the petitioner has, however, accepted the fact that ever since the reconnection and re-energisation of electricity line of the petitioner (which according to the petitioner was in the year 2011 and according to the respondent in the year 2009) the petitioner has not paid any amount towards consumption of electricity even though it is not denied that the electricity connection of the petitioner has been continuing since then. The submission of the petitioner that any dues which are against any consumer beyond a period of 12 months would not be recoverable as provided under Section 56(2) of the Electricity Act, 2003 is not worthy of acceptance in view of the fact that present is not the case with regard to disconnection but it is for non payment of electricity bills as the petitioner is continuing to be supplied electricity and according to the respondent regular bills showing arrears are being sent to the petitioner which have not been paid by her. Although the fact of the bills being sent to the petitioner is disputed by the petitioner but we are of the opinion that such being a question of fact, the same cannot be considered and decided in writ jurisdiction. It appears to the Court that the case in hand is one relating to the dispute with regard to the bills for which the petitioner has an alternative remedy under Clause 6.5 of the U.P. Electricity Supply Code, 2005. As such, on the ground that disputed questions of facts are involved in this writ petition and also that the petitioner has an alternative remedy available in law, we would not be inclined to interfere in this writ petition. Even otherwise, when the petitioner admits that after re-energisation of electricity line which may be from 2008-09 or 2010-11 the petitioner has not paid any bills hence this Court would not be inclined to exercise its extraordinary jurisdiction under Article 226 of the Constitution of India in favour of a person who is a gross defaulter of electricity dues.

This writ petition is, accordingly, dismissed. No order as to costs.

2026 SCC OnLine All 5440

In the High Court of Allahabad⁺

(BEFORE SHEKHAR B. SARAF AND ABDHESH KUMAR CHAUDHARY, JJ.)

Teena Sehgal ... Petitioner(s);

Versus

State of U.P. Thru. Prin. Secy. Energy Deptt. Lko.
and 2 Others ... Respondent(s).

Writ - C No. - 1629 of 2026

Decided on April 10, 2026

Advocates who appeared in this case:

Counsel for Petitioner(s): Ajay Kumar Pandey

Counsel for Respondent(s): C.S.C., Manish Jauhari

The Judgment of the Court was delivered by

SHEKHAR B. SARAF, J. and ABDHESH KUMAR CHAUDHARY, J.:— This is a writ petition under Article 226 of the Constitution of India wherein the petitioner is aggrieved by the inaction on the part of the respondents-authorities in not providing a new electric domestic connection with regard to the application made by the petitioner. The facts of the case are that there is a dispute between the mother-in-law of the petitioner and the petitioner. The mother-in-law, who resides on the first floor of the building, is now availing solar energy and is, accordingly, not availing electric domestic connection any more.

2. The learned counsel for the respondents has submitted that an amount of approximately Rs 2,41,000 is pending with regard to the entire premises. The factual matrix also indicates that a suit is pending in the trial court between the petitioner and the mother-in-law of the petitioner.

3. In light of the above facts and circumstances, we are of the view that since the petitioner is residing on the ground floor and there is no dispute with regard to the same, the petitioner is entitled to receive electricity connection. However, it is also undisputed fact that without payment of the electricity bills that are due for the ground floor, the respondent-authority cannot provide such electricity to the petitioner. Accordingly, we direct the petitioner to make payment of Rs 1,20,000 to the respondent- authorities in the following manner:

(a) 50% of Rs 1,20,000 to be paid within a period of two weeks and balance to be paid in four monthly installments starting from July, 2026.

(b) Upon payment of the aforesaid 50%, the respondents-authorities

are directed to immediately provide a new electric connection to the petitioner upon completion of all formalities in accordance with law.

(c) The petitioner shall also provide indemnity bond (Annexure 4.2 of the Electricity Supply Code, 2005) to the respondent authorities in accordance with law with regard to her residence on the ground floor of the premises.

4. We make it clear that apart from the installment payments, the petitioner shall also make payments of the regular bills that may be raised on account of usage of the electricity by her.

5. With the above directions, the writ petition is disposed of.

† At Allahabad Lucknow

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2017 SCC OnLine All 1979

In the High Court of Allahabad

(BEFORE AMRESHWAR PRATAP SAHI AND RAJIV LOCHAN MEHROTRA, JJ.)

Ram Padarath Gupta Petitioner

v.

U.P. Power Corporation Ltd. and 4 Others
Respondents

Writ - C No. - 40690 of 2017

Decided on September 5, 2017

Counsel for Petitioner:- Anil Kumar Pandey, Deepak Kumar Jaiswal

Counsel for Respondent:- C.S.C., Mahboob Ahmad

1. Heard learned counsel for the petitioner and Sri. Mahboob Ahmad, learned counsel for the Electricity Department.

2. The petitioner has come up challenging the proceedings initiated for realization of certain electricity dues but in the writ petition he has only prayed for a mandamus to decide his objections that has been filed after the recovery citation was issued to him. It is urged that as a matter of fact the petitioner is having a domestic connection of 2KWs and there is no occasion to charge the petitioner on commercial rates as alleged by the respondents orally. The petitioner contends that he had filed objections yet without taking notice of the same the recovery is sought to be made from the petitioner without even advertng to the nature of the objections raised by the petitioner.

3. Sri. Mahboob Ahmad, learned counsel for the respondent/Electricity Department submits that in the event the petitioner files a fresh application before the respondent no. 2 the said claim of the petitioner can be examined and then the petitioner can reasonably know the dues as also the nature of the rates on which the said dues are sought to be recovered from the petitioner.

4. Sri. Mahboob Ahmad further states that the issue of theft being separate, the provisional assessment has to be answered or else the recovery can be made as per the final assessment which according to Sri. Mahboob Ahmad which might have been made.

5. The petitioner has alleged in paragraph no. 15 of the writ petition that he had filed his objections and there being no consideration of the same, there is no final order of assessment and even otherwise it has not been served upon the petitioner. In the aforesaid background keeping in view the nature of the claim and the nature of the connection which is stated to be a domestic connection let matter be

examined by the respondent no. 2 on presentation of the certified copy of this order in accordance with law keeping in view the provisions of Clause 6.5 of the U.P. Electricity Supply Code, 2005 read with section 126 of the U.P. Electricity Act, 2003 and an order be passed if not already passed after considering the objections of the petitioner within three weeks from today. The recovery proceedings shall be subject to the outcome of such orders to be passed by the Executive Engineer as directed hereinabove.

6. Disposed off.

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2014 SCC OnLine All 229

(BEFORE AMRESHWAR PRATAP SAHI AND ANIL KUMAR AGARWAL, JJ.)

Smt. Madhu Rani Agrawal Petitioner

v.

State of U.P. & 5 Others Respondents

Counsel for Petitioner:- Ranjit Saxena, Deepak Saxena

Counsel for Respondent:- C.S.C., Pranjal Mehrotra

Writ - C No. - 526 of 2014

Decided on January 7, 2014

Hon'ble Amreshwar Pratap Sahi, J.

Hon'ble Anil Kumar Agarwal, J.

Heard Sri. Ranjeet Saxena, learned counsel for the petitioner and Sri. Pranjal Mehrotra for the respondent-Power Corporation.

This petition has been filed praying for quashing of the letter dated 21.05.2013 and the subsequent communication dated 25.11.2013, whereby the petitioner contends that she is being compelled to take the services of the department for supply of equipments with regard to installation of a fresh electricity connection.

Sri. Ranjeet Saxena submits that the petitioner herself will provide equipments like the transformer etc. and poles in order to ensure qualitatively better equipments for such utilization, but the respondent Corporation is insisting on receiving supplies from the Department itself, which action is arbitrary.

Sri. Saxena submits that a better quality of transformer and electricity pole shall be installed by the petitioner, with regard to which the Electricity Department can have no possible objection nor there is any law to compel the petitioner to receive the installation equipments only from the power corporation.

We have perused the regulations and the order dated 20.06.2013, which has been produced by the learned counsel for the petitioner during the course of the arguments. The said order of the respondent Corporation clearly indicates that there are regulations and orders that wherever installation is to be made up to the extent of 500 meters from the electricity pole connection, the entire installation work shall be done and conducted by the Electricity Department itself and if the same

extends beyond the same, then certain charges shall be levied or the consumer can be allowed to get it installed at his or her expenses.

In the instant case, it is not in dispute by the petitioner that the installation is to be made within 500 meters. Apart from this, the regulations that are applicable do not create any such bar but at the same time the Cost Data Book, copy whereof is annexed as Annexure-16 to the writ petition clearly recites in Clause 4 (ii) as follows:-

“Clause 4.6 of the Electricity Supply Code 2005 provides that, (b) the estimate (for release of new connection) shall include security deposit, charges of laying Line, distribution mains (if required) and material, and system loading charges etc. as determined by the licensee with the approval of the Commission once in two years. (d) The above estimate shall be based on Rs/kW (or Rs/kVA) of the sanctioned/contracted load, or on Rs. per installation for specific bands of contractual load applied or sanctioned load at each voltage level up to 33 kV voltage on which supply is to be given. Beyond 33 kV voltage level, the charges for laying shall be based on actual estimates of the licensees.”

On perusal thereof, it leaves no room for doubt that while accepting the estimate for the electricity connection, the same shall include such charges of laying line, distribution mains etc. This clearly includes the installation of poles, transformer etc. Consequently, the Electricity Department is under an obligation to carry out the said activity for installation of electricity connection, for which the consumer is obliged to make the payments. In the circumstances, the argument of Sri. Ranjeet Saxena that the petitioner can get the equipments installed herself does not arise.

There is no merit in this petition, dismissed.

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2016 SCC OnLine All 4727

In the High Court of Allahabad

(BEFORE SUDHIR AGARWAL AND DR KAUSHAL JAYENDRA THAKER, JJ.)

Shri Gautam Motors Pvt. Ltd. ... Petitioner;

Versus

U.P. Power Corporation Ltd. and Others ...
Respondent.

Writ - C No. - 12076 of 2004

Decided on December 14, 2016

Advocates who appeared in this case:

Counsel for Petitioner:- Syed Ali Murtuza, B.C. Rai, Z.M. Naiyar

Counsel for Respondent:- Amrit. Lal. Yadav

The Judgment of the Court was delivered by

SUDHIR AGARWAL, J. and DR KAUSHAL JAYENDRA THAKER, J.:— Heard Shri Deepak Kumar Pandey holding brief of Shri B.C. Rai, learned counsel for petitioner, Shri Shrawan Kumar Tripathi, learned counsel for respondents and perused the record.

2. By means of this writ petition under Article 226 of the Constitution of India following reliefs have been sought:

“A). to issue a writ of Certiorari quashing the report dated 19.02.2004 (Annexure - 8) and the consequent bill recovery of Rs. 5,93,227/- (Annexure - 9) in respect of installation No. HP - 24 situate at Bharwa Sumerpur, Dist. Hamirpur (U.P.).

B). to issue a writ of prohibition restraining the respondents from recovering Rs. 5,93,227/- on the basis of the inspection report dated 19.2.2004 (Annexure-8) and the consequent bill received on 18.3.2004 (Annexure - 9).

C). to issue a writ of mandamus directing the respondents to grant adjustment of the excess amount of Rs. 1.00 lakh realized from the petitioner pursuant to Annexure-3.

D). to grant any other writ order or direction, which this Hon'ble Court may deem fit and proper in the facts and circumstances of the case.

E). to award the cost of writ petition.”

3. The only question raised in this writ petition is whether electricity bill can be raised on the basis of check meter or not.

4. Learned counsel for petitioner stated that there is no such provision and also relied on following authorities in support of his submission:—

- (i). (2009) 1 ADJ 430 (DB) : *Amrawati Devi v. Purvanchal Vidyut Vitran Nigam Limited*;
- (ii). (1997) 6 SCC 740 : *Belwal Spinning Mills Ltd. v. U.P. State Electricity Board*; and
- (iii). (2003) 4 SCC 172 : *Tata Hydro-Electric Power Supply Co. Ltd. v. Union of India*.

5. Learned counsel for U.P. Power Corporation Limited very fairly admitted that there is no provision either under U.P. Electricity Supply Code or the Electricity Act, 2003 that electricity bill can be raised on the basis of check meter.

6. In view thereof, writ petition is allowed and impugned demand dated 19.02.2004 (Annexure - 8) and the consequent bill for recovery of Rs. 5,93,227/- (Annexure - 9) are hereby set aside.

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2016 SCC OnLine All 1150

In the High Court of Allahabad
(BEFORE TARUN AGARWALA AND SIDDHARTHA VARMA, JJ.)

M/s. Madhuvan Properties (P) Ltd. Petitioner

v.

Pashchimanchal Vidyut Vitran Nigam Limited and
Another Respondents

Counsel for Petitioner:- Mayank Kumar Agrawal

Counsel for Respondent:- Chandan Agarwal

Writ - C No. - 60839 of 2016

Decided on December 22, 2016

1. Heard Sri. Shashi Nandan, learned senior counsel assisted by Sri. Mayank Kumar Agarwal, learned counsel for the petitioner and Sri. Anshul Shinghal, Advocate holding brief Sri. Chandan Agarwal, learned counsel for the respondent-Electricity Department.

2. An inspection was done in the petitioner's premises on the 15th of September 2016. During the course of the inspection it was found that the meter was carbonized and the meter was required to be tested. Subsequently, the meter was tested by the Memory Recording Instrument (MRI), based on which the department came to the conclusion that the meter was running slow and only 50% of the energy consumed was being recorded.

3. Based on this test, a notice dated 25.10.2016 was issued by which the respondent directed the petitioner to pay a sum of Rs. 1,03,69,390/- towards electricity dues for the period 3.11.2012 to 15.09.2016 i.e. till the date of inspection.

4. The petitioner being aggrieved by the said demand has filed the present writ petition and contends that after the filing of the writ petition his electricity was disconnected on 20.12.2016.

5. Clause 5.6 of the Electricity Supply Code deals with defective meters. The testing of the meter is required to be done in the presence of the petitioner. Apparently, the same was not done. Further, opportunity is required to be given to the petitioner to file his objection, if any. We also find from Section 5.6(c)(ii) that difference of the energy consumed can only be charged for the previous three months and the consumer could also give an option to pay the amount in instalments.

6. In the instant case, prima facie we find that recovery for more than two and a half years is being made. This could not be done. Matter requires consideration.

7. Sri. Chandan Agarwal, learned counsel for the respondent will file a counter affidavit within three weeks.

8. List for admission thereafter.

9. In the meanwhile, the petitioner will deposit a sum of Rs. 15 lakh. Upon such a deposit being made, the electricity connection will be restored within 48 hours. This deposit will be subject to the result of the writ petition. If the amount is deposited the balance amount will not be recovered during the pendency of the petition.

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2013 SCC OnLine All 12387

(BEFORE ASHOK BHUSHAN AND VIPIN SINHA, JJ.)

M/S Shri Radhey Iron (Pvt.) Ltd. Petitioner

v.

State of U.P. And 2 Others Respondents

Counsel for Petitioner:- Bidhan Chandra Rai

Counsel for Respondent:- C.S.C., Nripendra Mishra

Writ - C No. - 64376 of 2013

Decided on December 17, 2013

Hon'ble Ashok Bhushan, J.

Hon'ble Vipin Sinha, J.

(Per Hon'ble Ashok Bhushan, J.)

Heard Sri. B.C. Rai, learned counsel for the petitioner and Sri. Nripendra Misra, learned counsel appearing for the respondents no. 2 and 3.

By this writ petition, the petitioner has prayed for a writ of mandamus directing the respondents to adjust the electricity duty exemption from October, 2011 to May 2013 against the electricity bill dated 2.11.2013.

Counter affidavit and rejoinder affidavit having been exchanged between the parties, with the consent of learned counsel for the parties, the writ petition is being finally decided.

Brief facts of the case as emerged from pleadings of the parties are; the State in furtherance of an industrial policy namely; Industrial and Service Sector Investment Policy, 2004, issued a notification dated 21.1.2010 providing for exemption from payment of electricity duty for a period of ten years to a new unit. The notification has been issued in exercise of powers under subsection (4) of Section 3 of the U.P. Electricity Duty Act, 1952.

The petitioner took steps for setting up new industrial unit for manufacture of mild steel ingots. The petitioner applied for power connection which was sanctioned by order dated 1.4.2011. The electricity supply agreement was entered on 30.8.2011 and by sealing certificate dated 9.10.2011, power supply was released. The respondent no. 3 raised electricity bill from October, 2011 but electricity duty exemption was not allowed as was required by notification dated

21.1.2010. The petitioner represented the matter claiming exemption from payment of electricity duty as per the notification dated 21.1.2010. The respondents accepted the claim and started allowing exemption from payment of electricity duty w.e.f. June, 2013. In the bills issued from the month of June, 2013 exemption from payment of electricity duty was allowed. The petitioner represented to the authorities that it being a new unit, is entitled for the benefit of the notification dated 21.1.2010 and exemption from payment of electricity duty w.e.f. October, 2011. The State Government has already issued a Government Order on 7.4.2011 that benefit of exemption shall be allowable from 21.1.2010. Circular has also been issued by the Chief Engineer to implement the said notification. Letter dated 24.1.2012 has been annexed to the writ petition as Annexure-16, which directs for grant of exemption after verifying the date of establishment of industry and date of grant of electricity connection. The Executive Engineer issued the order dated 1.6.2013, providing that exemption from payment of electricity duty shall be available to the petitioner for a period of 10 years i.e. till 8.9.2021. The benefit of exemption from payment of electricity duty has been provided from the date of release of power supply i.e. 9.10.2011. The petitioner received the electricity bill dated 2.11.2011 for the month of October, 2013 amounting to Rs. 52,93,258.00. The petitioner had already submitted an application on 10.7.2013 to the Executive Engineer informing that although they were entitled for exemption of 100% electricity duty from 9.10.2011 but they have been granted rebate only from the month of June, 2013. The details of month-wise electricity duty realised from the petitioner from October, 2011 to May, 2013 totalling Rs. 66,81,007/- was informed to the Executive Engineer by the aforesaid letter. The Superintending Engineer also vide letter dated 12.11.2013 wrote to the Executive Engineer to take action as per letter dated 10.7.2013 received from the petitioner. The petitioner again submitted a letter dated 14.11.2013 to the Executive Engineer praying that the electricity bill for the month of October, 2013 be adjusted from the pending electricity duty claim of the petitioner and balance be adjusted in the bill of November, 2013. The Executive Engineer issued the order dated 16.11.2013, accepting the claim of petitioner for adjustment of electricity duty amounting to Rs. 66,81,010. However, the Executive Engineer directed that adjustment shall be made beginning from the Bill of October, 2013 to July, 2014. The petitioner's claim for adjustment of electricity duty already realised from the petitioner was not accepted and the electricity of the petitioner was disconnected on 23.11.2013.

The petitioner has filed the present writ petition seeking direction to adjust the electricity duty already realised from the petitioner against

the bill dated 2.11.2013.

Learned Counsel for the petitioner submitted that the claim of the petitioner for exemption from payment of electricity duty having been accepted w.e.f. 9.10.2011 for a period of ten years, the electricity duty realised from the petitioner up to month of May, 2013 was liable to be adjusted and inspite of the request made by the petitioner, the said amount has not been adjusted and the electricity supply of the petitioner has been disconnected for non-payment of bill dated 2.11.2013. The petitioner's case is that the petitioner having been held to be entitled for exemption of electricity duty from October, 2011, the realisation of electricity duty up to May, 2013 was clearly unauthorised and the amount of electricity duty already realised from the petitioner, which is already retained with the respondents, has to be adjusted. The action of the respondents in not adjusting the same amount from the bill dated 2.11.2013 is wholly illegal and unauthorised. It is further submitted that the respondents having already admitted that electricity duty has been realised from the petitioner to the extent of Rs. 66,81,010/-, non adjustment of the said excess amount already realised, in the bill dated 2.11.2013 is arbitrary and unreasonable.

Sri. Nripendra Misra, learned counsel for the respondents submitted that it is for the respondents to adjust the payment received from the petitioner and the respondents having already decided to adjust the excess electricity duty realised from the petitioner from the month of October, 2013 to July, 2014, the petitioner can have no objection to the mode and manner of adjustment. He relied on clause 6.12 of the U.P. Electricity Supply Code 2005. Sri. Nripendra Misra submits that the certificate that the petitioner was a new unit and production started from 11.10.2011 was given by the District Industries Centre only on 3.5.2013, thereafter steps for exemption from payment of electricity duty has been taken.

We have considered the submissions of learned Counsel for the parties and have perused the record.

There is no dispute between the parties that the petitioner is a new unit having been established after issuance of exemption notification dated 21.1.2010 and is entitled for exemption from payment of electricity duty for a period of ten years from the date of establishment. The respondents have already decided to grant exemption from payment of electricity duty w.e.f. 9.10.2011, the realisation of electricity duty from the petitioner w.e.f. October, 2011 to May, 2013 is an excess payment received by the respondents from the petitioner, which requires to be adjusted. There is also no dispute between the parties that total electricity duty realised from the petitioner from October, 2011 to May,

2013 is Rs. 66,81,010. Thus, it is clearly established that the respondents have realised the electricity duty to the tune of Rs. 66,81,010/- with regard to which the petitioner is covered by exemption notification dated 21.1.2010. The respondents also did not dispute that the said payment of electricity duty is to be adjusted. The issue between the parties is only of the manner of adjustment. The petitioner had been requesting for adjustment of the said duty in electricity bill and in this regard written representation was submitted by the petitioner on 10.7.2013. When the petitioner received the bill dated 2.11.2013 for an amount of Rs. 52,93,258.00, the petitioner made a request to the respondents on 14.11.2013 which was received on 16.11.2013, stating that the bill dated 2.11.2013 be adjusted towards electricity duty already realised from the petitioner to the extent of Rs. 66,81,010/-. Non adjustment of the excess amount of electricity duty realised from the petitioner in the bill dated 2.11.2013 has given cause to the petitioner to come to this Court. The respondents have also disconnected the electricity supply of the petitioner on 23.11.2013 due to non payment of bill dated 2.11.2013.

The amount of electricity duty to the tune of Rs. 66,81,010/- has already been realised by the respondents for which amount, the petitioner has been already held to be entitled to be exempted since no electricity duty was payable from 9.10.2011. The said amount of Rs. 66,81,010/- had been realised by the respondents for which there was no liability of the petitioner, which amount is being enjoyed by the respondents and the petitioner's claim for adjustment of the said amount having also been accepted, we do not find any good reason for not adjusting the said amount in the bill dated 2.11.2013. The bill dated 2.11.2013 is for amount of Rs. 52,93,258.00 and much more amount has already been realised from the petitioner. The respondents ought to have adjusted the said amount in the bill dated 2.11.2013, which amount is already laying with the respondents. It is further to be noted that the petitioner has already represented to the respondents that the petitioner has suffered a heavy loss approximately of Rs. 2.5 crores in the year 2012-13 and the company was not in position to deposit the bill of October, 2013. When the amount of Rs. 66,81,010/- was laying with the respondents non adjustment of the said amount in the bill dated 2.11.2013 is arbitrary and unjust. Sri. Nripendra Misra has placed reliance on clause 6.12 of the Electricity Supply Code 2005 which is to the following effect.

"6.12 (1) Application of the Amount Received

In case of bill payment by the consumer, adjustments shall be made in the following order of priority:-

(a) Arrear

(b) Current charges

(c) Miscellaneous charges

Electricity Charges including Electricity Duty and Late Payment Surcharge shall be adjusted in proportion of their total amount of arrear as well as current charges."

Sri. B.C. Rai, learned Counsel for the petitioner has rightly pointed out that said clause is applicable in case of bill payment by the consumer. The present is not a case where adjustment is being made against the bill payment by the consumer rather the petitioner is praying for adjustment against the amount of electricity duty already realised from the petitioner. We are clearly of the view that the petitioner was entitled for adjustment of electricity duty already realised from the petitioner against the bill dated 2.11.2013 and non adjustment of the said amount and further disconnection of the petitioner electricity supply due to non payment of bill dated 2.11.2013 is unsustainable.

In the result, the writ petition is allowed. The respondent no. 3 is directed to adjust the bill dated 2.11.2013 as against the electricity duty already realised from the petitioner. The balance amount of electricity duty already realised shall also to be adjusted in the future bills. The respondents are directed to restore the electricity connection of the petitioner within three days from the date of production of a certified copy of the order.

The parties shall bear their own costs.

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2017 SCC OnLine All 2112

In the High Court of Allahabad
(BEFORE MAHESH CHANDRA TRIPATHI, J.)

Mahboob Ahmad Petitioner

v.

Commissioner, Moradabad and Another
Respondents

Writ - C No. - 39224 of 2017

Decided on September 14, 2017

Counsel for Petitioner:- Mohd. Aslam Khan

Counsel for Respondent:- C.S.C., Pranjali Mehrotra

The Judgment of the Court was delivered by

MAHESH CHANDRA TRIPATHI, J.:— Mahboob Ahmad, son of Ayyub Ahmad is before this Court assailing the order dated 16.6.2017 passed by the Chairman/Commissioner, Moradabad Division, Moradabad in Electricity Appeal No. C-201613001184 under Section 127 of Electricity Act, 2003 so far as the recovery of amount of Rs. 17,520/- is concerned and for direction to the respondents not to recover the amount in dispute from him.

2. Record in question reflects that the petitioner has a valid electricity connection and is paying the electricity bill regularly. The petitioner filed a complaint before the second respondent i.e. Commissioner, Moradabad Division, Moradabad on 25.4.2014 regarding irregular electricity supply on account of which the Executive Engineer lodged the first information report against the petitioner on 15.07.2014 and the same was registered as Case Crime No. 335 of 2014 under Section 135 of Electricity Act, 2003, Police Station Chandpur District Bijnor. Against the said FIR, the petitioner had preferred Criminal Misc. Writ Petition No. 13083 of 2014 and the same was disposed of on 4.8.2014. Thereafter an amount of Rs. 73,920/- was quantified by the second respondent on 15.11.2014 by way of assessment under Section 126 of the Electricity Act 2003 and the notice was sent to the petitioner for depositing assessed amount in question. When the said amount in question was not paid within time frame provided for, recovery proceedings has been initiated.

3. Thereafter on 14.10.2015 the recovery certificate was sent to the Collector, Bijnor for recovery of the said amount from the petitioner as arrears of land revenue. Against the said recovery certificate, the petitioner had filed Writ C No. 4004 of 2016 (*Mahboob Ahmad v. Electricity Corp. Ltd.*) and a Division Bench of this Court had proceeded

to dismiss the writ petition on 05.2.2016, giving liberty to the petitioner to challenge the same before the Competent Authority under provisions of Electricity Act, 2003 read with U.P. Electricity Supply Code 2005. After the order dated 5.2.2016 the petitioner filed an Appeal under Section 127 of the Electricity Act, 2003 and the said appeal has been decided by the impugned order, asking the petitioner to deposit Rs. 17,520/- only.

4. The Court has proceeded to examine the record in question and finds that admittedly in the present matter the FIR was lodged against the petitioner and an amount of Rs. 73,920/- was quantified on 15.11.2014 by way of assessment. The assessment was assailed in the appeal and by the impugned order dated 16.6.2017 the said amount has been reduced to the tune of Rs. 17,520/- only and as such, the Court is not inclined to interfere in the matter.

5. Once the Court has declined to interfere in the matter, then learned counsel for the petitioner prays that some reasonable time may be accorded so that the amount in question may be deposited.

6. In the interest of justice, the present writ petition is disposed of asking the petitioner to deposit the outstanding amount of Rs. 17,520/- within three months from today and deposit the electricity bills regularly on time.

7. This order has been passed with due assistance of Shri Pranjal Mehrotra, learned counsel appearing for the respondents.

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2014 SCC OnLine All 4417

(BEFORE VINEET SARAN AND ATTAU RAHMAN MASOODI, JJ.)

Urmila Devi (Smt.) Petitioner

v.

Dakshinanchal Vidyut Vitran Nigam Ltd. & 3

Others Respondents

Counsel for Petitioner:- Anil Kumar Shukla

Counsel for Respondent:- C.S.C., Baleshwar Chaturvedi

Writ - C No. - 17816 of 2014

Decided on March 28, 2014

Hon'ble Vineet Saran, J.

Hon'ble Attau Rahman Masoodi, J.

The submission of the learned counsel for the petitioner is that though after an inspection in the premises of the petitioner, the petitioner was alleged to be involved in theft of electricity but in the criminal case lodged against the petitioner in this regard, a final report has been filed by the police as the petitioner was not found involved in theft of electricity. According to the petitioner, the said final report has already been accepted by the competent court. The petitioner is claiming the benefit of Clause 8.2(x)(h) of the U.P. Electricity Supply Code, 2005. It is thus contended that the recovery being made from the petitioner in pursuance of the assessment order, which has been passed on the ground of the inspection report, is thus liable to be quashed.

In our view, the matter requires consideration.

Sri. R.S. Umrao has put in appearance on behalf of the respondents no. 1 and 2 and the learned Standing Counsel has accepted notice for the respondent no. 4. They pray for and are granted a month's time to file counter affidavit. The petitioner shall have two weeks thereafter to file rejoinder affidavit.

List immediately thereafter.

Considering the facts and circumstances of this case, it is directed that the recovery from the petitioner in pursuance of the impugned recovery citation dated 30.1.2014 shall remain stayed.

The name of Sri. R.S. Umrao shall also be shown as counsel for the respondents when the case is listed next.

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2017 SCC OnLine All 3167 : (2017) 178 AIC 949 : (2017) 124
ALR 194 : (2017) 137 RD 415

In the High Court of Allahabad
(BEFORE SUNITA AGARWAL, J.)

Executive Engineer, Distribution Division and
Another

Versus

Pacific Promoter

Matters Under Article 227 No. 4085 of 2017
Decided on July 20, 2017



Page: 950

The Judgment of the Court was delivered by

SUNITA AGARWAL, J.:— Heard learned Counsel for the parties. In the present petition, the question raised is with regard to the Jurisdiction of the Trial Court namely the Court of Civil Judge (Senior Division), F.T.C., Mau, to entertain and try the suit namely Original Suit No. 58 of 2009, *Pacific Promoters through Us Partners v. Managing Director, Purvanchal Power Corporation Ltd.*, for injunction.

2. The contention is that in view of the provisions of sections 126 and 127 readwith section 145 of the Electricity Act, 2003 (hereinafter referred to as the 'Act'), the suit filed by the plaintiff/respondent before the Civil Court is barred by law. Consequently, the order dated 26.4.2017 passed by the Court of Civil Judge (Senior Division), F.T.C., Mau, on the application dated 21.12.2016 paper No. 131C filed in Original Suit No. 58 of 2009 are liable to be set aside being without jurisdiction.

3. Learned Counsel for the petitioners with reference to section 145 readwith section 153 of the Act submits that the jurisdiction of the Civil Court is barred in the matter of assessment. In a case of unauthorized use of electricity under section 126 of the Act. He further submits that any offence of theft of electricity is triable under the Act. Special Courts are constituted under section 153 of the Act by notification in the Official Gazette. The Electricity Act is a Special Act and there is a complete procedure provided under the Electricity Supply Code, 2005

to deal with every issue being raised by the plaintiff. Clauses 6.1 to 6.16 as contained in Chapter 6 and Clauses 8.1 to 8.5 as contained in Chapter 8 of the Electricity Supply Code, 2005 deal with the procedure for taking cognizance in the case of theft of electricity and assessment of civil liability in such a case.

4. Learned Counsel for the plaintiff/respondent, on the other hand, submits that the declaratory relief sought in the aforesaid suit is in pursuance of the assessment made on 21.8.2007, which is the result of inclusion of alleged excess load in bill from 24.5 K.W. to 51.9 K.W. and demand of the charges thereon with interest. The demand raised *vide* bill dated 25.1.2009 has also been disputed being illegal and void. The suit has been proceeded for a period of approximately 10 years and there has been no objection with regard to the jurisdiction of the Civil Court to entertain and try the suit. At such a belated stage, no such objection can be raised. He further submits that moreover, dispute being raised by the plaintiff/respondent does not fall within the purview of section 126 read with section 127 of the Act and as such the prohibition of section 145 of the Act would not operate against the plaintiff. The jurisdiction of Civil Court, therefore, could not be said to be barred. At the best, it could be said to be a case of theft of electricity which is covered by section 135 of the Act, the bar under section 145 of the Act, in that case, would not be attracted.

5. Before dealing with the contentions of learned Counsel for the parties, it would be relevant to extract sections 126, 127, 135 and 153 of the Act as under

“Section 126 : Assessment.—(1) If on an inspection of any place or premises or after inspection of the equipments, gadgets, machines,



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devices found connected or used, or after inspection of records maintained by any person, the assessing officer comes to the conclusion that such person is indulging in unauthorized use of electricity, he shall provisionally assess to the best of his judgment the electricity charges payable by such person or by any other person benefited by such use.

(2) The order of provisional assessment shall be served upon the person in occupation or possession or in charge of the place or premises in such manner as may be prescribed.

[(3) The person, on whom an order has been served under sub-section (2) shall be entitled to file objections, if any, against the

provisional assessment before the assessing officer, who shall, after affording a reasonable opportunity of hearing to such person, pass a final order of assessment within thirty days from the date of service of such order of provisional assessment of the electricity charges payable by such person.]

(2) Any person served with the order of provisional assessment, may, accept such assessment and deposit the assessed amount with the licensee within seven days of service of such provisional assessment order upon him:

[(5) If the assessing officer reaches to the conclusion that unauthorised use of electricity has taken place, the assessment shall be made for the entire period during which such unauthorized use of electricity has taken place and if, however, the period during which such unauthorised use of electricity has taken place cannot be ascertained, such period shall be limited to a period of twelve months immediately preceding the date of inspection.]

(6) The assessment under this section shall be made at a rate equal to [twice] the tariff rates applicable for the relevant category of services specified in sub-section (5).

Explanation.—For the purposes of this section,—

(a) “assessing officer” means an officer of a State Government or Board or licensee, as the case may be, designated as such by the State Government;

(b) “unauthorised use of electricity” means the usage of electricity—

(i) by any artificial means; or

(ii) by a means not authorised by the concerned person; or authority or licensee; or

(iii) through a tampered meter; or

[(iv) for the purpose other than for which the usage of electricity was authorised; or

(v) for the premises or areas other than those for which the supply of electricity was authorized.”]

Section 127. Appeal to Appellate Authority.—(1) Any person aggrieved by the final order made under section 126 may, within thirty days of the said order, prefer an appeal in such form, verified in such manner and be accompanied by such fee as may be specified by the State Commission, to an appellate authority as may be prescribed.

(2) No appeal against an order of assessment under sub-section (1) shall be entertained unless an amount equal to [half of the assessed amount] is deposited in cash or by way of bank draft with the licensee and documentary evidence of such deposit has been

enclosed along-with the appeal.

(3) The appellate authority referred to in sub-section (1) shall dispose of the appeal after hearing the parties and pass appropriate



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order and send copy of the order to the assessing officer and the appellant.

(4) The order of the appellate authority referred to in sub-section (1) passed under sub-section (3) shall be final.

(5) No appeal shall lie to the appellate authority referred to in sub-section (1) against the final order made with the consent of the parties.

(6) When a person defaults in making payment of assessed amount, he, in addition to the assessed amount shall be liable to pay, on the expiry of thirty days from the date of order of assessment, an amount of interest at the rate of sixteen per cent, per annum compounded every six months.

Section 135. *Theft of Electricity*:— [(1) Whoever, dishonestly,—

- (a) taps, makes or causes to be made any connection with overhead, underground or under water lines or cables, or service wires, or service facilities of a licensee or supplier as the case may be; or
- (b) tampers a meter, installs or uses a tampered meter, current reversing transformer, loop connection or any other device or method which interferes with accurate or proper registration, calibration or metering of electric current or otherwise results in a manner whereby electricity is stolen or wasted; or
- (c) damages or destroys an electric meter, apparatus, equipment, or wire or causes or allows any of them to be so damaged or destroyed as to interfere with the proper or accurate metering of electricity,
- (d) uses electricity through a tampered meter; or
- (e) uses electricity for the purpose other than for which the usage of electricity was authorised,

so as to abstract or consume or use electricity shall be punishable with imprisonment for a term which may extend to three years or with fine or with both:

Provided that in a case where the load abstracted, consumed, or used or attempted abstraction or attempted consumption or attempted use—

- (i) does not exceed 10 kilowatt, the fine imposed on first conviction shall not be less than three times the financial gain on account of such theft of electricity and in the event of second or subsequent conviction the fine imposed shall not be less than six times the financial gain on account of such theft of electricity;
- (ii) exceeds 10 kilowatt, the fine imposed on first conviction shall not be less than three times the financial gain on account of such theft of electricity and in the event of second or subsequent conviction, the sentence shall be imprisonment for a term not less than six months, but which may extend to five years and with fine not less than six times the financial gain on account of such theft of electricity:

Provided further that in the event of second and subsequent conviction of a person where the load abstracted, consumed, or used or attempted abstraction or attempted consumption or attempted use exceeds 10 kilowatt, such person shall also be debarred from getting any supply of electricity for a period which shall not be less than three months but may extend to two years and shall also be debarred from getting supply of electricity for that period from any other source or generating station:



Provided also that if it is proved that any artificial means or means not authorized by the Board or licensee or supplier, as the case may be, exist for the abstraction, consumption or use of electricity by the consumer, it shall be presumed, until the contrary is proved, that any abstraction, consumption or use of electricity has been dishonestly caused by such consumer.

(1-A) Without prejudice to the provisions of this Act, the licensee or supplier, as the case may be, may, upon detection of such theft of electricity, immediately disconnect the supply of electricity:

Provided that only such officer of the licensee or supplier, as authorized for the purpose by the Appropriate Commission or any other officer of the licensee or supplier, as the case may be, of the rank higher than the rank so authorised shall disconnect the supply line of electricity:

Provided further that such officer of the licensee or supplier, as the case may be, shall lodge a complaint in writing relating to the commission of such offence in police station having jurisdiction

within twenty four hours from the time of such disconnect:

Provided also that the licensee or supplier, as the case may be, on deposit or payment of the assessed amount or electricity charges in accordance with the provisions of this Act, shall, without prejudice to the obligation to lodge the complaint as referred to in the second proviso to this clause, restore the supply line of electricity within forty-eight hours of such deposit or payment.]

(2) [Any officer of the licensee or supplier as the case may be,] authorized in this behalf by the State Government may—

- (a) enter, inspect, break open and search any place or premises in which he has reason to believe that electricity [has been or is being,] used unauthorised ^;
- (b) search, seize and remove all such devices, instruments, wires and any other facilitator or article which has been, or is being, used for unauthorized use of electricity;
- (c) examine or seize any books of account or documents which in his opinion shall be useful for or relevant to, any proceedings in respect of the offence under sub-section (1) and allow the person from whose custody such books of account or documents are seized to make copies thereof or take extracts therefrom in his presence.

(3) The occupant of the place of search or any person on his behalf shall remain present during the search and a list of all things seized in the course of such search shall be prepared and delivered to such occupant or person who shall sign the list:

Provided that no inspection, search and seizure of any domestic places or domestic premises shall be carried out between sunset and sunrise except in the presence of an adult male member occupying such premises.

(4) The provisions of the Criminal Procedure Code, 1973, relating to search and seizure shall apply, as far as may be, to searches and seizure under this Act.

Section 153. Constitution of Special Courts.— (1) The State Government may, for the purposes of providing speedy trial of offences referred to in [sections 135 to 140 and section 150], by notification in the Official Gazette, constitute as many Special Courts as may be necessary for such area or areas, as may be specified in the notification.

(2) A Special Court shall consist of a Single Judge who shall be appointed by the State Government with the concurrence of the High Court.

(3) A person shall not be qualified for appointment as a Judge of a Special Court unless he was, immediately before such appointment, an Additional District and Sessions Judge.

(4) Where the office of the Judge of a Special Court is vacant, or such Judge is absent from the ordinary place of sitting of such Special Court, or he is incapacitated by illness or otherwise for the performance of his duties, any urgent business in the Special Court shall be disposed of—

(a) by a Judge, if any, exercising jurisdiction in the Special Court;

(b) where there is no such other Judge available, in accordance with the direction of District and Sessions Judge having jurisdiction over the ordinary place of sitting of Special Court, as notified under sub-section (1)."

6. So far as the scope of section 135 of the Act is concerned, the same pertains to the criminal offence punishable under sub-section (1) of section 136 which implies imprisonment of not less than six months, which may be extended to five years alongwith fine. The Special Courts have been constituted under section 153 of the Act for the area of jurisdiction in which such an offence is committed. The procedure for trial has been, provided under section 154 of the Act readwith Clauses 8.1 to 8.5 of the Electricity Supply Code, 2005.

7. So far as civil liability is concerned, the same can be imposed only after assessment is made under section 126 of the Act which includes assessment of liability in case of unauthorized use of electricity. The remedy of appeal is provided under section 126 of the Act against the order of assessment. The demand raised by the defendants/petitioner would, thus, fall under section 126 of the Act and under section 145 of the Act, the jurisdiction of Civil Court has been expressly taken away.

8. Section 9 of the Code of Civil Procedure provides for exclusion of, the jurisdiction of Civil Court barred with regard to a such matter where where there is an express provision or the jurisdiction has been taken away by implied bar. In the instant case, there is an express exclusion under section 145 of the Electricity Act, 2003 of the jurisdiction of the Civil Court to entertain and try such suit. The aforesaid Act has been framed to deal with all disputes relating to supply and use of electricity and also contain provisions to protect the interest of consumers. It is a complete Code in itself.

9. In view of the above discussion, looking to the relief claimed in the plaint and the plaint averments, this Court is of the view that the Civil Court was lacking in jurisdiction and has erred in entertaining and

trying the suit for the relief prayed for *i.e.*, declaration to hold the checking report and the assessment, as illegal and void. The said prayer could very well be addressed by the statutory authorities/Tribunal under the scheme of the Act.

10. Learned Counsel for the respondent, in his defence, however, has placed reliance upon the Judgment of the Punjab and Haryana High Court in *Punjab State Electricity Board, v. Guru Nanak Agriculture Engineering Works*.¹

11. For the reasons noted above, this Court is not convinced to agree, with due respect, with the above judgment.



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12. As to the stage of the proceeding is concerned, it is settled law that the plea of lack of jurisdiction can be raised at any time of the proceedings. The logic behind this principle is that every Court has to satisfy itself about it having jurisdiction before proceeding to entertain and try the suit. The proceedings of the Original Suit No. 58 of 2009, *Pacific Promoters through its Partners v. Managing Director, Purvanchal Power Corporation Ltd.*, are, therefore, set aside. The said suit is dismissed being barred by section 145 of the Electricity Act, 2003. The plaint is rejected under Order VII, Rule 14 of the Code of Civil Procedure.

13. The petition is, accordingly, allowed.

14. *Petition Allowed.*

¹ AIR 2007 P&H 57 : (2007) 56 AIC 461 (P&H).

2006 SCC OnLine All 2304

In the High Court of Allahabad
Court No. 10
(BEFORE A.K. YOG AND V.C. MISRA, JJ.)

Om Prakash

Versus

Dakshinanchal Vidyut Vitran Nigam Ltd. and others

Civil Misc. Writ Petition No. 35303 of 2006

Decided on July 10, 2006

JUDGMENT

1. Heard learned counsel for the petitioner as well as the learned counsel representing contesting respondents. Perused the record of this petition.

2. Admittedly a surprise checking was done on 15.2.2006 and petitioner was suspected of committing theft of power. Checking report is also submitted (Annexure 1 to the Writ Petition). According to the petitioner he has also deposited a sum of Rs. 50,000/- by way of compounding. It is clear case of theft subject, however, to the decision of the competent authority if the same is challenged. Prima facie and at this stage petitioner cannot plead that it is not a case of theft. It may be stated that petitioner had approached this Court earlier by filing Writ Petition No. 19501 of 2006, *Om Prakash v. Dakshinanchal Vidyut Vitran Nigam Ltd. Agra*. Photostat copy of the judgment and order dated 10.5.2006 passed in the aforesaid Writ Petition shows that petitioner has withdrawn the said Writ Petition on the statement that he shall approach for alternative remedy provided under The Electricity Act, 2003 and Uttar Pradesh Electricity Code, 2005. The said judgment further shows that request of the petitioner for granting ad-interim injunction was refused. We have perused the provisions of the Electricity Act, 2003 as well as Uttar Pradesh Electricity Supply Code, 2005 (chapter 8). We find that relevant statute contains exhaustive scheme dealing with such cases.

3. Section 153, The Electricity Act, 2003 contemplates constitution of Special Courts which are empowered under Section 154 of the said Act to deal with the criminal as well as civil liability. If petitioner is aggrieved inspite of his objections not being favourably accepted by the authority adjudicating the issue, he can approach the Special Court for the same. Apparently by depositing compounding fee petitioner will be deemed to be acquitted of the offence of the theft as provided under Section 154 of the Act, 2003. However, it does not allow to escape civil

liability which has to be determined and adjudicated by Special Court if consumer is aggrieved.

4. In that view of the matter petitioner has an adequate alternative remedy.

5. Petition is, accordingly, dismissed in limine on the ground of alternative remedy.

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2020 SCC OnLine All 538

In the High Court of Allahabad at Lucknow
(BEFORE SAURABH SHYAM SHAMSHERY, J.)

Abdul Ajij ... Petitioner;

Versus

State of U.P. and Others ... Respondents.

WRIT - C No. - 5708 of 2020

Decided on May 7, 2020

Advocates who appeared in this case :

Gaurav Pundir, Counsel for the Petitioner;

C.S.C., Chandan Agarwal, Counsel for the Respondent.

JUDGMENT

1. This writ petition is taken up in the chamber as an urgent one during the lock-down period due to COVID 19 Pandemic.

2. Perused the records.

3. The petitioner is aggrieved by the order dated 02.12.2019 passed under Section 127 of the U.P. Electricity Act, 2003, whereby the appeal filed by the petitioner was rejected on the ground of non depositing of half of the assessed amount as prescribed under Section 127 (2) of the Act, 2003.

4. The contention of learned counsel for the petitioner is that he has deposited the amount as prescribed under the Uttar Pradesh Electricity Supply Code, 2005.

5. There is no need to issue notice to the respondents as they are represented by their respective counsel.

6. List the matter on 02.7.2020.

7. Meanwhile, counter and rejoinder affidavits may be filed.

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2014 SCC OnLine All 8036

(BEFORE KRISHNA MURARI AND VIJAY LAKSHMI, JJ.)

Radhe Shyam Singh Petitioner

v.

State of U.P. and 2 Ors. Respondents

Counsel for Petitioner:- Jagriti Singh, Ekta Kaur

Counsel for Respondent:- C.S.C., Mahboob Ahmad

Writ - C No. - 30266 of 2014

Decided on May 28, 2014

Hon'ble Krishna Murari, J.

Hon'ble Mrs. Vijay Lakshmi, J.

Petitioner has approached this Court seeking the following main reliefs:

“(i) issue a writ, order or direction in the nature of mandamus commanding and directing the respondent no. 2 to provide the new electricity connection to the petitioner.

(ii) issue a writ, order or direction in the nature of mandamus commanding and directing the respondents no. 1 and 2 to consider the representation of the petitioner dated 16.08.2013 and 12.08.2013.”

Above relief has been claimed in the back-drop of the facts that the petitioner is in occupation of premises no. J-12/95-95A, Narsingh Tila, Durvasha Ashram, Ramanand Nagar Dhupchandi, Varanasi as a tenant of the owner/landlord of the premises, the respondent no. 3. On account of on-going dispute with the landlord and in order to create pressure to vacate the premises, the electricity connection of the premises was disconnected by the landlord. Petitioner applied for grant of new electricity connection before the respondent no. 2 on 12.06.2013.

It is alleged that the electricity connection is not being granted to the petitioner on account of objection being raised by respondent no. 3, landlord of the premises.

Section 43 of the Electricity Act, 2003 provides that it is the duty of every licensee to give supply of electricity to the owner or occupier of any premises within its area.

In the case in hand instead of ensuring supply of electrical energy to

the occupation of the premises in question in accordance with the provisions of Section 43 of the Electricity Act, the respondent-Corporation is not granting new connection on account of objection by the landlord. Refusal of the landlord to give consent for installing new electricity connection in the premises which is in occupation of a tenant cannot constitute a ground to refuse new connection as there is a legal duty cast upon the licensee under Section 43 of the Electricity Act.

The view taken by us finds support from the judgment of the Hon'ble Apex Court in the case of *Chandu Khamaru v. Nayan Malik* (2011) 12 SCC 314. The same view has again been taken by the Hon'ble Apex Court in the judgment and order dated 25.06.2013 passed on Writ Petition (Crl.) No. 103 of 2013, *Dr. Meena Chaudhary @ Dr. Meena P.N. Singh v. BSES Rajdhani Power Limited*, copy whereof has been produced before us by the learned counsel for the petitioner.

In view of the aforesaid facts and circumstances, the petitioner is entitled for the relief claimed.

We, accordingly, issue a mandamus directing the respondent no. 2 to ensure the installation of new electricity connection in the premises of the petitioner in his name subject to his completing all the necessary formalities provided under the U.P. Electricity Supply Code, 2005. The connection shall be provided expeditiously, preferably, within a period of two weeks from the date of making of the necessary application and completing all necessary formalities by the petitioner. Writ petition stands disposed of.

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2016 SCC OnLine All 3479 : (2016) 6 All LJ 385 : (2017) 121 ALR
29

In the High Court of Allahabad
(BEFORE TARUN AGARWALA AND VIPIN SINHA, JJ.)

Ram Bahadur

Versus

State of U.P. and others.

Civil Misc. Writ Petition No. 39477 of 2016

Decided on September 7, 2016

TARUN AGARWALA, J.:— We have heard Sri. Harish Chandra Singh, the learned counsel for the petitioner and Sri. Krishna Agarawal, the learned counsel for the Electricity Department.

2. The petitioner applied for an electric connection for the purpose of running a tubewell. After completion of necessary formalities an electric connection was granted by the Electricity Department on 14.04.2015.

3. It transpires that the Electricity Department carried out an inspection and found that the petitioner was using the electricity unauthorizedly by-passing the meter and using it for running an “Aata Chakki”. An inspection report dated 03.06.2015 was filed, based on which a provisional assessment order was issued on 12.06.2015 for a sum of Rs. 5,73,682/-. The petitioner filed its objection on 20.07.2016, which was considered and rejected and a final assessment order for a sum of Rs. 5,73,682/- was passed on 27.10.2015. A recovery citation dated 20.08.2016 was issued. The petitioner, being aggrieved by the recovery citation and the final assessment order has filed the present writ petition.

4. A perusal of the final assessment order dated 27.10.2015 indicates that the calculation has been made on the basis of a formula contained in Annexure-6.3 prescribed under the Electricity Supply Code, 2005 (hereinafter referred to as the Code).

5. In order to understand the controversy it would be relevant to mention a few provisions of the Act and the Code. Assessment is required to be made under Section 126 of the Electricity Act, 2003 (hereinafter referred to as the Act). Section 126(5) of the Act states as under:



“(5) If the assessing officer reaches to the conclusion that unauthorised use of electricity has taken place, the assessment shall be made for the entire period during which such unauthorised use of electricity has taken place and if, however, the period during which such unauthorised use of electricity has taken place cannot be ascertained, such period shall be limited to a period of twelve months immediately preceding the date of inspection.”

6. The aforesaid provision indicates that if the Assessing Officer finds that unauthorized use of electricity had taken place, in that case, assessment shall be made for the entire period during which the unauthorized use of electricity had taken place and if the period of such unauthorized use of electricity could not be ascertained, in such case the period would be limited to a period of twelve months immediately preceding from the date of inspection.

7. The procedure for making the assessment has been given under Clause 6.8 of the Code. Clause 6.8(c)(iii) of the Code provides as under:

“(iii) If the assessing officer reaches to the conclusion that unauthorized use of electricity has taken place, the assessment shall be made for the entire period during which such unauthorized use of electricity has taken place and if, however, the period during which such unauthorized use of electricity has taken place cannot be ascertained, such period shall be limited to a period of twelve months immediately preceding the date of inspection for all categories of services, and he shall provisionally assess the consumption as per the procedure specified in Annexure 6.3.

Note.—The assessing officer can draw ‘conclusions’ that unauthorized use of electricity has taken place, based on findings that reveal existence of conditions of “unauthorized use of electricity” given in “Explanation” of clause 6.8, and evidence found suggests that unauthorized use of electricity was not made with ‘dishonest’ intentions, but due to ignorance of procedure or rules or compulsions that only warrant a suitable assessment commensurate with the Act.”

8. The formula given under Annexure-6.3 of the Code, is extracted hereunder:

Annexure 6.3 (Ref. Clause 6.8(c)(iii) & 8.1(b)(iv)

A). Assessment in case of unauthorized use of electricity

1. Units Assessed = $L * F * D * H$.

Where L = is the connected load in kW and in KVA where KVAh rate is applicable.

H = is the actual No. of hours the supply is made available on the

feeder if available for the period, or average number of hours per day the supply is made available for different categories as below:

- a) Single shift industry (Day/night only), Agriculture: 10 hrs
- b) Non-continuous industry (Day/night only): non-domestic general including restaurants, Hotels, guest-houses, petrol pumps, and nursing homes and private hospitals: 20 hrs
- c) Continuous process industry: 24 hrs
- d) Domestic: 8 hrs
- e) Temporary connections: 12 hrs

D = Period during which such unauthorized use of electricity has taken place, and if, however, the period during which such unauthorized use of electricity has taken place cannot be ascertained, such period shall be limited to a period of 12 months (365 days) immediately preceding the date of inspection.

Note: For determining the 'actual period' of unauthorized use, the assessing officer shall satisfy himself by (i) the report of meter reader/Junior engineer of the facts reporting first instance of the unauthorized use detected (ii) Further scanning by the assessing officer, by checking previous consumptions, and 'tamper' evidence from meter reading records, MRI reports etc. (iii) Any other record or evidence acquired from the connected premise/installation or site.

F = connected load factor for different types of supply as given below:

- a) For L & F and domestic power consumers $F = 0.30$
- b) For non-domestic L & F and power consumers $= 0.50$
- c) For Small and Medium power consumers $F = 6.50$



- d) For large and heavy power consumer $F = 0.75$
- e) Agriculture $F = 0.30$
- f) Categories not covered above $F = 0.50$

2. The consumption so assessed shall be charged at one and half times the rate per unit of the tariff applicable to the consumer category after adjusting the amount paid by the consumer/person for the energy consumption assessed for the assessment period if any. The amount billed at this rate (one and half times rate) shall not be taken into consideration for the purpose of computing consumer's liability to pay monthly/annually minimum charges,

wherever applicable.

3. In cases where fix monthly tariff exist, monthly assessment shall be made at one and half times the monthly rate.

4. For the case where the usage of electricity is for premises or areas other than those for which the supply of electricity was authorized, the procedure mentioned at Sl. No. 1 to 3, shall be followed.”

9. Section 126(5) of the Act clearly indicates that where unauthorized use of electricity is found to have taken place, the assessment would be made for the entire period in which such unauthorized use of electricity had taken place and if the period cannot be ascertained then such period would be limited to a period of 12 months immediately preceding the date of inspection. Clause 6.8(c)(iii) of the Code also speaks of the same thing. The assessment has been made on the basis of formula indicated in Annexure-6.3 of the Code.

10. We are confining the present controversy to the criteria ‘D’ indicated in the formula which relates to the determination of the period during which such unauthorized use of electricity had taken place. The “Note” indicated in Annexure 6.3 of the Supply Code, 2005 indicates that for determining the “actual period” of unauthorized use of electricity, the Assessing Officer has to satisfy himself, which would become the actual period of unauthorized use.

11. In the instant case, we find that there has been no determination of the actual period of unauthorized use of the electricity by the Assessing Officer. No satisfaction has been recorded by the Assessing Officer. On the other hand, without application of mind and mechanically, a period of twelve months, i.e., 365 days has been determined as the actual period of unauthorized use based on which the assessment order has been passed.

12. This determination of 365 days is patently erroneous. This 365 days can only be used for making the assessment, when the Assessing Officer is satisfied that the actual period of unauthorized use cannot be ascertained. In the instant case, the electricity connection was granted on 14.04.2015. The unauthorized use of electricity was found during the course of inspection after two months on 03.06.2015. The period of unauthorized use can be determined from the date when the connection was granted, i.e., from 14.04.2015 onwards. Unauthorized use of energy cannot be extended prior to the date of connection nor there can be a deemed presumption of unauthorized use of electricity for twelve months or 365 days, which precedes the date of actual date of connection being granted. We are of the opinion that when the electricity connection was granted on 14.04.2015 unauthorized use of energy at best can be determined from that date onwards.

13. Learned counsel for the respondents has placed reliance upon a

decision of Supreme Court in *J.M.D. Alloys Ltd. v. Bihar State Electricity Board*, (2003) 5 SCC 226 : (AIR 2003 SC 1354) and decisions of this Court in *Lalit Kumar Kapoor v. Kanpur Electricity Supply Company, Kanpur*, 2011 (10) ADJ 484 : (2012 (2) ALJ 63) and in *Sri. Bhagwan Gupta v. Kanpur Electricity Supply Company Ltd.*, 2005 (2) AWC 1269.

14. The said decisions are distinguishable inasmuch as the period of unauthorised use of electricity could not be established and consequently, the maximum period was taken into consideration for computation of the assessment as per the formula. In the instant case, the period is determined namely, from the date of grant of the electricity connection.

15. In the light of the aforesaid, the recovery certificate dated 20.08.2016 and the as-sessment



Page: 388

order dated 27.10.2015 cannot be sustained and are quashed. The writ petition is allowed. The Executive Engineer is directed to pass a fresh assessment order in the light of the observations made above.

16. *Petition allowed.*

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2023 SCC OnLine All 890

In the High Court of Allahabad

(BEFORE MAHESH CHANDRA TRIPATHI AND PRASHANT KUMAR, JJ.)

Deepak Jain ... Petitioner;

Versus

State of U.P. and Others ... Respondent.

Writ - C No. - 24689 of 2023

Decided on September 4, 2023

Advocates who appeared in this case :

Counsel for Petitioner:- Samarth Sinha, Vijay Sinha

Counsel for Respondent:- C.S.C., Baleshwar Chaturvedi, Gaurav Tripathi, Krishna Agarawal

ORDER

1. Advocates are abstaining from judicial work. Learned Additional Chief Standing Counsel is present.

2. Petitioner claims to be a tenant and living in portion of premises bearing No. 9/317, First Floor, Moti Katra, Agra. It is further claimed that petitioner has applied for new electricity connection in the premises in his name and the application of petitioner was allotted Service No. 705146923 on 12.09.2022 and thereafter an inspection of the premises was also carried out by the respondent authorities but till date connection has not been provided and as such, the petitioner is before this Court seeking a direction in the nature of mandamus to command the respondent no. 4 to provide electricity supply/connection in the name of petitioner at the premises.

3. Admittedly, the electricity connection is sought by the petitioner being tenant. It is worth to mention that supply of electricity monopolized by U. P. Power Corporation is essential for life and it is impossible to live without electricity and the same cannot be negated. The Division Bench of this Court in Writ C No. 28295/2014 (*Seema Mansoor v. U.P. Power Corporation Ltd.*) has held that an application for grant of electricity connection cannot be refused by licensee on the ground that there is no consent of the landlord. It is further observed that from the scheme of the Act and the duties cast upon the licensee and right conferred upon the person making application for supply of electrical energy in case he submits indemnity bond, a lessee/tenant or occupier cannot be refused electricity connection merely for want of consent of the landlord. Thus, it is clear that the application of the petitioner can always be considered as per Clause 4.4 read with

Annexure 4.2 and Annexure 4.3 of Electricity Supply Code 2005, which provides either for consent letter of owner of the premises or in the absence thereof indemnity bond is to be furnished by the lessee/tenant or occupier of the premises.

4. Considering the facts and circumstances of the case, no useful purpose would be served in keeping the writ petition pending consideration. The writ petition is *disposed of* asking the respondent/competent authority to consider the application of petitioner, if not yet done, in accordance with law and take appropriate decision in four weeks period but certainly after hearing the parties having stake in the matter.

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2008 SCC OnLine All 2573

In the High Court of Allahabad
(BEFORE JANARDAN SAHAI AND S.P. MEHROTRA, JJ.)

Awadhesh Kumar Yadav

Versus

State Of U.P. and Others

Writ - C No. 16947 of 2008

Decided on April 15, 2008

JUDGMENT

The petitioner was given an electric connection in respect of tube well. The petitioner is aggrieved by the bill of electricity dated 15.2.08 for a sum of Rs. 1,11,966/-. Counsel for the petitioner submitted that in the year 2000 the transformer through which the petitioner was connected was removed and the petitioner ceased to get any electricity supply and therefore the bill raised against the petitioner is wholly illegal. Counsel for the petitioner relied upon the averments made in para 22 of the writ petition in which it has been alleged that the petitioner deposited a sum of Rs. 13,000/- on 10.10.2000 vide receipt no. 112748/32 but the electricity was not restored.

Sri H.P. Dubey on instructions having been received from the Power Corporation states that the supply of the petitioner was not disconnected but only the transformer was shifted to another place and that the dues shown in the bill are correct but the electricity has been disconnected on account of non payment of bill on 7.2.08. He also states that the petitioner is already pursuing the matter before the District Consumer Forum, Agra. He also submits that the petitioner has a remedy of approaching the Executive Engineer under clause 6.5 of the Electricity Supply Code, 2005. In view of the alternative remedy available it is not a fit case for interference under Article 226 of the Constitution of India. In the circumstances as the dispute raised in this petition is factual one, it is appropriate that the petitioner may avail the remedy either before the District Consumer Forum or before the Executive Engineer. If the petitioner files objection before the Executive Engineer the same shall be disposed of by him expeditiously. The writ petition is accordingly disposed of.

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2018 SCC OnLine All 4521

In the High Court of Allahabad
(BEFORE SHASHI KANT GUPTA AND RAJIV GUPTA, JJ.)

Muneshwar Prasad Baranwal Petitioner;

v.

U.P. Power Corporation Ltd. and Another
Respondent.

Writ - C No. - 22691 of 2018

Decided on July 10, 2018

Advocates who appeared in this case :

Counsel for Petitioner:- Rajesh Kumar Dubey, Manoj Kumar Maurya

Counsel for Respondent:- Abhishek Srivastava, Kapil Dev Singh Rathore

1. This writ petition has been filed, inter alia, for quashing the impugned recovery notice dated 26.5.2018 issued by the respondent no. 2.

2. Heard learned counsel for the petitioner and Mr. Kapil Dev Singh Rathore, learned counsel appearing on behalf of the U.P. Power Corporation.

3. Learned counsel for the petitioner submits that in the year 1990 the petitioner was granted electricity connection for running a Nalkoop. Later on, the said electricity supply was permanently disconnected by the electricity department vide order dated 27.5.1999. He further submits that after lapse of almost 19 years, the petitioner has been served with a notice on 26.5.2018 demanding a sum of Rs. 4,32,081.00/- as outstanding dues of electricity, whereas the electricity connection of the petitioner has already been disconnected about 19 years ago. Relying upon the provisions contained under sub clause (b) of Section 6.15 of the Electricity Supply Code, 2005, he further submitted that the said amount can not be recovered by the electricity department after lapse of such a long period. He further submits that since by order dated 27.5.1999, the electricity supply of the petitioner was permanently disconnected and thereafter the petitioner was neither having any electricity connection nor the electricity was being supplied to his factory, he can not be held liable to pay the aforesaid amount as mentioned in the impugned recovery notice for the period during which the electricity supply was permanently disconnected and the impugned notice is liable to be quashed by this court.

4. From perusal of the order sheet, it transpires that by order dated

5.7.2018, learned Standing Counsel was granted time to seek instructions in the matter but today he has stated that he has not yet received any instruction.

5. Considering the peculiar facts and circumstances of the case, we find that the submissions made by learned counsel for the petitioner, prima facie, have some substance.

6. The matter requires consideration.

7. Mr. Kapil Dev Singh Rathor, who has accepted notice on behalf of the electricity department, prays for and is allowed three weeks' time to file counter affidavit. Two weeks thereafter is granted to file rejoinder affidavit.

8. List thereafter.

9. Until further orders of this court, the operation of the impugned recovery notice dated 26.5.2018 issued by the respondent no. 2 shall remain stayed.

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2018 SCC OnLine All 3174

In the High Court of Allahabad
(BEFORE PANKAJ MITHAL AND PANKAJ BHATIA, JJ.)

Vikas Gupta and Another Petitioners;

v.

State of U.P. and 2 Others Respondents.

Writ - C No. - 40668 of 2018

Decided on December 20, 2018

Counsel for Petitioner:- Satyaveer Singh

Counsel for Respondent:- C.S.C., Pankaj Srivastava

ORDER

1. Petitioners are having an electric connection in the name of their father and grand-father Munshi Lal Gupta.

2. The aforesaid electricity connection was checked on 07.09.2017 and again on 19.01.2018. The petitioners were found using electricity in an unfair manner and accordingly a case of theft of electric energy was registered on the basis of both the above checking on the same day. The petitioners were provisionally assessed for the use of electricity on 26.09.2017 and 01.02.2018 respectively but no objections to the said assessment were submitted by any of the petitioners.

3. Accordingly, treating the provisional assessment to be final demand notices were sent to the petitioners by registered post on 21.12.2017 and 01.05.2018 respectively.

4. It is in view of the aforesaid facts and circumstances that the impugned demand of electricity dues has been raised against the petitioners.

5. The submission of learned counsel for the petitioners is that the petitioners were never served with any notice as alleged before issuing the impugned recovery certificates.

6. The question of service of notice is a matter dependent upon facts which can more appropriately, we dealt with if the petitioners prefer appeal under Section 127 of the Electricity Act, 2003 against the final assessments. Moreover, the petitioners if want to make the payment in installments as alleged, they can move to the Executive Engineer for fixation of installments in accordance with Section 6.14 of the Electricity Supply Code, 2005.

7. In view of the above alternative remedies available to the petitioners, we are not inclined to entertain this petition. It is

dismissed on the ground of alternative remedy with liberty to the petitioners to avail them as may be advised.

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2017 SCC OnLine All 2246

In the High Court of Allahabad

(BEFORE AMRESHWAR PRATAP SAHI AND RAJIV LOCHAN MEHROTRA, JJ.)

Sultan Khan Petitioner

v.

State of U.P. and 2 Others Respondents

Writ - C No. - 33710 of 2017

Decided on August 1, 2017

Counsel for Petitioner:- Anshul Kumar Singhal, Anshul Kumar Singhal

Counsel for Respondent:- C.S.C., Pranjal Mehrotra

ORDER

1. Heard learned counsel for the petitioner.

2. Learned counsel for the petitioner has only made a prayer that a direction be issued to the Executive Engineer concerned for considering his application for fixing installments in respect of the electricity dues that is relizable from the petitioner, which the petitioner does not dispute.

3. In view of the aforesaid position, Sri. Pranjal Mehrotra, learned counsel for the respondent-Electricity Department submits that an appropriate direction can be issued to the respondent no. 3 in this regard.

4. This writ petition is, therefore, disposed of with a direction to the third respondent in terms of Clause 6.14 of the Electricity Supply Code, 2005 and the Executive Engineer concerned shall proceed to pass an appropriate order within four weeks from the date of production of the certified copy of this order.

5. Writ petition is disposed of with the aforesaid direction.

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2019 SCC OnLine All 3289

In the High Court of Allahabad

(BEFORE GOVIND MATHUR, C.J. AND SAURABH SHYAM SHAMSHERY, J.)

Veerendra Kumar Jain Petitioner;

v.

State of U.P. and Others Respondents.

Writ - C No. - 281 of 2011

Decided on April 2, 2019

Advocates who appeared in this case :

Counsel for Petitioner:- Rahul Chaudhary

Counsel for Respondent:- C.S.C, Rajesh Tripathi

1. This petition for writ is preferred to have reliefs as follows:—

“i. to issue a writ, order or direction in the nature of certiorari quashing the two bills raised simultaneously for electricity connection no. 068335;

ii. to issue a writ, order or direction in the nature of mandamus directing the respondents to rectify the bills relating to electricity connection no. 068335;

iii. to issue a writ, order or direction in the nature of mandamus restraining the respondents from making any recovery from the petitioner against any illegal demands raised for the present electricity connection bearing electricity connection no. 068335.”

2. At the threshold, it is submitted by learned counsel for the respondent - Electricity Company that as per the Electricity Supply Code, 2005 (hereinafter referred to as “Code, 2005”), the petitioner may raise his grievance before the Consumer Grievance Redressal Forum and Ombudsman under para 7.10.

3. It is brought to our notice that reference of such forum has also been given in accordance with the provisions of para 7.10 in the electricity consumer bill which is available on record at page 32.

4. Having considered the provisions of para 7.10 of the Code, 2005, we deem it appropriate to relegate the petitioner to avail remedy under para 7.10 of the Code, 2005. The petitioner if submits any application to the Consumer Grievance Redressal Forum and Ombudsman prescribed under para 7.10 aforesaid then the same shall be considered on merits within a period of 45 days subsequent thereto.

5. Till disposal of the application, interim order passed by this Court on 06.01.2011 shall remain in currency.

6. With the directions above, the writ petition stands disposed of.

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2009 SCC OnLine All 829 : (2009) 6 All LJ 1 (DB) : (2009) 77 ALR
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Allahabad High Court
(BEFORE ASHOK BHUSHAN AND R.A. SINGH, JJ.)

M/s. Paliwal Alloys (Pvt.) Ltd.

Versus

U.P. Power Corporation Ltd. & Ors.

C.M.W.P. No. 35248 of 2009

Decided on July 31, 2009



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JUDGMENT

1. Heard Sri Ranjit Saxena and Sri Vishal Dixit, learned counsels appearing for the petitioner and Sri B.P. Singh Dhakrey and Sri H.P. Dubey learned counsel appearing for the respondents.

2. By this writ petition, the petitioner has prayed for quashing the order dated 10th June, 2009 issued by the Executive Engineer, Dakshinanchal Vidyut Vitran Nigam, Limited and the citation dated 29th June, 2009 issued by the Tahsildar, Kol, Aligarh. Brief facts of the case, as emerge from the pleadings of the parties, are; the petitioner, which is a registered company, has been sanctioned load of 1500 KVA by the respondents. A checking was conducted by the respondents of the premises of the petitioner on 14th June, 2006. A first information report was also lodged against the petitioner. The assessment bill alleging theft of electricity was issued on 13th July, 2006 for an amount of Rs. 84,33,146/-. Against the aforesaid assessment order a writ petition being Writ Petition No. 38611 of 2006 was filed by the petitioner which was disposed of by a Division Bench of this Court on 3rd August, 2006 directing the petitioner to file an appeal and to deposit an amount of Rs. 10,00,000/- along with the appeal as provided under the Electricity Act, 2003 within a period of three weeks and the appellate authority was directed to decide the appeal within a period of six weeks thereafter. It was further provided that till the decision of the appeal, there would be no realization against the petitioner. Against the order dated 3rd August, 2006 the petitioner filed a Special Leave to Appeal (Civil) No. 13533 of 2006, which was dismissed on 25th August, 2006.

however, time to deposit Rs. 10,00,000/- was extended by one week. The petitioner thereafter deposited an amount of Rs. 10,00,000/- on 31st August, 2006 and submitted an appeal, which has been registered as Statutory Complaint No. 46 of 2007 under Section 127 of the Electricity Act, 2003. The appeal was admitted on 16th June, 2008 and is said to be still pending before the Commissioner, Agra Division, Agra. The Corporation also filed Special Leave to Appeal (Civil) No. 15484 of 2006 in the Supreme Court against the Division Bench judgment of this Court dated 3rd August, 2007 in which the Apex Court on 25th September, 2006 issued notice and granted four week's time to file reply. The said special leave to appeal (civil) is pending before the Apex Court. On 27th November, 2006 the respondents imposed penalty of Rs. 68,31,808.00 as "peak hour penalty" for the period 24th November, 2002 to 8th February, 2003. The petitioner against the peak hour penalty order submitted a complaint being Complaint No. 822 of 2007 before the UP. Electricity Regulatory Commissioner, Lucknow (hereinafter referred to as UPERC). The UPERC passed an order on 27th January, 2007 directing that on deposit of Rs. 5,00,000/- electricity shall be restored within 24 hours. It was further directed that petitioner shall deposit an amount of Rs. 10,00,000/- within fifteen days. The petitioner, aggrieved by the order of UPERC, filed a First Appeal From Order being FAFO No. 91 of 2007. The said FAFO was heard by the Division Bench of this Court and the Division Bench by order dated 2nd February, 2007 disposed of the FAFO granting six weeks further time to the petitioner to deposit the amount of Rs. 10,00,000/- as directed by the UPERC. The petitioner did not deposit the amount of Rs. 10,00,000/- within the time allowed by the Court. The respondents filed Special Leave to Appeal No. 4594 of 2007 in which the Apex Court on 14th December, 2007 granted leave.

3. The petitioner again approached the UPERC which on 5th April, 2007 directed the petitioner to deposit the consumption bill and Rs. 10,00,000/- for restoration of supply. A writ petition being Writ Petition No. 2376 (MB) of 2007 was filed by the petitioner seeking a direction to the respondents to comply with the order dated 5th April, 2007 of the UPERC. The writ petition was taken up by the Division Bench on 16th April, 2007 and the case was directed to be taken up after two weeks.



The UPERC again passed an order on 17th April, 2007 directing the respondents to restore the supply within 24 hours on payment of consumption bill and Rs. 10,00,000/-. A contempt petition being Contempt Petition No. 1262 of 2007 was filed by the Corporation

alleging contempt while passing the order dated 17th April, 2007 by the UPERC. The petitioner's electricity connection was again disconnected on 21st January, 2008. The petitioner thereafter moved an application before the UPERC to direct the Corporation to restore the connection and not to charge fixed demand charge amounting to Rs. 16,20,000/- for the period January 2008 to June, 2008 from the petitioner. The petitioner filed another writ petition at the Lucknow Bench of this Court being Writ Petition No. 3393 (MS) of 2008 praying for following relief : -

- “(i) Issue writ, order or direction in the nature of mandamus commanding the respondent/opposite party No. 4 for early disposal of statutory petition No. R-822 of 2007 filed by the petitioners at the earliest.
- (ii) Issue writ, order or direction in the nature of mandamus commanding the respondents/opposite parties to restore the electricity supply of the petitioners after accepting Rs. 16,20,000/- as fixed demand charge from January 2008 to June, 2008 in two quarterly instalments and after accepting first instalment, the electricity connection of the petitioner be restored.
- (iii) Issue writ, order or direction in the nature of mandamus commanding the respondent/opposite party No. 4 to decide the interim relief application of the petitioners dated 6-7-2008 at the earliest.
- (iv) Issue any other relief which this Hon'ble Court may deem fit and proper in the circumstances of the case.
- (v) Allow the petition with cost.”

4. The aforesaid writ petition was disposed of by the learned Single Judge vide its order dated 16th July, 2008 directing that if the petitioner deposits half of the amount as fixed demand charge for the month of January, 2008 to June, 2008, the opposite parties shall restore the electricity connection forthwith. Against the order dated 16th July, 2008 the Corporation filed a special appeal being Special Appeal No. 478 of 2008. In the said special appeal the Division Bench passed two orders, first on 18th November, 2008 directing the Managing Director of the petitioner's company to appear in person and to explain as to why proceeding for launching criminal prosecution for committing perjury and for committing contempt of the Court be not drawn against him. On 19th November, 2008 the Managing Director appeared before the Court. The Division Bench on the said date, after noticing the submissions of the parties, directed both the parties to file affidavits explaining the correct position as to what cause of action had accrued to the respondents to file subsequent writ petition and what was the notice which was issued/served by the appellants, which gave

the cause of action to approach the Court. It has been stated that in pursuance to the order dated 19th November, 2008 although Corporation has filed its affidavit but no affidavit has been filed by the petitioner although 230 days have elapsed. The Corporation issued notice dated 21st May, 2009 to the petitioner under the Uttar Pradesh Government Electrical Undertaking (Dues Recovery) Act, 1958 for an amount of Rs. 2,63,60,300/-, which notice was sent by the registered post. The recovery certificate was issued by the Executive Engineer on 25th June, 2009 for the aforesaid amount to the Collector, Aligarh and thereafter a consequential citation has been issued by the Tahsildar, Kol, Aligarh on 29th June, 2009 directing the petitioner to appear on 12th July, 2009 and pay the amount of Rs. 2,63,60,300/-. This writ petition has been filed by the petitioner for quashing the order dated 10th June, 2009 and the citation dated 29th June, 2009.

5. Sri Ranjit Saxena, learned counsel for the petitioner in support of the writ petition, raised following submissions : -

- (i) The recovery proceedings have been initiated in pursuance of the order dated 10th June, 2009 of the Executive Engineer, which refers to the order of this Court dated 19th November, 2008 in Special Appeal No. 478 of 2008 (*U.P. Power Corporation Limited v. Rajesh Paliwal*)



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as the basis for initiating the proceedings of recovery of Rs. 2,63,60,300/- whereas the Division Bench vide its order dated 19th November, 2008 never directed for initiating any recovery, hence the entire proceeding is without any basis.

- (ii) The amount for which recovery has been initiated includes the amount of Rs. 84,33,146/-, which was an amount demanded for alleged theft assessment on the basis of the checking dated 14th June, 2006 against which assessment the petitioner had filed Writ Petition No. 38611 of 2006 in this Court, which was disposed of by the Division Bench on 3rd August, 2006 permitting the petitioner to deposit an amount of Rs. 10,00,000/- along with the appeal before the appellate authority, which was directed to be decided within six weeks and further it was directed that till the decision of the appeal there shall be no realisation against the petitioner. It is submitted that petitioner filed Special Leave to Appeal (Civil) No. 13533 of 2006 against the said order, which appeal was dismissed but one week time was allowed to the petitioner to deposit the amount and the amount was deposited

on 31st August, 2006 and the petitioner filed an appeal before the appellate authority, i.e., the Divisional Commissioner. The said appeal was admitted on 16th June, 2008 and is being contested by the Corporation. It is submitted that the Corporation is contesting the appeal and several dates have been fixed in the appellate, last being fixed as 28th July, 2009. He submits that there is no authority or justification with the Corporation to proceed with the recovery of the aforesaid amount.

- (iii) With regard to peak hour penalty, which was imposed by order dated 27th November, 2007 for an amount of Rs. 68,31,808.00 the petitioner has filed statutory complaint before the UPERC being Complaint No. 822 of 2007 in which an order was passed on 27th January, 2007 directing restoration of supply of electricity on deposit of Rs. 5,00,000/- and further direction was issued for depositing Rs. 10,00,000/- within fifteen days against which order FAFO No. 91 of 2007 was filed in which six weeks further time was allowed for depositing Rs. 10,00,000/-. Thereafter UPERC passed an order on 5th April, 2007 permitting the petitioner to deposit the consumption bill as well as Rs. 10,00,000/-. Again on 17th April, 2007 the UPERC directed for restoration of electricity within 24 hours after payment of consumption bill and Rs. 10,00,000/-. It is submitted that the said statutory complaint is pending before the UPERC and there being stay of recovery of balance amount by the UPERC, it is not open for the respondents to proceed with recovery of the peak hour penalty charges and the impugned recovery, which includes peak hour penalty charges is thus wholly without jurisdiction. It is further submitted that peak hour penalty was imposed for the first time vide order dated 27th November, 2007, which penalty was for the period 24-11-2002 to 8-2-2003, i.e., after the period of two years and the same was impermissible by virtue of provisions of paragraph 6.15 of the U.P. Electricity Supply Code, 2005. The consequent recovery is, therefore, impermissible by virtue of provisions of paragraph 6.15 of the U.P. Electricity Supply Code, 2005.
- (iv) The notice dated 10th June, 2009 has been issued to the petitioner directing him to deposit an amount of Rs. 2,63,60,300/- within seven days failing which recovery was to take place under Section 5 of the Uttar Pradesh Government Electrical Undertaking (Dues Recovery) Act, 1958. It is submitted that without waiting for 30 days, the recovery certificate was sent to the Collector. The submission is that after giving notice recovery certificate cannot be sent within 30 days, hence the entire proceeding has been held in violation of Section 5 of the Uttar Pradesh Government Electrical Undertaking (Dues Recovery) Act, 1958.

- (v) Lastly it has been contended that when the judgment in this case was reserved on 21st July, 2009 by the Court after hearing both the parties, the respondents proceeded with the recovery proceeding and on 27th July, 2009 proceedings were initiated for sale of moveable properties of the petitioner including machines etc. and an amount of Rs. 13,27,500/-



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was got deposited on 27th July, 2009 as 1/4th amount towards the sale of moveable properties. It is submitted that after the judgment having been reserved on 21st July, 2009, the respondents ought to have waited for delivery of judgment before proceeding to recover the amount, which was under challenge in this writ petition.

6. Sri B.P. Singh Dhakrey, learned counsel appearing for the Corporation, refuting the submissions of learned counsel for the petitioner, raised following submissions : -

- (i) The petitioner has filed two writ petitions at Lucknow Bench of this Court being Writ Petition No. 2376 (MB) of 2007, which is still pending and Writ Petition No. 3393 (MS) of 2008, which was disposed of by the learned Single Judge of the Lucknow Bench of this Court on 16th July, 2008 against which Special Appeal No. 478 of 2008 has been filed by the Corporation and the Division Bench of this Court on 19th November, 2008 directed the parties to file their affidavits explaining the correct position as to what cause of action had accrued to the petitioner to file second writ petition and what was the notice issued by the Corporation which gave the cause of action to approach the Court. It is contended that petitioner instead of filing affidavit as directed by the Division Bench, has rushed to this Court by filing this writ petition. It is contended by Sri Dhakrey that issues, which are sought to be raised in this writ petition are the issues, which are involved in Writ Petition No. 2376 (MB) of 2007 and before the Division Bench of the Lucknow Bench in Special Appeal No. 478 of 2008, hence the petitioner is not entitled to file this writ petition, which is not entertainable and is liable to be rejected on this ground alone.
- (ii) The theft assessment dated 13th July, 2006 for an amount of Rs. 84,33,146/- was challenged in this Court by a writ petition, which was disposed of on 3rd August, 2007 against which order the Corporation has already filed Special Leave to Appeal (Civil) No. 15484 of 2006 in which notices have been issued and reply has been asked for but the petitioner has not submitted any reply

before the Supreme Court. It is further contended that the appeal, which was submitted by the petitioner before the Executive Engineer has been rejected by order of the Executive Engineer dated 28th October, 2006, copy of which has been filed as Annexure-25 to the writ petition. It is contended that in any view of the matter, the appeal filed by the petitioner before the Divisional Commissioner is not maintainable. It is contended that assessment in the present case has been made in accordance with paragraph 8.1 of the U.P. Electricity Supply Code, 2005 as the assessment was in a theft case and the assessment in the present case cannot be termed to be an assessment within the meaning of Section 126 of the Electricity Act, 2003, hence the appeal before the Divisional Commissioner under Section 127 of the Electricity Act, 2003 was not maintainable.

- (iii) The UPERC, which has entertained the Complaint No. 822 of 2007 and passed orders dated 27th January, 2007, 5th April, 2007 and 17th April, 2007, committed jurisdictional error in granting relief to the petitioner. It is submitted that individual grievances cannot be entertained by the UPERC and all the aforesaid orders are without jurisdiction. It is submitted that against the order dated 27th January, 2007 passed by the UPERC, the petitioner filed first appeal from order, which was disposed of on 2nd February, 2007 against which order the Corporation has already filed Special Leave to Appeal (Civil) No. 4594 of 2007 in which notices were issued and subsequently leave has been granted on 14th December, 2007. Relying upon the judgment of the Apex Court in the case of *Maharashtra Electricity Regulatory Commissioner v. Reliance Energy Ltd.*, reported in (2007) 8 SCC 381 : (AIR 2008 SC 976), it has been contended that the orders passed by the UPERC are without jurisdiction and the Corporation has rightly initiated the proceedings for recovery of the aforesaid amount.
- (iv) The notice under Section 5 of the 1958 Act was issued on 21st May, 2009 by registered post, copy of which was pasted, in pursuance of the order dated 22nd May, 2009 issued by the Executive Engineer, on the premises of the petitioner, the premises being closed. He submits that the recovery certificate



was issued after expiry of 30 days on 25th June, 2009. Copy of the notice dated 21st May, 2009 containing the endorsement of pasting of notice dated 22nd May, 2009 and the recovery certificate dated 25th

June, 2009 have been filed as Annexures-1 and 2 to the short counter affidavit.

(v) It is further submitted that no moveable property of the petitioner has been removed on 27th July, 2009 although the premises have already been attached. He submits that huge public money, recovery of which is blocked, deserves to be realised in the public interest.

7. We have considered the submissions of learned counsel for the parties and have perused the record.

8. The first submission of learned counsel for the petitioner is that the entire proceedings initiated by order of the Executive Engineer dated 10th June, 2009 and the consequential citation being based on the order dated 19th November, 2008 passed in Special Appeal No. 478 of 2008, are misconceived since the Division Bench on 19th November, 2008 never directed initiation of any recovery against the petitioner. Copy of the order dated 19th November, 2008 passed by the Division Bench has been brought on the record as Annexure CA-4 to the short counter affidavit. The order dated 19th November, 2008 is quoted as below : -

“Heard Sri B.P.S. Dhakrey assisted by Sri Manoj Kumar Gupta, learned counsel for the appellants and Sri Vishal Dixit for the respondents.

During the course of arguments, Sri B.P.S. Dhakrey submitted that in view of the notice dated 27-1-2008 issued for the amount of Rs. 1,22,17,319/- which included the arrears of Rs. 84 lacs towards a theft case on 14-6-2006 and the balance amount of Rs. 68.32 lacs and whereas Sri Vishal Dixit relying upon the notice dated 15-2-2008 which he filed in the writ petition says that the writ petition was filed because a notice was issued for demand of balance of Rs. 68.32 lacs and also because of the reason that after disconnection the liability of the respondents towards fixed charges was being increased.

Let both the parties file an affidavit explaining the correct position as to what cause of action had accrued to the respondents to file subsequent writ petition and what was the notice which was issued/served by the appellants which gave the cause of action to approach the court. In case any stay orders have been passed and/or are in force till date with respect to the amount in recovery by the corporation against the respondents, the same shall also be brought on record by filing copy of the same before this Court.

Two weeks' time is allowed to both the parties to file affidavit.

List on 10-12-2008.

Personal appearance of the respondent is exempted in future.”

9. A perusal of the order dated 19th November, 2008 indicates that the Court directed both the parties to file affidavit explaining the correct position as to what cause of action had accrued to the respondent to file subsequent writ petition and what was the notice, which was served by the appellants. The Court further directed that in case any stay order was passed and/or in force till date with respect to the amount in recovery by the Corporation against the respondent, the same shall also be brought on the record by filing copy of the same before the Court. The said order further indicates that what Court required was the detail of dues against the petitioner and as to whether there are any interim order in force till date. The submission of counsel for the petitioner is correct that the Court did not direct for affecting any recovery against the petitioner by order dated 19th November, 2008. From the notice dated 10th June, 2009 (Annexure-21 to the writ petition), which has been challenged in the writ petition, it is clear that the Executive Engineer in the notice stated that in view of the order dated 19th November, 2008 passed by the High Court and the affidavit dated 22nd January, 2009 submitted in consequent thereto, the liability against the petitioner up to December, 2008 is Rs. 2,63,60,300/-. The notice does not specifically mention that notice is being issued in pursuance of the direction dated 19th November, 2008. As observed above, the



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Court on 19th November, 2008 did not direct for effecting recovery specifically in view of the fact that the Court itself has directed that parties may bring on record as to whether any stay order is in force on the date regarding the dues. The Court thus had not on 19th November, 2008 examined or decided the issues. The issue which further arises is as to whether even without the order dated 19th November, 2008 the Corporation could have proceeded with the recovery as has been impugned in the writ petition. We are of the view that the issue which is to be examined is as to whether the Corporation could have proceeded with recovery in accordance with law even without reference of the order dated 19th November, 2008. Thus the issue to be considered and answered hereinafter is as to whether the Corporation could have legally proceeded to recover the amount as has been done by the impugned action.

10. The submission which has been much pressed by Sri Dhakrey, learned counsel for the Corporation is that two writ petitions being Writ Petition No. 2376 (MB) of 2007 as well as Writ Petition No. 3393 (MS)

of 2008 against which Special Appeal No. 478 of 2008 has been filed being pending at the Lucknow Bench of this Court, this writ petition which has been filed on the same cause of action cannot be entertained and is in fact second writ petition, which deserves to be dismissed as in accordance with the provisions of Chapter XXII, Rule 7 of the Rules of the Court second application on the same facts is barred. Before appreciating the above submission, it is necessary to note the facts in detail with regard to aforesaid two writ petitions and the relief prayed for in the said writ petitions.

11. Writ Petition No. 2376 (MB) of 2007 was filed by the petitioner in the Lucknow Bench of this Court praying for a direction to the Corporation to comply with the order dated 5th April, 2007 passed by the UPERC. As noticed above a Complaint No. 822 of 2007 was filed by the petitioner before the UPERC challenging imposition of peak hour penalty and challenging the assessment dated 21st November, 2006. On the said statutory complaint initially the UPERC passed an order on 27th January, 2007 for re-connection within 24 hours on payment of Rs. 5,00,000/- and further payment of Rs. 10,00,000/- within two weeks. The petitioner deposited Rs. 5,00,000/- but could not deposit 10,00,000/- within time. Another interim relief application was filed before the UPERC praying for early hearing of the petition stating that the electricity supply has again been disconnected since Rs. 10,00,000/- was not deposited. A prayer was also made for granting instalment for payment of the balance amount of Rs. 10,00,000/-. The UPERC passed an order on 5th April, 2007 directing the petitioner to deposit the current consumption bill as well as Rs. 10,00,000/- for restoration of supply, writ petition No. 2376 (MB) of 2007 was filed for a direction to the Corporation to comply with the order of UPERC and further for disposal of the statutory complaint by UPERC. The first writ petition was thus confined to the aforesaid two reliefs and no other issue was involved in the said writ petition. The said writ petition was filed on 13th April, 2007.

12. The second writ petition, i.e., Writ Petition No. 3393 (MS) of 2008 was filed by the petitioner praying for early disposal of Statutory Petition No. 822 of 2007 and further for a mandamus to restore the electricity supply of the petitioner after accepting Rs. 16,20,000/- as fixed demand charge from January, 2008 to June, 2008 in two quarterly instalments and after accepting first instalment the electricity connection of the petitioner be restored. Further a direction to the UPERC was sought to decide the application dated 6th July, 2008 at the earliest. The writ petition, thus, was confined to two main issues, firstly for direction to the UPERC for early disposal of the statutory petition as well as interim application and secondly for restoration of electricity supply after accepting the fixed demand charge from January, 2008 to

June, 2008, which was mentioned as Rs. 16,20,000/-. There was no relief in the writ petition challenging the theft assessment on the basis of the checking dated 14th June, 2006 for an amount of Rs. 84,33,146/- or the peak hour penalty imposed on 27th November, 2007 for an amount of Rs. 68,31,808.00. It appears that the said



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writ petition was filed in July, 2008 and was disposed of immediately. Special Appeal No. 478 of 2008 has been filed by the Corporation against the judgment and order dated 16th July, 2008 by which the writ petition was disposed of permitting the petitioner to deposit half of the amount as fixed demand charge for the month of January, 2008 to June, 2008 within 15 days and the rest 50% within next 15 days. No other issue was either subject matter of relief in the writ petition or was decided by the Court. It is true that in the special appeal the Court on 19th November, 2008 has directed the parties to file affidavits indicating the details of the liability and dues on the petitioner as well as the fact as to whether any interim order is operating till date. The said order was passed for the purpose and object of the Court to know the total liability against the petitioner and for examining the issue as to whether the petitioner was entitled for the order dated 16th July, 2008 passed by the learned Single Judge since the appeal was being heard against the said order. The theft assessment on the basis of checking dated 14th June, 2006 as well as peak hour penalty dated 27th November, 2007 was not subject matter of issues in Writ Petition No. 3393 (MS) of 2008. The special appellate Court has rightly directed the parties to file affidavit indicating the liabilities to know as to whether the petitioner was entitled for restoration for electricity only on payment of fixed demand charges from January, 2008 to June, 2008 so as to decide the appeal arising out of the writ petition.

13. The present writ petition has been filed by the petitioner challenging the notice dated 10th June, 2009 issued by the Executive Engineer directing the petitioner to pay an amount of Rs. 2,63,60,300/- within seven days and further challenging the citation issued by the Tahsildar in pursuance of the recovery certificate sent by the Executive Engineer. The notice impugned and the citation are for recovery of the amount of theft assessment on the basis of checking report dated 14th June, 2006 for an amount to Rs. 84,33,146/- and peak hour penalty dated 27th November, 2007 for an amount of Rs. 68,31,808.00 plus late payment surcharge total Rs. 2,63,60,300/-.

14. The proceedings have been initiated by the impugned notice and

the citation under the UR Government Electrical Undertakings (Dues Recovery) Act, 1958 in June, 2009 and could not have been subject matter of issue in the above two writ petitions filed in the Lucknow Bench of this Court being Writ Petition No. 2376 (MB) of 2007 and 3393 (MS) of 2008. The present writ petition is thus filed on a different cause of action and it cannot be said that the same is not maintainable having been filed on the same cause of action on which earlier two writ petitions have been filed. The submission of learned counsel for the Corporation that this writ petition is liable to be dismissed on the ground that it is second writ petition on the same cause of action cannot be accepted.

15. The second submission of counsel for the petitioner is with regard to challenge of recovery proceeding which includes the amount of theft assessment, i.e., Rs. 84,33,146/-. The submission of counsel for the petitioner is that against the said theft assessment the petitioner has filed a writ petition in this Court being Writ Petition No. 38611 of 2006, which was disposed of by this Court on 3rd August, 2006 by passing following order : -

“... In view of the facts and circumstances of the present case, we dispose of the present writ petition with a direction that if the petitioners deposit a sum of Rs. 10,00,000/- along with the appeal as provided under the Act within a period of three weeks, the appellant authority is directed to decide the appeal of the petitioner within a period of six weeks thereafter. Till the decision of the appeal of the petitioners, there will be no realization against the petitioners. In case of any default of any condition the writ petition shall stand dismissed.

With these observation the writ petition is disposed of.”

16. The petitioner also filed Special Leave to Appeal (Civil) No. 13533 of 2006 against the aforesaid order dated 3rd August, 2006, which was dismissed but time for depositing Rs. 10,00,000/- was extended by one week. The order of the Apex Court is as under : -



“We do not find any ground to interfere in exercise of powers under Article 136 of the Constitution of India.

The special Leave Petition is dismissed.

However, time to deposit rupees ten lakhs, since it is expiring, is extended by one week from today.”

17. Petitioner's case further is that in pursuance to the above order.

the petitioner deposited the amount of Rs. 10,00,000/- on 31st August, 2006 and appeal was filed by the petitioner before the appellate authority, which was admitted and is still pending. The appeal filed by the petitioner is addressed as "Before the Appellate Authority Constituted on (sic) the Section 127 of the Electricity Act, 2003". The appeal dated 31st August, 2006 was submitted by the petitioner before the Executive Engineer along with covering letter. Copy of the said appeal along with covering letter has been brought by the respondents, which is at page 28 of the written submission. The petitioner has brought on the record copy of the order of appellate authority, i.e., Divisional Commissioner by which the appeal was admitted. The said appeal is still pending and the last date fixed in the appeal was 28th July, 2009. Learned counsel for the petitioner submits that appeal having been filed after depositing Rs. 10,00,000/- and the same being pending before the appellate authority, i.e., Divisional Commissioner, by virtue of the order of this Court dated 3rd August, 2006, the balance amount towards theft charges could not have been recovered.

18. Sri Dhakrey in reply to the above submission of the petitioner, has made two submissions. Firstly it has been contended that appeal has been decided by the Executive Engineer vide order dated 28th October, 2006, copy of which has been filed as Annexure-25 to the writ petition and secondly the appeal before the Divisional Commissioner under Section 127 of the Electricity Act, 2003 is not maintainable it having arisen out of theft assessment. It is contended that no appeal is maintainable under Section 127 of the Electricity Act, 2003 in view of the provisions of paragraph 8.1 of the U.P. Electricity Supply Code, 2005. The submission of the counsel for the Corporation that appeal has been decided on 28th October, 2006 needs to be considered first. Copy of the order dated 28th October, 2008 has been filed as Annexure -25 to the writ petition. The Executive Engineer dismissed the appeal saying that no new points have been submitted against the checking dated 14th June, 2006. The challenge is that the Executive Engineer not being the appellate authority, had no jurisdiction to decide the appeal. Learned counsel for the petitioner has relied on the notification dated 14th July, 2006 by which the Divisional Commissioner has been notified as the appellate authority under Section 127 of the Electricity Act, 2003. Following is the notification notifying the appellate authority:

"NOTIFICATION

No. 174/2006-XXIV/P-3-27-P-98 T.C. Lucknow, dated, 14-7-2006. In exercise of the power under Rule 3 of the Appeal to the Appellate Authority, 2004 framed by the Government of the India under sub-section (1) read with clause (U) of sub-section (2) of section 176 of the Electricity Act, 2003 (Act No. 36 of 2003), the

Governor is pleased to designate the officers mentioned in column 2 of the Schedule below as Appellate Authority for the purpose to appeal under Section 127 of the said Act, having pecuniary jurisdiction mentioned against each in column 3 of the said Schedule.

Schedule		
S.N.	Appellate Authority	Jurisdiction
1	Divisional Commissioner of the Division or any Additional Commissioner duly authorised by the Commissioner for this purpose.	Any amount

By order.

Ashok Kumar Khurana, Principal Secretary.”

19. The appellate authority being the Divisional Commissioner for an appeal under Section 127 of the Electricity Act, 2003, the Executive Engineer who had made the impugned assessment, had no authority to decide the appeal. The order of Executive Engineer dismissing the appeal was wholly without jurisdiction. An order passed by an authority having



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no jurisdiction, is nullity. The Executive Engineer having no jurisdiction to decide the appeal, the submission of Sri Dhakrey cannot be accepted that the appeal stood decided, moreso when the appeal filed by the petitioner being Statutory Complaint No. 46 of 2006 under Section 127 of the Electricity Act, 2003 has been admitted on 16th June, 2008, and is still pending and last date fixed was 28th July, 2009.

20. The second submission on which much emphasis has been laid by Sri Dhakrey is that in theft cases no appeal is maintainable under Section 127 of the Electricity Act, 2003. He submits that appeal is maintainable under Section 127 only against an assessment which is made under Section 126 of the Electricity Act, 2003. He further submits that U.P. Electricity Supply Code, 2005 provides procedure for assessment. He further submits that two different procedures have been prescribed, one in paragraph 6.8 of the Code and another in paragraph 8.1 of the Code. He submits that although the assessment which is made in accordance with paragraph 6.8 appeal lies under Section 127 but no appeal is contemplated for the assessment made under paragraph 8.1 of the Code in case of theft.

21. Section 126 of the Electricity Act, 2003 provides for assessment.

Under Section 127(1) any person aggrieved by the final order made under Section 126 may within 30 days prefer an appeal to the appellate authority as may be prescribed. Sections 126 and 127(1) of the Electricity Act, 2003 are quoted below:

“126. Assessment.— (1) If on an inspection of any place or premises or after inspection of the equipments, gadgets, machines, devices found connected or used, or after inspection of records maintained by any person, the assessing officer comes to the conclusion that such person is indulging in unauthorised use of electricity, he shall provisionally assess to the best of his judgment the electricity charges payable by such person or by any other person benefited by such use.

(2) The order of provisional assessment shall be served upon the person in occupation or possession or in charge of the place or premises in such manner as may be prescribed.

(3) The person, on whom an order has been served under sub-section (2), shall be entitled to file objections, if any, against the provisional assessment before the assessing officer, who shall, after affording a reasonable opportunity of hearing to such person, pass a final order of assessment within thirty days from the date of service of such order of provisional assessment, of the electricity charges payable by such person.

(4) Any person served with the order of provisional assessment may, accept such assessment and deposit the assessed amount with the licensee within seven days of service of such provisional assessment order upon him.

(5) If the assessing officer reaches to the conclusion that unauthorised use of electricity has taken place, the assessment shall be made for the entire period during which such unauthorised use of electricity has taken place and if, however, the period during which such unauthorised use of electricity has taken place cannot be ascertained, such period shall be limited to a period of twelve months immediately preceding the date of inspection.

(6) The assessment under this section shall be made at a rate equal to the tariff applicable for the relevant category of services specified in sub-section (5).

Explanation.— For the purposes of this section,—

(a) “assessing officer” means an officer of a State Government or Board or licensee, as the case may be, designated as such by the State Government;

(b) “unauthorised use of electricity” means the usage of electricity—

- (i) by any artificial means; or
- (ii) by a means not authorised by the concerned person or authority or licensee; or
- (iii) through a tampered meter; or
- (iv) for the purpose other than for which the usage of electricity was authorised; or
- (v) for the premises or areas other than those for which the supply of electricity was authorised.

127. Appeal to appellate authority. (1) Any person aggrieved by the final order made under



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section 126 may, within thirty days of the said order, prefer an appeal in such form, verified in such manner and be accompanied by such fee as may be specified by the State Commission, to an appellate authority as may be prescribed.”

22. Part XIV of the Electricity Act, 2003 deals with ‘Offences and Penalties’. Section 135 defines theft of electricity. Section 135(1) and (1A) are quoted below:—

“135. Theft of electricity.-(1) Whoever, dishonestly,—

- (a) taps, makes or causes to be made any connection with overhead, underground or under water lines or cables, or service wires, or service facilities of a licensee or supplier, as the case may be; or
 - (b) tampers a meter, installs or uses a tampered meter, current reversing transformer, loop connection or any other device or method which interferes with accurate or proper registration, calibration or metering of electric current or otherwise results in a manner whereby electricity is stolen or wasted; or
 - (c) damages or destroys an electric meter, apparatus, equipment, or wire or causes or allows any of them to be so damaged or destroyed as to interfere with the proper or accurate metering of electricity; or
 - (d) uses electricity through a tampered meter;
- or
- (e) uses electricity for the purpose other than for which the usage of electricity was authorised, so as to abstract or consume or use electricity shall be punishable with imprisonment for a term which may extend to three years or with fine or with both:

Provided that in a case where the load abstracted, consumed, or used or attempted abstraction or attempted consumption or attempted use-

- (i) does not exceed 10 kilowatt, the fine imposed on first conviction shall not be less than three times the financial gain on account of such theft of electricity and in the event of second or subsequent conviction the fine imposed shall not be less than six times the financial gain on account of such theft of electricity;
- (ii) exceeds 10 kilowatt, the fine imposed on first conviction shall not be less than three times the financial gain on account of such theft of electricity and in the event of second or subsequent conviction the sentence shall be imprisonment for a term not less than six months, but which may extend to five years and with fine not less than six times the financial gain on account of such theft of electricity;

Provided further that in the event of second and subsequent conviction of a person where the load abstracted, consumed, or used or attempted abstraction or attempted consumption or attempted use exceeds 10 kilowatt, such person shall also be debarred from getting any supply of electricity for a period which shall not be less than three months but may extend to two years and shall also be debarred from getting supply of electricity for that period from any other source or generating station:

Provided also that if it is provided that any artificial means or means not authorised by the Board or licensee or supplier, as the case may be, exist for the abstraction, consumption or use of electricity by the consumer, it shall be presumed, until the contrary is proved, that any abstraction, consumption or use of electricity has been dishonestly caused by such consumer.

- (1A) Without prejudice to the provisions of this Act, the licensee or supplier, as the case may be, may, upon detection of such theft of electricity, immediately disconnect the supply of electricity:

Provided that only such officer of the licensee or supplier, as authorised for the purpose by the Appropriate Commission or any other officer of the licensee or supplier, as the case may be, of the rank higher than the rank so authorised shall disconnect the supply line of electricity:

Provided further that such officer of the licensee or supplier, as the case may be, shall lodge a complaint in writing relating to the commission of such offence in police station having jurisdiction within twenty four hour from the time of such disconnection.



Provided also that the licensee or supplier, as the case may be, on deposit or payment of the assessed amount or electricity charges in accordance with the provisions of this Act, shall, without prejudice to the obligation to lodge the complaint as referred to in the second proviso to this clause, restore the supply line of electricity within forty-eight hours of such deposit or payment;

23. Section 126 provides that if on an inspection of any place it is found that such person is indulging in unauthorised use of electricity he shall be provisionally assessed. The words used in Section 126 are 'unauthorised use of electricity'. Unauthorised use of electricity has been defined in Explanation (b), as quoted above. The definition of unauthorised use of electricity as given in Explanation (b) is wide enough which covers the usage of electricity by any artificial means or by a means not authorised by the concerned person or authority or licensee or through a tampered meter. The said definition of unauthorised use of electricity as explained in Explanation (b) is comprehensive enough to cover in itself the theft of electricity. The theft of electricity has been more elaborately explained in Section 135 but the theft of electricity as defined in Section 135 is fully covered by the definition 'unauthorised use of electricity' and the theft of electricity under Section 135 is also an unauthorised use of electricity for which assessment is contemplated under Section 126. The provisions of Section 135 is under the Chapter 'Offences and Penalties', which deals a different subject than the assessment. A person found indulging in theft is also liable for offences and penalties and can be prosecuted and convicted according to the Act. The scheme of the 2003 Act does not exclude the assessment under Section 126 in theft cases. Our above conclusion is further fortified by Section 135(1A) third proviso, which provides that the licensee or supplier, as the case may be, on deposit or payment of the assessed amount or electricity charges in accordance with the provisions of the Act, shall without prejudice to the obligation to lodge the complaint as referred to in the second proviso to this clause, restore the supply. Thus assessment of electricity charges due to theft of electricity is contemplated under Section 135 itself, which further provides that after deposit of the assessed amount electricity is required to be restored. In case in theft no assessment is to be made under Section 126. Section 135(1 A) third proviso would not have been as contained in the Act. The scheme of the 2003 Act thus clearly delineates the object that Legislature contemplated assessment under

Section 126 with regard to all categories of unauthorised use of electricity including theft of electricity and the submission of learned counsel for the Corporation that assessment of theft cases is not done under Section 126 hence the appeal cannot be filed under Section 127, does not appeal to us.

24. Learned counsel for the Corporation submits that separate procedure has been provided with regard to assessment in theft cases under paragraph 8.1 of the 2005 Code but no appeal has been provided to the appellate authority under paragraph 8.1. The provisions regarding right of appeal is a substantive provision, which has been provided in the Act itself. The right of the appeal given in the Act cannot be taken away by any provision framed in the U.P. Electricity Supply Code, 2005. Moreso, there is no provision in the Code which indicates that there is no right of appeal for the theft assessment made under Paragraph 8.1. There are two decisions of the Division Bench of this Court, first in Writ Petition No. 19574 of 2008 (*Radha Krishna Cold Storage v. State of U.P.*) where also the submission made before us was raised. Following observations were made by the Division Bench in the said case:

“In reply to the aforesaid, learned counsel for the petitioner submitted firstly, that an appeal does not lie against the order in question as the appeal lies only against the order under Section 126 of the Act and not under Section 135 of the Act. It is settled principle that the order under challenge in the writ petition is the assessment order, which can be passed only under Section 126 of the Act and mere non mention of the relevant provisions or incorrect mention of the provisions will not vitiate the order. This is the settled legal proposition



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therefore this contention raised by learned counsel for the petitioner that since the order has been passed under Section 135 of the Act, therefore the remedy under Section 127 of the Act is not available to him deserves to be rejected and is hereby rejected.”

25. The second Division Bench judgment is in the case of *Ashok Kumar v. State of U.P.* reported in 2008 (6) Allahabad Daily Judgments 660. In the said judgment the Division Bench of this Court has held that unauthorised use of electricity as defined in Explanation (b) of Section 126 also covers within its ambit certain acts/omission which constitute an offence under Section 135 of the Act, 2003. Paragraph 58 of the said judgment is quoted below : -

“58. The term “unauthorized use of electricity” is defined in explanation (b) to Section 126 which includes usage of electricity (i) by any artificial means; or (ii) by a means not authorised by the concerned person or authority or licensee; or (iii) through a tampered meter; or (iv) for the purpose other than for which the usage of electricity was authorised. Before issuing an assessment notice, therefore, the assessing officer must record its conclusion that the person concerned or any other person benefited has used electricity unauthorizedly in terms as defined in Explanation (b) of Section 126. The Act in respect to the stage of recording of conclusion by assessing officer regarding user of electricity by the person unauthorizedly does not provide specifically for any opportunity of hearing to the person concerned but also simultaneously does not prohibit the same. The allegation of unauthorised use of electricity by a person concerned, as defined in Explanation (b) also covers within its ambit certain acts/omission which constitute an offence under Section 135 of the Act, 2003. Therefore, it is a serious matter and no person can be indicted and held guilty of user of electricity unauthorizedly unless he is given an opportunity of hearing before coming to such conclusion.”

26. Learned counsel for the petitioner has also relied on a judgment of the Apex Court in the case of *Chairman, West Bengal State Electricity Board v. Syed Mukbul Hossain* reported in (2009) 2 SCC 727 where in a case of theft of electricity the Apex Court noticed the right of appeal under Section 127 of the Electricity Act, 2003.

27. In aforesaid view of the matter, we are of the considered opinion that assessment under Section 126 is also to be made in theft cases and a person has right of appeal. In the present case it is on the record that assessment was made by the Executive Engineer on the basis of checking dated 14th June, 2006 and assessment bill was given on 13th July, 2006 (Annexure-1 to the writ petition). The assessment made by Executive Engineer was under Section 126 and the petitioner has right of appeal, which appeal has already been filed and is pending. Learned counsel for the Corporation has further submitted that against the order of this Court dated 3rd August, 2008 by which this Court directed that on payment of Rs. 10,00,000/- further recovery shall not been made till the decision of appeal, has been challenged by the Corporation in the Apex Court. It is true that special leave to appeal (civil) has been filed against the Division Bench order of this Court but it is not the case of the Corporation that the Apex Court has stayed that order till date. Thus the order dated 3rd August, 2006 passed by this Court permitting the petitioner to file appeal and subject to deposit of Rs. 10,00,000/- the realisation was stayed still enures to the benefit of the petitioner and till such date the Apex Court passes an order either staying the

order of this Court, it was not open for the Corporation to recover the amount of theft assessment in view of the fact that the petitioner had complied with the order of this Court dated 3rd August, 2006 by depositing the amount of Rs. 10,00,000/-.

28. The next issue to be considered is issue regarding peak hour penalty. As noticed above, the petitioner filed Statutory Complaint No. 822 of 2007 before the UPERC where the UPERC has directed for restoration of electricity on payment of Rs. 5,00,000/- within 15 days and thereafter further deposit of Rs. 10,00,000/- within 15 days. The petitioner has deposited the amount of Rs. 5,00,000/- and the amount of Rs. 10,00,000/- was also subsequently



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deposited. Learned counsel for the petitioner submitted that since the matter is pending before the UPERC, which is engaging attention of peak hour penalty, and the petitioner having complied with the directions of UPERC, no steps could have been taken for recovery of the peak hour penalty. The said submission has been refuted by learned counsel for the Corporation relying on the judgment of the Apex Court in the case of *Maharashtra Electricity Regulatory Commission v. Reliance Energy Ltd.* reported in (2007) 8 SCC 381 : (AIR 2008 SC 976) (paragraphs 17 and 34). The Apex Court in the said case has laid down that UPERC cannot entertain individual dispute of consumer. The above judgment of the Apex Court fully supports the submission made by the counsel for the Corporation that UPERC could not have proceeded to decide individual dispute. Learned counsel for the petitioner submits that since the Corporation has already filed special leave to appeal (civil) against the orders passed by the UPERC, which are pending, unless it is adjudicated by the Apex Court in the pending special leave to appeal (civil) that UPERC has no jurisdiction, the Corporation cannot ignore the order passed by UPERC. However, this Court is fully bound by the law declared by the Apex Court in *Maharashtra Electricity Regulatory Commission's case* (supra) where the Apex Court has held that Regulatory Commission cannot entertain the individual dispute. In view of the above, we are not persuaded to accept the submission of the petitioner that in view of the order passed by the UPERC the respondents were restrained from recovering the peak hour penalty amount.

29. The submission, which is next to be considered, is the submission of the petitioner that by virtue of provisions of paragraph 6.15 of the U.P. Electricity Supply Code, 2005 the respondents could

not have recovered the peak hour penalty after expiry of two years. Paragraph 6.15 of the U.P. Electricity Supply Code, 2005 is quoted below:

“6.15. Recovery of Arrears:

- (a) The payments due to the Licensee shall be recovered as per provision of Section 56 of the Act, and arrears of land revenue as per the provisions of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958, as amended from time to time.
- (b) Notwithstanding anything contained in any other law for the time being in force, no sum due from any consumer shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable as arrear of charges of electricity supplied, and the supply of the electricity shall not be disconnected by licensee for this reason.

Explanation.—The date from which such charges becomes ‘first due’, needs to be correctly interpreted. If as a result of regular meter reading/inspection of installation of consumer, such charges/penalties levied as per this Code or tariff schedule, shall become first due counted from the due date of payment of such a bill, and such bill shall be provided to the consumer not later than two billing cycle for that category of consumer.”

30. It is not disputed that peak hour penalty was imposed by the order dated 27th November, 2006 for the period 24th November, 2002 to 8th February, 2003. The Electricity Act, 2003 came into force with effect from 10th June, 2003. Section 56 of the 2003 Act, which is relevant for the purpose, is quoted below:

“56. Disconnection of supply in default of payment.-(1) Where any person neglects to pay any charge for electricity or any sum other than a charge for electricity due from him to a licensee or the generating company in respect of supply, transmission or distribution or wheeling of electricity to him, the licensee or the generating company may, after giving not less than fifteen clear days’ notice in writing, to such person and without prejudice to his rights to recover such charge or other sum by suit, cut off the supply of electricity and for that purpose cut or disconnect any electric supply line or other works being the property of such licensee or the generating company through which electricity may have been supplied, transmitted, distributed or wheeled and may discontinue the supply until such charge

or other sum, together with any expenses incurred by him in cutting off and reconnecting the supply, are paid, but no longer:

Provided that the supply of electricity shall not be cut off if such person deposits, under protest—(a) an amount equal to the sum claimed from him, or

(b) the electricity charges due from him for each month calculated on the basis of average charge for electricity paid by him during the preceding six months, whichever is less, pending disposal of any dispute between him and the licensee.

(2) Notwithstanding anything contained in any other law for the time being in force, no sum due from any consumer, under this section shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable as arrear of charges for electricity supplied and the licensee shall not cut off the supply of the electricity.”

31. Section 56(2) provides that notwithstanding anything contained in any other law, no sum due from any consumer under this section shall be recoverable after the period of two years from the date when such sum became first due. On the date when the Electricity Act, 2003 was enforced the period for which peak hour penalty was imposed was already over. The liability to pay peak hour penalty arose on the day default was committed, i.e., 24th November, 2002 to 8th February, 2003. Thus the peak hour penalty dues were very much in existence on 10th June, 2003, i.e., on the date of enforcement of the Act. It is true that although there was some dispute regarding the manner of calculation of peak hour penalty, which was ultimately set at rest by the Apex Court vide its judgment in the case of *U.P. Power Corporation Ltd. v. Lohia Brass (P) Ltd.* reported in (2006) 7 SCC 220 : (2006 (6) ALJ 71) where the controversy was as to whether the peak hour penalty should be imposed for each alleged contravention or only once on the basis of meter reading report and whether the report is treated as one contravention or each contravention shall be separately imposed.

32. The amount was very much due on the date when the 2003 Act came into force and by virtue of Section 56(2), it was not recoverable after the period of two years. Although the amount became due prior to enforcement of the 2003 Act and the period cannot be said to be started running from the date when it became due but at least it shall start running from the date of enforcement of the Act, i.e., 10th June, 2003. The peak hour penalty was issued for the first time on 27th November, 2006, i.e., beyond the period of two years. The petitioner

has also raised this issue before the UPERC that after expiry of two years peak hour penalty could not have been recovered. The Corporation before initiating to proceed with the recovery of the peak hour penalty has not given any reason as to why even after expiry of two years from the period when it became due they are recovering. It was more necessary for the Corporation to give specific reason for affecting recovery after two years, in view of the fact and circumstances that the issue was raised before the UPERC and the Corporation itself has filed special leave to appeal (civil) before the Apex Court challenging the very proceeding before the UPERC in which appeal no orders have been passed in favour of the Corporation till date. Thus we are of the opinion that the Corporation could have proceeded for initiating recovery with regard to peak hour penalty after giving appropriate reason for initiating the same after two years by passing a reasoned order. The order dated 10th June, 2009 by which notice was given to the petitioner to deposit the amount failing which recovery will be initiated, does not give any reason as to why after expiry of two years the said recovery is being enforced. Thus, we are of the view that Corporation was also not entitled to initiate recovery proceeding for peak hour penalty without giving any specific reason and without advertent to Section 56(2) of the 2003 Act and paragraph 6.15 of the Supply Code.

33. The submission, which has been next contended by the petitioner is that the notice given under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958 to



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the petitioner on 10th June, 2009 and the recovery certificate sent are contrary to 1958 Act. In reply the Corporation has stated that demand notice was issued on 21st June, 2009, which was pasted on the premises on 22nd May, 2009 and thereafter on 25th June, 2009 recovery certificate was issued. Sections 3 and 5 of the 1958 Act, are quoted below:—

“3. Notice of demand for dues not paid.-Where any dues [including amount of security payable under Section 47-A of the Electricity (Supply) Act, 1948] are payable by a consumer to a Government Electrical Undertaking, the prescribed authority may, at any time after thirty days from the date on which such dues accrued, serve or cause to be served upon the person liable a notice of demand stating the name of the person, the amount payable by him and the undertaking in respect of which it is due.

Explanation (1).— The sending of the notice by registered post shall be deemed to be sufficient service on the person concerned.

Explanation (2).— A sum due to a Government Electricity Undertaking shall be deemed to have accrued on the expiry of the date mentioned in the bill for payment of the dues.

5. Recovery of dues. — If the dues for which notice of demand has been served are not deposited with the prescribed authority within thirty days from the date of service, or such extended period as the prescribed authority may allow, the same together with cost of recovery as may be prescribed shall be recoverable as arrears of land revenue, anything contained in any other law or instrument or agreement to the contrary notwithstanding.”

34. According to Section 3 Explanation (1) the sending of the notice by the registered post shall be deemed to be sufficient service on the person concerned. The respondent claims that registered notice was sent on 22nd May, 2009, which fact is also mentioned in the reports, which were submitted on the notice dated 21st May, 2009. The recovery certificate was issued on 25th June, 2009, i.e., after thirty days. Thus notice cannot be said to be invalid on the aforesaid submission.

35. Taking into consideration overall facts and circumstances of the case our conclusions are as under : -

- (a) The Corporation was not entitled to initiate proceeding for recovery of theft assessment on the basis of inspection dated 14th June, 2006 for an amount of Rs. 84,33,146/- in view of the Division Bench judgment of this Court dated 3rd August, 2006 permitting the petitioner to file appeal under Section 127 of the Electricity Act, 2003 on payment of Rs. 10,00,000/- and restraining the Corporation to recover the amount till the appeal was disposed of. Admittedly the appeal is pending under Section 127 in which 28th July, 2009 was the last date fixed. In the special leave to appeal (civil) filed by the Corporation, the Corporation has not been granted any interim order staying the order of the High Court. Thus the Corporation could not have proceeded to recover the said amount. The Corporation ought to have taken steps for early disposal of the appeal pending before the Divisional Commissioner.
- (b) The peak hour penalty was imposed on 27th November, 2006 for the period 24th November, 2002 to 8th February, 2003. By virtue of Section 56(2) of the Electricity Act, 2003 and paragraph 6.15 of the UP Electricity Supply Code, 2005, the Corporation could not have initiated recovery after two years from the day the amount became due without adverting to Section 56(2) of the 2003 Act and paragraph 6.15 of the Supply Code after expiry of two years

from the date when sum became due, which having not done in the present case the recovery for peak hour penalty is unjustified.

- (c) The Division Bench by its order dated 19th November, 2008 passed in special appeal filed by the Corporation did not direct the Corporation to initiate recovery, rather it has called the parties to give details of liability and dues and as to whether any interim order is continuing in favour of the petitioner.

36. In view of our observations and conclusions, as noticed above, we dispose of the writ petition with the following directions:

- (i) The order dated 10th June, 2009 (Annexure-21 to the writ petition), citation dated 29th June, 2009 (Annexure-22 to the writ petition) and all consequential actions are quashed.



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- (ii) The Divisional Commissioner, who is ceased with Statutory Appeal (Complaint No. 46 of 2007) under Section 127 of the Electricity Act, 2003 is directed to dispose of the appeal within a period of three months from the date a certified copy of this order is produced before him. The Corporation may proceed thereafter to take consequential action in accordance with law.
- (iii) This order shall not preclude the Corporation to take appropriate decision and proceed in accordance with law with regard to peak hour penalty after adverting to Section 56(2) of the Electricity Act, 2003 and paragraph 6.15 of the UP. Electricity Supply Code, 2005.

37. Parties shall bear their own costs.

38. Order accordingly.

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2013 SCC OnLine All 8379

(BEFORE VINEET SARAN AND MANOJ KUMAR GUPTA, JJ.)

Shri Satguru Metalloys (Pvt.) Ltd. Petitioner

v.

State of U.P. and 3 Others Respondents

Counsel for Petitioner:- Bidhan Chandra Rai

Counsel for Respondent:- C.S.C., A.N. Singh, Nripendra Mishra

Writ - C No. - 54208 of 2013

Decided on October 4, 2013

Hon'ble Vineet Saran, J.

Hon'ble Manoj Kumar Gupta, J.

The case of the petitioner is that on its application for enhancement of load by additional 500 KVA, the petitioner has been required to furnish bank guarantee of an amount of Rs. 1,79,18,111/-. The impugned order dated 23.8.2013 has been passed in pursuance of the order dated 17.6.2013 whereby the provisions of Clause 4.49 of the U.P. Electricity Supply Code, 2005 have been invoked. The submission of the learned counsel for the petitioner is that although an assessment order was earlier passed on 4.8.2011 assessing a sum of Rs. 3,58,36,221/- to be paid by the petitioner which was challenged in appeal after depositing 50% of the amount and by order dated 9.4.21013 passed by the appellate authority the final assessment order dated 4.8.2011 has already been set aside and as such no demand can be raised against the petitioner merely because it has been left open to the assessing officer to pass a fresh order. It is submitted by the learned counsel for the petitioner that no fresh order has yet been passed. Learned counsel for the petitioner thus submits that the demand raised by the impugned order dated 17.6.2013 and the consequential order dated 23.8.2013 passed by respondents no. 3 and 4 respectively are liable to be quashed. It has further been submitted by the learned counsel for the petitioner that Clause 4.49 of the U.P. Electricity Supply Code, 2005 is wholly arbitrary and discriminatory and violative of Article 14 of the Constitution of India and as such the same is liable to be struck down.

In our opinion the matter requires consideration.

Learned Standing counsel has accepted notice for respondent no. 1; Sri. Nripendra Misra for respondents no. 3 and 4 and Sri. K.N. Singh for respondent no. 2. They pray for and are granted three weeks time to

file counter affidavit. The petitioner shall have two weeks thereafter to file rejoinder affidavit. List immediately thereafter.

Considering the facts and circumstances of this case and keeping in view that the final assessment order dated 4.8.2011 has already been set aside by the appellate authority vide its order dated 9.4.2013, the direction to the petitioner to furnish bank guarantee as per the impugned orders dated 17.6.2013 and 23.8.2013 shall remain stayed unless any fresh assessment order has been passed by the assessing authority in terms of the order of the appellate authority dated 9.4.2013.

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2014 SCC OnLine All 11387

(BEFORE AMRESHWAR PRATAP SAHI AND VIVEK KUMAR BIRLA, JJ.)

Mohammad Rashid & Another Petitioners

v.

State of U.P. & 3 Others Respondents

Counsel for Petitioner:- Dinesh Sengar

Counsel for Respondent:- C.S.C., Nripendra Mishra

Writ - C No. - 36167 of 2014

Decided on July 16, 2014

Hon'ble Amreshwar Pratap Sahi, J.

Hon'ble Vivek Kumar Birla, J.

Heard Sri Dinesh Sengar, learned counsel for the petitioners, and Sri Nripendra Mishra for the Electricity Department.

Petitioners have come up before this Court with a prayer that the installation of an excess transformer in the village of the petitioners has resulted in unnecessary overloading and consequential shortage of electricity supply. This is sought to be demonstrated on the strength of the supply chart which has been filed as Annexure 2 to the writ petition. The petitioners are also having electricity connections including a tubewell, which is being operated, and according to the petitioners as a consequence of this additional transformer, being installed, the voltage supply of electricity also stands reduced which results in the tubewell becoming dysfunctional. Thus, the petitioners are being directly affected on account of such installation and a complaint was made to this effect.

It has been alleged in the complaint that this is being done to provide benefit to an individual, namely, one Mr. Tayyab and accordingly an inquiry was set up in which the Superintending Engineer, Technical, Saharanpur has submitted a report to the Chief Engineer of the Saharanpur Range, Saharanpur, bringing to his notice the aforesaid facts.

This was intimated to the Managing Director at Meerut, who called upon the Chief Engineer to submit his report after conducting an inquiry in the matter.

Having considered the submissions raised, since this complaint, made

by the petitioners, requires virtually a technical audit of the complaint and submission of a report by the competent authority, it would be appropriate that the respondent no. 3 proceeds to assess the aforesaid complaint made by the petitioners along with the respondent no. 4 and submit their technical report about the allegations made by the petitioners before the respondent no. 2. The respondent no. 2- Managing Director shall, after going through the same, examine it inasmuch as under the provisions of the Electricity Act and the U.P. Electricity Supply Code. The respondents are under an obligation to maintain requisite supply of electricity and not create any disbalance as alleged by the petitioners. The inquiry shall be concluded and orders will be passed only after putting the affected party, namely, Sri Tayyab to notice by the Managing Director preferably within a period of three months' from the date of production of a certified copy of this order before the said authority.

With the said observation, this petition stands disposed of.

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2016 SCC OnLine All 2320

In the High Court of Allahabad

(BEFORE V.K. SHUKLA, A.C.J. AND MAHESH CHANDRA TRIPATHI, J.)

Smt. Shanti Devi Petitioner

v.

Managing Director, Pashichhamanchal Vidhut Vitran
and Anr. Respondents

Writ - C No. - 32193 of 2016

Decided on July 18, 2016

Counsel for Petitioner:- Sudhakar Singh

Counsel for Respondent:- Pranjal Mehrotra

ORDER

1. In the present case this much is reflected that electricity connection of petitioner has been disconnected and aggrieved against the same petitioner is before this Court.

2. This much is clear from the record in question and it is being submitted by the petitioner that from the date electricity connection has been accorded in her favour not even a single bill has been raised and, accordingly, payment in question has not been made. Once accepted position is that electricity has been consumed by the petitioner and it is being contended that no bill in question has been raised, then disconnection is inevitable, in case, payment has not been made as consumer cannot be permitted to use the electricity without there clearance of bills in question.

3. Once such is the factual situation, then as far as we are concerned, we are not at all interfering in the matter but certainly petitioner should get her dispute resolved, as is provided for under the Electricity Act, 2003 alongwith U.P. Electricity Supply Code, 2005.

4. Writ petition is *dismissed*, accordingly.

5. This order has been passed with the due assistance of Sri. Pranjal Mehrotra, Advocate.

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2022 SCC OnLine All 598

In the High Court of Allahabad

(BEFORE MANOJ MISRA AND MOHD. AZHAR HUSAIN IDRISI, JJ.)

Daya Nand Sharma ... Appellant;

Versus

State of U.P. and Others ... Respondents.

Special Appeal Defective No. - 395 of 2022

Decided on September 3, 2022

Advocates who appeared in this case :

Counsel for Appellant : - Shri Krishna Mishra, Ajay Mishra

Counsel for Respondent : - C.S.C., Abhishek Srivastava, Pankaj Kumar Tyagi

JUDGMENT

1. This matter has been placed before us pursuant to the order dated 02.09.2022 of a Division Bench headed by the Chief Justice. By the said order it was directed that the matter be placed before a Division Bench headed by one of us (Manoj Misra, J.) as an urgent matter on 02.09.2022 itself. However, as this Bench was not available in the afternoon session of 02.09.2022, this matter has been placed before us today as an urgent matter.

2. We have heard Sri. S.K. Mishra for the appellant; Sri. P.K. Ganguli for the respondent no. 1; Sri. Ravindra Tripathi, holding brief of Sri. Abhishek Srivastava for the respondents 5 and 6; and Miss Archana Tyagi, holding brief of Sri. Pankaj Tyagi for the respondent no. 7.

3. This intra-court appeal has been filed against the order dated 29.08.2022 passed by a Single Judge Bench in Contempt Application (Civil) No. 4248 of 2022 arising from a writ court order dated 29.06.2022 passed in Writ C No. 17882 of 2022.

4. Before we address the order impugned in this appeal, to have a clear understanding of the controversy involved in the present appeal, it would be apposite to notice the contextual back ground in which this intra-court appeal has been filed.

5. Writ C No. 17882 of 2022 was filed by seventh respondent (Amit Kumar) by impleading seven persons as opposite parties. The current appellant was opposite party no. 7 in that writ petition. In that writ petition, the writ petitioner (i.e. respondent no. 7 herein) had challenged an order dated 30.05.2022 by which the prayer of respondent no. 7 (Amit Kumar) for grant of an electricity connection was not accepted for want of no objection certificate from the house

owner i.e. Daya Nand Sharma son of Har Lal Sharma, the present appellant. By order dated 29.06.2022, Writ C No. 17882 of 2022 was disposed off. The order dated 29.06.2022 passed in Writ C No. 17882 of 2022 is extracted below:—

“Heard learned counsel for the petitioner and Sri. Abhishek Srivastava learned Advocate has put in appearance on behalf of respondent nos. 2 to 6.

The petitioner herein seeks to challenge the communication dated 30.5.2022 issued by the Executive Engineer, Electricity Urban Distribution Division-VII, 33/11 KV Sub Station, Sector-62 C, NOIDA namely respondent no. 5 whereby the petitioner who is a tenant of the premises in question has been asked to get the consent of the landlord to grant him electricity connection.

It is submitted by the learned counsel for the petitioner that the owner/landlord of the premises in question has refused to give consent and further objected to grant of electricity connection in the name of the petitioner.

On the affidavit submitted by the owner/landlord of the premises in question that no electricity connection be granted without his consent, the letter dated 30.5.2022 has been issued.

Sri. Abhishek Srivastava learned Advocate has put in appearance on behalf of the respondent nos. 2 to 6. On a query made by the Court, he agrees that in case of refusal to give consent by the landlord, the electricity connection in the name of the tenant can be granted by complying the provisions of Clause 4.4 of the Electricity Supply Code, 2005, wherein an indemnity bond as per Annexure 4.2 is to be submitted by the applicant namely the petitioner herein.

Learned counsel for the petitioner, at this stage, submits that the petitioner is ready to furnish the indemnity bond.

For the aforesaid, without entering into the merits of the claim of the petitioner, the present writ petition is being disposed of with the observation that if the petitioner complies with the condition of Clause 4.4 of the Electricity Supply Code, 2005 in furnishing the indemnity bond as per Annexure 4.2 and fulfils all other necessary formalities, the respondent no. 5 namely the Executive Engineer, Electricity Urban Distribution Division-VII, 33/11 KV Sub Station, Sector-62 C, NOIDA shall pass an appropriate order for grant of electricity connection in the name of the petitioner ignoring the objection of the landlord.”

6. It is the case of the respondent no. 7 that when, pursuant to the order dated 29.06.2022, the electricity department granted electricity connection and a lineman came to install the electricity connection the opposite parties did not allow him to do so and, therefore, they are

guilty of wilful disobedience of writ court's order dated 29.06.2022. As a result, complaining about the resistance offered by the opposite parties including Daya Nand Sharma (appellant herein), Contempt Application (Civil) No. 4248 of 2022 was filed by impleading the current appellant as contemnor/opposite party no. 1 and officers of the electricity department as well as officers of the police as opposite party nos. 2 to 7.

7. In these contempt proceedings, after hearing learned counsel appearing for the parties, in light of certain decisions that owner's no objection certificate is not required for providing electricity connection to an occupier of the premises, the learned Single Judge exercising contempt jurisdiction passed a detailed order on 29.08.2022, which is impugned in this appeal. The operative portion of that order is extracted below:—

“Looking to the facts and circumstances of the case, this Court directs the officials of the electricity department i.e. opposite party nos. 2, 3 and 4 and the police officials of police station Sector-24, Noida, Gautambudh Nagar i.e. opposite party nos. 5 and 6 to immediately provide the electricity connection to the applicant within a period of 72 hours from today. Put up this case, as fresh, on 06.09.2022 and on that day the counsel appearing for the opposite party nos. 2, 3 and 4 shall apprise the Court about the progress of the matter.

Sri. R.K. Mishra, learned Standing Counsel, who appears for the State authorities, shall inform the opposite party nos. 5 and 6 about this order within 24 hours.

Office shall handover a copy of this order upon Sri. R.K. Mishra, learned Standing Counsel, free of charge.

On 06.09.2022 the Court shall consider the issue for framing of charges against the opposite party no. 1 for obstructing the compliance of order of writ Court dated 29.06.2022.”

8. The contention of the learned counsel for the appellant is that the order passed by the Writ Court dated 29.06.2022 is ex parte in so far as the appellant is concerned; there is no adjudication either by the writ court or by any authority empowered by law that the respondent no. 7 is a lawful occupier of the premises owned by the appellant in such circumstances, the question of occupation including its legality could not have been addressed by the contempt court; that the writ court only directed the respondent no. 5 in the writ petition to pass an appropriate order for grant of electricity connection ignoring the objection of the landlord but there is no order to instal the connection even if its installation is resisted therefore, the contempt proceedings are not maintainable and the order impugned exceeds the jurisdiction

vested in the contempt court. It is also argued that the 7th respondent is not in possession or occupation as the possession is with the appellant.

9. Miss. Archana Tyagi, holding brief of Sri. Pankaj Tyagi, learned counsel for the respondent no. 7, has raised a preliminary objection as regards the maintainability of this Special Appeal on the ground that as no punishment order was passed by the contempt court, an appeal would not be maintainable under Section 19 of the Contempt of Courts Act and since the the Contempt Court exercises jurisdiction quasi criminal in nature, a Special Appeal under Chapter VIII, Rule 5 of the High Court Rules would not be maintainable. On merits she submitted that whether the occupation of the respondent no. 7 is lawful or not, a no objection certificate from the landlord or owner is not required for an electricity connection, which is a basic human need, therefore, the order of the learned single judge calls for no interference.

10. We have considered the rival submissions for the purposes of considering whether there is a prima facie case made out for interim protection as sought by the appellant. Before we examine whether a prima facie case is made out or not, it would be appropriate to consider the preliminary objection raised with reference to the maintainability of special appeal against the order of contempt court. In *Midnapore People's Co-op. Bank v. Chunilal Nanda*, (2006) 5 SCC 399, it has been held that where the contempt court has issued a direction, which is in the nature of exercise of powers of a Writ Court even though such direction is beyond the scope of the order passed by the Writ Court, the Special Appeal would be maintainable.

11. In the instant case, the writ court while disposing off Writ C No. 17882 of 2022 had not heard the respondent no. 7 (the present appellant), who is the owner of the premises, and had also not recorded any finding whether the writ petitioner is currently in occupation of the premises. The writ court dealt with the issue whether a no objection certificate of the owner of the house is mandatory for supply of electricity to a person who is an occupier as a tenant or otherwise. The writ court by taking notice of certain clauses of the U.P. Electricity Supply Code, 2005 enabling supply of electricity even without no objection certificate of the owner, subject to fulfilment of certain conditions, had required the Executive Engineer, Electricity Urban Distribution Division (7) 33/11 KV Sub-Station, Sector-62, Noida to pass an appropriate order for grant of electricity connection in the name of the writ petitioner ignoring the objection of the landlord. The writ court's order does not at all deal with the issue whether the writ petitioner (Amit Kumar) is currently in occupation of the premises. Not only that, the writ court did not direct that even if there is a dispute with regard to occupation of the premises by the writ petitioner, the

same would have to be overlooked and supply shall be made. There is also no direction that if the owner resists the electricity supply, the same would have to be made in all circumstances.

12. As the writ court had not decided that the writ petitioner was continuing in occupation of the premises owned by the present appellant and there is no direction that supply of electricity has to be made even if the owner had resisted such supply, prima facie, in our view, the learned single judge while issuing direction that the opposite party no. 1 (appellant herein) shall not obstruct the compliance of the order dated 29.06.2022 has in effect directed that the appellant shall not even raise an objection as to whether the respondent no. 7 herein is an occupier of the premises. Ordinarily, if objection is raised to supply of electricity by a licensee to one's premises, or from over one's premises, under the proviso to clause (b) of Rule 3 of Works of Licensees Rules, 2006, framed under clause (e) of sub-section (2) of section 176 read with subsection (2) of section 67 of the Electricity Act, 2003, the licensee is required to obtain permission in writing from the District Magistrate or the Commissioner of Police or any other officer authorised by the State Government, for carrying out the works. There is no indication in the order impugned whether such permission has been obtained.

13. In light of the discussion above, keeping in mind that an objection to supply of electricity to the premises has been taken by the owner and there exists a dispute with regard to possession/occupation regarding which there appears no adjudication by the writ court and there is also no decision that the respondent no. 7 i.e. the writ petitioner is in occupation of the disputed premises, prima facie, in our view, the order of the learned single judge travels beyond the direction of the writ court. Moreover, if the writ court's order was substantially complied by the electricity department by allotting connection an objection to the supply of electricity by a person, who is owner and in occupation, as claimed, would generate a fresh cause of action on which the aggrieved party can take recourse to appropriate legal remedies, as may be advised.

14. For all the reasons above, we are of the prima facie view that the direction, dated 29.08.2022, issued by the learned Single Judge requiring the opposite parties 2, 3 and 4 as well as the police officials to immediately provide electricity supply/connection to the contempt applicant (respondent no. 7) within 72 hours with a further direction that the opposite party no. 1 (appellant herein) shall not raise any objection, travels beyond the writ court's direction dated 29.06.2022 and is, therefore, liable to be stayed and is hereby stayed. As, prima facie, we find that the connection to the contempt applicant has been sanctioned, as directed, but supply could not be made due to

objections by opposite party no. 7 (appellant herein), who claims himself to be owner and in occupation, the proceedings of Contempt Application (Civil) No. 4248 of 2022 are also also liable to be stayed and are accordingly stayed till the next date.

15. A short counter-affidavit has been filed today by Miss Archana Tyagi, which is taken on record.

16. Learned counsel for the appellant prays for and is allowed two weeks time to file rejoinder-affidavit.

17. List the appeal on 19th September, 2022.

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2014 SCC OnLine All 6594

Virendra Kumar Mittal v. U.P. Power Corporation Ltd.

(BEFORE SANJAY MISRA AND ANANT KUMAR, JJ.)

Virendra Kumar Mittal Petitioner

v.

U.P. Power Corporation Ltd. and 2 Others

Respondents

Counsel for Petitioner:- Ranjit Saxena, Amit Kumar Mishra, Deepak Saxena

Counsel for Respondent:- Ashutosh Srivastava, Baleshwar Chaturvedi

Writ - C No. 26105 of 2014

Decided on May 9, 2014

Hon'ble Sanjay Misra, J.

Hon'ble Anant Kumar, J.

We have heard Sri. Ranjit Saxena, learned Senior Counsel assisted by Sri. Amit Kumar Mishra, learned counsel for the petitioner, Sri. Ashutosh Srivastava, learned counsel for the respondent no. 2 and Sri. Baleshwar Chaturvedi, learned counsel for the respondents no. 1 and 3. Since all the respondents are represented, notice need not be issued and with the consent of learned counsel for the parties, this writ petition is being decided finally today itself.

The petitioner is aggrieved by the order dated 29.03.2014, whereby the respondent no. 2, Torrent Power Limited has informed the petitioner that he shall be given a new electricity connection subject to payment of the estimate alongwith the earlier theft electricity dues.

Learned counsel for the petitioner has submitted that by an assessment order dated 28.12.2010, the respondents alleged that the petitioner was using electricity unauthorizedly by connecting with the electricity line of the respondents and hence proceeding were initiated against him. According to learned counsel for the petitioner, the proceedings before the Special Judge, (E.C. Act), Agra were initiated by the Torrent power Ltd., respondent no. 2, wherein by an order dated 22.10.2013 the final report submitted by the police has been set aside and the proceedings under Section 135 of the Electricity Act, 2003 has been taken cognizance and notice has been issued to the petitioner. According to him. insofar as the assessment of theft by an order dated

28.12.2010 is concerned, the same is subject to the decision to be taken by the Special Judge (E.C. Act), Agra in the case pending before it at the instance of respondent no. 2, wherein the liability of the petitioner relating to unauthorized use of electricity is yet to be determined. He therefore, states that the respondent no. 2 could not demand any amount other than the estimate for installation of new connection and hence the demand made by the respondent no. 2 vide letter dated 11.11.2013 (Annexure-22 to the writ petition), which included the amount of the theft assessment could not have been demanded against the petitioner.

The petitioner has referred to the proceedings before the Electricity Consumer Dispute Redressal Forum in Case No. 53-A/2013 (*Virendra Kumar Mittal v. Torrent Power Limited*) and has submitted that by an order dated 16.09.2013, the Forum has directed the respondent no. 2 to make available the new electricity connection to the petitioner within one month on completing the requisite formalities. He states that under such circumstance, the demand of theft assessment alongwith estimate for a new electricity connection is illegal and hence the same is liable to be set aside.

Sri Ashutosh Srivastava, learned counsel appearing for the respondent no. 2 has submitted that under Clause 4.3 of the Electricity Supply Code, 2003 it has been clearly provided that for installation of a new electricity connection all the outstanding dues are to be paid up by the consumer. He states that the assessment of theft made against the petitioner is an outstanding due and therefore, the demand made under the impugned letter of the respondent no. 2 requiring the petitioner to deposit the theft assessment amount alongwith estimate for a new electricity connection is in accordance with law.

Learned counsel for the petitioner has then referred to a decision of the Supreme Court in Writ Petition (Criminal) No. 103 of 2013 (*Dr. Meena Chaudhary & Dr. Meena P.N. Singh v. BSES Rajdhani Power Ltd.*) dated 25.06.2013 to state that the theft assessment amount is not an amount which can be realized from the petitioner alongwith the estimate for a new electricity connection. He states that the right of the petitioner to supply of electricity on deposit of the estimate amount is independent of his liability to pay the assessment of theft of electricity which is under consideration before the Special Judge (E.C. Act), Agra.

We have considered the submission of learned counsel for the parties and perused the record. We find that the supply of electricity to the petitioner on payment of the estimate is provided under the Electricity Act. The question whether the assessment of theft of electricity would

be an outstanding amount under Clause 4.3 of the Code is yet to be decided by the Special Judge (E.C. Act) and the proceeding is pending before the Court at the instance of the respondent no. 2. The liability of the petitioner to pay the assessment of theft amount is yet to be determined in the said proceedings before the Special Judge (E.C. Act).

Under such circumstance, we provide that in case the petitioner deposits the estimate provided under the letter dated 11.11.2013 by the respondent no. 2 for installation of a new electricity connection, there will be no reason why the respondent no. 2 would not install the connection upon the petitioner satisfying the formalities required to be done for getting a new electricity connection.

Insofar as the demand of the theft assessment in the letter dated 11.11.2013 is concerned, admittedly the same is under consideration before the Special Judge (E.C. Act) in the proceeding initiated by the respondent no. 2 and therefore, unless the said proceeding are finalized and liability of the petitioner is fixed of the amount of theft assessment, the respondent no. 2 cannot refuse a new electricity connection to the petitioner.

However, looking into the provisions of Clause 4.3 of the Electricity Supply Code, 2003, we find it appropriate to secure the amount demanded by the respondent no. 2 as theft assessment hence the petitioner should furnish security, other than cash or bank guarantee, to the satisfaction of the respondent no. 2 within a period of three weeks from today. Upon doing so, the petitioner will be entitled to comply with all the other requirements as contemplated under the order dated 11.11.2013 (Annexure-22 to the writ petition).

The respondents shall then take a decision on the installation of a new electricity connection in light of the direction dated 16.09.2013 passed by the Electricity Consumer Dispute Redressal Forum within two weeks thereafter.

The writ petition stands disposed of as above.

No order is passed as to costs.

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2013 SCC OnLine All 13477 : (2013) 99 ALR 754

(Allahabad High Court)

(BEFORE S.P. MEHROTRA AND ZAKIULLAH KHAN, JJ.)

Between

Moolchand Saini

Versus

State of U.P. through Secretary, Power Corporation,
Up., Lucknow and others

C.M.W.P. No. 67919 of 2012

Decided on January 21, 2013

The Judgment of the Court was delivered by

SATYA POOT MEHROTRA and ZAKI ULLAH KHAN, JJ.:— The present Writ Petition has been filed by the petitioner, *inter-alia*, praying for quashing the Order dated 26.9.2012 (Annexure-9 to the Writ Petition) passed by the re-spondent No. 2).

2. It appears that on 25.3.2011, Checking was made in the premises of the petitioner and theft of electricity was allegedly detected. Thereupon, Provisional Assessment dated 3.5.2011 was made in respect of the petitioner. The petitioner submitted Objection/Representation dated 30.5.2011. By the Order dated 7.7.2011, the petitioner was informed that his Objection/Representation dated 30.5.2011, against the Provisional Assessment, was rejected. The petitioner submitted a Representation dated 23.7.2011, *inter alia*, stating that the Order dated 7.7.2011 rejecting the Objection/Representation of the petitioner had been passed without giving any opportunity of hearing to the petitioner. The petitioner filed a Writ Petition before this Court being Civil Misc. Writ Petition No. 50679 of 2011. The said Writ Petition was disposed of by this Court, by the Order dated 8.9.2011 directing the concerned respondent to consider and dispose of the Objection of the petitioner in accordance with law within the period mentioned in the said Order dated 8.9.2011. It further appears that pursuant to the said Order dated 8.9.2011, the petitioner submitted a representation dated 26.9.2011 along with copies of his earlier Representations dated 30.5.2011 and 23.7.2011.

3. By the Order dated 26.9.2012, the Executive Engineer concerned (Respondent No. 2) decided the Representation submitted by the petitioner.



The concerned Respondent No. 2 rejected the representation of the petitioner by the said Order dated 26.9.2012. The petitioner has, thereupon, filed the pre-sent Writ petition seeking the reliefs, as mentioned above.

4. We have heard Sri Surendra Pratap Singh, learned Counsel for the petitioner and Sri Nirpendra Mishra, learned Counsel appearing for the respondent Nos. 2 and 3.

5. Learned Counsel for the respondent Nos. 2 and 3 has raised preliminary objection that against the order dated 26.9.2012 passed by the Executive Engineer concerned (Respondent No. 2), the petitioner has an alternative remedy of filing Appeal under section 127 of the Electricity Act, 2003 read with Clause 6.8 of the U.P. Electricity Supply Code, 2005.

6. Sri Surendra Pratap Singh, learned Counsel for the petitioner submits that existence of alternative remedy is not an absolute bar to entertainment of Writ petition under Article 226 of the Constitution of India, and the Writ Petition may be entertained despite existence of such alternative remedy.

7. Having regard to the facts and circumstances of the case and having considered the submissions made by the learned Counsel for the parties and keeping in view the nature of the controversy involved in the present Writ Petition, we are inclined to accept the preliminary objection raised by Sri Nirpendra Mishra, learned Counsel for the respondent Nos. 2 and 3.

8. Sub-section (1) of section 126 of the Electricity Act, 2003 provides for making provisional assessment. Sub-section (2) of Section 126 provides for service of the order of provisional assessment on the person affected.

9. Sub-section (3) of section 126 provides for filing of objections by the person affected against the Provisional Assessment.

10. Sub-section (3) of section 126 further provides for making final order of assessment after considering the objections by the person affected against the Provisional Assessment and after affording reasonable opportunity of hearing to such person.

11. Sub-section (1) of section 127 of the Electricity Act, 2003 provides that any person aggrieved by the final order, made under section 126, may file Appeal to the Appellate Authority within the period mentioned in the said provision. Clause 6.8 of the U.P. Electricity Supply Code, 2005 also contains provisions for Appeal against the final order of assessment. Thus, the petitioner has an alternative remedy

under the aforesaid provisions against the order dated 26.9.2012, impugned in the present Writ Petition.

12. The Writ Petition is, therefore, liable to be dismissed, and the same is, accordingly dismissed on the said ground of availability of alternative remedy of filing Appeal to the petitioner.

13. *Petition Dismissed.*

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2009 SCC OnLine All 1064

In the High Court of Allahabad
(BEFORE SUNIL AMBWANI AND RAN VIJAI SINGH, JJ.)

Civil Misc. Writ Petition No. 27290 of 2008

Raman Ispat (Pvt.) Ltd. & Anr.

Versus

Pashchimanchal Vidyut Vitran Nigam Ltd. & Ors.

With

Civil Misc. Writ Petition No. 16147 of 2009

M/s Raman Ispat (Pvt.) Ltd.

Versus

Pashchimanchal Vidyut Vitran Nigam Ltd. & Anr.

And

Civil Misc. Writ Petition No. 16149 of 2009

Ram Pal Singh

Versus

Pashchimanchal Vidyut Vitran Nigam Ltd. & Anr.

Civil Misc. Writ Petition No. 27290 of 2008; Civil Misc. Writ Petition
No. 16147 of 2009; and Civil Misc. Writ Petition No. 16149 of 2009

Decided on September 4, 2009

Advocates who appeared in this case:

Shri B.C. Rai, learned counsel for the petitioners in all the writ petitions.

Shri Pankaj Kumar Shukla appears for the Pashchimanchal Vidyut Vitran Nigam Ltd. & Anr.

Heard Shri B.C. Rai, learned counsel for the petitioners in all the writ petitions. Shri Pankaj Kumar Shukla appears for the Pashchimanchal Vidyut Vitran Nigam Ltd. & Anr. (PVVNL), the successor of U.P. State Electricity Board and U.P. Power Corporation Ltd.

M/s Raman Ispat (P) Ltd., a private limited company registered under the Companies Act, 1956 filed the Writ Petition No. 27290 of 2008 with a prayer to restrain the Executive Engineer, Electricity Urban Distribution Division-1, PVVNL, Muzaffar Nagar from disconnecting the power supply of the petitioner company (service connection No. LP-38) on account of the demand of arrears of electricity charges, outstanding against Singh Alloys (P) Ltd. and further to restrain the Executive Engineer-respondent No. 2 from encashing cheque No. 501910 dated 31.5.2008 amounting to Rs. 50,34,016/- drawn on HDFC Bank,

Muzaffar Nagar. By the second prayer the petitioner sought information from the Executive Engineer-respondent No. 2 to provide details under which by the order dated 26.5.2008 the petitioner company was forced to submit the cheque of Rs. 5034016/- against electricity charges due to Singh Alloys Pvt. Ltd.

On 5.6.2008 learned Single Judge hearing the matter in vacations, passed an order restraining the respondents from encashing the cheque and further restraining it from disconnecting the electricity connection of the petitioner for non payment of any outstanding arrears of electricity charges against Sai Steel Industries (a unit of Singh Alloys (P) Ltd.) through its Director Mohd. Ahsan son of Mohd. Meharban resident of 29, Jassi Pura, Ghaziabad.

In Writ Petition No. 16149 of 2009 filed on 23rd March, 2009 Shri Ram Pal Singh (R.P. Singh) son of late Shri Nawab Singh resident of 65 -D, New Mandi, District Muzaffarnagar has prayed for directions to quash the order dated 09.3.2009 of the Executive Engineer, Electricity Distribution Division (1), Town Hall, Muzaffarnagar rejecting the representation of Raman Ispat Pvt. Ltd. for depositing the bills payable by M/s Singh Alloys Pvt. Ltd., Meerut Road, Muzaffarnagar for its unit M/s Sai Steels, which was liable to pay the electricity dues of Rs. 50.38 lacs. The representation was decided by the Executive Engineer in pursuance to the directions issued by the High Court in Writ Petition No. 6006 of 2009. The petitioner has also prayed for restraining the respondents from making recovery proceedings including any coercive measures against the petitioner towards recovery of electricity dues of M/s Sai Steel. The writ petition was directed to be connected with Writ Petition No. 27290 of 2008 and was thereafter nominated by Hon'ble the Chief Justice to be heard by this Bench.

In Writ Petition No. 16147 of 2009 M/s Raman Ispat (P) Ltd. has prayed for quashing the same order dated 09.3.2009 passed by the Executive Engineer, Electricity Distribution Division (1), Town Hall Muzaffarnagar by which the request of the petitioner not to recover the dues of M/s Singh Alloys Pvt. Ltd. was rejected. The petitioner has further prayed for directions to restrain the respondents from recovering the dues of M/s Sai Steels from the petitioner in any manner including coercive process and also to enhance the load of M/s Raman Ispat Pvt. Ltd., the petitioner from 1825 KVA to 2500 KVA as per the provisions of Clause 4.43(b)(i) of the U.P. Electricity Supply Code, 2005.

In all these three writ petitions M/s Raman Ispat Pvt. Ltd. has in substance prayed for direction that amounts due to be paid by M/s Sai Steels Pvt. Ltd. be not recovered from the petitioner and that the recovery against M/s Sai Steels should not be made a condition precedent for enhancing the load from 1825 KVA to 2500 KVA. The

PVVCL has not accepted the demand on the ground that M/s Raman Ispat Pvt. Ltd. purchased plot No. 1499 M area 0.471 hec. from M/s HM Steels (a partnership firm). Shri R.P. Singh, the Director of M/s Raman Ispat Pvt. Ltd. was a partner of M/s Sai Steels, a partnership firm had entered into agreement with U.P. State Electricity Board (as it then was). The partnership continued without any information of its resolution to the UPSEB/UPCL. Shri R.P. Singh is partner of M/s Sai Steel. Shri R.P. Singh was instrumental in registering the companies M/s Singh Alloys and the partnership firm M/s Sai Steels. He is liable as partner to pay all the dues of M/s Sai Steels as his liability with other partners jointly and severally. M/s Raman Ispat Pvt. Ltd. is thus required to pay old dues before its application for enhancement of load can be considered under Clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005.

Shri B.C. Rai, learned counsel for the petitioners in all the writ petitions submits that M/s Sai Steel Industries, a partnership concern had entered into agreement with UPSEB on 28.8.1985 for contracted load of 470 KVA. The agreement was signed by Shri Shiv Kumar Singh, one of the partners of M/s Sai Steels Industries. Shri Shiv Kumar Singh and Shri Ram Pal Singh floated a company in the name and style of M/s Singh Alloys Pvt. Ltd. along with other partners. Shri Ram Pal Singh, the petitioner in Writ Petition No. 16149 of 2009 was one of the Directors of M/s Singh Alloys Pvt. Ltd. Shri Ravi Bansal and Shri Surendra Prakash, partners in M/s Sai Steels retired from partnership on 25.7.1988 on which the partnership continued with Shri Ram Pal Singh-the petitioner in Writ Petition No. 16149 of 2009, Shri Bhim Singh, Shri Shiv Kumar Singh and Shri Rajendra Singh. Shri Ram Pal Singh retired as Director of M/s Sai Steels Pvt. Ltd. on 1.4.1990. A Form 32 was submitted before the Registrar of Companies. Shri Ram Pal Singh along with Shri Bhim Singh, Shri Shiv Kumar Singh and Shri Rajendra Singh, retired from M/s Sai Steels on 1.1.1991 after which the partnership concern continued by the same name taking three partners namely M/s Ahsan, Shri Sakeel Ahmad and Shri Ravindra Sharma. The demand notice was issued on 3.4.2001 against M/s Sai Steels Pvt. Ltd. to be recovered from the petitioner on which Shri Sakeel Ahmad applied on 10.5.2001 on behalf of M/s Sai Steels for permanent disconnection of electricity connection. The electric supply was permanently disconnected on 10.5.2001 and that on 25.8.2001 Shri R.P. Singh made a representation along with documentary proof that he had no concern with the firm/company. Enquiries were made from the Registrar of Companies on which a report was given to the Executive Engineer on 4.10.2001 that Shri R.P. Singh has no concern with M/s Sai Steels, after which the name of Shri R.P. Singh was expunged from the recovery certificate on 19.10.2001.

Shri B.C. Rai states that inspite of expunging the name of the petitioner Shri Ram Pal Singh from the recovery certificate, the Executive Engineer-PVVNL issued recovery certificate on 3.6.2008 to recover the electricity dues from the partners/directors of M/s Sai Steels. The Chief Engineer, PVVNL required the Executive Engineer by letter dated 6.10.2008 to recover the dues only from the partners/directors of the firm/company. Similar letter was also sent by the Superintending Engineer on 21.2.2009. The Executive Engineer, however, insisted upon the recovery of electricity dues of M/s Sai Steels from M/s Raman Ispat Pvt. Ltd. and issued a notice on 19.1.2009 to M/s Raman Ispat Pvt. Ltd. The recovery was assailed in Writ Petition No. 6006 of 2009, filed by M/s Raman Ispat Pvt. Ltd. This Court on 5.2.2009 directed the Executive Engineer to decide his representation on which the impugned order was passed. Shri B.C. Rai further submits that M/s Agrawal Steels was given electricity connection of 2000 KVA by UPSEB under the agreement dated 31.12.1984. By the office memorandum dated 3.11.1989 the Chairman UPSEB Lucknow substituted the name of consumer from "Shri Hukum Chandra Agrawal" proprietor M/s Agrawal Steels Meerut Road, Muzaffarnagar as M/s Raman Ispat Pvt. Ltd., 7th K.M. Stone, Meerut Road, Muzaffarnagar subject to condition (1) the agreement for the above load has not been executed and (2) the orders for sanction of the above load are still valid and in force till date. M/s Raman Ispat Pvt. Ltd. entered into agreement with UPSEB for a contracted load of 1825 KVA. On 05.04.2008 an application was made by M/s Raman Ispat Pvt. Ltd. for enhancement of the contracted load from 1925 KVA to 4325 KVA in the same terms. The PVVNL which has stepped into the shoes of UPSEB, called upon the petitioner to discharge the liabilities of M/s Sai Steels under clause 4.3 (f) to (h) of the U.P. Electricity Supply Code, which provides:-

"(f) Where the applicant has purchased existing property it shall be the duty of the applicant to verify that old owner has paid all dues to the licensee and has obtained no-dues certificate from licensees. In case the no-dues certificate is not obtained by the old owner, new owner before purchase of property may approach the licensee for no-dues certificate by giving the reference of the connection in said premises. The licensee shall either intimate the pending dues, if any, on the premises or issue no dues certificate within two month from the date of application. The application shall processed by licensee on clearing of dues only the new owner.

(g) Where the property has been legally sub-divided, the outstanding dues for the consumption of energy on such premises, if any, shall be divided on pro-rate basis.

(h) A new connection to such sub-divided premises shall be given only after the share of outstanding dues attributed to such sub-divided

premises, is duly paid by the applicant. Licensee shall not refuse connection to an applicant only on the ground that, dues on the other portion(s) of such premises have not been paid, nor shall the licensee shall demand record of last paid bills of other portion(s) from such applicants.”

It is stated that Clause 4.3(f) of the Code has been amended by UP Electricity Reforms Commission w.e.f. 11.8.2006. The amended clause 4.3(f) of the U.P. Electricity Supply Code, 2005 reads as follows:-

“4.3 New Connections-General: (a)

(f)(i) it will be the duty of the seller and of the purchaser to find out the outstanding electricity dues up to the date of sale, and further that both seller and purchaser will be either/or, jointly and severally liable to be pay the outstanding electricity dues/obtain no-dues certificate.

(ii) Before sale of a premise is made, the outstanding dues will cleared and, in the alternative the deed to agreement/sale will specifically mention the outstanding dues and the method of its payment. “Outstanding dues” means all dues pending on a premises including late payment surcharge.

(iii) In case the no-dues certificate is not obtained by the old owner, new owner before purchase of property may approach the licensee for no dues certificate, by giving the reference of the connection in said premises. The license shall either intimate the pending dues, if any, on the premises or issue no dues certificate within 30 working days from the date of application.

(iv) The outstanding dues will be first charge on the assets of the company, and the licensee shall ensure that this is entered in an agreement with new applicant.

(v) The recovery proceedings against the defaulting consumer, and where the defaulting consumer is a company, from the Directors of the company, shall be ensured. Where a financial institution has auctioned the property without considered to licensees charge on assets, claims may be lodged with the concerned financial institution with diligent pursuance.

(vi) In case the electricity connection to the said premises was given with the consent of house owner, such person shall ensure the payment of all arrears/dues of electricity by the tenant before the tenant vacates the premises.

(vii) However the above conditions shall not apply if inconsistent with the provision of any higher court order or an order as a consequence to it.

(viii) The application shall be processed by licensee on clearing of dues.”

It is submitted by Shri B.C. Rai that Raman Ispat Pvt. Ltd. had

clarified by its letter dated 16.2.2005 to the Executive Engineer that on 19.5.1990 M/s Singh Alloys Pvt. Ltd. had entered into agreement in terms whereby the property bearing Khasra No. 1499 was mortgaged as security in favour of PICUP. The company committed defaults on which PICUP initiated proceedings under Section 29 of the State Financial Corporation Act, 1951 and took over the possession of the property. M/s H.M. Steel purchased the property of M/s Singh Alloys Pvt. Ltd. in an open auction held by PICUP. The sale deed was executed in favour of M/s HM Steel by PICUP on 27.11.2002. On 27.9.2007 M/s Raman Ispat, the petitioner purchased a part of property bearing Khasra No. 1499M from the partners of M/s HM Steels, which had purchased it from PICUP. M/s Raman Ispat also purchased the other part of the same plot of Khasra No. 1499 M from Smt. Hajjan Abda on 8.5.2009. She had purchased the property from M/s H.M. Steel. M/s Sai Steel was partnership firm. It had obtained electric connection from UPSEB for running a factory and had no concern with M/s Raman Ispat Pvt. Ltd., which has no interest, much less controlled interest of *Sai Steel*. Relying upon *Isha Marbles v. Bihar State Electricity Board*, (1995) 2 SCC 648 (para 56) and *Ahmedabad Electricity Co. Ltd. v. Gujarat Inns (P) Ltd.*, (2004) SCC 587 that the past electricity dues are not a charge over the property and the property purchased by the auction purchaser, the purchaser shall seek supply of electricity energy, the petitioner applied to increase the load to supply electricity. M/s Raman Ispat (P) Ltd. cannot be now called upon to clear the past arrears as condition precedent to supply. The contract between erstwhile consumer and the Board cannot be enforced on a third party and that fresh connection, though the premises are the same, cannot be subjected to liability to clear the dues incurred by the previous owner in respect of power supply.

Shri B.C. Rai has not challenged the amended clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005, which provides in Clause (IV) as a statutory condition that the outstanding dues will be a charge on the assets of the company, and sub clause (V) providing that where a financial institution has auctioned the property without considering the licensee's charge on the licensee assets, the claims may be lodged with the concerned financial institution with diligent persuasion. It is submitted that the petitioner is subsequent bonafide purchaser for value from the vendee of PICUP and that Clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005, which came into force on 11.8.2006 is not applicable to the statutory sale by the U.P. Financial Corporation Act, 1951, prior to the enforcement of the clause.

Shri Pankaj Shukla appearing for PVVNL states that M/s Raman Ispat Pvt. Ltd. was incorporated on 18.9.1989, with Shri R.P. Singh, Shri Bheem Singh, Shri Agrawal and Shri S.P. Singh as its directors. The

site plan of the property demonstrates that the wall of both the companies namely M/s Sai Steels and M/s Raman Ispat Pvt. Ltd. are adjoining each other and are situate on 7th Kms. Stone, Muzaffarnagar. M/s Sai Steels could not pay the electricity dues and was declared a defaulter. With the collusion of the directors and partners of both the firm and the company, the land was sold to M/s Raman Ispat Pvt. Ltd. Shri R.P. Singh, the Managing Director of M/s Raman Ispat Pvt. Ltd. had himself moved an application for enhancement of the load of Raman Ispat Pvt. Ltd., and had clearly mentioned in a letter addressed to the Executive Engineer, Electricity Distribution Division-1, Town Hall, Muzaffarnagar that there are only two directors in the company namely Shri R.B. Singh and Shri Virendra Verma. He had supported the application along with a copy of the list of Directors of the company downloaded from the website of the Registrar of Companies on 8th February, 2008 at 1.07 P.M. IST. Shri Pankaj Kumar Shukla submits that the petitioner very cleverly merged M/s Sai Steels (a partnership firm) in M/s Raman Ispat Pvt. Ltd. (a private limited company) and thereafter moved an application for enhancement of the load. The respondents detected the fraud and issued notice to recover the electricity dues of M/s Sai Steels from the petitioner under the amended clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005.

Shri Pankaj Kumar Shukla further submits that M/s Sai Steels never surrendered nor transferred the electricity connection to anyone and that partners of M/s Sai Steels himself entered into agreement for supply of electrical energy. He has relied upon Supreme Court judgment in *Pashchimanchal Vidyut Vitran Nigam Ltd. v. DUS Steels and Alloys Pvt. Ltd.* decided on 7.11.2008 and reported in JT 2008 (12) SC 672. In this judgment it was held that supply of electricity by distributor to a consumer is "sale of goods". A transferee of the premise or a subsequent occupant of the premise with whom the supplier has no privity of contract cannot obviously be asked to pay the dues of his predecessor entitled or possession as the amount payable towards supply of electricity does not constitute a charge on the premise. A predecessor of a premises cannot be foisted with the electricity dues of any previous occupant merely because he happens to be the current owner of the premises. But this legal position does not help a purchaser of a premises. When the purchaser of the premises approaches the distributor seeking fresh electricity connection to its premises for supply of electricity, the distributor can provide for the terms subject to which it would supply electricity. It can stipulate the condition of payment of arrears for supply of electricity made to the premises, when it was in the occupation of the previous owner/occupant. The licensee can stipulate that the past dues be cleared before the electricity supply is restored to the premises, or a fresh connection is provided, or load is

enhanced to the factory on the same premises. Such a stipulation cannot be termed as unreasonable or arbitrary.

We have carefully considered the submissions of the parties, and perused the records. Mr. Hukum Chandra Agrawal, a proprietor of M/s Agrawal Steels entered into agreement for electricity connection with U.P. State Electricity Board on 23rd December, 1984. By office memorandum dated November 3, 1989 the connection was transferred by substituting M/s Raman Ispat Pvt. Ltd. 7 KMS Meerut Road, Muzaffar Nagar as consumer with the condition that the order for sanction of load are still valid and are in force, and an agreement is executed.

M/s Sai Steel (a partnership firm) with Shri Bhim Singh, Shri Shiv Kumar Singh, Shri Rajendra Singh, Shri R.P. Singh was incorporated on 25.7.1989. The firm entered into agreement dated 28.8.1985 for supply of electricity of the contracted load of 470 KVA. The partnership was dissolved on 1.1.1991. It is alleged that a new partnership concern in the same name and style came into existence with three partners namely Mohd. Ahsan, Shakeel Ahmad both sons of Mohd. Meharban and Shri Irfan Ahmad. A new agreement was executed with enhanced load 800 KVA between partnership firm and UPSEB. The firm did not pay the electricity dues and applied for permanent disconnection. The permanent disconnection could be made only after the dues were paid. There is no order to sanction permanent disconnection or payment of past dues available on record. M/s Raman Ispat Pvt. Ltd. was incorporated with Shri R.B. Singh, Shri Bhim Singh, Shri Hukum Chandra Agrawal and Shri S.P. Singh as its directors. The petitioners have not brought on record any arrangement by which M/s Sai Steels had transferred the business to M/s Raman Ispat Pvt. Ltd.

M/s Singh Alloys Pvt. Ltd., a company having industrial activity adjacent to M/s Raman Ispat Pvt. Ltd. had taken financial assistance from PICUP after mortgaging its property. The company committed defaults on which PICUP initiated proceedings under Section 29 of the State Financial Corporation Act, 1951 and took over the possession of the land and sold it in open auction to M/s HM Steels vide sale dated 27.11.2002. M/s Raman Ispat Pvt. Ltd. purchased a part of land from M/s HM Steels and also Smt. Hajjan, who had in turn purchased it from HM Steels. These sale deeds were executed on 27.9.2007 and 8.5.2008 respectively.

The petitioners have failed to prove that there is no relationship between M/s Sai Steels and M/s Raman Ispat Pvt. Ltd. The deed of dissolution of M/s Sai Steels, registration of partnership with new partners has not been brought on record. M/s Singh Alloys Pvt. Ltd. committed defaults on which PICUP took over possession and sold the property to M/s HM Steels on 27.11.2002. M/s Raman Ispat Pvt. Ltd. purchased a part of property from M/s H.M. Steel, and other part from

Smt. Hajjan Abdi, the purchaser of the other part from M/s HM Steel. M/s Raman Ispat Pvt. Ltd. thus became the owner of the entire industrial plot.

In the rejoinder affidavit of Shri Mange Ram (in Writ Petition No. 16147 of 2009) he has annexed the affidavit of Sakeel Ahmad claiming to be the Director of Sai Steels Ltd. (a unit of Singh Alloys) 7th KM Meerut Road, Muzaffarnagar. The affidavit filed with the Executive Engineer, Electricity Distribution Division-1, Muzaffarnagar was sworn by him on 10.5.2001. In this affidavit it is stated by him as Supervisor of the petitioner company that M/s Sai Steels with four partners including Shri R.P. Singh had entered into agreement dated 28.8.1985 for supply of 470 KVA load. The partnership was dissolved on 1.1.1991 with new partners as Mohd. Ahsan, Sakeel Ahmad and Irfan Mohd. and that new partnership concern applied for enhancement of load from 470 KVA to 800 KVA. The new agreement with the new partnership is in the possession of the Executive Engineer, who is duty bound to produce it before the High Court. *Shri Sakeel Ahmad* filed a notary affidavit on 10.5.2001 (supra) and gave cheques issued by the partners of the new partnership, to surrender the electricity connection. The payment of dues of Shri Sakeel Ahmad on behalf of Sai Steel Ltd. to UPSEB is not admitted to the respondents. Shri R.P. Singh claiming himself to be Director of Raman Ispat Pvt. Ltd. had admitted in Writ Petition No. 27290 of 2008 in which he represents Raman Ispat Pvt. Ltd. as one of its Directors (writ petition was filed on 2nd June, 2008) that in the bills of March, 2008 and April 2008 there were arrears of 15% independent feeder charges for which the petitioner had obtained stay orders in Writ Petition No. 39510 of 2002 on 11.8.2005. the writ petition was allowed and the demand of independent feeder charge was quashed. In the same bill there was demand of additional security amount and that under the threat of recovery he was pressed to give a cheque of Rs. 50,34,016/- on 26.5.2008 to the Executive Engineer for alleged outstanding arrears of Sai Steels Industries described as unit of Singh Alloys Pvt. Ltd.

Shri R.P. Singh, the petitioner in Writ Petition No. 16149 of 2009 has very cleverly spun the web of acquisitions and change of the name of the companies, so that the electricity department may not catch him for the dues of M/s Sai Steels for the electricity consumed by the company as raw material to produce steel. He has not challenged the demand, and has rather confined the writ petition to the plea that he is neither a partner in Sai Steels nor a Director in Raman Ispat Pvt. Ltd. purchased from M/s HM Steels Ltd. It appears that for some time he was able to take the electricity department for a ride in proving that he has nothing to do with either of the companies and that demand was sought to be knocked out. The department, however, appears to have

lifted the veil and has found that Shri R.P. Singh is the person behind all these companies and is liable to pay the due of M/s Sai Steels Ltd. Shri Mahesh Chandra, the Executive Engineer, Electricity Distribution Division-I, Town Hall, Muzaffarnagar has rightly observed in the impugned order that at the time of entering into agreement Shri R.P. Singh was the partner of M/s Sai Steels, which was unit of M/s Singh Alloys Pvt. Ltd. M/s Singh Alloys Pvt. Ltd. was sold for defaults committed in repayment to PICUP and was purchased by M/s HM Industries, Shri R.P. Singh purchased the property back from M/s HM Industries and Smt. Hajjan in the name of M/s Raman Ispat Pvt. Ltd. The Executive Engineer has thus rightly dismissed the application for enhancement of rate of Raman Ispat Pvt. Ltd. until the dues of Sai Steels are cleared.

In the sale dated 27.11.2002 annexed as Annex. No. 8 executed between PICUP as vendor and M/s HM Steels, partnership firm with Shri Saeem Ahmad, Mohd. Adil and Shri Jakaulah as partners, the description of the land is given in the schedule as follows:-

“Sale deed executed on 11.12.89 by Sri Rampal Singh S/o Sri Nawab Singh R/o 65-B Nai Mandi Muzaffar Nagar a partner of M/s Sai Steel Industries, Meerut Road, Muzaffar Nagar (seller) in favour of M/s Singh Alloys Pvt. Ltd. Meerut Road, Muzaffar Nagar having its registered office at 70/1, Kambal Wala Bagh Muzaffar Nagar (Purchaser) in respect of plot of land Khasra No. 1499 m. admeasuring 2 Bigha 6 Biswa (0.471 Hec.t) located at village Jaroda, Pargana Tehsil and District Muzaffar Nagar. The sale deed is duly registered in the office of Sub-Registrar Muzaffar Nagar in Bahi No. 1 Khand 15 at page 55/70 at Sl. No. 8047 on 11.12.89.”

The same land was purchased by Raman Ispat Pvt. Ltd. with Shri R.P. Singh as Director of the company.

In the sale deed between M/s HM Steels and Raman Ispat Pvt. Ltd. dated 10.9.2007, there is a recital that M/s HM Steels, Murad Nagar has demolished the plant and machinery and has sold the same to a third party and that land is vacant on the spot. The sale deed executed by Smt. Hajjan Abada in favour of Raman Ispat Pvt. Ltd. described the property to be an open land with 7' wide boundary wall and covered area of only 14 sq. mtrs. on which a room is constructed. The reasons for which the petitioner wanted the load sanctioned to be enhanced from 1825 KVA to 4325 KVA is not clear from the records. If Sai Steels Industries was closed and was allowed permanent disconnection of electricity supply and that plant and machinery of Raman Ispat Pvt. Ltd. have been removed, there could be no reason for enhancement of sanctioned load to M/s Raman Ispat Pvt. Ltd. from 1825 KVA to 4325 KVA.

Shri R.P. Singh is the man behind the entire scheme. He had

accepted the liability and paid the cheque and thereafter obtained an interim order from this Court, in summer vacations on 5.6.2008 by withholding the facts and painting a false picture. The petitioners have thus not come to the Court with clean hands and are not entitled to any relief.

All the three writ petitions are dismissed with costs.

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2018 SCC OnLine All 357

In the High Court of Allahabad
(BEFORE AMRESHWAR PRATAP SAHI AND SHASHI KANT, JJ.)

M/s. Shree Radhey Ice Factory Petitioner

v.

State of U.P. and 4 Others Respondents

Writ - C No. - 5263 of 2018

Decided on April 16, 2018

Counsel for Petitioner:- A/A1736, Ajay Kumar Patel, R.K. Singh
Gaharwar, Sushant

Counsel for Respondent:- C.S.C., Baleshwar Chaturvedi, S. K. Tr

ORDER

1. Heard learned counsel for the petitioner and Sri. Shrawan Kumar Tripathi for the respondent nos. 2 to 4.

2. The petitioner had come up before this Court raising his grievance with regard to incorrect bills having been sent for realization of consumption of electricity being Writ Petition No. 8164 of 2016. The Court noticed the fact that the petitioner had erroneously approached the permanent Lok Adalat whereas he ought to have raised his grievance in terms of the Electricity Supply Code, 2005. The petitioner filed a review application in the said writ petition but the same was got dismissed as withdrawn on 26.04.2017.

3. The petitioner thereafter in terms of the judgment dated 23.02.2016 approached the Managing Director by moving a representation which is Annexure No. 4 to the writ petition.

4. Learned counsel for the respondent nos. 2, 3 and 4 submits that the said representation in terms of Clause-6.5 of Electricity Supply Code, 2005 ought to have been moved before the Executive Engineer, and therefore, the petitioner erroneously approached the Managing Director of the Corporation.

5. It is then pointed out that the Executive Engineer has already intimated the Secretary Energy, Government of Uttar Pradesh vide his communication dated 21st December, 2017 that the petitioner had not approached the Executive Engineer in spite of having been invited to attend his office.

6. It is thus clear that the petitioner had moved a representation even though to the Higher Authority which ought to have been redirected to the Executive Engineer for consideration. The objections, therefore, have not received the attention of the Competent Authority

may be on account of the wrong approach of the petitioner.

7. The Executive Engineer who has issued the impugned communication has nowhere referred to the said objections and instead has indicated that since the petitioner failed to turn up before him, therefore no action could be taken.

8. In the aforesaid background, we dispose of this writ petition with a direction to the concerned Executive Engineer to proceed to pass an appropriate order in accordance with law, keeping in view of the objections which have been taken by the petitioner in Annexure No. 4 to the writ petition within three weeks from the date of the presentation of the certified copy of this order if he has already not passed an order in terms of 6.5 of the Code.

9. *Disposed of* with the said directions.

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2010 SCC OnLine All 4452

In the High Court of Allahabad

(BEFORE VIJAY MANOHAR SAHAI AND RAJ MANI CHAUHAN, JJ.)

Vijay Pal Singh & Another ... Petitioner;

Versus

Dakshinanchal Vidyut Vitran Nigam Ltd. and Others
... Respondent.

WRIT - C No. - 60987 of 2005

Decided on March 29, 2010

Advocates who appeared in this case :

Petitioner Counsel:— Seema Agarwal, Mayank Agarwal

Respondent Counsel:— WH. Khan, S.C.

The petitioner is manufacturing cycle locks. He had been sanctioned a load of 21 H.P. and 7.5 K.W. The tariff applicable to the petitioner is LMV-6 with the facility of a trivactar meter for M.R.I. recording. On 4.5.2005 a surprise checking was made by the respondents at the premises of the petitioner and it was found that the petitioner was committing theft by passing the meter through a cable. The connection of the petitioner was disconnected. The cable and meter was seized and sent for checking at the laboratory. On 4.5.2005 a show cause notice was issued to the petitioner by the Deputy General Manager to which the petitioner submitted his reply. After considering the reply of the petitioner, final assessment order was passed on 5.7.2005 and a sum of Rs. 6,94,203/- was demanded from the petitioner, which was three times of the tariff applicable to the petitioner, as per the provisions of U.P. Electricity Supply Code, 2005. The learned counsel for the petitioner has challenged the assessment order dated 5.7.2005 by means of this writ petition.

We have heard Sri Mayank Agrawal, learned counsel for the petitioner and Sri H.P. Dubey appearing for respondent nos.1, 2 and 3.

Electricity Act, 2003 came into force on 2.6.2003. Section 126(6) of the Act, provided that the assessment can be done at the rate of 1.5 times of the tariff applicable. Section 126(6) of the Act reads as under:

“The assessment under the section shall be made at a rate equal to one-and-half times the tariff applicable for the relevant category of services specified in subsection (5).”

The U.P. Electricity Supply Code, 2005 came into force on 18.2.2005. Clause 6.8 of the Code provides procedure for booking a consumer under Section 126 of the Electricity Act, 2003. Clause 6.8(c)(iv)(a) of

the Code provides that assessment shall be made at the rate equal to one-and-half the tariff applicable. The aforesaid clause 6.8(c)(iv)(a) is extracted below:

“The assessment shall be made at a rate equal to one-and-half times the tariff rates applicable for the relevant category of services.”

Clause 8.2(iv) of the Code provides that in case a theft of energy, final assessment bill shall be prepared, which shall be three times rates as per the applicable tariff. Clause 8.2(iv) of the Code is extracted below:

“Where it is established that there is a case of theft of energy, the licensee shall assess the energy consumption for past period as per the assessment formula given in Annexure 6.3(c) and prepare final assessment bill on 3 times the rates as per applicable tariff and serve on the consumer under proper receipt. The consumer shall be required to make the payment within 7 working days of its proper receipt. A copy of the speaking order shall be handed over to the consumer under proper receipt on the same day.”

Annexure-6.3 which is referable to clause 6.8(c) in clause-C (iv) provides that the consumption so assessed shall be charged at three times the normal tariff applicable. The aforesaid clause is extracted below:

“The consumption so assessed, shall be charged at 3 times the normal tariff applicable, after adjusting the payments made for any energy consumption for the assessment period if any.”

From the perusal of the aforesaid provisions of the Act and the Code it is apparent that in the Act under Section 126(6) provided that assessment can only be done at the rate of 1.5 times of the tariff applicable, whereas the Code provided that in case of theft assessment at the rate of three times of the tariff applicable shall be made. Section 174 of the Act provided that Act shall have an overriding effect and the code which has been framed under the provisions of the Act being subordinate legislation can not travel beyond the scope of the provisions of the Act and is ultra-vires to the provisions of the Act. However, realizing their mistake the U.P. Electricity Regulatory Commission which has framed the U.P. Electricity Supply Code, 2005 made 3rd amendment to the Code on 14.9.2006 and clause 8.1(iv) was amended and clause 8.1(b)(iv) was inserted and it was provided that an assessment in cases of theft will be done at the rate of 1.5 times the tariff rate, thus, the provisions of the Code was made in consonance with the provisions of the Act and the illegality in framing the Code stood cured. It is also relevant to point out over here that the Electricity Act, 2003 was amended on 15.6.2007 by which Section 126(6) was amended and it was provided that the assessment will be done at the

rate of 2 times of the tariff rate instead of 1.5 times the tariff rate as was being charged earlier. However, U.P. Electricity Regulatory Commission has not yet amended the clause 8.1(b)(iv) of the Code to bring it in consonance with the provisions of the amended Act and the Code still provides for assessment at the rate of 1.5 times the tariff rate. It is not necessary for us to go into the question as the what will be effect of not amendment to the Code in consonance with the provisions of the Act. Since the petitioner's case is covered by the pre-amended Act and he was liable to pay 1.5 times of the tariff applicable as checking in the case of the petitioner was carried on 4.5.2005 and at that date unamended clause 8.2(iv) of the Code was in existence, which provided for assessment at the rate of three times of the tariff rate. Since three times of the tariff rate provided by the code at that time was contrary to the provisions of Section 126(6) of the Act, therefore, interest of justice would be served if we direct the petitioner to pay 1.5 times of the tariff applicable instead of three times tariff applicable.

In the result writ petition succeeds and is allowed. The impugned order dated 5.7.2005 Annexure-4 to the writ petition is quashed with the condition that the petitioner shall pay 1.5 times assessment tariff applicable on 4.5.2005 to the respondents and if the amount has already been paid by the petitioner, he shall not be required to pay it again.

Office is directed to issue a certified copy of this order to the learned counsel for the parties on payment of usual charges within 24 hours.

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2010 SCC OnLine All 3985

In the High Court of Allahabad

(BEFORE VIJAY MANOHAR SAHAI AND RAJ MANI CHAUHAN, JJ.)

Vijay Pal Singh ... Petitioner;

Versus

Dakshinanchal Vidyut Vitran Nigam Ltd. and Others
... Respondent.

WRIT - C No. - 60986 of 2005

Decided on March 29, 2010

Advocates who appeared in this case :

Petitioner Counsel:— Seema Agarwal, Mayank Agarwal

Respondent Counsel:— WH. Khan, S.C.

The petitioner is manufacturing cycle locks. He had been sanctioned a load of 21 H.P. and 7.5 K.W. The tariff applicable to the petitioner is LMV-6 with the facility of a trivactar meter for M.R.I. recording. On 4.5.2005 a surprise checking was made by the respondents at the premises of the petitioner and it was found that the petitioner was committing theft by passing the meter through a cable. The connection of the petitioner was disconnected. The cable and meter was seized and sent for checking at the laboratory. On 4.5.2005 a show cause notice was issued to the petitioner by the Deputy General Manager to which the petitioner submitted his reply. After considering the reply of the petitioner, final assessment order was passed on 4.7.2005 and a sum of Rs. 6,94,203/- was demanded from the petitioner, which was three times of the tariff applicable to the petitioner, as per the provisions of U.P. Electricity Supply Code, 2005. The learned counsel for the petitioner has challenged the assessment order dated 4.7.2005 by means of this writ petition.

We have heard Sri Mayank Agrawal, learned counsel for the petitioner and Sri H.P. Dubey appearing for respondent nos.1, 2 and 3.

Electricity Act, 2003 came into force on 2.6.2003. Section 126(6) of the Act, provided that the assessment can be done at the rate of 1.5 times of the tariff applicable. Section 126(6) of the Act reads as under:

“The assessment under the section shall be made at a rate equal to one-and-half times the tariff applicable for the relevant category of services specified in subsection (5).”

The U.P. Electricity Supply Code, 2005 came into force on 18.2.2005. Clause 6.8 of the Code provides procedure for booking a consumer under Section 126 of the Electricity Act, 2003. Clause 6.8(c)(iv)(a) of

the Code provides that assessment shall be made at the rate equal to one-and-half the tariff applicable. The aforesaid clause 6.8(c)(iv)(a) is extracted below:

“The assessment shall be made at a rate equal to one-and-half times the tariff rates applicable for the relevant category of services.”

Clause 8.2(iv) of the Code provides that in case a theft of energy, final assessment bill shall be prepared, which shall be three times rates as per the applicable tariff. Clause 8.2(iv) of the Code is extracted below:

“Where it is established that there is a case of theft of energy, the licensee shall assess the energy consumption for past period as per the assessment formula given in Annexure 6.3(c) and prepare final assessment bill on 3 times the rates as per applicable tariff and serve on the consumer under proper receipt. The consumer shall be required to make the payment within 7 working days of its proper receipt. A copy of the speaking order shall be handed over to the consumer under proper receipt on the same day.”

Annexure-6.3 which is referable to clause 6.8(c) in clause-C (iv) provides that the consumption so assessed shall be charged at three times the normal tariff applicable. The aforesaid clause is extracted below:

“The consumption so assessed, shall be charged at 3 times the normal tariff applicable, after adjusting the payments made for any energy consumption for the assessment period if any.”

From the perusal of the aforesaid provisions of the Act and the Code it is apparent that in the Act under Section 126(6) provided that assessment can only be done at the rate of 1.5 times of the tariff applicable, whereas the Code provided that in case of theft assessment at the rate of three times of the tariff applicable shall be made. Section 174 of the Act provided that Act shall have an overriding effect and the code which has been framed under the provisions of the Act being subordinate legislation can not travel beyond the scope of the provisions of the Act and is ultra-vires to the provisions of the Act. However, realizing their mistake the U.P. Electricity Regulatory Commission which has framed the U.P. Electricity Supply Code, 2005 made 3rd amendment to the Code on 14.9.2006 and clause 8.1(iv) was amended and clause 8.1(b)(iv) was inserted and it was provided that an assessment in cases of theft will be done at the rate of 1.5 times the tariff rate, thus, the provisions of the Code was made in consonance with the provisions of the Act and the illegality in framing the Code stood cured. It is also relevant to point out over here that the Electricity Act, 2003 was amended on 15.6.2007 by which Section 126(6) was amended and it was provided that the assessment will be done at the

rate of 2 times of the tariff rate instead of 1.5 times the tariff rate as was being charged earlier. However, U.P. Electricity Regulatory Commission has not yet amended the clause 8.1(b)(iv) of the Code to bring it in consonance with the provisions of the amended Act and the Code still provides for assessment at the rate of 1.5 times the tariff rate. It is not necessary for us to go into the question as the what will be effect of not amendment to the Code in consonance with the provisions of the Act. Since the petitioner's case is covered by the pre-amended Act and he was liable to pay 1.5 times of the tariff applicable as checking in the case of the petitioner was carried on 4.5.2005 and at that date unamended clause 8.2(iv) of the Code was in existence, which provided for assessment at the rate of three times of the tariff rate. Since three times of the tariff rate provided by the code at that time was contrary to the provisions of Section 126(6) of the Act, therefore, interest of justice would be served if we direct the petitioner to pay 1.5 times of the tariff applicable instead of three times tariff applicable.

In the result writ petition succeeds and is allowed. The impugned order dated 4.7.2005 Annexure-4 to the writ petition is quashed with the condition that the petitioner shall pay 1.5 times assessment tariff applicable on 4.5.2005 to the respondents and if the amount has already been paid by the petitioner, he shall not be required to pay it again.

Office is directed to issue a certified copy of this order to the learned counsel for the parties on payment of usual charges within 24 hours.

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2016 SCC OnLine All 1675

In the High Court of Allahabad
(BEFORE NARAYAN SHUKLA AND ANANT KUMAR, JJ.)

Smt. Soni Dwivedi Petitioner

v.

Madhyanchal Vidyut Vitran Nigam Ltd. Thru. Its
Chairman & Ors. Respondents

Misc. Bench No. 16565 of 2016

Decided on July 19, 2016

Counsel for Petitioner:- Manish Jauhari, Ambuj Kumar Bajpai, Mohit Jauhari

Counsel for Respondent:- Prashant Arora

1. Heard Mr. Manish Jauhari, learned counsel for the petitioner as well as Mr. K.M. Shukla, learned counsel for the Electricity Corporation.

2. The petitioner has assailed the order dated 10 March 2016 passed by the opposite party No. 4, whereby the petitioner's application for electricity connection has been rejected on the ground that there are dues in the name of erstwhile owner/occupier of the premises.

3. Mr. Jauhari, learned counsel for the petitioner has submitted that petitioner has purchased House No. 65/37 situated at Chhetwapur, Road Lal Kuan, Lucknow P.S. Hussainganj, Lucknow free from all encumbrances as laid down in the sale deed itself that if any dues/taxes are there it is the seller who shall liable to pay it. He has further contended that the Hon'ble Supreme Court in *Isha Marbles v. Bihar State Electricity Board* (1995) 2 SCC 648 has held that it is impossible to impose on the purchasers a liability which was not incurred by them, it has been submitted that accordingly the petitioner cannot be said to be liable to pay the electricity dues incurred on the seller.

4. In reply Mr. K.M. Shukla, learned counsel for the electricity corporation has placed the provision of para 4.1 of Chapter IV of the Electricity Supply Code, 2005, we quote the provision as under:—

“4.1. Licensee's Obligation to Supply.- The Licensee shall on an application by the owner or occupier of any premises, located in his area of supply, give supply of electricity to such premise within the one month after receipt of completed application [showing payment of necessary charges and other compliances].

Provided where such supply requires extension of distribution mains, or commissioning of new sub-stations, the distribution

Licensee shall supply the electricity to such premises immediately after such extension or commissioning or within such period as specified by the Commission in clause 4.8:

Provides also in case of application for supply from a village or hamlet or area wherein no provision for supply of electricity exists, the Commission shall extend the time period for provision of supply appropriately on a case to case basis:

[Provided further that in case arrears of electricity dues in respect of any of old consumers/premises where ownership has changed, the new connection shall be released to the new owners only after submission of No-Dues Certificate as provided in clause 4.3(f):]

[And provided that if there are arrears of electricity dues on a premises, a new connection shall not be released to a new applicant/or the old consumer on the same premises. The connection shall also not be released if],—

- (i) The applicant (being an individual) is an associate or relative (as defined in Section 2 & 6 respectively of the Companies Act, 1956) of the defaulting consumer,
- (ii) Or where the applicant being a company or body corporate or association or body of individuals, whether incorporated or not, or artificial juridical person, is controlled, or having controlling interest in the defaulting consumer, provided, the Licensee shall not refuse electric connection on this ground, unless an opportunity to present his case is provided to the applicant and a reasoned order is passed by an officer as designated by the licensee."

5. Para 4.1 of the Code provides that the licensee shall on an application by the owner or occupier of any premises, located in his area of supply, give supply of electricity, whereas third proviso of para 4.1 provides that in case of arrears of electricity dues in respect of any of old consumers/premises where ownership has changed, the new connection shall be released to the new owners only after submission of No-Dues Certificate as provided in clause 4.3(f) and that if there are arrears of electricity dues on a premises, a new connection shall not be released to a new applicant/or the old consumer on the same premises.

6. In view of the aforesaid submissions, the learned counsel for the electricity corporation has submitted that since there is a dues of electricity charges against the house in question may be upon the sellers, but in terms of conditions laid down above under the code no electricity connection can be provided to the petitioner.

7. In view of the aforesaid submissions, we have gone through the judgment of the Supreme Court and found that the Supreme Court had dealt with the provisions in the context of the Electricity Act, 1910

read with Bihar and Orissa Public Demands and Recovery Act, 1914. The Supreme Court has held that the auction-purchaser cannot be said to be a consumer or occupier within the provisions of Electricity Act. It further held that law is inadequate to enforce the liability of the previous contracting party against the auction purchaser who is a third party and is in no way connected with the previous owner/occupier.

8. Definitely under the terms of sale deed executed between the parties of the case on hand the liability of arrears have been shouldered upon the sellers, but since we deal with the case of electricity connection which would be a new under the Electricity Supply Code, 2005, we find that the procedure for grant of electricity supply makes it condition precedent to clear the previous dues before the installation of a new connection since the provisions of particular code which governs the field does not permit the new electricity connection unless the arrears of electricity dues are clear.

9. In view of the aforesaid provisions of law we are of the view that if the petitioner is interested to get the electricity connection in his favour in the premise in question, it may enforce the condition laid down in the sale deed against the seller, but his liability towards the electricity department does not absolve particularly when he seeks a new connection to his name, for payment of arrears. Accordingly, we do not find error in the order impugned.

10. In the result the writ petition stands dismissed.

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2022 SCC OnLine All 940

In the High Court of Allahabad
(BEFORE MANOJ MISRA AND VIKAS BUDHWAR, JJ.)

KPB Metals Private Limited ... Petitioner;

Versus

State of U.P. and Others ... Respondents.

Writ - C No. - 13176 of 2022

Decided on November 2, 2022

Advocates who appeared in this case :

Counsel for Petitioner:- Mayank Kumar Agrawal, Bidhan Chandra Rai

Counsel for Respondent:- C.S.C., Pranjal Mehrotra, Rajesh Yadav

ORDER

1. We have heard Sri. Bidhan Chandra Rai for the petitioner; learned Standing Counsel for the Respondent No. 1; and Sri. Pranjal Mehrotra for Respondents 2 and 3.

2. For its plant site at Khasra no. 267 M, village Baheda, Nagina Road, Bijnore, the petitioner was sanctioned 3000 KVA load electricity connection. Thereafter, on 25.1.22, the petitioner acquired two other plots, namely plot no. 266 and 265. Pursuant thereto, by application dated 25.2.2022, the petitioner requested the Executive Engineer, Electricity Distribution Division-I, Pashchimanchal Vidyut Vitran Nigam Limited, Bijnore to allow the petitioner to use the connection provided earlier for additional plot nos. 266 and 265. This application was rejected by the impugned order dated 19.4.2022 passed by the Executive Engineer, Electricity Distribution Division-I, Pashchimanchal Vidyut Vitran Nigam Limited, Bijnore.

3. A perusal of the impugned order dated 19.4.2022 would reflect that the permission sought by the petitioner to utilize the electricity connection for additional plots was not acceptable under Clause 4.8(d) of the U.P. Electricity Supply Code, 2005 (for short 2005 Code).

4. Questioning the rejection of its application, the learned counsel for the petitioner contended that the sanction order dated 10.1.2022, sanctioning 3000 KVA load connection, is in respect of running a rolling mill at site Baheda, 10 KM, Nagina Road, Bijnore and not in respect of any specific plot; the petitioner is a Company having a composite plant located across several plots of land in a common site therefore, internal changes with regard to the usage of electricity within the same premises is permissible under Clause 4.45(c) of the 2005 Code. It has been submitted that Clause 4.8(d) is in respect of change in site of the

consumer for whom the load is sanctioned and relates to a new connection as would appear from the title of the concerned clause of 2005 Code. It has also been argued that since the connection has been accorded to the petitioner-company for running a rolling mill at a place where the petitioner-company has its works, the order impugned of the Respondent no. 3 is wholly arbitrary and unreasonable.

5. Sri. Pranjal Mehrotra, who appears for Respondents 2 and 3, has submitted that Clause 4.45 of the 2005 Code applies to a case where there are changes inside the same premises; it is not applicable to a case where the premises itself changes. In such circumstances, it was argued, the Respondent no. 3 was justified in placing reliance on the provisions of sub-clause (d) of Clause 4.8 of the 2005 Code to reject the prayer of the petitioner. He also submitted that the petitioner can always apply for a fresh connection for the new premises or he may seek disconnection of the existing connection and apply for a fresh connection in respect of the entire premises.

6. Having noticed the controversy and the rival submissions in respect thereof, before we proceed to assess the respective weight of the submissions made, it would be apposite to notice the relevant provisions of the 2005 Code which have been cited before us.

7. Clause 4.8(d) of the 2005 Code, which has been relied upon by the third respondent to reject the application of the petitioner, reads as follows:—

“4.8 New Connection where Extension of Distribution Mains or Commissioning of New Sub-Station/Enhancement of capacity of substation is required.

(a)...;

(b)...;

(c)...;

(d)(i) Change in site of the sanctioned load will not be permitted.

(ii) Change in purpose of use of power within same tariff schedule shall be permitted.

(iii) If the applicant opts for lesser load than the sanctioned load before signing of agreement, the agreement for the same shall be executed accordingly and the sanction of surrendered load shall stand forfeited.”

8. Clause 4.45(c), which has been relied by the learned counsel for the petitioner, reads as follows:—

“4.45(A) Procedure in Case of Change in Wiring and/or Apparatus or Shifting of Service Line in the Premises of the Consumer:

The consumer may apply to the licensee for any changes in their premises related to wiring/apparatus/service line, after clearing all

dues pending, if any, provided the same are not stayed by any court, subject to the following:

(a)...

(b)...

(c) In other cases, if the consumer desires to alter the wiring on his premises, or change the location of meter or other related apparatus or shift the service line on his premises notice thereof shall be sent in writing with the modified wiring diagram and other necessary details to the Licensee. The Licensee shall after due enquiry grant approval, with or without modification to the proposal, or reject the request stating reasons thereof, in writing, within 15 days."

9. The term 'premises' has been defined in sub-clause (ss) of Clause 2.2 of 2005 Code as follows:—

"2.2 In this Code, unless it is repugnant to the context:

....

(ss) "Premises" means the area/portion of the building/shed/field etc., for which, the electric connection has been applied for or sanctioned for a single consumer."

10. A conjoint reading of Clause 4.45(c) and Clause 2.2(ss) would suggest that sub-clause (c) of Clause 4.45 would apply to a case where there is change related to wiring/apparatus/service line within those premises for which connection has been accorded.

11. It is noteworthy that in the application of the petitioner for supply of energy, which is at page-81 of the paper-book, the electric connection has been applied for Khasra no. 267M, village Baheda, Nagina Road, Bijnore.

12. In such circumstances, the premises for which the connection was sanctioned would, as per the definition of 'premises' vide sub-clause (ss) of Clause 2.2 of the U.P. Electricity Supply Code, 2005, be Khasra No. 267M, village Beheda, Nagina Road, Bijnore.

13. The contention of the learned counsel for the petitioner that plot no. 265, 266 and 267M, being contiguous to each other, would fall in one premises that house the rolling mill is not acceptable for the applicability of Clause 4.45(c) of the 2005 Code because from the own application of the petitioner dated 25.2.2022, at page-96 of the paper-book, the additional two plots were obtained through an instrument which was registered on 25.1.2022 i.e, after the sanction of the electricity connection.

14. In view of the analysis above, we are satisfied that the third respondent was justified in invoking the provisions of Clause 4.8(d) of the U.P. Electricity Supply Code 2005 to reject the application of the petitioner.

15. The petition is dismissed.

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2014 SCC OnLine All 1387

(BEFORE VINEET SARAN AND RAMESH SINHA, JJ.)

Vineet Plastics Ltd. Petitioner

v.

Purvanchal Vidyut Vitran Nigam Ltd. and Another .

.... Respondents

Counsel for Petitioner:- Bidhan Chandra Rai

Counsel for Petitioner:- Mahboob Ahmad, R.K. Misra

Writ - C No. - 4141 of 2014

Decided on January 27, 2014

Hon'ble Vineet Saran, J.

Hon'ble Ramesh Sinha, J.

Heard Sri. B.C. Rai, learned counsel for the petitioner, Sri. R.K. Mishra, learned counsel for the respondent Corporation Corporation and perused the record.

Earlier on 22.1.2014, time was granted to Sri. R.K. Mishra, learned counsel for the respondents Corporation to obtain instructions, which he states that he has received.

With the consent of learned counsel for the parties this petition is being decided without calling for a counter affidavit.

The petitioner is a Company which has obtained an electricity connection from the respondent Corporation. An inspection was carried out in the premises of the petitioner Company on 1.10.2013 and provisional assessment bill was thereafter given to the petitioner on 11.10.2013 which was for an amount of Rs. 92,30,113/-. Compounding fees of Rs. 43,00,000/- was also imposed, which the petitioner has paid and thereafter, the electricity connection of the petitioner has been restored. In respect of the earlier proceedings relating to inspection, the petitioner had filed a Civil Misc. Writ Petition(C) No. 61773 of 2013 primarily with the prayer for a direction to respondents to send the energy meter for testing to an independent test laboratory and for giving copy of the MRI reports. As the petitioner was required to submit its reply to the provisional assessment bill, the said writ petition was disposed of by this Court on 12.11.2013 with the direction that the application of the petitioner in this regard shall first be decided before passing any final order regarding the final assessment.

It is admitted to the parties that the said application of the petitioner has not yet been decided. Sri. R.K. Mishra, learned counsel for the respondents Corporation states that the same shall be decided by the respondents Corporation very shortly.

The dispute in the present writ petition is not with regard to the earlier inspection and provisional assessment bills, but with regard to the monthly bills for the period subsequent to the inspection.

It is contended that for the period after inspection, the provisional monthly bill (undated) for the month of October 2013 has been given, which is for a sum of Rs. 5,11,850/-, against which the petitioner has 'under protest' deposited a sum of Rs. 2,75,000/- on 23.11.2013. Thereafter for the month of November, 2013 another undated bill of Rs. 5,06,953.53/- has been issued, which is also a provisional bill and in the said bill, arrears of Rs. 2,36,850/- has been shown. Against the said bill, on the basis of self assessment, petitioner has again, under protest, deposited a sum of Rs. 2,85,000/- and submitted his objections on 20.12.2013. Then again, without deciding the objections, the respondent Corporation continued to issue provisional monthly assessment bill and this time for the month of December 2013 the provisional bill was for a sum of Rs. 4,75,285/- plus Rs. 7,43,804/- as arrears. Against the same, the petitioner has deposited a sum of Rs. 2,85,000/- on 4.1.2014. The said facts are not disputed by the learned counsel for the respondent Corporation.

The primary objection of the petitioner is that though there is provision for issuance of provisional assessment bill under Section 126 of the Electricity Act, but the same is to be issued only after an inspection is conducted and time for filing objection to the such bill is given to the consumer. It is contended that there is no other provision in law for issuance of provisional assessment bill except for one under Clause 6.2 (b) of the Electricity Supply Code, 2005 which is also only in such situation where the meter reading cannot be taken. Another provision which relates to dispute of any bill, is Clause 6.5 of the aforesaid Supply Code, wherein dispute with regard to regular bill by the Corporation can be raised by the consumer.

According to the petitioner, the present is a case where regular monthly bills are being sent as provisional assessment bills without there being any provision for the same. It is further submitted that the objection of the petitioner which has been given in writing to the respondent Corporation is to the effect that there is vast difference between the reading of the meter installed at the premises of the petitioner and one which is installed at the electricity supply pole by the respondent

Corporation. It is contended that the petitioner is being sent the provisional monthly bills on the basis of meter installed at the premises of the petitioner, which has been replaced after inspection and is not giving correct reading, as according to the petitioner there is not minor but major variance in the reading of the two meters installed.

On being asked Sri. Mishra, learned counsel for the respondent Corporation could not point out any provision under which the monthly provisional assessment bills can be given to the petitioner (consumer) and that too without giving any opportunity to raise objection which could be decided.

Series of provisional assessment bills cannot be given until there is provision in the Statute or Electricity Supply Code for the same.

Sri. Mishra, learned counsel for the respondent Corporation, on having received instructions, has stated that there has been a mistake on the part of the Corporation in issuing such provisional bills and such mistake will be rectified.

In view of the aforesaid, the provisional monthly bills for the months of October, November and December, 2013, filed as Annexure nos. 4, 7 and 9 to the writ petition are quashed. The respondent Corporation shall be at liberty to rectify the said bills. In case, the fresh bills, issued as per the provisions of law, are for an amount over and above the amount which has been paid by the petitioner, the petitioner shall be liable to pay the excess amount; and in case the bills are for a lesser amount which has been paid by the petitioner, then the same shall be adjusted in future bills, after adjusting the interest which would be liable to be paid to the petitioner.

It is provided that in case any checking meter is installed, that shall be done at the own expense of the respondent Corporation as they themselves admit that there is variance in the two meters which have been installed, one at the premises of the petitioner and other on the pole supplying electricity to the petitioner.

Accordingly, this writ petition stands allowed to the extent indicated above. No order as to costs.

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2018 SCC OnLine All 2014

In the High Court of Allahabad

(BEFORE MAHESH CHANDRA TRIPATHI AND NEERAJ TIWARI, JJ.)

Udayveer Singh Petitioner;

v.

State of U.P. And 3 Others Respondents.

Writ - C No. - 21501 of 2018

Decided on June 18, 2018

Counsel for Petitioner:- Santosh Kumar Yadav

Counsel for Respondent:- C.S.C., Kapil Dev Singh Rathore

ORDER

1. Heard Sri. Santosh Kumar Yadav, learned counsel for the petitioner, Sri. Shyam Singh Yadav holding brief of Sri. Kapil Dev Singh Rathore, learned counsel for the Respondent, 4 and Smt. Subhash Rathi, learned Additional Chief Standing Counsel for the State-Respondent.

2. The petitioner is assailing the impugned recovery citation dated 7.5.2018 passed by third Respondent and further prayed to command the fourth Respondent to receive the due amount in easy instalments after adjusting the deposited amount as well as after deducting collection charges.

3. The record in question reflects that the petitioner operates a floor-mill having electricity connection bearing No. BS3101110349 with sanctioned load of 8.5 HP. It is also stated that he has deposited the entire due amount finally in the month of November, 2013. The petitioner is assailing the validity of the impugned recovery citation on various grounds.

4. Learned counsel for the petitioner on the basis of averments contained in the writ petition states that the petitioner is willing to clear the outstanding amount and has placed reliance to the provisions contained in 6.15 of U.P. Electricity Supply Code, 2005 wherein if the incumbent is in distress, the licensee shall extend the facility of easy instalment to those consumers who are in financial distress and, as such, request has been made for fixing the easy instalment in the matter.

5. Learned counsel for the petitioner states that the petitioner had deposited Rs. 70,000/- on 27.12.2017, Rs. 2 lac on 30.1.2018 and also deposited Rs. 30,000 but the petitioner at present does not have the receipt and, as such, it is sought to be contended that the impugned

recovery is being made in arbitrary manner without actually adjustment of the deposited amount.

6. Learned counsel who appears for the electricity department states that the impugned recovery is fully sustainable under the present facts and circumstances whereas the petitioner since November, 2013 has not deposited the outstanding amount towards the aforesaid electricity charges and, as such, the same is sustainable in the eyes of law and no interference is required.

7. In the facts and circumstances of the case without adverting on the merits of the issue the writ petition stands disposed of asking the petitioner to deposit Rs. 50,000/- within three weeks from today and in case any such deposit is made, then the Sub Divisional Officer would proceed strictly in accordance with law on the basis of 6.14 of U.P. Electricity Supply Code, 2005 and fix easy instalment.

8. With the aforesaid observation, the writ petition stands disposed of.

9. It is made clear that the Court has not adjudicated the matter on merit.

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2005 SCC OnLine All 576 : (2005) 53 ACC 104 (1) : (2005) 34
AIC 450 (All)

In the High Court of Allahabad
(BEFORE RAVINDRA SINGH, J.)

Rishipal ... Applicant (In Jail);

Versus

State of U.P. ... Opposite Party.

Criminal Misc. Bail Application No. 10057 of 2005

Decided on July 27, 2005

The Judgment of the court was delivered by

RAVINDRA SINGH, J.:— Heard Sri G.C. Saxena learned Counsel for the applicant learned A.G.A.

2. From the perusal of the record it reveals that in the present case the alleged occurrence has taken place on 29.8.2004 at about 7.00 P.M. Its FIR was registered on 2.9.2004 at 10.30 P.M. by one Rakesh the father of the prosecutrix in case crime No. 181 of 2004, under section 376 IPC, P.S. Saroorpur, District Meerut. The allegation against the applicant is that the applicant committed rape with Kumari Tanu aged about two years. The medical examination report of the prosecutrix shows that she was medically examined on 2.9.2004 at Women Hospital, Meerut and there was a injury i.e. superficial tear of $\frac{1}{2}$ cm. at 6 O'clock position above anus, laberal margins red. Bleeds on touch. It is contended by the learned Counsel for the applicant that in this case the FIR is delayed by three days and the prosecution story is highly improbable because it was not possible to commit the rape with a girl of two years and the allegations of rape is also false because the hymen of the prosecutrix was intact and no spermatozoa was found in vaginal smear. It is further contended that the medical examination report was conducted after four days of the alleged occurrence.

3. The contention of the learned Counsel for the applicant is having no substance at this stage for granting bail to the applicant, because in such cases generally the FIRs are not promptly lodged due to some social and other prevailing circumstances.

4. In view of the facts and circumstances of the case and submissions made by the learned Counsel for the applicant, learned A.G.A. and learned Counsel for the complainant without expressing any opinion on the merits of the case, I find that it is not a fit case for bail at this stage.

5. Accordingly, the bail application is rejected at this stage.

Application Rejected.

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2023 SCC OnLine All 340

In the High Court of Allahabad
(BEFORE MANJIVE SHUKLA, J.)

Shashi Bhushan Singh ... Petitioner;

Versus

State of U.P. and Others ... Respondents.

Writ - C No. - 19594 of 2023

Decided on June 28, 2023

Advocates who appeared in this case :

Counsel for Petitioner:- Pankaj Kumar Yadav

Counsel for Respondent:- C.S.C., Rishu Mishra

The Order of the Court was delivered by

MANJIVE SHUKLA, J.:— Heard learned counsel for the petitioner, learned Standing Counsel for Respondent No. 1 as well as Mr. Pankaj Dubey, Advocate holding brief of Ms. Rishu Mishra, learned counsel for the Respondents No. 2 to 5.

2. Learned counsel for the petitioner has submitted that petitioner has started poultry unit and for that unit, he applied for electricity connection. An electricity meter by Power Corporation was installed in the premises of petitioner on 29.03.2016 but actual supply of electricity started on 25.11.2018.

3. Power corporation issued an electricity bill with effect from the date of installation of electricity meter in the premises of the petitioner, as such, petitioner filed a claim before Electricity Grievance Redressal Forum which was registered as Case No. 108 of 2019 (*Sri. Shashi Bhushan Singh v. Executive Engineer*). Forum decided the aforesaid case vide order dated 19.01.2021 whereby direction was issued that Power Corporation will issue revised bill to the petitioner with effect from the date of supply of the electricity i.e. with effect from i.e. 25.11.2018 and the electricity tariff provided for agricultural consumption shall be taken from the petitioner.

4. When the aforesaid order dated 19.01.2021 was not complied with by the Power Corporation, petitioner again moved a complaint before Electricity Ombudsman and then Power Corporation was put to notice and a compliance report was filed on behalf of Power Corporation wherein the electricity bill prepared in accordance with the direction given by the forum, was annexed.

5. In the revised bill issued in compliance of the order dated 19.01.2021 issued by the Forum, it was mentioned that if petitioner is

aggrieved by the bill amount then he can raise his objection within 15 days.

6. Petitioner did not choose to file any objection in respect of the aforesaid bill before Ombudsman and ultimately Ombudsman passed final order on 8.02.2023.

7. Learned counsel appearing for Respondents No. 2 to 4 has submitted that total bill payable by the petitioner as on date is of Rs. 09,09,686/-

8. At this stage, learned counsel for the petitioner submits that the aforesaid bill raised by the Power Corporation has not been prepared on the basis of agricultural electricity tariff as directed by the Forum vide its order passed on 19.01.2021.

9. Learned counsel appearing for Corporation submits that if petitioner is disputing his current bill then he has a remedy under Clause 6.50 of Electricity Supply Code and he can file a representation before the concerned Executive Engineer and he will look into the matter.

10. Learned counsel for the Respondent has also very fairly stated that the electricity supply, which has been disconnected, can be restored in the premises of the petitioner subject to deposition of Rs. 4,00,000/- with an indemnity bond that if after revision of bill by the Executive Engineer, there remains balance amount, to be paid by the petitioner, then he will pay the same within the time frame provided by concerned Executive Engineer.

11. In the aforesaid circumstance, this Writ Petition is finally *disposed of* with a direction to petitioner to deposit Rs. 4,00,000/- within 30 days from today and if he deposits the said amount then he will be at liberty to file a representation before Respondent No. 5 for revision of his bill as contemplated under Clause 6.5 of Electricity Supply Code. It is further provided that if the petitioner files a representation under the aforesaid Clause, the same shall be decided within a period of one month from the date of submission of his representation.

12. It is made clear that the electricity supply to the petitioner's premises will be restored after he deposits the aforesaid Rs. 4,00,000/-

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2011 SCC OnLine All 639 : (2011) 87 ALR 800

(Allahabad High Court)

BEFORE SATYA POOT MEHROTRA AND S.C. AGARWAL, JJ.

Between

Foran Singh

Versus

Executive Engineer Dakshiranchal Vidyut Vitaran
Distribution Division, Firozabad and Another

C.M.W.P. No. 15059 of 2011

Decided on April 11, 2011

The Judgment of the Court was delivered by

SATYA POOT MEHROTRA and S.C. AGARWAL, JJ.:— The present writ petition has been filed by the petitioner making the following prayers:



Page: 801

“(i) issue a writ, order or direction in nature of *mandamus* for directing the respondents to decide the representation of the petitioner as early as possible within a period of one month.

(ii) issue a writ, order or direction in the nature of the *mandamus* for directing the respondent not to recover any recovery dues from the petitioner till the pendency of the representation.

(iii) issue a writ, order or direction which this Hon'ble Court may deem fit and proper under the facts and circumstances of the case.

(iv) award the cost of the petition in favour of the petitioner.”

2. From the averments made in the writ petition and the Annexures thereto, it appears that the father of the petitioner was having electricity connection for operating tube-well.

3. The case of the petitioner is that the boring failed, consequently, the father of the petitioner applied for disconnection of the said electricity connection. The father of the petitioner died on 30.4.2004.

4. It is averred by the petitioner that the petitioner was under the impression that the said electricity connection had been disconnected. However, he received a Recovery Notice dated 24.7.2009 in the name of his father. Thereupon, the petitioner filed a writ petition before this

Court being Civil Misc. Writ Petition No. 69645 of 2009. The said writ petition was disposed of by this Court by the order dated 22.12.2009 with certain directions. The said order is quoted-below:

“We have heard learned Counsel for the petitioner and learned Standing Counsel appearing for respondent.

The petitioner shall make a fresh representation within two weeks from today which shall be decided by respondent No. 1 in accordance with law by a reasoned and speaking order within a further period of six weeks.

With the aforesaid direction this petition is finally disposed of.

Till the representation of the petitioner is decided, the recovery proceedings against the petitioner shall kept in abeyance. However, in case the petitioner does not make a representation within the time allowed, he shall not be entitled for any relief.”

5. It is further averred by the petitioner that pursuant to the said order dated 22.12.2009, the petitioner submitted a representation dated 12/13.1.2010. However, without disposing the said representation, the respondents issued a Demand Notice dated 20.12.2010 to the petitioner. Copy of the said Demand Notice has been filed as Annexure-3 to the writ petition.

6. By the order dated 14.3.2011 and the subsequent orders passed in the matter, Shri R.K. Pandey, learned Counsel for the respondent Nos. 1 and 2 was given time to obtain instructions in the matter.

7. Shri R.K. Pandey today states that he has received instructions in the matter, and as per the said instructions, the aforesaid representation of the petitioner dated 12/13.1.2010 has been disposed of by the respondent No. 1 by the order dated 4.4.2011. Copy of the said order dated 4.4.2011 has been produced by Shri R.K. Pandey before the Court. Let the same be placed on record. Copy of the said order dated 4.4.2011 has also been supplied to Shri S.C. Mishra, learned Counsel for the petitioner.

8. Shri R.K. Pandey, learned Counsel for the respondent Nos. 1 and 2 further submits that in view of the provisions contained in Clause 7.10 read with



Clause 7.7.1 to 7.7.5 of the U.P. Electricity Supply Code, 2005, the petitioner has got an alternative remedy of filing complaint with the licensee, and, in case, the licensee fails to settle the complaint of the petitioner or the petitioner is not satisfied by the decision of the licensee, the petitioner may file a complaint in the Consumer Grievance

Redressal Forum,

9. Shri S.C. Mishra, learned Counsel for the petitioner submits that in view of the fresh development, the petitioner will seek appropriate remedy, as may be available to him in law.

10. We have considered the submissions made by the learned Counsel for the parties.

11. From the narration of the facts above, it is evident that in view of the order dated 4.4.2011 passed by the respondent No. 1, the prayers made in the writ petition have become infructuous.

12. As regards the order dated 4.4.2011, it is open to the petitioner to pursue appropriate remedy available to the petitioner in view of the provisions contained in Clause 7.10 read with Clauses 7.7.1 to 7.7.5 of the U.P. Electricity Supply Code, 2005.

13. We accordingly dispose of the writ petition leaving it open to the petitioner to pursue appropriate remedy under the relevant provisions of the U.P. Electricity Supply Code, 2005 in respect of the aforesaid order dated 4.4.2011 passed by the respondent No. 1.

Petition Disposed Of.

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2014 SCC OnLine All 81

(BEFORE A.P. SAHI AND ANIL KUMAR AGARWAL, JJ.)

Iftakhar Ahsan

v.

State of U.P. and others

Civil Misc. Writ Petition No. 71425 of 2013

Decided on January 3, 2014

Hon'ble A.P. Sahi, J

Hon'ble Anil Kumar Agarwal, J

Heard Sri. Rajesh Yadav, learned counsel for the petitioner, and Sri. Pranjal Mehrotra for the respondent - Corporation.

The petitioner claims himself to be the occupier of a premises where he has applied for an electricity connection under The Electricity Supply Code, 2005.

The contention raised by Sri. Rajesh Yadav is primarily founded on the strength of a judgment of the Division Bench in *Rajesh Kumar Gupta v. State of U.P.*, 2005 (1) AWC 474, copy of which is Annexure-5 to the writ petition.

Learned counsel for the petitioner submits that inspite of the application having been filed and inspite of the fact that there is an interim injunction in favour of the petitioner by the trial court in a dispute with the petitioner and his landlord, the electricity connection has not been given till date, as such, the present writ petition has been filed with a prayer that a mandamus be issued to the respondent No. 2 - Executive Engineer to consider the claim of the petitioner and pass an appropriate order on the request for grant of electricity connection.

We have gone through the judgment as relied upon by the learned counsel for the petitioner where it has been held that according to the then existing provisions and in view of the temporary injunction granted in favour of the tenant in that case it was found that the electricity department could not have refused to grant electricity connection to the petitioner therein. Consequently, the petition was allowed after having considered the provisions of The Electricity Act, 2003, and the existing Rules as were then applicable.

Sri. Pranjal Mehrotra has invited the attention of the Court to clause 4.4

of Electricity Supply Code, where according to this code, which has been promulgated in 2005, the owner's consent for getting a new supply connection is mandatory.

There is no challenge raised or reference made by the petitioner to the aforesaid clause which has been enforced in 2005. The judgment, which has been relied upon by the petitioner, therefore, does not come to his aid as the said judgment was delivered in view of the provisions that were then in existence.

Consequently, in view of the new provisions as have come into existence under clause 4.4(a)(vi) of the 2005 Code, the claim of the petitioner cannot be considered unless there is a consent of the owner of the premises which requirement has to be fulfilled in terms of the said Code. Consequently, reliance placed by the learned counsel for the petitioner on the division Bench judgment does not come to the aid of the petitioner. Even otherwise, the petitioner has not arrayed the landlord as a party to this petition.

Consequently, a writ of mandamus as prayed for cannot be issued in view of the statutory provisions as referred to herein above, but in the event if there is any other provision apart from the aforesaid Regulations as pointed out by the learned counsel for the respondents, it shall be open to the petitioner to approach the authority concerned for the redressal of his grievances or seek his remedy in the suit itself.

With the aforesaid observations, the writ petition is consigned to records.

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2018 SCC OnLine All 855

In the High Court of Allahabad

(BEFORE MAHESH CHANDRA TRIPATHI AND NEERAJ TIWARI, JJ.)

Buddhesh Patel Petitioner

v.

State of U.P. and Another Respondents

Writ - C No. - 21993 of 2018

Decided on June 22, 2018

Counsel for Petitioner:- Pradeep Kumar

Counsel for Respondent:- C.S.C.

ORDER

1. Heard learned counsel for the petitioner and learned Standing Counsel for the State respondents.

2. Petitioner is before this Court with the request to quash the impugned order dated 29.05.2018 passed by Executive Engineer, Electricity Distribution Division, Purvanchal Vidyut Vitran Nigam Ltd., Maharajganj asking the petitioner to pay Rs. 36,217/- plus Rs. 40,000/- as Shaman Shulka.

3. Learned counsel for the petitioner submits that at no point of time any direct connection has been taken by the petitioner from the pole in question and the said fact has been appreciated by the the Executive Engineer concerned and the fine has been reduced to Rs. 36/217/- from Rs. 2,43,308/- and even the petitioner has applied for 5Kgt electricity connection but the same has not been accorded in favour of the petitioner till date and as such, this Court should come to the rescue and reprieve of the petitioner.

4. On the other hand, learned Standing Counsel has opposed the writ petition on the ground that on the spot inspection it has been found that direct connection has been taken by the petitioner to run the mill in question and thereafter the recovery certificate has been issued by the Department concerned and in case the petitioner has any grievance with regard to the said recovery proceeding, he can always approach to the Authority concerned by way of filing objection under Clause 6.5 of Electricity Supply Code 2005 and the same shall be decided at the earliest.

5. Considering the entire facts and circumstances of the case, this Court is of the considered opinion that as the petitioner is disputing the recovery proceeding, then he is at liberty to move an appropriate application/objection before the Executive Engineer, Electricity

Distribution Division, Purvanchal Vidyut Vitran Nigam Ltd., Maharajganj as per the provision contained under Clause 6.5 of Electricity Supply Code, 2005 and in case any such application is moved within a week's time, then this Court hopes and trust that the Authority concerned would proceed to pass appropriate order in further three weeks. It is made clear that till the disposal of the same, no coercive actions shall be taken against the petitioner.

6. With these observations, Writ Petition is disposed of.

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2017 SCC OnLine All 776

In the High Court of Allahabad
(BEFORE V.K. SHUKLA AND ASHOK KUMAR, JJ.)

Smt. Mamata Verma Petitioner

v.

State of U.P. & 3 Others Respondents

Writ-C No. - 11271 of 2017

Decided on March 10, 2017

Counsel for Petitioner:- Pramod Srivastava

Counsel for Respondent:- C.S.C., Pankaj Kumar Shukla

1. Smt. Mamata Verma is before this Court with the request that correct bills have not at all been issued in her favour, in view of this, respondents be directed to furnish the correct bills in favour of petitioner so that the petitioner is in a position to clear the electricity dues.

2. This much is accepted position, in the present case, that since last eight years the electricity dues have not at all been paid and it appears that petitioner time and again has been disputing the correctness of the bills that are being raised and this much is also accepted position that time and again the said objections have been entertained by correcting the bills in question and petitioner, in spite of the same, has not at all proceeded to make payment and is now before this Court with the submission that still the bills in question, that have been so raised, are not at all commensurate to the consumption, as such, the said bills requires rectification.

3. Dr. S.K. Yadav, Advocate, has entered appearance on behalf of opposite party nos. 2 to 4 and similarly Sri. Pankaj Kumar Shukla, Advocate, has also entered appearance on behalf of opposite party nos. 2 to 4 and both of them are contending that they are authorized to represent the aforesaid respondents but as far as this Court is concerned, this Court is not at all going to this question and fact of the matter is that both the counsel have appeared before us and in chorus they both submitted that under Electricity Act, 2003 read with Electricity Supply Code, 2005 as far as disputes in reference of bills and arrears are concerned, it has to be adjudicated within the four corners of the statutory provisions provided for and that too after fulfilling the pre-requisite terms and conditions.

4. Before we proceed to examine the facts of the case, we have proceeded to examine the Paragraph 6.5(b) of the Electricity Supply Code. 2005 and for ready reference the relevant extract of Paragraph

6.5(b) is being quoted hereinbelow:

“If a consumer disputes the accuracy of any bill, he may either make the payment under protest of—

- (i) an amount of equal to the sum claimed from him, or*
- (ii) the electricity charges, calculated on the basis of average of electricity bills of the preceding six months, whichever is less, and file a complaint with the competent authority, before the due date for payment. The complaint shall be decided within 7 days and consumer shall be informed:*
 - (i) If the Complaint is found to be correct by the competent authority, a revised bill shall be issued within 7 days of the complaint and consumer shall be given 7 days to make the payment. The Consumer shall not be charged any late payment surcharge (and he shall be eligible for timely payment rebate, if any applicable) if the payment is made by the revised due date of payment. If payment has already been made, excess amount shall be adjusted in subsequent bills.*
 - (ii) If the complaint was found to be incorrect the consumer shall be notified and directed to make the payment, if not already paid, as per the original bill immediately, and the consumer shall be liable to pay the late payment surcharge.”*

5. A bare perusal of the provisions, quoted above, would go to show that if a consumer disputes the accuracy of any bill he may either make payment under protest of the amount equal to the sum claimed from him or the electricity charges calculated on the basis of average of electricity bills of the proceedings six months, whichever is less, and file a complaint with the competent authority before due date for payment and, thereafter, the complaint is obligated to be decided within seven days and consumer has to be informed, accordingly. Further, if the complaint is found to be correct by the competent authority, a revised bill shall be issued within seven days of the complaint and consumer shall be given seven days to make the payment and, in such a situation, the Consumer shall not be charged any late payment surcharge if the payment is made by the revised due date of payment and If payment has already been made, excess amount shall be adjusted in subsequent bills. Further, if the complaint is found to be incorrect the consumer shall be notified and directed to make the payment, if not already paid, as per the original bill immediately, and the consumer shall be liable to pay the late payment surcharge.

6. Consequently, in the facts of the case, the provisions, quoted above, would go to show that a self contained full fledged mechanism is

there by filing complaint after fulfilling the required formalities. Once a statutory forum is already available, we are not at all entertaining the writ petition but certainly we left it open for the petitioner to invoke the remedy, that has been provided for under Paragraph 6.5(b) of the Electricity Supply Code, 2005.

7. With this, writ petition is *dismissed*, accordingly, on the ground of alternative remedy.

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2009 SCC OnLine All 1931 : (2009) 83 AIC 493 : (2010) 1 All LJ
(NOC 84) 22

Allahabad High Court
(BEFORE SUNIL AMBWANI AND RAN VIJAI SINGH, JJ.)

Between

Tehsildar

Versus

State of U.P. and others

C.M.W.P. No. 35103 of 2009

Decided on July 16, 2009



Page: 494

The Judgment of the Court was delivered by

SUNIL AMBWANI and RAN VIJAI SINGH, JJ.:— Heard learned Counsel for the petitioner. Shri Rajesh Tripathi has accepted notice on behalf of respondents.

2. A first information report of the theft of electricity under section 135 of the Electricity Act was lodged against the petitioner on the basis of checking report dated 22.4.2008 in which 7.5 H.P. motor was found to be connected with the electric connection in the house by three core cable recovered from the spot.

3. A provisional assessment was made. The petitioner was granted bail by this Court on 11.6.2008 on the ground that the co-accused has already been granted bail.

4. By this writ petition, the petitioner has challenged the recovery of Rs. 1,63,141/- and recovery charges.

5. Paragraph 8.1 (b) of the U.P. Electricity Supply Code, 2005 provides for making final assessment in cases of theft before the recovery can be initiated. The relevant paragraphs are quoted as below:—

“8.1 (b)—Hearing

(ii) No theft case shall be booked for mere breakage of window glass or old seal of the energy meter. In such cases, if the average monthly consumption pattern for last one year is reasonably uniform as the assessed consumption (monthly), and there is no other *prima facie* evidence of theft/U.U.E. found at the consumer premises, no

further proceedings shall be taken for theft/U.U.E. of electricity and the decision shall be communicated to the consumer under proper receipt within 7 working days of the date of inspection, and connection shall be restored through original meter after proper checking/resealing. The contents of such report commending for dropping the case shall be communicated to the Special Court within a copy to the police station where the F.I.R. was lodged.

(iii) If the assessing officer of the licensee suspects that theft, of electricity has taken place (as defined under section 135 of the Act), he will serve the provisional assessment bill along with show cause notice to the consumer for hearing giving 15 working days, under proper receipt. The notice shall invite objections in writing from the consumer, if any, against the charges and provisional assessment and require the presence of the consumer to answer to all the charges imposed by the licensee.

(iv) If, after hearing, the authorized officer finds that a case of theft has been established, the assessment shall be done for the energy consumption for past period as per the assessment formula given in Annexure-6.3 on 1.5 (one and a half) times the rates as per applicable normal tariff to the purpose for which the energy is abstracted, used or consumed or wasted or diverted, whichever is higher and demand and collect the same by including the same in a separate bill. This is in addition to any civil/criminal proceedings that may be instituted as provided by the Act, and described in Clause 8.2.

(vii).

(v) A copy of the order shall be served to the consumer under proper receipt and in case of refusal to accept the order or in absence



Page: 495

of the consumer, shall be served on him under registered post/speed post. The authorized officer may extend the last date of payment or approve the payment to be made in instalments on a consideration of the financial position and other conditions of the licensee. The amount, the extended last date and/or time schedule of payment/instalments should be clearly stated in the speaking order.”

6. Shri Rajesh Tripathi states that the provisional assessment was made under paragraph 8.1 of the U.P. Electric Supply Code, 2005 and that no objections were filed on which the provisional assessment was sent to be recovered.

7. Shri Rajesh Tripathi fairly admits that final assessment was not made. The provisional assessment was served and that the petitioner was given sufficient opportunity to file his reply in writing or to be heard in person.

8. The provision of paragraph 8.1 (b) of the U.P. Electricity Supply Code, 2005 provides for making final assessment, even if, the objection has not been filed. It is necessary to make final assessment of recording findings that provisional assessment was served upon consumer. The insistence of recovering the amount without making any final assessment is violative of procedure prescribed under the code.

9. The writ petition is consequently allowed with directions that the recovery in pursuance of recovery notice dated 6.6.2009 of Rs. 1,63,341/- of the electricity on account of theft of electricity shall remain in abeyance until final assessment is made against the petitioner.

10. *Petition Allowed.*

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2016 SCC OnLine All 1513

In the High Court of Allahabad

(BEFORE V.K. SHUKLA AND MAHESH CHANDRA TRIPATHI, JJ.)

Ishwar Chandra Petitioner

v.

U.P. Power Corporation Limited Thru' Its M.D. &
Anothe Respondent

Writ - C No. - 40058 of 2015

Decided on August 1, 2016

Counsel for Petitioner:- Bimal Prasad, Vijay Prakash Pandey

Counsel for Respondent:- Mahboob Ahmad, S.C.

1. Ishwar Chandra is before this Court for a direction to quash the final assessment bill dated 23.05.2015 issued by respondent no. 2 by which he has confirmed the provisional assessment bill dated 1.1.2015; to quash the demand bill dated 11.6.2015 by which the load of the premises of the petitioner has been enhanced from 2 KW to 8 KW and accordingly the bill has been issued to the petitioner and for a further direction to respondent no. 2 to decide the objection of the petitioner dated 27.1.2015 within a time bound manner and till the decision no coercive action against the petitioner may be taken.

2. The record in question reflects that the petitioner has taken a connection from the electricity department being Connection No. KB2/1302/082835. Initially the said connection was of 1 KW and later on the load was enhanced to 2 KW. It is also contended that earlier the said connection was domestic, however, later on it was converted as commercial. It is submitted that the petitioner was regularly paying the electricity bill. The petitioner in front of the premise has opened a shop of readymade garments.

3. On 7.7.2014, a vigilance team of the respondent no. 2 raided the premises of the petitioner and enhanced the load from 2 KW to 8 KW. Thereafter, the respondent no. 2 issued a provisional bill dated 1.1.2015 and by the said bill, the petitioner was directed to submit his objection till 2.2.2015. Pursuant thereto the petitioner filed his objection on 27.1.2015. It is submitted that till date the objection of the petitioner has yet not been decided by respondent no. 2, however, the respondent no. 2 without deciding the objection of the petitioner sent the final assessment bill dated 23.5.2015. On the basis of said final assessment bill, the respondent no. 2 has sent the demand bill dated 11.6.2015.

4. The petitioner has contended that demand bill dated 11.6.2015

and final assessment bill dated 23.5.2015 have been issued without there being any cogent material and the same are liable to be quashed. Learned counsel for the petitioner has vehemently contended that in response to the provisional bill, the petitioner had proceeded to file detailed objection and without finalisation of final assessment bill after considering the petitioner's objection the present demand bill dated 11.6.2015 has been issued, which is contrary to the provisions of the Electricity Act, 2003 read with provisions of U.P. Electricity Supply Code, 2005. Learned counsel for the petitioner further submits that the order impugned cannot sustain on the ground that in view of the provisions of Electricity Supply Code, 2005, only after considering the objection of the petitioner, the final assessment order can be made in the matter.

5. On the other hand, learned counsel for the respondents has vehemently opposed the writ petition. It is submitted that authority on spot after inspection has found that the load of the connection was not sufficient and therefore the load was enhanced and provisional assessment was made and the petitioner was asked to file reply. However, the petitioner has not proceeded to file his objection and as such the present impugned orders have been passed. It is further submitted that the impugned orders have been passed strictly in accordance with law and if the petitioner is aggrieved against the impugned orders, he may file appeal provided under Section 127 of the Electricity Act, 2003 but in any case present writ petition is not maintainable and this Court should not come to rescue and reprieve of the petitioner.

6. In this background, we have proceeded to examine the record in question. The petitioner has contended that he has filed objection to the provisional assessment but without considering the same, final assessment has been made, while on the other hand the respondents are refuting the same and stated that the petitioner has not filed any objection, once such is the factual dispute, the same cannot be adjudicated by us under Art.226 of the Constitution of India. The U.P. Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005 are self-contained Act and against the impugned orders the remedy of appeal is provided under Section 127 of the Electricity Act, 2003. Whatever the contention as has been raised in the writ petition can be raised in appeal but in any case, as alternative remedy is available, we are not inclined to interfere in the matter. We also make it clear that passing of this order will not at all come in the way of the petitioner to pursue the remedy as is available to him under the Electricity Act, 2003 read with provisions of U.P. Electricity Code, 2005.

7. With these observations, the writ petition stands disposed of.

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2013 SCC OnLine All 9135

(BEFORE SUNIL AMBWANI AND SURYA PRAKASH KESARWANI, JJ.)

Gul Mohammad Petitioner

v.

U.P. Power Corporation and 2 Others
Respondents

Counsel for Petitioner:- Janardan Prasad Tripathi

Counsel for Respondent:- Baleshwar Chaturvedi

Writ - C No. - 57502 of 2013

Decided on October 21, 2013

Hon'ble Sunil Ambwani, J.

Hon'ble Surya Prakash Kesarwani, J.

We have heard Sri Janardan Prasad Tripathi for the petitioner. Sri Baleshwar Chaturvedi appears for respondent Nos. 2 and 3 - Dakshinanchal Vidyut Vitran Nigam Ltd.

The petitioner's father was a consumer of electricity with the sanctioned load of 1 KV. It is alleged that the petitioner's father died after which the petitioner is paying the bills. A bill of Rs. 2761/- was due against the petitioner on 23.07.2011 whereas on 12.07.2011, a demand notice of Rs. 74,424/- has been sent to the petitioner under Section 3 of U.P. Electricity Undertaking (Recovery of Dues) Act 1957.

It is submitted by the petitioner that bill of Rs. 2761/- has been unreasonably inflated to Rs. 74,424/-, without any basis.

The Uttar Pradesh Electricity Supply Code 2005 made under the Electricity Act 2003, provides for redressal of any dispute regarding bills and arrears. Para 6.5 (b) of the Supply Code provides that if a consumer disputes the accuracy of any bill, he may either make the payment under protest of - (i) an amount equal to the sum claimed from him, or (ii) the electricity charges calculated on the basis of average of electricity bills of the preceding six months, whichever is less and file a complaint with the competent authority, before the due date for payment. The complaint shall be decided within 7 days and the consumer shall be informed.

The petitioner has option to pay electricity charges calculated on the basis of average of electricity bills of the preceding six months and file

the complaint with the competent authority.

Learned counsel for respondents informs that respondent No. 2 is the competent authority, to decide such dispute.

The writ petition is accordingly disposed of with directions that in case the petitioner disputes accuracy of the bill and makes a representation for correction of the bill, the same will be decided within seven days provided the petitioner deposits electricity charges calculated on the basis of average of electricity bills of the preceding six months. Until disposal of petitioner's application, recovery in pursuance of the demand notice shall remain stayed. If the petitioner does not make the representation within 15 days from today, this order will not benefit the petitioner.

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2012 SCC OnLine All 3759 : (2013) 99 ALR 291

(Allahabad High Court)

(BEFORE S.P. MEHROTRA AND HET SINGH YADAV, JJ.)

Between

Gopali

Versus

State of U.P. through Secretary U.P., Lucknow and
others

C.M.W.P. No. 58528 of 2012

Decided on November 7, 2012



Page: 292

The Judgment of the Court was delivered by

SATYA POOT MEHROTRA and HET SINGH YADAV, JJ.:— It appears that on the basis of Checking made on 24.3.2011, the Provisional Assessment dated 4th July, 2011 (Annexure No. 2 to the writ petition) was made in respect of the petitioner. A Demand Notice dated 11.8.2011 (Annexure No. 5 to the writ petition) was issued to the petitioner on the basis of the Provisional Assessment.

2. The petitioner filed writ petition before this Court being Civil Misc. Writ Petition No. 50626 of 2011 raising the grievance that the Objection filed by the petitioner against the Provisional Assessment had not been decided. This Court by the Order dated 8.9.2011 (Annexure No. 6 to the writ petition) disposed of the said Civil Misc. Writ Petition No. 50626 of 2011 directing the respondent No. 2 (Executive Engineer, Pashchimanchal Viddhut Vitran Nigam Ltd., Vidhut Vitran Khand-3, Bulandshahar) to dispose of the Objection filed by the petitioner within the time mentioned in the Order dated 8.9.2011.

3. Pursuant to the direction given in the Order dated 8.9.2011, the Executive Engineer, Pashchimanchal Viddhut Vitran Nigam Ltd., Vidhut Vitran Khand-3, Bulandshahar (Respondent No. 2) has passed the Order dated 26.9.2012 dismissing the Objection filed by the petitioner. Copy of the order dated 26.9.2012 has been filed as Annexure No. 7 to the Writ petition.

4. The petitioner has thereupon filed the present writ petition, *inter*

alia, praying for quashing the order dated 26.9.2012.

5. We have heard Shri Surendra Pratap Singh, learned Counsel for the petitioner, Shri Nripendra Mishra, learned Counsel for the respondent No. 2 and the learned Standing Counsel appearing for the respondent No. 1.

6. Shri Nripendra Mishra, learned Counsel for the respondent No. 2 has raised preliminary objection that against the Order dated 26.9.2012 passed by the respondent No. 2, the petitioner has alternative remedy of filing appeal before the concerned authority under the provisions of section 127 of the Electricity Act, 2003 read with the relevant provisions of the U.P. Electricity Supply Code, 2005, particularly Clause 6.8 thereof.

7. Shri Surendra Kumar, learned Counsel for the petitioner submits that the alternative remedy available to the petitioner is not absolute bar and the writ petition may be entertained despite existence of such alternative remedy.

8. Having considered the submissions of the learned Counsel for the parties, we are inclined to accept the preliminary objection raised by the learned Counsel for the respondent No. 2.

9. Sub-section (1) of section 126 of the Electricity Act, 2003 provides for making provisional assessment. Sub-section (2) of section 126 provides for service of the order of provisional assessment on the person affected.

10. Sub-section (3) of section 126 provides for filing of objections by the person affected against the provisional assessment.

11. Sub-section (3) of section 126 of the Electricity Act, 2003 further provides for making final order of assessment after considering the objections filed by the person affected against the provisional assessment and after affording reasonable opportunity of hearing to such person.

12. Sub-section (1) of section 127 of the Electricity Act, 2003 provides that any person aggrieved by the final order made under section 126 may prefer an



appeal to the Appellate Authority within the time mentioned in the said provision. Clause 6.8 of the U.P. Electricity Supply Code, 2005 also contains provisions for Appeal against the final order of assessment.

13. The petitioner, thus, has an alternative remedy of filing appeal before the Appellate Authority under section 127 of the Electricity Act, 2003 read with Clause 6.8 of the U.P. Electricity Supply Code, 2005.

against the final as-sessment order dated 26.9.2012 made by the respondent No. 2. The controversy involved in the present writ petition is basically fac-tual in nature and such controversy may appropriately be decided in the Appeal before the Appellate Authority.

14. In view of the above, we are of the opinion that the writ petition is li-able to be dismissed on the ground of availability of alternative remedy to the petitioner, and the same is accordingly dismissed on the said ground.

15. *Petition Dismissed.*

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2011 SCC OnLine All 611 : (2011) 89 ALR 888 : (2011) 6 All LJ
527

(Allahabad High Court)
(Lucknow Bench)
BEFORE PRADEEP KANT AND VEDPAL, JJ.

Subhashis Chatterjee
Versus

U.P. Power Corporation Limited, Lucknow through
Chairman and others

Writ Petition No. 3170 (M/B) of 2011
Decided on April 6, 2011

The Judgment of the Court was delivered by

PRADEEP KANT and VEDPAL, JJ.:— Short counter-affidavit filed today
is taken on record.

2. Heard Ms. Pushpila Bisht, learned Counsel for the petitioner and
Mr. Kapil Mishra, learned Counsel for the Corporation-respondents.

3. With the consent of the learned Counsel for the parties, the
petition is disposed of finally.



Page: 889

4. The petitioner though challenges the impugned notice dated 28.3.2011 contained in Annexure No. 1 and also seeks the quashing of the inspection report dated 18.3.2011 with a further prayer that the respondents be directed to connect the domestic electric connection of the petitioner and during the course of argument, learned Counsel for the petitioner stated that the petitioner would submit reply/objection to the provisional assessment notice dated 28.3.2011 and proceedings of assessment may be conducted in accordance with rules but in the meantime, the respondents be directed to restore the domestic electric connection of the petitioner.

5. In short, the facts of the case are that the petitioner had domestic electric connection of 3 KW which was given to him in the year 1995. The said electric connection was being used by the petitioner and he is paying the electricity dues accordingly. On 18.3.2011, the electric connection was disconnected as raiding team of the Corporation found

that there was unauthorised use of the electricity inasmuch as the electricity was being used commercially for running cable network to the extent of 700 KW. This inspection was made on 18.3.2011. It appears that electric connection was disconnected on that very date at the time of inspection and thereafter, a notice of provisional assessment was issued on 28.3.2011.

6. Assailing the inspection on the factual ground that there was no unauthorised use of the electricity by the petitioner, the learned Counsel for the petitioner also submitted that very fact that the inspection report was not furnished/sent to the petitioner on that very date or on the next date in terms of clause 6.8 (v) of the Electricity Supply Code, 2005 goes to indicate that entire action was *mala fide* and against the Code. Further submission is that there was no power under the Code to disconnect the domestic connection and as a matter of fact there is a specific bar in doing so but even then the authorities disconnected the electric connection.

7. The learned Counsel for Corporation Sri Kapil Mishra relying upon short counter-affidavit filed by the Corporation particularly paragraph 11 submitted that the provisional assessment notice has been sent to the petitioner under clause 6.8 (b) (i) and the petitioner is at liberty to submit his reply/objection and thereafter if he is aggrieved by the assessment, he can challenge the same in appeal. He submitted that there was no illegality in conducting the raid and even if the inspection report was not sent or despatched on the said date or the very next date, it would not vitiate the proceedings as the said provision is directory particularly when the provisional assessment notice has been served upon to the petitioner.

8. In para 16 of the counter-affidavit, it has been submitted that the disconnection of the electricity supply has been done in terms of Code 8 (vii), (viii) and (iv) which specifically provides that in case of apprehension of evidence or continuation of misuse, immediate disconnection can be done. In the instant case, there was an apprehension of continuation of misuse of electricity, therefore, it was considered necessary to disconnect the electricity supply. In the same paragraph, it has also been curiously stated that since the misuse of electricity has been detected under section 126 of the Act, the provisions of section 135 and procedure of disconnection thereof under the Code 8.1 are not attracted in the present case.

9. In view of the submission made in paragraph 16 of the counter-affidavit of the Corporation read with provisional assessment notice which has been made under section 126 of the Act, there remains no doubt that the

Corporation is treating the instant case as a case of 'unauthorised use of electricity' and not of theft.

10. Once the Corporation has taken the case as that of unauthorised use of electricity and not that of the theft for which proceeding under section 135 could have been initiated, the applicability of Code 8.1 (vii), (viii) and (iv) for disconnecting the electricity would not be there. The aforesaid provision permits the disconnection of the electricity only in case of 'theft' and not in case of 'unauthorised use'. In fact, it was a case where the petitioner-consumer has allegedly tampered with the meter and rather installed a gadget which was not permissible for making commercial use of electricity and, therefore, it has been treated as unauthorised use of electricity.

11. Explanation attached to section 126 of the Electricity Act, reads as under:

"For the purposes of this section:

- (a) "assessing officer" means an officer of a State Government or Board or licensee, as the case may be, designated as such by the State Government;
- (b) "unauthorised use of electricity" means the usage of electricity:
 - (i) by any artificial means; or
 - (ii) by a means not authorised by the concerned person or authority or licensee; or
 - (iii) through a tampered meter; or
 - (iv) for the purpose other than for which the usage of electricity was authorised."

12. Sub-clause (b) aforesaid defines 'unauthorised use of electricity' which means the usage of electricity: (i) by any artificial means and (iv) for the purpose other than for which the usage of electricity was authorised. The petitioner's case apparently falls within the aforesaid provision.

13. Clause (b) of Code 4.33 of Electricity Supply Code, 2005, which is also relevant for the purpose, requires search, seizure and removal of all such devices, instruments, wires and any other facilitator or article which has been or is being used for unauthorised use of electricity.

14. Clause 4.34 of the Code requires that search shall be done in the presence of the person concerned and during search, a list of all things seized in the course of such search shall be prepared and delivered to such occupant or person who shall sign the list.

15. In the instant case, there is no case of the respondents that they

have seized the devices or prepared the list and handed over to the person concerned rather they have disconnected the electricity supply with a view to check the illegal use any further.

16. Under the provisions of Electricity Act, 2003 as well as Electricity Supply Code, 2005 in relation to a case of unauthorised use of electricity, there is no power for disconnection of domestic electric connection and at least no such provision has been placed before us. That being so, the disconnection of domestic electric connection (residence) was not permissible, though it might have been done only for the reason to check future unauthorised use of electricity. The officer who conducted the raid ought to have known the steps that could be taken for putting a check on unauthorised use of electricity where a gadget has been installed for unauthorised use and electricity has been used for commercial use.



Page: 891

17. Under the circumstances, we direct that the domestic electric connection of the petitioner shall be restored forthwith and if necessary, the gadget which was detected at the time of inspection, shall be seized.

18. Counsel for the petitioner says that the electricity connection may be restored and the petitioner would have no objection in getting the alleged devices seized.

19. We order accordingly.

20. We further direct on the request of the petitioner that petitioner may file objection to the provisional assessment order within two weeks and the matter be concluded and decided expeditiously.

21. The writ petition is disposed of accordingly.

Petition Disposed Of.

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2013 SCC OnLine All 1445

(BEFORE SUNIL AMBWANI AND BHARAT BHUSHAN, JJ.)

Raj Narayan Singh Petitioner

v.

State of U.P. And Others Respondents

Petitioner Counsel:- Dharendra Kr. Srivastava

Respondent Counsel:- C.S.C., Mahboob Ahmad, Upendra Upadhyay

Writ - C No. - 10253 of 2013

Decided on March 5, 2013

Hon'ble Sunil Ambwani, J.

Hon'ble Bharat Bhushan, J.

We have heard learned counsel for the petitioner. Shri Upendra Upadhyay appears for respondent nos. 2, 3 and 4.

By this writ petition the petitioner has prayed for directions to the respondents not to sanction the electricity connection to respondent no. 5, for installation of a motor for tube well through the independent feeder/transformer installed for the petitioner in violation of Clause 3.4 of the U.P. Electricity Supply code, 2005. He has also prayed for writ of mandamus directing the respondent authorities not to interfere with the electricity supply of the petitioner from his independent feeder/transformer for running the motor of his private tube well.

It is submitted that the entire feeder/transformer was established for electricity connection of the petitioner on the costs deposited by the petitioner. The supply of electricity by tapping on his feeder to respondent no. 5 will not only cause interruptions and disturbance to the petitioner, it will also be in violation of Clause 3.4 of the U.P. Electricity Supply Code, 2005.

Shri Upendra Upadhyay appearing for respondent nos. 2, 3 and 4 submits that the petitioner has 2 K.W. connection, for which he may have deposited the cost of drawing the lines and transformer, he does not get any right nor Clause 3.4 of the U.P. Electricity Supply Code, 2005 is attracted in the present case. The provisions of the Clause 3.4 of the Code apply, when the supply is through independent feeder. Clause 3.4 is quoted as below:-

“3.4 Supply through Independent feeders

(a) Load for Arc/Induction furnaces, Rolling Mills, Re-rolling Mills and Mini steel plants, of 1000 KVA and above, shall be released only through an independent feeder and all necessary charges including the feeder cost shall be paid by the consumer.

(b) In other cases including townships/complexes, domestic or non-domestic or institutions, the supply may be given at independent feeder for load above 500 KVA, including those industries mentioned in 3.4(a) above but having load less than 1000 KVA, at the request of the consumer/applicant, if he is willing to bear all applicable charges, subject to technical feasibility and availability of bay/corridor at the substation.

Provided that for releasing the supply to consumer/applicant on independent feeder, having load below 500 KVA, it shall depend on nature and purpose such as emergency services, and such other reasons where continuity of supply is required by consumers, if the licensees so determines, the supply can be released depending on system constraints, technical feasibility, cost parameters, as well as safeguarding the provisions of duty of supply on request as per the Act.

(c) Deleted.

(d) The licensee shall allow tapping of feeders supplying Arc/Induction furnaces, Rolling Mills, Re-rolling Mills and Mini steel plants, with either of these plants, and this shall not be construed as change in process. The tapping of the independent feeder shall be permitted by licensee to other connection having a similar process subject to the following conditions:

(i) Construction of separate feeder from the substation is not possible on account of non-availability of corridor, right of way and bay at the respective sub-station.

(ii) Consent of original consumer has been obtained by prospective consumer for cost sharing of common portion of feeder with the prospective consumer.

(iii) Quality of supply is not likely to be affected and if technically feasible.

(iv) The outdoor metering at the tapping point, and the additional cost due to changes in system shall be done at the cost of prospective consumer. However the cost credit due to removal of the existing system shall not be given to the consumers.

(v) Deleted.

Note: Process of use of electricity means the sub-category mentioned under applicability clause of appropriate tariff schedule as per the latest applicable Tariff Order of the Commission.”

The provisions of Clause 3.4 will apply, where the load is for Arc/Induction furnaces, or the industry is Rolling Mills, Re-Rolling Mills and mini steel plants is above 1000 KVA, and the electricity supply is released through independent feeders. The independent feeders of load above 500 KVA are permitted for industries as above on the request of consumer/applicant, if he is willing to bear all the applicable charges. The tapping from such independent feeder is permitted for licensees on certain conditions, which include consent of original consumer for cost sharing of common portion of feeder with prospective consumer.

Clause 3.4 of the Code is not applicable to the case of the petitioner, running a tube well with 2 HP motor. He does not have any right as he has not deposited the cost of independent feeder to object to tapping.

We may observe here that the tapping may be permitted, if it is feasible to supply electricity to another consumer from the transformer and the lines, which have been drawn, if such transformer and line can bear the load for tube well to be operated by the other consumer.

If respondent no. 2 is of the opinion that the electricity supply to be given to respondent no. 5 through the transformer and lines set up for petitioner will not affect the electricity supply to the petitioner, he may permit supply of electricity from the transformer and lines drawn for supplying electricity to the petitioner. The respondent no. 2 will record satisfaction of such feasibility before allowing the tapping.

The writ petition is disposed of with these observations.

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2017 SCC OnLine All 6

In the High Court of Allahabad
(BEFORE DILIP B. BHOSALE, C.J. AND SUNEET KUMAR, J.)

Mukesh Kumar and 3 Others Petitioners

v.

State of U.P. and 4 Others Respondents

Counsel for Petitioner:- Ranjit Saxena

Counsel for Respondent:- C.S.C., Awadhesh Kumar Saxena,
Mahboob Ahmad

Writ-C No. 61372 of 2016

Decided on January 4, 2017

1. Heard Sri. Ranjit Saxena, learned counsel for the petitioners, Sri. Mahboob Ahmad, learned counsel for respondent No. 2 and Sri. Abhijit Saxena, learned counsel holding for Sri. A.K. Saxena, learned counsel for respondent No. 3.

2. The petitioners, in the instant writ petition, seek the following reliefs:

“(i) issue a writ, order or direction in the nature of certiorari quashing the Recovery dated nil issued by the Executive Engineer, Electricity Distribution Division 1st, U.P. Power Corporation Ltd. Muzaffarnagar (Annexure No. 20 of the writ petition) issued against the Directors of the M/s. Kumar Casting Pvt. Ltd.

“(ii) issue a writ, order or direction in the nature of certiorari quashing the proceedings of recovery under Clause-4.3(f)(v) of the Electricity Supply Code, 2005 against the defaulting directors of the company and thus the provisions of Clause-4.3(f)(v) of the Electricity Supply Code, 2005 are ultravires and thus may be declared to be unconstitutional and the consumer has been defined in Section-2(15) of the Electricity Act, 2003 and the Subordinate Registration is Ultravires.”

3. It appears that writ petitions bearing Writ-C No. 39095 of 2015 and Writ-C No. 8370 of 2016 are pending for final disposal wherein similar challenge is raised. In short, the question raised therein is whether the impugned recovery notices can be enforced against the Directors. Counsel for respondent No. 2-Corporation, on instructions, submits that the Corporation, in order to recover the dues shall proceed against the assets of the Company, and if for any reason, they cannot recover the due amount, it may be kept open for them to proceed

against the Directors subject to outcome of the aforementioned writ petitions (Writ-C No. 39095 of 2015 and Writ-C No. 8370 of 2016). Counsel for the petitioners submits that the Directors have no objection for the Corporation proceeding against the assets of Company to recover the due amount. He submits that the petitioners contentions may be kept open in the event the respondent No. 2-Corporation, after disposal of the aforementioned writ petitions, decide to proceed against the Directors to recover the due amounts. In view of the submissions made by learned counsel for the parties, we are satisfied that the following order shall meet the ends of justice:

4. It is open to respondent No. 2-Corporation to take all steps to recover the due amount from the Company, and if for any reason, the due amount is not recovered even after the sale of assets of the Company, it would be open to respondent No. 2-Corporation to proceed against the Directors after disposal and subject to outcome of the writ petitions bearing Writ-C No. 39095 of 2015 and Writ-C No. 8370 of 2016 pending in this Court. The petitioners contentions, insofar as the question raised in the aforementioned writ petitions and also the challenge raised in the instant writ petitions to Clause 4.3(f)(v) of the Electricity Supply Code, 2005, are kept open. With these observations, petition is disposed of.

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2009 SCC OnLine All 1157 : (2009) 6 All LJ 537 : (2009) 77 ALR
(SUM 57) 26 : 2010 AIHC 480

Affirmed in *Kanpur Electricity Supply Co. Ltd. v. LML Ltd.*, (2010) 6
SCC 165

In the High Court of Allahabad
(BEFORE ASHOK BHUSHAN AND R.A. SINGH, JJ.)

M/s. L.M.L. Ltd.

Versus

State of U.P. & Ors.

C.M.W.P. No. 24900 of 2009

Decided on September 18, 2009

The Judgment of the Court was delivered by

ASHOK BHUSHAN, J.:— Heard Sri M.L. Lahoty Advocate assisted by Sri B.C. Rai, learned Counsel for the petitioner, Sri K.R. Sirohi, learned Senior Advocate assisted by Smt. Mridul Tripathi appearing for respondent Nos. 2, 3 and 4 as well as learned standing counsel representing the respondent No. 1.

2. Counter affidavit and rejoinder affidavit have been exchanged between the parties and with the consent of learned Counsel for the parties, the writ petition is being finally decided. Brief facts of the case as emerged from the pleadings of the parties are that the petitioner is a Public Limited Company engaged in manufacture and sale of two wheelers, scooters and motorcycles having its registered office at Panaki Industrial area, Kanpur. The company obtained power load from the Kanpur Electric Supply Administration (KESA) which was extended from time to time and in the year 2006, the sanctioned load of the company was 8 MVA from 132 KV line. Due to shift in preference of consumers for 4 strokes motorcycles over 2 stroke scooters, the production of scooters of LML fell



down. The company started restructuring its business and took initiative to manufacture 4 stroke motorcycles, but due to the market conditions it incurred substantial loss. Apprehending that its work force of 6000 directly would be adversely affected, the company represented to the State Government for declaring LML as 'Relief Undertaking' under section 3(1) of the U.P. Industrial Undertaking (Special Provisions for

Prevention of Unemployment) Act, 1966. Notification was issued by the State Government on 24-6-2004 suspending for a period of one year all contracts, agreements, other instruments etc. in force under any law, which was subsequently extended for two successive years up to 23-6-2007. An illegal strike was called on 27-2-2006 disrupting the operations of the company ultimately leading to the declaration of lock out on 7-3-2006. Due to strike and lock out, all the manufacturing activities came to a halt. The petitioner realizing that load of 8 MVA is not at all required moved a formal application dated 31-3-2006 requesting the KESCO for reduction of contracted load from 8 MVA to 1.25 MVA. In the application, it was prayed that load reduction be made effective from 1-4-2006. There being urgency in the matter, the company also wrote to the Principal Secretary, Energy, Government of U.P. informing that load reduction from 8 MVA to 1.25 MVA is extremely necessary. On 19-4-2006 a meeting took place between the KESCO and the petitioner company in which decision for reduction of load was taken with certain conditions.

3. On 19-4-2006, the KESCO conveyed to the U.P. Electricity Regulatory Commission regarding its agreement for reduction of load and sought the formal approval of UPERC. The U.P. Regulatory Commission considered the matter on 26-4-2006 and conveyed its order dated 8-5-2006. The Commission did not raise any objection regarding decision of load reduction. However, it observed that agreement which has been reached between the parties are internal to the parties and the same has to be strictly in accordance with the Electricity Supply Code, 2005. After the aforesaid order of the UPERC, the petitioner on 17-5-2006 wrote to the KESCO to reduce the load w.e.f. 1-4-2006 as per the application dated 31-3-2006. The letter dated 21-6-2006 was also written to the Principal Secretary, Energy that the load reduction had not been given effect to although it was expressly agreed upon.

4. The electricity bill for the month of May, 2006 based on 8 MVA load was given to the petitioner on 7-6-2006. The petitioner immediately sent a letter on 7-6-2006 protesting that bill amount has been inadvertently raised on 8 MVA load, whereas there is already agreement for load being 1.25 MVA. The petitioner paid the bill on the basis of 1.25 MVA load. The Company also invoked the provisions of Sick Industrial Companies (Special Provisions) Act, 1985 (hereinafter referred to 1985 Act). The reference was registered as case No. 80 of 2006 on 15-9-2006 and thereafter on 8-5-2007, L.M.L was declared as sick industrial company under section 6(3)(o) of the 1985 Act. The IDBI Bank was appointed as operating agency. On 4-10-2006, KESCO has written a letter to the petitioner for submitting the bank guarantee

for the arrears of the amount as per the clause 4.49 of U.P. Supply Code 2005 so that action may be taken to reduce the load from 8 MVA to 1.25 MVA. The petitioner wrote to the KESCO on 11-10-2006 that as per agreement, the petitioner is paying the energy bill on the unit consumed without any default. The Company also informed that payment of arrears of electricity dues will be finalised after restoration of normal work of the factory taking into consideration the order dated 13-7-2005 of UPERC read with the order dated 8/9-5-2006. The company decided to recommence in a small way its manufacturing activities and, accordingly it requested KESCO on 11-3-2007 to increase the contracted load from 1.25 MVA to 2.25 MVA. On 20-3-2007 KESCO conveyed to the petitioner that its load reduction application could not be considered due to non submission of the bank guarantee by the petitioner. An application dated 19-4-2006 was moved by the petitioner being Application No. R-919/2007 to UPERC praying for suitable order directing KESCO to comply with the



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agreement dated 19-4-2006 and the order dated 8-5-2006 passed by the UPERC. On 3-8-2007, a settlement with regard to payment of arrears was arrived noticing the proposal of the petitioner that in first step three cheques of Rs. 25 lacs each were to be given by the petitioner against the arrears and w.e.f. August, 2007 apart from monthly bill of Rs. Five lacs be deposited towards arrears. U.R Power. Corporation Ltd. accepted the settlement as proposed on 3-8-2008 by letter dated 8-8-2007. The BIFR (Board for Industrial and Financial Reconstruction) where the petitioner unit was registered as sick unit held various proceedings dated 22-10-2007, 19-8-2008, 6-2-2009, 21-4-2009, 19-6-2009 and 30-7-2009. On 22-10-2007, the BIFR directed that KESCO would continue to accept Rs. 5 lacs per month against their arrears besides payment of current electricity bill on actual consumption basis and not to adopt to coercive measures to disconnect electricity supply. On 6-4-2009 a disconnection notice was issued by the KESCO, against which writ petition No. 20499 of 2009 was filed by the petitioner, in which writ petition an interim order was granted by this Court on 22-4-2009 directing that in case, the petitioner continues to pay the amount as directed by the B.I.F.R. its electricity supply will not be disconnected. The said writ petition is still pending.

5. The petitioner's claim for reduction of load from 8 MVA to 1.25 MVA w.e.f. 1-4-2006 not being decided or implemented, the petitioner has filed this writ petition for following reliefs:

“(I) pass appropriate writ, order or direction directing that the load of LML stood reduced from 8 MVA to 1.25 MVA pursuant to the then prevalent provisions of Cause 4.41(b) of the Code, 2005 w.e.f. 1-4-2006, 2.25 MVA w.e.f. April, 2007 and 2.50 MVA w.e.f. August, 2007.

(II) Pass appropriate direction co UPERC/Respondent No. 4 to decide the pending Application No. R-919 of 2007 dated 20-3-2007 pertaining to compliance of its own order dated 8-5-2007;

(III) Pass other or further order(s) as this Hon'ble Court may deem fit and proper in the facts and circumstances of the present case;”

6. Learned counsel for the petitioner in support of the writ petition submitted that the petitioner's application dated 31-3-2006 having been made in accordance with the provisions of U.P. Electricity Supply Code 2005, clause 4.41 and 4.49 along with all relevant papers and the decision having been taken by the respondents on 19-4-2009 to accept the reduction of load nothing further was required to be done and the reduction of load was to be implemented as prayed by the petitioner. It is further submitted that even reference to the UPERC sent by the respondents on 24-4-2006 was favourably replied by UPERC by its order dated 8-5-2006 without raising any objection to action of the respondents for not giving effect to reduction of load from 1-4-2006 is against the provisions of the Supply Code 2005 as well as against own decision taken by the respondents. It is contended that the petitioner company having already been declared 'Relief Undertaking' under the provisions of U.P. Industrial Undertaking (Special Provisions for Prevention of Unemployment) Act, 1966, which declaration was in existence at the time when the application for reduction of load was made, the respondents were to implement the decision looking to the facts and circumstances of the present case. It is submitted that Supply Code, 2005 was amended w.e.f. 14-9-2006 which amended provisions were not applicable with regard to application submitted by the petitioner for reduction of the load on 31-3-2006 and the reliance of the respondents on the amended provisions of Supply Code, 2005 is not correct. It is submitted that even the arrears against the petitioners were not finalised and there were claim of the petitioners against the respondents for refund of the amount due to extra payment charged by KESCO in 1996 plus interest. Reliance has also been placed by Mr. Lahoty on the orders and proceedings undertaken by the BIFR where BIFR has directed the KESCO to continue to take Rs. 5 lacs per month against the arrears and the electricity bill on the basis of consumption of the energy. It is submitted that the petitioner is

continuously making payment of the electricity bill on the basis of the consumption of the energy. Sri Lahoty further submits that insistence of the respondents to submit a bank guarantee to cover up arrears of dues is not applicable since the application was given at the time when the Code was not amended and at the relevant time bond and instruments were also acceptable, the petitioner had filed an affidavit accepting the liability to pay the arrears after the appropriate decision is taken regarding the liabilities towards arrears. He submits that the petitioner is entitled for relief as claimed in writ petition for treating its load having been reduced as 1.25 MVA w.e.f. 1-4-2006 and liability of the petitioner has to be in accordance with the said reduction.

7. Sri K.R. Sirohi, learned Senior Advocate appearing for the respondents refuting the submissions of learned counsel for the petitioner, contended that the application of the petitioner for load reduction dated 31-5-2006 was not acceptable it being not in accordance with the provisions of clause 4.49 of Supply Code, 2005. The condition that there should be a stay order by any Court/Forum against the arrears, which were due against the petitioner being not justified, the load reduction could not have been ordered. He further submits that load reduction could not have been ordered under the Supply Code, 2005 hence, in accordance with provisions of paragraph 9.5, the recommendation was made to U.P. Electricity Regulatory Commission for obtaining the necessary orders to remove the defect and UPERC having taken a decision on 8-5-2006 that the provisions of the Code be strictly followed for load reduction, the sanction of load reduction to 1.25 MVA was not given since according to clause 4.49, the petitioner did not fulfill the conditions. It is further submitted that the petitioner was required to submit a bank guarantee which having not been submitted, load reduction was not possible. He further submits that even the bond/instrument/bank guarantee given by the consumer is to be as per satisfaction of the licensee and licensee being not satisfied, no order/sanction of reduction of load having been issued by the respondents, the reduction of load cannot be accepted w.e.f. 1-4-2006.

8. We have considered the submissions of learned Counsel for the parties and have perused the record.

9. Before we proceed to consider the respective submissions of learned counsel for the parties, it is necessary to refer to relevant provisions applicable for reduction of load. According to section 50 of the Electricity Act, 2003, the U.P. Electricity Regulatory Commission has specified the Electricity Supply Code, 2005. U.P. Electricity Code as it was in existence on 31-3-2005 contained a specific provision clause

4.41 for reduction in contracted load and clause 4.49 for Release of Connection/Load where arrears disputed are stayed by Court/other forums. The relevant portion of clause 4.41 of Supply Code is as follows:

4.41 Reduction in contracted load

- (a) Every application for reduction of contracted load shall be made in duplicate to the concerned officer on prescribed form (Annex- 4.10) along with the prescribed processing fee and charges for reduction of load along with the following documents:
 - (i) Work completion certificate and test report from a licensed electrical contractor where alteration of the installation is involved.
 - (ii) Maximum demand recorded in the last two billing cycles if the meter has the facility to record maximum demand and the electricity bill of the previous two billing cycles.
 - (iii) Letter of approval from the Electric Inspector, wherever applicable (or as per rules when framed under Section 53).
 - (iv) Copy of the latest paid electricity bill. If matter related to dues is pending in court, the procedure as per clause 4.49 may be followed.
- (b) The designated authority of the licensee shall communicate to the consumer the decision on his application within thirty days of receipt of the duly completed application.
- (c) A fresh agreement for reduced load shall be executed for 2 years but the period of compulsory agreement of 2 years for the purpose of payment of MCG shall be counted from the date of original agreement for the purpose



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- (d) No refund shall be allowed for the deposited cost of the line and sub-station. However, if the security deposited earlier is in excess of the requirement for the reduced load, the excess shall be adjusted in future bills:
- (e) The effective date of such reduction shall be reckoned from the first day of the following month in which the application has been sanctioned by the licensee.
- (f).....”

10. Clause 4.49 as it then existed on 31-3-2005 was as follows:

“4.49 Release of Connection/Load where arrears disputed are stayed by Court/other forums:

Where there is stay order by any Court, Forum, Tribunal, or by Commission, staying the recovery of any dues by licensee, and during the operating period of any such order:

(i) If a consumer sells a premises and an application for release of new connection is made by the purchaser

or

(ii) If any application for enhancement or reduction of load is made by a consumer,

The licensee shall release the new connection to such consumer and also permit reduction or enhancement of loads,

Subject to

- Submission either of Bank Guarantee, or Bonds, or any instruments to the satisfaction of licensee of equivalent amount of pending dues, by the applicant, and,
- Agreement with licensee on terms of extension/invoking of guarantee, and
- Levy of surcharge amount on pending dues,

And, the application of such consumers shall not be kept pending by the licensee.”

11. A perusal of clause 4.41 indicates that application has to be made in pro forma as prescribed in Form (Annexure 4.10) with the documents as mentioned in clause (a)(i) (iv). Clause (iv) provides that application be submitted with copy of the latest paid electricity bill and if the matter is related to dues is stayed and pending in Court, the procedure as per clause 4.49 be followed. Clause (b) mandates that the designated authority of the licensee after verification, shall sanction the reduced load to the consumer within thirty days from the date of acceptance of application. From the materials brought on record, it is apparent that no shortcoming in the application submitted by the petitioner for load reduction has been pointed out by the respondents except non compliance of clause 4.49 that too in the counter affidavit filed in this Court and vide its letter dated 4-10-2006 by which bank guarantee was asked for and vide letter dated 20-3-2007.

12. Clause 4.49 provides that where there is a stay order by any court, forum or tribunal staying recovery of any dues by licensee and if application for enhancement or reduction of load is made by consumer the said reduction or enhancement be made subject to submission either of bank guarantee or bonds or any instrument to the satisfaction of the licensee of equivalent amount of pending dues, by the applicant. The Supply Code, 2005 was amended w.e.f. 14-9-2006 and clause 4.49 as amended provides for as follows:

“4.49 Permanent disconnection/Release of Connection/Enhancement and Reduction of Load where arrears (tisptitefl) are stayed by Court/other forums:

Where there is a stay order by any Court, Forum Tribunal, or by Commission, staying the recovery of any dues by licensee, and during the operating period of any such order—

- (i) If a consumer sells a premises and an application for release of new connection is made by the purchaser; or
- (ii) If any application for new connection, reconnection, enhancement or reduction of load is made by a consumer; or
- (iii) if any application for permanent disconnection is made by a consumer the licensee shall release the new connection to such consumer and also permit reconnection, reduction or enhancement of loads, as well as allow permanent disconnection.

Subject to

- submission of Bank Guarantee to the satisfaction of licensee, of equivalent amount



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of pending dues, by the applicant or owner, and,

- agreement with licensee on terms of extension/invoking of guarantee, and
 - levy of surcharge amount on pending dues,
- and the application of such consumers shall not be kept pending by the licensee.”

13. The submission which has been pressed by learned counsel for the respondents is that there being arrears against the petitioner's company load reduction could not have been allowed since there was no stay from any Court or forum thus paragraph 4.49 was not applicable. A perusal of clause 4.49 indicates that the said clause provides for release of new connection or permit reduction or enhancement where there is a stay order by any Court, Forum, Tribunal or by Commission, staying the recovery of any dues. There is no order of any court relied by the petitioner. The reliance which has been placed by the petitioner is on the ratification dated June 24, 2004 issued under sub-section (1) of Section 3 of U.P. Industrial Undertaking (Special Provisions for Prevention of Unemployment) Act, 1966. The relevant part of the notification is as follows:

“Now, therefore, in exercise of the powers under sub-section (1)

of Section 3 of the aforesaid Act, the Government is pleased to declare that the aforesaid Company shall be a relief undertaking for a period of one year with effect from the date of publication of this notification in the Gazette and consequently under clause (b) of sub-section (1) of section 4 of the said Act, all the contracts, assurance of property, agreements, settlements, awards, standing orders or other instruments, except those entered into under the Acts mentioned in the Schedule, in force under any law whatsoever to which the undertaking is a party or which may be applicable to the undertaking, immediately before the date of its declaration as relief undertaking shall be suspended in operation for period of one year with effect from the date of publication of this notification in Gazette.

By Order

Atul Kumar Gupta,
 Pramukh Sachiv."

14. By subsequent notification dated 14-6-2005, the operation of the notification dated 24-6-2004 was extended for one year and again the same was extended for one year by notification dated 2-6-2006. Thus, at the relevant time when the petitioner made application for reduction of load i.e. 31-3-2006, the petitioner was a 'Relief Undertaking' within the meaning of the Act. The consequence of declaration of a unit as a relief undertaking has been provided under section 4 of the Act. Section 4 of the Act is quoted as follows:

"4. Consequences of declaration under section 3(1) Where the State Government is satisfied that it is necessary or expedient so to do for the purposes specified in Section 3, it may, by notification in the Gazette, direct in relation to any relief undertaking—

- (a) that at or any of the enactments specified in the Schedule shall not apply or shall apply with such adaptations, whether by way of modification, addition or omission, as may be specified in this behalf;
 - (b) that all or any of the contracts, assurances of property, agreements, settlements, awards, standing orders or other instruments in force under any law whatsoever to which the undertaking is a party or which may be applicable to the undertaking, immediately before the date with effect from which the undertaking was declared a relief undertaking, shall be suspended in operation, or that all or any of the rights, privileges, obligations, and liabilities accruing or arising thereunder before the said date, shall be determine and be enforceable with such modifications and in such manner as may be specified in this behalf.
- (2) A notification under sub-section (1) shall have effect

notwithstanding anything to the contrary contained in any other law, agreement or instrument, and any remedy for the enforcement of any right, privilege, obligation or liability referred to in clause (b) of subsection (1) and suspended or modified by such notification shall in accordance with the terms of the notification be suspended or modified and all proceedings relating thereto pending before any Court, Tribunal, officer or authority shall accordingly be stayed or be continued



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subject to such notification, so, however, that on the notification ceasing to have effect, all rights, privileges, obligations or liabilities so suspended or modified shall revive or revive. In their unmodified form and be enforceable and all such proceedings as aforesaid shall thereafter be continued from the stage they were stayed, and in computing the period of limitation for the enforcement of any such right, privilege, obligation or liability, the period during which it or the remedy for the enforcement therefor was suspended, shall be excluded.”

15. A perusal of section 4 of the 1996 Act indicates that the liabilities accruing before the relevant date shall remain under suspension till the notification remains in force. The preamble of the Act itself provides that the Act has been enacted to enable the State Government to make special provisions for limited period in respect of industrial relations, financial obligations and other like matters in relation to those industrial undertakings the running of which is considered essential as a measure of preventing, or of providing relief against unemployment. As noticed above, the petitioner claims that there were 6000 persons directly employed and 20000 persons indirectly employed, who were to be adversely affected by closure of the unit. Reliance has been placed by the petitioner on a Division Bench judgment of Rajasthan High Court in the case of *Modern Syntax (I) Ltd. v. Debts Recovery Tribunal, Jaipur*, reported in AIR 2001 Rajasthan 170. In the said case the proceedings were initiated by the State Bank of Bikaner for recovery in accordance with the provisions of Recovery of Debts Due to Banks and Financial Institutions Act, 1993. The unit was notified under the Rajasthan Relief Undertakings Act, 1961. On 15-2-2000 the objection was raised on the basis of the said notification that recovery cannot be initiated which objection was rejected by the Debt Recovery Tribunal, Jaipur. Aggrieved by the said rejection, the writ

petition was filed. The Division Bench took the view that the proceedings initiated for the recovery of the dues from the Company stand stayed till the currency of the notification. Following was laid down in paragraph 27 which is quoted below:

“27. As seen above, the effect of the notification is that any right, privilege, obligation or liability accrued or incurred by a notified company, before it is declared a relief undertaking and any remedy for enforcement therefor becomes suspended and consequently even the winding up proceedings against such company can be stayed. As a result of the notifications the State Government gets the power to direct that notwithstanding any law, usage, custom, contract, instrument, award, settlement or other provisions, whatsoever, any right, privilege, obligation or liability accrued or incurred before the undertaking was declared as relief undertaking, all proceedings related thereto pending before any Court, Tribunal, Officer or Authority shall be stayed. The same view has been taken by our High Court in the case of *Jaysynth Dyechem v. Mewar Textiles Mills Ltd.* (AIR 1988 Raj 16).”

16. Thus, consequence of notification issued under section 3 of 1966 Act which was accruing at the time when the application for reduction of load was submitted by the petitioner, the recovery of arrears are to be treated to have been stayed and thus, the submission of the counsel for the respondents that there being no stay from any forum, clause 4.49 cannot be applicable, cannot be accepted. The petitioner has also relied on the registration of the unit under 1985 Act on 15-9-2006. It has been further stated that unit was declared as sick unit on 8-5-2007 and the various orders have been passed thereafter by the BIFR. However, since the said orders by BIFR is subsequent to the date of the application by the petitioner i.e. 31-3-2006, it is not necessary to consider any further the consequence of various proceedings and orders passed by the BIFR.

17. The next submission which was relied by learned counsel for the respondents in not accepting the load reduction application is that the petitioner has not submitted a bank guarantee as required under paragraph 4.49 of the Code. It is relevant to note paragraph 4.49 of the Code as it existed at the time when the



application was made require submission of bond or any instruments apart from the bank guarantee. The reliance has been placed by the petitioner on an affidavit filed in support of the application. The requirement of submitting bond or instrument having been deleted by

amendment made in the Supply Code on 14-9-2006, after 14-9-2006 now only bank guarantee is to be given for equivalent amount of pending dues. The application having been submitted on 31-3-2006 and according to clause 4.41(b) the decision on the application was to be communicated within 30 days. Thus, the relevant provisions applicable is unamended clause 4.49. The petitioner in the writ petition has relied on affidavits dated 31-3-2006, and 18-4-2006 of L.K. Singhania, the Whole Time Director. In the affidavit dated 18-4-2006, it was clearly affirmed that the deponent of the affidavit confirms and agrees that the company shall comply with and implement the final decisions in respect of various matters pending and shall make payment of dues if any of KESCO in terms of the said order/judgments.

18. At this juncture, it is also necessary to dispose of one objection raised by learned counsel for the respondents that in the affidavit even amount of arrears has not been disclosed nor it can be read to be securing any fixed amount. It is relevant to note that there was dispute regarding arrears between the parties and there has been certain directions issued in the meeting held on 19-12-2005 with Principal Secretary Energy, U.P. Government regarding payment of arrears. The issue was also raised that the affidavit cannot be treated to be an instrument as per paragraph 4.49. The word 'instrument' has not been defined in the Electricity Act, 2003 and U.P. Electricity Supply Code, 2005. Reliance has been placed on a Division Bench judgment of Andhra Pradesh High Court in case of *K. Sambasivaraju v. M.V.S.R. Chandrayya Chetty*, reported in AIR 1967 Andhra Pradesh 87 (V54 C 29), wherein it was held that word 'instrument' as defined in section 2 (14) of Stamp Act, 1899 schedule 1 must receive extensive meaning including affidavit.

19. The said judgments do support the sub missions made by learned Counsel for the petitioner. However, there is another reason due to which the objection of the respondents in this regard cannot be accepted. On the basis of the application dated 31-8-2006, a meeting was held between the petitioner and the respondents, where decision was taken with regard to load reduction. The said decision has been brought on record as Annexure-4 to the writ petition, which has been duly signed by the Managing Director, KESCO and Executive Director of the petitioner. A perusal of the said proceedings indicate that a decision was taken in the meeting to reduce the load which was to be applicable subject to certain conditions as mentioned in the letter. The conditions as mentioned in the letter were following under which the load reduction was to be made:

“LML (i) would deposit the required fees for load reduction, (ii) would pay system loading charges in accordance with law in future,

if the load is to be enhanced, (iii) would regularly pay its monthly bills, (iv) would accept the decision of the Court regarding the pending disputes and (v) the decision of UPERC (U.P. Electricity Regulatory Commission) in this regard would be acceptable to both the parties.”

20. A perusal of the decision which is brought as Annexure-4 to the writ petition indicates that decision for reduction of load was taken by the competent authority which how ever, was subject to the condition thus the sub mission of the petitioner is correct that decision on principle allowing reduction of load application was taken which was subject to condition. Thus, while taking the decision on 19.4.2006, no shortcoming in the application or non compliance of any requirement as required by clauses 4.49 and 4.41 was pointed out. Thus, the respondents accepted the application as submitted by the petitioner to be complete and in order. The respondents neither insisted on submission of any bank guarantee for arrears nor the bank guarantee/bond/instrument was made any issue for not accepting the application. The condition No. (i) provided for deposit of required fee for load



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reduction. Conditions No. (ii) provided that in the event of being enhancement of load in future, the petitioner shall pay the system loading charge. Thus clause (ii) specifically noted about the load reduction since it talked about the enhancement of the load in future. Clause (iii) provided for payment of monthly bills within due date. Clause (iv) provided for accepting the decision taken in the various cases and clause (v) provides for that the matter be sent for approval to UPERC and its decision shall be binding on both the parties. It is not a case that any of the conditions No. (i) to (iv) have not been complied with or could not have been complied. The respondents counsel submits that decision which was taken by the U.P. Electricity Regulatory Commission is a decision refusing to accept the load whereas learned counsel for the petitioner submits that U.P. Electricity Regulatory Commission did approve the recommendations of the respondents for reduction of the load. Copy of the order dated 9.5.2009 has been brought on record as Annexure-6 to the writ petition. With regard to issue of load reduction following is the extract of the proceedings:

“(II) Regarding the second issue, MD Kesco vide letter No. 315/C-Bulk the Commission informs that M/s. LML Panto, Kanpur

has intimated that due to labour unrest in their factory a lock out has been declared, as a result of which the production work has stopped. In view of this M/s LML have requested for reduction of load from 8 MVA to 1.25 MVA.

The letter also informs that M/s LML has at present out standings of Rs. 842.01 lacs. As per clause 4.49 of the Supply Code-2005, in case there are arrears of dues on a consumer, the reduction of load cannot be processed. The letter also states that in view of lockout in the factory, and financial constraints of the unit, the payment of minimum charges on the contracted load to 1.25 MVA. Further, the decision on the outstanding dues is also pending. MD Kesco has proposed that pending decision on outstanding dues, the load may be reduced and realization can be made after the decision on the dues has been taken, Commission's permission has been sought in this regard.

Commission's observations

- (a) As informed by the parties during the hearing, the Commission observes that the parties have reached to an agreement of outstanding in installments and also on the reduction of load.
- (b) As pointed out by Shri R.K. Srivastava representing M/s LML, the Commission observed that the payment schedule has not been renegotiated by the Kesco in terms of Commission order dated 13-7-2005.
- (c) Not going into the merits of any action or agreement that have been reached to between the parties as these are internal to the parties, the Commission feels, the same has to be strictly in accordance to the Electricity Supply Code, 2005, the tariff orders of the Commission, as well as Commission's order dated 12th and 13th July, 2005.

Commission's directions.

In view of the Commission's observation in para (I) and (II) above, the respondents are directed:

- 1. To recover the late payment surcharge for the said period at the rates allowed to Industrial units in distress, covered under the said Acts or orders of the Government, provided these are not below the prevailing bank rates for the applicable periods. Provided also, that if the unit commits default in timely payment of installments granted, the late payment surcharge on arrears thus generated shall be recovered as per existing provisions of the Supply Code Tariff order.
- 2. To work out the schedule of payment in terms of Commission order dated 13-7-2005.

21. A perusal of the above proceedings indicate that U.P. Electricity Regulatory Commission itself has noticed that the respondents have proposed reduction of the load thus, the decision of reduction of load at the level of the respondents was already taken. U.P. Electricity Regulatory Commission did not object to reduction of load nor pointed out any, shortcoming or illegality. Much reliance has been placed by Sri K.R. Sirohi on the observation of the Commission that agreement between



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the parties has to be strictly in accordance with the Electricity Supply Code, 2005. He submitted that since the load could not have been reduced without submission of the bank guarantee which was requirement of Supply Code, 2005, no further step was taken by the respondents.

22. A perusal of the decision of the Commission dated 8-5-2006 indicates that Commission has noticed that parties have reached to an agreement for reduction of load thus, the decision on reduction of load was already taken by the parties, which was noticed by the Commission without any objection. The observation that any action or agreement between the parties has to be in accordance with the Electricity Supply Code, 2005 was an observation made by the Commission which in no manner affect the decision already taken by the parties regarding reduction of load. Such observations were general observations and we having already found as above that there was compliance of clause 4.49 in the application of the petitioner submitted for reduction of load, the submission of learned counsel for the respondents that clause 4.49 having not been complied reduction of load could not have been effected, has no merit.

23. It is relevant to note letter dated 4-10-2006 of the respondents asking the petitioner to submit a bank guarantee, bond equivalent to pending dues and the letter dated 20-3-2007 taking the view that as per amendment dated 14-9-2006 in the Supply Code, 2005 bank guarantee is wanted hence, the approval of load reduction could not be granted, the above letters are of no consequence since the decision of load reduction was already taken on 19-4-2006 according to unamended Supply Code, 2005. Nothing more was required to be done after decision of reduction of load was taken by the respondents. In fact the reference to U.P. Electricity Regulatory Commission was also not necessary since provisions of the Code do not require any approval by the Commission of the decision taken by the licensee for reduction of

load. The said reference by the respondents to the U.P. Electricity Regulatory Commission was redundant exercise which in no manner can effect rights of the petitioners which accrued on the basis of the decision taken on 19-4-2006.

24. We cannot lose sight of the facts and circumstances under which the application for load reduction was submitted by the petitioner. There was lock out in the company. Manufacturing had stopped after 7-3-2006 when lockout was declared. The Company did not require the huge electricity load of 8 MVA after lock out was declared. To save itself from heavy liability of 8 MVA, the company made an application with further stipulation as and when manufacturing resumes prayer for enhancement will be made. The respondents at the relevant time being alive to the facts and circumstances that the company does not require the load of 8 MVA accepted the request of the petitioner for load reduction request which is proved from its decision taken on 19-4-2006. The subsequent stand taken by the respondents and continued submission of electricity bill on the basis of 8 MVA although production remained stopped, was unjust and not in accord with the decision taken by them on 19-4-2006.

25. The State Government having already notified the company under U.P. Industrial Undertaking (Special Provisions for Prevention of Unemployment) Act, 1966 as 'Relief Undertaking' the said decision or declaration is binding on all instrumentalities of the State including the respondents. The respondents cannot be permitted to act discarding the very object for which the Company was declared as 'Relief Undertaking'. The company which was already in loss and was declared as 'relief undertaking' could not be allowed to bear such heavy liability of billing on the basis at 8 MVA by the respondents only because it was beneficial to them to bill the petitioner at 8 MVA, whereas the load reduction was agreed for on 19-4-2006. The stand taken by the respondents and letters written by it to the petitioner in this regard as noticed above, are not in accord with the principles of justice and fairness.

26. It is also relevant to note that the petitioner has been paying the monthly electricity bill on the basis of the actual consumption during all this period with regard to which direction was also made by BIFR and the respondents



cannot be said to be in any actual loss having been paid the electricity bill according to the actual consumption.

27. In view of the foregoing discussions we are of the considered opinion that the reduction of the load of the petitioner stood approved on 19-4-2006 and any further action which was to be taken by the respondents thereafter was only ministerial which cannot be said to have any effect on the claim of the petitioner to treat the load having been reduced. The decision having been taken on 19-4-2006, the effective date of such reduction shall be reckoned from the first day of following month as per clause 4.41(e) i.e. from 1-5-2006. We direct accordingly. In view of the aforesaid, the petitioners are entitled for the reliefs as claimed in the writ petition. The writ petition is allowed. We however, further provide that in the event any further formalities are to be completed, the same be completed by the respondents within a period of one month.

28. The parties shall bear their own costs.

29. Petition allowed.

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2009 SCC OnLine All 346 : AIR 2009 All 137 : (2009) 6 AIR Kant
R (NOC 952) 331 : (2009) 4 All LJ 741

In the High Court of Allahabad at Lucknow
(BEFORE RAJIV SHARMA, J.)

M/s. Citi Hotel

Versus

Commissioner, Lucknow Divn., Lucknow & Ors.

W.P. No. 1724 (MS) of 2008

Decided on April 6, 2009

ORDER

1. Heard learned counsel for the petitioner and Sri Manoj Kumar Dwivedi appearing for respondent Nos. 2 to 4.

2. In the instant writ petition, the petitioner has inter alia assailed the order dated 18th March, 2008 passed by the Commissioner, Lucknow Division, Lucknow inter alia on the ground that the impugned judgment not only suffers from infirmities but is in transgression of the authority vested in him inasmuch as the provisions of the Electricity Supply Code 2-5 were not adverted to and without adverting the same, the impugned order has been passed. Put it briefly, the essential facts of the case are that the petitioner is a partnership firm carrying on its business under the name and style of M/s. Citi Hotel, Lucknow, and for running the hotel the electrical energy was required and as such connection for supply of electrical energy was applied in the requisite format, which was sanctioned with a load of 40 KW. A meter was also installed in the premises of the hotel. The hotel was utilizing about 36.110 KW load out



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of the sanctioned load and was paying the bill regularly. In the hotel, the management was also running a restaurant. One Sri S.C. Jain, Junior Engineer, who was in-charge of the area, used to visit the restaurant, which is within the hotel premises. On 28-5-2002, he along with other persons had taken lunch in the restaurant and when the bill was raised, the said Engineer became annoyed and he raided the premises after few hours along with other officials on the same day implicating the petitioner and its Manager in a false theft case. The charge levelled against the petitioner was that they were consuming a

load of 88.75 KW, whereas the sanctioned load was only 40 KW and accordingly provisional assessment order dated 25-6-2002 was passed creating a demand of Rs. 18,16,218/- and further the supply of electrical energy was disconnected. Thereafter prosecution was also launched.

3. Against disconnection, the petitioner preferred a writ petition, bearing No. 5366 (MB) of 2002, before this Court, which was disposed of finally directions on 9-9-2002. The said judgment reads as under:—

“Counter-affidavit filed today be taken on record. Learned counsel for the petitioners states that he would not like to file re-joinder affidavit in this writ petition. With the consent of the parties' counsel, the writ petition is being disposed of finally.

The grievance in the present petition is regarding a raid conducted by the vigilance squad of the Power Corporation. The allegations have been made against the authorities who conducted the raid with a view to establish mala fides by asserting that actually no raid was conducted but the proceedings are being taken for realization of the amount of the alleged assessment because of vengeance of the authority. The opposite parties have filed a detailed counter-affidavit denying the aforesaid allegations categorically. We do not find anything on record of the writ petition so as to draw any conclusion. We therefore do not adjudicate upon the allegation that whether the raid was actually conducted or not.

Learned counsel for the petitioners has submitted that after show-cause notice dated 5th June, 2002 the petitioners requested for certain documents to which reply was given on 30th June, 2002 for submission of his reply against the proposed assessment and the realization of the amount but the said reply has not been considered and the notice dated 5th June, 2002 has not yet been disposed of and the electricity stands disconnected.

Learned counsel for the respondents Sri. S.M.K. Chaudhary relying on paragraph 17 of the counter-affidavit has submitted that the letter would be sent to the petitioner indicating the orders which may be passed by the authority in the matter on the notice dated 5th June, 2002. he further submits that the disconnection is an independent matter as the petitioner has been found guilty of theft and non-payment of electricity charges.

We do not find that the matter still has to be decided by the Executive Engineer concerned and therefore we direct that the Executive Engineer concerned shall consider and dispose of the proceedings initiated in pursuance of the notice dated 5th June, 2002 within a period of ten days from the date a certified copy of this order is produced. In case the petitioner is aggrieved by the

order of the Executive Engineer, he may prefer an appeal to the Appellate Committee as per the provisions contained in Cl. 7.20 of Uttar Pradesh Electricity Supply Code, 2002 (Distribution Code).

In the meantime, it is also provided that in case the petitioner deposits five lakh rupees, the electricity connection shall be restored on payment of cable charges separately. The petitioner shall pay the current charges as per the meter.

With the above directions, the writ petition is finally disposed of."

4. Instead of complying the aforesaid direction of this Court, the Executive Engineer, vide order dated 17th September, 2002, raised the bill of an amount of Rs. 16,27,989/-, on the charge of theft of electrical energy and not on the charge of utilisation of electrical energy beyond the sanctioned load. Aggrieved by the aforesaid action, the petitioner filed an Appeal before the Appellate Committee and during its pendency the Electricity Supply Code-2002 was replaced by the existing Electricity Supply Code-2005 and as such the appeal of the petitioner was transferred to the Divisional Commissioner, Lucknow. The Appellate Authority dismissed the appeal and a recovery of Rs. 16,73,784 towards the penalty inflicted on the allegation of theft, was maintained.



5. Hence the petitioner has filed the instant writ petition assailing the order dated 18th March, 2008 passed by the Appellate Authority as also the order dated 17th September, 2002 passed by the Executive Engineer, UPPCL by means of which recovery of aforesaid amount was passed.

6. Counsel for the petitioner submitted that pursuant to the raid, a criminal case No. 337/03 under Section 39/40/49-B of the Indian Electricity Act was registered. In; the said criminal case, after trial, the learned 1st Additional Chief Judicial Magistrate acquitted the accused as no case of theft of power was proved. After the acquittal of the petitioner and his employees, as per provisions of Clause 8.2 especially (x), (g) and (h) of the Electricity Supply Code-2005 the assessment against the petitioner was liable, to be withdrawn and the connection was liable to be restored through the original; meter.

7. The judgment and order of the learned 1st Additional Chief Judicial Magistrate acquitting the accused persons was brought to the notice of the learned Divisional Commissioner and it was prayed that in view of clause 8.2, the proceedings against the petitioner are liable to

be dropped.

8. It has been vehemently argued that the learned Commissioner committed an error in not considering the statutory provision, referred to above, and had wrongly come to the conclusion that the petitioner had deliberately impugned the allegation of false implication because of non-payment of the bill made against the Junior Engineer, whereas the theft is proved against the petitioner and there is no illegality or infirmity in the provisional assessment order. It has been urged that the impugned order passed by the learned Commissioner is not only contrary to aforesaid provisions but is in transgression of the authority vested in him inasmuch as the provisions of the Electricity Supply Cqde -2005 were not adverted to and without adverting to the same, the impugned order has been passed.

9. Counsel for the petitioner has lastly, submitted that even after the restoration of the electricity connection, the petitioner was, continuously paying the bill as raised by the Electrical Authorities without there being any complaint. However, when the respondent Nos. 2 to 5 came to know about the, filing of the present writ petition, the officers of the Corporation again disconnected the electricity connection without any notice to the petitioner.

10. On 3-4-2008, this Court passed an order that in case the petitioner deposits 50% of the demanded amount after adjusting the amount of Rs. 5,00,000/- which had already been deposited, the electrical energy to the Hotel shall be restored forthwith. In compliance of the said order, the petitioner deposited Rs. 6,58,109/- and only then the connection was restored.

11. On behalf of the Power Corporation, it has been argued that it is not disputed that the accused person has been acquitted in criminal case by the Competent Court for the theft of electricity but so far as the civil liability is concerned, the petitioner was assessed by the opposite party as per provisions of the Electricity Act and Rules, and therefore, the petitioner is under an obligation to pay the dues. The impugned order has been passed by the Commissioner after considering the relevant record and evidence and as such there is no illegality. In support of his contention he has also placed reliance on (2003) 5 SCC 226 : (AIR 2003 SC 1354) *J.M.D. Alloys Ltd. v. Bihar State Electricity Board*.

12. A perusal of the judgment passed by the criminal court shows that the prosecution has failed to establish that the accused was involved in the theft of electricity. When the theft itself was not proved, imposition of penalty is also not justified. Moreover, in the year 1997, the Corporation had sanctioned a load of 25 KW, which was enhanced to 40 KW after the verification and approval of the officers of the Power Corporation. When the electricity was disconnected allegedly on the

ground that in the Hotel a load of 88.75 KW was being unauthorisedly/illegally used, whereas the sanctioned load was only 40 KW, then there was no occasion for restoring the same on the same sanctioned load of 40 KW. Therefore, there were contradictions in the statement and the same are not trustworthy.

13. I have gone through the judgment passed by the Apex Court in *J.M.D. Alloy* (supra). In this case, when the officials of Bihar State Electricity Board inspected the appellant's factory premises, it was found that the seal fixed on CT/PT box was tampered with. Therefore, an FIR was lodged and a bill was also raised. The police after investigation submitted final report, which was accepted. In these circumstances, the Apex



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Court observed that mere acceptance of final report by the Magistrate cannot amount to a finding by the criminal court that theft of electricity was not committed. The accused was not even summoned, no charge was framed, nor was any evidence recorded. In such a situation, it cannot be held that the criminal court has recorded any finding to the effect that the petitioner has not committed theft of electrical energy.

14. In the present case, due trial was held by the court and the competent criminal court has recorded a finding that there are several lacunas in the prosecution case after adducing oral and documentary evidence. When the seal of the seized case property was opened in the Court neither 50 MM cable was found nor the place where the 50 MM cable was alleged to be tagged with 70 MM service cable was found as alleged by the prosecution. It was also observed that there was every opportunity and duty to produce the same, if taken by the prosecution. The recovery memo falsifies the prosecution case. Further, the witnesses, who were the officials of the Power Corporation, during their examination, failed to prove the prosecution case beyond reasonable doubt and there were contradictions in their statement recorded before the Court. The independent witnesses - Mohd. Asif who was examined by the prosecution denied the prosecution story and depose that he had no knowledge about the raid and theft being committed by the Mr. Raj Kumar Pandey and no recovery was made in his presence. Similarly, P.W. 6 also denied the prosecution story. Therefore, the *JMD Alloys Ltd.* (supra) case is of no avail to the opposite parties as the facts and circumstances of the present case are quite different. A little difference in facts or additional facts may make a lot of difference in the precedential value of decision as held in *Bhavngar University v. Palitana*

Sugar Mills (P) Ltd. (2003) 2 SCC 111 : (AIR 2003 SC 511).

15. It would also be relevant to mention that clause (x) of the Electricity Supply Code, 2005 deals with the cognizance of the offence. Sub-clauses (g) and (h) of the said Code reads as under:

“g] The final assessment done by the licensee assessing office in case of theft, is also subject to adjudication by the Court.

H] In case of the session of the Court that theft is not established, the charges levelled and assessment made by the licensee against the consumer or persons shall be withdrawn in writing and the connection should be restored through the original meter.”

16. It is not disputed by the parties that that when the accused persons were acquitted in the criminal case, the judgment of the Criminal Court, which had attained finality, was brought to the notice of the Appellate Authority. The Appellate Authority committed an error in dismissing the appeal without considering the findings recorded by the Criminal Court. It was an obligatory duty of the Appellate Authority to record a finding as to why he is not agreeing with the findings of the Criminal Court. The Appellate Authority also committed an error in not considering the provisions of Clause 8.2 of the Electricity Supply Code-2005 which provides that if a charged person is acquitted of theft then under clauses (x)(g) and (h) the assessment against the person on the basis of theft is liable to be withdrawn and the connection is to be restored through the original meter. The enforcement of Electricity Supply Code-2005 is also not disputed by the Counsel for the Power Corporation. Therefore, the findings recorded by the Appellate Authority are perverse and are not based on correct appreciation of materials on record are irrational.

17. As regard the assertion of the opposite parties that though the petitioner has been acquitted by the criminal court, he cannot escape the civil liability, it may be mentioned that the charge against the petitioner was only theft and not consuming the electrical energy dishonestly. The power Corporation has failed to show that any wrongful loss has been caused to them on account of the acts of the petitioner. There were no dues against the petitioner before the raid was conducted and even after restoration of the electrical energy through a new meter, the petitioner had paid the bills. The Criminal Court had found that the petitioner was not using any excess load over and above the sanctioned limit. The report [Annexure-25 to the writ petition] submitted by the Sub-Divisional Officer regarding load substantiates the petitioner's contention. The SDO has calculated the load being used in the premises of the petitioner was well within the permissible limits of $\pm 10\%$. Therefore, the petitioner cannot be held liable for using the energy more than the sanctioned load. It may be noted that every



administrative decision must be supported by valid reasons. A decision without reasons is vulnerable to be struck down as being without application of mind and arbitrary.

18. For the reasons discussed above, I am of the considered opinion that the impugned order dated 18th March, 2008 passed by the Appellate Authority and the order dated 17th September, 2002 passed by the respondent No. 4 suffers from serious infirmities and is liable to be quashed.

19. Accordingly, the writ petition is allowed. The order dated 18th March, 2008 passed by the Commissioner, Lucknow Division, Lucknow and the order dated 17th September, 2002 passed by the opposite party No. 4 are hereby quashed.

20. As averred above, the petitioner has deposited Rs. 11,58,109/- pursuant to the orders passed by this Court, the said amount shall be refunded to the petitioner within a maximum period of two month from today. In case, any legal amount is outstanding against the petitioner, the same shall be adjusted and thereafter the payment shall be made. In case, the above amount is not refunded within the period prescribed above, the opposite party Nos. 2 to 5 would be liable to pay interest at the rate of ten percent.

21. Petition allowed.

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2017 SCC OnLine All 4594 : (2017) 3 All LJ 267

In the High Court of Allahabad
(BEFORE V.K. SHUKLA AND ASHOK KUMAR, JJ.)

Kalawati Rana

Versus

U.P. Power Corporation Ltd. Thru its M. D7
Chairman and Another

Writ C. No. 9766 of 2017

Decided on March 6, 2017

JUDGMENT

1. Kalawati Rana wife of Sri. Man Singh Thakur is before this Court with the grievance that she has purchased the premises in question from Naresh and Sumesh, but her application for grant of new electricity connection has not at all been entertained on the premises that there is electricity dues against the aforementioned erstwhile owners of the house in question.

2. Petitioner has submitted that she has purchased the house in question from Naresh and Sumesh by way of registered sale deed dated 13.12.2012 and as per the terms and conditions of the sale deed, electricity dues is liable to be paid by the erstwhile owner and petitioner has no liability to pay any due towards electricity charges. Petitioner has proceeded to make a mention that she intended to have new electricity connection, in view of this, she has been approaching the authority concerned, but as there was already electricity connection in the name of Naresh and Sumesh of the said house, and there has been huge outstanding dues of electricity dues against them, in view of this, application of petitioner for grant of new electricity connection is not being entertained and thus petitioner is before this Court.

3. Sri. K.D. Tripathi, learned counsel for the petitioner has contended that once liability inter-se party has been settled in the sale deed, then such liability cannot be fastened upon the petitioner and petitioner cannot be forced to deposit the outstanding dues toward electricity connection of erstwhile owner of the house.

4. Sri. Rahul Pandey, learned counsel for the respondent No. 2 on the other hand contended that as per paragraph 4.1 of the Electricity Supply Code, 2005, 3rd Proviso, in case



of arrears of electricity dues in respect of any of old consumers/premises where ownership has changed, the new connection shall be released to the new owners only after submission of No-Dues Certificate as provided in Clause 4.3(f), and in view of this, it has been contended that whatever objections, and petitioner is obligated to ensure payment.

5. In order to appreciate respective arguments, paragraph No. 4.1 of the Electricity Supply Code, 2005 is being extracted below:—

4.1. Licensee's obligation to supply:— The Licensee shall on an application by the owner or occupier of any premises, located in his area of supply, give supply of electricity to such premises within the one month after receipt of completed application showing payments of necessary charges and other compliance.

Provided where such supply requires extension of distribution mains, or commissioning of new sub-stations, the distribution licensee shall supply the electricity to such premises immediately after such extension or commissioning or within such period as specified by the Commission in Clause 4.8.

Provided also in case of application for supply from a village or hamlet or area wherein no provision for supply of electricity exists, the Commission shall extend the time period for provision of supply appropriately on a case to case basis.

Provided further that in case of arrears of electricity dues in respect of any of old consumers/premises where ownership has changed, the new connection shall be released to the new owners only after submission of No-Dues Certificate as provided in Clause 4.3(f).

And provided that if there are arrears of electricity dues on a premises, a new connection shall not be released to a new applicant/or the old consumer on the same premises. The connection shall also not be released if.

- (i) The applicant (being an individual, is an associate or relative (as defined in Sections 2 and 6 respectively of the Companies Act, 1956) of the defaulting consumer,
- (ii) Or where the applicant being a company or body corporate or association or body of individuals, whether incorporated or not, or artificial juridical person, is controlled, or having controlling of interest in the defaulting consumer, provided, the licensee shall not refuse electric connection on this ground, unless an opportunity to present his case is provided to the applicant and a reasoned order is passed by an officer as designated by the licensee.

6. Perusal of provision quoted above would go to show that on an application being moved by the owner or occupier of any premises, located in his area of supply, licensee is obligated to give supply of electricity to such premises within one month after receipt of contemplated application showing payments of necessary charges and other compliances and further in case of arrears of electricity dues in respect of any of old consumers/premises where ownership has changed, the new connection shall be released to the new owners only after submission of No-Dues Certificate as provided in Clause 4.3 (f).

7. Said statutory provision, has been subject matter of interpretation by Co-ordinate Bench in the case of *Smt. Pawan Jha alias Priya Jha. v. State of U.P.*, (2011) 5 All WC 5176. Relevant paragraph Nos. 2 and 3 are being extracted below:—

2. So far as the first prayer of the writ petition to quash the Clause 4.3 of the U.P. Electricity Supply Code, 2005 as ultra vires is concerned the petitioner has given up the same. However, since the learned counsel made a distinction between transactions amongst two private parties and allotment of flat by Allahabad Development Authority to an individual, and the Allahabad Development Authority was not made party, we have directed to incorporate it as party respondent and serve a notice. Pursuant to such notice, learned counsel appearing for such authority contended that the authority is only empowered to cancel the allotment, in case of default but not to do any thing with regard to supply of electricity. We find so. The recovery of electricity bill amount will be made by the electrical authorities from its consumers. Whether it will be collected from



the consumer for her consumption or for consumption of erstwhile owner/occupier is a matter between themselves. According to us, there is no basic difference in sale and purchase of flat/plot between the two private individuals and allotment of a flat/plot by a development authority to any private individual to that extent. Now, let us consider two recent judgments of the Supreme Court reported in (2009) 1 SCC 210 : AIR 2009 SC 647 (*Paschimanchal Vidyut Vitran Nigam Ltd. v. D v. Steels & Alloys Pvt. Ltd.*) & (2010) 9 SCC 145 : (AIR 2010 SC 3835) (*Haryana State Electricity Board v. Hanuman Rice Mills, Dhanauri*) to decide question of recovery of arrears of electricity charges from the petitioner on account of the erstwhile owner/occupier. The ratio of the first judgment i.e. *Paschimanchal Vidyut Vitran Nigam Ltd.* (supra) is as follows:

“9. The supply of electricity by a distributor to a consumer is ‘sale of goods’. The distributor as the supplier, and the owner/occupier of a premises with whom it enters into a contract for supply of electricity are the parties to the contract. A transferee of the premises or a subsequent occupant of a premises with whom the supplier has no privity of contract cannot obviously be asked to pay the dues of his predecessor in title or possession, as the amount payable towards supply of electricity does not constitute a ‘charge’ on the premises. A purchaser of a premises, cannot be foisted with the electricity dues of any previous occupant, merely because he happens to be the current owner of the premises. The supplier can therefore neither file a suit nor initiate revenue recovery proceedings against a purchaser of a premises for the outstanding electricity dues of the vendor of the premises, in the absence of any contract to the contrary.

10. But the above legal position is not of any practical help to a purchaser of a premises. When the purchaser of a premises approaches the distributor seeking a fresh electricity connection to its premises for supply of electricity, the distributor can stipulate the terms subject to which it would supply electricity. It can stipulate as one of the conditions for supply, that the arrears due in regard to the supply of electricity made to the premises when it was in the occupation of the previous owner/occupant, should be cleared before the electricity supply is restored to the premises or a fresh connection is provided to the premises. If any statutory rules govern the conditions relating to sanction of a connection or supply of electricity, the distributor can insist upon fulfillment of the requirements of such rules and regulations. If the rules are silent, it can stipulate such terms and conditions as it deems fit and proper, to regulate its transactions and dealings. So long as such rules and regulations or the terms and conditions are not arbitrary and unreasonable, courts will not interfere with them.

11. A stipulation by the distributor that the dues in regard to the electricity supplied to the premises should be cleared before electricity supply is restored or a new connection is given to a premises, cannot be termed as unreasonable or arbitrary. In the absence of such a stipulation, an unscrupulous consumer may commit defaults with impunity, and when the electricity supply is disconnected for non-payment, may sell away the property and move on to another property, thereby making it difficult, if not impossible for the distributor to recover the dues. Having regard to the very large number of consumers of electricity and the frequent moving or translocating of industrial, commercial and residential establishments, provisions similar to Clause 4.3(g) and

(h) of Electricity Supply Code are necessary to safeguard the interests of the distributor. We do not find anything unreasonable in a provision enabling the distributor/supplier, to disconnect electricity supply if dues are not paid, or where the electricity supply has already been disconnected for non-payment, insist upon clearance of arrears before a fresh electricity connection is given to the premises. It is obviously the duty of the purchasers/occupants of premises to satisfy themselves that there are no electricity dues before purchasing/occupying a premises. They can also incorporate in the deed of sale or lease, appropriate clauses making the vendor/lessor responsible for clearing the electricity dues up to the date of sale/lease and for indemnity in the event they are made liable. Be that as it may.”



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8. The ratio of the second judgment i.e. *Haryana State Electricity Board* (supra) is as follows:

“12. The position therefore may be summarized thus:

- (i) Electricity arrears do not constitute a charge over the property. Therefore in general law, a transferee of a premises cannot be made liable for the dues of the previous owner/occupier.
- (ii) Where the statutory rules or terms and conditions of supply which are statutory in character, authorize the supplier of electricity, to demand from the purchaser of a property claiming re-connection or fresh connection of electricity, the arrears due by the previous owner/occupier in regard to supply of electricity to such premises, the supplier can re-cover the arrears from a purchaser.”

9. In the later judgment recovery is with regard to other State when the earlier judgment is in respect of State of Uttar Pradesh where clear Rules, Regulations or Bye-laws for recovery of such amount is available. However, principles laid down by the Supreme Court about recovery of dues on account of electricity are more or less identical.

10. In view of the statutory provision that has been holding the field, and in view of the dictum laid down by Co-ordinate Bench, we can not take a contrary view, as such, we are of the view that Electricity Department is absolutely right in not according electricity connection till in consonance with the 3rd Pro viso of the Electricity Supply Code, 2005 “No-Dues Certificate” is produced before authority concerned.

11. Learned counsel for the petitioner at last contended that

whatever electricity dues are mere, recovery citation is in favour of erstwhile owner of the house and she intends to make aforementioned deposit, as such liberty be accorded so mat payments are made and the moment No-Dues Certificate is submitted, men consequential action be undertaken. Consequently, in case entire recovery dues is deposited of erstwhile owner, and authorities on the spot are satisfied mat entire electricity dues has been deposited, then No-Dues Certificate be issued as provided in Clause 4.3.(f) of Electricity Supply Code, 2005 and further follow up action be taken.

12. With the above, writ petition stands dis posed of.

13. *Order accordingly.*

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2016 SCC OnLine All 1179

In the High Court of Allahabad

(BEFORE V.K. SHUKLA AND MAHESH CHANDRA TRIPATHI, JJ.)

Dakshinanchal Vidyut Vitran Nigam Ltd.
Petitioner

v.

Permanent Lok Adalat and Another Respondents

Counsel for Petitioner:- Vishal Mittal

Counsel for Respondent:- S.C., Nitin Kumar Agrawal

Writ - C No. - 11612 of 2015

Decided on December 20, 2016

1. Dakshinanchal Vidyut Vitran Nigam Limited through its Executive Engineer, Electricity Urban Distribution Division-I, U.S. Jain Road, Baradwari, Aligarh is before this Court, assailing the validity of the order dated 17.12.2014 passed by two members of permanent Lok Adalat in P.L.A. Case No. 51 of 2014 (*Sunil Kumar son of Jang Bahadur Singh v. Executive Engineer, Vidyut Shehri Vitran Khand Pratham, Aligarh* in exercise of authority under Section 22 (C) 4 of the Legal Service Authority Act, 1987.

2. Brief background of the case is that Sunil Kumar son of Jung Bahadur Singh has proceeded to move an application for grant of permanent electricity connection of 5 Kilowat LMV-6, and the said request in question had been turned down. Petitioner in such a situation and in this background on account of refusal of permission, filed complaint before Permanent Lok Adalat, Aligarh. In the said proceeding in question, written submission have been filed highlighting earlier conduct of the petitioner in reference of procuring connection based on fictitious document. The Permanent Lok Adalat endeavoured to get matter resolved in terms of the provision as contained under Section 22(C) 4 of the Legal Services Authority, Act, 1987 and as resolution failed, this much fact is reflected that thereafter Chairman has proceeded to dis-own the claim in question, but two members have proceeded to pass order directing therein that in the event of indemnity bond being furnished, electricity connection be provided.

3. On the presentation of the writ petition, this Court has proceeded to pass interim order on 25.02.2015 and thereafter, counter affidavit has been filed by Sunil Kumar Singh before this Court wherein mention has been made that department has no right to refuse to supply electricity connection in consonance with the provision as contained under Section 43(1) of Electricity Act, 2003 and further answering

respondent is ready to furnish indemnity bond as is required by the Department for grant of new electricity connection under the provision of U.P. Electricity Supply Code, 2005, and in view of this order/action that has been so taken is not at all arbitrary rather same is in consonance with law.

4. To the said counter affidavit, rejoinder affidavit has been filed, disputing the averments mentioned in the counter affidavit and reiterating that of writ petition and mentioning that award passed, is *per se* bad.

5. After pleadings mentioned above have been exchanged, thereafter, present writ petition has been taken up for final hearing/disposal with the consent of the parties.

6. Sri. Amresh Kumar Tiwari, Advocate, holding brief of Sri. Vishal Mittal, Advocate as well as Sri. Kamal Kesarwani, Advocate, holding brief of Sri. Baleshwar Chaturvedi, Advocate contended with vehemence that in the present case Permanent Lok Adalat cannot proceed to issue directions that were contrary to the provision as contained in Electricity Act, 2003 read with Clause 4.4 of U.P. Electricity Supply Code, 2005, in such a situation and in this background order in question is totally without jurisdiction and is a case of transgression and usurpation of jurisdiction, whereas the provisions of Electricity Act, 2003 read with the provisions of U.P. Electricity Supply Code, 2005 are self-sufficient.

7. Sri. Nitin Kumar Agrawal, learned counsel for the respondent no. 2 on the other hand contended that petitioner is occupier of the premises in question and is prepared to fulfil pre requisite terms and conditions as is provided for in Electricity Act, 2003 read with Clause 4.4 of U.P. Electricity Supply Code, 2005, and in view of this, requisite relief has rightly been accorded by the Permanent Lok Adalat and accordingly, in the facts of case no interference is required.

8. After respective arguments have been advanced, at the very outset we proceed to consider the arguments advanced that once Electricity Act is complete code, in view of this, proceeding would not at all be maintainable.

9. Apex Court in the case of *Bar Council of India v. Union of India* (2012) 8 SCC 243 has taken the view that provision of Permanent Lok Adalat has been introduced as an alternative institutional mechanism under Chapter VI-A with regard to the dispute concerning public utility services with the intent to provide speedy and efficacious remedy to secure justice. Said judgement also proceeds to take note of the fact that Permanent Lok Adalat initially makes attempt to get dispute settled by settlement and in case settlement fails, then Permanent Lok Adalat is free to decide the same on merit. Apex Court has also clarified that Legal Services Act, 1987 does not in any way take away

jurisdiction of other fora created under special statutes. Permanent Lok Adalat are in addition to and not in derogation of fora created under special statutes.

10. Once electricity connection has been refused to the petitioner, then petitioner has legal right to approach the permanent Lok Adalat and in view of this, there has been no lack of authority in entertaining the matter.

11. Coming to the merit of the case, at the outset we may make a mention that Electrical undertakings have acquired the character of public utility by reason of their monopolistic position. The State in exercise of its legislative power has enacted the Electricity Act 2003 to consolidate the laws relating to generation, transmission, distribution, trading and use of electricity and generally for taking measures conducive to development of electricity industry as also to protect the interest of consumers and supply of electricity to all areas. The same is fully reflected from the statement of objects and reasons of Electricity Act, 2003. Section 43 of the Act cast duty upon licensee to supply electrical energy on request. Sub-section (1) of the said section reads as under:

“43. Duty to supply on request. - (1) Every distribution licensee, shall, on an application by the owner or occupier of any premises, given supply of electricity to such premises, within one month after receipt of the application requiring such supply:

Provided that where such supply requires extension of distribution mains, or commissioning of new sub-stations, the distribution licensee shall supply the electricity to such premises immediately after such extension or commissioning or within such period as may be specified by the Appropriate Commission:

Provided further that in case of a village or hamlet or area wherein no provision for supply of electricity exists, the Appropriate Commission may extend the said period as it may consider necessary for electrification of such village or hamlet or area.

It shall be the duty of every distribution licensee to provide, if required, electric plant or electric line for giving electric supply to the premises specified in sub-section (1):

Provided that no person shall be entitled to demand, or to continue to receive, from a licensee a supply of electricity for any premises having a separate supply unless he has agreed with the licensee to pay to him such price as determined by the Appropriate Commission.

(3). If a distribution licensee fails to supply the electricity within the period specified in sub-section (1), he shall be liable to

a penalty which may extend to one thousand rupees for each day of default.

12. A bare reading of the provisions of the Electricity Act, 2003 would go to show that every distribution licensee is under an obligation not only to develop but also to maintain efficient, coordinated and economical distribution system in the area of its supply. The provision of Section 43 of the Electricity Act casts a statutory duty upon the distribution licensee to supply electricity not only to owner but also occupier of premises located within the limits of the area of its supply subject to an application being made by owner or occupier in this regard and correspondingly the owner or occupier of any premises, as the case may be, has statutory right to obtain such electricity supply from the distribution licensee, subject to completion of formalities provided for the purpose.

13. Electricity Supply Code, 2005 reference of which has been made by learned counsel for the respondents to contend that electricity connection cannot be granted without consent from the owner enforced in 2005 details out the obligations and counter obligations of the licensee and consumers vis-a-vis each other and specifies the set of practices to provide efficient, cost effective and consumer friendly service to the consumers. Under Clause 2.2 (oo) of 2005 Code 'Occupier' means the owner or authorized person in occupation of the premises where energy is used or proposed to be used. Clause 4.4 prescribes procedure for processing of application for supply. Clause 4.4 (a) which is relevant for the purpose of the present case reads as under:

"4.4. Processing of Application for Supply.

(a) Application for new connections, in prescribed form (Annexure 4.1) and complete in all respects and accompanied by the prescribed Registration-cum-processing fee, shall be filed in duplicate in office, specified by the Licensee, along with attested true copies of the following documents:

- (I) Proof of ownership of the premises in the form of registered sale deed or partition deed or succession or heir ship certificate or deed of last will or proof of occupancy such as valid power of attorney or latest rent paid receipt or valid lease deed or indemnity form as per Annexure 4.2. Order copy of appropriate court, in case of litigation regarding ownership of the premises, has to be enclosed.
- (ii) Approval/permission/NOC of the local authority, if required under any law/statute.
- (iii) In case of a partnership firm, partnership deed.
- (iv) In case of a Limited Company, Memorandum, articles of

Association, Certificate of incorporation and list of Directors/certificate addresses.

Owner's consent for getting new supply connection (Annexure 4.3).

Reference at this stage may also be made to the relevant annexure of Electricity Supply Code 2005. Annexure 4.3 in reference to clause 4.4 is a formate of owner consent for getting new supply connection. Annexure 4.2 in reference to clause 4.4 is a form of indemnity bond which is to be given in case the intending consumer is not the owner of the premises. The same is reproduced herein below:

ANNEXURE 4.2

(Ref. Clause 4.4)

This form is available free of cost

INDEMNITY BOND

(If the intending consumer is not the owner of the premises) to

From _____Engineer, _____

Whereas the land/premises detailed hereunder, belongs to Sri./Smt. _____and I am only lessee/tenant/occupier of the said land/premises where I have applied for the electricity connection the said/premises and I am not able to obtain the consent of Sri./Smt.....but produced the proof of occupancy, i. e. valid power of attorney/latest rent paid receipt/registered lease deed.

Thereto I, in consideration of the grant of electricity connection to me on the conditions of supply for which I have executed the Agreement, further agree to indemnify and keep harmless the Licensee from all damages and claims whatsoever, including costs of suit, original petitions and all manner of legal or other proceedings that the Licensee may incur or likely to incur on account of any action of threat by or at the instance of the owner of the said Land/premises (whether such owner be the said Sri./Smt. _____or any other). I also further agree that such loss, damages and any other claim resulting out of the electricity connection being given to me without the consent of the owner of the land/premises are also recoverable from me and my properties under the provisions of the Revenue Recovery Act, in force at the time of such recovery, or by such other proceedings as the Licensee may deem fit to initiate.

I hold myself answerable to costs of such recoveries and proceedings also.

Place

Date

Witnesses Signature of lessee/tenant/occupier

(1)

(2)

Section 43 of the Act enjoins a duty upon the licensee not only to supply electrical energy on an application in this behalf not only by a owner of a premises but also a occupier which has been defined under the Code 2005 to include any authorized person in occupation of the premises. A tenant would be an authorized person in occupation of a premises.

14. A perusal of Annexure 4.2 goes to show that the purpose obvious from the reading of the aforesaid form is to indemnify the licensee for any loss that may accrue on account of any act of a person in occupation of the building though he may not be owner. A perusal of Clause 4.4 of the Code 2005 goes to show that indemnity form as per annexure 4.2 can also be filed along with an application for new connection. Thus, the Code 2005 provides either for consent letter of owner of the premises or in the absence thereof indemnity bond by the lessee/tenant or occupier of the premises. Intention is, thus, clear that either there should be owner's consent to indemnify the licensees in case the tenant/lessee or occupier vacates and vanishes without leaving his address or in the alternative tenant/lessee or occupier may give an undertaking indemnifying any loss or damage to licensee on account of electricity connection being given to him without the consent of the owner of the land or premises making it recoverable from him and his property under the provisions of the Revenue Act in force at the time of such recovery, or by such other proceedings as the Licensee may deem fit to initiate. In the absence of landlords consent, the lessee/tenant/occupier in proof of occupancy is required to produce valid power of attorney/latest rent paid receipt/registered lease deed.

15. On the parameter of the provisions that have been quoted above, case in hand is being examined and what we find from the record in question is that inter-se petitioner and his family members in reference of the property, there is already on going civil proceeding, being Civil Suit No. 533 of 2014 (*Sunil Kumar v. Jung Bahadur*) before the Civil Judge (Senior Division), Aligarh wherein petitioner is claiming his right over the property in questing, whereas, said property has been in the name of father of petitioner, namely Jang Bahadur.

16. Once such has been the factual situation that petitioner is not at all owner of the premises in question, then electricity connection can be provided only when incumbent fulfils pre requisite terms and conditions as provided for in the Electricity Act, 2003 read with Clause 4.4 of U.P. Electricity Supply Code, 2005, and an incumbent who claims that he is not owner but occupier of the premises in question. then in the absence

of there being proof of ownership, in order to get electricity connection, as proof of occupancy he is obliged to produce valid power of attorney or latest rent paid receipt or valid lease deed and indemnity form as per Annexure 4.2 so that authorities on the spot can proceed with the scrutiny of the application of the petitioner for granting electricity connection. Here, authorities concern on the spot have scrutinized the application form of the petitioner, and have proceeded to turn down the request of the petitioner on the premises that documents that are required to be appended for proof of occupancy has not been filed whereas same is required even upon filing of indemnity bond.

17. Once all these terms and conditions are lacking and missing, dispute in question is admittedly pending between father and son, and property is in the name of father, then certainly Permanent Lok Adalat was not at all entitled under law to ask the authority to act contrary to law.

18. In view of this, order impugned dated 17.12.2014 passed by the Two Member Committee of Lok Adalat is not at all approved of, same is hereby quashed and set aside. However passing of this order will not come in the way of petitioner to move an application for grant of electricity connection strictly in consonance with the provision as contained in Electricity Act, 2003 read with Clause 4.4 of U.P. Electricity Supply Code, 2005.

19. With the above, present writ petition stands allowed.

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2013 SCC OnLine All 10200

(BEFORE ASHOK BHUSHAN AND VIPIN SINHA, JJ.)

Barnala Steel Industries Ltd. Petitioner

v.

Pashchimanchal Vidyut Vitran Nigam Ltd. and Anr. .

.... Respondents

Counsel for Petitioner:- Bidhan Chandra Rai

Counsel for Respondent:- N. Mishra

Writ - C No. - 58763 of 2013

Decided on October 31, 2013

Hon'ble Ashok Bhushan, J.

Hon'ble Vipin Sinha, J.

Heard Sri B.C. Rai, learned Counsel for the petitioner and Sri Nripendra Mishra, learned Counsel for the respondents.

Counter affidavit has been filed and with the consent of learned counsel for the parties, the writ petition is being finally decided.

By this writ petition, the petitioner has prayed for quashing the order dated 25.5.2013 to the extent by which the petitioner has been asked to furnish bank guarantee for additional security amount.

Learned Counsel for the petitioner submits that the petitioner has submitted an application for enhancement of load which has been accepted and the impugned order dated 25.5.2013 has been issued. He submits that the petitioner is ready to comply with the other conditions of the letter dated 25.5.2013 except the demand of bank guarantee for additional security amount of Rs. 2,66,70,160/-. Learned Counsel for the petitioner further submits that the petitioner's case is fully covered by the Division Bench judgment of this Court in 2009 (9) ADJ 19 *Tehri Girders Limited v. Paschimanchal Vidyut Vitran Nigam Ltd.*

Learned Counsel for the respondent submits that bank guarantee has been demanded for the amount of additional security which is due on the petitioner. Learned Counsel for the petitioner has referred to the averments made by the petitioner in paragraphs 14 and 15 of the writ petition in which it has been pleaded that the demand of bank guarantee for additional security cannot be raised since it is not a dues within the meaning of paragraph 4.49 of Electricity Supply Code, 2005.

It has been further stated that against the Division Bench judgment in *Tehri Girders Ltd.* (Supra) no Special Leave Petition has been filed. The said paragraphs have been replied by the respondents in paragraph 9 of the counter affidavit, in which no specific reply has been given. The Division Bench in *Tehri Girders Ltd.* (supra) fully supports the contentions of the learned Counsel for the petitioner. The Division Bench in paragraph 30 of *Tehri Girders Ltd.* (supra) has laid down following:

“Clause 4.49 of the U.P. Electricity Supply Code 2005, as noted above, uses the words “recovery of any dues”, which clearly mean that the dues must be recoverable by any process as provided under the Electricity Act, 2003 or the U.P. Electricity Supply Code 2005. As noticed above, the scheme of the Act and the Code does not indicate that any process for recovery of additional security is contemplated or provided for because of the reason that the consequences for non deposit of additional security has been clearly provided in the Act itself. The payment of additional security being condition for release of additional load, in the event it is not paid the additional load is not to be released and further supply can be discontinued. No more is contemplated with regard to non payment of additional security. Thus it is held that additional security to be deposited by the petitioners cannot be treated to be any dues, which is to be recovered from the petitioners. In view of the above, Clauses 4.49 of U.P. Electricity Supply Code 2005 is not attracted and the demand by the respondents of giving bank guarantee for the amount of additional security, which has been stayed by this Court in different writ petitions is unjustified.”

In the above view of the matter, we are of the view that the demand of bank guarantee for the amount of additional security as noted above, is not in accordance with law laid down by this Court in *Tehri Girders Ltd.* (Supra). We however, clarify that the petitioner shall comply with the other conditions of the letter dated 25.5.2013 by which bank guarantee for additional load has been sanctioned.

With the aforesaid direction, the writ petition is disposed of.

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2014 SCC OnLine All 10821

(BEFORE KRISHNA MURARI AND ASHWANI KUMAR MISHRA, JJ.)

Usha Devi Petitioner

v.

State of U.P. & 2 Others Respondent

Counsel for Petitioner:- Sanjeev Kumar Mishra

Counsel for Respondent:- C.S.C., Baleshwar Chaturvedi

Writ - C No. - 34063 of 2014

Decided on July 10, 2014

Hon'ble Krishna Murari, J.

Hon'ble Ashwani Kumar Mishra, J.

Heard learned counsel for the petitioner and Sri Baleshwar Chaturvedi, who has accepted notice on behalf of the respondent-corporation.

The petitioner has approached this court seeking a writ of mandamus to command the respondent authorities permitting payment of the electricity dues amounting to Rs. 1,37,472/- in easy installments.

Perusal of the record shows that the petitioner had obtained an electricity connection having no. 1408103000 for her residential house. On account of certain financial distress, the petitioner could not pay the regular electricity bills issued by the respondents. The respondent-corporation has initiated recovery proceedings for recovery of outstanding electricity dues for a sum of Rs. 1,37,472/-. Learned counsel for the petitioner submits that the petitioner is ready and willing to deposit the outstanding electricity dues in easy installments.

Clause 6.14 of the U.P. Electricity Supply Code, 2005 provides for installment facility, the same is read as under:-

"6.14. Installment Facility:

(i) The Licensee may extend the facility of instalments to those consumers only who are in financial distress. However, no waiver of surcharge shall be allowed.

(ii) No officer below the rank of Executive Engineer shall grant installments. The Executive Engineer/DGM/and General Manager can grant up to maximum of two, three or four monthly installments respectively. However, first installment shall not be less than 40% of

the total amount. Where the amount for installments exceeds Rs. 10,000 (Ten thousand), the consumer shall be asked to deposit post dated cheques of the installments to the Licensee."

Thus, the U.P. Electricity Supply Code, 2005 itself contains a provision for payment of outstanding dues in installments, in deserving cases. In such circumstances, the writ petition is disposed of with liberty to the petitioner to make an application before the appropriate authority in accordance with the provisions of Clause 6.14 of the U.P. Electricity Supply Code, 2005 within a period of three weeks along with a certified copy of this order. In case, such application is made by the petitioner, the appropriate authority is directed to decide the same by taking sympathetic view in the matter and by passing a speaking and reasonable order within a further period of three weeks from the date of making of such application. The respondent authorities are directed not to adopt coercive steps against the petitioner for recovery of the outstanding dues for a period of two months or till the disposal of application of the petitioner, whichever is earlier.

The writ petition stands disposed of.

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2009 SCC OnLine All 1262 : (2009) 77 ALR 669 (All) : (2010) 1
All LJ 59 : 2010 AIHC 663

In the High Court of Allahabad
(BEFORE ASHOK BHUSHAN AND R.A. SINGH, JJ.)

Civil Misc. Writ Petition No. 38 of 2009

Tehri Girders Limited and another ... Petitioners;

Versus

Paschimanchal Vidyut Vitran Nigam Limited and
others ... Respondents.

With

Civil Misc. Writ Petition No. 27186 of 2009

R.A. Castings (Pvt.) Limited ... Petitioner;

Versus

Paschimanchal Vidyut Vitran Nigam Limited and
others ... Respondents.

With

Civil Misc. Writ Petition No. 24557 of 2009

Sikka Papers Limited ... Petitioner;

Versus

Paschimanchal Vidyut Vitran Nigam Limited and
others ... Respondents.

With

Civil Misc. Writ Petition No. 41222 of 2009

Parijat Paper Mills Ltd. ... Petitioner;

Versus

Paschimanchal Vidyut Vitran Nigam Limited and
others ... Respondents.

With

Civil Misc. Writ Petition No. 32452 of 2009

Mahalaxmi Krafts and Tissues Pvt. Ltd. and another
... Petitioners;

Versus

Paschimanchal Vidyut Vitran Nigam Limited and
others ... Respondents.

Civil Misc. Writ Petition No. 38 of 2009; Civil Misc. Writ Petition No.
27186 of 2009; Civil Misc. Writ Petition No. 24557 of 2009; Civil
Misc. Writ Petition No. 41222 of 2009; and Civil Misc. Writ Petition

No. 32452 of 2009

Decided on October 15, 2009

Advocates who appeared in this case :

Sri Mayank Agarwal, learned counsel for the petitioners in rest of the writ petitions.

Sri Ravi Kant, Senior Advocate, assisted by Sri Pankaj Kumar Shukla has been heard for the Paschimanchal Vidyut Vitran Nigam Limited.

Sri B.C. Rai, learned counsel for the petitioners in first two writ petitions.

The Judgment of the Court was delivered by

ASHOK BHUSHAN, J.:— All these writ petitions raise common issues and have been heard together. Pleadings are complete in Writ Petition No. 38 of 2009, which is treated to be leading writ petition. Counsel for the parties agree that all the writ petitions be finally decided.

2. The facts of Writ Petition No. 38 of 2009 are to be noted in some detail. The contracted load of the petitioners in the year 2007 was 5650 KVA. The petitioners made an application on 16.11.2007 for sanction and release of additional load of 2700 KVA. An order dated 25th February, 2008 was issued by the respondents sanctioning additional load. The order further required that additional security of Rs. 67,38,050/- is required to be given with regard to which bank guarantee be submitted. The petitioners claim to have protested against the demand of additional security, which has already been stayed by this Court in Writ Petition No. 53238 of 2006. The petitioner was asked to submit bank guarantee and in the meantime respondent No. 2 stated that he would seek clarification in the matter. The petitioner submitted the bank guarantee on 4th April, 2008. The petitioner subsequently moved an application on 26th May, 2008 for release of the bank guarantee. A writ petition being Writ Petition No. 50353 of 2008 was filed questioning the demand of the bank guarantee, which was disposed of on 24th September, 2008 directing the Executive Engineer to pass appropriate order on the petitioners' representation in accordance with law. An order dated 17th November, 2008 has been issued by respondent No. 2 deciding the representation refusing to release the bank guarantee. The Executive Engineer has referred to letter dated 6th October, 2008 of State Electricity Regulatory Commission clarifying that in case additional security is not deposited, the same will come within the category of arrear. Reliance was placed on Clause 4.49 of U.P. Electricity Supply Code 2005. The petitioners have filed the present writ petition (first writ petition) for following relief:—

“a) issue a writ, order or direction in the nature of certiorari calling for the records and to quash the letters/orders dated 06.10.2008

and 17.11.2008 (Annexure Nos. 6 and 6 to the writ petition) issued by the Respondent Nos. 4 and 2.

- b) issue a writ order or direction in the nature of certiorari declaring that the Note No. 2 of office memorandum dated 25.02.2008 (Annexure No. 1 to the writ petition) in so far it requires the petitioners to submit bank guarantee equivalent to the amount of additional security already stayed by the Hon'ble Court as totally illegal and to quash the same same and the Respondent No. 2 be directed to release the bank guarantee in favour of the petitioners."

3. A counter affidavit has been filed by the Corporation reiterating the stand taken in the letter dated 17th November, 2008. It has been submitted that the petitioners themselves have submitted the bank guarantee. Letter dated 6th October, 2008 of State Electricity Regulatory Commission has been referred to. It has been stated that letter dated 25th February, 2008 itself contemplates that if there are any dues on the consumer, the consumer shall submit bank guarantee of equal amount of pending dues. A rejoinder affidavit has been filed by the petitioners reiterating the stand taken in the writ petition. It has been pleaded that Clause 4.49 is applicable in so far as it relates to dues of electricity and it cannot be applied in case of security/additional security.

4. The facts of Writ Petition Nos. 27186 of 2009 as well as 24557 of 2009 are almost similar. In Writ Petition No. 27186 of 2009 letter dated 12th February, 2009 by which petitioner was asked to renew the bank guarantee, has been challenged along with challenging the Note No. 2 of the office memorandum dated 25th February, 2008 requiring the petitioner to furnish bank guarantee for release of additional load. In Writ Petition No. 24557 of 2009 the order dated 22nd September, 2008 (Annexure-4 to the writ petition) has been challenged by which the petitioner was asked to deposit bank guarantee for additional security of Rs. 27.67 lacs with regard to which writ petition is pending in the High Court.

5. In Writ Petition No. 41222 of 2009 order dated 22nd July, 2009 has been challenged by which order the petitioner has been asked to submit bank guarantee with regard to; (a) an amount of Rs. 13,56,502.00 (load factor rebate) and (b) an amount of Rs. 46,08,600/- (additional security). Writ Petition No. 32452 of 2009 has been filed challenging Clause No. 4 of the order dated 29th June, 2009 by which the petitioner was asked to submit bank guarantee with regard to an amount of Rs. 13,31,106/-, which amount relates to withdrawal of load factor rebate.

6. From the facts noted above, it is clear that in all the above writ petitions except Writ Petition No. 41222 of 2009 the bank guarantee

has been demanded for sanction of additional load for an amount which has already been stayed by this Court in different writ petitions filed by the petitioners.

7. Sri B.C. Rai, learned counsel for the petitioners, challenging the orders impugned raised following submissions in support of the writ petitions:—

(1) The additional load has been applied for and sanctioned in accordance with Clauses 4.43 and 4.49 of U.P. Electricity Supply Code 2005. The demand of additional security is not any dues on the petitioners, rather it is an additional security demanded under Section 47 of the the Electricity Act, 2003, which is in nature of advance payment to cover up the electricity charges for certain months. The additional security being not dues on the petitioners, Clause 4.49 of the the Electricity Act, 2003 is not applicable and no bank guarantee can be demanded from the petitioners. The order demanding bank guarantee is not in accordance with the provisions of the Electricity Act, 2003 and U.P. Electricity Supply Code 2005. The security/additional security is nothing but an amount under sub-section (1) of Section 47 read with Clause 4.20 of U.P. Electricity Supply Code 2005 as an advance consumption deposit and in case a person desires not to take supply it is refunded after making adjustment of outstanding arrears if any. The distribution licensee is obliged to pay interest on security/additional security.

(2) The additional security is not recoverable as a dues since the distribution licensee has right to refuse to give supply or to disconnect the power supply in the event security/additional security has not been deposited by a consumer. The arrears of electricity dues is recoverable as arrears of land revenue whereas additional security being not a arrear is not recoverable as arrears of land revenue.

(3) A Division Bench of this Court in the case of *Mirzapur Electric Supply Company Limited v. The State of U.P.* reported in A.I.R. 1975 (All.) 29 while considering similar provisions of Electricity Supply Act, 1948 has laid down that security is not owed as a debt to the electricity board and it is only an amount demanded as a condition to the supply. It is submitted that the law as laid down by the Division Bench of this Court in the said case is fully applicable and the amount of additional security cannot be treated as “dues”. The letter dated 6th October, 2008 relied by the respondents is not an order issued by State Electricity Regulatory Commission but is an order issued by the Director (Licensing) State Electricity Regulatory Commission, who is not authorised to issue any order on behalf of the Commission. The letter dated 6th October, 2008 is on misconception that non deposit of additional security falls under

arrears.

8. Sri Mayank Agarwal, learned counsel appearing for the petitioners in last three writ petitions, has also adopted the submissions made by Sri B.C. Rai and has further submitted that there is difference between security/additional security and the dues/arrears. It is submitted that Clause 4.49 is not attracted. Reliance has been placed on the Division Bench judgment of this Court in *Mirzapur Electric Supply's case* (supra), and in the case of *M.P. State Electricity Board v. Gras Industries Ltd.* reported in A.I.R. 2008 S.C. 433 and in the case of *State of Kerala v. V.R. Kalliyankutty* reported in (1999) 3 SCC 657.

9. Sri Ravi Kant, Senior Advocate, appearing for the respondents, refuting the submission of counsel for the petitioners, contended that Clause 4.49 is fully applicable since the deposit of security is mandatory and petitioners having deposited the security unconditionally they cannot be heard challenging the demand. He, however, submits that reliance on Clause 4.49 of U.P. Electricity Supply Code 2005 is misplaced. The additional security is not an arrear but a mandatory deposit. He submits that additional load was sanctioned on consent given by the petitioners. He further submits that representation of the petitioner in Writ Petition No. 38 of 2009 has rightly been rejected after considering all relevant facts and the order contains valid reasons, which does not warrant any interference in exercise of writ jurisdiction.

10. We have considered the submissions of learned counsel for the parties and have perused the record.

11. The principal issue, which has arisen for consideration in these writ petitions, is as to whether for a demand of additional security, which has already been stayed by this Court in different writ petitions filed by the petitioners, the demand of bank guarantee for an equal amount is in accordance with the provisions of the Electricity Act, 2003 and U.P. Electricity Supply Code 2005?

12. Before we proceed to consider the respective submission, it is necessary to look into the relevant provisions of the Electricity Act, 2003 and U.P. Electricity Supply Code 2005.

13. Part-VI of the Electricity Act, 2003 deals with distribution of electricity. Section 45 provides for power to recover charges, Section 46 relates to power to recover expenditure and Section 47 deals with power to require security. Sections 45, 46 and 47 of the Electricity Act, 2003 are quoted below:—

45. *Power to recover charges.*— (1) Subject to the provisions of this section, the prices to be charged by a distribution licensee for the supply of electricity by him in pursuance of section 43 shall be in accordance with such tariffs fixed from time to time and conditions

of his licence.

(2) The charges for electricity supplied by a distribution licensee shall be—

- (a) fixed in accordance with the methods and the principles as may be specified by the concerned State Commission;
- (b) published in such manner so as to give adequate publicity for such charges and prices.

(3) The charges for electricity supplied by a distribution licensee may include—

- (a) a fixed charge in addition to the charge for the actual electricity supplied;
 - (b) a rent or other charges in respect of any electric meter or electrical plant provided by the distribution licensee.
- (4) Subject to the provisions of section 62, in fixing charges under this section a distribution licensee shall not show undue preference to any person or class of persons or discrimination against any person or class of persons.

(5) The charges fixed by the distribution licensee shall be in accordance with the provisions of this Act and the regulations made in this behalf by the concerned State Commission.

46. *Power to recover expenditure.*— The State Commission may, by regulations, authorise a distribution licensee to charge from a person requiring a supply of electricity in pursuance of section 43 any expenses reasonably incurred in providing any electric line or electrical plant used for the purpose of giving that supply.

47. *Power to require security.*— (1) Subject to the provisions of this section, a distribution licensee may require any person, who requires a supply of electricity in pursuance of section 43, to give him reasonable security, as determined by regulations, for the payment to him of all monies which may become due to him—

- (a) in respect of the electricity supplied to such persons; or
- (b) where any electric line or electrical plant or electric meter is to be provided for supplying electricity to person, in respect of the provision of such line or plant or meter, and if that person fails to give such security, the distribution licensee may, if he thinks fit, refuse to give the supply or to provide the line or plant or meter for the period during which the failure continues.

(2) Where any person has not given such security as is mentioned in subsection (1) or the security given by any person has become invalid or insufficient, the distribution licensee may, by notice, require that person, within thirty days after the service of the notice, to give him reasonable security for the payment of all monies which may become due to him in respect of the supply of electricity or

provision of such line or plant or meter.

(3) If the person referred to in sub-section(2) fails to give such security, the distribution licensee may, if he thinks fit, discontinue the supply of electricity for the period during which the failure continues.

(4) The distribution licensee shall pay interest equivalent to the bank rate or more, as may be specified by the concerned State Commission, on the security referred to in sub-section (1) and refund such security on the request of the person who gave such security.

(5) A distribution licensee shall not be entitled to require security in pursuance of clause (a) of sub-section (1) if the person requiring the supply is prepared to take the supply through a pre-payment meter.

14. The U.P. Electricity Supply Code 2005 has been framed under Section 181 of the Electricity Act, 2003. Clause 4.20 of the U.P. Electricity Supply Code 2005 provides for security deposit. Clause 4.20 of the Supply Code is quoted below:—

“4.20. Security Deposit

- (a) [A security deposit to cover the estimated power consumption for two months shall be made by all consumer/applicant.
- (b) The estimated consumption and security deposit amount for different categories of new consumers shall be determined by the Licensee with the approval of the Commission.
- (c) In case of enhancement of load, only additional security to cover the additional load (Load after enhancement minus existing load) shall need to be deposited.
- (d) *Deleted*
- (e) The Licensee may give notice to any consumer for deposit of additional security deposit if:
 - (i) The security deposit falls short of covering the estimated power consumption bill for 2 months based on his average monthly consumption for the preceding financial year.
 - (ii) In case of a new connection, additional security shall be demanded only after completion of one full financial year.
 - (iii) Only when the required additional security deposit payable by the consumer exceeds 10% of the existing security deposit, a demand for additional security deposit, shall be made.
 - (iv) The security deposit is reduced due to adjustment of outstanding dues.
 - (v) Security deposit has become invalid or insufficient due to any other reason.

- (f) [The consumer shall deposit the additional security within 30 days after the service of the notice. If a person fails to give such security, the Licensee may discontinue supply of electricity for period during which failure continues. However, a maximum of three instalments, if considered prudent by the licensee, may be permitted.]
- (g) If the existing security deposit is found to be in excess of more than 20% of the required security deposit, refund of the excess amount shall be made by adjustment in the ensuing bills within three billing cycles to the consumer.
- (h) The security deposit shall be returned to consumer, upon termination of the agreement & finalization of permanent disconnection, and after adjustment of all dues, within 30 days. However, if the delay in payment exceeds 90 days, interest at bank rates of Reserve Bank of India, shall be payable to the consumer. In this regard it shall be the responsibility of the licensee to keep a watch on the bank rate from time to time.
- (i) The Licensee shall pay interest on security deposit to the consumers at bank rate as on 1st April of applicable financial year by way of credit in the bill of the consumer in the months of April, or May or June as per the applicable billing cycle. However, no interest shall be payable if the deposit is not made by way of cash, cheque or bank draft. The interest rates are subject to change as per the tariff orders of Commission from time to time.]
- (j) The amount of security deposit shall be accepted in parts according to the phasing agreed for release of load in case of “*Phased Contract Demand*”. The subsequent additional security amount shall be deposited 30 days prior to the release of additional load.

15. The Licensee shall energise no connection until the requisite security amount has been deposited by the applicant/consumer.

16. A distribution licensee shall not be entitled to require security in pursuance of this section, if the person requiring the supply is prepared to take the supply through a prepayment meter, as and when distribution licensee provides a choice to consumer to opt for supply through pre-payment meter.”

17. Paragraph 4.43 of U.P. Electricity Supply Code 2005 deals with enhancement of load. In the present case all the petitioners have made application for enhancement of the load. Paragraph 4.43(a), which is relevant for the purpose, is quoted below:—

“4.43 *Enhancement of Load for cases other than Public Lighting:*

- (a) Applications for enhancement of load shall be filed in duplicate

to the concerned sub divisional officer of the Licensee in the prescribed form (Annexure 4.10) along with the following:

- (i) Prescribed Registration-cum-processing fee as approved by the Commission from time to time.
- (ii) Work completion certificate and Test report from a LEC (Licensed Electrical Contractor).
- (iii) Letter of approval from the Electrical inspector, if required.
- (iv) Copy of the paid, latest electricity bills/arrears due.
- (v) If matter related to dues is stayed by court, the procedure as per clause 4.49 may be followed.
- (vi) [Addendum to the Agreement to act as supplementary to the main agreement duly filled and signed by the consumer.]

18. Clause 4.43(v) states that if matter related to dues is stayed by the court, the procedure as per clause 4.49 may be followed. Paragraph 4.43 sub-clause (e) provides as under:—

“(e) The application for enhancement of the sanctioned load will not be accepted if the consumer has any arrears of the licensee's dues.”

19. In the present case the respondents have demanded additional security referring to Clause 4.43(a)(v) read with Clause 4.49. Clause 4.49, which is relevant for the purpose, is as under:—

“4.49 *Permanent disconnection/Release of Connection/Enhancement and Reduction of Load where arrears disputed are stayed by Court/other forums:*

20. Where there is a stay order by any Court, Forum Tribunal, or by Commission, staying the recovery of any dues by licensee, and during the operating period of any such order—

- (i) If a consumer sells a premises and an application for release of new connection is made by the purchaser; or
- (ii) If any application for new connection, reconnection, enhancement or reduction of load is made by a consumer; or
- (iii) If any application for permanent disconnection is made by a consumer the licensee shall release the new connection to such consumer and also permit reconnection, reduction or enhancement of Loads, as well as allow permanent disconnection, subject to:—

- submission of Bank Guarantee to the satisfaction of licensee, of equivalent amount of pending dues, by the applicant or owner, and,
- agreement with licensee on terms of extension/invoking of guarantee, and

- levy of surcharge amount on pending dues, and the application of such consumers shall not be kept pending by the licensee.”

21. The relevant words in Clause 4.49, which makes the clause applicable, are “where there is a stay order by any Court, Forum Tribunal, or by Commission staying the recovery of any dues....” The condition precedent for applicability of Clause 4.49 is recovery of any dues. The question to be considered is as to whether the demand of additional security can be treated to be any dues. It is necessary to look into the nature and character of additional deposit by way of additional security before it can be decided as to whether additional security is a dues or not. Sub-clause (1) of Section 47 of the Electricity Act, 2003 provides that a licensee may require any person, who require supply of electricity in pursuance of Section 43, to give him reasonable security as may be determined by regulations, for the payment to him of all monies which may become due to him — (a) in respect of the electricity supplied to such person; or (b) where any electric line or electrical plant or electric meter is to be provided for supplying electricity to such person, in respect of the provision of such line or plant or meter.

22. The U.P. Electricity Supply Code 2005 provides detail procedure for billing. Clause 6.1(a), (g) and (h), which are relevant in the present case, are quoted below:—

“6.1 *General Provisions:*

- (a) The billing cycle for different categories of consumers is specified at Annexure 3.1. The Licensee shall notify the date by which each category of consumer shall receive the bill, as per the billing cycle specified in this Code. Such notification shall be made by the Licensee every year or one month before any change is made in the date.
- (b)
- (c)
- (g) The Licensee shall dispatch the bills giving at least 15 days time to the consumer for making payments prior to the due date of payment. Where the bills are served to the consumer through hand held system, the consumer shall deposit the same within 7 days. The Bill shall contain details of the energy consumption, various charges, due date of 52 payment, disconnection date, arrears, Security deposit details, rebates, extracts pertaining to consumer rights, Mode of payment and collection facilities, Telephone Nos. and address of Customer service, and call centers, where consumers can make bill related complaints, Telephone Nos. and address of Consumer Grievance redressal forums etc. In case of cheques and bank drafts. the receiving authority in whose favour the amount

should be drawn should be clearly mentioned.

- (h) Bills of each consumer shall clearly reflect the arrears and amount of current billing separately. It shall be obligatory on the part of consumers to pay his electricity bills on or before due date of payment.”

23. The billing of the consumer is on account of consumption of energy as per tariff orders issued from time to time. Clause 6.7 provides for late payment surcharge. Clause 6.15 of U.P. Electricity Supply Code 2005 provides for recovery of arrears. Clause 6.15 is quoted below:—

“6.15 *Recovery of Arrears*:

- (a) The payments due to the Licensee shall be recovered as per provision of Section 56 of the Act, and arrears of land revenue as per the provisions of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958, as amended from time to time.
- (b) Notwithstanding anything contained in any other law for the time being in force, no sum due from any consumer shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable as arrear of charges of electricity supplied, and the supply of the electricity shall not be disconnected by licensee for this reason.

Explanation—The date from which such charges becomes “first due”, needs to be correctly interpreted. If as a result of regular meter reading/inspection of installation of consumer, such charges/penalties levied as per this code or tariff schedule, shall become first due counted from the due date of payment of such a bill, and such bill shall be provided to the consumer not later than two billing cycle for that category of consumer.”

24. The provisions of the Electricity Act, 2003 and U.P. Electricity Supply Code 2005, as noted above, clearly indicate that a consumer is liable to pay charges for consumption of electricity in accordance with the tariff as fixed from time to time and there is a procedure for preparation of bill, sending of bill to the consumer and time frame for payment of the bill. The security/additional security is taken to cover up the advance payment for electricity to be consumed by the consumer. The consequences for not deposit of security/additional security has been provided in Section 47 of the Electricity Act, 2003 itself. Sub-section (1) of Section 47 clearly provides that if a person fails to give such security, the distribution licensee may refuse to give the supply of electricity or to provide the line or plant or meter for the period during which the failure continues. The submission of security is thus condition

precedent for supply of electricity. The licensee being entitled not to give supply on failure of consumer to submit additional security, the question of realisation of amount of additional security does not arise. Sub-section (3) of Section 47 further provides that in the event person referred to in sub-section (2) fails to give such security, the distribution licensee may discontinue the supply of electricity for the period during which the failure continues. Section 56 of the Electricity Act, 2003 also empowers the licensee to disconnect the supply in default of payment. The security deposit/additional security deposit cannot be thus treated to be an arrear, which can be recovered as arrears of land revenue. The consequences of failure of giving additional security/security are provided in the Act itself. The provisions of the Electricity Act, 2003 and U.P. Electricity Supply Code 2005 does not indicate that in the event additional security is not provided, the licensee shall initiate proceedings for recovery of the additional security. The initiation of proceeding for recovery of the amount of additional security is not contemplated because licensee is empowered not to release the supply in the event of non deposit and further to disconnect in the event additional security is not given as contemplated under sub-section (2) of Section 47. The additional security/security is nothing but an advance payment and when advance payment is not made the consequence as contemplated under the Electricity Act, 2003 have to take effect which nowhere indicates recovery in any manner.

25. In this context it is also relevant to refer Clause 6.1(h) of U.P. Electricity Supply Code 2005, which provides that bills of each consumer shall clearly reflect- (i) the arrears and (ii) amount of current bill whereas Clause 6.1(g) provides that bills shall contain details of- (1) the energy consumption; (ii) various charges; (iii) due date of payment, disconnection date; (iv) arrears and (v) security deposit detail, rebates. A perusal of provisions of U.P. Electricity Supply Code 2005 regarding billing indicate that details of security deposit has been separately provided. Sri Ravi Kant, learned Senior Advocate, appearing for the respondents has very fairly submitted that the amount of additional security is not an arrear.

26. What is the object and purpose of security deposit and what is its nature has been considered by the Apex Court in the case of *Ferro Alloys Corporation Limited v. A.P. State Electricity Board* reported in 1993 Supp (4) SCC 136. The Apex Court in the said case was considering the security deposit under the provisions of Electric Supply Act, 1948. The Apex Court laid down that very nature of the security deposit is one of the advance payment. Following was laid down in paragraph 106 of the said judgment:—

“106. Thus, it will be clear that the true nature of the transaction in these cases is one of advance payment of charges for consumption

of electricity estimated for a period of approximately three months. Such an advance is liable to be made good and kept at the stipulated level from month to month. It is open to the consumer to permit adjustment of the advance in the first instance. Thereafter, he could make good the shortfall in consumption charges and the security deposit before actual disconnection. Actually speaking, it is only after three months the disconnection takes place. Hence, it is like a running current account.”

27. The Apex Court in the said judgment has also laid down that there is no relationship of debtor and creditor with regard to security deposit and the relationship between consumer and the licensee is that of depositor and deposittee.

28. The Division Bench in *Mirzapur Electric Supply's case* (supra) had occasion to consider the nature of security deposit and the specific issue as to whether the amount of security deposit can be recovered as arrears of land revenue. In the aforesaid case Section 47-A as added by Uttar Pradesh Amendment Act, 1972 in the Electricity Supply Act, 1948 was under consideration, which provided:—

“47-A. *Security*— Notwithstanding anything in this Act and notwithstanding that no arrangements have been mutually agreed under Section 47 or that no regulations have been made in that behalf—

- (a) the Board shall not be bound to comply with any requisition to supply electricity to a licensee unless the licensee, within fourteen days after the service on him by the Board of a notice in writing in that behalf, tenders to the Board such security as the Board deems sufficient;
- (b) the Board shall be entitled to discontinue such supply if the licensee has not already given security, or if any security given by him has become invalid or insufficient, and such licensee fails to furnish security or to make up the original security to a sufficient amount, as the case may be, within seven days after the service upon him of notice from the Board requiring him so to do.”

29. The security was demanded in accordance with Section 47-A from various licensees. One of the arguments, which was raised in the writ petition, was that the amount of security cannot be recovered as arrears of land revenue. The Division Bench in that context considered whether the amount of security can be treated to be a dues to a Government electrical undertaking. The Division Bench in paragraph 19 of the said judgment specifically dealt with the said issue and laid down that the amount of security cannot be called dues. Following was laid down in paragraph 19 of the said judgment:—

“19. The other additional point raised by this petitioner is that the

amount of security cannot be recovered as arrears of land revenue. It has already been mentioned above that after demanding security of Rupees nine lacs from this petitioner by notice dated February 17, 1973, the Board sent another notice dated May 25, 1973, to the petitioner, threatening to recover the amount as arrears of land revenue under the provisions of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958. It is urged by the learned counsel for the petitioner that the provisions of the 1958 Recovery Act cannot be utilised for realising the amount of security demanded by the Board. The contention seems well founded. The provisions of this Act are applicable only to "dues payable by a consumer to a Government electrical undertaking." We are satisfied that the amount of security demanded cannot be called "dues". The word "dues" connotes an amount owed as a debt. In the present case the amount of security demanded is not owed as a debt to the Board. It is only an amount demanded as a condition to the supply of electricity by the Board to the licensee. The licensee is not obliged to pay this amount, if it chooses, it may not pay the amount and may take the consequence of its supply being discontinued. It is thus clear that the amount of security demanded by the Board is not "dues" payable by the petitioner to the Board. That being so, the provisions of the 1958 Recovery Act cannot be utilised for recovering the amount of security demanded from the petitioner. The notice threatening to recover the amount as arrears of land revenue under the 1958 Recovery Act is without authority of law and is liable to be quashed."

30. It is relevant to note that present are not the cases where without giving the security supply has been started, rather present are the cases where additional security has been demanded as condition of releasing additional load.

31. Reliance has also been placed on the letter dated 6th October, 2008 (Annexure-6 to writ petition no. 38 of 2009) issued by the Director (Licensing), U.P. Electricity Regulatory Commission, Lucknow. The said letter was issued on the subject "Load Factor Rebate for consumers of different category". In the said letter the view has been expressed that non deposit of additional security falls within the meaning of arrears. The definition of dues as per the Law Lexicon "something which is behind in payment or which remains unpaid, implying a duty and a default; it signifies money unpaid at the due time" has been relied. Reliance has been placed in the case of *Besant Ram Ralla Ram v. Gurucharan Singh* referring it to be a Supreme Court judgment. The word "dues" has been defined in *Law Lexicon* (P. Ramanatha Aiyar) Second Edition. In the case of *Custodian General of Evacuee Property, New Delhi v. Harnam Singh* following was laid down

while considering the word “due” in paragraph 6 of the said judgment:

—
“6. The express “due” is defined by Webster to mean that which is owed; that which custom, statute or law requires to be paid and by Worcester that which anyone has a right to demand, claim or possess; that which can justly be required. A debt or other obligation is due when it is legally enforceable, i.e. when the creditor has a right to demand payment and to enforce collection (*Etz v. Perlman*, 143 A 548 at P. 549 : 13 Words and Phrases 442(A).”

32. Clause 4.49 of the U.P. Electricity Supply Code 2005, as noted above, uses the words “recovery of any dues”, which clearly mean that the dues must be recoverable by any process as provided under the Electricity Act, 2003 or the U.P. Electricity Supply Code 2005. As noticed above, the scheme of the Act and the Code does not indicate that any process for recovery of additional security is contemplated or provided for because of the reason that the consequences for non deposit of additional security has been clearly provided in the Act itself. The payment of additional security being condition for release of additional load, in the event it is not paid the additional load is not to be released and further supply can be discontinued. No more is contemplated with regard to non payment of additional security. Thus it is held that additional security to be deposited by the petitioners cannot be treated to be any dues, which is to be recovered from the petitioners. In view of the above, Clauses 4.49 of U.P. Electricity Supply Code 2005 is not attracted and the demand by the respondents of giving bank guarantee for the amount of additional security, which has been stayed by this Court in different writ petitions is unjustified.

33. The case of *Besant Ram Ralla Ram* referred to in the letter dated 6th October, 2008 of the Director (Licensing) has been referred as the judgment of the Supreme Court which has been refuted by counsel for the petitioners and it is submitted that the said judgment is judgment of Punjab High Court reported in A.I.R. 1957 Punjab 578 and in the said case question of payment of arrears of rent by a tenant in suit filed by landlord for ejectment was under consideration. The Court in the said case was considering the concept of “arrears and due” in context of payment of rent by tenant to a landlord, which judgment is not applicable with regard to payment of additional security. The submission of the petitioners has substance that the said case was not on the issue, which is subject matter of consideration in the present case. The Division Bench judgment in *Mirzapur Electric Supply's case* (supra) fully covers the issue.

34. In view of the foregoing discussions, it is held that Clause 4.49 of U.P. Electricity Supply Code 2005 was not attracted in the case where demand of additional security has been stayed by this Court in

different writ petitions. The petitioners were not liable to submit bank guarantee demanded from them as per Clause 4.49 of U.P. Electricity Supply Code 2005. The petitioners are entitled for release of the bank guarantee in case it has already been submitted and continuing. The writ petitions challenging the demand of bank guarantee with regard to amount of additional security, which has been stayed by this Court, deserve to be allowed.

35. In Writ Petition No. 41222 of 2009 by the impugned order dated 22nd July, 2009 petitioner was asked to deposit following two amounts — (i) an amount of Rs. 13,56,502/- towards load factor withdrawn amount and (ii) an amount of Rs. 46,08,600/- as additional security for the financial year 2008–09. The bank guarantee was demanded to cover both the amounts. In Writ Petition No. 32452 of 2009 the amount for which bank guarantee was demanded by the impugned order dated 29th June, 2009 was an amount of Rs. 13,31,106/-, which amount related to withdrawn of load factor rebate. Insofar as the additional security is concerned, the order dated 22nd July, 2009 deserves to be set-aside in view of the foregoing discussions, however, withdrawal of rebate on load factor is different from demand of additional security. The rebate of load factor is given in the electricity bill of a consumer which bill is raised on the basis of consumption. The rebate was given in the bills, which has been subsequently withdrawn. The rebate having been withdrawn, the said amount becomes due on the petitioner. In these writ petitions the orders withdrawing the load factor rebate are not in issue and challenging the said order writ petitions have already been filed by the petitioners, which are pending, hence it is not necessary for us to express any opinion in that regard. With regard to withdrawal of the load factor rebate suffice it to say that the amount pertaining to withdrawal of load factor rebate can be said to be dues which are liable to be paid by the petitioner and the demand of bank guarantee with regard to the said amount cannot be faulted with.

36. In result, Writ Petition Nos. 38 of 2009, 27186 of 2009 and 24557 of 2009 are allowed. Writ Petition No. 41222 of 2009 is partly allowed quashing the impugned order dated 22nd July, 2009 insofar as it relates to demand of bank guarantee for additional security amount and Writ Petition No. 32452 of 2009 is dismissed.

37. Parties shall bear their own costs.

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2014 SCC OnLine All 11652

(BEFORE SUNIL AMBWANI AND DINESH MAHESHWARI, JJ.)

Mohammad Khalid Petitioner

v.

Pashchimanchal Vidhyut Vitran Nigam Ltd. &
Another Respondents

Counsel for Petitioner:- R.P.S. Chauhan

Counsel for Respondent:- Pranjal Mehrotra, Pranjal Mehrotra

Writ - C No. - 37041 of 2014

Decided on July 21, 2014

Hon'ble Sunil Ambwani, J.

Hon'ble Dinesh Maheshwari, J.

1. We have heard Sri. R.P.S. Chauhan for the petitioner. Sri. Pranjal Mehrotra appears for respondents.

2. It is submitted by Sri. R.P.S. Chauhan, learned counsel appearing for the petitioner, that the petitioner has electricity connection of 44 KVA, in his premises, for his export office.

3. In this writ petition, the petitioner has prayed for a direction to respondent No. 2, to consider and decide the objection/complaint of petitioner dated 26.6.2014, under the provisions of clause 6.5 of the Electricity Supply Code 2005, by making reasoned and speaking order after affording opportunity of hearing to the petitioner, within the stipulated time of 7 days, and for restoring the electricity connection forthwith.

4. It is submitted that respondent No. 2 was required to decide the representation within seven days as per clause 6.5 of the Electricity Supply Code 2005. The respondents have disconnected electricity connection and have not decided the same despite order of this Court passed on 08.05.2014, passed in Writ Petition. 25996 of 2014.

5. We find that the petitioner had approached this Court earlier in Writ Petition No. 25996 of 2014, which was disposed of on 8.5.2014 with directions that if the petitioner approaches the competent authority under clause 6.5 of the Electricity Supply Code 2005 against the demand notice, the same will be decided. We find that the petitioner took more than one and half months in approaching the competent

authority under clause 6.5. This writ petition has been filed for the same cause of action, which was available before him on 8.5.2014 with an additional cause of action of disconnection of electricity supply, which is attributable solely to the petitioner, as he did not make objection in compliance of the order within reasonable time.

6. We also find that clause 6.5 (b) of the Electricity Supply Code 2005, requires deposit to be made under protest for deciding representation.

7. We accordingly dispose of this writ petition with direction to respondent No. 2 to decide the pending representation in accordance with law within seven days from the date a certified copy of this order is presented before the office of respondent 2. The deposit made by the petitioner under protest, will be adjusted in the payment to be made by him in accordance with decision on the representation.

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2014 SCC OnLine All 6769

(BEFORE SANJAY MISRA AND ANANT KUMAR, JJ.)

Chandrapal Petitioner

v.

Dakshinanchal Vidyut Vitran Nigam Ltd. & 4

Others Respondents

Counsel for Petitioner:- Kr. Hans Pratap Singh

Counsel for Respondent:- C.S.C., Baleshwar Chaturvedi

Writ - C No. 22075 of 2014

Decided on May 14, 2014

Hon'ble Sanjay Misra, J.

Hon'ble Anant Kumar, J.

We have heard Sri. Kr. Hans Pratap Singh, learned counsel for the petitioner, learned standing counsel for the State-respondent and Sri. Baleshwar Chaturvedi, learned counsel for respondents no. 1, 2, 3 and 4.

The petitioner has come up in this writ petition assailing the demand notice dated 18.2.2014 issued under Section 3 of the Uttar Pradesh Government Electrical Undertaking (Dues Recovery) Act, 1958 (hereinafter referred to as 'the Act, 1958') as also the bill dated 18.3.2013.

Learned counsel for the petitioner has submitted that earlier the petitioner had been issued erroneous bill which he has disputed and also had disputed the arrears claimed whereupon the petitioner had filed Writ Petition No. 23342 of 2010, *Chandrapal v. U.P. Power Corporation*. The aforesaid writ petition was decided on 28.4.2010 requiring the petitioner to pursue his remedy under Clause 6.5 of the U.P. Electricity Supply Code, 2005. Learned counsel states that the petitioner thereafter filed his representation dated 17.5.2010 to be considered under the said provision of the Electricity Supply Code but no decision has been taken on the same so far and the impugned notice and demand has been raised against the petitioner regarding the arrears.

Learned counsel for the respondents was required to obtain instructions in this regard.

Sri Baleshwar Chaturvedi, learned counsel for the respondents, on the basis of instructions, has submitted that the petitioner has not deposited the arrears till date. His instructions are silent on whether the application of the petitioner under Clause 6.5 of the U.P. Electricity Supply Code, 2005 dated 17.5.2010 has been decided or not.

In view of the aforesaid circumstances, we find that the petitioner was pursuing his remedy under the provisions of the U.P. Electricity Supply Code, 2005 in pursuance of the order dated 28.4.2010 passed in earlier writ petition but the respondent-Corporation appears not to have taken any decision on such application made by the petitioner on 17.5.2010 under the provisions of U.P. Electricity Supply Code, 2005 and as such, issuing fresh demand for the arrears and notice under Section 3 of the Act, 1958 appear to be an arbitrary action taken by the respondent-Corporation.

In view of the aforesaid circumstances, we dispose of this writ petition by providing that the application of the petitioner under Clause 6.5 of the U.P. Electricity Supply Code, 2005 dated 17.5.2010 should be decided by the competent authority of the Corporation within a period of one month from the date a certified copy of this order is served by the petitioner on respondent no. 2-Executive Engineer, Electricity Distribution Division, Hamirpur.

Till the decision is taken by respondent no. 2, the demand under Section 3 of the Act, 1958 shall be kept in abeyance and shall abide by the decision so taken by respondent no. 2. Upon a decision being taken, the order be provided to the petitioner forthwith.

No order as to costs.

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2009 SCC OnLine All 1773 : (2010) 1 All LJ 35

Allahabad High Court
(BEFORE ASHOK BHUSHAN AND R.A. SINGH, JJ.)

M/s. Suvidha Engineers India Ltd.

Versus

Paschimanchal Vidyut Vitran Nigam Ltd. & Ors.

C.M.W.P. Nos. 30363 with 32562 of 2009

Decided on October 15, 2009

The Judgment of the Court was delivered by

ASHOK BHUSHAN, J.:— Heard Sri B.C. Rai, learned counsel for the petitioners and Sri Ravi Kant, Senior Advocate, assisted by Sri Pankaj Kumar Shukla for the Paschimanchal Vidyut Vitran Nigara Limited (hereinafter referred to as the Corporation).

2. Both the writ petitions raise similar issues and have been heard together. Pleadings in Writ Petition No. 30363 of 2009 (hereinafter referred to as the first writ petition) are complete and counsel for the parties agree that both the writ petitions be finally decided. Brief facts giving rise to this writ petition are the petitioner was sanctioned, in the year 1997, load of 97 KVA by U.P. State Electricity Board. An assessment dated 12th April, 1999 was made against the petitioner alleging theft of electricity for an amount of Rs. 8,38,998/-. The appeal filed by the petitioner against the said assessment was dismissed by the Regional Appellate Committee on 29th April, 2000 against which petitioner filed a writ petition being Writ Petition No. 29916 of 2000. An interim order was passed by this Court on 14th July, 2000 directing for restoration of supply subject to petitioner depositing Rs. 4,00,000/- with stipulation that petitioner would continue to deposit the current bills. The petitioner deposited an amount of Rs. 4,00,000/- within the stipulated time and thereafter continued to deposit the current bills issued from time to time. Writ



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Petition No. 29916 of 2009 is said to be pending. An application was made by the petitioner on 18th February, 2009 for enhancement of contracted load from 97 KVA to 150 KVA. The enhancement of load was sanctioned vide order dated 15th April, 2009. The terms and conditions were issued vide order dated 16th April, 2009 demanding an amount of

Rs. 2,97,800/- as line charges and security etc. The petitioner deposited the said amount and an agreement for supply was also submitted by the petitioner. The petitioner filed a writ petition being Writ Petition No. 30363 (the first writ petition) praying for quashing Condition No. 5 in the order dated 15th April, 2009, which required that the provisions of the U.P. Electricity Supply Code 2005 be strictly complied with. A direction was also sought for releasing the additional load. The writ petition was filed on 17th June, 2009. A letter dated 23rd June, 2009 was issued to the petitioner asking him to provide bank guarantee of an amount of Rs. 23,17,038/- as required by Clause 4.49 of the U.P. Electricity Supply Code 2005. Writ Petition No. 32562 of 2009 has been filed by the petitioner praying for following relief:—

- “(I) issue a writ, order or direction in the nature of writ of certiorari calling for the records and to quash the impugned order dated 23rd June, 2009 (Annexure-1 to the writ petition) passed by the Respondent No. 2;
- (II) pass appropriate writ, order or direction declaring Clause 4.49 of Code, 2005 to the extent it provides to furnish Bank Guarantee as ultra-vires being unconstitutional;
- (III) issue writ, order or direction in the nature of mandamus commanding the Respondent No. 2 to release the additional load of Petitioner Company without asking the petitioner Company to furnish Bank Guarantee of astronomically inflated figure of Rs. 23,17,038/-.”

3. A counter affidavit has been filed by the Corporation in Writ Petition No. 30363 of 2009 (first writ petition) referring to provisions of Clauses 4.43 and 4.40 of the U.P., Electricity Supply Code 2005 justifying the demand of bank guarantee for releasing the enhanced load. It is stated in the counter affidavit that since the amount assessed against the petitioner is stayed by interim order of this Court dated 14th July, 2000, the additional load can be released only on submission of the bank guarantee for the amount along with surcharge. It has been stated that petitioner having not fulfilled the condition of Clause 4.43(a)(iv) of U.P. Electricity Supply Code 2005, the load has not been released.

4. Sri B.C. Rai, learned counsel for the petitioner raised following submissions in support of the writ petitions:—

- 1. Clause 4.49 of U.P. Electricity Supply Code 2005 is ultra vires, it being beyond the matters provided under Section 50 of the Electricity Act, 2003. It is submitted that Section 50 of the Electricity Act, 2003 empowers the State Electricity Regulatory Commission to provide for recovery of the electricity charges, intervals for billing of electricity charges, disconnection of supply

of electricity for non payment thereof, restoration of supply of electricity, measures for preventing tampering, distress or damage to electrical plant or electrical line or meter, entry of distribution licensee or any person acting on his behalf for disconnecting supply and removing the meter, entry for replacing, altering or maintaining electric lines or electrical plants or meters and it does not include any power to demand a bank guarantee for an amount, which has been stayed by this Court, hence Clause 4.49 is beyond the ambit of Section 50 and is ultra vires to the Act.

2. Section 181(2) of the Electricity Act, 2003 empowers the State Electricity Regulatory Commission for framing regulations determining fiscal liabilities under Sections 45, 46 and 47 of the Act, therefore, items covered under the different heads under Section 181(2) of the Electricity Act, 2003 clearly exclude exercise of such power under Section 50 of the Electricity Act, 2003. The regulation making power under Section 181(2) stands on a high pedestal in respect of subject matter engrafted under Clauses (p), (q), (r), (s), (t), (u), (v) and (w). The State Electricity Regulatory Commission could not have bring the above items within the net of U.P. Electricity Supply Code.
3. The assessment amount haying been stayed by this Court by order dated 14th July, 2000, which interim order is still continuing, an order asking for submission of bank



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guarantee to cover the said amount is interference with the High Court's power of judicial review and the provisions of Clause 4.49, which abridges the Court's order deserves to be struck down.

4. Clause 4.49 of U.P. Electricity Supply Code 2005 is ultra vires to the provisions of Sections 127(2) and 127(6) of the Electricity Act, 2003 read with Clause 6.8(d)(iv) of U.P. Electricity Supply Code 2005. The Clause 4.49 is also ultra vires to Section 56(2) of the Electricity Act, 2003.
5. Learned counsel for the petitioner has relied on various judgments of the Apex Court and this Court, which shall be referred to here inafter while considering the submissions in detail.
6. Sri Ravi Kant, Senior Advocate, appearing for the respondent-Corporation, refuting the submissions of counsel for the petitioner, contended that Clause 4.49 of U.P. Electricity Supply Code 2005 is intra vires. It is submitted that the provisions contained in U.P. Electricity

Supply Code 2005 are not confined to subject matters as contained in Section 50 of the Electricity Act, 2003 only, rather U.P. Electricity Supply Code 2005 has been framed on the subject matters as contained in Sections 43 to 48 and 50 of the Electricity Act, 2003 and covers the different heads as mentioned in Section 181(2) of the Electricity Act, 2003. The State Electricity Regulatory Commission has ample jurisdiction to frame regulations under various heads as mentioned in Section 181(2) and Clause 4.49 is fully covered by the regulation making power of State Electricity Regulatory Commission and the submission that clause is ultra vires is incorrect. The U.P. Electricity Supply Code 2005 is nothing but a compilation of regulations exercising power under Section 181 of the Electricity Act, 2003. Even if Section 50 was not there, the power to frame law as encompassed by Section 50 would have been encompassed by Section 181(1) of the Electricity Act, 2003. The statement of object and reasons appended to the UP. Electricity Supply Code 2005 provide valuable key to the intention of the Legislature in framing the Code. The power to make law on a substantive topic would also subsume within its fold ancillary or subsidiary matters. The Court has to proceed with a presumption that such legislation is intra vires. Further Section 86(1) of the Electricity Act, 2003 enumerates functions of the State Electricity Regulatory Commission which also includes “supply”. The word “supply” has to be read more liberally as to include within its fold even the power of adopting measures for protecting/preserving one’s revenue or recovery thereof. Clause 4.49 is nothing but a measure for protection from apprehended and future losses. The measures are ancillary to make provision for supply.

7. Replying the submissions of the petitioner that Clause 4.49 interferes with the power of the Court, it is contended that Clause 4.49 does not militate against interim order passed by this Court. It is submitted that Clause 4.43 in general and in particular sub-clause (iv) of Clause 4.43 refers to Clause 4.49, which becomes one of the condition precedent for enhancement of the load. It is submitted that by passing of an interim order the assessment does not wipe out and the Corporation is not unjustified in protecting itself from future losses.

8. Sri Ravi Kant has also placed reliance on various judgments of the Apex Court, which shall be hereinafter referred while considering the submissions in detail.

9. We have considered the submissions of learned counsel for the parties and have perused the record.

10. The main thrust of submission of learned counsel for the petitioner is that Clause 4.49 of U.P. Electricity Supply Code 2005 is ultra vires, hence no bank guarantee can be demanded from the petitioner. Elaborating his submissions learned counsel for the

petitioner has raised various grounds challenging the vires of Clause 4.49. We shall proceed to examine grounds raised by the petitioner separately.

11. The first ground taken by the petitioner for challenging Clause 4.49 is that U.P. Electricity Supply Code 2005 has been specified exercising power under Section 50 of the Electricity Act, 2003, which provides for U.P. Electricity Supply Code and the subject matters, which have been included in Section 50 does not cover the subject matters, which have been specified in Clause 4.49. It is submitted that in



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Section 50, which is specifying U.P. Electricity Supply Code, no provision relating to fiscal matter can be included. It is contended that there are separate provisions in the Electricity Act, 2003, which are charging sections and there are separate heads under regulation making power given in Section 181(2), i.e., Section 181(2) Clauses (p) to (w). It is submitted that regulation making power referred to in sub-clauses of Section 181(2) is on a higher pedestal than the specifying Supply Code and when specific subject matters have been included in different heads; they shall be treated to have been excluded within the purview of Section 50 of the Electricity Act, 2003. Then Supply Code specified under Section 50 of the Act cannot contain any provision which is beyond the scope of Section 50. Reliance has also been placed by counsel for the petitioner on a Division Bench judgment of this Court in Writ Petition No. 31019 of 2007 (*Pawan Kumar v. State of U.P.*) decided on 12th October, 2007 where the Division Bench has rejected the submission of counsel for the Corporation that entries mentioned in sub-clause (a) of Clause 3.4 of U.P. Electricity Supply Code 2005 are only illustrative and not restrictive. The Division Bench in the said case was considering Clause 3.4 of U.P. Electricity Supply Code 2005, which provided for supply through independent feeders. In sub-clause (a) of Clause 3.4 certain categories were mentioned, namely, Arc/Induction furnaces, Rolling Mills, Re-rolling Mills and Mini Steel Plants of more than 1000 KVA. The said provision requires that they shall be released load through an independent feeder. The submission that mention of entries were illustrative and not restrictive was rejected. Following was laid down by the Division Bench in the said judgment:—

“Except for the aforesaid provisions, there is no other provision which deals with supply from independent feeder. From a perusal of sub-clause (a) of Clause 3.4 of the Code, we find that it is mandatory for supplying electricity through independent feeder to

the Arc/Induction furnaces, Rolling Mills, Re-rolling Mills and Mini steel plants where the load applied is 1000 KVA and above. However, under sub-clause (b), an option has been given for those consumers who have applied for load above 500 KVA, to opt for supply through independent feeder. It is not compulsory. The submission of Sri Dubey that under sub-clause (a) the industries mentioned are illustrative and not restrictive, is wholly misplaced. Sub-clause (a) deals with specific industries of 1000 KVA and above load whereas sub-clause (b) deals with consumers including industries mentioned in sub-clause (a) and all other industries which have applied for load above 500 KVA and an option has been given to the consumers to get the supply through an independent feeder. But, if a consumer which falls under sub-clause (b), does not want supply of electricity through an independent feeder, the respondents cannot compel or insist upon supplying the electricity through an independent feeder. Of course, the requirement is that it is technically feasible to supply the same from any other feeder which, in the present case, has been found by the respondents themselves."

12. Reliance has also been placed on the judgment of the Apex Court in the case of *Kylasa Sarabhaiah v. CIT, Hyderabad* reported in AIR 1965 SC 1411 in which case the word 'specify' was explained in following manner:—

".....The word "specify" is used in Section 26-A and Rule 2 as meaning, mentioning, describing or defining in detail: it does not mean expressly setting out in fractional or other shares....."

13. It has been submitted that State Electricity Regulatory Commission cannot make any Supply Code on the field which has been expressly included in Section 50 of the Electricity Act, 2003. Reliance has been placed on the Apex Court judgment in the case of *Kunj Behari Lal Butail v. State of H.P.* reported in (2000) 3 SCC 40 : (AIR 2000 SC 1069). Following was laid down in paragraph 8 of the said judgment:—

"8. Shri Anil Divan, the learned senior counsel for the appellants submitted that lands covered by seven categories as defined in clauses (a) to (g) of Section 5 have been excluded from applicability of the provisions of the Act. Section 26 delegates to the State Government the legislative power of making rules which delegation is circumscribed by the expression-for carrying out the purposes of



this Act. In exercise of such delegated power to legislate, the State Government cannot bring within the net of the rules what has been excluded by the Act itself. We find merit in the submission so made...."

14. Further reliance has been placed on paragraph 19 of the judgment of the Apex Court in the case of *Sant Saran Lal v. Parsuram Sahu* reported in AIR 1966 SC 1852 where following was laid down in paragraph 19:—

“19..... It is significant to note that the rule making power given to the State Government is not expressed in the usual form, i.e., is not to the effect that the State Government may make rules for the purposes of the Act. The rule-making power is limited to what is stated in Cls. (a) to (e) of S. 27 and these clauses do not empower the State Government to pre scribe the limit upto which the loans advanced by a moneylender are to remain outstanding at any particular moment of time.”

15. Learned counsel for the petitioner further contended that no word or expression used in the Electricity Act, 2003, specially under the various sub-heads of Section 181(2) can be said to be redundant or superfluous. It is submitted that if it is held that subjects, which are excluded from Section 50 can be provided for while specifying Supply Code, the specific entries has to be treated as redundant or superfluous. Reliance has been placed on the judgments of the Apex Court in the case of *Grasim Industries Limited v. Collector of Customs, Bombay* reported in (2002) 4 SCC 297 : (AIR 2002 SC 1706) and in the case of *Sankar Ram and Company v. Kasi Naicker* reported in (2003) 11 SCC 699 : (AIR 2003 SC 4156). It is further submitted that there being any inconformity in the regulations, which has been specifically provided for by Section 181(2), Clause (p) to (w) and the Supply Code to be specified under Section 50, the regulations has to override. Reliance has been placed for the above proposition on the judgments of the Apex Court in the case of *Babako Konda Ji Garad v. Nasik Merchant Cooperative Bank Limited Nasik* reported in (1984) 2 SCC 50 : (AIR 1984 SC 192) and in the case of *Maharashtra State Board of Secondary and Higher Secondary Education v. Parithosh Bhupesh Kumar Seth* reported in (1984) 4 SCC 27 : (AIR 1984 SC 1543).

16. Before we proceed to consider the above submissions of learned counsel for the petitioner, it is necessary to look into the scheme of the Electricity Act; 2003, specially the powers of the State Electricity Regulatory Commission to specify Supply Code and to frame regulations.

17. Section 2(4) of the Electricity Act, 2003 defines “Appropriate Commission” which means the Central Regulatory Commission referred to in sub-section (1) of Section 76 or the State Regulatory Commission referred to in Section 82 or the Joint Commission referred to Section 83 as the case may be. Part-VI of the Electricity Act, 2003 deals with

distribution of electricity. Section 42 provides that it shall be the duty of a distribution licensee to develop and maintain an efficient coordinated and economical distribution system in his area of supply and to supply electricity in accordance with the provisions of the Act. Section 43 provides that every licensee shall on an application by the owner or occupier of any premises, give supply of electricity to such premises; Section 45 deals with power to recover charges; Section 46 deals with power to recover expenditure; Section 47 deals with power to require security; Section 48 deals with additional terms of supply and Section 50 provides for the Electricity Supply Code. Sections 45, 46, 47, 48 and 50 of the Electricity Act, 2003 are quoted as below:—

“45. Power to recover charges.— (1) Subject to the provisions of this section, the prices to be charged by a distribution licensee for the supply of electricity by him in pursuance of section 43 shall be in accordance with such tariffs fixed from time to time and conditions of his licence.

(2) The charges for electricity supplied by a distribution licensee shall be—

- (a) fixed in accordance with the methods and the principles as may be specified by the concerned State Commission;
- (b) published in such manner so as to give adequate publicity for such charges and prices.

(3) The charges for electricity supplied by



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a distribution licensee may include—

- (a) a fixed charge in addition to the charge for the actual electricity supplied;
- (b) a rent or other charges in respect of any electric meter or electrical plant provided by the distribution licensee.

(4) Subject to the provisions of section 62, in fixing charges under this section a distribution licensee shall not show undue preference to any person or class of persons or discrimination against any person or class of persons.

(5) The charges fixed by the distribution licensee shall be in accordance with the provisions of this Act and the regulations made in this behalf by the concerned State Commission.

46. Power to recover expenditure.— The State Commission may, by regulations, authorise a distribution licensee to charge from a person requiring a supply of electricity in pursuance of section 43

any expenses reasonably incurred in providing any electric line or electrical plant used for the purpose of giving that supply.

47. Power to require security.— (1) Subject to the provisions of this section, a distribution licensee may require any person, who requires a supply of electricity in pursuance of section 43, to give him reasonable security, as determined by regulations, for the payment to him of all monies which may become due to him—

- (a) in respect of the electricity supplied to such persons; or
- (b) where any electric line or electrical plant or electric meter is to be provided for supplying electricity to person, in respect of the provision of such line or plant or meter,

and if that person fails to give such security, the distribution licensee may, if he thinks fit, refuse to give the supply or to provide the line or plant or meter for the period during which the failure continues.

(2) Where any person has not given such security as is mentioned in sub-section (1) or the security given by any person has become invalid or insufficient, the distribution licensee may, by notice, require that person, within thirty days after the service of the notice, to give him reasonable security for the payment of all monies which may become due to him in respect of the supply of electricity or provision of such line or plant or meter.

(3) If the person referred to in sub-section (2) fails to give such security, the distribution licensee may, if he thinks fit, discontinue the supply of electricity for the period during which the failure continues.

(4) The distribution licensee shall pay interest equivalent to the bank rate or more, as may be specified by the concerned State Commission, on the security referred to in sub-section (1) and refund such security on the request of the person who gave such security.

(5) A distribution licensee shall not be entitled to require security in pursuance of clause (a) of sub-section (1) if the person requiring the supply is prepared to take the supply through a pre-payment meter.

48. Additional terms of supply.— A distribution licensee may require any person who requires a supply of electricity in pursuance of section 43 to accept—

- (a) any restrictions which may be imposed for the purpose of enabling the distribution licensee to comply with regulations made under section 53;
- (b) any terms restricting any liability of the distribution licensee for economic loss resulting from negligence of the person to

whom the electricity is supplied.

49.

50. The Electricity Supply Code.— The State Commission shall specify an Electricity Supply Code to provide for recovery of electricity charges, intervals for billing of electricity charges disconnection of supply of electricity for non-payment thereof; restoration of supply of electricity; tampering, distress or damage to electrical plant, electric lines or meter, entry of distribution licensee or any person acting on his behalf for disconnecting supply and removing the meter; entry for replacing, altering or maintaining electric lines or electrical plant or meter and such other matters.”

18. Section 181 of the Electricity Act, 2003 provides for the power of the State Electricity Regulatory Commission. Sub-section (1) of Section 181 provides that State Commission



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may by notification make regulations consistent with the Act and Rules generally to carry out the provisions of the Act. Sub-section (2) of Section 181 provides that without prejudice to the generality of the power contained in sub-section (1), such regulations may provide for all or any of the matters mentioned therein. Section 181 of the Electricity Act, 2003 is quoted below:—

“181. Powers of State Commissions to make regulations.— (1) The State Commissions may, by notification, make regulations consistent with this Act and the rules generally to carry out the provisions of this Act.

(2) In particular and without prejudice to the generality of the power contained in subsection (1), such regulations may provide for all or any of the following matters, namely:—

- (a) period to be specified under the first proviso of section 14;
- (b) the form and the manner of application under sub-section (1) of section 15;
- (c) the manner and particulars of application for licence to be published under sub-section (2) of section 15;
- (d) the conditions of licence under section 16;
- (e) the manner and particulars of notice under clause (a) of sub-section (2) of section 18;
- (f) publication of the alterations or amendments to be made in the licence under clause (c) of sub-section (2) of section 18;
- (g) levy and collection of fees and charges from generating

- companies or licensees under sub-section (3) of section 32;
- (h) rates, charges and the term and conditions in respect of intervening transmission facilities under proviso to section 36;
- (i) payment of the transmission charges and a surcharge under sub-clause (ii) of clause (d) of sub-section (2) of section 39
- (j) reduction of surcharge and cross subsidies under second proviso to sub-clause (ii) of clause (d) of sub-section (2) of section 39;
- (k) manner and utilisation of payment and surcharge under the fourth proviso to sub-clause (ii) of clause (d) of sub-section (2) of section 39;
- (l) payment of the transmission charges and a surcharge under sub-clause (ii) of clause (c) of section 40;
- (m) reduction of surcharge and cross subsidies under second proviso to sub-clause (ii) of clause (c) of section 40;
- (n) the manner of payment of surcharge under the fourth proviso to sub-clause (ii) of clause (c) of section 40;
- (o) proportion of revenues from other business to be utilised for reducing the transmission and wheeling charges under proviso to section 41;
- (p) reduction of surcharge and cross-subsidies under the third proviso to sub-section (2) of section 42;
- (q) payment of additional charges on charges of wheeling under sub-section (4) of section 42;
- (r) guidelines under sub-section (5) of section 42;
- (s) the time and manner for settlement of grievances under sub-section (7) of section 42;
- (t) the period to be specified by the State Commission under sub-section (1) of section 43;
- (u) methods and principles by which charges for electricity shall be fixed under subsection (2) of section 45;
- (v) reasonable security payable to the distribution licensee under sub-section (1) of section 47;
- (w) payment of interest on security under sub-section (4) of section 47;
- (x) electricity supply code under section 50;

.....
.....
.....

(zp) any other matter which is to be, or may be, specified.

(3) All regulations made by the State Commission under this Act shall be subject to the condition of previous publication."

19. Section 181 of the Electricity Act, 2003 provides that State Electricity Regulatory



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Commission may make regulations by notification to carry out the provisions of the Act. Subsection (1) contains a general power whereas sub-section (2) indicates some specific subjects. Sub-section (1) is genesis of regulation making power whereas sub-section (2) is only species. A perusal of Section 181(2)(x) indicates that regulations can be made with regard to “Electricity Supply Code” under Section 50. Section 50 of the Electricity Act, 2003 provides that State Commission shall specify Electricity Supply Code. Both Sections 50 and 181 have to be read together. The Supply Code, thus, can be provided by regulation by notification. The U.P. Electricity Supply Code 2005 has been made vide gazette notification dated 18th February, 2005. Thus the U.P. Electricity Supply Code 2005 is also a regulation framed in exercise of power under Section 181. Thus the submission that regulations as contemplated under Section 181(2) on the subject matters Clauses (p) to (w) are on higher pedestal than Supply Code is not factually correct.

20. The submission, which has been much pressed by the petitioner, is that Section 47 of the Electricity Act, 2003 provides for power to require security, -which is specifically covered by Section 181(2)(v), hence the same is expressly excluded from Section 50. The submission of Sri Ravi Kant, Senior Advocate, appearing for the Corporation is that Supply Code contains regulations on different heads including Sections 42, 43, 46, 47, 48, 50 and other matters. The submission is that U.P. Electricity Supply Code 2005 is not confined to source under Section 50 of the Act. To support his submission learned counsel for the Corporation has referred to statement of object and reasons, which specifically provided that draft Supply Code covers the issues of Sections 43 to 48, 50 and 55 to 59. It is useful to refer to the statement of object and reasons of U.P. Electricity Supply Code 2005, which is to the following effect:—

“Statement of Objects and Reasons

1. Under UP Electricity Reforms Act, 1999 (hereinafter referred to as the “Reforms Act”), UP Electricity Regulatory Commission was assigned with functions to regulate the distribution, supply, utilization of electricity, issue licenses to regulate the working of licensees and to set the standards of services for the consumers as well as standards for the electricity industry in the State. While granting licenses to the then three major

distribution licensees i.e. UPPCL, KESCO & NPCL, the Commission required that the licensees should prepare distribution codes and submit them to the Commission for approval, as a condition of the supply license. In pursuance to the Commission's directions, Uttar Pradesh Power Corporation Limited (UPPCL) had submitted a draft distribution code which was approved by the Commission and was made applicable in areas served by UPPCL, Kanpur Electricity Supply Company Limited ("KESCO") and the Noida Power Company Limited ("NPCL") with effect from 1st July, 2002.

2. Electricity Act, 2003 was made applicable on 9th June, 2003, as a self-contained comprehensive legislation, which replaced the existing legislations while preserving their core feature. Section 14 of the Electricity Act, provided that any supply licensee under Reforms Act shall be deemed to be a licensee under Electricity Act, 2003 for such period as stipulated in the license and the provisions of the Reforms Act in respect of such license shall apply for one year from the date of commencement of Electricity Act, 2003 that is up to 9th June, 2004 in absence of any earlier period specified by the Commission, which was not done in the present case. Therefore, complete provisions of Supply Code, as a condition of supply license, continued to remain in force till 9th June, 2004. Meanwhile, in pursuance of Section 131(4) of the Electricity Act, 2003 and sub-section 4(23) of the Reforms Act, the Uttar Pradesh Power Sector Reforms (Transfer of Distribution Undertakings) Scheme, 2003 was effected on 12th August, 2003, wherein UP Power Corporation Limited i.e. one of the aforesaid distribution licensees was broken into four distribution companies viz. Paschimanchal Vidyut Vitran Nigam Limited, Poorvanchal Vidyut Vitran Nigam Limited, Dakshinanchal Vidyut Vitran Nigam Limited & Madhyanchal Vidyut Vitran Nigam Limited, which have a deemed licensee status in accordance with fifth proviso of Section 14 of Electricity Act, 2003. Therefore, complete provisions of Supply Code 2002 continued to



operate on above four distribution companies also till 9th June, 2004, as condition of license. Subsequent to 9th June, 2004, only those provisions of the Reforms Act and accordingly Electricity Supply Code 2002 applied with respect to above six supply licensees, which were not

inconsistent with the provisions of the Electricity Act, 2003, along with general application of Section 6 of the General Clauses Act, 1897 with regard to the effect of repeals.

3. Whereas Electricity Supply Code, 2002 was approved as a condition of supply license in Reforms Act, Section 50 of Electricity Act, 2003 required each State Commission to specify Electricity Supply Code for the purposes provided therein. The Commission, thus, undertook the exercise of specifying a Draft Electricity Supply Code, which was consistent with the Electricity Act, 2003 and was in line with the mandate set out in the aforesaid Section. In order to integrate various issues related to electricity supply business with harmonious construction, the Commission also decided to cover other supply related regulations envisaged under the Electricity Act, 2003 within the ambit of Draft Supply Code, 2004. Therefore, the Draft Supply Code covered issues of Sections 43-48, 50, 55 -59 along with following regulations of Section 181(2) of the Electricity Act, 2003."

....."

21. The U.P. Electricity Supply Code, 2005 is divided in nine chapters. The provisions contained in U.P. Electricity Supply Code 2005 are not confined to subject matter's as mentioned in Section 50 of the Electricity Act, 2003, rather they encompassed the subject matters contained in Sections 43 to 48, 50, 55 and 59 and certain other subject matters. For example, Chapter VII of U.P. Electricity Supply Code 2005 deals with Standard of Performance, Grievance Redressal Mechanism and Compensation, which are specifically included in items under Section 181(2)(s) and (b). The object and reasons of the Electricity Act, 2003 specifically states that Supply Code covers the subject matters of Sections 43 to 48, 50 and 55 to 59 and factually the different chapters of the Supply Code are referable to various specific heads included under Section 181(2). The provisions of U.P. Electricity Supply Code 2005 include 'security' which is subject matter given under Section 47 of the Electricity Act, 2003. Thus the submission of learned counsel for the respondents has substance that Supply Code is nor confined to the subject as mentioned under Section 50, rather it specifically covers various other subjects specifically included in different sections including Section 47 of the Electricity Act, 2003.

22. Learned counsel for the petitioner has submitted that statement and object cannot be seen for ascertaining meaning and effect. Reliance has been placed on the judgments of the Apex Court in the case of *Kumar Jagdish Chandra Sinha v. Eileen K. Patricia D'Rozarie (MRS)* reported in (1995) 1 SCC 164 : (AIR 1995 SC 515) and in the case of

ITW Signode India Ltd. v. Collector of Central Excise reported in (2004) 3 SCC 48. In *Kumar Jagdish's case* (supra) following was laid down in paragraph 13:—

“13. It is undoubtedly true that the statement of Objects and Reasons accompanying a legislative Bill cannot be used to as-, certain the true meaning and, effect of the substantive provisions of the legislation, but it can certainly be pressed into service for the limited purpose of understanding the background, the antecedent state of affairs and the object the legislation sought to achieve....”

23. Further in *ITW Signode's case* (supra) the Apex Court has laid down following in paragraph 54:—

“54. The Statement of Objects and Reasons for enacting a statute can be read for a limited purpose. In *Cotspun* this Court held that Rule 10 does not deal with classification list or relate to reopening of the approved classification list. According to the Constitution Bench, the same is exclusively provided by Rule 173-B”

24. Sri Ravi Kant on the other hand has placed reliance on the judgments of the Apex Court in the case of *State of Maharashtra v. Bharat Shanti Lal Shah* reported in (2008) 13 SCC 5 : (2008 AIR SCW 6431) in the case of *Karnataka State Financial Corporation v. N. Narasimahaiah* reported in (2008) 5 SCC 176 : (AIR 2008 SC 1797) and in the case of *Bhaiji v. Sub-Divisional Officer, Thandla*



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reported in (2003) 1 SCC 692. In *State of Maharashtra's case* (supra) following was laid down in paragraph 53:—

“53. It is now well settled that though the Statement of Objects and Reasons accompanying a legislative Bill cannot be used to determine the true meaning and effect of the substantive provisions of a statute, but it is permissible to refer to the Statement of Objects and Reasons accompanying a Bill for the purpose of understanding the background, the antecedent state of affairs, the surrounding circumstances in relation to the statute, and the evil which the statute sought to remedy. In this regard we may refer to the majority view (6:1) in the case of *Gujarat v. Mirzapur Moti Kureshi Kassab Jamat*, reported in (2005) 8 SCC 534 : (AIR 2006 SC 212) wherein it was observed as under:

“Question 4. Statement of Objects and Reasons — Significance and role thereof

69. Reference to the Statement of Objects and Reasons is permissible for understanding the background, antecedent state of

affairs in relation to the statute, and the evil which the statute has sought to remedy. (See *Principles of Statutory Interpretation* by Justice G.P. Singh, 9th Edn., 2004, at p. 218). In *State of W.B. v. Subodh Gopal Bose*; AIR 1954 SC 92 the Constitution Bench was testing the constitutional validity of the legislation impugned therein. The Statement of Objects and Reasons was used by S.R. Das, J. for ascertaining the conditions prevalent at that time which led to the introduction of the Bill and the extent and urgency of the evil which was sought to be remedied, in addition to testing the reasonableness of the restrictions imposed by the impugned provision. In his opinion, it was indeed very unfortunate that the Statement of Objects and Reasons was not placed before the High Court which would have assisted the High Court in arriving at the right conclusion as to the reasonableness of the restriction imposed. *State of W.B. v. Union of India*; (1964) 1 SCR 371, SCR at pp. 431–32 : (AIR 1963 SC 1241) approved the use of Statement of Objects and Reasons for the purpose of understanding the background and the antecedent state of affairs leading up to the legislation.

70. In *Quareshi-I*, 1959 SCR 629 : (AIR 1958 SC 731) itself, which has been very strongly relied upon by the learned counsel for the respondents before us, Chief Justice S.R. Das has held: (SCR pp. 652 & 661)

“15..... The pronouncements of this Court further establish, amongst other things, that there is always a presumption in favour of the constitutionality of an enactment and that the burden is upon him, who attacks it, to show that there has been a clear violation of the constitutional principles. The courts, it is accepted, must presume that the legislature understands and correctly appreciates the needs of its own people, that its laws are directed to problems made manifest by experience and that its discriminations are based on adequate grounds. It must be borne in mind that the legislature is free to recognise degrees of harm and may confine its restrictions to those cases where the need is deemed to be the clearest and finally that in order to sustain the presumption of constitutionality the Court may take into consideration matters of common knowledge, matters of common report, the history of the times and may assume every state of facts which can be conceived existing at the time of legislation.

21... The legislature is the best judge of what is good for the community, by whose suffrage it comes into existence.... This should be the proper approach for the court but the ultimate responsibility for determining the validity of the law must rest with the court.... (AIR para 21, also see the several decisions

referred to therein.)”

71. The facts stated in the preamble and the Statement of Objects and Reasons appended to any legislation are evidence of the legislative judgment. They indicate the thought process of the elected representatives of the people and their cognizance of the prevalent state of affairs, impelling them to enact the law. These, therefore, constitute important factors which amongst others will be taken into consideration by the court in judging the reasonableness of any restriction imposed on the fundamental rights of the individuals. The Court would begin with a presumption of



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reasonability of the restriction, more so when the facts stated in the Statement of Objects and Reasons and the preamble are taken to be correct and they justify the enactment of law for the purpose sought to be achieved.”

25. From the proposition as laid down by the Apex Court in the above noted cases, it is clear that reference to the Statement of Objects and Reasons is permissible for understanding the background in relation to the Statutes and the evil which the statute has sought to remedy. In the present case statement of objects and reasons are not being utilised to determine the true meaning and effect of any substantive provision of the statute. The Statement of Objects and Reasons are being looked into for the background under which the draft Supply Code included the regulations under Sections 42, 48, 55 to 59 of the Act, which was published and subsequently final regulations were issued. The reference to Statement of Objects and Reasons to know the subject matter on which regulations have been framed cannot be said to be prohibited. The reference of the statement of objects and reasons of the Supply Code thus can be looked into for limited purpose to know the subject matter, which is covered under the regulations. Thus from the Statement of Objects and Reasons the provisions, which are contained in different chapters of the Supply Code, it is clear that Supply Code is not confined to source of power under Section 50 only and the regulations have been framed under different heads as enumerated in Section 181(2) including 181(2)(b) of the Electricity Act, 2003.

26. Learned counsel for the Corporation has also referred to marginal note of the U.P. Electricity Supply Code 2005 to support his submissions that the Code contains regulation on different subjects in addition to subjects as indicated in Section 50 of the Electricity Act,

2003. Learned counsel for the petitioner has placed reliance on judgment of the Apex Court in the case of *Guntaiah v. Hambamma* reported in (2005) 6 SCC 228 : (AIR 2005 SC 4013) for the proposition that marginal notes cannot be considered for construction of rules. Learned counsel for the Corporation has relied on judgments of the Apex Court in the case of *Sarabjit Rick Singh v. Union of India* reported in (2008) 2 SCC 417 : (2008 AIR SCW 390), in the case of *Deewan Singh v. Rajendra Prasad Ardevi* reported in (2007) 10 SCC 528 : (AIR 2007 SC 767), in the case of *Iqbal Singh Marwah v. Meenakashi Marwah* reported in (2005) 4 SCC 370 : (AIR 2005 SC 2119) and the judgment of the House of Lord in the case of *R. v. Montila* reported in (2005) 1 All England Report 113. The Constitution Bench in *Iqbal Singh Marwah's case* (supra) has considered the value of heading of the chapter. It was laid down that as a general rule the language employed in a heading cannot be used to give a different effect to clear words of the section where there cannot be any doubt as to their ordinary meaning, but they are not to be treated as if they were marginal notes or were introduced into the Act merely for the purpose of classifying the enactments. Paragraph 11 of the said judgment is quoted below:—

“11. Section 195(1) mandates a complaint in writing of the Court for taking cognizance of the offences enumerated in clauses (b)(i) and (b)(ii) thereof. Sections 340 and 341, Cr. P.C. which occur in Chapter XXVI give the procedure for filing of the complaint and other matters connected therewith. The heading of this Chapter is- ‘Provisions as to Offences Affecting the Administration of Justice’. Though, as a general rule, the language employed in a heading cannot be used to give a different effect to clear words of the Section where there cannot be any doubt as to their ordinary meaning, but they are not to be treated as if they were marginal notes or were introduced into the Act merely for the purpose of classifying the enactments. They constitute an important part of the Act itself, and may be read not only as explaining the Sections which immediately follow them, as a preamble to a statute may be looked to explain its enactments, but as affording a better key to the constructions of the Sections which follow them than might be afforded by a mere preamble. (See *Craies on Statute Law*, 7th Ed. Pages 207, 209). The fact that the procedure for filing a complaint by Court has been provided in Chapter XXVI dealing with offences



affecting administration of justice, is a clear pointer of the legislative intent that the offence committed should be of such type which directly

affects the administration of justice, viz., which is committed after the document is produced or given in evidence in Court. Any offence committed with respect to a document at a time prior to its production or giving in evidence in Court cannot, strictly speaking, be said to be an offence affecting the administration of justice.”

27. It is also useful to refer to paragraphs 34, 35 and 36 of the judgment of the House of Lord in the case of *R. v. Montila* (supra), which are as under:—

“34. The question then is whether heading and sidenotes, although unamendable, can be considered in construing a provision in an Act of Parliament. Account must, of course, be taken of the fact that these components were included in the Bill not for debate but for case of reference. This indicates that less weight can be attached to them than to the parts of the Act that are open for consideration and debate in Parliament. But it is another matter to be required by a rule of law to disregard them altogether. One cannot ignore the fact that the headings and sidenotes are included on the face of the Bill throughout its passage through the legislature. They are there for guidance. They provide the context for an examination of those parts of the Bill that are open for debate. Subject, of course, to the fact that they are unamendable, they ought to be open to consideration as part of the enactment when it reaches the statute book.

35. There is further point that can be made. In *Pickstone v. Freemans Plc*; [1988] 2 All ER 803 at 818 : [1989] AC 66 at 127 Lord Oliver of Aylmerton said that the explanatory note attached to a statutory instrument, although it was not of course part of the instrument, could be used to identify the mischief which it was attempting to remedy: see also *Westminster City Council v. Haywood* (No. 2); [2002] 2 All ER 634 at 645 : [2000] ICR 827 at 839 (Para 19) per Lightman J. In *Coventry and Solihull Waste Disposal Co. Ltd. v. Russell (Valuation Officer)*; [2000] 1 All ER 97 at 107-108 : [1999] 1 WLR 2093 at 2103, it was said that an explanatory note may be referred to as an aid to construction where the statutory instrument to which it is attached is ambiguous. In *R (on the application of Westminster City Council) v. National Asylum Support Service*; [2002] UKHL 38 at [5] : [2002] 4 All ER 654 at [5] : [2002] 1 WLR 2956 Lord Steyn said that, in so far as the explanatory notes that since 1999 have accompanied a Bill on its introduction and are updated during the parliamentary process cast light on the objective setting on contextual scene of the statute and the mischief at which it is aimed, such materials are always admissible aids to construction. It has become common practice for

their Lordships to ask to be shown the explanatory notes when issues are raised about the meaning of words used in an enactment.

36. The heading and sidenotes are as much part of the contextual scene as these materials, and there is no logical reason why they should be treated differently. That the law has moved in this direction should occasion no surprise. As Lord Steyn (at [5]) said in that case the starting point is that language in all legal texts conveys meaning according to the circumstances in which it was used.”

28. Reliance in U.P. Electricity Supply Code 2005 has been made on the heading of various clauses, which can be looked into to explain its enactment. The headings of various sections including the heading of different chapters delineate that the Supply Code contains regulations on various subjects as specifically included in Section 181(2) Clauses (p) to (x) of the Electricity Act, 2003. Thus the submission that U.P. Electricity Supply Code 2005 is beyond the scope of Section 50 and hence is liable to be struck down, cannot be accepted.

29. Two more grounds have been submitted by the petitioner's counsel in support of his contention that Clause 4.49 of U.P. Electricity Supply Code 2005 is ultra vires; firstly that it is ultra vires to Section 127(2) of the Electricity Act, 2003 and secondly that it is ultra vires to Section 56(2) of the Electricity Act, 2003. Section 127 provides for appeal to the appellate authority. Section 127 is quoted as below:

“127: “Appeal to Appellate Authority.— (1) Any person aggrieved by a final order made under section 126 may, within thirty days of



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the said order, prefer an appeal in such form verified in such manner and be accompanied by such fee as may be specified by the State Commission, to an appellate authority as may be prescribed.

(2) No appeal against an order of assessment under sub-section (1) shall be entertained unless an amount equal to one third of the assessed amount is deposited in cash or by way of bank draft with the licensee and documentary evidence of such deposit has been enclosed along with the appeal.

(3) The appellate authority referred to in sub-section (1) shall dispose of the appeal after hearing the parties and pass appropriate order and send copy of the order to the assessing officer and the appellant.

(4) The order of the appellate authority referred to in sub-section (1) passed under subsection (3) shall be final.

(5) No appeal shall lie to the appellate authority referred to in sub

-section (1) against the final order made with the consent of the parties.

(6) When a person default in making payment of assessed amount, he, in addition to the assessed amount shall be liable to pay, on the expiry of thirty days from the date of order of assessment, an amount of interest at the rate of sixteen per cent per annum compounded every six months.”

30. Section 127 provides for appeal to the appellate authority against a final assessment made under Section 126. Sub-section (2) of Section 127 provides that no appeal against an order of assessment can be entertained unless an amount equal to (half of the assessed amount) is deposited in cash or by way of bank draft. Clause 4.49 of the UP. Electricity Supply Code 2005 relates to security of the amount, which is stayed by any Court or forum. Thus Clause 4.49 of UP. Electricity Supply Code 2005 does not in any manner violates the provisions of Section 127 of the Electricity Act, 2003 and the same cannot be said to be ultra vires to Section 127.

31. Section 56(2) of the Electricity Act, 2003 provides that no sum due from any consumer shall be recoverable after the period of two years from the date of such sum became first due unless such sum has been shown continuously as recoverable as arrear of charges for electricity supplied. Section 56(2) of the Electricity Act, 2003 is quoted below:—

“56. Disconnection of supply in default of payment.— (1) Where any person

(2) Notwithstanding anything contained in any other law for the time being in force, no sum due from any consumer, under this section shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable as arrear of charges for electricity supplied and the licensee shall not cut off the supply of the electricity:”

32. In the present case, we are not concerned with liability of the amount under assessment. Clause 4.49 contemplates stay by the Court or forum staying the recovery of any dues. The stay of recovery of any due pre-supposes the amount to be recoverable. Section 56(2) of the Electricity Act, 2003 thus has no application in the present case.

33. The next ground to challenge Clause 4.40 of U.P. Electricity Supply Code 2005 is that Clause 4.49 overreach the order of the Court it is submitted that there being stay by the High Court against the assessment, the respondents cannot ask for submission of bank guarantee for an amount, which has already been stayed by this Court. It is contended that asking bank guarantee is a device to abridge the

Court's order and power of judicial review. Reliance has been placed by counsel for the petitioner on three judgments of the Apex Court in the matter of *Cauvery Water Disputes Tribunal* reported in 1993 Supp (1) SCC 96 (2) (Paragraph 73) : (AIR 1992 SC 22), in the case of *S.S. Bola v. B.D. Sardana* reported in (1997) 8 SCC 522 : (AIR 1997 SC 3127), and in the case of *Indian Aluminium Co. v. State of Kerala* reported in (1996) 7 SCC 637 : (AIR 1996 SC 1431).

34. The issue before the Apex Court in the matter of *Cauvery Water Disputes* (supra) was as to whether the interim order passed by the Tribunal on 25th June, 1991 is nullified by the ordinance issued by the Governor of the State



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of Karnataka. The Apex Court held that to the extent the ordinance interferes with the decision of the Supreme Court and of the Tribunal appointed under the Central Legislation, i.e., Inter-State Water Disputes Act, 1956, it was clearly unconstitutional. It was held that Legislature under the constitution, has within the prescribed limits, power to make laws prospectively as well as retrospectively. By exercise of those powers a legislature can remove the basis of a decision rendered by a competent court thereby rendering the decision ineffective, but no legislature in the country has power to ask the instrumentalities of the State to disobey or disregard the decisions given by the courts. In the present case Clause 4.49 of U.P. Electricity Supply Code 2005 in no manner affects the consequence of the interim order of the Court. The Bank guarantee has been asked on the premise that petitioner has applied for enhancement of load. Had the petitioner not applied for enhancement of the load, there was no question for asking any bank guarantee. The judgment in the matter of *Cauvery Water Disputes* (supra) does not help the petitioner in the present case.

35. The judgment in *S.S. Bola's case* : ((1997) 8 SCC 522 : AIR 1997 SC 3127) (supra) was a case where the Apex Court held that legislature cannot directly override a judicial decision but under its plenary powers under Articles 245, 246 and 248 it can make a new Act altering fundamentally the provision, which were the basis of the judicial decision. Following was laid down in paragraph 161 of the said judgment:—

“Where, however, the statutory provision is interpreted by the Court in a particular manner and directions are issued for implementing the judgment in the light of the interpretation placed on the statutory provisions, the Legislature need not pass a

Validating Act. In this situation, the Legislature, in exercise of its plenary powers under Articles 245, 246 and 248 can make a new Act altering fundamentally the provisions which were the basis of the judgment passed by the Court. This can be done with retrospective effect. So far as service conditions are concerned, they can be altered with retrospective effect by making service rules under Article 309 or by an Act of the Legislature.”

36. There cannot be any dispute to the proposition laid down by the Apex Court in *S.S. Bola's case* (supra), but in the present case there is no provision which affects the interim order passed by this Court. Learned counsel for the petitioner has relied on paragraph 153 of the judgment (Minority judgment of K. Ramaswamy, J.) where it has been held that judicial review is the basic feature of the Constitution. There cannot be any dispute to the proposition that judicial review is the basic feature of the Constitution and it is constitutional duty and responsibility of the courts to maintain the balance of power between the legislature, the executive and the judiciary. There is no abridgement of the power of judicial review by Clause 4.49 of U.P. Electricity Supply Code 2005.

37. The judgment of the Apex Court in *Indian Aluminium Co.'s case*, ((1996) 7 SCC 637 : AIR 1996 SC 1431) (supra) was a case where tests were laid down for judging the validity of validating act. It was laid down in the said judgment that in exercise of legislative power the legislature by mere declaration, without anything more, cannot directly overrule, revise or override a judicial decision. It was held that legislature can render a judicial decision ineffective by enacting a valid law on the topic within its legislative field fundamentally altering or changing its character retrospectively. In the present case none of the above issues have arisen. As noted above, the occasion for demanding bank guarantee arose only due to the reason that petitioner has prayed for enhancement of the load from 97 KVA to 150 KVA. The requirement of asking bank guarantee is for insulating the Corporation against apprehended or future losses. Clause 4.49 of U.P. Electricity Supply Code 2005 is merely a protective provision rather than a provision for enforcing recovery. Clause 4.43 of U.P. Electricity Supply Code 2005, which relates to enhancement of load for cases other than public lighting provides that if the matter relates to dues is stayed by court, the procedure as per clause 4.49 may be followed. Clause 4.49 comes into play in the present case since the amount of assessment under Section 126 of the Electricity Act, 2003 has been stayed by this Court in a writ petition, which is pending consideration.

38. In view of the foregoing discussions, we are satisfied that no grounds have been made out to declare Clause 4.49 of U.P. Electricity Supply Code, 2005 as ultra vires. Thus, the prayer of the petitioner to declare Clause 4.49 of U.P. Electricity Supply Code 2005 as ultra vires is refused.

39. Learned counsel for the petitioner has also challenged the amount of Rs. 23,17,038/- as inflated. It is submitted that in the bill issued for the month of February, 2009 and May, 2009 the amount of arrears was mentioned as only Rs. 10,46,067/- whereas vide communication dated 23rd June, 2009 the arrear has been enhanced to Rs. 23,17,038/-.

40. The petitioner submits that an amount of Rs. 4,00,000/- has already been deposited in pursuance of the interim order of this Court dated 14th July, 2000 and the total outstanding assessment amount against the petitioner is only Rs. 4,38,198/—

41. In this context ends of justice be served in giving liberty to the petitioner to represent the matter before the Executive Engineer insofar as amount of bank guarantee is concerned. If any representation is made with regard to the amount of bank guarantee, the same shall be considered and disposed of within three weeks from the date of filing representation along with a certified copy of this order.

42. In result, subject to liberty as above, both the writ petitions are dismissed.

43. *Petitions dismissed.*

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2014 SCC OnLine All 13588

(BEFORE RAM SURAT RAM (MAURYA), J.)

Suresh Chand Bansal Petitioner

v.

Electricity Ombudsman, Vibhuti Khand Gomti Nagar
& Others Respondents

Counsel for Petitioner:- Sunil Sharma

Counsel for Respondent:-Aprajita Bansal

Misc. Single No. 4512 of 2014

Decided on August 22, 2014

Infrastructure Laws — Energy and Power — Electricity — Loss occurred due to accident in transmission lines — Complaint filed before Electricity Consumer Grievance Redressal Forum under clause 2.1(e) for compensation — Jurisdiction of Electricity Consumer Grievance Redressal Forum — High tension electricity transmission lines of 11,000 volts, passing over the house of the petitioner, fell in the night and being rainy season, current of 11,000 volts ran away through the regular electricity connection in the house of the petitioner, due to which electrical appliances in the house of the petitioner were destroyed and fire took place, causing loss to property of the petitioner — Transmission lines are not the lines being essential part of the distribution system of a licensee — Thus, for the purposes of transmission lines, the petitioner shall not be treated as “consumer” — None of the clauses of S. 42 or S. 181 of the Electricity Act, deals with loss to public property due to accident in transmission lines — Cl. 5 of the U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulation 2007, specify the jurisdiction of Consumer Grievance Redressal Forum — Complaint have been specified under clause 2.1(e), which does not mention about the loss to public property due to accident in transmission lines — Electricity Ombudsman has not committed any illegality in holding that Consumer Grievance Redressal Forum has no jurisdiction in respect of complaint of the petitioner which was for compensation of loss occurred due to accident in transmission lines — Electricity Act, 2003 — Ss. 2(15), 2(72), 42(4), 161 and 181 — U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulation 2007 — Cl. 2 and 5

(Paras 8 and 10)

Hon'ble Ram Surat Ram (Maurya), J.

1. Heard Sri. Sunil Sharma, for the petitioner and Aprajita Bansal, for the respondents.

2. The writ petition has been filed for quashing the order of Electricity Ombudsman (respondent-1) dated 05.06.2014, allowing the appeal filed by respondent-2 and setting aside order of Electricity Consumer Grievance Redressal Forum dated 05.09.2013.

3. The petitioner is owner of a house situated at Muraripuram, Meerut City. Electricity Urban Distribution Division III, 66 Garh Road, Meerut erected high tension electricity transmission lines of 11,000/- volts, passing over the house of the petitioner. Wires of transmission lines passing over the house of the petitioner, fell in the night of 23.08.2012. Being rainy season, current of 11,000 volts ran away through the regular electricity connection in the house of the petitioner, due to which electrical appliances in the house of the petitioner were destroyed and fire took place, causing loss to property of the petitioner.

4. The petitioner filed a complaint (registered as Complaint Case No. 3 of 2013) for compensation before Electricity Consumer Grievance Redressal Forum, Meerut. The Forum, after hearing the parties, by order dated 05.09.2013 awarded compensation of Rs. 89,572/- to the petitioner. Respondent-2 filed an appeal/representation (registered as Representation No. 115 of 2013) against the aforesaid order before Electricity Ombudsman, which has been allowed by order dated 05.06.2014 on the ground that complaint before Electricity Consumer Grievance Redressal Forum, for award of compensation due to accident was not maintainable and award was set aside. Hence this writ petition has been filed.

5. The counsel for the petitioner submitted that a transformer has been affixed in the high tension electricity transmission lines of 11,000/- volts, from where supply of electricity is being made in the house of the petitioner. The petitioner is consumer within the meaning as given under Electricity Act, 2003 as well as in U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulation 2007. Section 42(4) casts a statutory obligation to create Consumer Grievance Redressal Forum, which has been authorized to decide the complaints of the consumers in respect of defect in electric supply and loss suffered due to it. The petitioner suffered loss due to defect in high tension electricity transmission lines as such complaint made by the petitioner was maintainable before Consumer Grievance Redressal Forum. Electricity Ombudsman has illegally held that Consumer Grievance Redressal Forum has no jurisdiction to entertain complaints in respect of accidents, which are covered under Section 161 of Electricity Act, 2003. Section 161 of Electricity Act, 2003 requires to give notice of the every accident occurs in connection with generation, transmission, distribution, supply or use of electricity. On the notice being given, Electrical Inspector is required to make an inquiry in respect of loss resulted to human or animal life

and submit report to the Government. This Section has nothing to do with loss of property of general public as such jurisdiction of Consumer Grievance Redressal Forum is not affected in respect of complaint of loss of the property. He relied upon the judgment of this Court in Writ-C No. 18760 of 2012 *Dakshinanchal Vidyut Vitran Ltd. v. Presiding Officer* decided on 17.04.2012, in which it has been held that purpose of Section 161 is to check the accident and to make inquiry in respect of loss resulted to human or animal life and not in respect of property of an individual.

6. I have considered the arguments of the counsel for the parties and examined the record. Electricity Act, 2003 was enacted to consolidate the laws relating to generation, transmission, distribution, trading and use of electricity and generally for taking measures conducive to development of electricity industry, promoting competition therein, protecting interest of consumers and supply of electricity to all areas, rationalization of electricity tariff, ensuring transparent policies regarding subsidies, promotion of efficient and environmentally benign policies, constitution of Central Electricity Authority, Regulatory Commissions and establishment of Appellate Tribunal and for matters connected therewith or incidental thereto.

7. The word 'consumer' has been defined under Section 2(15) of Electricity Act, 2003. Same definition has been adopted under U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulation 2007. The words 'transmission lines' has been defined by Section 2(72) of Electricity Act, 2003, which are quoted below:-

Section 2 (15) "consumer" means any person who is supplied with electricity for his own use by a licensee or the Government or by any other person engaged in the business of supplying electricity to the public under this Act or any other law for the time being in force and includes any person whose premises are for the time being connected for the purpose of receiving electricity with the works of a licensee, the Government or such other person, as the case may be;

Section 2(72) "transmission lines" means all high pressure cables and overhead lines (not being an essential part of the distribution system of a licensee) transmitting electricity from a generating station to another generating station or a sub-station, together with any step-up and step-down transformers, switch-gear and other works necessary to and used for the control of such cables or overhead lines, and such buildings or part thereof as may be required to accommodate such transformers, switch-gear and other works;

8. From the aforesaid definitions it is clear that transmission lines are not the lines being essential part of the distribution system of a licensee. Thus for the purposes of transmission lines, the petitioner

shall not be treated as consumer. The contention of the counsel for the petitioner that as transformer has been attached to high tension electricity transmission lines of 11,000/- volts, from where supply of electricity is being made in the house of the petitioner as such he is consumer is not liable to be accepted in view of definition of transmission lines.

9. So far as Section 42 of Electricity Act, 2003 is concerned, it casts a statutory duty upon distribution licensee to develop and maintain an efficient, coordinated and economical distribution system in his area of supply and to supply electricity in accordance with the provisions contained in this Act. In respect of any defect or deficiency in electricity supply or service by a licensee, billing including charging for electricity supply, price in respect of tariff or offering electricity services to the public which will be hazardous to life and safety, Consumer Grievance Redressal Forums have been constituted under U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulation 2007, exercising powers under Section 42 read with Section 181 of Electricity Act, 2003, (as amended by Act No. 26 of 2007) which are quoted:-

42. Duties of distribution licensee and open access.—(1) It shall be the duty of a distribution licensee to develop and maintain an efficient, co-ordinated and economical distribution system in his area of supply and to supply electricity in accordance with the provisions contained in this Act.

(2) The State Commission shall introduce open access in such phases and subject to such conditions, (including the cross subsidies, and other operational constraints) as may be specified within one year of the appointed date by it and in specifying the extent of open access in successive phases and in determining the charges for wheeling, it shall have due regard to all relevant factors including such cross-subsidies, and other operational constraints:

Provided that such open access shall be allowed on payment of a surcharge in addition to the charges for wheeling as may be determined by the State Commission:

Provided further that such surcharge shall be utilised to meet the requirements of current level of cross-subsidy within the area of supply of the distribution licensee:

Provided also that such surcharge and cross-subsidies shall be progressively reduced in the manner as may be specified by the State Commission:

Provided also that such surcharge shall not be leviable in case open access is provided to a person who has established a captive generating plant for carrying the electricity to the destination of his own use:

Provided also that the State Government shall, not later than five years from the date of commencement of the Electricity (Amendment) Act, 2003, by regulations, provide such open access to all consumers who require a supply of electricity where the maximum power to be made available at any time exceeds one megawatt.

(3) Where any person, whose premises are situated within the area of supply of a distribution licensee, (not being a local authority engaged in the business of distribution of electricity before the appointed date) requires a supply of electricity from a generating company or any licensee other than such distribution licensee, such person may, by notice, require the distribution licensee for wheeling such electricity in accordance with regulations made by the State Commission and the duties of the distribution licensee with respect to such supply shall be of a common carrier providing non-discriminatory open access.

(4) Where the State Commission permits a consumer or class of consumers to receive supply of electricity from a person other than the distribution licensee of his area of supply, such consumer shall be liable to pay an additional surcharge on the charges of wheeling, as may be specified by the State Commission, to meet the fixed cost of such distribution licensee arising out of his obligation to supply.

(5) Every distribution licensee shall, within six months from the appointed date or date of grant of licence, whichever is earlier, establish a forum for redressal of grievances of the consumers in accordance with the guidelines as may be specified by the State Commission.

(6) Any consumer, who is aggrieved by non-redressal of his grievances under sub-section 5, may make a representation for the redressal of his grievance to an authority to be known as Ombudsman to be appointed or designated by the State Commission.

(7) The Ombudsman shall settle the grievance of the consumer within such time and in such manner as may be specified by the State Commission.

(8) The provisions of sub-sections (5), (6) and (7) shall be without prejudice to right which the consumer may have apart from the rights conferred upon him by those sub-sections.

181. Powers of State Commissions to make regulations.—(1) The State Commissions may, by notification, make regulations consistent with this Act and the rules generally to carry out the provisions of this Act.

(2) In particular and without prejudice to the generality of the power contained in sub-section (1), such regulations may provide for all or any of the following matters, namely:—

(a) period to be specified under the first proviso to Section 14;

- (b) the form and the manner of application under sub-section (1) of Section 15;
- (c) the manner and particulars of application for licence to be published under sub-section (2) of Section 15;
- (d) the conditions of licence under Section 16;
- (e) the manner and particulars of notice under clause (a) of sub-section (2) of Section 18;
- (f) publication of the alterations or amendments to be made in the licence under clause (c) of sub-section (2) of Section 18;
- (g) levy and collection of fees and charges from generating companies or licensees under sub-section (3) of Section 32;
- (h) rates, charges and the terms and conditions in respect of intervening transmission facilities under proviso to Section 36;
- (i) payment of the transmission charges and a surcharge under sub-clause (ii) of clause (d) of sub-section (2) of Section 39;
- (j) reduction of surcharge and cross-subsidies under second proviso to sub-clause (ii) of clause (d) of sub-section (2) of Section 39;
- (k) manner and utilisation of payment and surcharge under the fourth proviso to sub-clause (ii) of clause (d) of sub-section (2) of Section 39;
- (l) payment of the transmission charges and a surcharge under sub-clause (ii) of clause (c) of Section 40;
- (m) reduction of surcharge and cross-subsidies under second proviso to sub-clause (ii) of clause (c) of Section 40;
- (n) the manner of payment of surcharge under the fourth proviso to sub-clause (ii) of clause (c) of Section 40;
- (o) proportion of revenues from other business to be utilised for reducing the transmission and wheeling charges under proviso to Section 41;
- (p) reduction of surcharge and cross-subsidies under the third proviso to sub-section (2) of Section 42;
- (q) payment of additional charges on charges of wheeling under sub-section (4) of Section 42;
- (r) guidelines under sub-section (5) of Section 42;
- (s) the time and manner for settlement of grievances under sub-section (7) of Section 42;
- (t) the period to be specified by the State Commission for the purposes specified under sub-section (1) of Section 43;
- (u) methods and principles by which charges for electricity shall be fixed under sub-section (2) of Section 45;
- (v.) reasonable security payable to the distribution licensee under sub-section (1) of Section 47;

(w) payment of interest on security under sub-section (4) of Section 47;

(x) electricity supply code under Section 50;

(y) the proportion of revenues from other business to be utilised for reducing wheeling charges under proviso to Section 51;

(z) duties of electricity trader under sub-section (2) of Section 52;

(za) standards of performance of a licensee or a class of licensees under subsection (1) of Section 57;

(zb) the period within which information to be furnished by the licensee under sub-section (1) of Section 59;

(zc) the manner of reduction of cross-subsidies under clause (g) of Section 61;]

(zd) the terms and conditions for determination of tariff under Section 61; (ze) details to be furnished by licensee or generating company under subsection (2) of Section 62;

(zf) the methodologies and procedures for calculating the expected revenue from tariff and charges under sub-section (5) of Section 62;

(zg) the manner of making an application before the State Commission and the fee payable therefor under sub-section (1) of Section 64;

(zh) issue of tariff order with modifications or conditions under sub-section (3) of Section 64;

(zi) the manner by which development of market in power including trading specified under Section 66;

(zj) the powers and duties of the Secretary of the State Commission under sub-section (1) of Section 91;

(zk) the terms and conditions of service of the Secretary, officers and other employees of the State Commission under sub-section (2) of Section 91; (zl) rules of procedure for transaction of business under sub-section (1) of Section 92;

(zm) minimum information to be maintained by a licensee or the generating company and the manner of such information to be maintained under sub-section (8) of Section 128;

(zn) the manner of service and publication of notice under Section 130;

(zo) the form of and preferring the appeal and the manner in which such form shall be verified and the fee for preferring the appeal under sub-section (1) of Section 127;

(zp) any other manner which is to be, or may be, specified.

(3) All regulations made by the State Commission under this Act shall be subject to the condition of previous publication.

10. None of the clauses of Section 42 or Section 181 deals with loss

to public property due to accident in transmission lines. Clause 5 of U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulation 2007, specify the jurisdiction of Consumer Grievance Redressal Forum. Complaint have been specified under clause 2.1(e) which does not mentioned about the loss to public property due to accident in transmission lines. Electricity Ombudsman has not committed any illegality in holding that Consumer Grievance Redressal Forum has no jurisdiction in respect of complaint of the petitioner which was for compensation of loss occurred due to accident in transmission lines.

11. The case law relied upon by the counsel for the petitioner has no application in the matter as it deals with jurisdiction of Permanent Lok Adalat constituted under Legal Service Authorities Act, 1987.

12. In view of the aforesaid discussions, the writ petition has no merit and is dismissed.

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2011 SCC OnLine All 2381 : (2012) 3 All LJ 471

Allahabad High Court
(Lucknow Bench)
(BEFORE DEVI PRASAD SINGH AND DR. SATISH CHANDRA, JJ.)

Bhajan Lal and Anr.

Versus

Executive Engineer Electricity Distribution Khand-1,
U.P. and Ors.

Writ. P. Bench No. 8693 (M/B) of 2011
Decided on October 17, 2011



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JUDGMENT

1. Heard Shri A.K. Pandey, learned counsel for the petitioners and Shri Kapil Misra, learned counsel for the opposite parties and perused the record. With the consent of the parties' counsel, we proceed to decide the writ petition at admission stage.

2. Executive Engineer, Shri Brij Mohan is present in person. Shri Kapil Misra, learned counsel for the opposite parties states that in pursuance to the fresh assessment order, the amount has been deposited by the petitioners. The Statement given by Shri Kapil Misra has been admitted by Shri A.K. Pandey.

3. The instant writ petition under Article 226 of the Constitution of India has been preferred for the following relief:—

- “(i) Issue a writ, order or direction in the nature of Certiorari quashing the impugned recovery notice/certificate dated 1.8.2011 issued by the opposite parties against the petitioners contained in Annexure Nos. 1 & 2 to this writ petition.
- (ii) Issue a writ, order or direction in the nature of Mandamus commanding the opposite parties not to take any coercive action or make any recovery proceedings in pursuance of the aforesaid recovery certificates.
- (iii) Issue a writ, order or direction in the nature of Mandamus commanding the opposite parties to redress the petitioners' grievance and issue a corrected bill as per their load and

connection and then realize the same from the petitioners.

- (iv) Issue any other writ, order or direction which this Hon'ble Court may deem fit and proper under the circumstances of the case.
- (v) Award the costs of the writ petition in favour of the petitioners."

4. It appears that earlier the petitioners had preferred a writ petition No. 3564 (MB) of 2009, which was disposed of by judgment and order dated 10.4.2009 permitting the petitioners to raise dispute with regard to electricity charges before the executive engineer concerned. Operative portion of the judgment and order dated 10.4.2009 is reproduced as under:—

"Accordingly, on account of availability of alternative remedy, no case for interference under Art. 226 of the Constitution of India is made out. However, it is provided that in case the petitioners move a representation within two weeks from today, the Executive Engineer concerned shall decide the same in accordance with law by passing a speaking and reasoned order expeditiously and preferably within a period of two months from the date of receipt of a certified copy of this order along with the representation and communicate the decision to the petitioners. For a period of two months or till disposal of the representation, whichever is earlier, the recovery proceedings shall remain suspended.

Subject to above, the writ petition is finally disposed of.

No order as to costs."

5. Learned counsel for the petitioners submits that in spite of the fact that the aforesaid judgment of this Court (supra) was communicated to the respondents, they have neither been served any notice nor the controversy has been adjudicated by the authorities. However, without taking note of the order passed by this Court, the impugned notice annexure Nos. 1 and 2 to the writ petition has been issued requiring the petitioners to pay the same amount. Feeling aggrieved, the petitioner has preferred the present writ petition.

6. On a query made by the Court, the Executive Engineer has given statement that the notices were sent but the petitioners did not turn up. The Executive Engineer informed that the notices were sent by ordinary post, which has been denied by the petitioners. It is further stated by the Executive Engineer that ordinarily the notices are sent by ordinary post.

7. Attention has been invited to para 6.8 of the U.P. Electricity Supply Code, 2005. Clause (b) of the said Code provides that in case the Assessing Officer reaches to a conclusion that

unauthorized use of Electricity has taken place, he shall serve a provisional assessment bill along with show cause notice to the consumer giving 15 working days for submission of reply under proper receipt fixing a date and time of hearing. Clause (b) of para 6.8 of the Code is reproduced as under:—

“If the Assessing Authority reaches to a conclusion that Unauthorized Use of Electricity has taken place (as defined under Explanation to Section 126 of the Act), he shall serve a provisional assessment bill along with show cause notice to the consumer giving 15 working days for submission of reply under proper receipt fixing a date and time of hearing. The notice shall invite objections in writing from the consumer, against the charges and provisional assessment and require presence of the consumer on the date of hearing.”

8. A plain reading of aforesaid provision reveals that it shall be incumbent on the assessing officer to serve not only the notice but also to serve the provisional assessment bill along with notice while inviting response within a period of fifteen working days. It means that while calling response within fifteen working days Sunday and other holidays should be excluded. *Provision* (supra) further reveals that the legislature to their wisdom has used the words “under proper receipt”, meaning thereby it shall be incumbent on the assessing authority or the executive engineer to ensure that notice has been served on the consumer. Sending of notice by ordinary post does not give a presumption that notice has been served upon the petitioners.

9. In view of above, it shall be incumbent on the assessing authority to ensure that the notice is served within 15 clear working days calling response from the consumer by ordinary letter without any postal receipt will not suffice. Notice should be served along with provisional assessment bill by authentic mode of service like registered post, personal service or publication in news paper and it must be ensured that the notice has been served.

10. Accordingly, the department has to adopt recourse of substituted service like personal service, registered post or in appropriate case, if necessary by publication in news paper. Needless to say that valuable right in the form of fundamental right guaranteed by Article 14 of the Constitution is available to consumer to file objection in response to notice or the provisional assessment bill. Non-compliance of principle of natural justice shall vitiate the entire proceeding and order passed by the assessing authority or the Executive Engineer concerned shall vitiate. To protect fundamental right guaranteed by Article 14 of the Constitution of India while proceeding ahead to serve notice in pursuance to Clause (b) of para 6.8 of the U.P. Electricity Supply Code 2005. it shall be incumbent on the

Executive Engineer or the assessing authority to serve notice, if necessary, by adopting all three modes i.e. personal service, by registered post or by publication in news paper. Needless to say that initially it is incumbent on the authorities to serve notice by registered post and by personal service both simultaneously. In case both fails, then publication in newspaper may be adopted. 1

11. Keeping in view the moral devaluation in the system of governance, it is necessary for the assessing authority concerned to keep transparency and take all necessary steps and ensure that notice sent by it is duly served on the consumer. In case there is deliberate attempt on the part of consumer avoiding the notice, then after publication in newspaper, the assessing authority may proceed ex parte and decide the dispute in accordance with law.

12. During the course of hearing, it has been informed that fresh assessment has taken place in response to which, the petitioners have deposited the dues.

13. Hence nothing remains for adjudication by this Court.

14. However, keeping in view the cases filed before this Court from time to time with the grievance that without serving a notice, recovery proceedings are initiated against the consumer, we direct the Chairman, Power Corporation to issue appropriate order or Circular keeping in view the observation made hereinabove to all concerned authorities to ensure that notices are served on the consumer, in terms of above, only thereafter the decision should be taken with regard to electricity charges.

15. Shri Kapil Misra, learned counsel for



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the opposite parties shall communicate the order passed today to the Chairman, U.P. Power Corporation for compliance and submit a compliance report within one month.

16. Subject to aforesaid observation, the writ petition stands disposed of.

17. *Order accordingly.*

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2010 SCC OnLine All 2611 : (2010) 6 All LJ 446

In the High Court of Allahabad
(BEFORE SUNIL AMBWANI AND KASHI NATH PANDEY, JJ.)

Executive Engineer, Electricity Urban Distribution
Division IIInd

Versus

Electricity Ombudsman, Lucknow & Ors.

Civil Misc. Writ Petition No. 47592 of 2010

Decided on August 23, 2010



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JUDGMENT

1. We have heard Ms. Usha Kiran for the petitioner — Executive Engineer, Electricity Urban Distribution-II, Saharanpur. Sri P.K. Tyagi appears for respondent No. 3 — Sri Shivpal Singh Yadav.

2. The petitioner is aggrieved by orders passed by the Consumer Grievance Redressal Forum, Saharanpur dated 14.12.2009 in complaint case No. 7 of 2009 (*Shiv Pal Singh Yadav v. Executive Engineer, Electricity Urban Distribution Division-II, Saharanpur*) and the order of the Electricity Ombudsman dated 16.4.2010 in Reference No. 21 of 2010 (*Executive Engineer, Electricity Urban Distribution Division-II, Saharanpur v. Shiv Pal Singh Yadav*), whereby the Ombudsman has rejected the reference and has upheld the directions given by the Consumer Grievance Redressal Forum, Saharanpur (CGRF). He has further given directions to the petitioner to instal meter and connect it from urban feeder for supply of electricity to respondent Sri Shiv Pal Singh Yadav within 15 days and thereafter billing of the connection shall be made under rate schedule L.M.V. — 5.3(B) in accordance with urban feeder. The facts giving rise to the present are that an application was made by respondent No. 3 Sri Shiv Pal Singh Yadav for sanction of electricity connection to his tube well. The Executive Engineer, Electricity Urban Distribution Division-II, Saharanpur by his letter No. 413/86572 dated 18.7.2007 sanctioned line order No. 01025, for the connection. The



respondent No. 3 Sri Shiv Pal Singh Yadav had deposited the requisite amount of Rs. 48,575/- for electricity connection for the tube well, vide receipt No. 8/164104 dated 18.9.2007. The department did not draw electricity line and instal meter for the reason, that electricity supply to the tube well of the respondent was to be made from Kailashpur Electricity Sub-Centre, which was under the Electricity Distribution Division-II, Saharanpur; after the re-demarcation of the area, the tube well of the petitioner has now fallen under the 66 KV Sub Station, Janakpuri, which falls under the Electricity Urban Distribution Division-II, Saharanpur, vide letter No. 4187 dated of the Executive Engineer, Electricity Urban Distribution Division-II, Saharanpur.

3. The department gave a fresh estimate to respondent-Sri Shiv Pal Singh Yadav from a different line, Gunna Sub Station, which falls under the Electricity Distribution Division-I, Saharanpur, at a distance of 900 mtr from the tube well, as against the distance of 750 mtr of electricity line of urban feeder.

4. Sri Shiv Pal Singh Yadav filed a complaint in Consumer Grievance Redressal Forum, Saharanpur with prayers to energise his connection, on the estimate prepared by the Electricity Department, and sanctioned on 18.7.2009 and to compensate him with the losses of Rs. one lac for loss of the agriculture production. Apart from claiming a right for electricity supply in accordance with the amount deposited by him on 18.9.2007 and sanctioned on 18.7.2009, he submitted that the alternative line suggested by the department to draw electricity line from rural feeder of Gunna Sub Station under Electricity Distribution Division-I, Saharanpur, will have to pass through several agricultural fields of the neighbouring farmers; they will not allow the department to instal electricity polls or passing of high-tension electricity line through their agricultural fields, giving rise to disputes.

5. The members of CGRF, Saharanpur considered the complaint and the reply given by the department. They found that complainant had deposited the estimate amount in September 2009, and according to the rules the electricity line should have been drawn and connection/meter installed within 90 days of the deposit. The department neglected in installing the connection, on account of which the complainant has suffered losses in agriculture production. The CGRF, Saharanpur issued directions to provide electricity connection to the complainant's tube well on the old estimate, from the same feeder and to instal meter within 90 days for which the complainant will pay the bill according to the meter. The Executive Engineer, Electricity

Urban Distribution Division-II, Saharanpur filed an appeal-petition against the order of CGRF, to the Ombudsman, under Section 8(1) of the UPERC (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulations, 2007.

6. Sri R.D. Pal, the Electricity Ombudsman considered the grounds of appeal filed by the petitioner-Executive Engineer, Electricity Urban Distribution Division-II, Saharanpur, and found that once the appellant has accepted that several electricity connections in village Chak Hareti are fed from the urban feeder and that since old connections, were regularised, and in the case of the complainant, the sanction was given on 18.9.2009; if the lines were drawn and connection was given within 90 days, the department could not have had any objection to connect with urban feeder. The complainant has already lost his crops for several years on account of negligence of the department. The Ombudsman found that the scheme for electricity connection was prepared every year. The complainant had completed all the formalities on 18.9.2007 and thus he was entitled to be given connection by 31.3.2008. There is no restriction on giving electricity connection to a private tube well from the urban feeder in the Electricity Supply Code, and thus the ground taken by appellant that the connection through urban feeder will be violative of the provisions of Act/Code, is not correct. He further found that if the private tube well are given connection from the urban feeder, the bills can be raised under para 5.3 (b) of rate schedule, and that if the rates of the material for making electricity supply have increased, the department cannot demand excess amount beyond the accepted estimate.



7. Ms. Usha Kiran, submits that Ombudsman has not applied his judicial mind in directing the electricity supply to be given on the basis of old estimate. The complainant respondent was not entitled to get electricity connection for private tube well on the basis of old estimate. The area having fallen subsequently in the urban area, the electricity connection could only be given from the rural area feeder line, for which fresh estimate was required to be prepared and additional costs were to be deposited by the complainant. The Ombudsman could not have compelled the department to supply electricity to a private tube well from urban feeder when an alternative line was given to the complainant.

8. Sri P.K. Tyagi, appearing for respondent No. 3 submits that CGRF

and thereafter Ombudsman have not committed any error of law in issuing directions to supply electricity connection to respondent No. 3 on old estimate from urban area. The change of area did not affect the sanction given to the electricity connection for the private tube-well of the complainant. He had deposited the entire amount estimated by the Executive Engineer on 18.9.2008.

9. Para 4.6(a) of the U.P. Electricity Supply Code 2005 provides that after sanction of load, an estimate shall be prepared, which shall remain valid for three months from the date of sanction letter to the applicant. Proviso 4.6(g) of the Code provides that in case of revision of charges, if the estimates were sanctioned prior to the date of revision, the estimates in excess shall not be charged on completion of works on the basis of revised charge. Para 4.6 and para 4.6(g) provides as follows:

4.6. Estimate

(a) After sanction of loan, an estimate shall be prepared, which shall remain valid for three months from the date of sanction letter to the applicant.

... ..

(g) A final bill shall be prepared after completion of the work by the Licensee.

If the final bill exceeds the value of the estimate, the difference shall be deposited by the applicant before connection is energized.

If it were less, the difference shall be adjusted in subsequent electricity bills or refunded by cheque within 60 days.

Provided further that, in case of revision of charges, if the estimates were sanctioned prior to the date of revision, the estimates in excess shall not be charged on completion of works on the basis of revised charge. However, if the work is completed at an estimate less than that prepared in revised charges, the excess amount deposited by the applicant on the basis of unrevised charges, shall be refunded within 60 days.

10. Counsel for the petitioner has not placed on record any restriction for supply of electricity to a private tube well from urban feeder. The Executive Engineer was required to draw the lines, install meter, and energize connection within 90 days of the deposit of estimate by the applicant. The delay and consequential change of area could not have authorized him to change the feeder and to draw a fresh estimate.

11. The Ombudsman had rightly found that general scheme is prepared for each financial year. The complainant had deposited the estimated amount on 18.9.2007 and thus there was no justification to delay the installation beyond 31.3.2008. He has also found that if

supply is given from urban feeder, the complainant can be billed in accordance with 5.3(b) of the rate schedule.

12. In *Purvanchal Vidyut Vitran Nigam Ltd. v. Vidyut Lokpal (Electricity) Ombudsman* [2008 (5) ALJ 683] : (AIR 2008 All 127) one of us (Hon'ble Sunil Ambwani, J) had an occasion to consider the object and purpose of appointment of Electricity Ombudsman for solving the disputes and scope of interference with the orders passed by the Ombudsman. It was held as follows:—

“9. Learned counsel appearing for the respondent-industry submits that the scope of interference with the award of ‘Electricity Ombudsman’ is very limited. The ‘Electricity Ombudsman’ promotes a settlement of the representation/complaint through conciliation or mediation and is not bound by rules of evidence or procedure. In the cases, where the settlement through mediation could not be



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arrived, he may give an award in accordance with the Electricity Act, 2003. A combined reading of Clause 9(a) of the Regulations of 2004 and Clause 12.1 of the Regulations of 2007 provides for an award, which is similar to the award given by an Arbitrator and which may be challenged on limited grounds, given under Section 34 of the Arbitration and Conciliation Act, 1996. In the case of settlement by conciliation and mediation, it is not open to the parties to challenge the settlement, as a settlement is a compromise entered into between the parties voluntarily and, which cannot be challenged by the parties except for want of jurisdiction of the authority making the settlement or fraud. In the case of an award, as in the present case the High Court may interfere, when the parties were under some incapacity, the parties making an application were not given proper notice; the award deals with disputes, which are not contemplated or, the matters are excepted to be decided by the forum or Ombudsman and where the subject matter is not capable of settlement by arbitration under the law, or the award is in conflict with public policy. He submits that in the present case no such grounds, which are available for setting aside of the award (on the ground of ‘misconduct’) are available. The petitioners in their reply to the Electricity Ombudsman did not take up any ground that it was not technically feasible or that sufficient load is not available for tapping. The petitioner did not have any objection if independent feeder is provided, but that was not feasible until no objection certificate was given by railways and the lines were laid out. There was a railway track and agriculture land on which the independent feeder has to pass for supply of electricity.

10. The 'Electricity Ombudsman' has considered the objections of the petitioner. He has also found that the application of the petitioner of the consumer for independent feeder and the increase of load factor of 122 KVA Sub-Centre is in process. He found that under Clauses 4.2, 4.4 and 4.6 of the Electricity Distribution Code, 2005 several steps have been taken for simplifying the procedure for electricity connection. The Electricity Supply Code, 2005 is applicable from 18.2.2005, and that M/s. Nitin Ispat and M/s. Laxmi Katsin Ltd. were also allowed tapping from this very feeder on 5.3.2005, and on the orders of the High Court respectively. Taking into account all the factors and that the consumer was model consumer the Electricity Ombudsman has found that release of connection for the time being from 33 KVA Feeder is proper with certain safeguards regarding energy audit and for theft of energy.

11. Clause 3.4(d) of the U.P. Electricity Distribution Code, 2005 provides for exceptions to Clause 3.4(a) and these exceptions include the conditions, where construction of separate feeder is not possible on account of non-availability of corridor, right of way and bay at the respective sub-station. The words "the tapping of the independent feeder shall be permitted by licensee to other connection having a similar process" would include the consumers of Arc, Induction furnaces/Rolling Mills, Re-rolling Mills and Mini Steel plants of 1000 KVA and above and includes the connection to be given to the petitioner.

12. The 'Ombudsman' is defined in *Webster's New Collegiate Dictionary*; (1) a Government Official (as in Sweden or New Zealand) appointed to receive and investigate complaints made by individuals against abuses or capricious acts of public officials; (2) one that investigates reported complaints (as from students or consumers), reports findings, and helps to achieve equitable settlements. The *Blacks Law Dictionary* defines 'Ombudsman' as; "(A)n official appointed to receive, investigate, and report on private citizen's complaints about the Government. A similar appointee is a non-governmental organization (such as a company or university).

13. In *Durga Hotel Complex v. RBI*, (2007) 5 SCC 120 : (AIR 2007 SC 1467) while discussing the powers of Ombudsman appointed by the Reserve Bank of India under the Banking Ombudsman Scheme, 1995 the Supreme Court observed in para 15 that conceptually an Ombudsman is only a non-adversarial adjudicator of disputes. He serves as an alternate to the adversary system for resolving disputes, specially between citizens and Government agencies. He as an independent and non-partisan



officer, deals with specific complaints from the public against the administrative injustice and maladministration (See 4 American Jurisprudence 2d). By its very nature an Ombudsman is an alternative to an adversary system for resolution of disputes and it is logical to postulate from Clause 16 of the scheme that the Ombudsman, who had entertained the complaint before the matter was taken to DRT, will lose his jurisdiction over the subject matter of the complaint. The Banking Ombudsman has no authority to compel the bank to make further advances, which as a prudent banker, it might not find feasible, nor can the Banking Ombudsman interfere with the agreement regarding the repayment schedule fixed by the bank or the financing ratio that may be maintained between the bank and the borrower. Nor can he direct the increase of the period of moratorium or fix a schedule of repayment of loan. These observations were made on the interpretation of powers of the banking Ombudsman under Clause 13 of the Banking Ombudsman Scheme, 1995, which provides for specific ambit of authority of Banking Ombudsman with regard to, (b) complaints consisting loans and advances only in so far as they relate to; (i) non-observance of Reserve Bank directions on interest rates (ii) delays in sanction/non-observance of period, time schedule for disposal of loan application and (iii) non-observance of any other directions or instructions of Reserve Bank, as may be specified for the purpose, from time to time. The Supreme Court upheld the order of the High Court by which it had found that Banking Ombudsman had exceeded his jurisdiction in passing the award. The directions to advance the balance amount and to make available additional finance on the basis of recommendations of the committee, directions to maintain financing ratio of 75:25 and fixing repayment schedule of 7 years exclusive of one year moratorium, were found by the High Court to be beyond the jurisdiction in making the award. The Supreme Court affirmed the order of the High Court and justified its interference with the award of Banking Ombudsman.

14. The Electricity Act, 2003 refers to the duties of distribution licensees and open access in part VI 'Distribution of Electricity'. In Section 42, which provides for duties of the distribution licensees to develop and maintain an efficient coordinated and economical distribution system in his area of supply and to supply electricity in accordance with the provisions contained in the Act. Sub-section (2) provides for the State Commission, which means the State Electricity Regulatory Commission constituted under sub-section (1) of Section 82 and includes a joint commission constituted under sub-section

(1) of Section 83 (Section 2(64) of the Act). Sub-section (5) of Section 42 of the Act provides for establishment of a forum for redressal of grievances of the consumers, in accordance with the guidelines as may be specified by the State Commission. Sub-sections (6), (7) and (8) relevant for this case provides:—

“(6) Any consumer, who is aggrieved by non-redressal of his grievances under sub-section (5), may make a representation for the redressal of his grievance to an authority to be known as Ombudsman to be appointed or designated by the State Commission.

(7) The Ombudsman shall settle the grievance of the consumer within such time and in such manner as may be specified by the State Commission.

(8) The provisions of sub-sections (5), (6) and (7) shall be without prejudice to right which the consumer may have apart from the rights conferred upon him by those sub-sections”.

15. In Uttar Pradesh the Electricity Ombudsman is appointed by the U.P. Electricity Regulatory Commission under. Regulation 3.3.1 of the U.P. Electricity Ombudsman (Terms and Conditions of Service) Regulations, 2004 notified in U.P. Extraordinary Gazette dated April 20th, 2004. Clause 6 provides:—

“The Electricity Ombudsman shall be an Engineering Graduate preferably with knowledge of law with a minimum of 20 years experience in a public/private Electricity utility of which ten years should be in distribution. Exposure to regulator affairs will be preferred. In exceptional cases the Commissioner/Selection Committee reserved the right to relax the experience criteria”.



16. The Regulation, 2004 provide for the powers and duties of the Electricity Ombudsman as follows:—

“9. The Electricity Ombudsman shall have the following powers and duties:—

(a) To receive the appeal petitions against the order of the Consumer Grievance Re-dressal Forum and consider such complaints and facilitate their satisfaction settlement by agreement, through conciliation and mediation between a licensee and aggrieved parties or by passing an award in accordance with the Electricity Act provisions of U.P.

Electricity Reforms Act, 1999 not in consistent with Electricity Act, 2003 and Rules or Regulations made thereunder particularly UPERC (Consumer Grievance Redressal Forum and Electricity Ombudsman) Regulations, 2003 Electricity Supply Code.

- (b) The Electricity Ombudsman shall exercise general powers of superintendence over his office and the office of Consumer Grievance Redressal Forum constituted by the Licensees under UPERC (Consumer Grievance Redressal Forum Electricity Ombudsman) Regulations, 2003 and shall be responsible for the conduct business thereat.
- (c) The Electricity Ombudsman shall specify the procedure to be adopted issue of notices, calling attendance, examination on oath, receipt of evidence requisitioning of records.
- (d) The Electricity Ombudsman shall specify the form and manner in which representation is to be submitted before him.
- (e) The Electricity Ombudsman shall have the powers to incur expenditure on behalf of the office. In order to exercise such powers. The Electricity Ombudsman will draw up an annual budget for his office in consultation with the Commissioner and shall exercise the powers of expenditure within the approved budget. The annual accounts of the office of the Ombudsman shall be maintained in such manner & formats as specified by the Commission.
- (f) Any other matter referred by the Commission.

10.10.1 The Electricity Ombudsman shall have the power to summon and enforce the attendance of any person acquainted with the facts and circumstances of the case to give evidence or produce any document, which may be useful for or relevant to the subject matter of the complaint before the Ombudsman.

10.2 For the purpose of carrying out his duties, an Electricity Ombudsman may require the licensee named in the complaint to furnish certified copies of any document relating to the subject matter of the complaint, which is or is alleged to be in its possession, within 15 days: Provided that in the event of failure of a licensee to comply the requisition without any sufficient cause, made under this clause. The Electricity Ombudsman may, if he deems fit, draw the inference that the information, if provided or copies if furnished, would be unfavourable to the licensee and proceed to settle the case on that basis.

10.3 The Electricity Ombudsman shall maintain confidentiality of any information or document coming into his knowledge or

possession in the course of discharging his duties and shall not disclose such information or document to any person except with the consent of the person furnishing such information or document.

Provided that nothing in this clause shall prevent the Electricity Ombudsmen from disclosing information or document furnished by a party in a complaint to other party or parties, to the extent considered by him to be reasonably required to comply with the principles of natural justice and fair play in the proceedings”.

17. The U.P. Electricity Regulatory Commission has in exercise of its powers conferred on it under Section 181 read with sub-sections (5) to (8) of Section 42 of the Electricity Act, 2003 made UPERC (Consumer Grievance Redressal Forum and Electricity Ombudsman) Regulation, 2007, notified in Extraordinary Gazette of U.P. on 4th October, 2007. These regulations provide in Regulation 3.1 for constitution of Consumer Grievance Redressal Forum with a judicial member as Chairperson, a technical member and an officer of the licensee at (1) Agra Discom including Kanpur, Agra, Jhansi and Chitrakoot; (2) Meerut Discom for Meerut, Moradabad



and Saharanpur; (3) Lucknow Discom for Lucknow, Bareilly, Faizabad and Devipatan (Gonda); (4) Varanasi Discom for Varanasi, Allahabad, Gorakhpur, Azamgarh, Mirzapur and Basti; (5) KESCO for Kanpur and NPCL for Greater Noida. The forums are authorised under Regulation 3.4 to entertain complaints of the consumers/complainants, who are supplied electricity by the concerned Distribution Licensee within the area of respective Commissioner's Division and in case of *KESCO and NPCL* such area shall mean the area of licensee to dispose of the matters under Regulation 3.5(2) to consider (a) all complaints to be filed before the forum; (b) the existing forums shall cease to receive complaints were continued to function for one month from the date of establishment of the forums under the regulations.

18. Regulation 5.0 provides for jurisdiction of these forums with exceptions under Regulation 5.1 regarding the matters mentioned in Sections 126, 127, 128, 135, 139, 143, 152 and 161 of the Electricity Act, 2003. The forums can take up complaints on an application or suo moto, if it considers appropriate in the interest of justice, except those under Regulation 5.1. Regulation 5.3 prohibits forum to entertain a complaint if it pertains to the same subject matter for which any proceedings before any Court, authority or any

other forum is pending, or a decree, award or final order has already been passed by any competent court, authority or forum. Regulation 6 provides for the procedure before the forum with restrictions on interim reliefs under Regulation 6.10. The decision of the forum under Regulation 7.2 are to be in writing supported by reasons and by majority of votes.

19. The Regulations of 2007 provides in Regulation 8.1(i) a right to any consumer aggrieved by the order made by the forum, or where forum has failed to redress the grievance within the specified period or distribution licensee is aggrieved by the order of the forum, a representation to the “Electricity Ombudsman”. Clause (ii) provides for such representation by consumer or his authorised representative or by distribution licensee within 30 days of the order. Such representation cannot be made under Regulation 8.2, unless the consumer has made a written representation to the forum and the forum has either rejected the representation or has failed to dispose it of within the specified time (Regulation 6.9 provides for expeditious hearing of the complaint by the forum to be decided by speaking order at the earliest preferably within three months from the date of receipt of the complaint and in the event the complaint is not disposed of within the period the forum shall record reasons in writing for the same. It further provides that in such case the complainant may also approach the Ombudsman.

20. Regulation 8.2 further provides in Clause (c) that a representation shall not lie, where the matter is already settled by the Electricity Ombudsman or by any Court, Tribunal or any other competent authority and in Clause (d) the representation, which is pending in any Court, Tribunal, Arbitrator or any other competent authority. The Electricity Ombudsman is authorised to entertain the representation even after the expiry of the specified period, if it is satisfied under Regulation 8.3 that there was sufficient cause for not filing the same within that period: A consumer is required to deposit 33% of the amount, if the complaint relates to dispute with regard to the payment. The powers, duties and the proceedings before the Electricity Ombudsman are given under Regulations 10 to 12 of the Regulations, 2007:—

“10.0 Powers of the Ombudsman:

10.1(i) The Electricity Ombudsman shall be the Chief Executive of his office.

(ii) The Electricity Ombudsman may issue such directions as may be considered necessary for discharge of functions by the Forum under these Regulations.

10.2(i) The Electricity Ombudsman shall have the powers to incur expenditure on behalf of the office. In order to exercise

such power, the Electricity Ombudsman will draw up an annual budget for his office and shall exercise the powers of expenditure within the budget approved by the Commissioner. The annual accounts of the Office of the Ombudsman shall be maintained in such manner and format as may be specified by the Commission.



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(ii) The Accounts of the Ombudsman shall be audited by the Comptroller and Auditor General of India at the time, the Accounts of the Commissioner is audited.

10.3 Subject to the provisions of these Regulations, the Electricity Ombudsman shall specify the procedure to be adopted for issue of notices, calling attendance, examination on oath, receipt of evidence and requisitioning of records and may also specify the form and manner in which a representation is to be submitted before him.

10.4 The Electricity Ombudsman shall maintain confidentiality of any information or document coming into his knowledge or possession in the course of discharging his duties and shall not disclose such information or document to any person except with the consent of the person furnishing such information or document:

Provided that nothing in this clause shall prevent the Electricity Ombudsman from disclosing information or document furnished by a party in a complaint to other party or parties, to the extent considered by him to be reasonably required to comply with the principles of natural justice and fair play in the proceedings.

11.0 Duties of the Ombudsman:

(i) The Electricity Ombudsman shall—

- (a) settle the grievance of the consumer who is aggrieved by non-redressal of his grievances by Consumer Grievance Redressal Forum on a representation made by such consumer within thirty days of the receipt thereof:

Provided that an Electricity Ombudsman shall not hear any matter, which pertains to matters mentioned in Regulation 5.1.

- (b) receive representations against the order of the

Consumer Grievance Redressal Forum and consider such complaints and facilitate to his satisfaction or settlement by agreement, through conciliation and mediation between a licensee and the aggrieved parties or by passing an award after hearing the parties in accordance with the Electricity Act, 2003, provisions of UP Electricity Re forms Act, 1999 not being inconsistent with Electricity Act, 2003, Rules or Regulations made there under particularly tariff orders, and Electricity Supply Code.

- (c) settle the grievance of the consumer ordinarily within three months.
- (d) deal with any other matter referred by the Commission.
- (ii) The Electricity Ombudsman may, after hearing the Forum or other interested parties, if any, from time to time, issue such orders, instructions or direction to any forum for the performance of its function under these Regulation as may be deemed fit.

12.0 Proceedings before the Electricity Ombudsman:

12.1 The Electricity Ombudsman—

- (i) may call for records relating to the representation from the concerned Forum and the concerned Forum shall send the entire records within 7 days from the date of receipt of such notice to the office of the Electricity Ombudsman;
- (ii) may determine the manner, the place, the date and the time of the hearing of the matter, as considered appropriate;
- (iii) shall hear the parties and may direct the parties to submit written submissions in the matter;
- (iv) may pass interim order as deemed necessary;
- (v) shall pass a reasoned order for all his findings and award;
- (vi) shall pass an award as early as possible, preferably within three months from the date of receipt of the representation and where there is delay in disposal of a representation within the said period of three months, shall record reasons of such delay;
- (vii) shall send a copy of the order to the parties.

12.2 The Electricity Ombudsman may reject the representation at any stage if it ap pears to him that the representation is

- (i) frivolous, vexatious, mala fide;
- (ii) without any sufficient cause;
- (iii) not being pursued by the consumer with reasonable diligence.

12.3 The decision of the Electricity Ombudsman with regard to

Regulation 12.2 shall



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be final and binding on the Consumer and the Distribution Licensee.

12.4 The Electricity Ombudsman may endeavour to promote a settlement of the representation/complaint received through conciliation or mediation. To promote such a settlement, the Electricity Ombudsman may follow such procedures as he may consider appropriate in the interest of justice and he shall not be bound by any rule of evidence or procedure.

12.5 If a representation is not settled by agreement without a period of one month from the date of its receipt or such further period as the Electricity Ombudsman may consider necessary, he may dispose of representation after affording the parties reasonable opportunity to present their case.

12.6 The order passed by the Electricity Ombudsman shall set out—

- (i) issue wise decision;
- (ii) reasons for passing the order; and
- (iii) directions, if any, to the Distribution Licensee/consumer.

12.7 A copy of the order shall be sent to the Consumer and the Distribution Licensee named in the representation.

12.8 The consumer or the Distribution Licensee, aggrieved of the decision of the Ombudsman, may approach any Court or Tribunal having jurisdiction to decide such grievance”.

21. The Regulation, 2007 have only repealed the Regulation, 2003. It has not repealed the Regulation of 2004 but there does not appear to be any conflict or inconsistency between powers and duties of the Electricity Ombudsman provided in Regulation of 2004 and the Regulation of 2007. In order to clarify Regulation 20 of the Regulations of 2007 provides that subject to provisions of these regulations the forum and the Electricity Ombudsman shall be guided by the principles of natural justice and shall have powers to regulate their own procedure not inconsistent with these rules.

22. Clause-14 provides for compliance with the order of the ‘Electricity Ombudsman’ where Distribution Licensee fails to comply with the orders of the Forum pr, as the case may be, of the ‘Electricity Ombudsman’, within 30 days of the order or within such time as may be granted, the Electricity Ombudsman may within thirty days of the date of the application of the consumer and, after

giving opportunity to the Distribution Licensee issue necessary direction to ensure compliance of the order or refer the matter to the Commission for appropriate order under section 142 of the Act and after hearing the parties or after obtaining the report from the Ombudsman.

23. The purpose of appointment of the Ombudsman is to settle those disputes and to consider the grievances, which could not be settled or decided by the Consumer Grievance Redressal Forum, or with which the consumer is not satisfied. He has powers to settle by process of mediation, conciliation or to make an award. The qualifications of the 'Electricity Ombudsman' gives him sufficient knowledge and authority to settle, mediate, conciliate the matter and in the absence of any settlement to make a reasoned award.

24. In this case the 'Electricity Ombudsman' has not given any direction contrary to Clause 3.4(a), as an exception is provided in Clause 3.4(d). The petitioner did not place any technical problem in sanctioning the connection by tapping to the respondent-consumer. Their objection was confined only to the regulation Clause 3.4(a) without looking into the exceptions and the analogy of providing other connection through the same feeder. The award has directed the sanction of connection and tapping only temporarily, till no objection certificate is given by the railways and the farmers over whose lands the electricity lines have to be drawn. The object of the temporary arrangement was to adjust equities between the petitioner and the consumer, who was a model consumer in the past was suffering a loss of Rs. 50 lacs per month.

25. There is substance in the contention of counsel for the respondent-consumer that where the 'Electricity Ombudsman' has succeeded in mediation and conciliation in persuading the parties to reach to a settlement, the proceedings would not be subject to challenge except on the ground of jurisdictional



error committed by the Electricity Ombudsman or any fraud pleaded and proved on record. In an other case the award may be challenged as an arbitral award on the grounds available under Section 34 of the Arbitration and Conciliation Act, 1996. The scope of interference with award is limited to the grounds, which may be taken under Section 34 of the Arbitration and Conciliation Act, 1996. In making these observations I have not considered the submissions, as it was not argued before me, whether the award of the Electricity Ombudsman may be challenged only under Section 34 of the Arbitration &

Conciliation Act, 1996 as statutory arbitration. The Court has only drawn the analogy from Section 34 of the Arbitration and Conciliation Act, 1996 as the principles to challenge to arbitral award should be limited to only such grounds as are available under Section 34 of the Arbitration and Conciliation Act, 1996”.

13. We reiterate the legal position explained in *Purvanchal Vidyut Vitran Nigam*, (AIR 2008 All 127 : 2008 (5) ALJ 683) (supra), and observe that where the Electricity Ombudsman has succeeded in resolving the dispute by mediation and conciliation and has reached to a settlement, the proceedings and his conclusions are not subject to challenge except on the ground of error jurisdictional committed by him; violation of principles of natural justice, violation of any express provision of the Electricity Act, 2003; Electricity Supply Code, Statutory Rules or Rate Schedule; fraud proved on record or the award being against public policy. The grounds for challenging the award of the Electricity Ombudsman are limited to the grounds such as, or which may be taken under Section 34 of the Arbitration and Conciliation Act, 1996. The Electricity Ombudsman defined under Regulation 2.1(1) means an authority appointed or designated by the Commission, under sub-section (6) of Section 42 of the Electricity Act, 2003, and the Regulations notified in that regard. He is provided to be an experienced person with graduate degree, in engineering and minimum of 20 years experience in public/private electricity utility of which 10 years should be in distribution, with preference for exposure to regulatory affairs. The powers vested in him provided facilitation for satisfactory settlement by agreement through conciliation and mediation between the licensee and aggrieved parties or by passing an award in accordance with the Electricity Act and provisions of U.P. Electricity Reforms Act, 1999, Rules and Regulations made thereunder.

14. In the present case, the award given by the Electricity Ombudsman, has same flavour as of an award by an Arbitral Tribunal and can be challenged on limited grounds, such as provided under Section 34 of the Arbitration and Conciliation Act, 1996.

15. We do not find that grounds taken to challenge the award of electricity Ombudsman, fall under any of the conditions akin to and provided under Section 34 of the Arbitration and Conciliation Act, 1996. There is no challenge to the capacity, opportunity of hearing or exclusions of the dispute to be considered by the Electricity Ombudsman.

16. The petitioner has also not challenged the award on the ground of competency of the Electricity Ombudsman. It is also not opposed to any public policy.

17. The writ petition is dismissed.

18. *Petition dismissed.*

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2026 SCC OnLine All 9193

In the High Court of Allahabad⁺
(BEFORE ARINDAM SINHA AND SATYA VEER SINGH, JJ.)

Devanshu Bose ... Petitioner(s);

Versus

Electricity Ombudsman Lucknow and 4 Other ...
Respondent(s).

Writ - C No. - 15943 of 2026

Decided on April 28, 2026

Advocates who appeared in this case:

Counsel for Petitioner(s) : Devanshu Bose

Counsel for Respondent(s) : Ajay Singh, Baleshwar Chaturvedi,
C.S.C.

The Judgment of the Court was delivered by

ARINDAM SINHA, J. and SATYA VEER SINGH, J.:— Petitioner appears in person. He submits, he is resident in a housing colony. It is a gated compound. There is huge difference between electricity alleged to be supplied and the aggregate consumption measured by prepaid meters installed in the houses. This difference is being sought to be realized from persons such him. It is not payable as the electricity is not consumed by the residents or for any of their purposes. It amounts to theft. Hence, prayer in the writ petition for direction upon Respondent 4 (the supply company/licencee).

2. Mr Baleshwar Chaturvedi, learned advocate appears on behalf of Respondent 3 (the distribution company). Mr Gaurav Tripathi, learned advocate appears on behalf of Respondent 4 (the supply company). Mr Chaturvedi and Mr Tripathi want to file their respective powers. They must file in the department as the case is in E-filing mode. Mr Tripathi hands up copy of the writ petition, to be treated as reconstructed record for convenience of this Court. Mr Ankur Tandon, learned advocate Standing Counsel appears on behalf of Respondent 5 (State).

3. On query petitioner draws attention to page 50 being statement of accounts from 1-8-2025 to 1-2-2026 given by Respondent 4 to his mother, the consumer. He draws attention to entry by date 19-6-2023 carrying demand of Rs 6000.25 on arrears TPL. He submits, this entry is an example of demand made for consumption allegedly on common services but is actually for recovery of theft of electricity.

4. Mr Tripathi submits, the provision application to the facts is Clause 4.9 Part A, sub-clause (j) in U.P. Electricity Supply Code, 2005.

On perusal of the clause we find, the developer/residents welfare association (RWA) is mandated to apply for connection in respect of common facilities, in accordance with the provisions. Respondent 4 is to disclose the application and thereupon will be heard on how it can demand and recover charges for consumption on common facilities from individual residents such as petitioner. The disclosure be by affidavit, to be accepted on adjourned date upon advance copy served.

5. List on 14-5-2026 as fresh marked at 02.00 p.m. along with Writ-C No. 15954 of 2026.

† Principal Bench at Allahabad

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2008 SCC OnLine All 376 : AIR 2008 All 127 : (2008) 6 AIR Kant
R (NOC 919) 328 : (2008) 72 ALR (SUM 84) 35 : (2008) 5 All LJ
683

In the High Court of Allahabad
(BEFORE SUNIL AMBWANI, J.)

Purvanchal Vidyut Vitran Nigam Ltd., Bhikaripur &
Anr.

Versus

Vidyut Lokpal (Electricity Ombudsman) & Anr.

C.M.W.P. No. 16216 of 2008

Decided on April 2, 2008

ORDER

1. Heard Shri H.P. Dube, learned counsel for the petitioner and Shri Ashutosh Mishra, caveator for the respondent No. 2. With the consent of the parties, the matter was heard and is being finally decided.

2. The 'Purvanchal Vidyut Vitran Nigam Ltd., Bhikaripur, Varanasi' through its Managing Director-petitioner No. 1 and the Executive Engineer, Electricity Distribution Division, Fatehpur-petitioner No. 2 have filed this writ petition to set aside an award of the 'Electricity Ombudsman' made under Section 42(7) of (The) Electricity Act, 2003. Shri Gopal Krlshan Gupta, Managing Director of Shyam Ferrous Ltd. Fatehpur (the unit) applied for sanction of 3000 K.V.A. connection. In his application he stated that he was one of the best consumers of electricity for last ten years of 3000 K.V.A. electricity which was connected with 33 K.V. Fatehpur Feeder. On account of unstable market and resultant financial difficulties, he had requested on 20-6-2006 for four months temporary disconnection. The permission was not given, on which, he paid all the dues and got the electricity permanently disconnected on 31-7-2006. As soon as his financial condition improved he made an application on June, 2007 after depositing Rs. 3000/- and completing all the formalities for 3000 KVA electricity connection. The consumer cited the example of five induction furnaces and rolling mills at Fatehpur fed from UPSIDC feeder, and the difficulty of establishing independent feeder across railway lines and about 4 km. of agricultural land. He pleaded that the unit have to spent Rs. 50 lacs for the cost of independent feeder, which the unit will be unable to bear.

3. The unit was not allowed the connection on the ground that under Clause 3.4(a) of the U.P. Electricity Supply Code, 2005, the connection

for 3000 KVA could only be given by an independent feeder and that it was not possible to establish an independent feeder as there was a railway track and about 5 kms. agricultural land in between the substation and the industry. The consumer approached the Consumer Disputes Redressal Forum, Fatehpur with his complaint. The forum, consisting of three members including a Chairman, instead of



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deciding the matter, allowed the Executive Engineer/Presiding Officer of the forum to consider and decide the application. The application was disposed of on 17-11-2007 under the signatures of the Presiding Officer of the forum.

4. Shri P. Ram, the Presiding Officer of the forum observed in his order dated 17-11-2007 that the petitioner's application for connection can be allowed only by giving the approval of the load under Clause 3.4 (a) of the U.P. Electricity Supply Code, 2005 by an independent feeder. The application has been forwarded to the higher authority. In respect of the sanction of the load of 3000 KVA to Laxmi Katsin Ltd., Malwa dated 17-11-2007, the sanction of the load was forwarded by him to the Managing Director, Purvanchal, Varanasi. The representation was disposed of with direction that the electricity connection can be sanctioned only by an independent feeder.

5. The consumer filed an appeal with the 'Electricity Ombudsman' on the grounds that he is suffering recurring losses and that the cost of establishment of independent feeder and system loading charges (to be paid to UPSIDC) will come to about 1 crore. The 'Electricity Ombudsman' after hearing both the parties on 11-12-2007 and 26-12-2007 and after considering the records found that the recommendations for the independent feeder under para 3.4(1) of the U.P. Electricity Supply Code, 2005 has been made in favour of the consumer. There is no technical objection to supply electricity through 33 KV Fatehpur Feeder and 132 K.V. Sub-Station. The dispute was confined to provide electricity from either the independent feeder or 33 K.V. Fatehpur Feeder by tapping. According to para 3.4(d) where there is difficulty of the way or it is not possible to establish independent feeder, the tapping may be permitted. The 'Electricity Ombudsman' found that it will take some time for the consumer to obtain no objection certificate from the railways to cross the electricity lines and that there may be difficulties in constructions of feeder. The matter was pending for eight months and that the consumer is suffering losses of Rs. 50 lacs per month. The 'Electricity Ombudsman' observed that the

consumer has been a model consumer upto 31-7-2006. There were no complaints against him for any faults or irregularities. In similar circumstances Nitin Ispat was allowed tapping from the same feeder on 5-3-200 and Laxmi Katsin Ltd. was also allowed tapping under the orders of the High Court. In the circumstances, the 'Electricity Ombudsman' observed and directed that 'at present' it will be appropriate to release connection by tapping from 33 KVA Fatehpur Feeder, and that an independent meter be installed to carry out energy audit and to avoid thefts.

6. Shri H.P. Dube learned counsel for the petitioner submits that the Electricity Ombudsman does not have the authority to overstep the statutory provisions of clause 3.4(a) of the Electricity Supply Code, 2005. He has not considered the difficulties faced by the petitioner, in allowing independent feeder, which could only be permitted if the consumer complies with the provisions of the Electricity Supply Code. Shri Dube has referred to a judgment of this Court in *Pawan Kumar Agarwal v. State of U.P.* Civil Misc. Writ Petition No. 31019 of 2007 decided on 12-10-2007 in which the Court found that under Clause 3.4 of the Code it is mandatory to supply electricity to the Arc/Induction furnaces. Rolling Mills, Re-rolling Mills and mini steel plants, where the load applied is 1000 KVA and above through independent feeder. Sub-clause (a) deals with specific industries of 1000 KVA and above load. However, if the consumer falls under sub-clause (b) and applies for the load above 500 KVA, an option has been given to the consumer to get the supply through independent feeder. If the consumer under sub-clause (b) does not want supply of electricity through an independent feeder, the respondents cannot compel or insist upon supplying the electricity, to the unit. Of course the requirement is that it is technically feasible to supply the same from any other feeder, which in the facts of the case was found by the respondents themselves. The Court did not agree that the industries mentioned in Clause (a) are only illustrative.

7. Shri H.P. Dube further submits that though the petitioner did not take any such stand before the 'Electricity Ombudsman', that it was not technically feasible to tap 33 KVA Fatehpur feeder, the 'Electricity Ombudsman' could not have given direction contrary to Section 3.4(a) of the Electricity Distribution Code, 2005, which mandates that in the cases falling under Clause 3.4(a), the load shall be released only through an independent feeder.

8. Learned counsel appearing for the respondent-industry submits that the scope of interference with the award of 'Electricity Ombudsman' is very limited. The 'Electricity Ombudsman' promotes a settlement of the representation/complaint through conciliation or mediation and is not bound by rules of evidence or procedure. In the cases, where the settlement through mediation could not be arrived, he may give an award in accordance with the Electricity Act, 2003. A combined reading of Clause 9(a) of the Regulations of 2004 and Clause 12.1 of the Regulations of 2007 provides for an award, which is similar to the award given by an Arbitrator and which may be challenged on limited grounds, given under Section 34 of the Arbitration & Conciliation Act, 1996. In the case of settlement by conciliation and mediation, it is not open to the parties to challenge the settlement as a settlement is compromise entered into between the parties voluntarily and, which cannot be challenged by the parties except for want of jurisdiction of the authority making the settlement or fraud. In the case of an award, as in the present case the High Court may interfere, when the parties were under some incapacity, the parties making an application were not given proper notice; the award deals with disputes, which are not contemplated or, the matters are excepted to be decided by the forum or Ombudsman and where the subject-matter is not capable of settlement by arbitration under the law, or the award is in conflict with public policy. He submits that in the present case no such grounds, which are available for setting aside of the award (on the ground of 'misconduct') are available. The petitioners in their reply to the Electricity Ombudsman did not take up any ground that it was not technically feasible or that sufficient load is not available for tapping. The petitioner did not have any objection if independent feeder is provided, but that was not feasible until no objection certificate was given by railways and the lines were laid out. There was a railway track and agriculture land on which the independent feeder has to pass for supply of electricity.

9. The 'Electricity Ombudsman' has considered the objections of the petitioner. He has also found that the application of the petitioner of the consumer for independent feeder and the increase of load factor of 122 KVA Sub-Centre is in process. He found that under Clause 4.2, 4.4 and 4.6 of the Electricity Distribution Code, 2005 several steps have been taken for simplifying the procedure for electricity connection. The Electricity Supply Code, 2005 is applicable from 18-2-2005, and that Nitin Ispat and Laxmi Katsin Ltd. were also allowed tapping from this very feeder on 5-3-2005, and on the orders of the High Court respectively. Taking into account all the factors and that the consumer was model consumer the Electricity Ombudsman has found that release of connection for the time being from 33 KVA Feeder is proper with

certain safeguards regarding energy audit and for theft of energy.

10. Clause 3.4(d) of the U.P. Electricity Distribution Code, 2005 provides for exceptions to Clause 3.4(a) and these exceptions include the conditions, where construction of separate feeder is not possible on account of non-availability of corridor, right of way and bay at the respective sub-station. The words "the tapping of the independent feeder shall be permitted by licensee to other connection having a similar process" would include the consumers of Arc, Induction furnaces/Rolling Mills, Re-rolling Mills and Mini Steel plants of 1000 KVA and above and includes the connection to be given to the petitioner.

11. The 'Ombudsman' is defined in *Webster's New Collegiate Dictionary*; (1) a government official (as in Sweden or New Zealand) appointed to receive and investigate complaints made by individuals against abuses or capricious acts of public officials; (2) one that investigates reported complaints (as from students or consumers), reports findings, and helps to achieve equitable settlements. *The Blacks Law Dictionary* defines 'Ombudsman' as; "(A)n official appointed to receive, investigate, and report on private citizen's complaints about the government. A similar appointee is a non-governmental organization, such as a company or university.

12. In *Durga Hotel Complex v. RBI*, (2007) 5 SCC 120 : (AIR 2007 SC 1467) while discussing the powers of Ombudsman appointed by the Reserve Bank of India under the Banking Ombudsman Scheme 1995 the Supreme Court observed in para 15 that conceptually an Ombudsman is only a non-adversarial adjudicator of disputes. He serves as an alternate to the adversary system for resolving disputes, specially between citizens



and government agencies. He as an independent and non-partisan officer, deals with specific complaints from the public against the administrative injustice and mal-administration (See 4 American Jurisprudence 2d). By its very nature an Ombudsman is an alternative to an adversary system for resolution of disputes and it is logical to postulate from Clause 16 of the scheme that the Ombudsman, who had entertained the complaint before the matter was taken to DRT, will lose his jurisdiction over the subject-matter of the complaint. The Banking Ombudsman has no authority to compel the bank to make further advances, which as a prudent banker, it might not find feasible, nor can the Banking Ombudsman interfere with the agreement regarding the repayment schedule fixed by the bank or the financing ratio that may

be maintained between the bank and the borrower. Nor can he direct the increase of the period of moratorium or fix a schedule of repayment of loan. These observations were made on the interpretation of powers of the banking Ombudsman under Clause 13 of the Banking Ombudsman Scheme, 1995, which provides for specific ambit of authority of Banking Ombudsman with regard to, (b) complaints consisting loans and advances only in so far as they relate to; (i) non-observance of Reserve Bank directions on interest rates (ii) delays in sanction/non-observance of period, time schedule for disposal of loan application and (iii) non-observance of any other directions or instructions of Reserve Bank, as may be specified for the purpose, from time to time. The Supreme Court upheld the order of the High Court by which it had found that Banking Ombudsman had exceeded his jurisdiction in passing the award. The directions to advance the balance amount and to make available additional finance on the basis of recommendations of the committee, directions to maintain financing ratio of 75 : 25 and fixing repayment schedule of 7 years exclusive of one year moratorium, were found by the High Court to be beyond the jurisdiction in making the award. The Supreme Court affirmed the order of the High Court and justified its interference with the award of Banking Ombudsman.

13. The Electricity Act, 2003 refers to the duties of distribution licensees and open access in Part VI 'Distribution of Electricity'. In Section 42, which provides for duties of the distribution licensees to develop and maintain an efficient coordinated and economical distribution system in his area of supply and to supply electricity in accordance with the provisions contained in the Act. Sub-section (2) provides for the State Commission, which means the State Electricity Regulatory Commission constituted under sub-section (1) of Section 82 and includes a joint commission constituted under sub-section (1) of Section 83 (Section 2(64) of the Act). Sub-section (5) of Section 42 of the Act provides for establishment of a forum for redressal of grievances of the consumers, in accordance with the guidelines as may be specified by the State Commission. Sub-sections (6), (7) and (8) relevant for this case provides—

“(6) Any consumer, who is aggrieved by non-redressal of his grievances under sub-section (5), may make a representation for the redressal of his grievance to an authority to be known as Ombudsman to be appointed or designated by the State Commission.

(7) The Ombudsman shall settle the grievance of the consumer within such time and in such manner as may be specified by the State Commission.

(8) The provisions of sub-sections (5), (6) and (7) shall be without prejudice to right which the consumer may have apart from the rights conferred upon him by those sub-section.”

14. In Uttar Pradesh the Electricity Ombudsman is appointed by the U.P. electricity Regulatory Commission under Regulation 3.3.1 of the U.P. Electricity Ombudsman (Terms and Conditions of Service) Regulations, 2004 notified in U.P. Extraordinary Gazette dated April 20th, 2004. Clause 6 provides:—

“The Electricity Ombudsman shall be an Engineering Graduate preferably with knowledge of law with a minimum of 20 years experience in a public/private Electricity utility of which ten year should be in distribution. Exposure to regulator affairs will be preferred. In exceptional cases the Commissioner/Selection Committee reserved the right to relax the experience criteria.”

15. The Regulation 2004 provide for the powers and duties of the Electricity Ombudsman as follows:—

“9. The Electricity Ombudsman shall have the following powers and duties—



- (a) To receive the appeal petitions against the order of the Consumer Grievance Redressal Forum and consider such complaints and facilitate their satisfaction settlement by agreement, through conciliation and mediation between a licensee and aggrieved parties or by passing an award in accordance with the Electricity Act provisions of U.P. Electricity Reforms Act, 1999 not inconsistent with Electricity Act, 2003 and Rules or Regulations made thereunder particularly UPERC (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulations, 2003 Electricity Supply Code.
- (b) The Electricity Ombudsman shall exercise general powers of superintendence over his office and the office of Consumer Grievance Redressal Forum (constituted by the Licensees under UPERC (Consumer Grievance Redressal Forum Electricity Ombudsman) Regulations, 2003 and shall be responsible for the conduct business thereat.
- (c) The Electricity Ombudsman shall specify the procedure to be adopted for issue of notices, calling attendance, examination on oath, receipt of evidence and requisitioning of records.
- (d) The Electricity Ombudsman shall specify the form and manner

in which representation is to be submitted before him.

(e) The Electricity Ombudsman shall have the powers to incur expenditure on behalf of the office. In order to exercise such powers, the Electricity Ombudsman will draw up an annual budget for his office in consultation with the Commissioner and shall exercise the powers of expenditure within the approved budget. The annual accounts of the office of the Ombudsman shall be maintained in such manner & formats as specified by the Commission.

(f) Any other matter referred by the Commission.

10.10.1 The Electricity Ombudsman shall have the power to summon and enforce the attendance of any person acquainted with the facts and circumstances of the case to give evidence or produce any document, which may be useful for or relevant to the subject-matter of the complaint before the Ombudsman.

10.2 For the purpose of carrying out his duties, an Electricity Ombudsman may require the licensee named in the complaint to furnish certified copies of any document relating to the subject-matter of the complaint, which is or is alleged to be in its possession, within 15 days. Provided that in the event of failure of a licensee to comply the requisition without any sufficient cause, made under this clause. The Electricity Ombudsman may, if he deems fit, draw the inference that the information, if provided or copies if furnished, would be unfavourable to the licensee and proceed to settle the case on that basis.

10.3 The Electricity Ombudsman shall maintain confidentiality of any information or document coming into his knowledge or possession in the course of discharging his duties and shall not disclose such Information or document to any person except with the consent of the person furnishing such Information or document.

Provided that nothing in this clause shall prevent The Electricity Ombudsmen from disclosing information or document furnished by a party in a complaint to other party or parties, to the extent considered by him to be reasonably required to comply with the principles of natural justice and fair play in the proceedings."

16. The U.P. Electricity Regulatory commission has in exercise of its powers conferred on it under Section 181 read with sub-sections (5) to (8) of Section 42 of the Electricity Act, 2003 made UPERC (Consumer Grievance Redressal Forum and Electricity Ombudsman) Regulations, 2007, notified in extraordinary gazette of U.P. on 4th October, 2007. These regulations provide in Regulation 3.1 for constitution of Consumer Grievance Redressal Forum with a judicial member as Chairperson, a technical member and an officer of the licensee at (1)

Agra Discom including Kanpur, Agra, Jhansi and Chitrakoot; (2) Meerut Discom for Meerut, Moradabad and Saharanpur; (3) Lucknow Discom for Lucknow, Bareilly, Faizabad and Devipatan (Gonda); (4) Varanasi Discom for Varanasi, Allahabad, Gorakhpur, Azamgarh, Mirzapur and Basti; (5) KESCO for Kanpur and NPCL for Greater Noida. The forums are authorised under Regulation 3.4 to entertain complaints of the consumers/complainants, who are supplied electricity by the concerned Distribution Licensee within the area of respective Commissioner's Division and in case of *KESCO* and *NPCL* such area shall mean the area of licensee to dispose of the matters under Regulation 3.5(2) to consider (a) all complaints to be filed before the forum;



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(b) the existing forums shall cease to receive complaints were continued to function for one month from the date of establishment of the forums under the regulations.

17. Regulation 5.0 provides for jurisdiction of these forums with exceptions under Regulation 5.1 regarding the matters mentioned in Sections 126, 127, 128, 135, 139, 143, 152 and 161 of the Electricity Act, 2003. The forums can take up complaints on an application or suo motu, if it considers appropriate in the interest of justice, except those under Regulations 5.1. Regulation 5.3 prohibits forum to entertain a complaint if it pertains to the same subject-matter for which any proceedings before any Court, authority or any other forum is pending, or a decree, award or final order has already been passed by any competent Court, authority or forum. Regulation 6 provides for the procedure before the forum with restrictions on interim reliefs under Regulation 6.10. The decision of the forum under Regulation 7.2 are to be in writing supported by reasons and by majority of votes.

18. The Regulations of 2007 provides in Regulation 8.1(i) a right to any consumer aggrieved by the order made by the forum, or where forum has failed to redress the grievance within the specified period or distribution license is aggrieved by the order of the forum, a representation to the "Electricity Ombudsman". Clause (ii) provides for such representation by consumer or his authorised representative or by distribution licensee within 30 days of the order. Such representation cannot be made under Regulation 8.2, unless the consumer has made a written representation to the forum and the forum has either rejected the representation or has failed to dispose it of within the specified time (Regulation 6.9 provides for expeditious hearing of the complaint by the forum to be decided by speaking order at the earliest preferably

within three months from the date of receipt of the complaint and in the event the complaint is not disposed of within the period the forum shall record reasons in writing for the same. It further provides that in such case the complainant may also approach the Ombudsman.

19. Regulation 8.2 further provides in Clause (c) that a representation shall not lie, where the matter is already settled by the Electricity Ombudsman or by any Court, Tribunal or any other competent authority and in Clause (d) the representation, which is pending in any Court, Tribunal, Arbitrar for or any other competent authority. The Electricity Ombudsman is authorised to entertain the representation even after the expiry of the specified period, if it is satisfied under Regulation 8.3 that there was sufficient cause for not filing the same within that period. A consumer is required to deposit 33% of the amount, if the complaint relates to dispute With regard to the payment. The powers, duties and the proceedings before the Electricity Ombudsman are given under Regulations 10 to 12 of the Regulations 2007:—

“10.0 Powers of the Ombudsman:

10.1(i) The Electricity Ombudsman shall be the Chief Executive of this office.

ii) The Electricity Ombudsman may issue such directions as may be considered necessary for discharge of functions by the Forum under these Regulations.

10.2(i) The Electricity Ombudsman shall have the powers to incur expenditure on behalf of the office. In order to exercise such power, the Electricity Ombudsman will draw up an annual budget for his office and shall exercise the powers of expenditure within the budget approved by the Commissioner. The annual accounts of the Office of the Ombudsman shall be maintained in such manner and format as may be specified by the Commission.

(ii) The Accounts of the Ombudsman shall be audited by the Comptroller and Auditor General of India at the time, the Accounts of the Commissioner is audited.

10.3 Subject to the provisions of these Regulations, the Electricity Ombudsman shall specify the procedure to be adopted for issue of notices, calling attendance, examination on oath, receipt of evidence and requisitioning of records and may also specify the form and manner in which a representation is to be submitted before him.

10.4 The Electricity Ombudsman shall maintain confidentiality of any information or document coming into his knowledge or possession in the course of discharging his duties and shall not disclose such information or document to any person except with

the consent of the person furnishing such information or document:

Provided that nothing in this clause shall prevent the Electricity Ombudsman from disclosing information or document furnished by a party in a complaint to other



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party or parties, to the extent considered by him to be reasonably required to comply with the principles of natural justice and fair play in the proceedings.

11.0 Duties of the Ombudsman:

(i) The Electricity Ombudsman shall—

(a) settle the grievance of the consumer who is aggrieved by non-redressal of his grievances by Consumer. Grievance Redressal Forum on a representation made by such consumer within thirty days of the receipt thereof:

Provided that an Electricity Ombudsman shall not hear any matter, which pertains to matters mentioned in Regulation 5.1.

(b) receive representations against the order of the Consumer Grievance Redressal Forum and consider such complaints and facilitate to his satisfaction or settlement by agreement, through conciliation and mediation between a licensee and the aggrieved parties or by passing an award after hearing the parties in accordance with the Electricity Act, 2003, provisions of UP Electricity Reforms Act, 1999 not being inconsistent with Electricity Act, 2003, Rules or Regulations made thereunder particularly tariff orders, and Electricity Supply Code.

(c) settle the grievance of the consumer ordinarily within three months.

(d) deal with any other matter referred by the Commission.

(ii) The Electricity Ombudsman may, after hearing the Forum or other interested parties, if any, from time to time, issue such orders, instructions or direction to any forum for the performance of its function under these Regulation as may be deemed fit.

12.0 Proceedings before the Electricity Ombudsman:

12.1 The Electricity Ombudsman—

(i) may call for records relating to the representation from the concerned Forum and the concerned Forum shall send the

entire records within 7 days from the date of receipt of such notice to the office of the Electricity Ombudsman;

(ii) may determine the manner, the place, the date and the time of the hearing of the matter, as considered appropriate;

(iii) shall hear the parties and may direct the parties to submit written submissions in the matter;

(iv) may pass interim order as deemed necessary;

(v) shall pass a reasoned order for all his findings and award;

(vi) shall pass an award as early as possible, preferably within three months from the date of receipt of the representation and where there is delay in disposal of a representation within the said period of three months, shall record reasons of such delay;

(vii) shall send a copy of the order to the parties.

12.2 The Electricity Ombudsman may reject the representation at any stage if it appears to him that the representation is

(i) frivolous, vexatious, mala fide;

(ii) without any sufficient cause;

(iii) not being pursued by the consumer with reasonable diligence.

12.3 The decision of the Electricity Ombudsman with regard to Regulation 12.2 shall be final and binding on the Consumer and the Distribution Licensee.

12.4 The Electricity Ombudsman may endeavour to promote a settlement of the representation/complaint received through conciliation or mediation. To promote such a settlement, the Electricity Ombudsman may follow such procedures as he may consider appropriate in the interest of justice and he shall not be bound by any rule of evidence or procedure.

12.5 If a representation is not settled by agreement without a period of one month from the date of its receipt or such further period as the Electricity Ombudsman may consider necessary, he may dispose of representation after affording the parties reasonable opportunity to present their case.

12.6 The order passed by the Electricity Ombudsman shall set out—

(i) issue wise decision;

(ii) reasons for passing the order; and

(iii) directions, if any, to the Distribution Licensee/consumer.

12.7 A copy of the order shall be sent to the Consumer and the Distribution Licensee named in the representation.

12.8 The consumer or the Distribution Licensee, aggrieved of the decision of the Ombudsman, may approach any Court or Tribunal having jurisdiction to decide such grievance.”
 20. The Regulation 2007 have only repealed



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the Regulation 2003. It has not repealed the Regulation of 2004 but there does not appear to be any conflict or inconsistency between powers and duties of the Electricity Ombudsman provided in Regulation of 2004 and the Regulation of 2007. In order to clarify Regulation 20 of the Regulations of 2007 provides that subject to provisions of these regulations the forum and the Electricity Ombudsman shall be guided by the principles of natural justice and shall have powers to regulate their own procedure not inconsistent with these rules.

21. Clause 14 provides for compliance with the order of the ‘Electricity Ombudsman’ where Distribution Licensee fails to comply with the orders of the Forum or, as the case may be, of the ‘Electricity Ombudsman’, within 30 days of the order or within such time as may be granted, the Electricity Ombudsman may within thirty days of the date of the application of the consumer and, after giving opportunity to the Distribution Licensee issue necessary direction to ensure compliance of the order or refer the matter to the Commission for appropriate order under Section 142 of the Act and after hearing the parties or after obtaining the report from the Ombudsman.

22. The purpose of appointment of the Ombudsman is to settle those disputes and to consider the grievances, which could not be settled or decided by the Consumer Grievance Redressal Forum, or with which the consumer is not satisfied. He has powers to settle by process of mediation, conciliation or to make an award. The qualifications of the ‘Electricity Ombudsman’ gives him sufficient knowledge and authority to settle, mediate, conciliate the matter and in the absence of any settlement to make a reasoned award.

23. In this case the ‘Electricity Ombudsman’ has not given any direction contrary to Clause 3.4(a), as an exception is provided in Clause 3.4(d). The petitioner did not place any technical problem in sanctioning the connection by tapping to the respondent-consumer. Their objection was confined only to the regulation Clause 3.4(a) without looking into the exceptions and the analogy of providing other connection through the same feeder. The award has directed the sanction of connection and tapping only temporarily, till no objection certificate is given by the railways and the farmers over whose lands

the electricity lines have to be drawn. The object of the temporary arrangement was to adjust equities between the petitioner and the consumer, who was a model consumer in the past was suffering a loss of Rs. 50 lacs per month.

24. There is substance in the contention of counsel for the respondent consumer that where the 'Electricity Ombudsman' has succeeded in mediation and conciliation in persuading the parties to reach to a settlement, the proceedings would not be subject to challenge except on the ground of jurisdictional error committed by the Electricity Ombudsman or any fraud pleaded and proved on record. In an other case the award may be challenged as an arbitral award on the grounds available under Section 34 of the Arbitration and Conciliation Act, 1996. The scope of interference with award is limited to the grounds, which may be taken under Section 34 of the Arbitration and Conciliation Act, 1996. In making these observations I have not considered the submissions, as it was not argued before me, whether the award of the Electricity Ombudsman may be challenged only under Section 34 of the Arbitration & Conciliation Act, 1996 as statutory arbitration. The Court has only drawn the analogy from Section 34 of the Arbitration and Conciliation Act, 1996 as the principles to challenge to arbitral award should be limited to only such grounds as are available under Section 34 of the Arbitration and Conciliation Act, 1996.

25. In *Maharashtra State Electricity Regulatory Commission v. Reliance Energy Ltd.*, 2007 (10) Scale 279 : ((2007) 8 SCC 381 : AIR 2008 SC 976) the Supreme Court has considered the similar scheme and has given directions to give wide advertisement to the provisions of redressal through forum and the Electricity Ombudsman.

26. There is no reason as to why similar directions may not be issued to the U.P. Electricity Regulatory Commission.

27. The writ petition is dismissed.

28. Petition dismissed.

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2011 SCC OnLine All 1879 : (2012) 90 ALR 649 : (2012) 4 All LJ
(NOC 200) 70

In the High Court of Allahabad
(BEFORE SUDHIR AGARWAL, J.)

Between

Kanpur Electricity Supply Co. Ltd. and another

Versus

Uttar Pradesh Electricity Regulatory Commission,
Lucknow and others

C.M.W.P. No. 23080 of 2011

Decided on November 23, 2011

The Judgment of the Court was delivered by

SUDHIR AGARWAL, J.:— The writ petition has been filed by Kanpur Electricity Supply Company Ltd. (hereinafter referred to as “licencee”) represented through its Managing Director and Executive Engineer, Electricity Urban Distribution Division, Nawabganj, K.E.S.C.O., Kanpur (hereinafter referred to as “E.E. Nawabganj”) assailing the order dated 30.11.2010 of Electricity



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Ombudsman rejecting representation of the petitioner and confirming the order dated 2.2.2010 of Electricity Consumer Grievance Redressal Forum, Kanpur (hereinafter referred to as “C.G.R.F., Kanpur”).

2. The facts in brief giving rise to the present dispute may be stated in brief as under:

The respondent No. 4, Association for Prevention of Blindness U.P. Kanpur Dr. Jawahar Lal Rohatgi Smarak Netra Chikitsalaya Sarvodaya Nagar, Kanpur (hereinafter referred to as “Consumer”) is a Society registered under the Societies Registration Act running an Eye Hospital at Kanpur. It is said that Society is a charitable institution working for removal of blindness for which it receives grant from the Government, Central and State both, in different heads. It is claimed that it does not charge fees for treatment of poor persons but wherever any fee is charged, it is either equivalent or less than the fee chargeable in Government hospitals. It had an electric connection and rates of electricity charged from it were

governed by tariff schedule L.M.V.-4 (A) till 29.11.2001. Thereafter the licensee and E.E. Nawabganj raised bills to the respondent No. 4 according to the rate schedule L.M.V.-4 (B) which was applicable for institution which are not charitable and not governed by L.M.V. 4 (A). It claimed that by raising incorrect bills under the rate schedule not applicable to a consumer like petitioner the licensee had realized an excess amount of Rs. 4,02,547/- during the period of 30.11.2001 to 30.4.2003 and the same is liable to be refunded. It also said that there is a residential colony in the hospital campus of society wherein 65 families are residing. The electricity consumption in the said Colony was liable to be billed as per domestic rates *i.e.*, tariff L.M.V.-I but this was also charged on higher rates for the period of 30.11.2001 to 28.2.2009 and excess sum of Rs. 6,67,449/- was realized from the respondent No. 4, which should be refunded. The consumer/respondent also demanded interest on the entire excess amount charged, as above, besides cost of litigation and such other relief as C.G.R.F. may deem fit.

3. The said complaint of petitioner was registered as complaint No. 101 of 2009. The licensee contested the claim of the respondent No. 4 on both the counts. In the rejoinder-affidavit filed by the consumer/respondent No. 4 it placed on record details of grant received from State Government which was around Rs. 40 lacs per annum and the relevant Government Order issued during period 2008-09 were also placed on record. It also said that in the year 2007-08 and 2008-09 the hospital conducted 3009 and 4388 eye operations free of cost and wherever fee was charged, it was less than Government hospital's like S.G.P.G.I., Lucknow, A.I.I.M., Delhi etc. Since the consumer's/petitioner No. 4 electricity bills in respect to the hospital were raised applying tariff L.M.V. 4 (B) for a shorter duration *i.e.*, from 30.11.2001 to 30.4.2003 and thereafter the licensee applied tariff L.M.V. 4 (A), it felt difficulty to explain this inconsistency. An additional written statement was filed by E.E., Nawabganj on 17.12.2009 stating that after 30.4.2003 electricity bills by clerical mistake were issued under tariff L.M.V.-4 (A) and therefore the consumer/respondent No. 4 is liable to pay correct amount as per tariff schedule L.M.V.-4 (B) which makes him liable to pay a further sum of Rs. 9,04,302/- for the period of 30.4.2003 to 13.11.2009 and it should pay the said amount.

4. The C.G.R.F. consisting of Sri S.K. Pandey, Adhyaksha, Sri B.P. Pandey, Technical Member and Sri H.M. Awasthi, Member (K.E.S.C.O.) *i.e.*, licensee held that the consumer was covered by tariff L.M.V.-4 (A) so far as the electricity bills towards hospital are concerned. With respect to electricity bills relating to residential colony, C.G.R.F. did not grant any relief but held



that hospital's electricity bill ought to have been raised under tariff schedule L.M.V.-4 (A). It, therefore, directed the licensee to correct bills of consumer/respondent No. 4 applying tariff L.M.V.-4 (A) w.e.f. 16.9.2001 and also to pay penalty of Rs. 4,725/- under para 7.7.2 of Electricity Supply Code, 2005 (hereinafter referred to as "Code 2005"). The petitioner challenged the said order dated 2.2.2010 of C.G.R.F., Kanpur by filing representation/appeal under U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum and Electricity Ombudsman) Regulations, 2007 which was registered as Appeal No. 28 of 2010 but the same has also been rejected by order dated 30.11.2010. The Ombudsman has also said that in case licensee fails to comply with C.G.R.F.'s order within two months, it shall pay a compounding interest calculable every six months @ 16%. These two orders dated 2.2.2010 of C.G.R.F. Kanpur and 30.11.2010 of Ombudsman have been assailed in this writ petition.

5. Sri Tripathi learned Counsel for the petitioner faintly submitted initially that the consumer/respondent No. 4 was rightly billed under tariff schedule L.M.V.-4 (B) but very soon conceded before this Court that the tariff L.M.V.-4 (A) would apply to the consumer/respondent No. 4 and he was admittedly billed wrongly under tariff L.M.V.-4 (B).

6. At this stage it may be pointed out that tariff L.M.V.-4 (A) is applicable as under:

"This schedule shall apply to Government and Semi Government Offices, Defence Installations, Government Hospitals, Government Research Institutions, Temples, Mosques, Gurudwaras, Churches, Government and Government aided (i) Educational Institutions (ii) hostels (iii) libraries and electric crematoria and for *charitable institutions including orphanage homes, old age homes and those providing services free of cost or at the charges/structure of charges not exceeding those in similar Government operated institutions.* This rate schedule shall also apply to offices, buildings, inspection houses of U.P.P.C.L./U.P.R.V.U.N.L./U.P.J.V.N.L. and construction power to their works including thermal and hydro projects."

7. L.M.V. 4 (B) *per contra* in respect to applicability says:

"This schedule shall apply to Non-Government Hospitals, nursing homes and dispensaries, private research institutions, and schools/colleges/educational institutes and *charitable institutions/Trust not covered under L.M.V.-4 (A).*"

8. The charitable institution/trust are mentioned in both the rate schedules. However, in the former, namely L.M.V.-4 (A) those

charitable institutions who provide service free of cost or at the charges/structure of charges not exceeding those in similar Government operated institutions they are governed and rest of charitable institutions are governed by tariff L.M.V.-4 (B).

9. The consumer/respondent No. 4 in the present case clearly and categorically pleaded and proved before the authorities below that it was providing service free of cost or charge the cost, lower or similar to Government Hospitals. These facts pleaded by the consumer/respondent No. 4 have been found correct by both the authorities below and they have recorded findings of fact in favour of respondent No. 4. Nothing has been placed in this writ petition to show that this findings of fact recorded by the authorities below is perverse or incorrect. In the entire writ petition there is no averment at all to deny or dispute this aspect of the matter that the consumer is not running charitable institution in the manner so as not to be governed by rate schedule L.M.V.-4 (A).



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10. In the circumstances and moreover looking to the fact that the Counsel for the petitioner also conceded during the course of argument, I find no reason to interfere with the findings of the two authorities *i.e.*, Respondents No. 2 and 3, in the orders impugned in this writ petition.

11. So far as the penalty is concerned, it is not disputed that the same is not inconsistent with the requirement of the statute and no patent illegality could be pointed out therein also. In fact this Court having heard learned Counsel for the petitioner found that the present writ petition is wholly frivolous and having been filed without there being any substance whatsoever though even the petitioners were satisfied that they have billed the consumer wrongly and the orders of respondents No. 2 and 3, impugned in the writ petition, are basically correct. The petitioners being a company wholly owned by State Government owe its duty and obligation to the public and is not supposed to file vexatious and frivolous cases before the Court. A Division Bench of this Court in Service Bench No. 506 of 2011, *State of U.P. v. Sri Suresh Kumar*¹ decided on 22.9.2011 castigating such an approach on the part of State Government or its instrumentalities observed:

“18. Having gone through the record and as discussed above we cannot refrain ourselves from placing on record our serious anguish and concern over the manner, the opinion has been given by Law

Department of U.P. Government resulting in a frivolous, vexatious and total meritless writ petition filed by State and its officials.

19. The officials in Law Department are expected to show more vigilance, independence and better application of mind. They are not supposed to surrender to the wishes of department but simply continued litigation for the sake of it. There were two aspects in the matter. One was punishment and another was annual character roll which was adverse in the year 2002-03.

20. So far as the punishment part is concerned, it was already decided by Tribunal in Claim Petition No. 130 of 2009, decided on 4.9.2009 and, therefore, nothing has to be done. Now the only question was regarding adverse entry. The Tribunal has categorically held that the matter of adverse entry in the year 2002-03 has not been dealt with by Government in accordance with procedure prescribed in Rule 4 of 1995 Rules and the result thereof would be that entry cannot be treated to be adverse for the purpose of promotion, efficiency bar etc. as provided in Rule 5. On this aspect neither department found any ground to challenge the order of Tribunal nor the Law Department has made any observation. That being so, we do not find on record any justification whatsoever for taking the matter further. The petitioner and unfortunately the Law Department have dealt with this matter in most casual and reckless manner, as if continuing litigation is the legal right of petitioner.

21. We intend to place on record our deep dissatisfaction in the manner, the officials in Law Department are functioning. Error of judgment can be excused but surrender or non-application of mind cannot. The Judicial Officers are sent on deputation to the Law Department of Government with an objective that they constitute an independent cadre, hence without being influenced by executive, shall advise it impartially, objectively and fairly. If this does not happen, the very purpose in sending Judicial Officers on deputation with Government will frustrate. On the one hand



from regular work these officers are taken out and sent on deputation to work like a Consultant but if their advise and opinion is not independent and impartial, it shall loose its gravity and frustrate the purpose. The officials in the Law Department, therefore, have to work with great caution, care and independence.

22. It is a matter of common knowledge that before the superior Courts, like High Court and Supreme Court, State (Provincial or

Central, as the case may be) is the biggest litigant. In fact in writ jurisdiction, almost in all the cases, State, in one or other manner, is a party.

23. This Court is presently reeling under huge pendency of more than 9.5 lacs cases (more than 7 lacs at Allahabad and more than 2.5 lacs at Lucknow). Innumerable seminars, conferences, meetings, discussions etc. are being held at every level to find out ways and means for expeditious disposal of matters so that access to justice should be quicker and prompt to the people. All out attempt is being made for quick justice since justice delayed is justice denied. We are trying our best so that litigating people should get decision/adjudication of their rights within a reasonable time. To achieve this goal, role of Executive cannot be ignored. On the contrary, being one of the biggest litigant, the Executive has all the more responsibility to behave in a reasonable manner which is consistent with law so that occasion to approach Courts for protection of rights by people may be minimised.

24. Under Article 226 of the Constitution, writ petitions are mostly filed when the Executive behave arbitrarily, oppressively and in defiance of statutes, Constitutional and otherwise. When a common man comes to Court against such action of Executive, it cannot be said that he is unnecessarily burdening the system of administration of justice. The situation, however would be much different when an independent adjudicatory forum has been constituted under an enactment of State or Central Legislature, the adjudicatory forum consists of not only trained, legal expert and experienced Judicial Officer but also an Executive Officer so that both may consider the matter from the angle of legal principles as well as departmental provisions, practice etc. and then to consider the grievance of an employee of the Government. Once such a decision is taken by the statutory adjudicatory forum, unless a glaring legal error or otherwise travesty of justice has resulted from such a decision, atleast the State must be slow in continuing to engage its employee in further litigation by filing a writ petition in the High Court under Article 226 and thereafter to take up the matter further.

25. We are not suggesting that against the judgment of such statutory adjudicatory forum consisting Judicial and Executive experts should not be challenged at all but our endeavour is to stress upon a more serious scrutiny at the level of department itself as to whether there is such a glaring error in the judgment of statutory adjudicatory forum, *i.e.*, Tribunal in the present case so as to take up the matter further or not. Most of the departments of Government have their own legal experts and consultants. At the Secretariat level a full fledged cadre of such Experts is available in Law Department.

We are told that presently the office of Legal Remembrancer and Secretary, Law, includes more than two dozens of Judicial Officers at the level of Deputy Legal Remembrancer, Joint Legal Remembrancer and Additional Legal Remembrancer headed by a Legal Remembrancer. They are the officers belong to Judicial Service of State, whereof senior posts like Joint Legal Remembrancer, Additional Legal Remembrancer and Legal



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Remembrancer are manned by members of Higher Judicial Service. Heavy responsibility lie upon these officers also to analyse the judgments of Tribunals in the context of facts, statutory provisions and decisions of High Courts and Supreme Court on the subject and thereafter to find out whether there is any such glaring error which justify further litigation in High Court or not. The approach should not be one to grant approval automatically and mechanically. There must be and there has to be a serious application of mind at the level of authorities who are responsible to tender legal opinion to take up the matters further.

26. We may point out further at this stage that in case of any doubt about the clarity on the subject, the officers of Government including those from Law Department can also seek opinion from Law Officers of State who represent them in High Court including the learned Advocate General and Additional Advocate Generals. It would not be out of place to mention that number of State Law Officers empanelled by State in the High Court, *i.e.*, at Lucknow and Allahabad consists of more than one thousand Advocates, designated as under:

Civil side—

- (1) Chief Standing Counsel
- (2) Additional Chief Standing Counsel
- (3) Standing Counsel
- (4) Brief Holder

Criminal side—

- (1) Government Advocate
- (2) Additional Government Advocate-I
- (3) Additional Government Advocate-II

27. The aforesaid team of Law Officers is headed by learned Advocate General and there are about more than half a dozen Additional Advocate Generals also to take care of the interest of

Stage. Monthly revenue towards fees of this magnitude of State Law Officers, only in the High Court is more than five crores per month. We have experienced that not only this but almost in a routine manner, State is also engaging several private Counsels as Special Counsel, paying them a huge amount spending several crores annually. With this assistance of legal brains still the Government, if not able to control frivolous and vexatious cases to be filed by it, it is a matter, not only of serious concern, but condemnation. There is something basically wrong which needs be analysed and rectified at the earliest. The State cannot forget that being custodian of public funds which belong to tax payers of people of this State, it cannot plundered with it in such reckless and negligent manner. Everybody must have to be accountable for spending even a single shell from the public funds. Anybody responsible for wastage must be required to explain and bear it. Public funds cannot be allowed to be thrown and misused in such a manner.

28. Time and again, the Apex Court and this Court have repeatedly said that State should refrain from filing frivolous petitions, wasting precious time of Court so that other substantial matters may be taken up and decided.

29. One of us (Hon'ble Devi Prasad, J.) recently in Writ Petition No. 474 (SB) of 2011, *State of U.P. v. Brij Bhushan Sharma*, decided on 17.3.2011, by a Division Bench presided by Hon'ble the Chief Justice, has



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deprecated such practice of State of filing frivolous writ petitions challenging the order of Tribunal as under:

“We deprecate such practice on the part of the State.....”

30. In another matter, *i.e.*, Writ Petition No. 473 (SB) of 2011, *State of U.P. through Principal Secretary, Appointment Department v. Vishnu Swarup Mishra*, decided on 17.3.2011 while dismissing writ petition against Tribunal, the Court said:

“We direct the Chief Secretary of State to formulate a policy in the matter of filing such petitions which are causing unnecessary burden for disposal, on this Court.”

31. Still the State has not learnt its lesson and has not shown any inclination to mend its ways. This is really unfortunate.

32. We are constrained, therefore, not only to dismiss this writ petition but find it appropriate to impose a cost upon petitioners for filing a frivolous vexatious petition.

33. The writ petition being devoid of merits is dismissed with costs quantified to Rs. 10,000/-."

12. In view of the above and being satisfied that this is a wholly frivolous and vexatious writ petition, in my view, besides dismissal, the petitioner is also liable to pay cost. The writ petition is accordingly dismissed with cost quantified to Rs. 10,000/-. Liberty, however, is granted to the petitioner No. 1 to recover the said amount from the official (s) concerned who is/are found responsible for advising to file this frivolous writ petition, after conducting such enquiry, as permissible in law.

Petition Dismissed.

¹. 2011 (89) ALR 198 (H.C.-L.B.).

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2016 SCC OnLine All 4269 : (2017) 122 ALR 297 : (2017) 6 All LJ
(NOC 313) 96

In the High Court of Allahabad
(BEFORE SUDHIR AGARWAL AND KAUSHAL JAYENDRA THAKER, JJ.)

I.G. Shoes Pvt. Ltd.

Versus

Kanpur Electricity Supply Co. Ltd. and Others

C.M.W.P. No. 63196 of 2005

Decided on November 29, 2016



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The Judgment of the Court was delivered by

SUDHIR AGARWAL, J. and KAUSHAL JAYENDRA THAKER, J.:— Heard Sri S.F.A. Naqvi, learned Counsel for petitioner and Dr. S.K. Yadav, learned Counsel for respondents. The petitioner has sought a *mandamus* commanding respondents to recalculate bill for the period from 16.10.1995 to 31.12.2001 in the light of order dated 25.11.2004 of Director, Electrical Supply, U.P. Lucknow(hereinafter referred to as 'Chief Electrical Inspector' or 'CEI') who has held that Meter installed at the premises was wrongly declared slow by 49. 91% in inspection report dated 23.1.1995 and therefore, all bills for the period from 16.10.1995 to 31.12.2001 are liable to be reduced.

2. It is evident from record that petitioner raised dispute before CEI by submitting his claim petition dated 20.1.2003 claiming that electrical meter already installed at the premises of petitioner was removed on 31.12.2001 and a new meter was installed. He further complained that all bills raised to the petitioner from 15.10.1994 to 31.12.2001 were founded on incorrect reading of meter. Deciding the aforesaid application/claim submitted by petitioner, CEI has passed order dated 25.11.2004 directing respondents Kanpur Electricity Supply Company Limited, Kanpur (hereinafter referred to as "KESCO") to revise all electricity bills issued to petitioner for the period from 16.10.1995 to 31.12.2001.

3. The stand taken by respondent KESCO is that order dated 25.11.2004 is wholly without jurisdiction, beyond the scope of authority

of CEI and therefore, it has no meaning or effect or consequence in the eyes of law. CEI had no power to pass such order. The stand of respondents thus, is that order of CEI is without jurisdiction, a nullity, hence there is no occasion to comply with the same. Hence writ petition deserves to be dismissed.

4. When we examined rival submissions in the light of power exercised by CEI in purported exercise of power under section 26(6) of Indian Electricity Act, 1910 (hereinafter referred to as 'Act, 1910'), we find that stand taken by KESCO is correct and in accordance with law. In our view, order dated 25.11.2004 passed by CEI does not come within section 26(6) of Act, 1910. The detailed reasons for our conclusion as above are as under:—

5. The own case set up by petitioner is that it had a contracted load of 60 Horse Power of electric connection for industrial purpose. The electrical meter installed at the premises of petitioner earlier, was removed on 31.12.2001 and another meter was installed. This is evident from facts stated in order dated 25.11.2004 passed by CEI. Till the date of change of meter in December, 2001, petitioner received bills for Rs 21,41,624. 10. Another bill for Rs 18,61,585/- was issued on account of theft/excess load. Counter affidavit and documents appended therewith show that a raid team conducted checking at petitioner's premises on 28.8.2002 and found direct connection passing through meter was utilized by petitioner to commit theft of electricity. The connected load was also found to the extent of 138. 5 HP while contracted load was 60 HP. Consequently, assessment was made for theft of electrical energy and excess load. Under the provision of Electricity Supply Code, 2002 a demand of Rs 18,61,585/- was raised by an order of assessment made by Executive Engineer. This is also admitted by petitioner in paragraph 5 of writ petition that petitioner filed an appeal but Appellate Committee *vide* order dated 24.3.2003 dismissed appeal. Total amount of Rs 55,10,676. 45 was found outstanding against petitioner which



included assessment amount of Rs 18,61,585/-, electricity charges of Rs 21,41,624. 10 and late payment, surcharge etc.

6. With regard to dispute of assessment of Rs 18,61,585/-, petitioner has already filed a separate Writ C No. 19857 of 2003. Aforesaid writ petition has been decided by order of date and after setting aside impugned orders therein, matter has been remanded to Assessing Authority.

7. However, for the purpose of present writ petition, we are not concerned with the said issue of theft but we are concerned with the question whether CEI had any authority to look into matter relating to electricity bills issued on the basis of earlier installed meter as also whether dispute of assessment bill issued on the allegations is within the ambit of section 26(6) of Act, 1910 or not.

8. Sections 26(1) and 26(6) of Act, 1910 read as under:—

26. *Meters.*—(1) In the *absence of an agreement to the contrary* the amount of energy supplied to a consumer or the *electrical quantity contained in the supply shall be ascertained by means of a correct meter* and the licensee shall, if required by the consumer, cause the consumer to be supplied with such a meter:

Provided that the licensee may require the consumer to give him security for the price of a meter and enter into an agreement for the hire thereof, unless the consumer elects to purchase a meter.

(6) Where any *difference or dispute arises as to whether any meter referred to in sub-section (1) is or is not correct* the matter shall be decided, upon the application of either party, by an Electrical Inspector; and *where the meter has, in the opinion of such Inspector ceased to be correct, such' Inspector shall estimate the amount of the energy* supplied to the consumer or the electrical quantity contained in the supply, during such time, *not exceeding six months* as the meter shall not, in the opinion of such Inspector, have been correct; but save as aforesaid, the register of the meter shall, in the absence of fraud, be conclusive proof of such amount or quantity:

Provided that before either a licensee or a consumer applies to the Electrical Inspector under this sub-section, he shall give to the other party not less than seven days notice of his intention so to do.

(Emphasis added)

9. A perusal of aforesaid provisions makes it clear that a dispute if raised regarding correctness of meter, then Electrical Inspector will first examine, whether meter installed at the premises of consumer is correct or not and if it finds, that such meter has ceased to be correct, then it can estimate amount of energy supplied to such consumer for a period not exceeding six months provided there is no case of fraud.

10. In the present case, petitioner did not raise any dispute with regard to correctness of meter so as to be examined by the CEI whether particular meter was correct or not. Earlier meter was removed on 31.12.2001 and a new meter was installed on the said date at petitioner's premises. Disputed bills relate to the period from 15.10.1994 to 31.12.2001 *i.e.* for the period when earlier meter was installed at petitioner's premises. It is evident from record that

petitioner did not raise any dispute regarding correctness of meter inasmuch as even at the time of removal of meter no such demand was raised by it. Meter was removed without any objection by petitioner and a new meter was installed.

11. Petitioner made complaint before CEI for the first time on 20.1.2003 *i.e.*, after more than one year when earlier meter was already removed. At the time of making complaint before CEI on 20.1.2003, there was no dispute regarding



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correctness of meter which was lying installed at the petitioner's premises on the date of complaint. Thus, in fact no dispute with regard to correctness of any meter was raised before CEI and in fact, petitioner sought to dispute bills issued to it, which dispute is beyond the scope of section 26(6) of Act, 1910.

12. Similarly, with regard to assessment on account of theft of electrical energy, such dispute is also beyond the scope of section 26 (6) of Act, 1910 and this has been repeatedly held by Court from time to time.

13. In *Madhya Pradesh Electricity Board v. Smt. Basantibai*¹ Court had an occasion to look into this aspect and held that section 26(6) of Act, 1910 has no application when there is dispute regarding commission of fraud or tampering with the meter and breaking body seal.

14. In *Belwal Spinning Mills Ltd. v. U.P. State Electricity Board*,² Court examined various provisions and said, if dispute or difference arises between licensee and consumer as to whether any meter has recorded or is recording correct reading or not, such dispute can be decided by Electrical Inspector and when he finds that meter has ceased to be correct then he can assess quantum of electricity consumed in preceding six months.

15. In *JMD Alloys v. Bihar Electricity Poser*,³ Court said that in case of tampering or theft or pilferage of electricity, demand raised falls outside the scope of section 26 of Electricity Act.

16. In *Tata Hydro-Electric Power v. Union of India*⁴ Court observed that if there is dispute regarding correctness of meter under statute it has to be referred to Electrical Inspector but if there is no dispute as to whether meter is defective-there is nothing which prevents parties from referring the matter to Arbitration etc. Court said:

“It is only where any difference or dispute arises as to whether

any meter referred to in sub-section (1) of section 26 is or is not correct, that dispute has mandatorily to be resolved by the Electrical Inspector. In resolving the dispute, the Electrical Inspector can make an estimate of the electrical energy supplied during such time, not exceeding six months, as the meter shall not in his opinion have been correct. For the remaining period, the register of the meter is deemed to be conclusive proof of such amount or quantity, in the absence of fraud. All this pre-supposes the existence of a dispute contemplated by section 26(6) of the Act which has to be resolved by the Electrical Inspector."

17. In *Bombay Electricity Supply and Transport Undertaking v. Laffans (India) (P) Ltd.*,⁵ Court agreeing with law laid down in *Madhya Pradesh Electricity Board v. Smt. Basantibai* (supra), *Belwal Spinning Mills Ltd. v. U.P. State Electricity Board* (supra) and *J.M.D. Alloys Ltd. v. Bihar SEB*,⁶ said that:

"... we would like to mention that the applicability of sub-section (6) of section 26 is attracted only when the meter is not correct. Section 26(6) will have no applicability (i) if the consumer is found to have committed a fraud with the licensee and thereby illegally extracted the supply of energy preventing or avoiding its recording, or (ii) has resorted to a trick or



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device whereby also the electricity is consumed by the consumer without being recorded by the meter. In effect the latter class of cases would also be one of fraud. Tampering with the meter or manipulating the supply line or breaking the body seal of the meter resulting in non-registering of the amount of energy supplied to the consumer or the electrical quantity contained in the supply - are the cases which were held to be not covered by section 26(6)."

18. In *Sub-Divisional Officer (P), UHBVNL v. Dharam Pal*¹ it was held that in case of tampering there is no scope for reference to Electrical Inspector.

19. These authorities have been followed recently in *Western Electricity Supply Co. of Orissa Ltd. v. Baba Baijanath Roller and Flour Mill P. Ltd.*,² wherein Court referring to section 26(6) of Act, 1910, has said:—

"it appears to us that section 26 is relevant only when there is any difference or a dispute arises in connection with correctness of a meter, in that case the matter shall be decided, upon being applied

by either party, by an Electrical Inspector and in the opinion of the Inspector if it is found that the meter is defective, the Inspector shall estimate the amount of energy supplied to the consumer or the electrical quantity contained in the supply during such time not exceeding six months but if there is a question of fraud in tampering with the meter, in that case there is no question of applicability of section 26 of the said Act in such a matter.”

20. Therefore, to attract section 26(6) of Act, 1910 dispute must relate to meter whether it is correct or not. Electrical Inspector first has to examine correctness of meter. It is possible only when meter, regarding which dispute is raised, is available at consumer's premises. Only then Electrical Inspector would have any occasion to check whether meter is correct or not but not. Where dispute relates to correctness of bills raised by licensee or supplier of electricity to consumer, may be on the basis of allegation that meter was slow, but no dispute regarding meter is referred by consumer to Electrical Inspector, when meter was lying installed at its premises and instead meter was already replaced and a new meter has been installed and after sometime, bill is disputed, section 26 of Act, 1910 would have no application.

21. There was no dispute, no such matter was brought before CEI by complaint about meter but about bills it raised dispute. This was outside section 26(6) of Act, 1910.

22. This view is also fortified from the fact that whenever any dispute is raised by consumer regarding correctness of meter, licensee/supplier is prevented by section 26(4) from taking away or remove such meter so that matter may be examined and decided by Electrical Inspector. The purpose is clear, to preserve evidence for settlement of such dispute. Material evidence is meter itself. If it is lost on the part of inaction of consumer, subsequently he would be disentitled to raise dispute with regard to such meter which is not available at its premises.

23. In *Bombay Electricity Supply* (supra) almost similar situation existed. Court said:

“According to section 26(6), the readings would bind the appellant and respondent No. 1 both. It has never been the case of the appellant at any stage that the meter was not correctly recording the consumption of



electricity on account of being non-functional due to any fraud

committed or device or trick adopted by the consumer-respondent No. 1 or that the body seal of the meter was found broken or tampered with. The respondent No. 1 was accepting and honouring the demands raised by the appellant and, therefore, respondent No. 1 cannot be expected to have raised a dispute and sought for a reference for determination by Electrical Inspector. The appellant could not have, therefore, revised the demand for such period based on average consumption during the previous year. There is yet another reason why the entitlement of the appellant to recover charges from the respondent No. 1 may have to be denied. According to the proviso appended to sub-section (4) of section 26, the licensee cannot take off or remove any such meter as to which difference or dispute of the nature described in sub-section (6) has arisen until the matter has been determined by the Electrical Inspector. The purpose is to preserve the evidence. The dispute shall be expeditiously disposed of by the Electrical Inspector by applying scientific method of investigation to find out if the meter was incorrect and if so then what was the extent of error. In the present case, the meters said to be incorrect have been removed and replaced by the appellant. Admittedly, no dispute has been raised and referred to the Electrical Inspector. The material evidence being the meter itself has been lost by the act of the appellant in removing the incorrect meter. The appellant cannot be permitted to take advantage of its own act and omission the act of removing the meter and the omission to make a reference to the Electrical Inspector.”

24. Applying exposition of law as noticed above, when earlier meter was replaced by new meter on 31.12.2001, at that stage or prior thereto, dispute could have been raised by petitioner about correctness of earlier meter. It was open to it to refer dispute to CEI for resolution under section 26(6) and petitioner could have asked Licensee/supplier of electricity to make such a reference. This would have prevented licensee from changing meter.

25. Bills were issued from time to time but petitioner never made any request or intention to dispute such bills on the ground that meter was correct or incorrect.

26. However, petitioner also accepted replacement of meter on 31.12.2001 and installation of new meter. Later on, search team while conducting raid at petitioner's premises found direct supply through wire as a result whereof, electricity was being pilferaged. Then an assessment bill was raised which petitioner challenged in appeal and lost. Petitioner very well knew that assessment on account of theft was beyond the scope of authority of CEI and that is why after losing battle before Appellate Committee, it came to this Court in Writ-C No. 19857 of 2003. Said writ petition was pending. Then in his own wisdom it

thought to raise dispute before EEI with regard to entire demand which includes earlier arrears of dues upto 31.12.2001 and assessment bill, on various grounds which were obviously not connected with correctness of meter installed at petitioner's premises. On 20.1.2003 when petitioner approached CEI; reference made was beyond the scope of section 26(6) and hence CEI in the present case had no jurisdiction, whatsoever, to enter into dispute.

27. In the result, it is evident that order passed by CEI dated 25.11.2004 is wholly without jurisdiction and a nullity in the eyes of law.

28. That being so, petitioner cannot be allowed to seek a *mandamus* from this Court so as to get a patently illegal, without jurisdiction and nullity order executed by asking respondents to comply with. Relief sought by petitioner in



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this present petition cannot be granted. This Court cannot exercise its extraordinary equitable jurisdiction under Article 226 of Constitution of India so as to get a patently illegal order executed by respondents as that would amount to perpetuate an illegality which is not permissible either in equity or law or otherwise. Writ petition is thoroughly misconceived. Dismissed.

29. *Petition Dismissed.*

¹ (1988) 1 SCC 23.

² (1997) 6 SCC 740.

³ (2003) 5 SCC 226.

⁴ (2003) 4 SCC 172.

⁵ (2005) 4 SCC 327 : (2005) 36 AIC 619 (SC).

⁶ (2003) 5 SCC 226.

¹ (2007) 66 ALR 320 (SC) : (2007) 49 AIC 627.

² (2014) 105 ALR 762 (SC).

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2023 SCC OnLine All 4072

In the High Court of Allahabad
(BEFORE SIDDHARTHA VARMA AND SHEKHAR B. SARAF, JJ.)

M/s. Zaz Leather Complex Pvt. Ltd. ... Petitioner;

Versus

Kanpur Electricity Supply Co. Ltd. and Another ...
Respondent.

Writ - C No. - 34855 of 2011

Decided on December 13, 2023

Advocates who appeared in this case :

Counsel for Petitioner: Mayank Agrawal

Counsel for Respondent: Mridul Tripathi, Anubhav Singh, S.C.

The Judgment of the Court was delivered by

SIDDHARTHA VARMA, J. and SHEKHAR B. SARAF, J.:— Heard Shri Mayank Agrawal, learned counsel for petitioner, Shri Anubhav Singh, learned counsel for Electricity Department and perused the record.

2. The petitioner who had entered into the business of producing leather products applied for an electricity connection of 480KVA in the year 2007 and the same was also granted to it on 29.2.2007. Since the connection was a high power connection for the purpose of metering the used electricity, the meter reading had to be finalized after applying of a Multiplying Factor (hereinafter referred to as the “MF”) of 6.

3. The petitioner applied for an additional load of 400KVA and the same was also granted to it on 29.8.2009. Now the total load of the connection which the petitioner was getting was 880KVA. After the meter was installed, meter readings were taken by the licensee Electricity Company and there was no abnormality or discrepancy noted in the meter.

4. On 6.4.2011, a routine checking was carried out by the officials of the respondent Electricity Company and it was observed by the inspecting team in its report that MF in the petitioner's connection which was being applied at “6” ought to have been applied at “10” and, therefore, it submitted a report that an assessment proceeding be initiated against the petitioner with regard to the report that the MF ought to have been applied at 10 and not at 6.

5. The petitioner objected on 8.6.2011. However, on 6.6.2011 for a period of 4 years i.e. from the April 2008 to May 2011, the petitioner was given a fresh bill of Rs. 1,46,48,514/- and threat of disconnection was also given to the petitioner.

6. The petitioner has challenged the demand notice/order dated 6.6.2011 by means of this writ petition and has submitted that when the meter was installed by the Licencee as per "Installation and Operation of Meters Regulations, 2006" and that when the petitioner was being given the electricity and it was also being paid for as per the meter installed then a fresh demand could not be issued.

7. Learned counsel for the petitioner relied upon the Clause 6.15 of the U.P. Electricity Supply Code, 2005 (hereinafter referred to as the "Code") and Section 56(2) of the Electricity Act, 2003 (hereinafter referred as the "Act"), and has submitted that no sum due from any consumer could be recovered after the period of two years from the date when such sum became first due.

8. Since the learned counsel for the petitioner has relied upon Clause 6.15 of the Code and Section 56(2) of the Act, both are being reproduced here as under respectively:—

"6.15 Recovery of Arrears

(a) The payments due to the Licensee shall be recovered as per provision of Section 56 of the Act, and arrears of land revenue as per the provisions of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958, as amended from time to time.

(b) Notwithstanding anything contained in any other law for the time being in force, no sum due from any consumer shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable a arrear of charges of electricity supplied, and the supply of the electricity shall not be disconnected by licensee for this reason."

Section 56: (2) Notwithstanding anything contained in any other law for the time being in force, no sum due from any consumer, under this section shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable as arrear of charges for electricity supplied and the licensee shall not cut off the supply of the electricity."

9. Learned counsel for the Electricity Department Sri. Anubhav Singh, however, in reply has submitted that when the petitioners load of electricity was raised from 480 KVA to 880 KVA then the strength of the transformer was increased from 30/5 to 50/5 and, therefore, the MF ought to have been increased from 6 to 10. For this purpose, he has drawn the attention of the Court towards the document dated 21.9.2007 which has been filed along with counter affidavit at page 25.

10. Learned counsel for the Electricity Department has also drawn

the attention of the Court to the contents of paragraph no. 3(c) of the Counter Affidavit which states as under:—

“3C. That while enhancing the load from 480 KVA to 880 KVA the meter installed was not changed and only C.T. (Current Transformer) of 30/5 was replaced by 50/5. The copy of the Sealing Certificate dated 21.09.2007 is being filed and is marked as Annexure No. CA-3 to this affidavit.”

11. Learned counsel for the Electricity Department has stated that the petitioner though has replied to the paragraph 3(c) of the counter affidavit in paragraph no. 4 of the rejoinder affidavit, it has not categorically denied the contents of paragraph no. 3(c) of the counter affidavit and he, therefore, states that the contents of paragraph no. 3 (c) of the counter affidavit be taken at their face value.

12. Learned counsel for the Electricity Department has further submitted that the mistake was a genuine mistake and that it was revealed only when the contractor for billing etc. was changed and the work of metering was handed over to Infinite as has been mentioned in paragraph no. 3(h) of the counter affidavit. He, therefore, submitted that it was in the fitness of things that the electricity due which was being raised by the demand notice be paid by the petitioner.

13. Learned counsel for the Electricity Department has relied upon the case of *Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Limited v. Rahamatullah Khan @ Rahamjulla* passed in Civil Appeal No. 1672 of 2020 (Arising out of SLP (Civil) No. 5190 of 2019) and has submitted that as per Section 56(2) of the Act, there was no limitation, if a supplementary bill was being provided and he submits that the limitation of two years given in Section 56(2) of the Act would commence from the date when the mistake was discovered by the Electricity Company. In the instant case, he submits that mistake was discovered well within two years.

14. Having heard the learned counsel for the parties, we are definitely of the view that the electricity connection was taken by the petitioner in the year 2007 and the MF at that time was 6. The MF might have increased with the increase of the load from 6 to 10. However, taking into consideration, the demand was raised on 6.6.2011, we are definitely of the view that the demand could not be for more than two years preceding the bill which was sent on 6.6.2011.

15. Under such circumstances, we are of the view that any amount which was being demanded for a period which was before 6.6.2009 could not be taken by the Electricity Department. The judgment in *Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Limited* (supra), even though deals with Section 56(2) of the Act, it does not deal with the provisions of Clause 6.15 of the Code. The judgment in paragraph no. 9 has stated that the licensee company was not

precluded from raising a supplementary demand after the expiry of the limitation period of two years but, in the instant case, we find that no supplementary bill was being sent but a fresh bill was being sent for a period of more than two years. The error as had been committed by the Electricity Department could have been known to it only. The petitioner bonafidely had paid all the bills which were sent to it. We are, therefore, of the view that the demand which was raised on 6.6.2011 could have been raised the demand for only two years preceding the date 6.6.2011.

16. Under such circumstances, the bill dated 6.6.2011 is quashed and we direct the Electricity Department to rectify the bill which would charge the petitioner only for a period prior to two years prior to 6.6.2011. A fresh bill be accordingly issued to the petitioner.

17. With the aforesaid observations, this writ petition is partly allowed.

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